L&T; Finance Ltd (LTF)

Conference call transcripts, oldest-first. 19 call(s). Generated 2026-08-02.

Call: Jul 2022

July 27, 2022

National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra - Kurla Complex, Bandra (East), Mumbai - 400 051. BSE Limited
Corporate Relations Department,
1
st Floor, New Trading Ring,
P. J. Towers, Dalal Street, Mumbai - 400 001.

Symbol: L&TFH Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of Institutiona l lnvestor(s) / Analyst(s) Meet – Q1 FY2023 Financial Performance
and Strategy Update.

Dear Sir / Madam,
Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulati ons, 2015, please find enclosed the transcript of the Institutional lnvestor(s) / Analyst(s) Meet for Q1FY2023 financial performance and strategy update held on July 20, 2022.

The above information is also available on the websit e of the Company i.e. www.ltfs.com/investors.html.

We request you to take the aforesaid on records.

Thanking you, Yours faithfully,

For L&T Finance Holdings Limited

Apurva Rathod
Company Secretary and Compliance Officer

Encl: As above

Moderator:
Ladies and gentlemen, good day and welcome to the L&T Finance Holdings Q 1FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal the operator by pressing ‘ *’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded. We have with us today Mr. Dinanath Dubhashi - Managing Director and CEO, and other members of the senior Management team. Before we proceed, as a standard disclaimer, some of the statements made on today’s calls may be forward looking in nature and a note of that effect is provided in the Q1 results presentation sent out to all of you earlier.
I would now like to invite Mr. Dinanath Dubhashi to share his tho ughts on the company's performance and the strategy of the company going forward. Thank you, and over to you , sir.

Dinanath Dubhashi:
Thank you, ladies and gentlemen, very good morning, and a warm welcome. We have uploaded a presentation, I believe is very self-explanatory, but I will still love to take the opportunity of giving some explanations to you. We will try to be as short as possible, I will talk about this quarter, but more importantly, I will talk about what are the measures we have taken under the Lakshya (Target / Goals) 2026 plan, though quite early now.
It was during the same time last year in the midst of second wave of COVID , actually , that I mentioned to you that our strengths place us quite suitabl y in the medium to long term growth after the storm is over. And I believe now the storm is well and truly over, I mean there are some COVID cases etc. I have always maintained that COVID doesn't affect business so much but lockdowns do. The way we have vaccina ted, the way the country has fought, I think the possibility of new lockdown s is less and because of that, I believe largely business should be back as

usual now.
In the last annual investor call and analysts meet held during the month of May'22 we shared with you our strategic plan Lakshya 2026 and the underlying goals. Over the last three months, this truly has been the driving force for us. In short, the goal is to be a top class digitally enabled Retail finance company. Within this goal, we aim to pivot from a product focused company to a customer focused approach, with the aim of creating a Fintech at Scale. And I have explained what a Fintech at Scale means last time. And I will also now, talk about what we are doing in that direction. Our organization structure has already been aligned to this aim now, changed organizational structure. In addition, your feedback after the rollout has been most encourag ing. And I thank you for the same and we have tried to incorporate some of your feedback also, as we have gone ahead. I now quickly move on to the highlights of this quarter, the quarter which has just passed:
• We achieved the highest ever quarterly disbursements in Retail , close to Rs. 9000 Cr which is up 10% QoQ . This is special, really special because Q4FY22 was highest ever till then and we have built a 10% growth in disbursement over that also. What is even more special is it is now not driven by just one product; more products are driving this growth.
• Retail portfolio mix rose to 54%, from 45% last year with 19% YoY increase in the Retail book. The QoQ increase in the Retail book is also 6%, which is quite in line with one of our Lakshya 2026 goals of 25%

CAGR in Retail book . So, in the 1st quarter itself, we meeting it on top of a good book growth already last quarter enthuses us quite well.
• As a part of our Fintech @ Scale , cross -sell and use of data is one of the important aspects. 50% of Rural Business Finance and 25% of Farmer Finance disbursements are now driven by cross -sell efforts of the company using this database.
• Consumer loans which is another loyalty cross -sell product, the book has now crossed Rs. 3000 Cr this quarter.
• Com ing to NIMs, we actually achieved the highest ever NIMs plus fees at 8.23% on the back of good quarterly Retail disbursements. Interestingly , the quarterly WAC (Weighted Average Cost of funds) is at an all-time low of 7.27% in the phase of tightening liquidity and increasing interest rates. Now, there is no logic and no magic here, very clearly, we have been talking from last one year that we have resisted the temptation of having higher CPs when the interest rates were low. We could have done that and interest costs could have been even lower, but we have locked -in substantial amount of medium to long term funds, which are now coming to our help genuinely.
As interest rates increase further which looks like definitely, they will, the weighted average costs will surely increase , there is no doubt about that, but we are confident that the increase will be less than proportionate with the market increase. Also, our pricing power will ensure that we continue to have robust margins as we go ahead.
• Asset quality has been pretty stable. Reduction in GS3 from 6.67% last year to 4.08% in Q1FY23, NS3 at 1.87% and PCR at 55%, these are the headline numbers.
Important to point out and I will talk a little bit more about this later, these numbers are now on EAD basis. So, till last quarter, we have been reporting them on principal outstanding basis . Reason, clearly, of course the numerator denominator both were on principal outstanding basis now both are on EAD basis so difference is minimal. But there is a differenc e, there will be a difference , no need to get confused. We didn't want to change suddenly the method of reporting of this, in the middle of a plan period. Now that the new plan is starting, we are starting with the method of reporting which is fully in line with IndAS.
Many of you had asked us the question that your GS3 number look different in the financial results and in the investor PPT. From now on, it is all going to be absolutely uniform. So, there is no need to get confused , it is just a one-time adjustment. And what we have done is, last year's numbers also we have adjusted based on this.

OTR :
I would like to give a little more explanat ion about our OTR book here. OTR book now stands at close to Rs. 2,000 Cr from about Rs. 3,000 Cr just a quarter back. And what is this big reduction of Rs. 1,000 Cr, we need to explain. Naturally, if you consider the timings of OTR especially in assets like Micro Loans, Two-Wheelers, you remember that there was a six-month moratorium given. So, most of the billing actually started somewhere between the 1st Quarter to April etc. Now, when that happens and if collections don't happen and we had done a lot of, some of the collections had actually come in advance. And that reflects in the numbers. But whatever has to roll forward will roll forward either in Q1FY23 or in Q2FY23 . And with this, at least on these products, this OTR stuff will be over for once and for all. What will remain after Q2FY23 is largely the HL book, where the moratorium was given up to two years. But this obviously is a very secured book and fol

lows a very different kind of equation.
So, let me just talk about the numbers. The total reduction of Rs. 1,021 Cr include about Rs. 548 Cr that is more than 50% which is closed now. Rs. 205 Cr written -off and Rs. 268 Cr have rolled over to GS3. So, basically written -off + GS3, if you can consider the whole thing as GS3, it adds up to Rs. 473 Cr, on which a credit cost of Rs. 464 Cr have been taken. Now, why this, in the Micro Loans and Two-Wheeler portfolio which was written -off

or rolled forward we have taken a 100% provision. Simple logic that while doing the OTR these were already DPD accounts 30 or 60 DPD. Now that they have again become 90 DPD, in effect they are between 150 to 180 days. And we believe it is appropriate that after OTR also if the customer has not repaid, it is good to do 100% provisioning.

A very small part of HL portfolio also rolled forward which is provided not 100% but accordingly, because it is a very well secured portfolio, LTVs of around 75% to 80%. But still, you will see Rs. 464 Cr against Rs. 473 Cr, a large part has been provided. Important part is out of these Rs. 464 Cr, there were some question s coming from analysts, so, I am going into depth. Out of this Rs. 464 Cr, Rs. 213 Cr have been used from the management overlays. So, just for reminder, we had about Rs. 1700 Cr of management overlays at the beginning of the quarter, out of which Rs. 213 Cr have been used and Rs. 251 Cr have actually been used from the P&L making up the total credit cost of Rs. 795 Cr.
So, in a way if you see that out of this Rs. 795 Cr, if we would have used this Rs. 251 Cr, which has hit the P&L, we could have used the management overlays for that itself, the credit costs would have been around Rs. 540 Cr, which we believe can be taken as a sort of steady state credit cost because I said that most of the OTR especially Micro Loans and Two-Wheelers which are more vulnerable OTRs they will be over by Q2FY23. Now within Q2FY23, how much we will take out of management overlays? How much we will hit P&L? etc. our models and Board will decide it, what to take, but largely from Q3FY23 onwards, credit cost will be more on the steady state basis and hopefully continuously reducing as a percentage of the book. So, we will come largely out of, we are ideally already out of the woods, but even this OTR stuff will be over by Q2FY23 and after that we will move to more normalized credit cost.
What gives us the confidence is that against this Rs. 2,000 Cr we continue to carry additional provision of Rs. 1,450 Cr in addition to the GS3 and ECL provisions on standard asset. So, this in our opinion more than takes care of any further OTR loans rolling forward in Q2FY23, because out of this Rs. 2,000 Cr now, almost Rs. 1,000 crores, Rs. 900 to Rs. 1000 crores are HL. So, large part being HL, we believe that we are not only well provided, we should be able to at the end of the year also maybe still carry some overlay provisions, which we always believe that it is important to carry some as we go ahead . As we become more and more Retail it is important to carry some provisions as we go ahead.
So, I hope this clarifies. In our opinion the OTR book has moved well. We have collected good amounts . Whatever has flown forward, doesn't remain hanging, it is provided or written -off. We are just getting this over with and by Q3FY23 we expect return to complete normalcy as far as credit cost is concerned. So, that's very clearly the outloo k I would like to give. And at the end of all this, even aft

er this, the total credit cost was 12% less than last
year. And with that the profit after tax for the quarter is Rs. 262 crores which is up 47% from last year.

Let me now deep dive into these headline numbers. Let me first talk about what I am most happy about that is Retail disbursements . As I mentioned earlier, we had the highest ever Retail disbursements for the quarter which were up 10% QoQ. Strong business momentum has been backed by tremendous amount of digitalization and leveraging the power of data in addition to our inherent strengths in our top 3 products. Resultantly , the Retail book, grew by 19% YoY and 6% QoQ . And more importantly the Retail mix is now up to almost 54% from 45% last year and 51% last quarter. We very stron gly believe and are confident that by FY23 end it will cross a minimum of 60% just organically. Like last time we said that if we are able to sell off a part of our Real-Estate book or something like that, it can increase more precipitously, but just organically the way Real-Estate book we are collecting and the Retail we are growing this will touch a minimum of 60% by FY23 itself. In fact, you know that our Lakshya target in FY26 is a minimum of 80%. So, all is going well, we are not only dependent here on the environment to carry us but we are using new products, we are using data analytics to drive this engine.
Let me talk about the environment for a minute . As two of our large businesses, which is Rural Business Finance, which was erstwhile Micro Loans, and Farmer Finance, these are rural based. Let me provide you some color on the progression of monsoons and its impact on rural incomes. There is a lot of commentary already there , let me give our house view.
1) The southwest monsoon’s revival in July, after a relatively dry June has led to the areas sown under kharif crops exceeding last year’s level already, for the first time now, in the current planting season. Till abou t a few days back it was negative from last year, it has now moved to positive from last year. On a cumulative basis, the country has now received 353.7 mm rainfall, which is 13% above normal. And it is compared to 5% above normal just a week back. So, it's really catching up. Week ending July 13th was actually the rainiest

week of the season. Now nearly 53% of the country has received normal rainfall. Amongst major agrarian states only Uttar Pradesh is a little worrying which has reported large rainfall deficiency in nearly 29% of the total districts. So, that's a little worrying, but overall, everywhere else rainfall has caught up very nicely.
2) Even more important than rainfall is the reservoir levels . Reservoir levels throughout the country have improved significantly over the previous week and now are up 23% YoY basis. This bodes extremely well for the coming crop season.

3) The third important factor after rainfall and reservo ir levels is the acreage . The kharif crop acreage has already surpassed last year's level with paddy being the only concern due to less rainfall in UP, very clear correspondence there. The Mandi arrivals and prices of major Rabi crops have stayed extremely robust. Many states like Maharashtra, AP, Haryana, Telangana are taking further measures and we believe that cash flows in hands of the farmers are going to be extremely good. And we are quite hopeful of a good season in rural India this year.
According to a study by ICAR , and I am just quoting an external agency, farmer incomes across states have now increased between 125% to 270%, in FY21, compared

to FY17. It’s a little aged data, but it's directionally good.
All this bodes very well for the cash flows and repayment ability of our borrowers, especially in rural India. And this really shows the revival of the rural economy after COVID.
So, now, let me talk busin ess by business:
• Rural Business Finance , which was previously known as Micro Loans and I will just explain that. Our strengths in this segment are slowly coming to fore. Subsequent to the master directions issued by the regulator for Micro Loans, microfinance loans, we very swiftly modified and launched our sourcing digital App. In fact, on 1st of April, we were in the market with the digital app. The need for this App, of course, internal needs of changing of processes, making everything paperless was there. But one most important thing was calculation of household income. Now any of you who would be interested in having site visits, etc., you can call / contact our IR. But I would really invite you to come and see the way this app operates. The calculation of income doesn't happen by asking the people what is your income, but it happens by surrogates. You ask how many cows you have etc. and income is captured . Collection is captured there. The geo-tagging of customers, their route maps are on that app. So it's a really state -of-the-art app. Still developing but already a fantastic app, we would love to demonstrate to any one of you.
The important part is, based on this information gathered in this quarter, it is actually seen and we always sort of knew this, but we didn't have proper data that only about 17% of the new business sourced during the quarter qualifies as microfinance (meaning family income less than three lakhs), which means that remaining 83% is money given to comparatively higher income groups (that is household income more than three lakhs), where lending can happen using very advanced credit metrics, which opens up tremendous opportunities for growth at a very good credit profile and credit costs.
Putting all this now against a run-rate of say about Rs. 1,000 Cr in the second half of last year we are now stabilizing a run-rate of about Rs. 1,200 Cr per month disbursements. This has been undertaken by geo expansion, while continuing to maintain the same stringent credit conditions for the business which bodes well for sustained profitability, asset quality and book growth.
We are now looking for new product launches because as 83% of the disbursements are in a better income profile, new product launches both in secured and unsecured category will happen in this segment. The pilot for the same will be initiated by Q3FY23 maximum.
The book of Rural Business Finance stood at about Rs. 14,400 Cr, up 27% YoY.
• Let me talk about Farmer Finance , which is admittedly still predominantly tractor finance, either new or what we call Kisan Suvidha, which is cross -selling to our existing customers. We have maintained our market share here in this segment and continue to be market leaders , albeit the #2 and #3 have seriously reduced the gap, no doubt, but we continue to be market leaders as of end of June. And in any case, I always say market leadership doesn't depend on whether you are #1 or #2, it depends on whether you make market practices. And we genuinely believ e that we make market practices.

When I last spoke to you, I had mentioned that we are seeing early signs of recovery in the rural segment. This quarter we have financed our highest ever number of tractors which was close to 33,000 units while

continuing to dominate the farm equipment finance business through focus on higher counter shares with preferred dealers. We are now also preparing to pilot launch our warehouse finance business this year, which is in alignment with our Lakshya 2026 goals to move towards a more Consumer focused approach. So, having an excellent farmer database , funding his warehouse finance requirements now will be the next product after new tractor finance and Kisan Suvidha.

• Let me now talk about Urban finance and maybe first time we are talking specifically about Urban finance. There are three products : Two-Wheelers, which is an existing product; Consume r loans, which is mainly a loyalty product as of now, though we have now started doing outside business quite well; and Home Loans / LAP. This total business saw growth of about 138% YoY in disbursements and 15% jump quarter -on-quarter.
1) Talking about Two-Wheelers , it saw an 84% jump in YoY in disbursements but that's okay because last quarter, last year, same quarter was COVID quarter. But this is the highest ever Q1 disbursements that is important with over 1.9 lakh units funded during this quarter, where the emphasis has been on deepening our geo presence. We continue to work on focused OEMs and dealer strategy to maintain our market share .

2) Consumer loans is our first digital native product, which is an entirely digital proposition, no touch sourcing, instant decisioning, end-to-end no touch, no documentation nothing and very close to my heart. We started this business on cross -sell to our existing Two-Wheeler customers . Now from Rs. 400 Cr of disbursement in the whole of FY21 , just less than two years back, we have registered Rs. 1,000 Cr disbursement in Q1FY23 itself.
While maintaining and how safe the book is, we have started giving our early bucket, zero bucket collection efficiencies already and on-time collection efficiencies and you can see where these numbers are. This is absolutely boring well for the moment um of this business. We are now also growing this business by offering products through various partnerships , top-ups, cross-sell of products to these set of customers will further enhance the offering to our customers.
3) Retail housing , this is interesting, this is another business which has the full potential of becom ing a game changer for us. And I have always said that we have not done great in this business till about nine months back. I am truly excited to see this happening slowly now. During the last couple of quarters , focus was quite clearly on rehashing our approach towards this business and getting our market offerings right. I believe we are progressing steadily on this path with disbursement touching Rs. 936 Cr in Q1 as against Rs. 306 Cr last year, same quarter. The business trajectory is having a steady upswing for the last four quarters.
During the waves of pandemic, we had concentrated here mainly on salaried . We have now started picking up disbursement on the SENP (Self-Employed Non-Professional) segment, LAP offering, which will now make this product relatively profitable also. And last time, I had explained also that it is not just for profitability that we do this business, our major growth is also happening through unsecured products like Rural Business Finance, Consumer loans. It is important to grow the secured book for various other purposes for regulatory purposes, for credit rating agencies. If you put this whole basket together, the profit growth is going to be quite good. And that is why we have confidently said that RoAs will reach 3% by the end of the plan period.
Before we move further, I would just

like to share a small update on our SME business where we have completed
our pilot and we will be going for an open market expansion in the next couple of quarters. Pilot was undertaken in just two cities Mumbai and Pune with the aim of delivering a value -added digital proposition. Over the course of the last nine months, we have built a small book, but a strong offering and now we are ready to hit the market running. So, you will see this now, if not so much in Q2FY23 but definitely in Q3FY23 , we will start showing the numbers.

On the collection side, our continued focus on analytics and data driven resourc e allocation techniques over the years ensured that the collection rhythm remained robust across businesses during the quarter. Our collection efficiencies continued to do better than industry peers. And this has been made possible owing to concerted on-field efforts , analytics led prioritization and resource allocation.
Portfolio focus continues towards boosting zero DPD collection and managing early bucket delinquencies. We have actually started reporting now the zero bucket collection efficiencies and we have reported it for the past almost 15 months, product -by-product. This was also your feedback and we have started reporting. And I believe that NPA control is very important no doubt, but much more important is the zero bucket collecti ons. It happens at the minimum cost, mostly hopefully at zero cost and that avoids the headaches for the collection team as it goes ahead.
So, I will not repeat the collection efficiencies in all the products , it is very clearly given in the presentation. But I can only say that all of them - on due date collections are back to pre-COVID levels and in some products actually better than pre-COVID levels. So, we are doing well there, which bodes well and which also gives us the confidence to give you confident statements like Q3FY23 onwards credit cost will be normalized and reducing etc.
• On Wholesale finance , in line with Lakshya 2026 , let me just remind you, we had said two things :
1) In the Real-Estate portfolio we have stopped disbursing anything new. We are concentrating on completing projects and repayments and if possible, we will look at some structures where we will be able to sell off a large part of the portfolio. We have not been able to do at least this quarter but early days, but we have been able to get good repayments from projects, closed some projects and get good repayments. So, that part has worked. The inorganic part has not worked, let me say so.
2) On the Infra side, we also said that we are running our normal capital light model. But we may also look for some partners in this platform. This platform is very valuable. That process is also on. One quarter is too early for anything to happen there. But we will report to you as we go ahead.

In the meanwhile , Wholesale book disbursements was muted at Rs. 1,522 Cr as we are maintaining capital light model. And the Wholesale book registered a reduction of close to Rs. 6,000 Cr, a degrowth of 13% YoY. In the Real-Estate especially, we continue to stay away from looking at any new projects and continue to concentrate on existing projects and collections with the objective of exposure reduction. We are quite happy that the expert execution of the strategy resulted in a reduction of the RE book by Rs. 2,563 Cr YoY and by

Rs. 1,400 Cr QoQ . Now, we have also given at some point of time numbers like Rs. 4,000 Cr that we have collected. So, now, why book has not reduced by that much and only by R

s. 2,500 Cr. Naturally , Rs. 1,400
Cr here and there had to be spent in comp leting those projects. So, it's a little bit of disbursement for completing those projects and then collection and then this is the net reduction. But it is going well now, i.e., this book is already less than Rs. 10,000 Cr, it's Rs. 9,800 Cr or something like that.

• On Investment Management , last but not the least, market was negative , both debt market and equity market, but still our Q1FY23 AUM has average d a little bit above Rs. 70,000 Cr now. The transaction is going on well. The integration efforts are going on well. We are waiting for the last regulatory approvals and hoping to conclude that transaction in Q3FY23 .

So, that compl etes comments on business . Liabilities, as I said WAC (Weighted Average Cost) all time low, very clearly based on our ability to raise long term and medium -term funds last year. And the point to highlight is even in Q1FY23 , we raised long term funds of close to Rs. 1,100 Cr while keeping the average CP proportion at just around 11%. Now, this holds us in good stead going ahead , as growth happens, we can actually fund it. And growth is majorly happening in Retail which will be shorter term. We can raise shorter term resources , we can increase CP proportions and we are quite sure that our cost of funds hence , will definitely rise no doubt , but rise much lower than the market cost of funds.

NIMs plus fees also will be maintained because of our ability to pass on the increase . This NIMs plus fees may reduce , I think , by the end of Q4FY23. I may guide maybe a maximum up to 8% will be the reduction. We don't see NIMs plus fees falling much lower than 8% by the end of the year, which is 8.23% now.
One more fact is that our ex "IDF", got the NBFC -ICC license. We were able to transfer some of the assets from L&T Finance to that entity , thus reducing the negative carry. So, you would see now reduction of the liquid cash that we are carrying and hence a good reduction in negative carry which will also reduce the cost of funds as we go ahead.
Asset qualit y:
GS3 stood at 4.08% and NS3 at 1.87% which is an improvement YoY, fairly steady QoQ . I have already given explanation that these are on EAD basis. So, please don't try to compare it with the number in the last investor presentation. We have given past numbers . Anybody who wants any other past numbers for any other quarters etc., IR will try and give it to you. Just any clarifications if you need, you can ask on this call or to IR, this is quite clear and from now on, it will be on the EAD basis. Capital adequacy , quite adequate at 23.12 %. In fact, quite high, as we grow , we believe that it should trend downwards and hence will be good for RoEs as we go ahead.

So, in summary, PAT, up to Rs. 262 Cr, up 47% YoY on the back of increase in income and reduction in credit cost and we believe that this trend will continue well and will accelerate from Q3FY23 onwards. Hopefully, by FY24 we will be at profitability levels which we have been more used to before the nightmare of COVID and everything started. So, that's where we are moving.
Having spoken about this quarter now, I know I have spoken perhaps a bit too much . I thought 1st quarter of Lakshya , maybe I was also a little bit more excited. But let me give you a brief about the progress of Lakshya 2026 plan. Early days, just first quarter, but still, I would like to talk a little bit more.
If you remember, there were four pillars of the plan:
1) Sustained profit and growth engine :
Now, as a part of

creating a sustained profit and growth engine, we have unveiled a new organization structure which is totally customer centric. So, in Retail we have two businesses, which are Rural and two businesses, which are Urban. Rural Business, which is now the Rural Business Finance vertical takes care of small businesses within rural which were erstwhile Micro Loans. This will not be limited to the current product suite, but as I said, we will keep adding new secured and unsecured products to the basket like Rural individual loan. Farmer Finance vertical will now offer not only farm equipment loans, but also warehouse finance and other agri-allied loans. Coming to Urban, for urban consumers, our present offerings are Two-Wheelers, CL, HL / LAP. In Two-Wheeler , of course, we are in the top 5 but CL and HL / LAP are getting well established, additional volumes are being targeted and geo expan sion also being targeted, cross -sell is being targeted. So, this is how we will grow our urban finance.
And then there is urban small businesses, which is SME, where we are babies. Lots of disadvantage of being babies, but a big advantage :
i) The market is large, huge, there is business to be done.
ii) We have learnt from people's mistakes, launching state -of-art digital products to start with. And hopefully, we will make a mark on the market in the couple of years going ahead.
So, these are the four verticals . Out of these four retail lending verticals, three are headed by Chief Executives who are our internal talents. So, three of them, we were able to find people from inside (internal talents). And for urban finance, we have hired a top talent from one of the leading private sector banks in mortgages. So, very

clearly the business organization in Retail is now well in place , one level below them, the regional structure, zonal structure is well in place. Four strong Chief Executives, looking after each of these businesses, running almost like separate companies with common functions like HR, finance, audit, risk, etc. So, that's the way the organization has been realigned. In addition to the realignme nt of the organization, we continue to work on building major strengths across businesses including deepening of geo network and data mining for cross -sell.

2) Demonstrable strengths in risk Management

On the risk side, we continue to build strengths in risk management and our sustained collection performance across products, which is well above industry performance is a testament to this strong portfolio. And we are actually looking at how New Age risk management practices can be more and more adopted.

On the digital side, as we build digital channel for expansion, we are also focusing to upgrade our information security management systems. Our systems are now ISO 27000 compliant and we will continue to build strength s against possible cyber threats.

3) Creating the Fintech @ Scale

Third pillar of Fintech @ Scale, which involves two distinct vectors: i) Expansion of digital channels and ii) Leveraging of customer data for cross -sell.

During the last quarter, 50% of our disbursemen ts in Rural Business Finance, and 25% of disbursement in Farmer Finance were based on cross -sell. The company is actively working towards monetization of its 7 crores plus customer database, including existing , co-borrowers and past borrowers etc. enhance this cross -sell reach.

In terms of digital channel expansion, I will now talk about two initiatives , which I have talked a little bit about three months

back, but I will give you the progress.

1) Our Planet app, our customer facing app was soft launched in Q4FY22 and within one quarter has shown 2 Lakh downl oads. The application which currently provides onboarding and servicing option for customers is available both on App Store and Play Store. This App, which will provide us with geo agnostic servicing and sourcing channel , is trending quite well.

2) WhatsApp for business that’s the second one. I had unveiled and showed you the WhatsApp bot, which was for servicing. We have now expanded that and the WhatsApp channel is now open to Consumer loans customers for booking loans. People can apply for loans anywhere between Rs. 50,000 to Rs. 5 Lakhs there and we are maintaining a complete end-to-end turnaround time of 15 minutes for that (credit to your account within 15 minutes). So, these two developments.

I would like to talk a little bit on the servicing side. Just one year back, our servicing pyramid was branch heavy with 51% requests coming in branches and which is a disaster . I mean obviously with 1600 microfinance touchpoints more than 200 branches; it is impossible to train and retain service executives to give uniform service. We have now inverted this pyramid and have already become a very digital channel or self-help channel heavy (almost 58% of requests were serviced through the digital channels by June ’22 and only 21% now are coming from branches ; and we will try and reduce it further). So, both on sales side and servicing side, digital initiatives are working well.

4) Sustainable future growth through ESG

ESG initiatives which is the fourth pillar, within that we have published our first integrated report for FY22 , which is in compliance with reporting for all essential indicators under BRSR. It is audited by an external agency and we have published it one year in advance of its applicability.

Our water neutrality status has been assured by independent assurance provider and we have adopted 22 sustainability targets for FY23. We have achieved water neutrality in FY22 and will aim to be water positive in FY23. More importantly, a small sustainability linked loan also has been raised, very small, no doubt , just Rs. 200 Cr where the interest rate is low and will keep reducing as we achieve more ESG targets. And as in FY23, we have taken a target for a higher amount of raising this. So, ESG is great for the planet, great for environment, but we believe it will also be good for business and hence very sustainable in the organization.

So, that's about it. I will just say that the initiatives we have taken in the quarter are just a few early deliveries of the plethora of projects going on, to become a strong Retail finance company. I am sure as quarters go by, we will be able to show you enhanced performance and unveil further projects and consumer offerings that we have in pipeline.

So, as far as financial performance goes, Q1FY23 has been extremely good for disbursement, collection, credit cost and profitability. But we humbly acknowledge that this is just one quarter out of 16 quarters included in the Lakshya 2026 Plan, so “one swallow doesn't make a spring ”. But we definitely believe that it signifies a good beginning towards our Lakshya goals of 80% Retail book ; 25% CAGR of Retail book ; NS3 of less than 1% and RoA between 2.8% to 3%.

Thanks a lot. I realize that I have spoken quite a lot, 45 minutes. I apologize for that. But hopefully I have already answered some of your questions. We are open to questions. Thank you.

Moderator :
Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Rikin Shah from Credit Suisse . Please go ahead.

Rikin Shah :
I have four questions. Firstly, led by the disbursements, we noticed that NIMs plus fees is at 8.2 3%. But if we look at the yields in the Retail portfolio, they have come off by 50 basis points and as you scale up your Home Loan / LAP business, how should one think about them directionally. Of course, the fee income has also gone up. So, could you talk a bit more about any incremental fee that you are seeing from the cross -sell opportunities, that's the first one. Second one is on the acquired portfolio. Could you throw some light on the natu re of acquisition of the portfolio? What kind of loans have been acquired? And the plans about how big this can get? Thirdly , on the restructured book of the remaining Rs. 2 ,000 Cr, Rs. 1 ,000 Cr you did mention are pertaining to Retail home loans. What wou ld be the split between the remaining Rs. 1 ,000 Cr? And what would be the overall provision coverage on the Rs. 2 ,000 Cr restructured book? And the last question is relating to the news reports of selling of certain loan accounts of Rs. 1,500 Cr to an ARC. What would be the recoveries and any potential write downs or write backs if at all that would happen? These are the four questions .
Dinanath Dubhashi :
So, retail yields number one, I will answer you strategically as well as tactically. Tactically, some of the reduction that you see is when the OTR book flows to GS3 or is written -off, the income is taken out (derecognized from zero DPD onwards). So, in the quarter that it happens, it goes not from the credit cost line, it goes from the income line. So, as I said, in Q1 and Q2, this all will be over. And after that, things will come back to normal. So, this small reduction, don't read too much in to it. In fact, you know, I already said that NIMs may contract a little bit, that is not so much because of HL / LAP, because HL / LAP will grow. But the other products are also growing right. NIMs will mainly contract, because our major product is the Ru ral Business Finance, in which we charge 24%. Now, even if the cost of funds goes up a little bit, if it goes up by say 50 basis points or 60 basis points, we are not going to increase that 24% to 24.5%. So, very clearly, we believe that 24% is a good, fai r rate for those customers, and we will clearly keep it there. So, this was tactical part. S trategic, in our product mix, we will make sure that our NIMs plus fees is maintain ed at a decent level. I said this year we don't expect it to come down below 8%. And that too, you know, I am also taking into account mutual fund going out in the last quarter. So, some fees will go out from there, even then we are confident around 8%. I mean if it becomes 7.9 % don't hang me, but that 's the indication , it's around tha t, it will grow.
Also, sometimes tactically, when competition toughens up you do tactically take some reductions – 10 basis points, 25 basis points to maintain your position in some market s. So, it 's a mix of all these things. If I were you, I wouldn 't read, there is no directional reading in that. We will be able to maintain overall Retail yields quite healthy , so th at you can take from me.
The second question OTR, okay, OTR what remains as I told you close to Rs. 1 ,000 Cr is HL / LAP, around 75% of the rest is Micro Loans. And this whole thing what is remaining in Micro Loans will be over in Q2 FY23 . So, either we will collect a lot or whatever doesn 't get collected will flow and we will either provide it 100% or write it off. As you kn ow, against these Rs. 2 ,000 Cr, one Rs. 240 Cr is the IL&FS account which is about Rs. 240 Cr which is green even after OTR. So, OTR done but green and that money will come back so that 's not an issue.

So, out of this Rs. 2 ,000 Cr almost Rs. 1 ,800 Cr is Re tail, Rs. 1 ,750 Cr is Retail . Out of the Rs. 1 ,750 Cr, Rs. 1,000 Cr is HL / LAP , Rs. 600 Cr to Rs. 700 Cr is Micro Loans. HL will remain till next year large part of it, but that is secured. So, we expect a large part of that money to be recovered. If it f lows, we will start providing the way our model tells . I think first we provide close to 15% and then keep increasing based on various movements in the portfolio. Micro Loans , now whatever becomes 91 DPD, we will provide 100%. So, that 's very clear. We car ry adequate provisions in that.
So, you talked about OTR provision so, now , I will be technically right . OTR provision will always be only 10%, because RBI asks 10% to be provided, but what we have done is , I have other provisions as management overlays. A nd as you know Rs. 1 ,400 Cr (management overlays) are being carried today against almost Rs. 1 ,750 Cr of Retail (OTR book) out of which close to Rs. 1 ,000 Cr is HL / LAP (OTR book) . So, it is not going to require. So, if you see, let 's say worst case scenario, say a 60%, 70%, 80% of Micro Loans roll forward. We are more than adequately covered. So, we are very sanguine on that. And most importantly, this will be over by Q2 FY23 . So, after Q3 FY23 , other than Home Loans no OTR would be remaining, that was the second question.
Small a cquired portfolio, we had mentioned last time that we are targeting say around Rs. 1,000 Cr or so in this year, of acquiring portfolios from other good NBFCs or sometimes some Fintech s. We of course go and examine this portfoli o, but there is enough overcollateralization that we buy it . Very small transactions have happened till now and t here is significant amount of credit enhancement on both these transactions. It is largely done not as a big strategy, but you know that we are also required to use our capital in Retail. So, just as an experiment in the first year, close to Rs. 1,000 Cr, we will do excellent NBFCs, good credit enhancements. And we will see then how it works and how it moves. And it's entirely Retail, of course. It's entirely Retail I will tell you part is Two - Wheelers; part is Personal loans.
ARC is, you know, there are assets which are NPA (Wholesale assets) and in reducing Wholesale portfolio

sometimes we do that. This time out of that number you mentioned, some Rs. 1,000 Cr or so, a large part is a completed commercial park . Let me not tell you the city then otherwise I will be just almost accurate in sayin g this, it is a completed commercial park. There are some difficulties in selling it on a timely basis and getting the money back immediately. But it is completed and a few more moments, it will be done. Well provided, we always provide first, sell it at t he carrying cost after the provision. And hence any immediate reduction in value is unlikely. We have sold some in the past also, as these are examined by external credit rating agency, external valuers, it is valued , we keep taking those costs, and it is a part of our credit cost that you see.

Moderator:
Thank you. The next question is from the line of Rahul from Goldman Sachs. Please go ahead .

Rahul :
Just two questions, number one on the provisioning, of course, we did appreciate that you have taken some extra provisioning this quarter. But given that you already are having a large macroprudential provisions, and of course, the credit environment seems to have gotten better with collection efficiency improving across the board , why are we sort o f still onboarding or maybe making an additional provision, what exactly is the philosophy? And I did hear your remark to the previous question about the OTR almost getting provided for maybe in the next quarter or so. But just a bit perplexed why do we so

rt of keep making these extra provisions, when do we normalize --?
Dinanath Dubhashi:
So, technically, we have not made any more provisions. In fact, Rs. 1 ,700 Cr has reduced to around Rs. 1 ,400 Cr, right. So, we have actually utilized. I believe what you meant was why this entire Rs. 473 Cr was not taken out of those management overlays, and why P&L was hit at all, right , that is your question ? It's a matter of two things : 1) the Board and 2) the Management . One needs to be confident, when we release this . That is meant for the rainy day. We will keep reducing this management overlays as we go ahead, no doubt.
Also, remember always that it is , the way we started making these macroprudential provision, we all tend to forget this, we started making these macroprudential provisions well before COVID hit, as a good practice in business,

because as Retail increases , as sort of unsecured loans in the balance sheet increases, it is good to carry a buffer so that we don't hit P&L with shocks anytime. It is , basically can be called countercyclical provisions as well. Now, it's a call that the Board will take that out of the Rs. 1 ,700 Cr, whether we can u se the whole thing, and the P&L will look fantastic this year itself, naturally, right? I mean, very simple, you do a simple calculation that we have reported Rs. 262 Cr. If you take out, if this Rs. 251 Cr, right, Rs. 251 Cr, would have been taken out of these reserves and not hit the P&L, profit would have gone up by 75% of that Rs. 251 Cr. So, it would have been close to Rs. 450 Cr or Rs. 425 Cr or something like that, technically, right. So, it would have been a fantastic number. But perhaps that would have led to and I don't know, I am not clairvoyant , but that would have led to complete depletion of these reserves, by the time this year is over, once all the OTR is over and everything. I believe and we all believe; the Board believes that having built this Rs. 1,700 Cr, we should not utilize all of them, and keep some part of it as countercyclical. And once you know , when the P&L actually returns to very healthy levels, not now, say in two or three years, actually start keeping something aside as countercyclical provisions even after that.
So, it's a measure of conservatism and nothing else. So, we have not created a nything new, there is no intent of creating anything new. Clearly intent is of course using what we have created. The question is, it is a matter of opinion, whether we should use the entire Rs. 1,700 Cr or use a part of that. At this point of time, we bel ieve that in this year, we will use a part of that because HL even though we don't see anything, any big problem because of the security levels, but in HL, OTR will come next year. But even more importantly there we don't expect much losses, more important ly the book has Micro Loans, the book has Consumer loans, it is good to carry countercyclical reserves always, that's our opinion and a substantial part of this remaining Rs. 1,400 Cr, we will carry forward next year also. The important part to remember is all this will get over in Q2, and Q3 onwards the credit cost that you see are clearly normalized credit cost.

Rahul :
Just one more follow -on with regards to this and plus the capital gains that you will get from the AMC sale to HSBC. What do we intend to do with that gains and have you thought about it? Will that be used for again some provisioning or will it be passed on to the shareholders, how do you plan to use that?
Dinanath Dubhashi:
Above my paygrade, buddy, to answer this, because call w ill be taken at the Board level. But it will be a mix of all those things, we would believe that we will look at , subject to regulations etc., we will look at passing on some of those gains

to shareholders, certainly. Some of them we may keep as reserves for the future, because we are looking at reducing strongly our Real -Estate book. So, maybe for that effort, we wi ll keep some.
So, it will, in some type of macroprudential, not for specific projects, we may keep some. So, really the call will be taken in Q3. I must also say on the positive side, there are some opportunities opening up for acquisitions . With

valuation s coming to decent level there are opportunities opening up, good portfolios, good companies for acquisition. You know, we have been very conservative, we will not do anything silly, but if a good opportunity comes th e capital will also be used for that (acquisitions , if any).

Rahul :
Just one last question, in terms of the normalized levels of loan book, of course, you are paring down the Real - Estate portfolio etc. and so Wholesale is becoming or has always been capital light kind of model, you have followed. When do we start seeing the normalized levels of loan book in the next few quarters? And by when do you inten d --?

Dinanath Dubhashi:
Growth in overall books, I think FY24 onwards, you will start seeing a growth in overall book. But, this year, my suggestion is to concentrate on the growth in Retail book, because it is, while the overall book is not growing, the

composition is changing t remendously and which will lead to increased profitability, definitely. But whatever we are doing with the Real -Estate book etc., large amount of reduction will happen this year. And growth in overall, I mean, we are expecting Real -Estate book to even come down by 50% from here, during this year, so growth in overall book perhaps from FY24. And now you are seeing that even the old defocus ed book is down to just about Rs. 400 Cr or less than Rs. 500 Cr. So, all those things are over, and the Retail growth wi ll take over. It's just arithmetic, it’s a matter of time.

Rahul :
So, this year R oAs will improve and next year, the growth etc. will improve. So, leverage --
Dinanath Dubhashi:
We definitely believe, yes. And R oAs will keep improving.

Moderator:
Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead .

Abhijit Tibrewal :
Firstly, on the Rural Business Finance, I think during your opening remarks as well as in the press release, you have sha red just about 17% of the disbursements in the quarter qualified for microfinance as per new RBI guidelines. Just wanted to understand, I mean, what was the mix like before these guidelines, basically were we largely present in the customer segments where the household income was greater than three lakhs, I mean what was the mix like before that?
Why I am trying to kind of understand this is, I mean despite having exposure to customers where the household income is greater than three lakhs and like you suggested, better credit quality customers. Despite that, I mean, we have seen significantly high OTRs and credit costs, in the Rural Business Finance.
Dinanath Dubhashi:
OTR happened before the latest Microfinance guidelines came, right. So, we were not measuring household income before that, hence I won't be able to answer your question. That time even individual income was not being measured by anybody. That requirement was not there. It was a declaration taken th at individual income is less than or more than Rs. 1.5 lakh s.
Our customers , we believe d their individual income was always more than Rs. 1.5 lakhs and that's why you remember we changed the positioning from micro finance to Micro Loans, because we were no t sure that our customers ’ individual income is less than Rs. 1.5 lakh s. So, we didn't want to take any regulatory risk by calling it micro finance and we will not able to prove th

at these are qualifying assets to RBI. So, we were just safe there.
The fami ly income of three lakhs has started measuring only from 1st April onwards. So, it may not be right to compare how much OTR etc. And after all, again, when the government was allowing OTR as a right to every citizen of the country either way it was not tha t much of a choice . If somebody asked for OTR largely, unless and until that person is proven to be a defaulter everywhere you had to give OTR.
So, with people asking like that, what total microfinance, OTR we had done was Rs. 900 Cr or so. On a portfolio of close to Rs. 12,000 Cr to Rs. 13,000 Cr even that was not out of line at all with the industry, in fact, much better than the industry.
So, two different, your question had two parts, I have tried to answer it this way. But don't link this three lakhs and more than three lakhs to OTR, because they were not happening at the same time. OTR happened last year, measurement of family income has started from 1st April. That is why, even if you see in our Investor presentation, this differentiation betwe en micro finance and rural business loan we have given only in disbursement, not in book, because we don’t have the book data with us.

Abhijit Tibrewal :
Second question I have is, I mean, I think during your opening remarks and a couple of participants i n the call, I know you suggested that you expect credit costs to normalize from Q3 onwards. And somewhere I think I mean, I heard that we expect steady state credit costs, what we saw during this quarter, which is about Rs. 500 Cr to Rs. 550 Cr on a quarte rly basis. So, --.
Dinanath Dubhashi:
What I said was a little different, I said this OTR will be over by Q2 FY23 and hence normalized credit cost will be there from Q3 FY23 , right. Rs. 550 Cr this year, I just clarified that out of Rs. 795 Cr, Rs. 251 Cr is OTR related and thus normalized credit cost for this quarter is Rs. 550 Cr. That doesn't mean Q3 FY23 onwards it will be Rs. 550 Cr, we actually hope that it will be lower, but still, you ca n model it based on your assumptions , I cannot provide forward projections for Q3FY23 credit cost .

Abhijit Tibrewal :
And lastly, I mean this Retail business that you are building and even under Lakshya , that we kind of plan to take it to 80% by FY26, what is the steady state credit cost that you are expecting from this business?
Dinanath Dubhashi:
Yeah, it will be product wise depending on product mix. You want to work on your models, any help you need you contact IR. I think that it is suffice to say that we are looking at R oAs of 3% in four years, very steadily increasing. So, as Rahul summarized it very beautifully, R oAs will go up this year. Next year onwards growth will also come and R oA will also g row, thus increasing R oEs. So, R oA should reach about 3% by FY26. Steady state credit cost etc. will differ product wise. You will have your own judgment of how each product will grow, but any thoughts you want to reflect, you can talk to our IR . You are w elcome .

Abhijit Tibrewal :
And lastly data keeping question what is the Gross Stage 3 and Net Stage 3 in your Real -Estate Wholesale book and in the Infrastructure finance business?
Dinanath Dubhashi:
We have given Wholesale separately right ? Overall Retail and overall Wholesale we have given. But, okay to tell you there is no major difference . Real-Estate , one big NPA which we have already told. So, that Rs. 1,300 Cr you remove and you actually see that hardly any NPAs after that. Last year we already said one big NPA in Real - Estate.

Abhijit Tibrewal :
And this media article, which was there about the sale to Phoenix ARC, is it already kind of reflecting in the numbe rs that you have reported or will it reflect in the next quar

ter ?
Dinanath Dubhashi:
I don’t know about the media article, but I clarified in the question previously, that it is yes, it is reflecting in the numbers . The media article may have some numbers, which I don't remember, but the actual number is Rs. 1 ,000 Cr something, Rs. 1,052 Cr to be precise .

Moderator :
Thank you. Next question is from the line of Kunal Shah from ICICI Securities. Please go ahead.
Kunal Shah :
Firstly, in terms of if you can just broadly explain this Rs. 750 Cr of Micro Loans, which are there in restructure d, if you can give some flavor in terms of how much are paying, how much are part paying? And how is the behavior

currently just to gauge in terms of how much could really slip and what can get into 91 plus DPD? So, maybe that would be helpful in terms of the trend because this time there was something which has flown in, so maybe that would be helpful if we can just give the behavior of that p articular portfolio.
Dinanath Dubhashi:
In fact, what I will rather do is that, it has reduced by ~Rs. 300 Cr, from March to June, the OTR. I will give you a breakup of that. Will that give the trend ? In March --

Kunal Shah :
Rs. 300 Cr ?
Dinanath Dubhashi:
March to June, Micro Loans, OTR has reduced by ~Rs. 300 Cr. Out of which around, I would say 75% was movement to GS3 and 25% was resolved and closed . 75% moved to GS3 out of the Rs. 300 Cr, that we provided for. So, even if the same trend -- we believe that the trend should be better because more collections are happening, but even if the same trend continues that is what I said in my remarks, we are well and properly covered for that through our macro prudential.

Kunal Shah :

Rs. 75 Cr or something which was recovered from March to June, and maybe Rs. 225 Cr or whatever actually slipped into GS3 from Micro Loans.
Dinanath Dubhashi:
But let's say 70% to 75% moved and the rest was recovered --.

Kunal Shah :
So, broadly then and maybe you said whatever would be 91 DPD, we will write it off and provide it entirely so, that would be the stance in Q 2FY23 .
Dinanath Dubhashi:
Write -off is more a tax related decision, but to provide certainly, 100%, yeah .

Kunal Shah :
And again, in terms of the inorganic opportunity and capital allocation, if you can just highlight that in terms of what is the extent of capital allocation, which we can look towards the inorganic opportunity, something if it is there in the mind and particular areas of your maybe the product segments where we would tend to prioritize it, no doubt that there would be various opportunities across th e product segments.
Dinanath Dubhashi:
I can't answer this on the call or anywhere. Opportunities keep coming, we will have a look at it and the Board will take a call, but the most important thing, there is a saying in Marathi "vo paisa aane ke pehle ginna nahi chahiye." (translating to 'don't count your money before it is actually received ') So, there is money still to come, still in Q3FY23 , there is a SEBI permission which is required . I can't take all these things for granted. So, hopefully, all that is clarified .

Kunal Shah :

But overall, in terms of capital allocation, would there be anything which will be towards the inorganic opportunity given that book would be running down?
Dinanath Dubhashi:
So, book running down ? No, I mean very simply Retail book is growing. So, there is no question of book running down. Retail book is growing rapidly, 25% CAGR is what we are planning . I mean you can't say it as running down. So, book is growing continuously. Wholesale is reducing, especially Real -Estate will reduce.
If we

are able to sell m ajority in the Infra platform, if that happens, then yes, then the overall Wholesale book will reduce precipitously . At least , if you own less than 50% th en it won't be consolidated. At that point of time, of course, we will have to think of acquisitions more seriously, perhaps. I am using the word 'seriously' not 'aggressively' because we never look at acquisitions aggressively. But it is all still to happen, first mutual fund money has to come. Then we have to reach some level of discussion success, at least in getting a partner in the Infra business.
So, at this point of time, if I go to the Board, they will say, at least show me an opportunity, at least show me the money. Why are you having these kinds of plans? But what I am saying right n ow is simple small portfolio wise, is what we will do on a very trial basis. We have put up a small budget of about Rs. 1,000 Cr for this year. We may do a little less than that, little more than that, perhaps, but do that portfolio -wise, for which it is n ot a big opportunity for which I need to be sure of everything, go to the Board etc. So, that will happen. Any large opportunities ? Rather than the question of the opportunity , more importantly it is the question of the value. So, too early to answer that question.
Capital allocation, organic capital allocation very clear, increasing to Retail, going to minimum 80%. And if we can reduce Real -Estate more precipitously and get a majority partner in the Infra platform, even more than 80%, so that will be the c apital allocation .

Kunal Shah :
And lastly, in terms of fee income, so the sequential jump and the overall jump, which has been there. So, obviously, some would be volume related, wherein there was almost like 10% sequential increases as well in the disbu rsements, but what would be the other component, because I thought maybe overall, when we look at it in terms of the AMC it would come up a bit. But I think the traction is strong, and do we expect it to sustain over the period, maybe Rs. 200 Cr odd fee an d other income in Retail finance --
Dinanath Dubhashi:
Certainly, expected to, it is very much business related . Certainly, expected to sustain. It is also cross -selling related. The protection products that we sell, it protects our portfolio also. So, that's working extremely well. And it will keep coming on , directly linked to business. In fact, we used to get the other income , we used to keep here, the interest earned on surpluses was a part of this. Now, those surpluses are coming down, but in spite of that, this portion has gone up. So, it is directly business related. As I said, if mutual fund transaction happens in Q3, then Q4 the mutual fund part will go out, that's all, but capital will come in. So, it's more arithmetic there. But trend

of Retail fees, excellent .

Moderator:
Thank you. The next question is from the line of Nischint Chawathe from Kotak Securities. Please go ahead .

Nischint Chawathe :
Just one clarification, this defocus ed book going down by almost Rs. 1,000 crores odd, this is all recoveries ?
Dinanath Dubhashi:
It is a part of that Rs. 1,000 Cr ARC sale bit, but rest is recover y.

Nischint Chawathe :
On the Consumer loans side if you could give some breakup in terms of how much was cross -sell and how much was sourced from digitally or from third party --?
Dinanath Dubhashi:
In the book, most of it will be cross -selling, the book, almost 90%, I mean, I don't have the precise numbers, IR will give you, but in the book, most of it will be cross -sell, but in disbursements, now cross -sell is I believe around 60%. So, as quarterly disbursements go ahead, cross -sell percentage comes down, and other sources of sourcing through various partners which I have been talking

about, will increase obviously so, first two years we did only
cross -sell that is why the book is majorly cross -sell

Nischint Chawathe :
And how much of this is salaried ?
Dinanath Dubhashi:
I don't have that breakup straightaway available. Can we get back to you?

Nischint Chawathe :
Sure. Perfect.
Dinanath Dubhashi:
See in loyalty you know, the loyalty was on Two -Wheelers, mostly. So, it will be the same proportion . So, almost 50% will be non -salaried in that loyalty, but tested customers. This I am just answering out of common sense , okay. I don't have a precise number with me right now. But since it was Two -Wheeler loyalty, it will be following the same pattern, right .

Nischint Chawathe :
Just on this continuing further, now that you have moved here, the NPA to EAD, does it mean that your interest reversals would be lower and your NII probably will be less volatile?
Dinanath Dubhashi:
No, no, it is only for that NPA reporting that, only for those numbers, accounting was always on EAD basis. So, in P&L, nothing changes. It was only representation of these numbers. We had taken a call not to change the numbers suddenly during the plan period, that’s all. So, if you see actually the published accounts were always on EAD basis. It is only in the Investor presentation that we used to put on the principal basis. So, nothing has changed in accounting. So, nothing will change in profit numbers , NII nothing .

Moderator:
Thank you. The next question is from the line of Sameer Bhise from JM Financial. Please go ahead.

Sameer Bhise :
Just wanted to, coming back to the Consumer finance book, strong improvement in disbursements, some sense on the quality of customer probably which is being onboarded . You said a large part of the existing book is the erstwhile Two -Wheeler customers, but incrementally any sense on what kind of Bureau scores or credit profile are you looking at? And secondly, on SME Finance also, how is the origi nation progressing in terms of strategy? Those are my two questions.
Dinanath Dubhashi:
So, I will just use the word little more carefully, not erstwhile Two -Wheeler customers . There maybe even existing Two-Wheeler customers, but tested Two -Wheeler custom ers, that they have a particular MoB, Month on Book

with us, no bounces. We look at bounces more than what is called, at the end of the month DPD. So, those criteria are used, and because of th at the portfolio quality is excellent.
Now, while we also started sourcing from outside over the last one year, credit matrices, analytics works on many credit matrices, and based on that we give pre -approved offers to various prospects. This portfolio is about, I

would say one year old, continuously we work on that to keep improving the credit metrics. Given the way zero DPD collections are trending, on a Rs. 3,000 Cr portfolio, so it's not a small portfolio. And I am not measuring NPAs because often NPAs come l ater, but even zero DPD is trending which numbers are given in the investor presentation. I would be very happy about the portfolio quality. So, that's your first question.

SME, very clearly our sourcing is on two --, we are in SEP that is self -employed pr ofessionals. We are concentrating mainly on Doctors and Chartered Accountants. And then self -employed, non -professionals which are small units in which we are concentrating on people. So, I don't know the exact number, but whose income, whose top -line and bottom -line, have not gone down by more than a particular percentage during COVID. So, these two are the initial, large level filters that we have. And then of course, there is a black box, a credit black box for saying, for actually choosing the credit, v ery early right now just pilot but the pilot quality very good. We

have sourced till now, about Rs. 130 Cr around. We have one account which is more than zero DPD one account, at this point of time. But I will not be very proud about it, I mean Rs. 130 cro res is what, nothing right, so nothing more to say on that .

Sameer Bhise :

What rates are these being sourced at, lending rates ?

Dinanath Dubhashi:

Around 15% to 16%, something like at this point. SEP is around 13%.

Moderator:

Thank you. The next question is from the line of Shubhranshu Mishra from UBS Group. Please go ahead

Shubhranshu Mishra :

So, the first one is on the Consumer loans that we are targeting . We are saying that we have roughly about 2.5 lakh database, what kind of ticket sizes are we targeting? And again, if it's an urban customer, my thought is that it's a hyper competitive space. So, what kind of Cat -A, Cat -B, Cat -C customer proportion are we planning to put in here, because if it's a Cat -A customer, it's a hyper competi tive space and it is a super pampered customer. That's the first question around the Consumer loans.

The second is, there is a particular line that we are getting about the monetization of 7 crores plus customer database, which includes co -borrowers, prosp ects, etc. So, under the extent regulations can we monetize the database of co -borrower, prospects , etc? I understand we can monetize the customer database, but can we monetize the co -borrowers, prospects etc.

Dinanath Dubhashi:

The meaning of monetize, I hope you understood. Monetize doesn't mean selling the database. Monetize means use the data we have collected for making them offers --. So, there is nothing to stop you from the data you have collected with. And you are not sharing data with anybody. Mo netizing meaning, we are not selling it. So, the word should be leveraging not monetizing, I am sorry, for using that.

We are taking that database, which those people have given to us, putting it through our Data Analytics, and making them pre -approved off ers. And it is up to them whether to take that offer or not. So, nobody is forcing them to.

So, for example, suppose you are a co -borrower , etc to somebody, we have your database , we will actually send you a link, for downloading our App, or we will send you an SMS for clicking and going on to the App. When you

download our App and you log in, then you will be automatically getting a pre -approved offer. That's how it works after taking all stakeholder views into consideration .

Answering your first question, the average ticket size we are not in the BNPL, we are not in the less than Rs. 50,000 category. And you are absolutely right, there are categories either the Rs. 10 lakh s, Rs. 20 lakhs, which is the wealth customers, or the less than 50,000, which is absolutely hyper competitive. We are not there. We are not in BNPL.

We are right now on two things , where we know, the customer end -use, or we know the customer repayment track record. The average tickets are between Rs. 1.5 lakhs to aro und Rs. 2 lakhs, that's the sweet spot. They are either our customers, and hence we go to them with pre -approved offers. Hence, obviously stand a better chance of conversion than a competition. That if you want you going to somebody or you are going on a w ebsite and applying then getting processed then getting the money , we give pre -approved offers, so that's one.

Also increasingly working on being on sites, so educational institutions, we will be on the site. Suppose you tomorrow go and take admission, not you, but your younger brother or whoever takes in Allen or Aakash, either our person will be there, or our software will be there, that the fees which you know they are not cheap anymore, you get funding from us. So, it is competitive. I wouldn't say it i s hyper competitive. Good

players, there are two
or three. I wouldn't take names. And then there are a plethora of Fintech s, and the Fintech s are there one day and not there on another day, depending on the amount of funding they are getting from their fun ders. So, a reasonably good market, good companies have made good portfolios.

More important here is not so much the issue of demand. More important is how you control credit quality? How are your credit matrices? And how you make sure that your portfolio suddenly doesn't deteriorate? So, a lot of concentration is going there. And w e are making sure that that doesn't happen. That's why we are actually calling ourselves Fintech @ Scale that we will do all this but do it in a way that at scale NBFC does. And not only for this, even for SME, there is no dearth of demand, I mean you want to give a SME loan, there will be somebody to take it, right. The important part is, one how your product differentiates from other, the speed with which you give. And more importantly the credit matrices and early bucket collections that you have. Once y ou get all these right, you will build a good portfolio. So, we are hoping to do all that. Hopefully, you will be you know perhaps having more confidence in our abilities in two or three quarters as we build it.

Moderator:
Thank you very much. I now hand the conference over to Mr. Dinanath Dubhashi, for closing comments.

Dinanath Dubhashi:
Oh no, no closing comment . The only thing I would say that 1st quarter of a really exciting 16 quarter plan, I believe we have made a good progress. We will keep showing better and better results every quarter, counting on your confidence I would say, thank you

Moderator:
Thank you very much. On behalf of L&T Finance Holdings Limited, that concludes this conference. Thank you for joining us, you may now disconnect your lines. Thank you.

*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies ,
repet itions in Q &A which would have uninte ntionally crept in, if an y

Call: Oct 2022

October 31, 2022

National Stock Exchange of India Limited Exchange Plaza,
Plot No. C/1, G Block,
Bandra - Kurla Complex, Bandra (East), Mumbai - 400 051. BSE Limited Corporate Relations Department,
1
st Floor, New Trading Ring,
P. J. Towers, Dalal Street,
Mumbai - 400 001.

Symbol: L&TFH Security Code No.: 533519
Kind Attn: Head – Listing Department / Dept of Corporate Communications
Sub: Transcript of investor(s) / analyst(s) meet – Q2FY2023 financial performance and
strategy update.

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing
Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q2FY2023 financial performance and strategy update held
on October 21, 2022.

The above information is also availabl e on the website of the Company i.e.,
www.ltfs.com/investors.html .

We request you to take the aforesaid on records. Thanking you,

Yours faithfully,

For L&T Finance Holdings Limited

Apurva Rathod
Company Secretary and Compliance Officer
Encl: As above

L&T Finance Holdings Limited
Registered Office
Brindavan, Plot No. 177, C.S.T Road
Kalina, Santacruz (East)
Mumbai 400 098, Maharashtra , India
CIN: L67120MH2008PLC181833 T +91 22 6212 5000
F +91 22 6212 5553
E igrc@ltfs.com E) L&T Financial Services
www.ltfs.com

L&T Finance Holdings Ltd.
Q2 FY23 Earnings Call Transcript
October 21, 202 2

Management Personnel :
Mr. Dinanath Dubhashi (Managing Director & C hief Executive Officer)
Mr. Sachinn Joshi (Group Chief Financial Officer)
Mr. Karthik Narayanan (Head – Strategy and Investor Relations) e L&T Finance Holdings

Moderator:
Ladies and gentlemen, good day and welcome to the L&T Finance Holdings Q2 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. We have with us today, Mr. Dinanath Dubhashi - Managing Director & CEO and other members of the senior management team. Before we proceed, as a standard disclaimer, some of the statements made on today's call may be forward looking in n ature and a note to that effect is provided in the Q2 results presentation sent out to all of you earlier. I would now like to invite Mr. Dinanath Dubhashi to share his thoughts on the company's performance and strategy of the company going forward. Thank you and over to you, sir.

Dinanath Dubhashi:
Thank you. A very good morni ng, ladies and gentlemen and a warm welcome to everybody who is attending this call. A very special quarter for us, we have done extremely well across all business metrics and also well on our way of achieving the milestones which were outlined by us in our Lakshya 26 strategy . In the annual meet that we held in May'22, I had shared with you our strategic plan of Lakshya 26 and its underlying goals . Post that the market scenario has changed considerably, in fact, I can say even drasti cally, whether in the country or even globally and even it is happening as we speak. We are witnessing new inflation highs in different parts of the world, tightening monetary policies, geopolitical conflicts, increasing interest rates, everything.

Amidst all these changing micro variables, I mean there are some very positives also like demand growth in India,

for example, especially in rural is very good. Amidst all these changes, I can proudly say that L&T Financial Services has emerged out quite strong in terms of not only its quarterly performance, but also the direction it has taken towards Lakshya 26. Lakshya 26 in short is about making LTFS a top class 'digitally enabled ' retail finance company. Within this goal, we aim to pivot from a 'product -focused ' organization to a 'customer -focused ' approach by creating a Fintech @ Scale and I believe we are doing it quite well, starting with changing the organization structure which we spoke about in our last call and that has actually brought a lot of focus on various segments and has worked very well.

The last time we had met at the end of Q1 FY23, I had expressed the confidence that as we traverse on the path of this strategic plan, we will show enhanced performance while continuing to improve our offering to our customer s. We demonstrated that in the first quarter and I believe that we have demonstrated it yet again now.

What do we aspire in Lakshya 26? In fact, what do we stand for?
We want to become a top-notch NBFC, catering to rural, urban mass affluent and aspirer segment and to the SME segment. We will do this by using digital and data analyti cs to the hilt for creating a creditworthy pool of customers who can be retained and cross -sold, up-sold various products with the ultimate goal of delivering top class sustainable ROA. That is the ultimate goal. An effective way to achieve this goal is to become Fintech @ Scale and quite a few slides in our investor presentation are dedicated to this.
The foundation for the same has been laid and nurtured over the past 6 years. LTFH has performed, transformed into a significant player and created a Right to Win in its product offerings. Importantly, this has been achieved on the backbone of digitization and tremendous use of data analytics across the product lifecycle. We have also supplemented it by streamlining on our servicing franchise. With the ensuing database that we have created, we initiated to cross sell loans and created a digitally native product Consumer Loans , and in other products we are using this cross -selling for retaining our existing customers and up-selling to them.

Phase 1:

Digitization for us is not a one-time effort, but a constant effort towards process excellence. This forms actually the Phase 1 of our Fintech @ Scale architecture that deals with product, process and service excellence . As a e L&T Finance Holdings

small indicator, servicing handled through self-help channels. Last time, I had shared that 58% of the total servicing happens through self-help channels, the rest was through branch and call centers. Within a quarter, that has increased to 71%, the rest being through branch . And self-help channel, 71% is quite an industry benchmark frankly. Even the best in the industry are around the same level and we hope to improve even further from here as we go towards them.

Phase 2:
Phase 2 as it slowly unfolds , and we are making small beginning through our apps , we look forward to understanding the customer's needs. It is our firm understanding and a firm belief that the customer does not come to us for availing a loan. The loan is a secondary product. He or she comes to purchase an asset or for a particular need . Any need, asset or any other need , whether tractor, two-wheeler, livestock, home, setting up a small business, anything . We would want to weave L&T Finance loan offerings as a seamless p

roposition in this
asset purchase or business process. This means that understanding the customer need is essential to etch ourselves firmly in their minds and we believe that this will enable us to create a suite of offerings by understanding the needs of the customer and thereby creating what we call Fintech @ Scale. This is expected to be facilitated by a deep digital engagement ecosystem built on self-initiated customer journeys.

We have captured it briefly in our investor presentation, the way we are going, we have captured Phase 1 and Phase 2. Phase 1 is something that, I would say, yes, it is always work in process, but we are there and Phase 2 is something which we are making small beginnings . It is in right now conceptualization stage, where we are making some small beginnin gs in the form of Apps and using the IT knowledge available in the group, we are developing something quite exciting and we will be, over the next year or so, we will be unfolding that slowly. Now, allow me to move onto the highlights of the quarter.

• Disbursements
Our strong business momentum , and we had said, we had promised that we will maintain at least 25% CAGR in retail book and we will achieve 80% Retailisation by 2026 and you know that the same time last year, we were around ~43-44%? What have we done this quarter ? We have achieved highest ever quarterly retail disbursements, in fact, quarter after quarter we have been achieving new highs and for the first time retail disbursements are above Rs. 10,000 crores now which is 15% Q-on-Q growth and 84% Y-o-Y growth . Accepting that Q2 last year though was not in the middle of pandemic, but still we were recovering from the pandemic, accepting that, but still 15% Q-on-Q growth also we have achieved. This is special as we have been successfully posting highest ever quarterly retail disbursements, quarter after quarter for the last 3-4 quarters. Another significant achieve ment is our retail book for the first time has crossed Rs. 50,000 crores milestone. It now stands at Rs. 52,000 crores around which is 27% up Y-o-Y and more heartily a 9% Q-on-Q growth which gives us tremendous confidence of achieving the growth targets of Lakshya while keeping the portfolio quality good. We are marching steadily in the direction of Retailisation with now Retail portfolio mix at 58%, as I said up from 47% last year same quarter and 54% last quarter.

• Margins
Margins, in fact, at a time when cost of funds is going up, we have been able to not only maintain, but actually increase our NIMs plus fees to 8.43% from 8.23% last quarter. Now, how has that happened ? Certainly , number one, the WAC increase . I have been always sharing that when the cost of funds was low, we kept the CPs low and kept locking into medium and long-term borrowings at that point of time and that is working well. Our quarterly WAC is up by just 6 basis points from last quarter to 7.33% . And another thing which is working well for us is the mix change. So, yes, we have been able to pass on some increases, no doubt, but more importantly as retail products increase which have higher margins, it is working well for the overall margins. As we go ahead, interest cost will certainly increase, there is no doubt. Through our ALM strategy, we believe that our cost will increase less than proportionately than the e L&T Finance Holdings

market increases in interest rate and by our product mix change and product strengths, we will be able to definitely maintain our NIMs plus fees at very healthy levels.

• Asse

t Quality
As far as asset quality is concerned, GS3 remains just around 4%, it has reduced slightly from Q1 and quite substantially from last year. NS3 now stands at 1.85% and I would like to point out that our retail NS3 now is once again below 1% at 0.88%. So, that is where we are moving. As you know, our Lakshya goal is below 1% NS3 total and by 2026 most of the books will be retail anyway and this retail NS3 being at 0.88% works extremely well for us. Now, last time I had indicated that by Q2 end, the impact of OTR will be largely over for us. So, now, just mathematics, just dates, other than housing which is a secured product all other products where OTR was, the moratorium was 6 months, so 6 months after billing or actually 3 months after the billing starts, everything either would be collected or will become NPA. That has happened in Q2, accounts are largely either collected fully and closed or collected partly and the customers are paying now well or they have become NPAs and have been fully provided or written -off. So, for us, I can confidently state that the impact of OTR on P&L now is largely over. Accounts which have moved to 90+ buckets are fully provided for. We have used about Rs. 422 crores from our management overlays to provide for this, that is one, but more importantly, as an indicator to show that we believe that it is over, from our P&L we have created Rs. 64 crores of management overlays once again. So, it actua lly shows that we believe that the impact of OTR is over and credit costs are now firmly trending downwards. As on September 30th, we carry now Rs. 1,096 crore s of management overlays over and above GS3 ECL provisions standard asset provisions . As you remember that before COVID we had the strategy of slowly creating and building good management overlays. We will continue with that as we go ahead. So, big message here, large effect of OTR is over and what you will see from next time onwards is a more steady state credit cost sort of trending downwards.

• Mutual Fund
Last update before I get into the details will be on Mutual Fund divestment. As you all would have known and read, we had entered into a definitive agreement to sell our mutual fund in December ’21 to HSBC AMC. SEBI has recently given an NOC for the proposed change in control of L&T Investment Management and the merger of schemes. With this, we are on track of closing the transaction in Q3 FY23 itself. As I have always said, capital gains received from the deal will be primarily used for strengthening the balance sheet.

With all this, with excellent growth, with NIMs plus fees at very healthy and increasing level, credit cost reducing, PAT for the quarter at Rs. 406 crores is up healthy 81% Y-o-Y. A more satisfying number for me is retail which is the future of the company, the ROEs now are again close to touching 14% and on the way upwards hopefully.

With this, now we will deep dive into the numbers and try and give some color to it. As far as retail businesses are concerned, I have mentioned earlier that we have registered highest ever retail disbursements. Before I move to the performance of respective businesses, let me discuss with you the broader macro updates and especially rural outlook. As you already know, the business decisions we take at LTFH are greatly influenced by the inputs of our chief economist’s team , in fact many of you receive detailed reports that our Economic s team brings out, on all relevant variables that have decisive influence on rural cash flows ; variables like rainfall penetration, water reservoir status, existing irrigation cover, sowin g status of Kharif and Rabi,

Mandi prices, Mandi arrival, rural
wages, inflationary trends, etc. There are a lot of variables which go into it. It enables us in two things, it enables us what I call to do pinpoint bombing, so we can actually take pin code wise, district wise decisions on which product, where to grow and also it serves as early warning signals for increasing maybe collection effort somewhere, doing some special collection drives somewhere and that works extremely well for us. The broader movement of macro variables in the rural economy , they have to be talked about. The mood around rural outlook is now quite buoyant and early signs show that demand has already perked up in rural India. FMCG companies, e
for example have been witnessing good growing demand across the board in Q2, but more importantly as far as rural cash flows are concerned, elevated crop prices, robust Mandi arrivals have definitely contributed to strong rural cash flows headed by higher export demand and wage growth across most of the regions.

Going forward as well, rural cash flow prospects are expected to further brighten on back of several positive cues such as first, elevated crop prices and crop realizations in upcoming quarters especially for the Rabi crop. As you would already know, government has already declared increased MSPs for the Rabi crop. Overall water storage position across most major reservoirs is very good and the soil moisture has improved substantially. Overall area under Kharif has been good and bright prospects are already seen for Rabi sowing and of course there has been increase in the MNREGA wage rates. At the same time, there are some downsides as well. Rainfall has been uneven and especially in some top states like UP, Bihar, Jharkhand, West Bengal, rainfall has been lower than normal which would lead to lower than expected production of key Kharif crops especially in these states . And as I already said, our analytics takes that into account while looking at our disbursement and collection positions . But more importantly, these are states which are reasonably well covered by irrigation and the water reservoir levels are quite good, late rainfall has been good and everywhere across the country, the prospects for Rabi crops are good and early trends of the festival season are actually extremely good. The Pooja holidays were very, very good for some of the commodities we finance like tractors, two-wheelers, etc., and we are expecting a very good Diwali, touchwood. All in all, rural demand is expected to stay buoyant in the second half and definitely perhaps also in H1 FY24 and as far as we are conce rned, I am sure that the resilient rural demand in different geographies and our strength presents a good opportunity to grow our retail businesses.

So, let me talk about individual businesses now. First, Rural Business Finance which was previously known as Micro Loans. Micro Loan s is actually subsumed in the Rural Busine ss Finance. This business which enables sustainable livelihoods at the grassroot level has shown strong disbursement trend and has recorded its highest ever quarterly disbursement at about Rs. 4,400 crores and the book has now crossed Rs. 15,000 crores. This growth is aided by our focus on strategic initiatives like repeat customer conversion for zero DPD customers, exclusive customers loan, like customers who are exclusive only with L&T Finance and don't have any other lender , see, the new RBI guidelines and the ensuing re

porting has actually enabled us to take all these calls, have
all these data, our deepening geo presence, best in class turnaround time and of course completely data-based credit algorithms. As I have always said, we have always been the proponent of database credit algorithms in this business which was traditionally, people form groups or people are judged on the ground . We have moved away from that completely . Some of you have toured with our investor relations department, have seen the app in work, it is WIP, getting better, but it enables us to take very credit based stringent credit decisions as we go ahead and that actually with the growth , it gives us confidence of the credit quality as well.
According to the new RBI guidelines , we have started the digital app which measures income and the early indications are that just about one sixth or so of the loans are actually qualified as microfinance , the family income being less than Rs. 3 lakhs which means that around 85% of our loans or disbursements go to comparatively higher income groups where lending can happen using very advanced credit metrics and most importantly opens up tremendous opportunity for cross selling , more product selling at excellent credit cost. We will use that, also launch new products and sustain the momentum in this business as we go ahead.

As far as Farmer Finance is concerned, which admittedly right now remains as tractors and tractor implements finance , we are slightly late in launching our other agri inputs loans for various reasons, let me not get into that right now. We have a well-diversified footprint in Farmer Finance with a vintage of now more than 17 years and we are among the leading financers in this segment. With around 200 branches, across ~ 21 states, we disbursed little more than Rs. 1,300 crores in this quarte r which was 14% higher Y-o-Y and the strategy remains the same , focusing on preferred OEM dealer strategy, enhanced customer service and improved customer retention and of course dominating counter share. As I have always said, market share we believe is derivative. We don't aim for market share; we choose dealers and aim for counter shares and based on data analytics that moves to this market share. For custom er retention we have actually in this quarter disbursed more than 7,500 units for repeat e
customers during the quarter and almost 97% of our total business was now done through our digital sourcing mode with best-in-class TAT of course of less than a day.

As far as Urban Finance is concerned, if we take all products together that are Two-wheeler, Consumer Loans, Home Loans, LAP, we saw 80% Y-o-Y growth in disbursements resulting in close to 30% increase in this book. Talking about Two-wheelers, we have done our highest ever quarterly disbursements of Rs. ~Rs 1,700 crores up 38% Y-o-Y. Market share has increased to about 12% against 11% last quarter . Two products of ours which are very good products are actually taking increasing share of our disbursements what we call Sabse Khaas loans and second is what we call VIP loans. Sabse Khaas loan is what we target towards cash customers . As you would know two-wheelers is one vehicle segment where the finance penetration is little above 50%. Most other vehicle segments, it is above 80, 85, 90% also. Two-wheeler is about 50% and as you would also remember just about 4 years back it was in the 30s. So, various players I think we have been one of the pioneers, have launched products fo

r converting cash customers to loan customers. Sabse Khaas loan is one of them. VIP loan is ability
to target customers who are higher category of credit which have proper income proofs, giving them loan at a better LTV and with much better credit . Very simple, even just the bounce rates of this customer is less than one third of normal customer. So, these two products have worked well and along with deepening geography it is helping our growth rate. We will continue to maintain strong focus on customer value and building preferred dealer OEM relationships and very clearly use this to continue to increase our volumes in two-wheeler segment and maintain our position among the top 3-4 all the time.

As far as Consumer Loans are concerned, we have continued to grow this which is our first digital native product and you have seen the growth of this product. We have now achieved a monthly run rate of Rs. 400 plus crores during this quarter with total disbursements of around Rs. 1,300 crores. We have increased our custo mer funnel.

You would remember that this product was primarily cross selling to our existing customers. Now, out of the new disbursements, just about 50% comes from existing customers and loyalty. The remaining is from new partnership with e-aggregators, prospects, analysing prospects list and going for those customers, Insta loans through our apps . All this is now increas ing funnel as we go ahead. So, we are seeing this book growing very well and the book quality holding quite well. From having a book size of just around Rs. 1,100 crores same time last year, now the book size is close to Rs. 4,000 crores. The festive period is further anticipated to bring high demand in Q3 for this and bodes well for the growth of this business as well.

Retail Housing, for a long time I have been talking little defensively about this segment. Though we still remain small, we are now growing quite well within this and also expanding our business just from salaried to SENP, to again slowly increasing LAP. We have an excellent team in place now and this business is now growing quite well. So, we are building, it is witnessing excellent growth momentum. During the last couple of quarters, the focus has been on slowly moving from just salaried to other categories also, thus slowly increasing the profitability of this business. We believe that we are progressing steadily on this path with disbursements now reaching Rs. 1,100 crores in the quarter. You would remember just about 1-1/2 years back, we used to do Rs 300 - Rs. 350 crores odd in a quarter. This is up now almost 20% quarter -on-quarter. We remain focused on enhancing our disbursement volumes through strategic measures like geographic presence, solid DSA partnerships and increasing customer retention. I am sure that with the current focus on increasing disbursements and improving asset quality, this business will grow bigger with time.
SME which is the latest baby, latest product offering whose pilot was launched in Q3 last year, about a year back , is now witnessing a steady uptake in Q2. So, our total disbursements in this quarter reached now about Rs. 200 crores with the volumes for September itself touching around Rs. 90 crores. So, as you would see, the next quarter can be even double of this and we can grow at a similar pace as we go ahead. We are building good value proposition, good digital journeys here. We know we are competing against some very good competitors here, but then the market is quite big and we believe we can make good impact in SME segment as well. We have now opened up more locations. We have operationalized some 17 locations

up from just two locations in the pilot.

As far as Wholesale Business is concerned, in line with our Lakshya 26 goals, we have followed a strategy of reducing capital allocation to wholesale lending. This led the wholesale book registering a degrowth of about 14% Y-o-Y. Within that in Infra, we continue to follow an asset light model albeit with reduced capital allocation and focus primarily on excellent customers, only top-class customers. Real estate, we are obviously not doing any new sanctions and focus mainly on project operation and getting our returns. So, I believe , I know it is a little long, but I thought I should give you color not only on the numbers which you can read it from the presentation, but how we are achieving.

As far as Retail collections is concerned, we have witnessed best-in-class collections in Q2 FY23 across retail businesses led by company's concerted efforts, field efforts, analytics led prioritization and use of propensity - based data analytics to channelize our resources. Overall collections are up and collection efficiencies across businesses have trended extremely well and are back to pre-pandemic level and we are now giving all those charts in our presentation. Even in our wholesale businesses, collections are as per plan and the wholesale book has reduced by close to Rs. 6,000 crores Y-o-Y. Highe r Real Estate collections were registered during the quarter on account of increase in project resolutions and we got something like Rs. 850 crores as principal repay ments and prepayments in the Real Estate segment. That completes more or less the asset side.

Liability side, I have already talked about quite a bit in detail . So yes, interest rate is definitely going up, but we have got an excellent franchise, strategy of locking in with medium and long-term funds, going aggressively for priority sector loans and now the latest baby there is sustainability linked loans. We raised a further ~Rs. 250 crores in this quarter bringing that book to about ~Rs. 450 crores which admittedly is small, but that has great potential . With the strides we are doing in our ESG, we are quite confident of building that good franchise for raising sustainability linked loans.

As far as Asset Quality, I will just summarize by saying asset quality is quite steady with GS3 at 4.02%, NS3 at 1.85%, Retail NS3 at 0.88%. With continuous improvement in collections and with the impact of OTR now largely behind us, credit costs have started showing significantly downward trend from this quarter onwards and we expe ct this trend of downward moment of credit cost to continue as we go ahead.

In summary, our established business trends with highest quarterly disbu rsements , with higher NIMs, normalized collections, reducing credit cost bode well for us.

Having spoken about the quarter, let me quickly summarize the four pillars of Lakshya 26. The four pillars were Sustained profit and growth engine, Demonstratable strength in risk management, Fintech @ Scale and Future growth through ESG. I believe the number s, and the detailed explanation already talk about the first two. Let me talk briefly about the third and the fourth. Fintech @ Scale has helped us to continue on our path to become a customer focused company from a product focused one. A few initiatives that I would talk that we have introduced or I would like to report progress.

The first is Planet App. This is our customer facing app which was soft launched during the last quarter of FY22 and ha

s had a steady pickup. We now have about 7 lakh downloads which is up from 2 lakhs last quarter. While the application initially was limited to onboarding and servicing customers till Q1, we have opened it up now for disbursements of especially consumer loans and we have achieved disbursement of about Rs. 126 crores in Q2 exclusively through the app. It is a small number, but considering that the app is new, it encourages us while servicing more than 7.5 lakh customers through the app. So, we want the customer's headache of calling up call center, branch, etc., to go totally. The application is available both on App Store and Play Store and the company expects to continue scaling it in the coming quarter to make it a full-fledged and re-imagined customer engagement engine.

We launched our WhatsApp channel for customer servicing in Q1 and that is now slowly moving to even business acquisition channel . I had demonstrated it to you who attended our annual meet. That time it was completely e

servicing bot, now slowly disbursements have started through that for consumer loans and so we have now WhatsApp based disburse ments giving immediate credit decisions . While the disbursements remain very small since it is absolutely in pilot right now, we expect that it scales up quarter -on-quarter.

Leveraging data analytics for customer retention being the third initiative, the company continued on its path of actively working towards leveraging its Rs. 7 crores plus database developed over the course of its businesses across years. At present, 47% of company's disbursement in Rural Business Finance and 28% in Farmer Finance are driven by cross -sell offer generated by the company. Our consumer loan book of close to Rs. 4,000 crores is largely driven by loans through our retail loyalty customer base. In addition to this, based on our data analytics the company is also working on identifying and addressing pockets of currently untapped potential of our customer segments and we will be launching additional initiatives and products around the next quarter.

Let me now speak about the fourth pillar which is ESG. I am happy to share that during this quarter, we continued to move steadily on our path of achieving carbon neutralit y. We had set a target of 10% reduction in carbon emissions for the whole year. I am happy to record that in the first half itself, we have achieved that already. We have also demonstrated our commitment to human rights by signing the WASH Pledge developed by the World Business Council for Sustainable Development. There are other firsts in this quarter as well as far as our ESG is concerned. We instituted an Inclusion and Diversity program in LTFH which we want to establish as a strong indicator of our commitment towards inclusivity in the organization. Furthermore, we also developed a sustainable loan framework with us now raising Rs. 225 crores in form of sustainability linked loans in this quarter in addition to Rs. 200 crores raised in Q4 of last year. Lastly, I would also like to share with you that our commitments towards sustai nable growth was recognized by the industry at large and we received some prestigious awards like the Mahatma Award for our ESG initiative in the quarter under review, second quarter, which we believe is a testimony to our commitment.

With this, I would just like to say that the performance during this quarter with multiple consumer offerings in pipeline , with strategic steps taken on various fronts, we believe we

are well in line for our objectives of Lakshya
26, hopefully to achieve them even before 2026, the objective s being 80% retail book, more than 25% CAGR in the retail book, NS3 of less than 1% and ROA between 2.8% to 3% and we are now slowly showing a march towards that. I thank you all for a patient listening. I wish you; I know I will open up with questions, but wishing a very Happy Diwali to all of you, your family, colleagues, everybody. Thank you.

Moderator :
Thank you very much. We will now begin the question and answer session. The first question is fro m the line of Rikin Shah from Credit Suisse. Please go ahead.

Rikin Shah :
I had three questions . First one, while your consumer loan is completely a digital native product, the SME loan product seems to be, the channels for them both seem to be traditional as well as via the digital app and given that both these products are growing rapidly from a very small base, just wanted to get a better understanding of the target segment, ticket size and yields in these segments . That is the first one, seco nd one is on the fee income, while the NIMs have expanded led by the retail growth and the mix change, the fee income has gone down sequentially . Given that the retail disbursements are picking up, is there any further color on the weakness in the

fee inco me and the outlook from here? And thirdly, the question is on the Real Estate . Out of the total loan book of Rs. 9,000 crores plus , post we have this Rs. 2,100 crores of gain from the mutual fund and if I recall correctly Rs. 300 crores of overlay provisio ns that we carry, what would be the total provision coverage on the Real Estate book? That is all from my end, sir .

Dinanath Dubhashi :
I will answer the first two, we are not giving product wise provision coverages and I think now disclosure norms are continuously being strengthened, so I am not sure I can give numbers which are not there in the investor presentation on the call. So, let me answer the first two which are more descriptive in nature. So, first the route ., So, Consumer Loans, the credit algorithms on the entire customer segment really can be digital, can be completely data driven and hence not only credit, but the entire process including documentation, KYC, everything can be digital . And that is why , with that conviction , we kept and it is not as if there was not request from the business to have it physical and all, but we kept that as a conviction. SME on the oth er hand, we have two segments, one is SEP, i.e., Self-Employed Professionals where we are now targeting , first, to start with chartered accountants and doctors and then there is SENP which are small businesses. So, right now, to be very frank, the SEP, the chartered accountants and doctors is what we believe can be completely digital ; it is centralized credit, digital . there is still an aspect of personal discussion in it. So, in a way, even if it is completely, I would say, non -paper, I don't call it totally digital because there is a human intervention of a personal discussion, we have to get lot more confidence in our data base, scale, etc., to let go personal discussions. Some competitors especially I would say the marquee NBFC is quite old in this and I am aware that they do certain segments without personal discussion and hats off to them for the expertise they have built over the years for this. We are pretty new and hence my credit department still sees the need of a personal discussion for SEP. As fa r as SENP is concerned, while the onboarding is digital, it is completely assisted digital and the documentations required as well as the credit appraisal, factory visit, legal, technical, all th ese are completely physical at

this point of time. So, th is business being digital totally is in my belief
about a 2-year runway . We will keep making small moves towards that, but not I would say hedonistic or a stupid push for somehow, I want it digital against where the market is. So, we will not be, I would say, just unreasonably wanting to go digital in this, the market is still qui te physical in this. One by one items we are getting as far as digital is concerned, like for example, if the customer shares particular codes with us we can access his tax record, GST records, we can access his bank records, many of these things, even if his financial statements are physical, there are software s as you know very well to convert it to digital and analyze. So, various aspects we will keep digitizing as we go . Like for example, PD, personal discussions, many cases, we do video PD. Now, if I c an call it digital, yes, but it is not truly digital, I mean it just replaces somebody going there and doing a PD, so it is more better for TAT, but it is still a PD. Just for claiming digital I can say digital, but it is not truly digital. Geo tag for example, we now, every customer is geo tagged which is a good digital movement in that direction, but to answer you frankly for SME, SENP SME especially to move to totally digital, I see for us and I don't want to speak for the industry , it's a 2 -year period. Perhaps what we will move for is lower ticket sizes. What we tried to do is keep it 100% paperless , that scanned at the DSA and we process. So, no paper flows in the company. That is what we tried to do. To answer your ticket size answer, the average ticket size for Consumer Loans is around Rs. 1.4 lakhs for Consumer Loans and for SME it is around Rs. 2 5 lakhs .

Rikin Shah:
Just on this point, while I am not sure whether you would be able to talk about the yields, but on qualitative basis, would the yields be largely in line of higher or lower than our Retail loan book yield of 15 -16%?
Dinanath Dubhas hi:
Around that. It is largely in line with that, around that, both the products.

Rikin Shah:
That answers the first question.
Dinanath Dubhashi:
Fee income, fairly simple answer . Some part of the fee also comes from wholesale disbursements, so as wholesale disbursements have reduced significantly, the fee income related to that has also reduced, so that absolute fee income has reduced, number one. Secondly, as we have reduced our liquidity and what it is actually
a negative car ry, so the cost of funds has also gone down and other income has also gone down, so actually PAT will go up because of that , because that income is negative carry if you understand. So, it is fee and other income , other income includes interest on liquid b alances that we carry, so even if that has come down, the interest cost has reduced more than that. I already said, your Real Estate question, I won't be able to answer.

Moderator:
Thank you. The next question is from the line of Kunal Shah from ICICI Securities. Please go ahead.

Kunal Shah :
Firstly, in terms of the cost, when we are rolling out Retail products and launching many of the products, if you can just explain in terms of the cost of acquisition, how we are faring compared to that of t he other players and how would we ensure the retention because may be you might acquire the customers, but most of these segments are very competitive and then we tend to lose it out to say some of the other banks and NBFCs as well, so how do we try to bal ance both in terms of the cost of acquisition, retention and where do we see the overall opex to assets with the scaled up Retail products?
Dinanath Dubhashi:
Excellent question, I will answer this in two ways, one is cost of opex and second i

s acquisition cost specifically .
So overall opex . If you see overall opex , yes, it is higher than what it used to be maybe 2 years back. Right now, very importantly , is the investments that we are doing in new branches, in digital and in growing . And in our calculation, close to around 4% of cost to income is investment and the rest is steady state cost. This will continue even perhaps, large part of next year, as we grow br anches, as we put more people in growing especially SME and Home Loans. SME and Home Loans right now are in growth phase, naturally every product won't be at nice steady state, making a lot of money for the company. This is how every company will have to g row that there are cash cows and then there are stars which will be hopefully tomorrow's cash cows. So, investment is going into these products, a lot of investment is going into IT, digital. Our commitment is by 2026, majority of our products should be IT enabled, I think if I am not mistaken, you travelled with our team everywhere and you saw some of the apps that are working and that will continue, Kunal, that will continue as we go ahead. So, we are not too worried about the overall cost now. This we be lieve will bring more than its stead in terms of income as we go ahead, but all the time where we launch new products, new businesses, there will be a phase of investment in those products as we go ahead. So, most of the branches that these new businesses happen at the same locations no doubt, but it will also mean investment in people, then the branches will not be enough, you have seen some of the Rural Busi ness / Micro Finance branches , obviously you can't do Home Loans from there. So, those kinds of investments will happen. So, we are in that phase right now. Overall, the plan for the next 3 years shows operating cost trending well as more and more products get into more mature stage. So, that is number one. And number two is acquisition . Generally speaking , we keep our acquisition cost within the range of the processing fee that we earn from the customer, so we try to see that that doesn’t become negative. Now, why are we saying try to see is there will be various periods, various seasons where we will inves t, that we will maybe reduce the processing fee a little bit, so we will be little bit negative there or in new products that we launch like in Home Loans, SMEs, may be initially we have to part a little bit more for DSAs and as more and more these product s we do, two things will happen ; as volume grows those fees will come down, number one. Number two, as we slowly have our own channels because any business initially it will be DSA led and then as you get your own sourcing mechanism, the percentage of DSA and own sourcing will change and last but not the least when cross selling and top up kicks in, this third item, proximity based selling , cross selling, top up, etc., will also come. Now, every product moves in this direction , even though Two-wheeler or Tractor doesn’t have a DSA, they have dealers. So, only Micro Loans actually is a business where we don’t have to pass on the acquisition cost, but in all other businesses we have to pass on acquisition cost . So, it works on these three principles, first try and make the acquisition cost lower than processing fee and use your speed, your servicing to make sure that the customer sees value in paying that processing fee, that is number one, acknowledging that in certain new products that won't be possible, but also consider it as an investment and then as we go ahead, reduce that , pass on and also e
increase the percentage of own sourcing and then lastly increase the percentage of cross sell and up sell, top ups. So, that is how the business w ill grow and keep getting mor

e and more profitable. Does that answer your question?

Kunal Shah :
Yes, and if we have to put out a number in terms of opex to assets, particularly on the Retail side, so where do you see it eventually, may be currently it is around about 4.4 % and it has been in that range, but may be DSAs also there is lot of competitive pressure given dealer payouts and we’re still at the lower end, so do we see that this might inch up closer towards 5 % or 4.75 % or so, as we try to scale up?
Dinanath Dubhashi:
No, going up is out of question . No. So, this is also perhaps more because of our SME and Housing . Two things will happen in the next 2 -3 quarters , as volumes of SME and Housing increase , that portion will move up and with Micro Loans, Farm increasing, it will move down, so that weighted average actually, I see remaining steady for the next let us say, 4 quarters because of this and as then for these other two products also, it will start trending

down from there.

Kunal Shah :
And secondly, in terms of core NIMs , even though may be we are highlighting that it is largely because of Retail, but if we look at the core NIMs in Retail that has been down, may be when we look at it including the fee income, it is down almost like say 24 odd basis points and the wholesale is something may be wherein NIMs plus fee has actually gone up by 17 basis points, so how much do we see it sustainable because when we look at around the Retail there is hardly like 10 basis points kind of an improvement in margins and most of it are also fixed rate products, so there wouldn't have entire repricing and there is benefit of deployment of liquidity as well, so where do we see this NIMs plus fee sustaining?
Dinanath Dubhashi:
Kunal, frankly, if you are commenting at 10 basis points, 15 basis points, I won't be able to give you answer because every quarter it can certainly move 10 -15 basis points, it will depe nd so much on product mix and things like that. The statement I made was, so by the way I don't know which number you said it has come down because our retail NIMs have actually gone, just NIMs, core NIMs have gone up both Y -o-Y as well as Q -on-Q, at least the numbers that I see , from 9.85 % to 9.95 % it has gone up.

Kunal Shah :
Sir, I was referring to NIM plus fee, that is still down from 11.57 % to 11.3 %.
Dinanath Dubhashi:
We have been conservative in recognizing some cross -selling income at this point of time, some developments in the industry regarding insurance companies etc., we have been very conservative in recognizing that, I will be able to say only that, but NIMs fo r example, 10 -15 basis points here and there, every quarter I may not be able to comment on. What we believe is 2 -3 things will work right ; Micro Loans growing well, which is a high NIM product, SME and Consumer Loans should grow up from now and then Home Loans growing . But yes, hopefully the higher NIM products are growing more , that is the first aspect of that. The interest cost is increasing, but not increasing like 50 basis points of repo rate etc., increasing less than that and most importantly even the fixed rate products, most of our fixed rate products are 2 -year loans, with the duration of just above 1 year. They also cycle down quickly, so the only thing which we will have to consider is competition , that whether competition will allow us to pass on in each and every product or whether we choose to pass on or keep interest rate same and grow volumes. Those calls will be taken strategically. So, frankly with the NIMs that we have, the strong NIMs, 9.5% for e xample, at 9.5% NIM if I get a choice of increasing volume and sacrificing NIM by 20 basis points or increasing volume less and keeping NIM same, I will take the first choice anytime because the absolute NIMs are so high. So, I will e
grow volumes more and m ay be reduce NIMs a little bit . The strategic direction I would like to give is we are confident of maintaining good levels of NIMs plus fees, whether it will trend 5 -10 basis points up, down , in the current interest rate scenario I will be not only daring but foolish to predict over the next couple of quarters.

Moderator :
Thank you. The next question is from the line of Nischint Chawathe from Kotak. Please go ahead.
Nischint Chawathe :
Just one question is, while everything looks good on the macro and we clearly see collections improving etc., why did you have almost Rs. 500 crores kind of a write -off in the quarter?
Dinanath Dubhashi:
See, it is like this, the entire OTR book, not entire, whatever moves , we have two choices here , that either to show GS3 and 100% provision or to write it off . So, only the GS3 number changes, right because the provision is 100%, the NS3 number will not change . So, let me at least write -off and get the tax advantage, it is a financial decision. Whatever is 100% provided, for business it is neutral and write -off doesn't mean we give up the effort to collect . So, either we keep a 100% provision and collect or we write -off and collect. Business wise, it means the same. It is a f inancial decision . Very simple, if this Rs. 550 crores, if you wouldn't have written -off the GS3 would have been higher by Rs. 550 crores, the PCR would have been higher because they were 100% provi ded and NS3 will be the same.

Nischint Chawathe :
The point I was trying to make is that there is almost a Rs. 556 crores kind of a credit cost for the quarter, your overall provisions on the balance sheet have been stable, then this is write -off that has hit the P&L, right?
Dinanath Dubhashi:
No, don't look at it like that. The overall credit cost actually without taking, let us just take a step back and gross up this Rs. 422 crores that we took from the overlays, then it comes to close to Rs. 1 ,000 crores which you can say that Rs. 1 ,000 crores is same as l ast quarter, so what is the big deal, so but this Rs. 1,000 crores includes Rs. 422 crores of roll forward from OTR which is now over. So, it is not going to come next quarter. So, without

OTR flow, this Rs. 1,000 crores will be around Rs. 550 crores, arou nd Rs. 570 crores and this OTR flow is not going to be there for next quarter, it is over because everything has flown now simply by dates, 90 plus done, everything means whatever had to flown, flown and finished, so that is the way to look at this. So, wh ichever way, this pocket, that pocket, the way is very simple, ~Rs. 575 crores is credit cost this quarter which is only going to trend down going ahead. That is the conclusion.

Nischint Chawathe :
So, this is basically onetime OTR thing which is?
Dinanat h Dubhashi:
Exactly, that is what we have said, committed.

Nischint Chawathe :
And what would have been the standard asset ECL on balance sheet?
Dinanath Dubhashi:
ECL, that is Stage 1, Stage 2 total plus OTR, we have given that number in the presentation. So, Stage 1 plus Stage 2 plus OTR consol is 2.1%, for Retail, it is 2.4%, Stage 1 plus Stage 2 plus OTR, standard assets.

Moderator:
Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead .

Abhijit Tibrewal :
Sir, first question is around capital gains that you are expecting from the sale of your AMC business . Wanted to understand , though you have given brief commentary in the presentation, I wanted to understand what proportion, firstly what is the capital gains that you are expecting from this transaction and what proportion out of this will be uti

lized for macro prudential provis ions and will the remaining be kind of kept on the balance sheet for growth capital?
Dinanath Dubhashi:
Approximate capital gains , the pricing we have already told, how much it is, the total is about, we have sold it for USD 425 million plus cash and th e surplus cash should be another USD 100 million , around that area. Now, it depends on many things. We were initially expecting the transaction to close in October end, so we had taken a cover up to that. We are now revising the cover, so what is the rate of cover, exactly when wi ll be the date, rupee, dollar, at least the rupee dollar is depreciating, so at least we are happy. I don’t know what happens to the rest of the world, but we will finalize first of all the amount, this is the consideration in dollars, the exact amount in rupees, I will be happy if somebody can predict the dollar rupee rate especially because we have to renew the cover at the end of this month, otherwise I would have told you the exact rate at what we have covered and all those things, so that ’s that and exact proportion of that w hat I will use for various, if I had to disclose it now, I would have disclosed it in the presentation. So, very clearly it is something that the Board will take the decision once the eggs hatch and then we will immediately communicate. Primarily, it will be used for strengthening the balance sheet.

Abhij it Tibrewal :
Sir, second question that I had was that multiple times, during the opening remarks and when few of the participants earlier asked you in precise that the pain from at least unsecured OTR book is now behind, when we kind of look at your ROA tree, the biggest line item which keeps moving or is the most volatile is credit cost, so given that you also suggested to the last participant that credit cost will now start to moderate, what would be a steady state kind of a credit cost for the kind of franchise that we have now from let us say from here onwards?
Dinanath Dubhashi:
Retail credit cost is about 3.5% for this quarter. We expect it to start coming down and go below 3% hopefully by the end of this year itself or around 3%, may be not below, but close to 3% by the end of this year.

Abhij it Tibrewal :
And then from next fiscal year onwards should be more in the range of 2.5% for the full year?
Dinanath Dubhashi:
Let us hope. The business has the capacity of reducing it further, let us hope .

Abhijeet Tibrewal :
Sir, my last question is that while we guide in the Lakshya plan that we would endeavo r or target 30% kind of a loan CAGR in Retail, can you also help us think th rough how should we look at the wholesale book because time and again , there have been various media articles and we have also suggested in some earnings calls that we plan to do something on the Real Estate business and the Infrastructure segment, so how should we think about, what are you trying to do in these two particular Wholesale segments, Real Estate and Infrastructure?
Dinanath Dubhashi:
Real Estate segment, very clearly, we have stopped doing any new sanctions, we are concentrating on two things,

one is completion of projects and getting the repayments and various presentations that we have done before e L&T Finance Holdings

shows the progress that we have done over the last 1 year and even this quarter we collected about Rs. 850 crores. Simultaneously, we are also looking at various partners who can come with us with a priority structure for getting into , because even though we are not doing any new sanctions, for completion of projects we have to put out money . So, we are actually looking at partner funds especially who will come hopefully on a portfolio or at least asset by asset, come in with a priority structure, we will no

t disburse any further, they will disburse priority loan, complete the project, then as the cash flows come, they will take their money first and then we will get our money . So, the structures like that , obviously with our loan remaining current all the time , that is obvious and so that is the structure we are looking at in Real Estate and that we have been very clear.

Infra is , actually we are looking for a partner because we believe that the business has good potential to grow, it doesn't , perhaps putting more capital into it, doesn't fit in our overall ROA promise that we have given and hence we are limiting capital. So, one way, the ideal way is to get a partner into this business, preferably a majority partner for this business and efforts are on there . And has some people come and discussed with us ? At various times there will be media reporting, so that can't be helped, we can't control that and that will happen. If that happen s, and why I am saying 'if' is that in a rising interest scenario obviously people's interest will vary naturally. If interest rates were steady or coming down, b y now there would have been tremendous interest, but as interest rate is going up it is very natural that people will vary to take up a large book especially, so that efforts are on and when we see a fruit, we will obviously come to you. In the meanwhile, as you know, we have a very strong sell down engine and as we become more selective in further underwriting and to start selling down more aggressively, the capital towards this business will reduce. It will reduce capital towards this business while prote cting the franchise which hopefully can be sold soon. So, that is the overall strategy and that is why I am not talking about the overall book, etc., because Wholesale book I don't want to give a trend, if it trends down by how much, how fast, we will see in the next 2 -3 quarters. I want to only talk about the Retail book, the way it will grow. By the way, we have not promised 30%, we have promised 25%, but we have shown 9% Q -on-Q, so probably this year it may be 30%.

Abhijeet Tibrewal :
And I am squeezing just one last data keeping question, let me know if you already published it in presentation, what is the quantum of the OTR pool that we have at now and if we used to give out a slide where you used to publish the absolute quantum of standard asset provi sions on Stage 1 and Stage 2, so if you could please share that with us?

Dinanath Dubhashi:
We just told that Stage 1 and Stage 2 is about 2.1% , absolute quantum is what about Rs. 1,800 crores total, so that comes to around 2.1% Stage 1 plus Stage 2 plus OTR. So, that is the number and I already published it on the call. That is number one. Number two, largely the OTR remaining now is Housing that is about , Housing is around Rs 884 crores , around Rs. 900 crores of Housing. That is the largely one remaining. Large part of it around Rs. 600 crores will open up next year . However, it is fully secured, we have tested security of everything and there we are quite confident that big costs will not come, it will be in steady state credit cos t.

Moderator:
Thank you. Ladies and gentlemen, this was the last question for today. I would now like to hand the conference over to Mr. Dinanath Dubhashi for closing comments .

Dinanath Dubhashi:
Thank you. Thank you once again ladies and gentlemen, excellent questions, I would only like to once again express the confidence that not only the quarter is good in all aspects, growth, margins, cost, credit cost, excellent growth in ROA, NS3 for Retail, reduction in Wholesale, it is all happening according to plan, but various measures we are taking, various tools we are using, launching, various initiatives we are taking, products, digital makes us tremendously confident that we will be able to follow u p on this act and improve it quarter and quarter as we go e L&T Financ

e Holdings

ahead and the Lakshya 26 objectives, I am beginning to get confident that we will be able to actually prepone the achievement of th ese objective s as we go ahead. So, on that note, thank you for bein g patient. Thank you for your continuous support. We will of course be available for any investor meet s, etc., that you guys arrange. My IR will be available, myself will be available as we go ahead and before we end wish you all a very Happy Diwali. This Diwali is perhaps the first Diwali which comes without any shadow of the pandemic, so wish you all a very happy healthy Diwali. God bless all of you. Thank you.

Moderator:
Thank you. On behalf of L&T Finance Holdings Limited, that concludes this conferenc e. Thank you for joining us and you may now disconnect your lines .

*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies ,
repet itions in Q &A which would have unintentionally crept in, if an y e L&T Finance Holdings

Call: Jan 2023

BSE Limited
Corporate Relations Department,
1st Floor, New Trading Ring,
P. J. Towers, Dalal Street,
Mumbai - 400 001. January 23, 2023
National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1,
G Block,
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051.
Symbol: L&TFH Security Code No.: 533519
Kind Attn: Head – Listing Department / Dept of Corporate Communications
Sub: Transcript of investor (s) / analyst(s) meet – Q3FY2023 financial performance and strategy update.
Dear Sir / Madam,
Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclos ure Requirements) Regulations , 2015, please find enclos ed the trans cript of the investor(s) / analyst(s) meet for Q3FY2023 financ ial performance and strategy update held on January 16, 2023.
The above information is als o availabl e on the website of the Company i.e., www.ltfs.com/investors.html .
We request you to take the aforesaid on records.
Thank ing you,
Yours faithfully,
For L&T Finance Holdings Limited
Apurva Rathod
Company Secretary and Compliance Officer
Encl: As above

L&T Finance Holdings Ltd.
Q3 FY23 Earnings Call Transcript
January 16, 202 3
Management Personnel :
Mr. Dinanath Dubhashi (Managing Director & C hief Executive Officer)
Mr. Sachinn Joshi (Group Chief Financial Officer)
Mr. Karthik Narayanan (Head – Strategy and Investor Relations)

Moderator:
Ladies and gentlemen, good day, and welcome to the L&T Finance Holdings' Q3FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. We have with us today, Mr. Dinanath Dubhashi, Managing Direc tor and CEO and other members of the senior management team.
Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the call, only publicly available documents will be referred to for discussions durin g interaction in the call. While all efforts will be made to ensure that no unpublished price -sensitive information will be shared, in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the statements made on today's call may be forward -looking in nature. A note to this effect is provided in the Q3 results presentation sent out to all of you earlier.
I would now like to invite Mr. Dinanath Dubhashi to share his thoughts on the company's performance and the strategy of the company going forward. Thank you and over to you, sir.

Dinanath Dubhashi:
Thank you. A very good morning to everybody. And let me at the outset, wish you all a very -very Happy New Year. We at L&T Finance, enter this New Year with immense zeal and passion as the Q3FY23, this quarter, particularly following the previous two quarte rs has been excellent for us on account of multiple reasons. We have touched new highs on the business side again, in this quarter , across various business verticals that we operate in and have also performed well on driving various Lakshya's strategic ini tiatives, all of which have immensely motivated us to keep delivering great results in the future also. My presentation to you today will revolve, hence, around these two themes:
1) Update on business parameters i.e., our strengths, business performance for t he quarter, etc. And more

importantly, how are we driving the organization towards Retail growth and Retailisation.
2) Number 2, which is quite

particular to this quarter, is about Lakshya's strategic initiatives . Specifically
speaking, sale of Mutual Fund, enhanced Retailisation through an accelerated sell -down of Wholesale book
3) And last but not the least, the proposed merger of our various entities.
It has been now close to eight months since we unveiled our strategic plan, Lakshya 2026. We did that in May '22, wherein we shared our strategic goal to make L&T Finance, a top class digitally enabled Retail finance company, moving forward from a 'product -focused' or a 'product excellence approach' to a 'customer -focused' approach, especially by creating a Finte ch@Scale. Every word of this line is important, and we have worked on every word. In fact, every decision we have taken ever since ha s been keeping in mind the targets of Lakshya 2026. Though our goal is to achieve our targets by FY26, we continue to striv e and drive our efforts towards achieving them well before that year, that is, much before FY26.
The last time when we met at the end of the Q2FY23 results, I had reiterated the confidence that as we traverse on the path of Lakshya 2026, we will deliver t he results promised while continuing to improve the products and services we offer to our customers. With every passing day, we are working towards making our company one of the top NBFCs in the country that caters to Rural, Urban mass affluents, Aspirers and SME segment of the country. Thus, broadly covering the whole gamut of the Retail lending space. Our strategy of retaining our customers and using them for cross -selling and upselling our offerings has been working well. Capturing new customers as well as farming existing customers is enabling us in our efforts to deliver consistent results. Through a better understanding of our customer needs, we are firmly etching ourselves in the mind of our customers and, we believe, are creating ongoing strong custo mer franchise.

Today, I can say this with firm belief that with the strong Business, Liability and Fintech franchise that we have created and a well -defined strategic roadmap in place, L&T Finance is strongly positioned to fully transform itself into a to p-class Retail finance company. The scaling up of Retail business over the past three quarters has been made possible due to the strong Retail franchise that we have built actually over the past seven years and kept on and particularly strengthened it over the last two years on the foundation of digital and data analytics.
Now allow me to talk about a few numbers here for Q3FY23:
1) Retail book has reached now Rs . 57,000 Cr, which is a 34% Y -o-Y growth and a 10% Q -o-Q growth, which is comparing very -very wel l with our target of at least 25% CAGR. Now , the Retail portfolio has reached 64% of our total book already
2) Retail disbursements reached an all -time high of Rs. 11,607 crores in the quarter, up 53%. And this is actually the first time that we have crossed Rs. 11,000 crores level in a quarter.
3) Improvement has been witnessed across asset quality parameters with Retail GS3 now down by 38 basis points Y -o-Y to 3.47% and NS3 down 45 basis points Y -o-Y to 0.73%. Let me point out that our Lakshya goal is less th an 1% (NS3) . We are already there and very confident of maintaining and improving it. PCR, Retail PCR is at 79%
4) We have delivered a total PAT of Rs. 454 crores, up 39% and the Retail PAT now is almost 87% of the total PAT at Rs. 394 crores.
5) The Retail Return on Assets (RoA) is already 2.6% in Q3FY23 with RoE i.e ., Retail RoE reaching 14.97% during the quarter. Again, reminding you, our FY26 goal is 3 % RoA. So actually, if you see , the Retailisation, Retail growth, GS3, NS3 and RoA numbers are quickly approaching levels of our FY26 target, which makes us confident th

at we will probably achieve or exceed these targets much earlier than that.
Guidance o n Sustainable Retail RoA
I would take this opportunity now to pause for a moment and explain a bit about the Retail RoA tree that we aspire to not only achieve but sustainably achieve. With the current pace of Retailisation, our Retail RoAs are trending well towards the targeted 3% range, which as I said for Q3, it is already 2.61%. Accordingly, our guidance for a steady s tate RoA is as follows:
• Retail NIMs, which you would see is at 11.4% , through ups and downs, interest rates, etc ., we clearly expect this to be a minimum of 11%, or trend towards that number
• Opex + credit cost number in the medium term should start trendi ng to about 7%
• Thus, yielding a pre -tax RoA of 4% and post -tax RoA of 3%
That's what we are targeting towards. Obviously, work is on, on every aspect of this.
As far as growth is concerned, we had promised at the beginning of Lakshya 2026 that the CAGR o f our Retail book will be at least 25%. The growth we have been able to achieve in the first nine months of the financial year makes us very confident that we will be able to exceed this target comfortably. This confidence stems from the on-ground capabili ties we are building in our existing products, the rapid scale -up we have been able to achieve in recently launched products, and the product launches we have got planned over the next couple of quarters, and last but not the least, the geo -agnostic PLANET App capabilities that we are building.
So, RoA trending, as I indicated . Retail growth, we expect to comfortably be above the 25% target. These are the numbers we are working towards and are confident of delivering consistently. That's our idea of a top-class Retail finance company powered by digitization and data analytics.

Having spoken about the Retail franchise, let me now make a mention of other strengths that we have built over the years, which have emerged as sustainable differentiators. Just t o count a few:

i) AAA-rated liability franchise with a strong CRAR
ii) Transformational Digital and Data Analytics: We have integrated now 100+ fintech partners with 40 -plus algorithms, which has helped us in transforming our digital and data analytics
iii) A granu lar customer franchise and distribution network : With a database of about 2 crore customers and a strong distribution network of 16,000+ partner touch points, we are now firmly etching ourselves in the minds of the customer as well as in the geographies
iv) High customer retention: We have a customer retention or repeat business of more than 30%, which has helped us in cross -selling and upselling our products. And I'm talking about this for only loan products repeat business. For insurance products, we do CLI a nd other business, obviously, they are much -much higher.
v) I would specifically like to talk about the PLANET App, which is an augmented customer -facing interface. Our D2C app, which is named PLANET, was launched in March'22 ha s already crossed 17 lakhs dow nloads and has witnessed more than Rs. 970 crores of disbursement till December (this is including the website app also), while processing almost Rs. 117 crores of payment i.e., collections. This application is available both on App Store and Play Store an d has been rated 4.3.
Having added features like credit scorecard in Q1FY23 and Insta loan for Consumer Loans in Q2F Y23, we launched the following additional features in Q3 - which is mandi price for our Farm customers and wellness insurance.
Going forwa rd, the company will continue reimagining customer engagement by incorporating features like:
a. Self-driven customer journeys for Two-wheeler loans . This will actually include an end -to-end journey where you can choose a

two -wheeler, you can choose the dealer, you can book a test drive, you can
book the loan . And I mean, there are only two physical parts in it. One is the test drive, which you have to drive on a physical two -wheeler and then take the delivery of a physical two -wheeler, everything else will be done on the app
b. Rewards and referrals
c. Utility payment
d. Hospicash insurance, etc .
Making it closer to a full -fledged fintech app and now slowly taking it towards a complete marketplace. We envision this app developing into a full -fledged marketplace, enabling prospection, customer onboarding, customer retention and most importantly, what we are concentrating is customer servicing , for a seamless service experience. In addition to that, it will also have many value -added services making it attractive for our customers to use it.
Now, coming to some of the updates on our delivery of Strateg ic initiatives, which were three parts: one, unlocking value by sale of Mutual Fund, accelerated Retailisation and Merger to form a unified operating lending entity. So let me discuss this one -by-one:
1) Sale of mutual fund: As you are well aware, L&T Financ e Holdings had entered into a definitive arrangement with HSBC AMC on 23rd December ’2021, almost one year back, to sell 100% stake in its Mutual Fund arm to HSBC. The sale was finally completed after all the regulatory approvals on 25th of November 2022. As a part of the transaction, we received a sale consideration of Rs. 3,485 crores and surplus cash balance, which we could take out of Rs. 764 cro res, thus totaling , the total consideration to Rs. 4,249 crores. This amounts to 5.7% of the AUM of the Mutual Fund as on the closing date. The capital gains realized from the above amounted to a post -tax number, after capital gains tax, of Rs. 2,160 crore s. This, according to us, clearly indicates the strength of business we have built over the years and the value unlocked from it will clearly help us in furthering our Lakshya objectives.
2) Focused Retailisation: Our Retailisation transformation journey is a mix of two key pillars:
a. Organic strong Retail growth and
b. Reduction of the Wholesale portfolio

As far as the strong Retail growth is concerned, I've briefly spoken about it and we'll dwell deeper in the later part of the call.
As far as the second pill ar, reduction of Wholesale portfolio is concerned, we had earlier communicated our intent to explore the divestment of the Wholesale book through sale and realising value, etc. Not having concluded the above exercise, the Wholesale book reduction is now en visaged to be achieved through a combination of various means and that too fairly rapidly, like repayments, prepayments, sell -down of loans etc.
In this regard, it is important to highlight two major aspects:
• First, the Wholesale portfolio now, October onw ards, we actually started this rapid sell -down, rapid reduction. The Wholesale portfolio has sharply reduced to about Rs. 31,000 crores now, as compared to Rs. 41,000 crores approximately a year back. And even just three months back, that is as of 30th September, it was Rs. 37,597 crores. So , this book reduction now is happening quite rapidly, 18% Q -on-Q. And it mainly comprises

of prepayments, repayments of abo ut Rs. 4,200 crores and sell -down volumes of about Rs. 2,900 -odd crores.
• Simultaneously, in accordance with the renewed strategy, in order to pivot towards Retailisation , we have now decided to change the business model in Wholesale to enable an accelerated sell -down. To reflect the change in business model under Ind AS, the assets in Wholesale are now reclassified from Amortized Cost to a Fair Value Through Profit and Loss, and we have tried to explain this in detail in our investor presentation as

well as financial results. In line with this, a fair valuation of the Wholesale assets was conducted by independent valuer. Since the book is quite good, at the first stage, th e valuer evaluated the fair value largely the same as there was no change in the underlying asset quality.

However, given a shift to accelerated sell -down of the Wholesale book, certain 'illiquidity discounts' were to be considered during the sell -down, and it is possible that there will be 'illiquidity discounts' to be given to a buyer during the sell -down. To give effect to this, a one -time provision of exactly Rs. 2,687 crores has been created on account of this reclassification, consequent to the chan ge in business model and the fair valuation of the Wholesale book to facilitate the rapid sell -down process.

Through this accelerated sell -down, while we have promised achieving the Retailisation of 80% by the end of FY26 as per our original Lakshya plan , we expect to sell -down the Wholesale book in a much more rapid manner, which we believe will help us achieve much higher than that 80%, perhaps closer to 90% Retailisation by end of FY24. We firmly believe that these provisions will be sufficient, the pr ovisions that we have created will be sufficient to cover any downside risk of such accelerated sell -down, thereby not impacting Retail growth or Retail profitability going forward.
I hope that you have got ample clarity now on what we propose to do as fa r as the business strategy for increased Retailisation and reducing Wholesale is concerned.
3) Now, the merger process i.e., transforming to a 'Unified Operational Retail lending entity'
One of the top most priorities that we are going to focus now is to mak e L&T Finance into a 'Unified Operational lending entity'. I will explain the background of this proposed merger. Since 2016, LTFH has embarked on a strategic rationalization of companies. This particular initiative comprising merger of various subsidiary entities through the 'Right Structure' initiative , led to reduction of number of lending entities from 7 in 2016 to 2 by 2022 i.e., L&T Finance Limited and L&T Infra Credit Limited, which resulted in simplification of corporate structure along with enhance d governance and controls.
In continuation of our guidance towards moving to a one company structure, LTFH, post the sale of Mutual Fund now has proposed the merger of its subsidiary lending entities i.e., L&T Finance Limited and L&T infra Credit Limited w ith the non -lending listed holding company, L&T Finance Holdings Limited, since the holding structure

is not relevant anymore after the sale of Mutual Fund. Just to explain very clearly, the regulator was not in favor of an operating NBFC holding the Mutual Fund and hence, the CIC structure was relevant.
Now that we have only lending business, that is not relevant and hence, there will be only one monolithic NBFC in the group. What this would result in is a simple one entity structure, which goes in lin e with our intent to have a right structure, leading to optimal utilization of capital and effective utilization of management bandwidth. Needless to say, of course, that this merger would be subject to necessary statutory and regulatory approvals and clearances. We believe that it will take a good part of FY24 for it to finally happen.
Now allow me to deep dive into some of the operating numbers:
1) Disbursements
As I have said, we have seen the highest ever Retail disbursements. Retail disbursements stoo d at Rs. 11,600 crores, up 53% Y -o-Y. This has resulted in Retail book growing 34% Y -o-Y and 10% Q -on-Q. Overall, Retail mix has grown to 64% from 50% last year and 58% in Q2FY23 itself, and we hope to show you a much higher percentage even by the end of t his y

ear. These numbers indicate the strength of the business franchise we have
built over the years. I would like to take a moment here to highlight that we have been successively posting highest ever quarterly Retail disbursements - first in Q1FY23, whic h had then surpassed Q4FY22 levels, followed by Q2 and then now in Q3. Of course, there are a lot of businesses which are seasonal, but we expect overall a trend of good strong Retail disbursements to continue.
At this juncture, I would like to give you a flavor of how performance of various macroeconomic variables, which have a bearing on our businesses have been taken into account while arriving at various decisions. At L&T Finance, we are greatly influenced by the inputs of our Chief Economist team on a ll the relevant variables that have a decisive influence on the agricultural cash flows, especially rural cash flows, like sowing progression, water reservoir status, mandi prices, employment levels, inflationary trends, liquidity pressures, etc. These ins ights are of immense value, not only for business planning, but even for actual resource allocation as well as credit decision making. Also, these serve as very good early warning signals for us to be better prepared for future.
Broader movement of macroe conomic variables suggests that rural demand this year is expected to stay reasonably buoyant in the remaining of FY23 and at least in the first half of FY24, and then, of course, we will have to see the monsoon. Healthy Rabi sowing, good kharif procuremen t and hopefully, likely exports of wheat

have kept the investment sentiment upbeat in the rural areas.
We see good progression in the Rabi sowing season with higher water storage levels and improved soil moisture. During the first three months of Rabi sow ing season, i.e., till December, the total sown area surpassed the normal area for all major crops with all states reporting higher Rabi acreage barring five states, which are Telangana, Haryana, Gujarat, Punjab and Uttarakhand. Other than this, all other states have reported higher area under sowing of Rabi leading to higher chances of a bumper Rabi crop. This progress in Rabi sowing gives us tremendous hope that it will offset the dent in total food grain production, which we have seen during the kharif season.
The 2022 North -East monsoon progression is now already in the surplus with a cumulative rain precipitation being 19% above normal. The water storage positions across reservoirs is not only higher than normal but also higher on a Y -o-Y basis. All reg ions have now reported healthy water storage positions barring some eastern and southern regions on a Y -o-Y basis. Over the past few weeks, however, of course, the storage position has moderated, but still, we believe that this will lead to a good Rabi sea son.
The MGNREGA Statistics until December'22 show that all India daily average wage rate under the MGNREGA scheme is higher than the previous year.

Thanks to the ongoing Rabi sowing, the job demand in rural areas is largely met. According to CMIE, while the urban unemployment rate rose to 10.09% from 8.96% the previous month , in December the rural unemployment rate has actually declined from 7.55% to 7.44%. The same statistics indicate that until December'22, the all -India daily average wage rate un der the MGNREGA scheme is also higher than the previous year. As such, all indicators are trending to reasonably positive.
So, as far as the overall rural growth is concerned, I'm pretty sure that the momentum is a sustained one and the rural demand in di fferent geographies will present us with good opportunities to grow our rural business in future.
Let me now talk about the performance of respective businesses:
Rural Business Finance, (previously known as Micro Loans): T

his business recorded the highest -ever Q3
disbursement of Rs. 4,281 crores, with the book growing 46% Y -o-Y. Today, it stands at around Rs. 17,500 crores. This growth was aided with help of initiatives like focus on repeat customer conversion only for our ‘0 DPD ’ customers, exclusive cust omer loans i.e. customers exclusive only to L&T Finance, calibrated geo strategy, a best-in-class turnaround time and data -based credit algorithms. And I would like to point out that we were clearly the pioneers of data -based credit algorithms in this busi ness while continuing to maintain a collection discipline of timely execution and strengthening various product portfolio monitoring metrics. The monthly disbursement rate has been maintained at around Rs. 1,400 crores with fresh and repeat disbursements, respectively, at 49% and 51%.
As explained in the earnings call of Q1FY23, subsequent to the master directions issued by RBI on this business, we swiftly modified our sourcing digital app for calculation of household income and made changes in the process es. Lending could happen using advanced credit metrics now in households with an income of more than 3 lakhs. This opened up tremendous opportunities at good credit costs, acceptable credit costs. Going forward, in this business, the company expects to sus tain the momentum by launching new products like, Rural Loan Against Property. That is the first one off the ground in addition to our group loan product.
Farmer Finance: From being one of the leading financiers in this segment, today L&T Finance has a lea dership position in farmer finance with about 15% market share. This has been done with the help of a well -diversified footprint of ~170 branches across 16 states and the vintage now of about 17 -plus years. We have built our partnerships , with a tie -up with more than 2,500 dealers. As a result, we achieved the highest ever monthly disbursement s of Rs. 900 crores, the best ever quarterly Retail disbursements of about Rs. 2,057 crores in Q3FY23 and the highest ever quarterly disbursements of about 40,000 units. Repeat customer disbursements have grown from about Rs. 160 crores to Rs. 270 in Q3FY23. The book size now has crossed Rs. 12,000 crores mark. So again, this business doing extremely well.
Urban Finance:
As we come to Urban Finance, which comprises of Two -wheeler, Consumer Loans and Home Loans/LAP business, we saw 55% jump in overall disbursement, resulting in a 34% Y -o-Y increase in book size.
Two Wheelers: Our Two-wheeler business saw the highest -ever quarterly disbursement of Rs. 2,146 crores, up 31% Y -o-Y. We, in October, actually achieved highest ever monthly disbursement of ~Rs. 1,000 crores. Q -on-Q growth in units disbursed stood at 14%. The book size stood at Rs. 8,716 crores, which is now 19% growth Y -o-Y. Our two special prod ucts, which is Sabse Kha as Loans and the VIP scheme, which according to us is very customer -friendly product, increases finance penetration and more importantly, much more improves our portfolio quality and reduces collection costs. These two products, now penetration stands at 23% of the total disbursement in Q3FY23.

As a step towards expanding geographically, we have been opening new branches. As a result of attractive customer offerings and schemes, L&T Finance's disbursements have grown at 31% Y -o-Y, which was better than the industry average of 22%. By maintaining a strong focus on customer value, building preferred dealer OEM relationship with more than 5,000 dealers to grow our market share, the business is delivering on a strategy built around domi nating counter share of preferred partners and offering mutual value by leveraging the increased application of data analytics.

I would like to add here something very int

eresting that adding to our endeavor to create customer -initiated
journeys and reima gining customer engagement, we now propose to launch a digital Two-wheeler journey on PLANET App, wherein the customer can purchase the two -wheeler from the comfort of his home without visiting the dealer outlet. This would cover the entire customer journe y for selection, test drive of the two -wheeler, onboarding and digital sanction along with insurance, payment and setting bank mandates followed by delivery of the two -wheeler. With this, we believe that experience of purchasing the two -wheeler by a custom er would undergo a significant shift on the back of technology and digital process. We, of course, believe that the takeoff of this will be slow. But like all things digital, we believe the pickup after that to be pretty rapid and fast.

Consumer Loans: Our Consumer Loans, which is one of our newest products and our digital native product has now had a monthly run rate of about Rs. 400 crores per month during this quarter. Our digital aggregator partnership has now crossed Rs. 100 crores on a monthly basis. Disbursements stood at Rs. 1,228 crores in Q3. The business continues to build significant scale by cross -selling to L&T Finance's existing customers as well as open market customers. Repeat customer base increased to 44% no w Q-on-Q on account of active analytics engagement. The company increased its customer funnel through channels like new partnerships with e - aggregators and Insta loans for potential customers. In this segment too, we are working on initiatives like starti ng new programs for higher ticket salaried P ersonal Loan (PL) and of course, new to credit through banking products and increasing the spectrum of digital partners by utilizing the digital stack.

Retail Housing : The Retail housing disbursements now stood at around Rs. 1,200 crores, up 83% Y -o-Y and 7% Q-on-Q. We remain focused on enhancing disbursement volumes by deepening geographical presence, solid DSA partnerships and increasing customer retention. We have also worked incessantly towards reducing our book attrition, what is called BT out, through a proactive and improved proposition. The share of the self -employed segment in the overall H ome Loan (HL) disbursement increased to 33% now as against 12% in last year.
SME Finance: Last but not the least, act ually the newest product that we have is SME Finance. The pilot of SME product, which was launched in Q3FY22 has witnessed a steady pickup ever since. In Q3FY23, monthly disbursement crossed Rs. 200 crores. For the quarter, the disbursement stood at Rs. 538 crores, and the book size increased to Rs. 838 crores. This was led by significant geographical and channel expansion. We also launched a new product in November'22 in addition to our unsecured business loan. The new product is called Dropline overdraft facility in order to provide added value to our SME customers. The business has been operationalized in multiple locations now till December'22, and we expect it to significantly scale up in times to come.
2) Retail Collections
On the collection side, L&T Finance witnessed best -in-class collections in Q3FY23 across all business verticals, led by the company's concerted on -field efforts, analytics led prioritization and use of propensity -based data analytics to channelize resources. Collection efficiencies a cross businesses have trended extremely well.
Given the way collection efficiencies and performance of portfolios across various buckets is trending coupled with operational efficiencies, which are expected to kick in, in the medium term, we are confident that the Retail opex + credit cost will trend towards the targeted 7% range in the medium term.

3) Astute Liability Management
On the li

ability side, with the change in interest rate trajectory through successive hikes by RBI, the industry is obviously experiencing an increase in cost. L&T Finance continued its approach of locking in adequate medium - and long -term borrowings, whic h has helped us to contain the increase in weighted average cost. Overall, the quarterly WAC i.e., weighted average cost for Q3FY23 stood at 7.54% against 7.33% in Q2. Obviously, the increase in WAC was due to the re -pricing of floating rate liabilities an d higher cost of incremental debt. Here, the point of highlight is that the quantum of long -term funds we raised was about Rs. 6,500 crores in Q3 as against Rs. 8,200 in Q2 and last Q3 was just about Rs. 2,000 crores. Average CP proportion was kept low at around 9%, and this holds us in good stead because with Wholesale going, the overall ALM will work in our favor with the overall duration of asset side coming down. And that will obviously work in moderation of the increase in interest costs on the liabili ty side.
Given our product mix, as well as the pricing power and this change in ALM, now rapid change in ALM and the duration of asset size that we have been talking about, we are confident to maintain our NIMs + Fees level at, at least 11% despite any increase in weighted average cost.
4) Asset Quality
Last but not the least, the asset quality. Our GS3 now stands at 4.21% from 6.69% last year. NS3 stands at about

1.72% with a PCR of 60%. And as I already said, the Retail NS3 stands at 0.73% with a PCR o f close to 79%.
In summary, our established business strengths and proven business models with highest quarterly Retail disbursements, leading to consist ent NIMs + Fees, best -in-class Collections, along with a strong Retail Liability franchise resulted in excellent profitability and a stable and well -protected book. Also, the resilient and well -capitalized balance sheet positions us strongly for future growth. I would dare to say that wh atever we have been preparing over the last four quarters, whether it is a strong balance sheet, a strong liability franchise, business strengths, Retailisation, we believe this Q3 is, I think, the first quarter in which the profitability is very clearly, directionally coming forward, and we obviously expect to improve it Q -on-Q.
Having spoken about the quarter in detail, let me refer to the pillars of our Lakshya 2026 plans, which are four, which are:
i) Having a Sustained profit and growth engine
ii) Demonstra table strength in risk management and collections
iii) Creating a Fintech@Scale and
iv) Sustainable future growth through ESG
I've already talked in detail about the first three pillars. So let me talk about the fourth pillar, which is ESG and let me come to the conclusion.
L&T Finance has been one of the pioneers in ESG standards in the financial services industry. A big achievement in Q3 was L&T Finance receiving the CDP score of 'B' level in the recently released CDP score report for Climate Change 2022, which is a significant improvement over the previous score of 'D', received in 2021. The score signifies that the company is taking coordinated actions in climate issues and highlights the steps taken by the company towards sustainable processes and systems. And more importantly, also highlights the way we report that and the seriousness with which we take this. I would also like to highlight that the score is higher than Asia regional average of 'C' and the financial services sector average of 'B-'.

I would lik e to also share with you that we continue to work towards carbon neutrality in line with which we have adopted the use of "Green Power" across many branches in Maharashtra, including our Head -office in Kalina, which will help us reduce the carbon emissions .

We also worked on carbon sequestration through Project Prakruti with the initiation of plantation of 50,000 trees and have been recognized with awards like Social and Business Enterprise Responsible Awards (SABERA) in the gender diversity and inclusion c ategory, and UBS Forum Awards in the women empowerment category for our Digital Sakhi Project. ESG continues to be an important driver of our strategy and growth, and we are committed to build and report an ESG -conscious organization.
To summarize, I would like to say, that we have stayed true to our commitments and have been able to deliver consistent performance. The efforts which we put every day are guided by the overarching goal of making L&T Finance a top -notch Retail NBFC. We have laid out a path for launching multiple offerings in the future, which will supplement the strength of our current offerings. Looking at our performance in Q3FY23, I can confidently say that we strive and drive our efforts towards achieving and exceeding the targets of Lakshy a 2026, well ahead of time.
With this, I once again extend my good wishes to all of you, apologize for taking around 45 minutes, but I think they were very importa nt things to highlight in my opening comments. May the New Year bring all of you and your loved ones immense happiness, good health and a lot of success. I thank you for a patient hearing, and open the floor for questions. Thank you.

Moderator :
The first question is from the line of Saurabh from JPMorgan

Saurabh Kumar :
Hi Sir, Congratulations. So, this seems to be the clearing quarter for you guys. Just have three questions. What would be your market share now in the Tractors and Two-wheelers? Micro Finance, I think you'll be number 3, but what will be your market share? And are you holding to that top two or three position?
The second is if you can help with the write -off and the slippage in the quarter . So, your Gross Stage 3 has gone up a little bit. I'm just wondering what are those slippage s? And the third is, did I hear you right, that you said 90% Retail by March'24 is the internal target, even though the Lakshya target is higher? And if that is the case, then how are you thinking about this excess capital, which will probably be there on your book?
Dinanath Dubhash i:
Let me answer one -by-one. So, the market share in Tractors is approximately 15%. Market share in Two-wheelers will be 11% approximately. In Micro Loans, it depends on how people measure it, but it is around 5.7%. We are number 4 in Micro Loans, not Number 3.

Saurabh Kumar :
And Tractor and Two-wheelers sir, what will be the market share?
Dinanath Dubhashi:
As of December, what was your second question? Sorry, I remember your third question.

Saurabh Kumar :
Sir, Tractors and Two-wheelers, what would be your market position now?
Dinanath Dubhashi:
Number 4, Two-wheeler also.

Saurabh Kumar :
And Tractors?
Dinanath Dubhashi:
Tractors, Number 1, as of December end. But having said that, us and the next competition is a difference of a few 100 tractors. So, we keep having fun every month, measuring it. But it doesn't matter. I mean there are two, three players who are at the top . Especially, the two NBFCs that you know.

Saurabh Kumar :
What will be the write -off and the slippage?
Dinanath Dubhashi:
I'll just answer about this, because I can't give numbers which we have not given. But GS3 increase, I will just explain to you. There is a rapid drop in book. So, the percentages will happen like that. And in fact, you heard me guiding more -and-more on th e Retail RoA tree, Retail balance sheet. Because if I guide you on the total number, the better I do in our Wholesale sell -down, some of these numbers in short term will actually look worse.

So, I
don't want to guide you on the total PAT and I think that's for you to calculate. Because even today, I don't know how fast my Wholesale book will come down quarter -on-quarter. Based on that total RoA, total PAT, total leverage, everything will depend on that. And I can't obviously give very specific numbers for n ext quarter, because I don't know. I mean, if I knew exactly how much Wholesale I will sell next quarter, I would have sold it this quarter. So that would be imponderable.
And that's where our guidance comes. What we will strive at . I will not like to tal k about that specifically as they are internal targets, etc. We now believe that with the one -time provision that we have taken in order to deal with any discounts that the buyer may ask , for illiquidity discount, it can be pretty fast. And yeah, maybe we hope to touch about 90% by the end of the year.
And hence, now to actually take up your other question. In FY24, the calculations will show that the more rapidly we go towards the Lakshya goal of reducing Wholesale and Retailisation , the capital may look e xcess in this particular year. It may look excess. The Board still has to take a decision whether we will give a special dividend, etc. That is also subject to regulatory approvals. As you know that any speci fic dividend more than a particular amount in CIC, we'll have to take special approvals, etc.
So that's the guidance on the total leverage. And that is why if you would see through my speech, I talked about the Retail balance sheet, and the Retail P&L. So ye s, FY24, maybe, if I rapidly reduce Wholesale to say, 10%, the leverage may be limited in FY24, but then FY25 onwards, the leverage will only go upwards as Retail grows. That is why I tried and guided you without giving the numbers about the Retail growth that we are seeing. So, you would see that all indications are that the CAGR, at least for the first couple of years can be well in excess of 25%. So those are the indicators that I would like to put.

Saurabh Kumar :
And if that were to happen your fisca l 2025 RoA could hit at 2.8 -3%, I mean, if assuming , correct?
Dinanath Dubhashi:
RoA, that is Retail RoA? Yeah, we are quite confident of even approaching close to 3% Retail RoA.

Saurabh Kumar :
No, I was talking at the company level, so 90% by March'24?
Dinanath Dubhashi:
Exactly. So, Saurabh, that's why. It is everybody's calculation and guess, how rapidly, I reduce the Wholesale book. Correct? I mean , I don't want to give you all the analysts there excel sheets. And particularly for the reaso n that even I don't know. So, this is a very funny thing that the metric, which is total profit, will actually go in the opposite direction of how well I do. If I reduce it very rapidly, the upside of the balance sheet in FY25, will be even better. But FY24 leverage will be lower, and FY24 profit coming out of Wholesale will be lower. But the important thing to consider , I would invite all of you to think like that , the Retail growth trending definitely more than 25%. Retail RoA trending to 3%, well before time and most importantly, be cause of this one -time provision we have

taken, which we really wonder whether we will use it totally, but let's see. We don't want to -- this is based on valuations that we have done; we have kept it. But because of that, as I said in my speech, we are ve ry confident that any sell -down in Wholesale will not come and have any splinters or hurt the Retail profitability. And hence, the Retail profitability is very quickly approaching steady state. And I believe that FY25 onwards, when the Retail balance sheet is say, 90% or around 90% of the total balance sheet, the growth we'll be starting to see, clearly. I think this is as clear an answer that

I can give and very frankly, as much I can estimate. So, I will try my hardest to reduce the Wholesale book as much as possible. But unfortunately, what will happen because of that is leverage will be that much lesser. So, we should not be worried about that and look towards maintaining and growing the Retail book profitably for FY24, so that then FY25 growth will catc h up.

Moderator:
The next question is from the line of Kunal Shah from ICICI Securities

Kunal Shah :
So firstly, I think last time, our indication was we'll be utilizing this money more towards the macro prudential. And now it seems to be more like a complete markdown, and a fair valuation. So, this is more kind of realized or something which we expect to go through. And compared to that of the macro, the utilization or maybe the write -backs from this could be relatively on the lower side. So how should we look at that change in stance from say macro prudential to a fair valuation?
Dinanath Dubhashi:
I have not indicated macro prudential at any point of time. I had said the word, used the word strengthen the balance sheet. Because we had to also make up our mind as to how we will use it . Let me explain the difference very clearly between macro prudential o r any credit provisions and the provisions that we have taken. So today, the whole book is around Rs. 31,000 crores. Even if you calculate SRs, which are outstanding, it is around Rs. 35,000 crores, Rs. 36,000 crores. So that's the total book.
Now when we say that this total book, we will start at resolving, ask rapid prepayments, rapid sell down, etc. Actually, the value, as I said in my speech, when the valuer, when they looked at this overall portfolio, even whatever is the NPA and all that, when they looked at the value, fair value, it came actually quite close to the hold -to-maturity value. But then we felt and we also spoke to the valuer, our auditors , that trying and being very ardent about not passing on any discount , though we actually, the team carries the target of selling things at par value. But we recognize that the more rapidly we sell, perhaps the buyer may need some discounts on certain thing s, interest rates have also gone up , various things have happened.
And because of that, we have put this illiquidity value. So very clearly, if the book would have remained with us at the same pace or reduced at a normal pace of Rs. 2,000 crores or so per quarter, we don't think that we had to give this illiquidity discount. Because we plan, I mean , I indicated that we hope that we will come to 90%. So, you can do your calculation that how much the Retail growth is likely to be and for that to be 90%, how much the

Wholesale book will be. I don't want to give out internal numbers, but it is very easy to calculate. It will be based on your projection of our Retail growth and that is how it will come.
But you will see that whatever number you come to will be a very small fraction of today's book. A nd because we want to achieve that within a short period of 14.5 months, we believe that this will provide us with the cushion to be able to do that. That is how you will have to look . Whether there will be write -backs or things like that, we will know aft er 14.5 months, I will put it this way.
Kunal Shah :
And if we have to look at it in terms of the maximum markdown…
Dinanath Dubhashi:
Kunal, sorry. On the other side, whether there will be any further hit to the Retail P&L because of this, that we are very-very confident. So , as I always say, management has to hope for the best, we have to be optimistic, but provide for the worst and that is what we have done , that we have provided for a worst -case scenario that we may have to lose Rs. 2,700 crores while selling, which as you would see as a percentage of Rs. 31,000 crores is a very large percentage and that too Rs. 31,000 crores of a good book.

Kunal Shah :
And if we have to look at it in terms of the markdown, so between the Real Estate and Infra, how should we look at it? Because maybe still out of Rs. 31,000 -odd crores , Real Estate is at Rs. 7,300, so and Infra is still Rs. 23,000, Rs. 24,000 . So, I think Infra would not be so vulnerable to the markdowns compared to that of Real Estate and in terms of the proportion between the two, how could be markdown proportion you would see?
Dinanath Dubhashi:
I don't want to give specific proportion, but generally speaking your conclusion is right.
Kunal Shah :
And secondly, in terms of opex + credit cost, you said 7% -odd?
Dinanath Dubhashi:

That is correct. 7% for Retail. Today, it is around 7.5% -odd and that is how we think it will trend. I will also say why I'm putting this together, right? Because I believe and we firmly believe that especially collection costs and credit costs are very fu ngible costs. There are times when we have to switch one for the other. And the more we spend on collections, credit cost can be controlled at the very base.
And that is why we would like to see how these two trend. We will try to do better than that, but that's what -- so very simple, as I said, 11.38% precisely is today's NIMs + Fees. How are things going to happen? Costs are going to increase slowly as we go ahead, even though now RBI may not increase it that much . As we re -price our liability, definite ly WAC will go up , not rapidly but slowly. That is what will happen. Our product mix, even if it remains same, but probably little bit secured loans will grow. So that's what will happen.
On the other side, however, the tenor of Wholesale will come down and hence, our ability , overall ALM ability to raise shorter term loan, that is say 2 years, 2.5 years overall, vis -a-vis say 5 years will increase in the ALM. So, all this together, we are conservatively saying that NIMs + Fees should be around 11%. You would also see that our fees have also little bit come down this quarter.
I would upfront like to say, that we are also talking to some of our insurance partners about looking at various other arrangements of booking the full potential of fees. We are also, Board passed a resolution to apply as a corporate agent. Till now, we were a master policy holder. We will now be applying for a corporate agent and which would enable us to get the full potential of fees. So, all these things together, we are v ery confident of a minimum 11% and hence, if we were to target for a 3% RoA , expense + credit cost has to be around 7%. It's just very simple arithmetic is what we are looking towards.

Kunal Shah:
What would have been reason for lower net worth in Q3 com pared to that of Q2, particularly on the Retail side, post almost Rs. 400 crores PAT in Retail?
Sachinn Joshi :
Just allocation.
Dinanath Dubhashi:
My CFO will take this question
Sachinn Joshi :
Kunal, this is just allocation between the three businesses. As you would have seen, the provisions come in one entity. The gain is sitting in the holding company. So, it is purely the allocation
Dinanath Dubhashi:
I would say, Kunal, FY24 onwards, you will start seeing proportionality of the book . And that is why Saurabh's question, you take note of my answer , that Retail leverage will actually -- otherwise, what I was there, 3% (RoA) and close to 5 x, say, 4.75 x debt-equity, I would be comfortably above 15% RoE. But that will not happen because the moment the Wholesale book comes down, the leverage of Retail will also come down. And that will happen over FY24. And hence, the conversion of RoA to RoE and hence that RoE going to high teens will perhaps mor e happen in FY25. But I would invite you to say the potential of doing that by reaching steady -state RoA is pretty soon.
Kunal Shah:
And one last data point, if you can share Stage 2 for Retail because this…
Dinanath Dubha

shi:
You know what , this demand has been there throughout and I would -- I promised you last time that we will soon give it, I would reiterate my promise . We were not wanting to start giving some data in the middle of the year. From the next quarter, next financial onwards, we will give very detailed breakup of our portfolio.
Because now we are -- I used to give out these numbers. Now you know that the new regulations don't allow me to do that, unless I put it in the investor presentation. So , we will start putting it from ne xt FY onwards.
Moderator :
The next question is from the line of Rikin Shah from Credit Suisse .
Rikin Shah :
I had three questions. First one was on the NIMs. So of course, the consolidated NIMs have gone up due to higher utilization. But even if I look at the Retail yields in particular, they have increased 65 basis points sequentially. So, my question is, are t here any specific products which are driving higher yields quarter -on-quarter? Is it mainly Micro Finance related or you have been able to take price hikes across the product? That's the question number one.
Question number two is relating to the provision ing pertaining to the Wholesale book. On that particular point, I wanted to understand the provisioning amount that we arrived at, was illiquidity discount the only variable which we used to estimate this number, or were there any other variables and if ye s what were they?
And thirdly, just more of a question from an understanding perspective. While I believe that taking this provisioning was completely prudent, given that the Lakshya 2026 required Wholesale rundown to be done over few years. And if the boo k is indeed performing, wouldn't it have been better that rather than accelerated sell -down, if we could have recovered more amount and pay up for this illiquidity discount ? This is particular because the provision

that we have taken is substantial - 13% of the net worth, could more number have been recovered or we would

have run it over 2 years, 2.5 years rather than just next 14 months? That's all from my end sir.
Dinanath Dubhashi:
Excellent question. I will take the last question fir st. So, in my speech also and in the opening comments also, I said that it is mainly illiquidity, largely, because when the valuation was done based on credit quality, etc, given the provisions we had already made, the valuer didn't think it necessary that the value is very different. So, have we been conservative? I believe perhaps yes . I don't want to make too many comments about that. But yes, I would believe that it will be almost completely illiquidity. That is that to answer your first question.
Secon d, it's a matter of P&L versus value . And the Board and the management is completely convinced that if you look at valuation of peers, we believe that peers who perhaps have Retail business which may not be of the same quality as ours, get much better valu e. Finally, our job is to maximize the value for the shareholder and hence, the management as well as the Board believes that the earlier we are recognized as a Retail finance company, the better. And that's the reason. This doesn't mean that we will necessarily take huge losses or anything like that. But we wanted to give very clear strategic direction to this.
Also secondly, what happens that as much as we believe in the portfolio, you know that something happening can give some problem in Wholesale portfolio, Andhra Pradesh , some things here and there and it has always weighed down on investor feelings, perceptions, etc. Clearly, we want to finish this as early as possible and reduce Wholesale to a level where all investors are confident that it is a very small percent of the book now. And also, if at all any further reductions or losses have to be taken , they have been already taken and finished.
The Retail P&L, you can look at as a pure p

ristine P&L with no fear . Many times, I was told that sometimes we
are hit by some event or we get a negative surprise and all those things were said. We want to now ensure that there is no negative sur prise coming to the balance sheet at any point of time. This is in colloquial words, it is a dry powder , that we have learned from some analyst only, dry powder that we have created for any such issues coming up in the future. So , that's how you need to ta ke it. It's how the overall P&L will progress vis -a-vis value . We believe and hope that all of you will now give better value to us.
Rikin Shah :
And sir, on yield side?
Dinanath Dubhashi:
Yields. So yes, it is not just Micro Loans. There are three products, we saw very rapid increase in this time. And all are good yielding products ; Micro Loans, surely, i.e. Rural Business Finance, Consumer Loans, Farm and Two-wheelers , we saw very -very good increase . So, yields have gone up. As far as passing -on is concerned, I will be frank. Maximum pass on actually has happened in Infra loans and H ome Loans (HL) , where the yields are so less than we can't afford to absorb. So, we have passed on completely . In the other , Micro Loans, for example, we have stayed at 24% through the entire 225 basis points rise, because we believe that we are adequately priced. So that is how it has moved. Product mix has moved too in Retail, moved to a little bit more high -yielding products , but definitely not necessarily only Micro Loans. We give product mix numbers in detail. So, you can see that.
Rikin Shah :
Yes, that was from the loan book perspective. I wanted to just understand from a yield perspective. But anyway, that answers all my questions .
Moderator:
Thank you. Ladies and gentlemen, this was the last question for today. I would now like to hand the conference over to Mr. Dinanath Dubhashi for closing comments.

Dinanath Dubhashi:
Thank you. I will only say that let FY23 bring all of us, the country itself, very good luck in many things. We are now seeing, soon we'll have the budget. We'll soon, hopefully, be off major issues, major problems. We look at the economy with hope. We bel ieve that not only through the plans we have, the initiatives we have taken, but also performance that we have shown , we believe that we have earned a much -increased confidence from all of you and very grateful for you for the support you have given and wi th folded hands, would ask you to continue this support to us and give us the credit that hopefully we des erve. Thank you. Thank you very much.
Moderator:
Thank you. On behalf of L&T Finance Holdings Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies ,
repet itions in Q&A which would have unintentionally crept in, if an y

Call: May 2023

May 9, 2023

National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051. BSE Limited
Corporate Relations Department,
1st Floor, New Trading Ring,
P. J. Towers, Dalal Street,
Mumbai - 400 001.

Symbol: L&TFH Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications
Sub: Transcript of investor(s) / analyst(s) meet – Q4FY2023 financial performance and strategy update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q4FY2023 financial performance and strategy update held on May 02, 2023.

The above information is also available on the website of the Company i.e., www.ltfs.com/investors .
We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Holdings Limited

Apurva Rathod
Company Secretary and Compliance Officer

Encl: As above

L&T Finance Holdings Limited
Registered Office
Brindavan, Plot No. 177, C.5.T Road
Kalina, Santacruz (East)
Mumbai 400 098, Mahara shtra, India
CIN: L67120MH2008PLC181833 T +91 22 6212 5000
F +91 22 6212 5553
E igrc@ltfs.com (fjJ L&T Finance
www.ltfs.com

L&T Finance Holdings Ltd.
Q4 FY23 Earnings Call / Investor cum Analy st Meet
Transcript
May 2, 202 3

Management Personnel :
Mr. Dinanath Dubhashi (Managing Director & C hief Executive Officer)
Mr. Sachinn Joshi (Group Chief Financial Officer)
Mr. Karthik Narayanan (Head – Strategy and Investor Relations) 9 l&T Finance

Moderator:
Good morning, everyone. On behalf of L&T Finance Holdings, I welcome you all to the Investor and Analyst meet for the financial year 2023. Thank you all for gracing us on this occasion. We have with us today our Managing Director and CEO – Mr. Dinanath Dubhashi and other members of our senior management team.
Before we proceed, as a standard disclaimer, no unpublished price sensitive information will be shared. Only publicl y available documents will be referred to for discussions during this meet. While all efforts will be made to ensure that no UPSI is shared , in case of any inadvertent disclosure, the same would in any case form part of the recording. Further, some of the statement s made during today's meet may be forward looking in nature. A note to this effect is provided in the results presentation on the website.
I would now like to invite Mr. Dinanath Dubhashi to please come on stage and provide us with a detailed perspective on our journey towards 'Lakshya 26' and the way forward towards creating a Sustainable Retail Fintech@scale . Over to you, sir.
Dinanath Dubhashi:
Thank you, Cha rmi. Good morning, everybody. Hope all of you had a good breakfast and in a good mood to listen to this presentation. I am very happy to stand in front of you one more year after we presented the Lakshya plan, last year. I hope many of you were present at th at time. It was a meet that we had after a long time, after a long COVID period and we set a few guidelines for us, a route for us for the Lakshya plan in the quest to make us a leading retail NBFC which is totally digitally enabled.
Last 1 year has been v ery, very good for us, not just because of the results. It is because the way we executed the plan, the way we worked on almost every aspect of the plan and progressed on that. So, what my endeavor will be today is not only to showcase what we have done , I think that we have done in

the presentation. All of you
would have gone through the presentation, we had a 3 -day gap in between. So, I am not going to talk more about that.
But more importantly, to try and talk to you about how this is sustainable, how we will continue on this path that we have set in this 1 year, how we will continue on the path that we have set for 'Lakshya 26' as we go ahead . I mean , obviously I won't tell you how results will look but will at least give you enough material to have confidence to draw up the results line and see how various financial parameters, business parameters will look. Most importantly, we'll try and convince yo u that the success we have had durin g 2022-23, we will continue on that route, continue that success not only in the next year but the year after that and so on and so forth.
Let me just start. So, this is what we spoke about. Each word of this slide is im portant and I will explain as we go ahead. It is important that we are now a Retail company. As you would have seen , at the beginning of the year, we were 51% Retail, we are already 75%. I will talk about the speed that we are gathering as we go ahead. Digital, that also I will talk viz. what all we now do digitally , which is actually almost everything.
And last but not the least, sustainable. Sustainability has to be looked in 2 ways. One is how our ESG is working to make the world sustainable and our ratings as well as award s show that . But importantly how this journey is sustainable. We would like to convince you that it is not just 1 year performance, but you can actually look at this performance repeating as we go ahead.
We talked about digitally -enabled and the product focus to customer focus. Now this is very important, it is not

just words. Again, as we talk, I will explain the presentation. I will talk to you about the strategic importance of going from product focus to customer focus. So, we were a tractor finance company or we were a micro loans company or we were a two-wheeler company. From that, how are we becoming a Retail finance company is what we wo uld like to talk about.

So, just to refresh your memories, just 1 slide from the presentation 1 year back. These were the targets that we had set for ourselves. Basic 4 targets :

•Retailisation : > 80% would be Retail

As you would know, we started last year with 50:50. So, we set a very aggressive target that we will become more than 80% Retail in the next 4 years. We not only wanted to achieve this Retailisation just by reducing wholesale, but also growing Retail in a way as to gen erate value{[j; l&T Finance

•And the way Retail finance was growing, we set a target of a CAGR of 25% over the next 4 years at that time, 2022 to 2026 for ourselves.

•Asset quality, the important number here is net stage 3 of less than 1% is what we aimed for, retail asset quality.

•And last but not the least, after all this to deliver a ROA of 3%

Let me now just take you through the result s that we've achieved in just 1 year. This is slide from the presentation, actually all the slides are from the presentation, you would have seen them.

•As I said, Retalisation , instead of 51%, which was 51%, w e have actually already achieved more t han 70%. And hence the goal of 80% looks very much in near term and in fact, we are already revising that target upwards, I will talk about it as we go ahead.

•Instead of 25% growth , we grew by 35% . I always call it the Virat Kohli model, not the M.S. Dhoni model. I don't like to take it dee p. It is better to achieve good growth when the going is good and also create the right environment, the right tools, the right products, right digital infrastructure, physical infrastructure to see that this kind of growth continues as we go ahead.

•Net Stage 3 , great story. We are already at 0.71% . Not only has the Gross Stage 3 reduce d, but the Net Stage 3, we have actually already overcome that 1% mark. And at 0.71 %,

within companies which are at
least 50% rural out of total retail, you know the industry better than me, that 's very clearly a benchmark.

•And last but not the least, the ROAs have reached 2.46 % for the whole year and especially for Q4FY23 , we were within the touching distance of 3%.

I think we are pretty satisfied with the results th at we have been able to deliver and there is something that we say internally in the company when we say that 'okay, we will celebrate what we have achieved ', immediately the question should be 'what next ?' And that's what we will talk about today ; that wi thin the general direction of Lakshya, where we are going, how we have created the right kind of infrastructure to grow in the future.

Now, let us talk about each of these items a little bit in detail.

We talked about the book mix. This slide is very important. It absolutely shows how things augur well in the future. On the left side of the slide , we said from 51% , Retail has become 75%. And how this shows the possible future of the company which you have to analyze, you have to put in your models , that with this move, the profit has moved to 85% profit coming from Retail. What does it obviously mean is even with the provision coverages (PCR) that we have, as you know, our Retail provision coverages are ve ry, very high at 80%, this is the kind of profits that Retail delivers. It is very important that when you compare across the industry, we also see provision coverages. And with 80% provision coverage, we are delivering 85% of the total profit which at Rs. 501 Cr and Rs. 1,623 Cr is already moving in the right direction . 85% of that is contributed by Retail and hence, we are quite sure that as Retail percentage keeps going from 75% upwards, profit growth will be better than that. That's the whole idea of showing this slide.

Retail Disbursements :

Now let us talk about the growth and how we have achieved this growth. So, total Retail disbursements, just disbursements moved from ~Rs. 25,000 Cr to ~Rs. 42,000 Cr, which is a 70% growth. And more importantly, it is contributed quite well across business lines and across products. As you know, we have 4 business lines - Farmer Finance, Rural Business Finance, Urban Finance and SME . And the numbers there on the screen, I am not going to repeat them , shows that the gro wth has been achieved quite well across business es, right? And I have listed the strengths that we have under each of the business es. This is again nothing new, but sometimes it is important to put it there to feel confident that this is not a one -time per formance, that these are the strengths based on which we can continue to grow.

Well, the only thing I would like to talk about here is Rural Business Finance, this 70% growth has to be taken in perspective that the first quarter of FY22 (last year) was al most 0 disbursement, right? So, FY22, we did some disbursements but were largely 9 months. So, just to remind you, point that out, that we were still within COVID, that was the COVID second wave, FY22. Will we grow by 70% next year , disbursement s? Definitely not . But it will be a strong growth nonetheless as we go ahead.

The important thing here is in every business there are particular milestones that we achieved. {[j; l&T Finance

Tractors, we achieved a disbursement of 1 lakh new tractors for the first time. It is really particularly satisfying for me who came here in the very early days in L&T Finance , came to the country in the early days of starting tractor finance and I remember in the first year, we had done 2,000 tractors in the whole year and within 15 years , we have touched a mark of 1 lakh tractors, it is particularly satisfying for me personally.

Rural Business Finance, I think this ~Rs. 1,500 Cr, within March, we did actually ~Rs. 1,600 Cr. But more important and more satisfying number is 30 lakh new cus tomers were added within

1 year and that shows the capability,
the capacity to add new customers as well as do business with existing customers as we go ahead.
Various milestones in Urban Finance . The big milestone I would say is Consumer Loans, a product which is just 2-year-old is really, really catching speed now and we have crossed some real good milestones in this disbursement.
And last but not least, SME, that growth is extraordinary, but obviously because last year, we were still in the pilot phase. So, practically, FY23 was our first year of doing SME disbursements and we have done decently well.
Retail Book:
The book growth largely reflects this. We would also see that mathematics will work. All of you work your excel sheets and ti ll last year, till FY23, the book growth was lower than the disbursement growth because of the previous years. The previous years where the disbursements were very low because of COVID, this year the book growth of even 35% is lower than disbursement growt h naturally. Your model s itself will show that even for a 2-year or a 3 -year product, we are now getting into the good phase of growth where because of current book being high, the book growth will now catch up very fast with disbursement growth. So, I mea n there's nothing for me to tell you, all of you know your models and that's how we see that the growth will actually be excellent going ahead, no new points here, but again particularly satisfying book growths have happened which have been a very importan t part of this Retailisation journey.
Wholesale Book:
Now I am going to come to a slide which we believe was a surprise to the market, is the way we reduced our Wholesale Finance book.
So, somewhere in the beginning of Lakshya, we said okay, we are going to become a Retail company. We are looking at transactions, we are looking at selling our Wholesale Finance book, both Infrastructure Finance as well as Real Estate Finance . I have said it during calls, but I will repeat it once again. But this is the important slide that we started with the idea that we will be able to do transactions where we will be able to sell the Real Estate Finance as well as the Infrastructure Finance platform. We had different k ind of issues. Real Estate, there was a structure, a particular private equity had thought of and we didn't get regula tory permission for that structure, one. Infrastructure Finance , the issue was that of perhaps the issue of plenty, that we hired our investment banker, we did the transaction, we got a bite actually, complete due diligence was done and then we realized that a private equity player who is wanting to buy a $4 billion -$4.5 billion book could easily cut a $1 billion cheque for equity, that was not a problem. But raising $3 billion -$3.5 billion debt was next to impossible for that person from the Indian market and they wanted our guarantee . And obviously, that served no purpose . If we give guarantee for the debt, then the purpose of selling the book doesn't do.
So, we did 2 things. We decided that we are no w going to sell rapidly , even asset by asset. It's okay if you don't get too much value, we will sell because the Lakshya obje ctive was important, one. Second , now that we are saying that we will sell asset by asset , there is a chance that the person or persons who are buying it may ask for some discounts or because of interest rates going up, we may have to give any discounts . And that is why when we sold Mutual Fund, the entire profit coming from that we kept aside to enable us to give the team the confidence that we can sell down rapidly. And I am happy to see the result and the result is there. Our Wholesale Finance book ha s reduced totally to less than Rs. 20,000 Cr. Even we had not expected in the middle of the year that we will be at less than Rs. 20,000 Cr. Even we had not expected that Retailisation will be at 75%.
And now I can confidently tell you that the way we

have pl anned, the way we are seeing visibility of sell down, by
2024, we will reduce the Wholesale Finance book to such a small number that all Retail ratios, Retail profitability will slowly start converging with the overall profitability. {[j; l&T Finance

To give a specific number, we are very confident of taking Retailisation to more than 90% by FY24 itself. And clearly, if I'm saying it from the stage, it is very clearly som ething that we are very confident of, reaching a 90% Retailisation in 1 year. So, that is one target that we are sure to achieve and overachieve 2 years before i.e. Retailisation.
Okay. On this, there were a couple of more questions coming, and I will hand le some of those questions on those slides. There was a question about some Rs. 84 Cr entry in our results . So, we have given a number, and then there is Rs. 84 Cr, which is added back. Just to clarify, some of you had asked this question, right? So, just to clarify, we have a small AIF , very small, the book is just about Rs. 200 Cr, it doesn't matter. But when we did mark -to-market, we wrote down some investment in that AIF. That AIF, we own 55%, other investors own 45%. That Rs. 84 Cr is added back because it is the share of those other investors, Rs. 45 Cr. In the original results, an entire 100% hit is taken and then 45% hit is added back to that, obviously. So, just a number. So, the Rs 501 Cr number that you see is the net number t o us, final profit, okay? And Rs 1,623 Cr is the final profit to us. These are standard s of Ind AS that we have to follow . I believe I have explained it correctly. If you have not understood that is largely because I also don't understand Ind AS. So, my CFO will be on stage aft er some time, and he can be more accurate, okay? But what I understand that out of total loss, whatever was for 'others ' was Rs. 84 Cr, that was added back . Which means that, that AIF now is just about Rs. 200 Cr, completely marked down to market. We are c onfident of doing those deals and closing it. So, one more of those old problems over this year. One by one cleanup is happening. That was 1 question.

The second question was interesting. How much of the provision we have used, okay? So, again, just to explain the way I understand, it was not like we created that ~Rs. 2,700 Cr of provision from which we keep using. We actually valued assets, all the assets and wrote those assets down by that much amount, okay? So, as we sell the remaining, we will sell something abo ve that, so that will get revised. Then the remaining assets will keep getting revalued. So, plus/minus, plus/minus, will keep happening. And during the next year, it will be completely confusin g to do that. The most important thing is management assuring you that we believe after every month taking a review that there is not any substantial shock of any t ype or any provision coming into the Wholesale line from now. Whatever Wholesale provisions , a little bit you will see , that is another Ind AS standard that you have to recognize income on GS3 and then derecognize it again. So, no real provisions happening. It is only that interest income.

So, that's what we have done. Actually, if you add back ~Rs. 4,900 Cr disbursements that we have done in Wholesale Finance for 2 reasons. One is we are a going concern. There are commitments given to Wholesale, which we have to keep and as I said, for the first 7 months, we were trying to keep up the platform and sell as a platform. So, obviously, we were doing disbursements. If you actually add back the Rs. 4,900 Cr disbursement s we did, we have sold ~Rs. 28,000 Cr of Wholesale assets this year. And even with half that speed you see that, that 90% number is very easily possible, right? And that's what we are confident of . With your permission, I'll go ahead.

These are the 3 big strategic things that we wanted to do. I spoke about 2 already. Now I will spea

k about the

third one and it is of great strategic importance, which is the merger, okay? Once again, reminding you when w e started this journey in 2016, you remember this – 'Right Products, Right People, Right Structure '. And we said that ultimately, we are moving to create 'one company '. And I'm happy that finally during FY24, that will be possible. Why did it take so much time? I think the first merger that we did was of all the ICCs, all the loan companies, we finished doing the merger. Then there was the Infrastructure Finance company , there was a Housing Finance company, which, obviously, you will understand had structural regulatory advantages of their own. But we were very clear that we wanted simplicity and transparency more than anything else, right? Especially when you had a larg e wholesale book, lots of questions about in which company it is parked, what it is, et cetera. The best way to end all those questions was to have 1 balance sheet.

And hence, we merged the Infrastructure Finance Company and the HFC 3 years ago. Then only 2 were remaining. What was IDF that time, which is now ICL and L&T Finance. And you would ask why we did not sell it. The reason was very simple. We had a Mutual Fund and RBI was not giving permission to any operating NBFC to have a Mutual Fund. And hence, we had to wait until the Mutual Fund was sold. The moment the Mutual Fund was sold, we applied for this merger. The stage is this - RBI, we have got final approval. SEBI always gives in -{[j; l&T Finance

principle approval , we have got that. Stock exchanges, we have got our approval . And we have finally filed , we have to file in 2 courts , Mumbai NCLT is filed already , Kolkata NCLT will be filed as we speak today, tomorrow, sometime. And we are pretty confident that with this, we should be done definitely during FY24, hope fully, around Q3.

Why is this important? Important for many reasons. One is synergies, et cetera, that is there. But Capital management. Today, one of the reasons that the leverage is low, one of the reasons, other than, of course, we have a lot of equity , is that within that ICL (Infra Credit Limited) company, the leverage is even lower, and we can't touch it. And can't touch that capital unless it is merged, right? Also, liquidity ratios. Now LCRs have to be maintained in every company at every bucket, un necessary liquidity will have to be kept in every company. A merger will take away that requirement, right? You would also be interested to know that we prepaid all the preference shares, et cetera, we had in L&T Finance Holdings. Now L&T Finance Holdings is genuinely a zero - debt company, which actually makes a lot of things easier in this merger. Last but not least, dividend policy. And this is very important, okay? During COVID, the regulator came up with a guideline saying that any NBFC can declare at mo st 50% of its profit as dividend.

So, now imagine L&T Finance can declare 50% of its profit as a dividend to L &T Finance Holdings (LTFH) . And LTFH can declare a maximum of 60% of its profit after paying its expenses, okay, which is salaries of few of us, not much. That leaves very little for a dividend, right? Also, we made a big profit by the sale of Mutual Fund. But the same guideline says that anything which will be considered extraordinary cannot be used for declaring dividend. So, we have actually appl ied to the regulator saying that sale and purchase of Mutual Fund or any other asset is not extraordinary for a CIC. It is a business of an investment company. And hence, permit us, let us see what happens. But even if that doesn't happen, from next year onwards, it will be one NBFC. And according to the guidelines, you can do 50% dividend payout ratio, which will take away all the constraints that are there from capital management and will free the Board's hands to actually manage capital in the most efficient way

,

depending on growth, depending on risk, safety and most importantly, keeping in mind the interest of shareholders. So, all these things will be possible once the merger is done. And that is the importance of the merger. It is not just one s tructure coming together. That's what I wanted to explain.

Asset quality :

You have seen this continuously improving asset quality. I mean there is not much to talk other than the fact that Rs 1,171 Cr we still maintain as standard asset overlays on top of all these provisions. So, for a balance sheet, as big as ours ~Rs. 61,000 Cr of Retail assets, we have Rs. 421 Cr of Net Stage 3, okay? And that, I think, is

really for a company which is 50% rural in Retail, it's really a benchmark.
More importantly, we have to see how we achieved it. So, it is easily possible to achieve it by trying and rolling back what moves to 90 days or something which is Stage -2. And that is why this graph is important. This we have been showing now for a few quarters. Product after product, continuous improvement in regular collection efficiency. This is zero bucket collection efficiency. And the whole idea here is to use analytics, use propensity to pay metrices to make sure that the minimum slips at this level. Because very frankl y, when it moves from this level, we can still collect but it involves expenses, right? Collections that happen at this level is at 0 or very low expense, very clearly.
After that, we have to spend money to collect. The graphs are in front of you. I don't want to talk in detail. P roduct after product we are maintaining absolutely good and improving collection efficiency. And the slide which follows, this is something many of you had asked for the last year, and we will now start sh owing. There are some people who ask me why not show Wholesale. The reason is obvious, we are selling Wholesale. We are rapidly selling Wholesale; ratios don't make sense. I mean, we don't know, you don't know which asset we will sell, whether it will be a Stage -1 or Stage -2, we hardly have any Stage -3 assets anyway in Wholesale.
But the more important part will be to see over the next 2 quarters how Wholesale overall book is reduced and that we are committing that we will reduce rapidly. You will see here across Stage -1 and Stage -2 and Stage -3, continuous improvement and very strong PCR, okay? And this now we will show quarter -on-quarter. Every quarter, we will show the previous quarter and the last year same quarter for you to judge how we are moving.
And with that, now we come to the last part. I have been guiding always how we will achieve this 3% ROA, okay? This is how the FY23 ROA tree looks. More importantly, look at the Q4 ROA tree, okay, with 11.87% 'NIMs +Fees'. {[j; l&T Finance

I know that I have been telling that 1 1.4%, 11.5% is difficult to maintain, and it has only increased after that. But 11.87% is not sustainable. It is not sustainable. Very clearly, as Urban products catch up more, this is going to reduce surely. Also, interest costs are going to increase by a nother 30 -40ps. As you know, as repo rates increase d by 250 bps, our overall costs have increased by just about 70 bps. As ALM is managed, banks pass on some of the increases, we believe that over the next couple of quarters, our cost of funds will go up by 3 0-40 bps. Both these things will moderate this 11.87%. I'm not saying it will suddenly come to 11% or anything like that, but it will moderate. The important part is that the way credit cost plus opex , we are managing. You will see some small increase in opex that some onetime amnesty schemes, et cetera, being used and also some investment in IT. But we are confident that this 4.41% plus 3.59% will start moderating to 7%, very soon, during FY24 itself, right? And that will get us quite comfortably to this 3% ROA.
A lot of people ask me – 'should I do this 3% ROA target revision upwards ?' Let

's see. Let's hope that we give a
few quarters of more than 3%, and then we can do it.
So, this is just the summar y of what I have said until now and which completes the journey of FY23 . Rest of the slides, I will actually talk about why we think that our Retail journey is sustainable. Why we think that we are putting all the right elements to succeed. A lot of people ask me - Retail everybody is doing, digital everybody is doing , everybody is talking the same language. Why will you be successful?
One of the reasons is we were one of the first ones to talk this language. And hopefully, we will convince that we are doin g a lot also. That's not to say that the other people are not doing. But the most important thing here is the way the market is developing. And I will talk about that, and I will actually put my strategy, juxtapose my strategy with the changes happening in the market character which will hopefully convince you that the way we have set out on this journey is one of the ways which can lead a company to success, okay?
So, this is a slide . All of you are very well aware of what's happening in the market. I have pu t it only to put what I'm going to say in perspective. I personally have been in the retail market from 2007 -2008. And I have seen the market changing drastically. If you take time till 2015, yes, some of you around are of my age, you will know, many of you are much younger. These were the big bad days, where NBFCs were supposed to do business, which are rejects of banks, right? Also, there was hardly any credit information available about the customer There were no bureaus to speak of. I remember when I j oined L&T Finance, there was a discussion happening whether we should give information to the bureau because competitors will use that information. This kind of misinformation was there. Even within company management, in my own company management, even, I 'm not pointing fingers at anybody . From there a time today where this information not only is reliable but completely democratized. The industry had to change along with us. So, till 2015 was a time of very asset -based specialization. The reason was very simple that the customer information was simply not available. So, companies specialized in a tractor or compan ies specialized in home finance, companies specialize d in car finance, compan y specialized in CV finance. There is a company specialized in second hand CV finance, gold finance. Now it will ring the bell, right? That customer information was just not there unless it is your own customer. Even if it is your ow n customer, where was the database , analytics to actually use it, right?
I mean, very frankly, 6 years back, if my own tractor customer would have walked into a 2 -wheeler dealership and taken a 2 -wheeler, I wouldn't know it's the same customer. No chance. I will take th e Aadha ar card photocopies, and file it. By luck, if the credit bureau would have told me next month that it is matching, then I would know from the credit bureau that it is the same customer, okay? And this is not only, I am laughing at myse lf, but this is what the industry was. Anything else, anybody tells you , don't believe it till about 2015. That is the way it was.
Then came a time when bureaus started coming of age and customer information now started being available, not only whether ho w much loan he has or whether she is or he is on time or not, but things like credit scores,

things like line -wise information available, much more thicker files started getting available. Microfinance bureaus came in to being. And a time came where for a microfinance customer, the hits were higher than urban customers with Highmark coming into being . And life changed. From there now moving to a place where something like even microfinance, RBI feels confiden t to say you have to do FOIR -based lending. FOIR is fixed obligation to income ratio. Imagine microfinance,

RBI became confident to say everybody will have to calculate FOIR. This industry has moved from - your field officers fo rm a group, you lend and then you pray. This was the situation 10 years back. From there it moved - we form a group, but every person of that group, I will know how much she has borrowed from how many people and what is her credit record. From there, we have moved to not only this, what {[j; I&T Finance

is her income, what is her family incom e, what is her family indebtedness? The market has moved and market has moved drastically. Information has moved. And that's where digital, data analytics are not just key words, they are the only way of doing business.

I remember the first time I borrowed a car loan. It was from my roadside corner bank called Saraswat Bank. I'm a Goud Saraswat Brahmin, normally, you will go to Saraswat Bank. It took me 10 days to sanction a car loan and every day I had to find out which table the file has moved. And when I say file, it was actually a file, really file looking like a file, right? This was 1996-1997, something like that. And from there, now actually on a thumbprint, you can give a car loan. When all these processes are don e, it's not like that we don't do any process, every process is done, but it is done electronically real time. And that's the way things have moved. And based on that, now strategies have to move.

Assuming that generally people have no big objections to w hat I said until now, I will go ahead. This is the first strategy change that we did. After 1 year, I'm feeling confident enough now to explain the thinking behind the strategy and why we believe that this strategy is sustainable. That while we were good i n some products, we said now with the kind of information that is available with the bureaus , with the granular environmental information available and last but not the least, the 2 Cr+ borrower informati on that we have and actually 2 Cr+ family informatio n that we have , now we should do more than just selling products. And we divided ourselves , 1 year back, we had a tractor finance, two-wheeler finance, th ese kind of product lines, which we used to call business lines. Now we have divided ourselves into real business lines or client ele.

We have 2 rural business lines. One is rural individuals, which is Farmers and rural businesses, which is Rural Business Finance. Micro loans is part of that. On the urban side, urban individuals, where we have 3 products at this point of time - Home Loans / LAP, Consumer Loans and Two-wheelers . And urban small businesses, which is SME.

The whole idea here now is there is 1 strong chief executive reporting to me directly working on these customers and not working on a particular product and being able to find the right product for these customers. There are a lot of people who ask me that shall we do this product or that product. The whole idea is as long as those products make sense for my customers, their ecosystem, their families, and they are profitable to me, I will do that. Otherwise, I will not do it, it's as simple as that. Any new product also.

So, this is the way the organization responded. And we said, okay, there are going to be 3 major parts of our strategy. One, how to improve and continuously gain market share in our existing products, how to make them our fortresses. And the n how do we deepen customer engagement more and more using these products and using more products for those customers. And last but not the least, how do we make this sustainable by making sure that risk is managed properly.

Now risk, as we understand, the main risk is credit risk. All of a sudden, you are moving where the human being in most of the products, some products that is still there, the human being is not doing the underwriting. A machine is doing underwriting. And as good as the machine is, as g ood as the programming is, they will do mis

takes. And as we do mistakes, what are the early warning signals that we take, and what is the capacity of the engine to take feedback and improve almost in real time. We have not come to real time, but very quick ly. How do we improve is going to be the strategy as we go ahead.

So, clearly, as I said, the state -of-the-art technology and deep analytics - becoming Fintech @Scale. And Fintech @Scale also has a meaning, okay. As I said, there are lots of fintech, there a re very, very few companies, which have scaled . I mean even less than finger s on a hand . And we believe we are one of them who is using technology so strong with Rs. 61,000 Cr Retail balance sheet, which within a couple of years may become Rs. 1,00,000 Cr. So, that's the scale that we are using fintech for.

How does that translate to product strategy? And also, people ask, this 25% CAGR how will you maintain ? And this is very important because our 3 main lines of business will they always grow by 24% -25%? We don't know. Tractors, two-wheelers ; two-wheelers, still has to come to pre -COVID levels , Micro Loans . I believe that over the next 4 to 5 years, these businesses are going to do tremendously well. I'm not going to get into that discourse right now. There can be seasonal 1 year it will be down, then it will come up, whatever, but the general trend is good. And we being one of the top 5 in every business - Tractors No. 1, the other two businesses – No. 4, we will do well enough to gain a small market share every year, and that's our confidence as we go ahead. Will that be {[j; I&T Finance

25%? Probably not disbursement growth, book growth may happen but probably not. We will be industry growth

plus / minus 0.5% -1%, naturall y, these are mature products.
But today, we are in a position where because of changing the strategy on time , there are other products in the armory which are growing faster. Consumer Loans and SME, new products growing faster. H ome Loans , we are on a new breadth of fresh air. We have not been doing great over the last few years. A new team has come, new engines have come. Sanjay joined us from Kotak. He was the mortgages head there, and this business is really taking off now. And these are going to be our growth products.
And then last but not least, products, which are still not there . Which is Rural LAP, we have all the know -how to do it. Which is Rural Business Loans for families . Which is Agri-allied loans . Where today we are not there . We are about to launch with our existing customers and their ecosystems and something which will g row from 0 to something. So, there are 3 categories of product s with different growth rates. The products on top left, contributing more to profit and these other 2 products range s in contributing to growth. We believe we are in a good phase of profitable growth right now.
This is largely a show of strength - the 3 ma jor products . There are times I keep hearing that there is growth now, later will there be growth. After that whether asset quality will be there or not. That is why I will just leave this slide there for you, both in book and disbursements. We have been i n these products for 10 years and more, I've shown you the growth over 10 years, maintaining profitability, maintaining market share and most importantly, maintaining asset quality. This is the track record of L&T Finance in these 3 products. Hopefully, it should give you the confidence that we will continue to do well. More importantly, just look at the customer base that we have acquired. Yes, surely, there is maybe 1 or 2 companies, probably 1, which has a higher customer base than us. No doubt, but that 's life. That's where you start and in any case there is a lot of difference between the valuation. So, it's okay, right?
So, we can always grow, catch up. But more importantly, a large part of this database is rural, and that's where we a

re strong. No one even comes close. And that's where the profits in a financi ers' wallet lies in rural. There is no doubt about it. More new to credit is rural . And that's where growth opportunity, opportunity of increasing penetration lies in rural.
I will take one more topic here. There is a lot of news about a fantastic company entering into Micro Loans, right? And some people ask me, is it going to disturb you in Micro Loans? Let me explain something ~50% of my Micro Loans customers are having only L&T Finance as lender. That means they are new to credit, ~50%. Do you really think that 50% of rural lady borrowers are really new to credit , that they have 0 borrowing ? What it means is that they have been borrowing from th e unorganized sector. So, I have either replaced or added to unorganized sector borrowing. And the problem is that there is no way to know whether I have replaced or add ed to because that data is not there in the bureaus. And more good professional competi tion coming is good not only for the sector, it is not one good to say sentence that 'something good will happen to the sector ' but 'something good will happen to me also .' As more of the customers get into organized lending, the asset quality for both me and the competitor coming will get better. It is good for both of us.
This is a stage today in Microfinance where good quality competition is welcome because we will work together to take out the unorganized sector, which is the need for the cou ntry, need of those people . And we are a profit - making company , it is definitely good for our asset quality, which can improve even further from where it is with more reliable information now available about those customers.
Now this is what I've talked ab out already. I think I'm going ahead of slides and talking. This is now the cross - selling and upselling strategy. So, each of this, i.e. rural business, rural individuals, urban individuals , I have not covered urban businesses here. We are too new there. T he hook product is Rural JLG loans, Tractor loans and Two-wheeler loans and Home loans. They are the hook products. We have started using them already to do up - sell, cross -sell. I think 1 statistic I can give across products, if I take an average, 1 out of ever y 3 loans that I give is to an existing customer, okay? And I think this is a very strong number. We are at a great position where we are acquiring new customers and at the same time now starting to sell more and more to existing customers. We are already at 4.0 products per customer out of which approximately just 1.4 is loan products and about 2.6 are protection products and insurance products. As we go ahead, this 1.4 even if it starts touching 1.6, 1.7, the potential is huge. {[j; l&T Finance

There is another development I would like to talk about. In Q1, hopefully, 99%, we will get our corporate agency license and we can move beyond using our cross -selling strength to sell insurance, not only now to our customers but to non -customers also. And that's another u pside for income as we go ahead. Today, we are restricted to sell it to our customers because we are not a corporate agency. Now we can start selling to non -customers also.
And now juxtapose that with the distribution strategy that we have. Now this is ve ry interesting. How fintech is used? So, the first level of distribution, you can start from the bottom left is obviously your dealer network, your branches, your DSAs, your aggregators, et cetera. The second stage, and we have been through all the se stage s, is using data analytics to choose them, to be selective about them. Let me address another question. If El -Nino comes, what will happen? So, first of all, my economist will tell you it is too early to talk about that. Monsoon, we will know maybe in a mo nth or so, exactly how it is coming. But more important ly, data available shows that reservoir le

vels are very strong. Market rates for commodities, the other side of inflation is that farmers are getting good money. And then something that I always say , I don't want to sound like a party political, but I always say that direct benefit transfer, the 'JAM Trinity ' has genuinely changed welfare in rural India over these many years.

With this, now the monsoon will still affect, but the effect is less. But tha t's not the point. The point is the availability of granular data on the ground . Now you can move away from saying if monsoon is not good, then tractor will become bad. If monsoon is good, then tractor will be good. Now we can say this almost pin code by p in code, which pin code, which HP of tractors is likely to do well. And based on that , select dealerships . And juxtapose it with that dealership's portfolio performance, that area's portfolio performance even off us because that data you get from credit bureau . And then choose.

So, the second stage is actually moving from carpet bombing to daylight precision bombing. So, if we have to take a 16% market share in tractors, first of all, we don't aim for a market share. But, when we used to aim for a market share, what d id it mean? That so much tractors are sold, I have to do 16% of the total, right? Now it doesn't work like that. Now the way it works is, I have chosen so many dealers to work with. Out of which, so many are my concentrated dealers. I will go for a 50% -60% counter share there . I will have all schemes with him. I will give better LTVs to him. I will give better in terest rates. I will put my people at the dealership. I will invest totally in that dealership , because of his asset quality and the probability of his sales being good . And his counter share with me will be 50% -60%, which will now work to that 16% -17% m arket share. So, resource allocation becomes very important here, and data analytics helps us.

Then we move to assisted apps and centralized underwriting. That is , my people started going with their mobile s and booking everything paperless. We have finish ed that journey also.

And now we have come to the last leg of D2C apps. Now the important part to note is none of this is replacing each other . This is only an additive. Each one adds another channel. So, we have our branch and dealer network, then we put analytics to choose the main ones, the important ones in this, then we put assisted apps and then the D2C app. This is the distribution strategy .

Now juxtapose the organization structure, the product strategy and the cross -selling strategy. This is how everything comes together.

So, let's talk about each one of them. I'm just going to show the slides. These are good numbers. The whole idea is to show you. This is not to show off but to show that we have strength s on the ground where we believe that thing s can be replicated. This growth can be replicated.

So, this is the first stage , you remember ? Just the structure, just the network. Add to this , is this kind of branch network. On your left is our urban network, on the right is the rural network. You wil l see why we call ourselves a rural company but now growing in urban . Total physical points … so, just by saying digital, we are not letting go of the physical network, almost 1,860 physical presence and that's how it looks.

And then we come to the use of data and data analytics to use this network more efficiently . And that's what I talked about . The dealers that we choose , we give them the industry best TAT proposition, completely algorithm ic approach , trade advance, and clearly a dealer portal so that the dealer…. like all of you have an app, the dealer will have an app or portal where he gets all his information; where his case is, everything; straightaway online. I am going to just leave this slide. I am not going to talk much. Very clearly it shows our strengths.

And for all this, naturally what the dealer g

ives us is good sales volume, a portfolio which performs better than others, counter share, and of course adds to our distribution network. Very clearly , this is the output. Very simple , {[j; l&T Finance

but I will just explain. Any of you who have gone to rural or semi -urban areas, you will see one big difference over urban, over Mumbai. I have not yet been able to figure out exactly why but you will see that all tractor dealer s will be on one road or all two-wheeler dealers will be on one road one after the other. What does it mean? That when a customer enters a Honda showroom, if the sale is not closed then and there, he will go to a Hero showroom or to a TVS showroom and most probably the Honda dealer will lose that sale forever . Because you don't have to travel, you have to just walk next door.

So, what does that dealer want? Of course, dealer payouts, etc., are there. But what he wants more is the sale to be closed then and there. What does it mean? First of all, there are 6 -7 financiers there. If I am the financier of his preference and why do I become financier of preference is because I say yes immediately even before the test ride is over . Even more importantly I say no even faster than that. I can say no to a case as soon as it is entered in the mobile. It will say no. Why is that important? Because the dealer now can immediately give the file to another financier who is sitting next to him and close the sale. This is very-very important in rural and semi - urban India. That is the importance of turnaround time. It is not just showing off that my turnaround time is better than anyone else. This is the importance of turnaround time.

A lot of people ask me how, why people borrow at this interest rate, etc. Very frankly, at Rs 2,000 to Rs 2,500 EMI, 1% interest rate is Rs. 10 or Rs. 12. It is not much more. It doesn't matter. One thing today that a financial customer wants is less hassle, saving of time, and availability of money when they want it. Very simple. I will ask you, anyone of you , if given a choice of 1% cheaper rate but you have to go to the bank 10 times to sign documents or 1% costlier and you will get everything on an app, 99% you will choose the costlier one , perhaps except for home loans which is a 30 -year loan and that's why 1% will make a difference. That also, mostly, you will take the costlier one and after 6 months you will do a Balance Transfer. That is because the regulator has said no prepayment penalty. But 100% of times, you will look at the interest rate later. There are times when we have regretted going for the cheapest loan when you have to sign at 49 places. Even just signing, right? A paper document coming in front of you, even 49 signatures one time is painful. And when technology is available to make that as an e -sign, why would you do that? And that's what is important. Taking it beyond narratives that rural person does not use digital. It's the narrative which is almost laugh able. My every microfinance customer

signs on the mobile; physically signs on the mobile of my guy. What will be the problem? That a microfinance customer may not have a smartphone. 70% of the people may have feature phones. Okay, no problem. But my person goes with a smartphone, right? So, where there is a will, there is a way. And you can always make sure that that works.
I went a little bit away from the topic, a little bit passionate about it, but what it means is as long as you are competent, you are n ot out of the market. If the market is paying the dealer 1% commission, you say that I will not pay anything, then there will be a problem, but you need not pay 1.25% every time. You can be even little bit less than the market and the dealer will give you the business because his main income comes from selling tractors or two-wheelers. And if you help him to sell more tractors and two-wheelers, he will give business. And more importan

tly resource allocation. This is also important. When there are so many de alers, where do I put my people? If I put my people in every dealer, my cost will run up. If I don't put it, he will not give me business. So, what to do? And this again, analytics tells you where to put resources, how many resources. Resource allocation, again, one big addition from analytics.
Then we come to assisted apps. This has been the biggest journey of the last 2 years. That each one of our major products now uses no paper. All documentation, everything, KYC, selfie, liveliness check – whether the photo is taken actually or taken the photo of a photo, multi bureau check, machine learning scorecards, income assessment, and most importantly e -agreement and e -signing is all done by app now. And obviously, it gives a superlative customer experience .
And then last but not the least , PLANET app. And this is just the beginning of P LANET app. We are just 13 months old in P LANET app and it has been absolutely a runaway success. Lots of servicing happens there. 42% of our total servicing happens through P LANET app and 71% now through digital channels and more is coming. More and more D2C journeys are coming. We also made actually a two-wheeler D2C journey available on P LANET app. It is frankly not used much. You can actually buy a two-wheeler and get it financ ed without seeing the dealer even once. That's the journey available; test ride at home, delivery at home – all done. We will have to make it more popular . Plus Indians like to visit dealerships even now. But slowly it will change; and we are moving there. {[j; l&T Finance

The success numbers of P LANET app are here. This was not there on 31st of March – as we speak, we have completed 3 million downloads. In January, we completed 2 million. In just 3 -1/2 months, we have completed 3 million downloads. Now even rural is picking up. These downloads are still just about 2.8 lakhs but it is picking up. Just 3 months back, it was 1 lakh, rural, and it's picking up now. Very important is that funnel of service and this is something we are now investing in , in reducing future c osts. That within 1 year, we have moved from 55% service handled at branches to 11% and 23% call center to 15%. Both the quality of service and the cost of service is going to transform drastically. And this is another building block of what we are trying to build.
Then, you remember the third thing which was risk, and now risk has to be looked very differently from here. You remember the time where every underwriter used to get incentivized by – 'that you should not do a mistake? ' From there, now it is all AI-based. Yes, you actually expect or give a le eway that this many mistakes are bound to happen. So much mistake is allowed to the model. And every time a mistake is made, the learning from that gets back into the loop. Strong portfolio management reviews and techniques are very important for that and all that now is in place. And you will see because of that, month on month, not only the NPA – NPA performance is actually a very late way and very ineffective way of measuring a model. A model is measured by '0 DPD ' performance and '0 DPD ' is improving continuously and obviously after 90 days NPA will improve. That's obvious as we go ahead.
And now we come to the last part of what we want to talk about. This is a very technical slide. This is the route map, t he design, of what we call Fintech @Scale .
Scale to be understood easily. There is no point building a fintech, a great app, without scale. We have the equity; we have the borrowing muscle to really build scale and then absolute top -class structure for sca lability. Gone are the times of on -premise infrastructure. It is not scalable. So, we are – other than what the regulator requires to be on-prem – almost completely on the Cloud and totally scalable.
We have completely automated proc

esses. I have also put the people we work with , SFDC workflow, comple tely business rule engines, and a fintech ecosystem. There is no point replicating what other people are doing. We do API integration to actually use that.
Third very important point is security, very topical. It is important you can never be 100% safe in this world. You have to make sure you are not the low -hanging fruit. Because, very clearly, here the danger is to the lowest - hanging fruit. So, you have to be better than almost everyone else in the market. The hackers will always be ahead of whatever any security measures do, but you can't be a low -hanging fruit. And we are sparing no expense in doing that. ISO 27001 cer tification already….
And then last but not the least customer journey s built on both assisted as well as D2C app. This is the total structure of our fintech at scale.
I will just expand it a little bit what it means for customers. This I've talked a littl e bit but this is what we do while customer capturing. And this delivers a customer value proposition of turnaround time which our company as a culture believes is the most important customer value proposition . Something that Indians lack today is time, whether you are a rural customer or an urban customer .. even a rural customer comes to the taluka bazaar once

a week or once in 15 days and he needs to close his business that day. If he comes to the branch and sees a long queue, he will then come after 1 mon th and you r payment will be delayed that much. Very simple. If he wants to buy a tractor, he wants to buy a tractor on that day. Everything needs to be closed on that day.
When a microloan customer wants funding, she wants it on that day. Delivering that w ithout taking stupid risks. We cannot take a KYC risk, we cannot take a fraud risk, we cannot take credit risk. Why are you doing this? And technology helps us. So, many times speed is defined as, we can take away certain processes. That's never the purpos e. Yes, you can take away the process as such but what is achieved by that process? The purpose of that process cannot be taken away. It can be done by technology and data. And that gives speed. A human being may take some time, right? Last 3 -day weekend, the human beings in the head office were home other than the people who were preparing for this investor meeting; they were home. The human beings in my branches were working when the dealership was open. For Micro Loans people, I don't know whether there was a weekend. This was a month end. Where is the question? So, they were working – all of them. But the AI was working all 72 hours and that is important. And when that happens, speed happens.
The next part is saying that where all now we can use analytic s. And very easily understood is - for choosing of customers you can use analytics , for underwriting you can use analytics. This is understood by most people. But {[j; l&T Finance

we use analytics for sourcing, as I said, by granular environmental data – where to source fr om; one. Underwriting I need not talk much. Many people do that. Now, where we use analytics is for collections. Are we achieving these kinds of collection numbers by taking too many people in collections? Even if we do, it won't work. What is important is to know to a particular confidence interval, what kind of probability or propensity to pay each customer has. In his particular area, what is the need for resources and do resource allocation according to that.
Doing geotagging of customers – this was one of the biggest liberations we had. One of the big problems of Retail is the turnover of feet on street. It is more than 50% across companies, for the feet on street. They will go to another company for Rs. 500; as simple as that. Add to that a particular problem is rural India where address is not by flat numbers and apartment number s. The address will be "behind Maruti Mandi

r" and complete address,
that's it. Taluka so an d so, over. Now just put these 2 problems together. That your person is changing every 6 months and address is not known. Biggest problem of rural India. Resolution - technology; geotagging of every customer at the time of sourcing. Not only improves that I can locate the customer easily; secondly, I can actually do a route mapping of each of my person saying that you have to follow this route and do it efficiently. Now, that person doesn't have to think where to go. The computer tells him you travel like t his. The computer can track whether he has traveled like that or not, how efficient he is. The sky's the limit as we go ahead.
This has been put just to show that currently and in future for what all things we are using scorecards. Scorecard is normally un derstood as a credit scorecard, but we have come to a stage where things like propensity models –bounce predictions. Bounce predictions is very important. Otherwise, you will either spend money calling up everybody to remind and nuisance or you will not c all up anyone. But based on the behavior of the person to see whom to make pre -presenting calls, which customers not to allocate to a collection team by saying that "Okay, this person will not bounce." All these things are now shown by scorecards. Normativ e grid – Well! This is amazing. Initially, every time a repo asset had to be sold, there was a huge process of approvals and then finally at what price it is sold is based on the assessment of that approving authority. Now, there is a grid based on market price, based on our experience, asset quality, there is a grid. Above that grid if you are getting a price, there is no authorization required; just sell. Just see how efficient each process is becoming as we go ahead. We will continue to grow like this.
This is the last slide, I promise. I have taken a little bit more than what was allotted. On the right side, you see the numbers. On the left side is the summary of the strategy of how we are making these numbers not only possible, not only excellent, but a lso sustainable.
Thank you all of you for a very -very patient listening. I know I have spoken for about 1 -1/2 hours. We still have a good half an hour for question s & answers. All of you , my only request is to continue to support us like you have supported. During COVID, a little bit below, but before that, we have had our good times . I think the company now has its strategy very clear, has the team in place, and has the organization in place to deliver that strategy. The organization is genuinely coming to age. Just about a year back, a very strong individual , the head of Retail left and we could find people internally and externally to take up the mantle and grow an d not only grow but excel and deliver what we had to deliver. That shows the strength of the team, that shows the age and maturity of the organization that we have now begun. Keep your support coming. Thank you very much.
Moderator :
We will now move on to the Q&A session. I would like to request Mr. Sachinn Joshi, our Group CFO, to please join Mr. Dinanath Dubhashi on stage.
Dinanath Dubhashi:
Actually, all the questions which had come to Karthik I have answered , in the last 2 -3 days. So, I don't know whether there are any more questions, but of course, you are welcome. Just a request to introduce yourself and your organization. {[j; l&T Finance

Nidhesh Jain :
My name is Nidhesh. I work with Investec. Just 2 questions. Firstly, what we have seen in the past is that models behave very well during a normal environment, but in case of a shock environment, these models tend to fail. So,

how are we thinking about… . Because the segments in which we operate are not straight -line segments. We see deep shocks as we have seen in the last 10 years and I think these things will keep on repeating. So, that is the first question. How are we preparing

ourselves with respect to be anticipating these shock events? Second is the
segments that we work in my view, at least the perception that we have built over the last 10 years, are quite touch & feel segments and underwriting is quite subjective. It's very difficult to templatiz e these segments and underwrite these customers using models. If you can elaborate how we have been able to remove that subjectivity and make them more objective?

Dinanath Dubhashi :

First, I will start with claiming our right to speak about this subject. Anybody can speak. There was one slide that I showed of a 10 -year performance. There were the same segments. There was the same cyclicality. There were the same problems. In fact, there was COVID also. And the portfolio has not only held but show n steady performance throughout. That is where I claim the right to even talk about it. And I am not saying my wisdom is going to be the best wisdom. There are various ways. In fact, in tractors, the top 2 companies used to believe in very-very different philosophie s – touch & feel and centralized underwriting – very different. I don't know recently , I have not heard, but used to believe very different philosophies. I believe there will be advantages of both. But importantly the cyclicality and the tendencies of shoc ks are same whether you are doing a model or a touch & feel underwriting because you don't know that a shock is coming at the time of underwriting any way. It is going to come later. So, the shocks or the cyclicality is dealt not by underwriting but by your ability to react quickly – react in terms of changing your models, react in terms of early warning signals and then concentrated collection mechanism ev en before it becomes delinquent. All this comes through technology. Through t ouch & feel , you won't know an account is delinquent or likely to be delinquent before it become s delinquent . But technology can tell you that . Analytical models can tell you that.

So, my only proposition to you is - don't pay too much attention on the method of underwriting because underwriting is a guess in the future, at the end, based on some data from the past , whether it is done physically or whether it is done by a model. Mod el just does it faster frankly and more reliably. When you do physically, what's the problem? Let's say a company has 600 branches. Each branch will have 1 underwriter minimum. Your ability to hire, train uniformly, and then retain those underwriters. You have to be in retail to understand how difficult it is. I mean these are the things that are easily said. In actuality, those underwriters keep changing every 6 months. Then, what touch & feel?

So, the only way of making it uniform, sustainable, and making sure that decision taken in portfolio meetings get immediately transmitted to the ground is only through model. Just imagine there is a credit organization where there is a head of credit, then zonal head, then regional head, then branch head, and then cr edit underwriter. A decision taken in portfolio meeting, how much time it will take to transmit down and that too uniformly? When you are using a model, it happens like this. That is the advantage of models over…. and that's what we believe. That is why we believe in centralized underwriting. That doesn't mean we don't use those same parameters. We use all the same parameters. The only thing we take out is non -uniformity and personal bias . A push at the end of the month. At the end of the month, 99% of the salespeople in branches, you know where they are? Where they should be? They should be at the dealership place. They are sitting near the underwriter pushing the file.

When you do AI -based underwriting, all this goes away. That is where we not only have fa ith but numbers have shown that it works. And not only that, it work ed through COVID also because you not only have an underwriting model, you have an ea

rly warning signal model, and then you have a provisioning model, which shows that you
have to increase provisioning. That's why our provision coverage is actually higher. That much management overlays we keep because we want to make sure that if something happens, that is there. All this put together, all in all, we believe that , I wouldn't use the word su perior, I would think it is the most practical method, the most real method of doing underwriting. That's it. {[j; l&T Finance

Nidhesh Jain :

Are we building some redundancies in the models to prepare for shock events for example? Because, in the past, the models have worked beautifully during good times.

Dinanath Dubhashi:

No, models work…. That's what I am saying. Not only underwriting model; if you take all the 3 models, they were during shock events also. What more of a shock event than COVID? And the portfolio hel d very well and the provisioning also held very well during COVID. In fact, very simple. We had thought that we will use our entire overlay in FY23. We had to use hardly anything in FY23. So, actually, it has held extremely well during a shock event.

Sachi nn Joshi

If you look at the Ind -AS model, the ECL models that we are already working on, they also are getting refined. Every year you find that the behavior pattern is checked, how the product is actually dealing outside, what is the history behind that. And that is again factored into the ECL models and that takes care of any eventuality. So, whatever challenges we have seen over the last 2 to 3 years get actually baked into the ECL model on an ongoing basis , plus the macroprudential provision for events w hich you can't really figure out. Those are for unexpected events.

Dinanath Dubhashi:

And life has to change, right? Let's take a gold loan company. So, I am talking about an industry that I am not there, just as an example. Just about 5 years back, they used to have valuers in every branch, who will rub the gold, see, and that what he says that itself is true value. That's it. Who knows? He knows. From there, every large branch now of a good company has machines and now the next is those machines are centrally connected to a server, which can take uniform decision s. Has the basic of valuing gold cha nged ? No, but more uniformity has been brought. Human biases have been taken out. So, the fundamental remains the same. There was a time when we used to do calculations mentally. Then it moved to calculator. Then it moved to Excel. Now we just talk to ChatGPT and it will tell. That doesn't mean 2+2 has become 7. 2 + 2 is still 4. 2 + 2 is too simple, but something like 39/27 which is difficult which mentally you had to do the math, then calculator came, then Excel came. No w you will ask ChatGPT 10 times more difficult than that. Fundamental of mathematics will remain the same. It will just be faster . It is the same thing .
Viral Shah :
I'm Viral Shah from IIFL. Two questions. One is now that you are templatizing all these products more so in the rural area with the use of technology. Many other peers are also getting there, of course, including even banks are expanding reach everywhere. Do you see structurally the profitability of the product in whichever shape or form you see, whether in terms of pressure on yield or savings on opex getting reinvested or not being actually materializing? Do you see that profitability is structurally goin g down for especially NBFCs in the rural area?
Dinanath Dubhashi:
You are talking about a particular period in mind? 10 years, 5 years, 2 years?
Viral Shah :
Over the course of next at least say 3 years if structurally one has to see
Dinanath Dubhashi:
Very good question. Yields most probably will come down structurally , mainly. Where you will make up for those? And it will take time. I said that first the overall yield of the system is way lower than what the unorganized sector charge

s. That's why we are able to charge those yields. In tractors, us and Mahindra are clear market leaders. Third is Kotak. There is no public sector bank. Public sector banks give tractor loans at what 9% -10%? So, yield being suddenly reduc ed is a misnomer. Ultimate ly, like in every good market, will it come down? I think definitely {[j; l&T Finance

it will come down but along with that with the use of technology…. Technology is used for 2 things. Good companies will use it first for resource allocation; second, for collecting early. As that happens…. over that same period. That will also not happen immediately, but over that period, like it has happened in housing finance for example. Expense ratios as well as credit ratios will start coming down . Like housing finance, why can people afford to lend at 9%? Of course, they don't make much ROE at that. 9% is way too less, but because your expense ratios are low and because your credit ratios are low because of the asset. Here that asset will not be there but here analytics will bring tha t. So, whether overall profitability will reduce? I don't think over the next 5 to 6 years at least we see of a big drop in ROAs coming in rural sector. Beyond that, let's see. I think just we will have to become more and more efficient.
Viral Shah :
Another question was that as the share of the urban loan book in your overall mix increases, will that also be an offsetting factor in terms of your NIMs….
Dinanath Dubhashi:
Yields, yes. That's why I am saying my steady state yields will be more closer to 11% – 'NIMs+Fees' . You are absolutely right. Currently, it is closer to 12% – 'NIMs+Fees '. Various factors; increasing fees, reducing yields; but yes, certainly, with more urban, it will come down , but again, along with that, expens es will be also lower and credit cost also will be lower.
Shweta Daptardar :
I'm Shweta from Elara Capital. I had a couple of questions. There was this one slide on urban versus rural presence. You partially answered half of my first question. With rural potential looking higher, which business prospect you see better, urban versus rural? Plus we have sizable presence on the eastern side where Micro Loans have been slightly critical in the past. So, how do you perceive Micro Loans portfolio? That's question #1. Question #2 is incrementally we saw Q4 putting up lower provisions because as you rightly mentioned, we are one of the highest on the PCR. We h ave macroprudential provisions in place. Will this trend continue? I am not talking about credit cost because that is something you have guided. I am talking about the credit charge to P&L which was lower. Will we continue to see that trend going forward? And last but not the least, growth shrinkage was seen for the past several quarters and rightly so because we are paring down Wholesale. But now that sizably , that is behind, what is the immediate growth for FY24?
Dinanath Dubhashi:
I will certainly not an swer the last question. I am not supposed to give such short -term guidance but I will answer all your other question s. I think the answer to your question is in your question only that it is not urban versus rural. It is urban plus rural. The growth will c ome from both the places. If we see mature products, two of the mature products are rural and only one mature product is urban. Because of that, perhaps the share of urban in our book and also Consumer Loans is growing very fast. SME is growing very fast. These are very small portfolios. Just because of that arithmetic, urban share may go up in our book. It probably will. Third is Home Loans. Home loans, we have just started growing. As we grow, Home Loan book doesn't run off faster; Home Loan book

remains. Because of all this arithmetic, urban share will increase. That is why I was answering Viral that NIMs plus fees will slowly come down to around 11% because of that. That doesn't

mean that we see a higher potential
in urban than rural. It is just arithmet ic working. In fact, in the short term, our economist feels that urban is showing signs of deceleration and some risks in the very short term, just 1 year, more than rural. Rural is looking very robust in the short term. But medium to long term, we believe that certainly all the four businesses that we are in, which is rural individuals, rural business, urban individuals, and urban business, have very good potential for growth. Eastern . Micro Loans: Eastern India is prone to natural calamities more. Whether it is flood s, whether it is cyclone, it first comes to Andhra Pradesh, Odisha, West Bengal; some geography. Micro Loans; history has shown that large -scale defaults do not happen because of any geographical or natural calamities; people pay. Where large -scale defaults have happened till now in the history of Micro Loans is first Andhra Pradesh, then
Assam, in between a little bit localized Odisha. That's where it has happened. Each one of these were man -made problems, mainly political problems. Norm ally, West Bengal people keep talking about . For all that is said about the government, there is no politically pushed default in that state. But more importantly, what can companies do to protect against this? We can make sure that the overall lending, ov erall indebtedness of a particular individual is within the FOIR that she can afford. Because, when do es political movements gather speed is…. we believe that during elections, it happens. It doesn't happen during elections. Whe never the FOIR has gone out of control, that is the time when the political movement has gathered speed. It has happened in Andhra Pradesh and then it had happened in Assam. As long as you take care of that, history has shown that there were some storms, some earthquakes, all these bei ng very serious natural calamities, books of good companies have held.
That was your second question. Third was growth. I can only say that as I said, we will be 90% Retail minimum as we go ahead. Growth rate , I don't want to guess but I am sure we will be above 25%. Provisions is more a matter of model . I always say that opex and credit cost I take as a fungible block; very simple. In Retail, I can reduce credit cost by throwing expenses at it. I can put more people, pay more incentives and collections will increase. So, I take it as a box. We are today closer to 8%. Over the next 2 years, we see it moderating to even 7%. That's our target credit cost plus opex as we go ahead. There are very clear projects in t he company happening to make it possible. Does that answer your questions?
Shubhranshu Mishra :
I'm Shubhranshu from Phillip Capital. Four questions, sir. First one is on tractor finance. It's become a very crowded place with banks entering and taking up market share from the NBFCs in the last 2 odd years. NBFCs which includes us , we are OEM -agnostic and the one you mentioned as well. We have lost there a substantial amount of market share to the banks, which also led to yield compression. So, how do we look at the tractor finance market? Do we see any asset quality pressures going forward because eve ryone went berserk in lending during COVID? That's question #1. Question #2 is on the two-wheeler. When we are do ing urban new -to-credit customers who would be largely migratory in nature, how do we look at collections over there? When we speak of provisio n coverage at 80% and if we look at Ind -AS, 80% essentially means the LGD there. So, we are talking of 80% LGD on our products. That's a fair assessment ? Is that true ? Are we looking at 80% LGD on our retail products? Point #4, digital and all looks nice a nd jazzy. But what is our total collection strength? Total people on roll and off roll that we have deployed in collection?
Dinanath Dubhashi:
You said many things. Many of those thin

gs were your opinions, right? There is no fact to support any of them.
Over the last 3 years, NBFCs have gained share from banks. This is a fact. These are numbers. All NBFCs put together.
Shubhranshu Mishra :
I can vouch for it, sir. There is another MD of a very big NBFC which is a tractor finance company as well, they have said that they have lost market share at an industry level, not just them .
Dinanath Dubhashi:
Okay, fine. You can go and check the numbers. They are all public numbers. I don't have to defend what somebody else says. Just numbers. By the w ay, including that particular company also has gained. They have done very well in the last 6 months, right? So, I don't know what you are talking . Great company, great respect we have, and they have gained market share, they have started doing very well over the last 2 quarters. So, they have gained market share. One bank which has gained market share is Kotak, I would say, most definitely. I don't think…. IndusInd, yes. Especially, public sector banks are losing market share tremendously. So, I don' t know frankly. I always believe that any product other than car loans, any product that you name today, the company of first recall is always an NBFC. Whether you say tractors or CV or gold loan or housing finance or consumer durables, you will see that i t is an NBFC. So, I wonder how much I need to defend that NBFCs with banks. I joined the NBFC in 2007. Since then, I have been answering this question. And from since then, NBFCs have continued
to do very well. The point is in retail , cost of funds or yiel ds being the biggest of advantage is a theory which has not held through times. That is #1.
Second question was about LGD. You asked a lot of questions. The 80% we have is LGD plus management overlays. We have a large Micro Finance portfolio and hence we b elieve that since it is an unsecured loan, it is

always prudent to keep high coverages there. In fact, whatever is 90 DPD, we provide almost 100% in Micro Loans. So, what you see 80% is the weighted average of all that.

Okay, fintech you called jazzy. I do n't think so. We have a great team of 27,000+ people on the ground. We do collections entirely in -house. The only thing which is outsourced is repossessions. Especially in our rural products, collections is done in -house. Repo ssession , etc., is outsourced, and because of that, we have this kind of manpower on the ground. What analytics does is help them do resource allocation. In rural, analytics or digital doesn't get collections. The digital payment is very limited in rural India. It is actually the people who go and collect. Analytics shows them when, where, how to do resource allocation, where to visit, how. Other than the first, numbers, where we have a difference of opinion, I believe, I have answered your questions. The differenc e of opinion we can share by sheer numbers. My IR, if you can give your card to them, will get back with precise numbers.

Nikhil :

Hi, this Nikhil here. First and foremost, your presentation was all encompassing and basically it was driven by the 3 R's. O ne R stands for Retail, which you intend to have a 90% share. Second R is Rural which not only drives your sales but also drives your profits because there the earnings are much higher. And the third R which is the vertebral column or the bread and butter is the Return on Assets which you have a targeted 3% which as per your own expression looks tough but it was a very conservative expression. In the Rural and Retail, the microfinance, according to me, occupies a very strong and a core portfolio which can grow further substa ntially. We were with a couple of NBFCs which are leaders in the microfinance segment and they said that this whole market in India can exceed even 3 lakh crores. Out of the 61,000 crores, what is the book size for microfinance and the blueprint for microf inance for the n

ext 5 years?

Dinanath Dubhashi:

You are right , by the way. In fact, microfinance has already crossed 3 lakh crores. So, I will actually take a step back. The way microfinance was understood was lending at the bottom of the pyramid where you form a group, lend, and then depend s that all 5 of them will put pressure on each other to repay, etc. I think we have moved on from there. There are some companies which will be there but most good companies have moved on. It is now very data based, very technical subject. In fact, definition of microfinance itself has changed that for microfinance, the income of that whole household needs to be less than Rs. 3 lakhs per year. Only then, it qualifies as microfinance. Above that is something else. That is w hy we are actually calling it now Rural Business Finance because hardly anything out of our total portfolio qualifies as microfinance. In fact, we have not even observed the portfolio. Just 20% out of our total disbursements in Rural Business Finance comes under the qualification of microfinance of disbursements. We have not even gone into the book for doing research , we will do now more and more. So, now the potential is not only in microfinance. Now, you are right in amazing potential. But this potential is now not at the bottom of the pyramid which is supposed to be the risky thing. What is the strength? In that particular area, how is the monsoon, how is agri, how are agri -allied industr ies doing, I know everything. What is the reservoir level, I know ev erything. How are the mandi prices, now we know that. Then I know employment levels there; I know that. Now, more and more I know income of the whole family because I am capturing that. RBI requires me to capture that from 1st April 2022. So, I am capturin g that. Just the problem of microfinance was that it was fully unsecured. Now, I need not be that. They have their house; I can give them loan against property. I can give them home loan. If her husband wants to do some business, then I can give him a busi ness loan because now I know information about the whole family and that's the plan.

You are absolutely right, but I would not like to talk about the potential for microfinance only because as much as that is, it is still a very small part of the potential for rural businesses. That's huge and that is why I said that more organized competi tion coming in that is welcome because they will develop fast. More people coming forward to {[j; l&T Finance

take loans from organized players, it is beneficial for all; it is good for them, it is good for us, it is good for the country.

Nikhil :

Thankfully, the banks ar e turning a blind eye towards this segment of business .

Dinanath Dubhashi:

No, I will not say like that. So, many banks are doing a good job .

Nikhil :

It is their own admittance .

Dinanath Dubhashi:

I will tell you one thing that banks are said to be…. Banks or NBFCs, I don't think we can survive without each other. If there is no bank in an area where I collect the cash, what do I do with the cash? I will have to put there. This whole narrative of either this will survive or this; if a large company com es in microfinance, then other small companies will suffer; it's not like that. The market is large enough. You have to keep competing with yourself, be better than what you were last quarter, you be better than that.

Nischint Chawathe :

Nischint here fro m Kotak. You were honest to call out that there should be margin compression next year because of the fact that cost of funding is going up, but what about asset side? Are you raising rates or can you pass it on?

Dinanath Dubhashi :

Home loans, we have passed on everything. There are 2 -3 things which work. One , the proportion of Micro Loans in the whole thing versus the proportion of Home Loans. It is simple – highest yield, lowest yield. All other products are in between. Tractors, Two-wheele

rs, Consume r Loans, SME, everything comes in between, in the 13 to 16 -
17 range. Two -wheelers a little bit more than that but everything comes in that range – yield. 24% Micro Loans, 9% to 9.5% Home Loans. The good thing is Home Loans because being variable, we can p ass on everything. Till now, we have passed on. Good thing is industry has also passed on. That is why we were able to pass on. Wholesale, whatever small portion is remaining is variable, you can pass on. The rest of the loans are fixed rate loans. The goo d part of that is most of its duration is 1 to 3 years. Door to door is 2 to 5 years but duration is 1 to 3 years. So, the effect of the old book is that much less. So, interest rate risk is actually lesser than that. The more impact on the NIMs may be because we will do more secured, more Home Loans, urban will grow. If Micro Loans grows like it has grown today, maybe it will not happen, but we believe that after a big growth like this, Micro Loans may moderate a little bit from the growth rate actually where it is, and that is why conservatively I am saying that it may come down. So , it will more depend on the mix than really the ability to pass on because ability to pass on wherever variable is there, it is there. Fixed is where the duration is so small that the portfolio is renewed like this.
Nischint Chawathe :
On an incremental basis, have you raised rates for the same?
Dinanath Dubhashi:
Micro Loans, we will not. The rest is, based on the market, we can do it. In Two-wheeler, we have done some increment now. So, all that we can do. But Micro Loans, we are at 24% and we will stay there. It's not so much competitive but we like to keep it at that level. {[j; l&T Finance

Nischint Chawathe :
This seems to be an observation across NBFCs. There is a lot of resistance to pass on rate hikes. We understand that the impact comes with a lag but is it something that just there is focus on growth, so none of the players – I mean the entire market including competition – wants to pass on rate hikes or is it just that let it be as it is?
Dinanath Dubhashi:
Okay, I will go into the crux of it. Th at when you are with a particular market and particular dealer for the long term, if this rate hike is not for keeps – we are not into 5 -year high rate cycle – we would like to maintain certain steadiness with that dealer. I would not think and I will spea k for my peers also. At least most of the mature peers, it is less of a growth strategy than giving market a steady signal that we are there. That strategy. That works in the long term. Anyway, these are very high NIM products. So, it's okay. I would rathe r look inwards looking for efficiency and credit cost gains than pass it on unless forced to. If this interest rate cycle remains high for a long time, I may be forced to, but till now, through my ALM and through my efficiencies, I have been able to manage . In fact, NIMs plus fees have only gone up right now.
Nischint Chawathe :
The other is on provisions. I know you touched upon it but how much provisions do you currently have on the balance sheet including the wholesale book? I know you have used some of the wholesale extra provisions and the gains on the Mutual Fund to sort of do some mark -to-market on the wholesale side but how m uch provisions do you really have?
Dinanath Dubhashi:
Total sum, I think IR will get back to you. I never remember numbers. Sorry for that .
Sachinn Joshi :
2% is the total which is the macroprudential provision that we have. Overall if you look at on the Retail side, it's about 5% odd. And on the Wholesale side, ~Rs. 2,700 Cr was the knockdown that we took.
Dinanath Dubhashi:
But that knockdown doesn't appear as provisions. It's a reduction from the asset side .
Sachinn Joshi :
And the overall PCRs are at about 5 6% on the GS3
Dinanath Dubhashi:
Nischint, if you are having any recon to be done, IR will do it.

Nischint Chawathe :
The other thing is do you sell down loans to banks in terms of Retail?
Dinanath Dubhashi:
Retail, right now we have not done. See our leverage. We have to increase leverage. Why would we do it?
Nischint Chawathe :
Because I believe some of these Farm loans, etc., you can sell down and get a far lower rate
Dinanath Dubhashi:
We can do it. There is always a possibility. Right now, we are raising PSL loan. Since RBI has allowed to raise PSL loan from ultimate on -lending, we have done that. But why do people sell down? Either for funds or for capital adequacy. Right now, we don't have either of these issues. So, if we feel that by selling of f a book, especially if this on -lending there is a problem, by selling of f a book on balance sheet and keeping it in AUM makes sense at {[j; l&T Finance

some point of time, we may do it. But right now, since the capital adequacy is so high and leverage is so low, it

won't be out of any compulsion. There is no compulsion doing it.
Nischint Chawathe :
Finally, just one last question on the housing side. Does this remain focused on the prime segment or do you go down to affordable segment?
Dinanath Dubhashi:
I wouldn't say prime and non -prime so much, but you are absolutely right. We were absolutely focused on salaried. Largely during COVID, we were focused on salaried. Two reasons – one was COVID, second was we were trying to get our team and the mechanisms in place. Now th at the team is fully in place, Sanjay is there. Our business head is a very strong senior business head. Collection…. I believe that one of the best teams in the housing finance industry is today with us. We are now moving more to SENP as well as LAP. So, you will see increasing percentages of LAPs and all. I would s ay today 60% salaried and 40% non -salaried in the book.
Chintan Shah :
This is Ch intan Shah from ISEC. I had one question on the opex part. If you look at the last year, the retail mix has gone from 51% to 75%. During the same period, opex has gone up by 100 bps opex to asset during the same period. So, now when we plan to g o from 75% to 90%, how are we looking at the opex -to-asset number? How do we plan to manage cost on our journey to growth? Given that opex is a very high -cost sensitive business along with our much of the digital initiatives which are also taking a toll on the cost part, how do we plan to manage the cost?
Dinanath Dubhashi:
As I said, today our opex …. and I am talking about Retail only. Total opex to book here , it is the question of denominator. If I sell my Wholesale book faster, this ratio will look higher. So, leave that. Retail cost, there is certainly a scope to reduce. Right now, we are majorly in the investment phase. As you would see, all these things that we are building , this cost s naturally. We are clearly in the investment phase, and as we g o ahead…. Right now, there will be a phase of investment as well as getting the efficiencies and then slowly where we get maximum efficiencies out of it. That is where I said cost plus credit cost will pare down by almost 1 percentage point from today over the next couple of years . That's clearly the guidance I am putting. Lots of efforts will have to be done for that. Yes, we are on our way.
Chintan Shah :
Mostly that 1% decline would be probably compensated by the decline in the margins as well. Even the margins could be like somewhat off by….
Dinanath Dubhashi:
We are preparing for that. It's not like that if cost is lessened, then margin will automatically decrease. But a good company will always prepare because margins will suddenly reduce. Cost will never suddenly reduce. And that is why you have to always look round the corner and trying and keeping and reducing costs. Whether that will be compensated by margin reduction, we don't know, but we have to prepare for margin reduction by reducing the cost. I will put

it that way.
Chintan Shah :
Sir, one last question. On the incremental growth going ahead over the next 2 -3 years, probably how much percentage would be from the existing customer base and how much could be from the new customer base? Any ballpark number if you could give?
Dinanath Dubhashi:
I have to be a crystal ball gazer for that. I will only tell you that 1 year back, maybe 1 out of every 6 loans would be from existing customers. Today, 1 out of every 3 loans is from existing customer s. Maximum sale to existing customer happens in my rural. In urban, only it is cross -selling, not so much up -selling. Cross -selling from Two-wheeler to Consumer Loans or Housing Loans to Consumer Loans. As urban upselling also starts happening and customer database is also less there, but with urban up -selling, this ratio will only go up. That is what. Exactly how much will happen from whom, god knows.
Kunal Shah :
The question is on opex to credit cost. Credit cost obviously there would be a tailwind given that we have done major part of the macroprudential, MFI pain is behind, but still that 3% number seems to be slightly on a higher side. Maybe these product segments would still suggest that this is more like a medium term or structurally we are with that. And again, in terms of opex as well, continuing with 4 odd percent. This 3 + 4 is very near term or even over a medium term and a structurally we can say this is coming off 2 -3….
Dinan ath Dubhashi:
If you mean by very near term FY24, certainly not, but yes, over the planned period FY26.
Kunal Shah :
How much is the collection within the overall opex ? Because, we still had collections and credit cost would go hand in hand. But within opex , how much could the collection proportion that we are saying it's like too related?
Sachinn Joshi :
We can't talk specific numbers per se. The audited numbers will b e there. But collection cost was substantial I would say till FY22. In FY23 in relative terms, it has come down. But frankly, as I was mentioning earlier, Mr. Dubhashi mentioned, it's a total of both opex plus credit cost. If collection cost is higher, nat urally it will impact the credit cost favorably.
Dinanath Dubhashi:

Let us talk about how cost will reduce. That is more interesting. Collection cost will reduce as with analytics we reduce cheque bounce percentage and increase ‘0 DPD ’. As bucket goes up, costs increase exponentially. For cheque clearance or mandate clearance, it is zero. Then X bucket, it is so much. First bucket it is so much. Second bucket so much. Whe n it becomes NPA, it becomes a large percentage. So, by analytics and by collection efforts, limiting maximum amount of book to zero bucket or first bucket will reduce cost. On the sales side, costs will be reduced by up -sell. That more and more I sell to my existing customers, I don’t have to pay to the dealer. It is actually as simple as that. This is the way costs will be reduced. And then a little bit productivity increase for new business with my people. Costs will not be reduced by suddenly reducing d ealer commissions. I will be out of the market. Costs will not be reduced by suddenly reducing my people’s salary. I will have an employee turnaround. So, costs will be reduced by operating efficiencies, but this is for the sake of saying. Operating effici encies are always very marginal to improve. Costs will be reduced by doing things which are your strengths waiting to happen. I used to say very openly 1 year back that we have been very bad in cross -selling. And within 1 year, we have changed that. I am a ctually quite happy and proud of it. And my people carry targets which are even crazier for cross -selling and up -selling. {[j; l&T Finance

Page 23 of 23

Kunal Shah :

In terms of fee income, this quarter, Retail particularly, it’s almost 2 odd percent. Is it more sustainable or there were some one -off

s? Given this kind of inch up which is there in consumer durable, SME, and all, how should we look at fee income within the overall retail pie? Even though we k eep on talking about NIMs plus fee, but this particular quarter in fact, fee income was slightly on a higher side.

Sachinn Joshi :

Some CLI income may be higher

Dinanath Dubhashi:

We didn’t book in Q3, we booked in Q4. There were some things happening in the industry. So, some of it we booked in Q4 but nothing substantial. So, Q1 may be slightly lower than Q4 , the percentage , but nothing like that it majorly reduced. It was not like we didn’t book at all in Q3 and booked it in Q4. Some small p art was not booked in Q3. So, we were conser vative. As those were resolved, we took it in Q4.

Moderator:

In the interest of time, we will take that as the last question. Thank you sirs for your detailed responses and thank you everyone for being here today. For any further questions, request you to be in touch with our Investor Relations team. With this, we conclude the investor meet.

Dinanath Dubhashi:

We are available for you anytime to answer. Thank you for your support .

*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies ,

repet itions in Q &A which would have unintentionally crept in, if an y{[j; l&T Finance

Call: Jul 2023

July 27, 2023

National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051. BSE Limited
Corporate Relations Department,
1st Floor, New Trading Ring,
P. J. Towers, Dalal Street,
Mumbai - 400 001.

Symbol: L&TFH Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of investor(s) / analyst(s) meet – Q1FY2024 financial performance and strategy update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q1FY2024 financial performance and strategy update held on July 20, 2023.

The above information is also available on the website of the Company i.e., www.ltfs.com/investors .

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Holdings Limited

Apurva Rathod
Company Secretary and Compliance Officer

Encl: As above

L&T Finance Holdings Ltd.
Q1 FY24 Earnings Call Transcript
July 20, 202 3

Management Personnel :
Mr. Dinanath Dubhashi (Managing Director & C hief Executive Officer)
Mr. Sudipta Roy (Chief Operating Officer)
Mr. Sachinn Joshi (Group Chief Financial Officer)
Mr. Karthik Narayanan (Head – Strategy and Investor Relations)

Moderator:
Ladies and gentlemen, good day, and welcome to the L&T Finance Holdings Limited Q1FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star t hen zero on your touchtone phone. Please note that this conference is being recorded.
Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the call. Only public ly-available documents will be referred to for discussions during interaction in the call.
While all efforts would be made to ensure that no unpublished price -sensitive information will be shared. In case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the statements made on today's call may be forward -looking in nature. A note to this effect is provided in the Q1 results presentation sent out to all of you earlier.
We have with us today Mr. Dinanath Dubhashi, Managing Director & CEO and other members of the senior management team. I would now like to invite Mr. Dinanath Dubhashi to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir .

Dinanath Dubhashi:
Thank you. Ladies and gentlemen, a very good morning to all of you. Welcome to the call. You have all seen the results and it goes without saying that we are very enthused with the results. FY23 has been a great year for us, no doubt, and the re sults that we achieved during F Y23 actually gave us the confidence to say that the targets promised for Lakshya 2026, many of them would be achieved earlier, some of them in year 2024 itself. Since then, all of us in L&T Finance have been working relent

les sly towards this goal of achieving some of those ratios,
especially retailisation, asset quality, ROA much, much earlier. And I'm most happy to say other than the fact, of course, that we've shown good profits, good credit costs , but most happy to say that this quarter is indeed a testimony to that promise, which we had talked about last quarter. We are one quarter down in FY24 and I can say that the performance for this quarter is well in -line with th e accelerated timeline s.

Announcement about superannuat ion
But before I talk about the achievement for this quarter and our strengths, etc., I believe it is necessary for me to talk about a very important development regarding the company. A few things changed over the last couple of weeks. And in a way, I would like to say that not much has changed as far as the plans of the company are concerned. I will try and explain what I mean by this statement.
First, let me address what has very clearly changed. As announced on July 1, 2023, and all of you would be knowing well by now, I have personally taken the decision to superannuate from the company and will be superannuat ing by April end next year, that is April 30, 2024.
Let me talk about this a little bit. Many of you are my friends and well -wishers . I would r eally like to take a few minutes to explain this . After a lot of thinking and soul searching, I reached a decision sometime back that I would like to follow certain passions of mine, more full time and not just as a hobby, which I have been doing for quite some time. This includes , few of you are aware, is working for the cause of stray dogs. Along also, second thing is my passion for studying history and mythology.

Now I know all th ese seem truly as a passion and they indeed are. What encouraged me actuall y to take this decision was the fact that the organization was well on the road to success and was creating sustainable value for all stakeholders. Lakshya 2026 was well and truly launched and assimilated throughout the organization. And most importantly, we had worked in detail on creating a strong management bandwidth and robust succession plans and they have been put in place in the company . That was when I actually felt that now I am confident of passing on the baton and communicated to the Chairman, my desire to move on earlier than what my contract as MD was, which was 2026.

We found a good successor to me, who brings in very complementary skills to our organization. With these building blocks well in place, I believe that the age of 58 years, which I will be in 2024 , is as good a milestone as any to finally hang up my professional boots and follow my other passion s.
Mr. Sudipta Roy who joins us from ICICI Bank, will take over as MD and CEO from January 24, 2024. And after that also, I will act in an ad visory role as an adviser to the Chairman for 1 more quarter, until April 30, 2024. So, it's a very well -planned handover kind of process. This is when I will be signing off completely. Sudipta has already joined the LTF family as the Chief Operating Offic er from July 1, 2023, so he has completed just about 3 weeks now. Over the next 2 quarters, I will be overseeing Sudipta's gradual assimilation in the organization. This is how we have planned a very smooth transition over the course of the next 6 to 8 mon ths. I would like to assure you that we have a well thought out date -wise action plan to ensure that the entire process happens as seamlessly as possible.
Now let me explain that why I said that not much has changed. Over the last few quarters, we achieved some really tangible milestones. So much so that we could fast t

rack Lakshya goals, many of them to FY24. This has
helped in creating a strong fortress with some really unique strengths, which we call as sustainable differentiator s. In addition to these building blocks, some transformational projects have also been launched within the company. These projects other than enhancing the organization's business strengths are also being instrumental in involving people in the projects which challenge and expand their skill set and get the next line ready - next line of management ready. Our target, our plan of making the company a 'leading digitally enabled retail finance company ' is well on course, in fact, ahead of course. The company will draw on Sudipt a's strengths and he will draw on the strengths of the significant market positions we have achieved in our flagship businesses. Needless to say, the focus is going to be on making LTF, a retail fintech giant. With this, join me in welcoming Sudipta to the LTF family. I will now hand over briefly to Sudipta to introduce himself. Sudipta, go ahead .

Address by the COO

Sudipta Roy:
Thank you, DD, for giving me the opportunity to introduce myself.
Good morning, everybody, on the call. It's an honour and privilege to speak to such an eminent group of analysts /investors , and I will take this opportunity to briefly introduce myself. I h ave joined L&T Finance from ICICI Bank, where I spent the last 13 years of my career and my last role was as the Group Head, managing diverse businesses like unsecured assets, cards, digital and payment solutions, student ecosystem banking, e -commerce and merchant ecosystem, and last but not the least, connected & API banking. I was also responsible for developing and operationalizing ICICI Bank's digital banking solutions for the millennial banking segment. My team and myself were responsible for growing t he bank's unsecured assets business five -fold since 2017 with significant contributions to profitability for the overall organization. This was done with an extreme focus on growing it in a risk -calibrated fashion, which demonstrated an excellent resilienc e of the portfolio during the difficult COVID period. My team under my guidance launched the education loans and the consumer finance businesses in the bank and later extended education loans into the country's first comprehensive student ecosystem offerin g, which is called Campus Power .
The ICICI Bank's cards business was nurtured back to significant profitability since the difficult years post the global financial crisis and the Amazon credit card program executed by my team is now hailed as one of the most successful issuance programs in the country and a textbook case of Big Tech and Big Bank cooperation , having issued 4 million cards since inception , making it the largest co -brand program in the country. The personal loans and unsecured business loans was expanded on the back of cutting -edge analytics and has scaled significantly over the last few years. Prior to ICICI Bank, I spent about 5 years in Deutsche Bank, managing product management for t he Deutsche Bank's cards business in India and China. And prior to that, I spent about 6 years in Citibank learning the ropes of financial services distribution , cards and lending product management and payments and allied risk modelling as well as digital banking.

My strengths are in cards and retail lending distribution, retail lending technology and allied risk modelling, payments and digital banking and execution of digitization initiatives at scale alongside P&L and general management capabilities, hav ing managed large -scale businesses in ICICI Bank.
I

'm incredibly excited to join the capable and committed team of L&T Finance to take forward the retailisation journey as part of the Lakshya 2026 objectives and I'm quite certain that with the initiative and the hard work of the great team at L&T Finance, we should be able to make a substantial contribution to India's retail financial growth story in the coming years, and really demonstrate the strength s and synergies of the stated objective of becoming Fintech @Scale.

Thanks a lot, and back to Mr. Dubhashi.

Q1FY24 Highlights

Dinanath Dubhashi:
Thanks, Sudipta. So, let's now look at the performance for the quarter. It has been more than a year of unveiling our strategic plan – Lakshya 2026, wherein we said we will strive to make LTF a top -class digitally enabled retail finance company moving from 'product -focused' approach to 'customer -focused' approach by creating a Fintech@Scale. I remember telling you that every decision ever since has been taken keeping in mind these targets of Lakshya 2026. We have continued to improve not only the products w e offer, but also the systems and processes we deploy within the company. In fact, every quarter, I have gone - we have gone out of our way to try and put even in the investor presentation, the specific moves that we are doing to become more and more a ret ail company, more and more a company absolutely entrenched in retail and digital. This investor presentation also, you would see lot of slides are actually dedicated to see how we are farming our large customer database. We have actually given it business wise and I will talk a little bit more about that as we go ahead.

Achieved most of our Lakshya goals in line with accelerated timelines :
Our strategic plan of Lakshya was largely set around, as you all remember, 4 milestones. Let's see how we have reached all the 4 milestones.
1) Now the first milestone was 80% retail. And in fact, we achieved 75% by March, and I had already indicated to you that 80% is obviously easy now, and we will, in fact, try and become 90% by FY24. And in keeping with that promise, we have already gone beyond 80%. In this June itself, we stand at 82% retailisation.
2) The second milestone was about retail growth of more than 25%. You are all aware that we had shown a 35% growth last year and now followed by a 34% growth in this quarter.
3) We had also said that our GS3 and NS3 will be below 3% and 1% each in retail. And as you would see, GS3 has already reach ed about 3.2%, and NS3 remained steady at 0.7%, which is well below the 1% target.
4) Last but not the least, we had put an ROA target of 2.8% to 3%. We had reached 2.95% in Q4 and in Q1, we have reached 3.08%, which I genuinely believe i s a rubicon in the r etail world that once you are above the 3% mark, you can look at only improving from there. And as I would explain during the presentation, you will see every component of that ROA bridge is falling well in place.

Without a doubt, I believe , we have deliv ered on most of our Lakshya goals in line with the accelerated timelines. Here, I would like to point out that our achievement now is in terms of attaining desired percentages. So let me explain. Some people have asked me that now you have achieved Lakshya , is there a new Lakshya in the offing, right? Let me take that straight away. If you see the Lakshya goals that we had put in place, which was 80% retailisation, obviously, there is a new goal of 90% now, which we will achieve very soon. The others , let us take a GS3 ratio or an NS3 ratio of 1% or a profitability ratio of abo ve 3% are more ratios and the challenge and the endeavour of management over the next 3 years, will be continuing with this growth path of 25% - 30% CAGR while keeping this asset quali ty and th ese profitability targets intact. So now that we have reached 3%, there is no way that we will fall below that. And these kind of NS3 levels and cred

it cost levels we have reached, we will
keep them sustainable while achieving this growth rate of between 25% - 30%. And that end goal with all the

projects, all the aspects, all the business strengths that it involves remains , steadfastly remains our Lakshya 2026. So, these are just 4, I would say, ratio milestones achieved. The route from now on, the path from now on, will be keeping th ese profitability and asset quality achievements intact while achieving further growth as we go ahead.

Performance highlights for the Quarter

Retail Performance :
If we look at the highlights for this quarter :
• Clearly, profit after tax, if we talk retail is Rs. 533 crores. Retail profit is actually 176% up
• Retail NIMs +Fees remain very, very strong at close to 11.7% or so
• Strong retail quarterly disbursements, Rs. 11,193 crores, which is up 25% from last year
• Book size growth, retail book is now at Rs. 64,200 crores, which is above 34% Asset quality, we already talked about and
• ROA also we have already talked about and
• Retail ROE now is close to 16%
So that's where the retail performance is going.

Consolidated Performance :
If we look at consolidated performance :
• The PAT is up to Rs. 531 crores, which is up 103%
• Capital adequacy remains strong at 25.75%
• We have also declared our highest ever final dividend at Rs. 2 for this financial year
Obviously , as I always sa id, as the balance sheet becomes more and more retail and wholesale, we keep reducing , we are confident that these kind of ROAs and ROEs start getting convert ed to overall ROAs and ROEs. I would also like to point out that overall ROA has also crossed 2% and now this acceleration towards convergence to retail ROA will be faster as we keep reducing the wholesale book.

One ratio, which I keep talking about, in add ition to retail NIMs +Fees, which remains strong is our opex plus credit cost ratio. I always say that to some extent, these are fungible and opex plus credit cost has already reached around 7.11%. I always guide people towards 7% , that around 7% of opex pl us credit cost should be more sustainable even at these kind of growth rates and we are quite sure that we will reach that level soon and stay there and improve from there. I would say that we have performed better, not only than Lakshya but also in line with the ROA tree guidance that I have provided to you and expect to stabilize this kind of trajectory in the future. Now let me talk about how we have achieved some of the strengths. I'll take a few minutes before we open for questions.

Deep pan India fr anchise
Over the years, we have developed a deep pan -India franchise and our performance quarter -on-quarter bears testimony to the strength of this franchise. We have optimal mix now of physical presence, preferred channel partners, coupled with leveraging our database, and of course, our digital tools for reaching the customer. We, today have a database of about 2.1 crore customers, out of which 1.4 crores are in rural and 70 lakhs are in urban, which helps us in building a superior retail franchise. While we disbursed this quarter itself to 6.9 lakh new customers, our active customer base now stands at 89 lakhs. So out of those 2.1 crores, 89 lakhs are active, the rest have repaid and are in our database. The important thing is share of our cross -sell / upsell in the total disbursements now stands at 34%. Now this is very important to explain. We, of course, we envisage these numbers to slowly increase as we concentrate our efforts on increasing the share of cross -sell and repeat loans, like Pragati loan, V ishwas loan, Kisan Suvidha, 2 -whe

eler loyalty, consumer loan top -up, housing loan top -up.
This is how we have built a strong cross -sell engine with great use of digital and analytics, which shows the strengths that we are building to address the additional needs of our customers. And so, it definitely benefits the customer, gives the customer the advantage of having a loan ready if the customer has been good with us. But it

does a very fundamental thing. Now any retail finance company, especially a retail f inance company, who is predominantly in the rural business is normally subject to seasonalities and cyclicalities. That's the rule of life and every company will be subject to that and the strategy of good company, good management should be try and reduce that dependence. I don't think anybody can claim that we are completely protected, totally 100% protected from any seasonality. But the whole idea is quarter -on-quarter, year -on-year, we have to reduce the effect - impact of that seasonality, both on busin ess and on collection.
How to do that in your business? Very clearly, there is 1 big segment. I mean, seasonality or cyclicality comes into account when you are buying a new tractor, or you are buying even a new cow or a new two -wheeler or a new house. It doesn't come into account when you are an existing customer of your company, and you may have any other needs. While we believe we are equipped to handle seasonalities , however this layer of cross -sell /

upsell, which we do to our existing customers, reduce s the effect of the seasonality and if you see the quarter -on-quarter disbursements of the company that we have shown over the last 8 quarters also, you see this dependence clearly coming down . And our Q1 disbursements being almost in line with Q4 disbursements, you would acknowledge that Q4 is a fantastic quarter for most companies, actually shows that this is working quite well. This is just the beginning. It will be our endeavour to increase this 34% slowly to 40% first, then 50% as we g o ahead and of course, it comes with the added advantage that acquisition cost is lower and of course, credit cost is way lower because these are tried and tested customers. On collection side also, it makes a lot of sense. On asset quality side, it makes a lot of sense. On disbursements, it makes a lot of sense, but much more importantly, on the character and the resilience of the company, it makes tremendous amount of sense.

Fintech@Scale

Going ahead explaining our Fintech@Scale. Over the course of the last multiple calls, I have talked about transforming LTF into a Fintech@Scale. Building a Fintech@Scale requires not only a comprehensive strategy, but continuously putting data analytics to excellent use. Our motto at LTF is to never let a good customer go. We want to be there for our customers right from the start of their journey with us to serve their diverse financing or even insurance needs with our differentiated product offerings. Our steadfast focus on data -driven insights, innovations and customer -centric solutions have driven this and will continue to contribute to the success of LTF. I'll specifically talk about our PLANET App now, talking about Fintech@Scale.

1) PLANET App:

• Our D2C app PLANET was launched in March 2022, and frankly, I must admit that it has been built through minute planning and detailing, but the kind of success it has seen was even beyond my expectations. From offering service features like downloading statement o f accounts and interest certificates, it has developed into having superior engagement features like providing mandi prices for farmers, insurance, credit scores, features l

ike D2C journey for top -ups, etc. The app has already crossed 44 lakh downloads now in a span of a little more than 1 year. I would like to give a quick recap that app crossed 10 lakhs in Nov'22, 20 lakhs in Jan'23, 30 lakhs in April'23 and 40 lakhs in July'23. So really, it is actually catching speed with enhanced features on the app and focus on marketing this app to our customers. Lots of things are going to be unleashed, lots of efficiencies are going to be unleashed by this app.

• We have already done Rs. 360 crores of collection from the app and business of more than Rs. 3,000 crores through the app and, of course, catered to 67 lakhs plus service requests through the app.

• It has genuinely inverted the service pyramid. So, branches just 2 years back, contributed 51% and digital contributed only 14% of our service requests coming in. Now this is completely reverse d to branch es contributing 9% and digital contributing 77%. So just imagine the pluses which will come from this for cost, but much more important, for quality customer service and hence hopefully, much higher customer retention.

• One area which remains a complete upside for this app is rural. At this point of time, about 10% of total downloads i.e., from 44 lakhs, around 4.4 lakhs come from rural and this speed is likely to catch up now with our big efforts on marketing this app in rural. I think that has the potential of clearly changing the way that our rural customer behaves and slowly even the way the rural customer repays and once that

happens, the upsides to his credit score , to our cost structures, our credit cost can be immense as it goes ahead.

2) Developing digital finance:

Talking other than that, our idea of Fintech@Scale envisages development of digital finance delivery as a customer value proposition. As mentioned earlier, the objective is to touch every part of the customer ecosystem with superi or digital infrastructure . We have now been able to build 100% paper -less journeys in Rural Business Finance , in Farmer Finance , in 2 -wheeler and in Consumer Loans .

As far as collections is concerned, while our strength definitely lies in our feet -on-street network owing to the nature of the business we are in , we are continuously boosting our digital collection capabilities also. In urban space, our eNach penetration has now reached 97% and 93% of urban collections now happen completely digitally. It looks like a small number, but a number that I'm very proud of is now 14% , 14 percent of rural collections are happening digitally. Now just about 2 years back, this number would be low single digit and it is now developing and I believe, personally, that this is going to accelerate as we go ahead.

Business Updates

As we move on to business updates, allow me to take you through some climatic conditions that are happening and its impact. As you all know, the progression of monsoon remains very uneven across the country with certain areas facing rainfall deficit while others having excessive rainfall and floods. We remain watchful of evolving situation. We have undertaken a detailed assessment of the impact of floods in those districts as well as the impact o f short rainfall in those districts. The portfolio quality of our rural loans, both Rural Business Finance and Farmer Finance remains intact. We are actually monitoring almost day -to-day the collections as compared to last year and last month. As a responsible organization and of course, let me assure you that those collections are absolutely fine and all early warning signals are actually, at this point of time, green, they are not being affected too much th

is month. We will continue to watch c losely sometimes the impact comes even next month, but we are watching it extremely closely and quite confident that the retail portfolio will remain very healthy and robust during these difficult times in some of those districts. Now many of you who are n ot in India, hear a lot of things about lots of floods and lots of rainfall deficit. Let me tell you the on -ground situation . Such issues happen very localized in some districts et al, and it is a good model to monitor only those localized things where thi ngs can be bad, not go by narratives, and we are monitoring those very carefully and are fully in control. Like a responsible organization, our primary step is to initiate relief activities. We are making sure that along with our CSR team, we are making fi eld visits, connecting to customers physically, through calls and making sure that any of our customers, if they are facing tremendous difficulties, we are there to help them first through our CSR and only then collect. This is a tried -and-tested template, which has worked excellently during past natural calamities, and we are confident of keeping our portfolio quality intact through any of such problems.

Retail Business
Disbursements :
Now let me deep dive through the key highlights of the quarter. Total disbursements, retail disbursement, as I said, Rs. 11,193 crores, up 34% and the retail mix is now 82%.
■ If I take Rural Business Finance , some of the highlights I can put now the busine ss is 14 + years of vintage, and it has done its highest -ever quarterly disbursements now at Rs. 4,511 crores. Now the good thing is now with income mapping. We started income mapping around 15 months back, as you all know and now with this income mapping, we have a very good idea of various categories of customers and can design our products accordingly. So, times of putting all joint liability groups (JLG) as micro finance are gone, I think, thanks to the efforts of the regulator, thanks to the effort of a ll the companies, credit bureaus, the income records are now quite dependable, and we can design good products around this. More importantly, our repeat disbursements are close to 61% of total. 32% of the disbursements are to exclusive LTF customers. So, many of these numbers actually show that this business has not remained now as cyclical . I believe the nature of the business has now moved beyond that to much more robust and it is keeping its own strength as a proper legitimate retail finance business, an d we are doing extremely well in that.

■ In Farmer Finance , we have done our highest ever Q1 disbursements at Rs. 1,757 crores, and the book now has crossed about Rs. 13,000 crores. In both these businesses actually Rural Business Finance and Farmer Finance , we have launched 1 new product each. In Rural Business Finance , we have launched Rural LAP finally in M adurai District of Tamil Nadu, and Warehouse Receipt Finance in Farmer Finance, we have launched for 14 select commodities across 4 states. Those numbers are this time very, very small. I will be talking about those numbers more next quarter.
■ In Urban Fina nce, which comprises of 2 -wheeler , Consumer Loans and Home Loans , together, we saw a 21% YoY jump in disbursements, and which resulted in a 35% jump in book size.
o Two-wheelers registered a disbursement of Rs. 1,726 crores, which is up 14% YoY and the book size has now crossed Rs. 9,000 crores, up 23%. More importantly, our prime product within that, which is Sabse Khaas loan and VIP loan have now crossed 30% of the total disbur sement, which was 21% last year. Now what happens in this prim

e product is that the customer gets a better LTV because they are prime customers, and we get much, much lower bounce rates, much lower as in 1/3rd kind of bounce rates and hence, much lower col lection costs and credit costs. So again, everything going well in this business.
o Consumer Loans , the business witnessed disbursements of around Rs. 1,200 crores. The book stands at the doorstep of Rs. 6,000 crores. Actually, it is Rs. 5,995 crores , as we go ahead.
o Retail Housing disbursements stood at Rs. 1,300 crores, which is up 39% and the book now crossed Rs. 14,000 crores mark, which is up 27%.
■ SME , which is our newest business has witnessed a steady uptick. The Q1 disbursements stood at a lit tle above Rs. 600 crores. YoY, of course, it is not comparable because YoY last year same quarter, we had done just Rs. 68 crores. So, it's a huge increase. More importantly, we have crossed total disbursement of Rs. 2,000 crores from inception, and the bo ok is close to Rs. 1,800 crores now. As we go ahead, here also, we have launched new products . We initially started only with unsecured business term loan. We have now launched overdraft and hybrid overdraft products which are seeing extremely good tractio n as we go ahead.

Collections:
On the collection side, we have witnessed best-in-class collections in Q1FY24 across businesses led by our concentrated on -field efforts definitely, but analytics helping tremendously on prioritization of collections using o ur collections score card. We have provided detailed product -wise collection efficiencies in our investor presentation as well as for the retail portfolio, we have also shown our stage -wise book in our investor presentation as we had promised, for the last 2 quarters now.

Wholesale Business
On the wholesale business, we now draw much closer to our Lakshya 2026 goal of making LTF a retail finance company. As important as it is to build a retail franchise and grow the retail book, it was equally important to get down the wholesale business quickly , once we decided clearly in Q3FY23, that now we are not looking for 1 big buyer to come and pay value for the book. But you remember that we took sort of onetime write -off, write -down to the book of Rs. 2,700 crores to enable us to sell this book faster. In Q4 last year, we showed a fantastic reduction. We continue with showing excellent reduction year -on-year. The wholesale book continues to reduce quite fast. It has registered a reduction of about Rs. 5 ,500 crores in Q1 itself and now stands at about Rs. 14,200 crores. We are now very, very confident of crossing the 90% retailisation mark, not only by end of FY24, but sometime before.

Liability Management
On the liability management side, I last time gu ided that cost of funds may go up by 20 to 30 basis points over the last, next 2 quarters. In fact, in the first quarter, it has increased just about 6 basis points. I think it has; the credit belongs to 2 things. One, the way we have used low -cost priorit y sector borrowings for that and you would see that CP proportion - this cost has not been reduced by increasing CP proportion even though the changing book now allows us to do more CPs, we have kept it at around 8%. But priority sector borrowing now const itutes around 17% of our total borrowings and this is where we are actually using the strengths of the asset side and the

businesses, we are in to borrow. So that's what we have done and I must also say that even the economy is now in our opinion for a lon g period of stabilization of interest rates.
We are not expecting any big reduction, but we believe that interest rates and, hence, N

IMs +Fees should be
stabilized around this level now for a fairly long period. That doesn't mean 10 -15 basis points here and there will not happen quarter -on-quarter. But in taking a few steps back, looking from a distance, we are looking at a stabilization level, which will allow us to concentrate now on cost efficiencies, on productivity, reducing costs further, reducing c redit costs further and hence adding to our profitability.

ESG
The last leg I would like to talk about is ESG . Our journey towards Lakshya , our primary objective, while it was to drive growth, but it was also while embracing the principles of environment, social and governance factors. As far as our commitment to ESG is concerned, I would like to share with you that we continue our vow towards minimizing our ecological footprint. This quarter, we released our first integrated annual report for L&T Finance for year FY23, which has been assured by independent third -party assurance provider. I believe many of you would have gone through it, it's on the website already and we are quite happy to be able to bring it on.

So that's it, I would like to conclude ver y quickly by saying thank you to all of you for your support and by reiterating the confidence that the company is well on its line for very accelerated achievements of the Lakshya 2026 goals. While the goals are such , in terms of percentages , have already been achieved, well in advance, we aim to keep that kind of asset quality, keep that kind of profitability, further improve productivity and cost efficiencies, further improve our digital footprint, analytics footprint as we go ahead and continue this gro wth journey of 25% - 30% over the next 2 to 3 years till FY26. What gives us confidence to do that is all the strengths whether it is in our network, whether it is in digital capabilities, but more importantly, in our staff, in our management bandwidth and also in the customer database and the ability to use, utilize and work on that customer database that we have built.

Thank you very much. We can be open for questions .

Moderator :
We will now move on to the Q&A session. We have the first question from the line of Saurabh Kumar from JPMorgan .

Saurabh Kumar :
First of all, congratulations. 2 questions , sir. One is essentially on this net worth of the wholesale finance business. So, it has seen a decline. So, could you explain what's happen ing there? And on the Rs. 2,700 crores macro that you made for this wholesale? Did you use any of this during this drawdown? So that's the first one.
And the second is just in terms of the profitability of this retail business. So, first quarter is normally weaker for your retail business in terms of both , in terms of at least credit cost. So, would you say that this number can improve going ahead? Or you would want to see the ROA at around 3% now? These are 2 questions .
Dinanath Dubhashi :
The first one is quite technical. If you have any specific calculation , clarifications, you can contact IR , but let me explain it. So, we have 2 companies as of now, ICL (Infra Credit Limited) and L&T Finance. Now ICL is entire ly wholesale company, which is continuously reducing because wholesale we are selling. But the entire equity of that ICL obviously is allocated, right? and in L&T Finance, it is allocated proportionately. As we merge, all your confusions will go away. So, 1 item that I didn't talk about in my opening remarks is the merger. So, the merger is going well on plan and we are quite hopeful, as I keep saying in FY24, definitely, we will do it, but we are quite hopeful that we should be able to do it in Q3, by about Q3. After that, Saurabh, all this confusion will go away, simply the allocation of net worth will go proportionate to the book of businesses. But right now, because of having

these various entities, this confusion arises. So that's general answer to your q uestion. Detailed calculations, IR can help you .

Saurabh Kumar :
Okay. And for any part of the macro used in particular .
Dinanath Dubhashi:
Yes. So, you know what happens actually. It was not a provision, right? It was a fair valuation of the book as we do asset by asset, and there are so many assets. Every asset is fair valued. At the end of the quarter, as assets are sold. First of all, it is not macro, it is that - you are talking about the Rs. 2,700 crores, right?

Saurabh Kumar:
Yes, the illiquidity discount. Yes, the illiquidity discount .
Dinanath Dubhashi:
To clarify. So macro is in Rural Business Finance (Micro Finance), that is different. This is not macro. This was more like - as we have said, we will fair value the assets which gives the management the confidence that we can sell it quite often. Now as every asset is sold, there are assets which we have fair valued low er, but they are sold sometimes at par also, okay? And some assets that , maybe sold a little bit below the fair value also. So, both these things happen. At the end of the quarter, it is all put again together, and we see where the value is coming to. Okay . So, as I will repeat my answer of last time that by the time the entire book is complete, we don't expect this total discount that we give to the market when we sell , to go beyond this Rs. 2,700 crores at all, right? There is a very specific reason that I don't give a specific answer at how much we have used, etc. I will tell you that specific reason. That any specific reason like this in public space, spoils the habits of buyers and spoils the expectations of buyers of these assets. So, it is harmful for business to give out any of these numbers. So, we are not trying to hide anything. Please take confidence coming from me that there is no way that the total discount will go anywhere beyond this Rs. 2,700 crores. I believe that should suffice. So, if I sa y "okay, ‘x’ amount is remaining ”, from tomorrow buyers will come and say ‘x’ amount of discount is remaining, give it to us, right? So that's - it goes beyond that and hence, please understand I'm still running a company. So, I have to take care of that a lso.

Saurabh Kumar :
Second one was, sir, on this opex.
Dinanath Dubhashi:
I'll come to that. You're right. As I said, this 3%, 3.1% is the minimum kind of ROA now that we will look forward to. Most definitely like any good management or any good company, we will expect quarter -on-quarter improvements from this. Now each quarter, how will it be . Next quarter, suddenly, if huge deluges happen somewhere, what will happen. I don't want to comment on that. I don't want to give such kind of guidance. Bu t the big guidance is yes, we see profitability only improving from here.

Moderator :
The next question is from the line of Mahruk h Adajania from Nuvama .

Mahruk h Adajania :

Congratulations, sir .
Dinanath Dubhashi:
Thank you. Thank you .

Mahruk h Adajania :
So, probably Saurabh already asked this question, but just to delve on it a little more. So, if you see the retail profitability, the retail tree, then margins have kind of remained stable and fees are a little soft sequentially. Now is that s easonal? Or is it because of cross -sell, upsell now we expect fees to taper off a bit only? And then margins will take shape of depending on how our cost an

d yield s evolve ?
Dinanath Dubhashi:
So, margins, I said that, again, I don't want to give quarter -on-quarter guidance, but I believe margins falling below further , I mean, 11.5% and down looks unlikely right now. I always guided towards 11% but we are quite confident of maintaining at around 11.5%. So, if you say they have fallen , yes from 11.87% they a re fallen to 11.7%. Many times, it is actually just the function of which product and the product mix a little bit here and there. So let us say, 11.5% upwards, is what would I say sustainable levels of NIMs +Fees. As far as fees is concerned, we are being quite conservative in recognizing the fees coming from insurance companies at this point of time. As I had said last time also, our Corporate Agency (CA) license is just about to come , (subject to necessary ap provals and clearances) . In fact, it was expected on 30th June. It has not come. It should come hopefully by the end of this month and by which after that, we actually believe that this fee can marginally go up from this point of time, okay. We are not rea lly comparable with last year also because last year, don't forget that we had a Mutual Fund, and the entire income of Mutual Fund was in the fees. So, the fees that you see this time , there are no wholesale sourcing fees in this because we are not sourcin g any wholesale at this point in time, right?
Second, the insurance cross -sell fees will probably only increase as we get our CA license. So, I don't see any issues coming there and don't see any issues in maintaining NIMs +Fees at very healthy levels. And as I said, credit cost plus operating cost slowly but steadily, more efficiencies will surely come up here also. That gives us the confidence that this 3% is quite sustainable .

Mahruk h Adajania :
Got it, sir. Got it. Sir, just 1 more question on the wholesale tree that credit cost for the wholesale business, I'm not asking about the rundown or the balance of the 27 billion, but just the credit cost shown in the tree also seem to have risen quarter -on-quarter. So usually, if at all, there is a credit cost, it can be drawn down from that 27 billion, right? Or what would be these credit costs in the wholesale tree ?
Dinanath Dubhashi:
Okay. credit cost in wholesale tree, first of all, credit costs will not be drawn down from that because it is, as I said, it is fair valued - it is not credit cost. It is fair value d meaning it is our idea of what the market will buy the asset from that. This book is standar d, there is no question of any additional credit cost. Now the important part -- I will remind you that when we had to take additional credit cost in Supertech, we took it from P&L. We didn't take it from the Rs. 2,700 crores. That is only a market discoun t provision.
Now I will explain this Rs. 45 crores. In Ind AS even if it is an NPA. So, we have a Rs. 1,000 crores NPA on our book, even if it is NPA, the interest on the NPA, we have to recognize in revenues and then that's what Ind AS says. What we do is we also - we do unwind the interest and show it as credit cost so that it doesn't come to P&L. Ind AS says actually , that you recognize income and only when you write off or settle that, the whole thing needs to be booked as a loss. We don't see any point in that. So, while we are in accordance with Ind AS by booking the income on top that interest, we also provided some, so that the PAT is not overstated for any quarter.

Mahruk h Adajania :
Got it. Got it. Makes complete sense .
Dinanath Dubhashi:
It is just technical .

Mahruk h Adajania :

Got it, sir. And just in terms of the industry outlook, o

n personal loans, so much is being said, th ough RBI's
Financial Stability report says nothing, right, or gives no warning signals as such. But in general, there is news that RBI seems to be worried about quality on personal loans. So, any comments you have on this just in terms of if you are seeing any on the ground early warnin g signals or any such thing?
Dinanath Dubhashi:
Okay. I think it's a good question. So, number one, even RBI has talked at places that it is a little bit worried about the high growth rates in unsecured personal loans and I believe the industry is watching it very closely. There is no doubt that the growth rates have been high. But we have to look a little bit beyond that. A little bit beyond that and look at, first of all, where are the stresses showing? In which category?
But I will come to that also late r. First, let me talk about the growth -- now there is 1 big change also happening both not only in rural but also urban. What is the change ? Is because of digital and data analytics, more and more new to credit customers are getting access to organized credit from the industry, whether it is banks, whether it is the upper layer NBFCs, whether it is smaller NBFCs or whether it is fintechs. But orga nized credit, people are finding access to and hence, there is a shift from unorganized credit to organized credit. There is a shift. I won't be able to tell you how much, when will it get over, how fast is the shift because simple answer is I don't know. Unorganized credit is not measured. So, I don't know. But our on -the-ground findings also and also the number of new to credit customers that come asking for credit. We see a big move from unorganized credit to organized credit and hence, it is not necessa ry that everybody should be scared at the increase in growth rate of organized credit. It is sometimes even it can be good for the industry. The industry will have to be watchful, no doubt, but sometimes it is good for the industry also. Last time also, I had said that the entry of Jio or the entry of Bajaj in Micro Loans , is actually going to help the industry because more and more unorganized credit moving to organized credit is good for all the responsible lenders. Now this is the general answer.
Now ve ry specific. You asked a very specific question. Are you seeing any fault lines developing? Yes, the fault lines are developing. When you are in unsecured credit, 2 places where we see some fault line developing is: first-time borrower of unsecured credit , slight issues and second, less than Rs 50,000 category of unsecured credit , there are increase in credit costs happening, which is something that we are seeing. Thankfully, perhaps because we were new, our unsecured Consumer Loans are every -- each and every loan is more than Rs. 1 lakh, and each and every loan is to old to credit customers. We don't do new to credit customers at all. But at this point of time, I see, or we see our observation is showing some fault line developing i n that below Rs 50,000 category, not that these ratios have gone out of control, but those credit cost s, credit ratios are slightly deteriorating. These are what are colloquially and popularly known as Buy Now Pay Later (BNPL) loans is where fault lines ha ve started developing, whether they will be permanent, sustainable, I don't want to comment because largely, I'm not in that business (BNPL) . So, I don't think I should comment more on that. But that - since you asked the question, that's the first sort of observations that we are having internally .

Moderator :
The next question is from the line of Avinash Singh from Emkay Global .

Avinash Singh :
Yeah. A couple of questions. So first one, sir. First one, if you can just sort of - again, you have explained it but once again I'm going because you - large part of your retail business is kind of all, you say that cyclicality is there. I mean, whether it's

a 2 -wheeler, farmer or the micro finance. Now currently, you are hovering around somewhere
closer to 3% or slightly lower than that in credit cost terms in that retail. Now over the cycle, what kind of a r ange , I mean, if the current cycle continues like that robust credit quality continues, I mean, how low typically you would expect? What's your rang e of credit cost expected over 2 years to 3 years kind of a time horizon? And related to that also, your retail geographic concentrat ion, you are primarily at East and South focus ed. Are you sort of looking

to geographically diversify more towards West and North or like you have - I mean you will continue to be focused on, I mean, these kinds of fixed states or 3 each in the East and South. So that's all on retail .
And on wholesale, if you can just tell the k ind of the loan, you have sold down in the quarter, I mean, if at all, some colour on the stage, they were? Colour on the kind of wholesale loans, which you sold during the quarter, I mean, what sort of standard loans, whatever kind of at stage 2 or 3
Dinanath Dubhashi :
Okay. For sure. Most of them are Stage 1, there is no Stage 3 at all. One Stage 3 was sold to ARC, which was part of Supertech. So Supertech, we had Rs. 1,500 crores, out of which R s. 500 crores is sold to ARC, but everything else is standa rd. So, we have only 1 NPA actually, which is Rs. 1,500 crores Supertech, 1 large NPA, there are some 1 or 2 small ones. But out of this Rs. 1,500 crores, R s. 500 crores is sold to ARC. The Supertech

loan is provided 57% already and as I always said, we expect the rest of the money to come back. So that's answering your last question first.
I will now take your first question. I stopped short of guiding toward s across cycle credit cost as such because experience has shown me that credit costs and operating costs, especially co llection costs are very fungible in retail business. Frankly, sir, by throwing money, I can reduce NPAs in 1 month drastically, okay. But that's not the sustainable way of doing it and always balancing these 2 in a way that it is sustainable is very important. The way we try and control it actually is try and control asset quality at '0 DPD ' level. So, there is one data that we give , our cu rrent collection efficiencies in our investor presentation. There is one data that we closely monitor internally , is 0 DPDs across products and at each product level, each state, each branch, 0 DPD is monitored very closely. We, as a company, believe that if it slips beyond 0 DPD, after that, it is either collection cost or credit cost. One of the 2 is going to come and for us, both is same . So -- and that is -- that is why it is very, very important to stop at 0 DPD and very clearly, across products, if you see , we are having the best -in-class 0 DPDs. We are, in fact, this time, we have given it for our flagship products. We have given it in the investor presentation also and this is something that we concentrated a lo t on.
After considering everything, I believe that a 7% level of credit cost plus operating costs, is what is sustainable across cycles, across seasonality. Obviously, it will be our endeavour to be below this in good times and not to be too much abo ve this at - in bad times because good and bad times, do come. But when you concentrate on arresting something at 0 DPD, that is the time that these things become sustained. So that would be my answer to your first question.
As far as expansion is concerned. I don’t again want to get into North, South, West, etc. We very clearly believe in deciding where to do business based on very deep data analytics. So , let

us say the business which is most
widely - wide on the ground in terms of 1,600 -1,700 what we call mee ting centres across the country. What we do is at a district level, sometimes even at a Taluka level, we do detailed analysis by various departments of the credit quality , of the banking habits, post office habits, literacy levels of that area and then get into that area. So, this kind of exercise is on continuously throughout the year and that is where we open new centres as we go ahead. We don't really look at some huge, you know, let us capture north now, something like that. It doesn't make sense. We have gone beyond thinking of India as just 1 monolithic geography or even a particular state as one monolithic geography. A state as a geography comes into picture only as f ar as politics is concerned, and any political decisions are concerned. But otherwise, environment, geology, crops, occupations are so different every 100 kilometers that we try and monitor where to do business, how to do business according to that. Now that is as far as physical infrastructure is concerned. Now the new magic is digital infrastructure and the digital reach. And as we put more and more products on D2C, it will add as a further advantage to the network that we have, okay? One area where you w ill see us, to answer your question, definitely, making the entry or slow / cautious entry nonetheless for the next 2 quarters may be Andhra Pradesh and Telangana for our Rural Business Finance. After 2008 -- after 2010, we have been out of these states, b ut the recent ruling of the Honourable Telangana High Court now doesn't allow any other body to legislate on RBI regulated entities which gives us the confidence to re -enter into these 2 states. We are doing very detailed on -ground surveys of both Andhra P radesh and Telangana and you will see us making a cautious entry into these 2 states over the next 2 to 3 quarters. Does that answer your question?

Avinash Singh :
Yes, it does .

Moderator :
The next question is from the line of Viral Shah from IIFL Securities .

Viral Shah :
Congratulations on good set of numbers. I have 2 questions. So, one is on the cross -sell piece. Sir, you have mentioned on your PPT that 34% was the cross -sell and disbursement. So, does that mean that 34% of Rs. 11,200 crores of retail disbursements were to existing customers ?
Dinanath Dubhashi:
Yes. Yes .

Viral Shah :
Okay. And also, can you share what's the cross -sell franchise? Because you have mentioned that the average disbursement to them was Rs. 79,000 this quarter ?
Dinanath Dubhashi:
No, I didn't get your question. Rs. 79,000 for every cross -sell to every cross sold customer . So, every cross sold customer , the average ticket size was Rs. 79,000 .

Viral Shah :
Correct. So, what's the quantum of that customer? So basically, you have a lifetime customer franchise of 21 million?
Dinanath Dubhashi:
So, 34% is value. Okay, 41% number of customers, 34% value.

Viral Shah :
Okay. So, 41% of your 21 million customers are - you have identified as cross -sell customers?
Dina nath Dubhashi:
No, no, not like that. We did 6.9 lakhs new customers, 6.9 lakh s customers we did a new disbursement that was 59% of total customers that we did disburse to in the quarter.

Viral Shah :
Okay. Got it .
Dinanath Dubhashi:
So, you just divide 6.9 by 0.59 and you will get total number of customers .

Viral Shah :
Got it. This is helpful, sir. The second question I had was on the provisioning piece .
Dinanath Dubhashi:
In the presentation, we have actually given product wise also. Lot of col our is given. In the presen

tation, we have
given product -wise slides, as to how much for cross -sell, repeat customer share. So, in the Rural Group Finance,

repeat customer share is given very clearly and then farm equipment also repeat - Kisan Suvidha is r epeat customers. Second question?

Viral Shah :
Sir, the second question was on the provisioning piece. So, while you have given the provisioning on the retail assets, can you give us the sense of the stock of the total provisions on the consolidated book? So, this is not just the Stage 3 provisions, but all your Stage 1, 2 provisions put together
Dinanath Dubhashi:
Last time also I have said that I don't give for wholesale - if you are asking Stage 1, Stage 2 kind of breakup, I had said very clearly that since the wholesale book is in a sort of quick rundown , quarter -on-quarter won't give any trends .

Viral Shah :
I'm not asking for the breakup of it, sir .
Dinanath Dubhashi:
I will just ask Sachinn to answer this question because there is a lot of confusion on this. There is no provision on the wholesale book, it is fair valued .
Sachinn Joshi :
In case of wholesale, we already mentioned, in fact earlier on the call that about Rs. 2,700 crores, fair value of the assets was done in the third quarter and the asset book was stated at an amount which was lower by about Rs. 2,700 crores. As the asset book has been sold, either it has been sold at the value prevailing in the books or some assets at higher levels, some assets at lower level. At the end of ea ch quarter, the fair valuation exercise is undertaken by the valuer once again and what you see as a closing book is the fair value book as on 30th of June. So, in terms of the overall provision, the only asset - the GS3 asset was Supertech which was provi ded for about 57% overall.
Dinanath Dubhashi:
It is given clearly. So, the Stage 3 - gross stage 3 is Rs. 1,065 crores in wholesale and net Stage 3 is Rs. 469 crores. So, the difference between that is provisions, in wholesale. The rest of the standard bo ok is fair value. So, there is no question of provision .

Viral Shah :
So, this Rs. 14,000 crores of wholesale book, which is there, that is the fair value of it ?
Sachinn Joshi:
Rs 14,000 crores is the gross value
Dinanath Dubhashi:

Out of Rs. 14,200 crores, Rs. 1,065 crores is GS3, okay, which provision is given in the presentation.

Viral Shah :
Got it .
Dinanath Dubhashi:
Okay. Answer to your previous question. So, we did 6.91 lakhs of new customers, 4.71 lakhs of repeat customers, making it 11.62 lakhs .

Moderator :
The next question is from the line of Digant Haria from Green Edge Wealth .

Digant Haria :
Sir, one question is that in the last 1.5 years, we have started the cross -selling journey in L&T Finance. Sir, most of the successful companies who have done cross -selling, so say, Bajaj Finance or ICICI bank where Sudipta comes from, they have reported declining operating costs and declining credit cost as well, as the cross -sell franchise improves. So, for us, like when do we reach that stage where this opex plus credit cost does not remain at 7% because the 7% number, it still optically looks very high for any franchise which can actually cross -sell a lot. So that is my question .
Dinanath Dubhashi:
Okay. By when I would not like to say. So, I agree with you. We have to first of all, reac

h 7% and then go below
that, both the companies that you talked about, okay, ICICI is a bank. So, I don't want to comment on that. We are a rural company and don't fo rget that the costs of reaching in the rural are also higher. So, I would just like to differentiate that, that way and yields are also higher to that, that extent as we go ahead. But very clearly, in a way, you are right. We have reached now close to 7%. We will reach 7% before and after that, obviously, we will start reducing from there. But I didn't think it was very responsible of me to give a guidance of lower than 7% before reaching it. Let us reach 7%, which will be a good achievement and after that, we will certainly go ahead. Also, you cannot forget that we are in the stage where last 2 -2.5 years and continuing now, we are making heavy IT investments and that those are also a part of this 7%. There is nothing like , we don't build good big fixed asse ts, right? because IT investments are all expenses, current expenses and those are also part of these expenses. As we go ahead, those IT investments will start even contributing to productivity and we are very sure that on quarter -on-quarter basis, we will show a good reduction on this ratio, which is currently at 7.2%. Let's come to 7% first and then we will set up a new target as we go ahead .

Digant Haria :
Just let me ask 1 more follow -up on this that. On the cross -sell franchise that we already have, like we've just started, and we already have some part of the loan book, which is made purely out of cross -sell. The ROA numbers there, like what could they be? Like are they better than the overall retail ROA that we see? Or they will still need som e scale before that can really happen?
Dinanath Dubhashi:
They will be definitely better. I won't be able to give those numbers Right now, we are not telling those kinds of numbers. But way better. Very simply, acquisition cost is less, clearly, collection cost is less, and credit cost is way less. So, I'll just give you some, you know 1 number, which is my favourite number and from which you can draw your conclusion, okay. In 2 -wheelers, the cross -sold part or the part which customers, which are prime enough to do cross -selling , the bounce rates are 1/3rd of a normal 2 -wheeler bounce rates, 1/3rd. And if the bounce is less, obviously, the collection cost is way less. And hence, the credit cost is also very less. So, it can be extremely profitable as we go ahead. So, some numbers are already showing up in terms of credit cost and operating costs. More will show up as we go ahead .

Digant Haria :
Maybe I'll ask this question again a quarter or 2 later as well .
Dinanath Dubhashi:
Yes, yes. Quarter -on-quarter, absolutely , I hope it goes like that. But 2 quarters, certainly, it will go .

Moderator :
The next question is from the line of Kunal Shah from Citigroup .

Kunal Shah :
So, I was just saying on the wholesale profitability, okay? So, when we look at it almost like say, Rs. 7 -odd crores on the pre -provisioning level. So, you said like there is no revaluation, but what is actually leading to the NIMs getting down from Rs. 20 0-odd crores to Rs. 75 crores even after recognizing the interest income out there. So, would there be like maybe on the sell downs, there would have been some further knock, which would have been taken and how should we look at it on a steady state? No do ubt, the book is declining, but Rs. 7 -odd crores at pre-provisioning level seems to be quite low, yeah .
Dinanath Dubhashi:
Okay. I mean, 1 simple thing is there are SRs that we are holding and there is credit cost , not credit cost

and on
that interest cost is there on that. But I will ask Sachinn to give a detailed answer on this one .
Sachinn Joshi :
Kunal, what's happening is actually, as the book is being sold down, depending on when the actual asset is exiting my balance sheet, the income accordingly is getting booked, right? So Q4, you would have seen that huge amount of sell -down has happened and a lot of it has happened at the fag -end of the quarter. So, which means that income got booked for that quarter, wher eas the income for those assets was not there in the first quarter and that's why you see a significant difference in the top line. Apart from that, of course, there is assets which are there, which are not on my balance sheet, but with ARC and there is a cost attached to it, which continues. I think Q1, the differential that you're talking about , takes care of these 2 - the key reasons for that .

Kunal Shah :
And steady state should be how much then on this outstanding book, which is there or maybe even if we run it down by another Rs. 4 - 5-odd thousand crores ?
Sachinn Joshi :
No point talking about steady state because as we speak assets are being sold out. So, in the next couple of quarters, that's the reason we ask everyone to just focus on retai l P&L. Wholesale is just a transitionary P&L next 2-3 quarters, and this will be absolutely irrelevant .
Dinanath Dubhashi:
Yes. So, I mean if you take all this put together, PAT is Rs. 531 crores . I can make a statement that we don't see it going down fro m here .

Kunal Shah :
Sure. Okay. And secondly, in terms of the Consumer Loans and SME. So, SME, maybe quarter -on-quarter, the traction was building up. Should we see like Q1 was more of a seasonality or maybe slightly conservative stance out there? And same with the Consumer Loans , okay? So maybe I think traction seems to be even th ere in terms of the disbursements, it's in a narrow range and these are like the newly launched products. So how should we read this ?
Dinanath Dubhashi:
You are - I think both is a little bit right. Seasonality comes in terms of April. SME, that is true b ecause it's still largely a DSA led business. In April, there is no business. So that is why you see Q1 like this in SME. But both these products – I mean, that is just April. 1 month in a year that happens, you will see that catching up in Q2. But I would also say that both these businesses are new and hence, the moment we see something, some processes, a need for change, not necessarily in terms of customer profile or not necessarily in terms of portfolio or something. But even in terms of, let's say, our own processes. If we see a need for improvement, if you see a need for

reengineering to remain good in the market. We actually even today are sort of holding back for 10 -15 days, launching the new process, going ahead. So it is that period. I wouldn't call it a pilot. But for both these products, it is still a period of innovation, growth, and that is why we are calling these growth products. We are not calling them steady -state products at all. So as long as we remain i n that ballpark, we don't get too affected. So, if I have to answer your question more strategically, I don't see anything which is sustainably wrong. It is just some corrections in the processes, etc ., that we did in both the products and we will see this - those run rates coming back very soon .

Kunal Shah :
Sure. And lastly, in terms of the networth, so sorry to get back to that. But finally, eventually post rundown of the wholesale, this entire book will get into the retail and retail networth will go up maybe this quarter also al

most
there was Rs. 500 crores addition from the wholesale, which has happened. So eventually, we could say that okay, almost like Rs. 20,000 -odd crores of maybe the retail networth being there ?
Dinanath Dubhashi:
Correct .

Kunal Shah :
Okay. So, then what - maybe last time also you highlighted, but then in terms of either the dividend or the utilization of this excess networth, okay? What we would eventually look at given where we are in terms of the overall loan book, at sa y, Rs. 65,000 crores growing at this pace, yeah ?
Dinanath Dubhashi:
You're absolutely right. Now what are things that we will definitely not do, okay? We will definitely not grow irresponsibly just to absorb the networth. We will not do that. I think at 2 5%-30%, maybe 35% in a particular year are good growth rates that we can achieve and sustain. We will stay at that. We will not do an acquisition just because we have money. If we see some acquisition happening at good prices. Why not? But at the current multiples you are giving in the market, people's expectations are crazy. Companies which are doing pretty badly also, their expectations are crazy. So those 2 things are what we will not do. We will make sure that the growth remains sustainable, number one and everything else possible to manage the networ th in the meanwhile, we will do. So, this year, you saw that even despite having issues about holding company, etc ., we have given a Rs. 500 crores dividend and yeah, nothing can stop us next year once the m erger is done. Till we find the use for the increased networth even having the maximum permissible dividend payout ratio of upto 50%. So that's - that would be the plan. Is it ideal? No, it is not ideal, but that's the truth that wholesale will come down. Retail growth, even at 30% -35% is a great growth, but we will have to manage networth also simultaneously, which we will keep doing by giving out good dividends .

Moderator :
The next question is from the line of Abhijit Tibrewal from Motilal Oswal .

Abhijit Tibrewal :
Good to see that you made that statement when you said while you are superannuating, you've seen the organization in a good play and which is why you have decided to pursue your hobbies as mentioned. Congratulations to you on that. I'm s ure it's a very, very fulfilling and satisfying career .
Dinanath Dubhashi :
Thank you so much .

Abhijit Tibrewal :
So just one thing on the last question that you were addressing on the dividend, where you said that till the time you find some suitable opportunity to deploy the capital maybe, you will go ahead with maximum permissible dividend payout ratio, 50%. So, it 's fair to assume that, I mean, in the last few quarters, where we were talking about some special dividends that we were trying to work with the regulator at least that has now been rolled out.
Dinanath Dubhashi :
That has been rolled out. The Rs. 2 which we gave , gave meaning, it will be given on 28th of July after the AGM .
Abhijit Tibrewal :
Yes. Got it .
Dinanath Dubhashi :
Yes. That is done .
Abhijit Tibrewal :
Sir, the other 2 questions that I had is, now obviously, you had discussions on cross -selling already. So, thank you for throwing light on that. Sir, the other 2 things that I wanted to understand is the fact that we've been aggressively selling down wholesale. I think I mean one of the things that I kind of wanted to infer from this is the fact that we've been able to do it so fast and so gracefully is because - I mean, except for wholesale real estate, we didn't really have any meaningful stress on the balance sheet and sir, which is where, I kind of wanted to under

stand that out of these other assets rundown that we've seen, if I look at the last 1 year from almost Rs. 40,000 crores of wholesale down to about Rs. 14,000 crores now. How much in totality has been sold to ARC

other than that R s. 500 crores that you talked about , Superte ch.
Dinanath Dubhashi :
Our total SR book is Rs. 6,500 crores. Total, right from inception (over a period of 10 -12 years) .
Abhijit Tibrewal :
Okay. Got it. And this is where I would say we are expecting recoveries to come through over the course of the next.
Dinanath Dubhashi :
I will tell you the SR book is marked -to-market every quarter based on independent rating agencies. So many of the SRs keep getting extinguished as recoveries happen. So, I would say that whatever goes every quarter from mark -to-market as we - as those ARCs mark -to-market, those SRs goes every quarter. Otherwise, what remains should be recovered and we monitor it very, very closely. We don't look at it like, if sold , it is out even though the ARCs are fully in control of the recove ries, and it is a true sale. But my legal team monitors it very closely. I'm happy to say that lot of recoveries have happened and in fact, you will be surprised that the SRs of Real Estate , the recoveries are faster than Infra because naturally, because e ven if it was a 90 + asset, Real Estate assets are actually there to monetize very quickly. So, if a new developer comes and takes over the asset or the asset gets completed, the Real Estate SRs are actually something which get extinguished much faster than an Infra SR.
Abhijit Tibrewal :
Okay, sir. And sir, then is there a timeline or a duration till which these SRs have to be there on the book or let's say, just giving you an example here by the end of this year, let's say, if you are able to bring down the wholesale book to 5% of the loan mix even then these SRs will continue to sit. Of these Rs. 6,500 crores that you talked about, will continue to sit as SRs .
Dinanath Dubhashi :
Why would Rs. 6,500 crores remain ? Because it keeps getting reduced. So technically, the SR can remain for about 8 years on the book, technically. But I would think - I mean, this Rs. 6,500 crores is what I have told you is

the net number. The way the repayments are being planned and are happening, we see a big reduction happening in 2024 itself, about a couple of thousand crores coming down in 2024 itself. So that is the kind of speed of reduction of SRs that we have shown in the past, and we will continue to show .

Abhijit Tibrewal :
Got it sir. One last question .
Dinanath Dubhashi :
Rs. 6,500 crores coming down to Rs. 4,500 crores or so by the end of this year itself is what we confidently expect without any big upside .

Abhijit Tibrewal :
Sir, and 1 last question. Out of this total disbursement that you are doing, what proportion of those disbursements are happening in partnerships with your digital fintechs or consumer techs. Any... .
Dinanath Dubhashi :
It is Consumer Loans’ 40% of total Consumer Loans disbursements , Rs. 465 crores total .

Abhijit Tibrewal :
So, sir, only Consumer Loans is where we have fintech partnerships is what I wanted to understand .
Dinanath Dubhashi :
Yes (e-aggregator not fintech).

Abhijit Tibrewal :
Got it sir. Just 1 last question in the interest of time. Sir, given that you do a lot of industry benchmarking, I'm glad from this quarter onwards for your top 3 products, you've started sharing the 0 DPD numbers vis -a-vis the industry. Sir, just wanted y our view on how you look at your MFI business, given that we have a whole host of listed NBFC - MFIs today? So, when you kind of be

nchmark your MFI business with some of the -- maybe the leaders on the
street or someone who is just doing micro finance as a product, how do you look at your MFI business and do you think there are things that we could basically improve from here on in our MFI business when you look at some of the pureplay MFI players .
Dinanath Dubhashi :
Okay. I will stop short of benchmarking within MFIs at all, okay? Because I believe that micro finance as such, is a business which has I mean, which has growth potential, but always be limited because micro finance is what - where your income level, family income level is below Rs. 3 lakhs, right? That is typically micro finance. We tend to, the industry , analysts , everybody tends to wrap everything under that bundle. It is less than Rs. 3 lakhs, and

we take now efforts to show how much we have done less than Rs. 3 lakhs - more than Rs. 3 lakhs. We are now actually looking going beyond that also and trying to change the complexion of that business. So, what - I believe what you mean by MFI is joint liability group business. So, within joi nt liability group, there will be 2 categories. One is micro finance, one is non -micro finance, which is less than Rs. 3 lakhs, more than Rs. 3 lakhs. A large proportion of our business, which is 90% of our business, in joint liability group happens for mo re than Rs. 3 lakhs. So, it is not micro finance. 90%, okay. Our further attempts are now to see whether beyond a particular income level, are there very different segments even within that. So let us say, Rs. 10 lakhs, just a number, I'm just throwing a n umber. So, ab ove Rs. 10 lakhs income, there is a segment which exists, which can do business in a completely different way, like a rural Consumer Loan where maybe there will not be monthly meetings. People will - there will be mandates and people will repa y through bank mandates maybe that segment exists, and we have to start looking at that.

A segment definitely exists where there are fixed assets in rural, like their own homes, and we can work on that and help people leverage those fixed assets, which is not micro loans. So according to me, the future of a good rural lender lies in looking beyond these given models, okay, this is micro finance. To see that and look at those people as beyond - after removing this veil, of what we have termed this a s micro finance customers, right? We have found out from our research that it is no longer true. By definition, by nature, by behaviour, there are very different segments that exist. We believe and we have found out actually, discovered that we largely are playing in the near prime, prime and super prime segments actually in rural India and not in the typical micro finance business. We are there , to about - just about 10% of our disbursements. I believe good trends and good growth in rural lending will happ en there and that is where then the question of benchmarking, etc ., will come from there as we go ahead .

Moderator :
Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to Mr. Dinanath Dubha shi for closing comments. Over to you, sir .

Dinanath Dubhashi :
Thank you. I would once again, thank all of you for your unstinting support, your confidence. I remember that when we came with the second plan, the Lakshya 2026 to all of you, we were coming after a very difficult period that the company as well as the stock had gone through and still, many of you supported us, many of you put confidence in our plans. I'm happy today and proud to stand in front of you, having d elivered those numbers of those plans, but

more importantly, having put in place an engine that will make sure that this kind of growth, this kind of profitability will continue in the future, not only during FY24 but well in future after that as well. The strategy, Lakshya 2026 remains steadfast. The leadership and support of our Chairman, Mr. S. N. Subrahmanyan remains steadfast. And more importantly, the devotion and the zeal of the management team and all of our field teams to deliver these goals remain steadfast. Thank you very much. God bless you and let your support keep coming. Thank you.

Moderator :
Thank you very much, sir. Ladies and gentlemen, on behalf of L&T Finance Holdings Limited, that concludes this conference. We thank you for joini ng us, and you may now disconnect your lines. Thank you .

*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies ,
repet itions in Q &A which would have unintentionally crept in, if an y

Call: Oct 2023

October 31, 202 3

National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051. BSE Limited
Corporate Relations Department,
1st Floor, New Trading Ring,
P. J. Towers, Dalal Street,
Mumbai - 400 001.

Symbol: L&TFH Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of investor(s) / analyst(s) meet – Q2FY2023 -24 financial performance and strategy update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q 2FY2023 -24 financial performance and strategy update held on October 2 3, 202 3.

The above information is also available on the website of the Company i.e., www.ltfs.com/investors .

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Holdings Limited

Apurva Rathod
Company Secretary and Compliance Officer

Encl: As above

L&T Finance Holdings Ltd.
Q2 FY24 Earnings Call Transcript
October 23, 202 3

Management Personnel :
Mr. Dinanath Dubhashi (Managing Director & C hief Executive Officer)
Mr. Sudipta Roy (Chief Operating Officer)
Mr. Sachinn Joshi (Group Chief Financial Officer)
Mr. Karthik Narayanan (Head – Strategy and Investor Relations)

Moderator:
Ladies and gentlemen, good day, and welcome to the L&T Finance Holdings Limited Q 2FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please s ignal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
We have with us today Mr. Dinanath Dubhashi, Managing Director & CEO and other members of the senior management team.
Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the call. Only public ly-available documents will be referred to for discussions during interaction in the call. While all efforts would be made to ensure that no unpublished price -sensitive information will be shared , in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the statements made on today's call may be forward -looking in nature. A note to this effect is provided in the Q 2 results presentation sent out to all of you earlier.
I would now like to invite Mr. Dinanath Dubhashi to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir .

Dinanath Dubhashi:
Thank you. A very good morning to all of you. Welcome to the call. I can start the call definitely by stating without any hesitation that we are very, very enthused about the Q2FY24 results. In fact, I read in one of the reports written by one of you, that the results show not only quantity, but also quality and that really reflects what I wanted to say . We are happy, of course, that we have registered the highest ever retail disbursements, maintained exce

llent margins and further reduced credit cost, thus achieving a 46% PAT growth, registering a PAT of Rs. 595 crores . We are, of course, happy that we continue to achieve and exceed the Lakshya 2026 targets well ahead of time, but most importantly, we are happy qualitatively that all the steps that we have planned to make sure that our results are consistent without any negative surprises, all those steps are falling in place in an excellent manner. Thanks to the excellent execution engine we have put in place .

With this, let us now look at the performance of second quarter, Q2FY24. Over the last few quarters, we have achieved several milestones in our quest to make LTF a 'Top-class digitally -enabled retail finance company '. The strong differentiators we are creating have helped us achieve our Lakshya 2026 goals well ahead of time . Our plan of making the company a leading digitally -enabled retail finance company is well on course and has been tremendously strengthened by the addition of Sudipta to the team.

Sudipta has now spent almost 4 months with the company and as I had mentioned in the last call, the company is strongly growing on his strengths to reimagine and redraw various customer journeys as well as internal processes . We aim to make our journeys more and more seamless, widen our customer funnel further, efficiently farm our strong customer database and most importantly, further strengthen underwriting processes by bringing new-age insights into the underwriting journeys . While business cycles and se asonality are a reality of life, we believe that the above initiatives will help us make our growth relatively insulated from these, thus making it more consistent while at the same time, continuously improving our portfolio quality and further reducing cr edit cost .

Achievements against the Lakshya goals
So let me now just quickly capture the achievements against the Lakshya goals with majorly accelerated timelines. Our strategic plan, Lakshya 2026 rests on 4 key milestones, let us look at the performance against each one of them :
1. The first milestone was taking Retailisation percentage to more than 80% by 2026 . I had already indicated to you that we will, in fact, be exceeding 90% Retailisation by end FY24 and most importantly, we are confident

of doing the same without any negative surprise to the P&L. In keeping with that promise, we have already achieved a 88% Retailisation in Q2 FY24 and quite confident of going beyond 90% in Q3 FY24 itself.
2. The second milestone was about retail growth of more than 25%. Against this, we grew 33% YoY in this quarter and this, let me remind you, follows up on the 34% YoY growth in Q1 and 35% YoY growth in the previous year i.e. FY23. So, the growth has been pretty consistent .
3. We had also said that our GS3 and NS3, Retail GS3 and NS3 will be below 3% and 1%. As you would see, our Retail GS3 and NS3 today stand at 3.05% and 0.67%, respectively, and even on a consolidated basis, this is at 3.27% and 0.82% .
4. Last but not the least, we had put a retail ROA target of 2.8% to 3%, and we had reached 2.95% in Q4 and 3.08% in Q1. This quarter, it has grown to 3.32% and I believe that with the various steps being taken, this can only improve from here.

Performance highlights for the Quarter

Retail Performance :
If we look at the highlights of this quarter :
• Our profit , Retail profit after tax actually is Rs. 606 crores, up 86% from last year.
• Retail 'NIMs +Fees ' are at almost an all -time high of more than 12%.
• We have done our highest ever quarterly retail disbursements of about Rs. 13,500 crores, which is up 32%. Now let me again point out that Q2 traditionally is the weakest quarter, and we have done the highest quarterly disbursements, while making sure that '0 DPD ' collections, portfolio quality, everything remains same. This is happening largely due to the various steps we are taking, especially on farming the database and also some movement towards more prime customers .
• Book size growth - retail book is now ~Rs. 69,400 crores, which is up 33% and we have already talked about asset quality and ROA.
• Retail ROE now has reached 16.31%.

Consolidated Performance :
If we talk about consolidated performance :
• The consolidated PAT now is once again at very high -- very healthy level of Rs. 595 crores, which is up 46%.
• Our capital adequacy remains strong at 25%.
• Our credit cost has come down further by 10 basis points on a YoY basis, which is a good path to tr ead on.
• And continued with the accelerated reduction in the wholesale book, a steep reduction of about Rs. 29,000 crores, 76% , has been achieved, and now the wholesale book stands at Rs. 9,318 crores at the end of Q2FY24. And as I'm guiding, we should cross 90% by Q3 itself and hopefully be quite close to 95% by the end of this year.
As the balance sheet becomes more and more retail and the wholesale book becomes less and less relevant, the overall ROA will start converging to the retail ROA. I would also like to point out that our overall ROA has now crossed 2.4% and now this acceleration towards the conversion to retail ROA is expected to be faster as we keep reducing the wholesale book .

Let me now briefly talk about the retail ROA tree and the factors contributing to the same and what kind of direction it can take :
Strong 'NIMs +Fees': So number one, the strong 'NIMs +Fees ', as you will see that the retail 'NIMs +Fees ' have trended quite well and have reached an all -time high level of more than 12% . While we do expect borrowing costs to inch up slightly in the second half of the year, our treasury has been managing the costs quite efficiently through

judiciously locking in interest rates for medium to long term and also making excellent use of our rural portfolio which qualifies for PSL borrowing as well as PTCs. All this is being done while keeping CP proportion (commercial paper proportion) low, at j ust about 6%, which provides good room for increase in this percentage, if required, and hence, moderation in borrowing cost . We will do this on need basis. What helps, of course, is the overall duration of the book coming down continuously because of Retailisation. Also, one factor, which will help cost of funds is the impending merger, which is now in its last phase and will also provide tremendous synergies in treasury, ALM and liquidity management. Simply, we have to keep liquidity. We have to manage AL M of 3 companies. Instead of that, it will be one company. Obviously, it will lead to lots of synergies. All of this, coupled with the movement of the portfolio to retail and rural has definitely helped weighted average yields. While the 'NIMs +Fees ' may mo derate slightly from current levels, we do not expect a major drop in this in the future because of all these reasons that we have highlighted

Expenses : On the expenses side, I have indicated over the last couple of calls that the opex line may remain sticky at least in the near future. And the reason for that is we will continue to invest heavily in physical infrastructure and teams to aid our growth and also heavily invest in cutting -edge technology. You would have also observed higher marketing and brand visibility of our brand over the last couple of quarters, and this investment w

ill also continue. This increase in cost will, of course, be partly offse t by better productivity and efficiencies. But on the whole, this line may remain a little sticky in the short term. We are convinced that this investment will bear excellent fruits in the future .

Credit cost : Credit cost, this is a line where we have shown steady and continuous improvement, and we clearly and strongly expect that this trend will continue in the future quarter -on-quarter. The improvement will come with work on 3 vectors:

1. Further strengthen underwriting by augmenting bureau -- what we normally do is single -line underwriting, which is bureau information, asset cost and income based underwriting. We will be augmenting this with many new-age parameters, which Sudipta will talk about more.
2. Second, excellent track record on '0 DPD ' collections aided by tremendous analytics input.
3. And last but not the least, a strong collection team on the ground which aids rollback of whatever rolls through and recovery of the accounts which flow in the subsequent buckets. Even after very good 0 bucket collections, there are accounts which obviousl y will flow and this strong collection team ensures that it is recovered and credit cost is kept minimum .

With all this, we clearly expect the retail ROA, which has now steadily increased to 3.32% to further inch up towards 3.5% mark over the next few quarters. With this excellent trajectory of profitability in place, it is now important to understand exactly how we are planning to maintain this excellent rate of gro wth while continuously reducing credit cost and hence, improving ROAs quarter -on-quarter .

I now hand over to Sudipta for :

1. Taking you through the business highlights for Q2FY24,
2. Talking about the business strengths which we have built and which have helped us achieve these results,
3. Most importantly, highlighting the 5 pillars we are putting in place to ensure an excellent trajectory of growth, credit cost and hence profitability in the future.

Over to Sudipta.

Sudipta Roy :

Thank you, DD. And good morning to everyone in the call. Before moving to the detailed business updates for Q2FY24, allow me to talk to you about our expectations of Q3FY24.

There are multiple things happening in India and globally, and we are going through a sort of uncertain period in terms of global geostrategies . Talking about the global scenario we know that the inflation has been staying well above the targets in major economies, geopolitical headwinds from ongoing wars, elevated crude oil prices, the strong dollar and rising U.S. yields added to the financial ma rkets' volatility. However, when you talk specifically about India, the economy has showed improved resilience in Q2 FY24, even as the consumption recovery showed a K-shaped pattern owing to the state and central government's capex push .

During 2023, India received lowest rains in 5 years and the El Nino weather pattern made August the driest month in more than a century. Uneven rainfall further raises the risk to the Kharif yield plus the depleted water reserves in several states could ch allenge timely sowing of the rabi crops. This does not augur well for rural incomes and food inflation in H2FY24 . Inflation, too, is likely to firm up in H2FY24 due to a subpar monsoon and the surge in global energy prices. Accordingly, some slowdown may b e observed in rural demand.

H2 of FY24 has been a mixed period for the economy. Bond yields have firmed up already and in some sections of the urban consumer lending, there are some signs of leverage. It will be important to approach the near future with optimism, but at the

same tim e, with very strong risk guardrails . On one hand, we have seen some very
strong festive demand already in Q3 and at Larsen and Toubro Finance, we are geared up for the festive season with targeted campaigns and consumer offers.

With that aside, let me quickly deep dive into the key highlights for the quarter that has gone by :

Retail Businesses :

Disbursements : Disbursements in Q2FY24 stood at Rs. 13,499 crores, up 32% YoY. This has resulted in the retail book growing 33% YoY, and our overall retail mix has grown to 88%, up from 58% in Q2FY23 . In terms of our business lines :

• Rural Business Finance
If I take the Rural Business Finance business, some of the highlights I can put now on the table is that this business is of 14 + years of vintage and it has done its highest -ever quarterly disbursements at Rs. 5,740 crores, up from Rs. 4,511 crores in the previous quarter, which was back then the highest -ever quarterly disbursement.
This is a result of better income mapping, persistent focus on customer retention and streamlining business throughput. We started income mapping about 18 months back, and as you all know and now with this income mapping, we have a very good idea of the various categories of customers and can design our products accordingly. This quarter, we also achieved the important mile stone of crossing the book size of Rs. 21,000 crores in this business. In Q2FY24, R ural Business Finance also witnessed the highest ever quarterly disbursement to LTF exclusive customer base, which we call the Pragati customers at about Rs. 1,202 crores. More importantly, our repeat disbursements are close to 70% of total, 31% of the disbursements are to exclusive 'LTF customers '. This trend shows that this business has not remained as cyclical as before .

• Farmer Finance
In the Farmer Finance business, we have disbursed loans upwards of Rs. 1,500 crores, Rs. 1,534 crores to be exact, in Q2FY24. And this has led to a disbursement growth of 18% YoY and a book growth of 13% YoY. What is interesting to note that our top -up product, Kisan Suvidha has seen an increase in penetration from 24% in the last quarter to 30% in Q2, and we have actually driven the penetration of this product with single -minded focus. With consistent focus on repeat borrower book growth, the disbursement from this segment stood at Rs. 385 crores in Q2FY24, resulting in a 26% YoY. We have been enhancing digital collections too, and they now contribute 45% in the overall collections, up by 8% YoY. We intend to leverage the festive season with higher dealer activation by increasing dealer penetration .

• Urban Finance
As you are aware, a large proportion of our business is also now in urban finance, and we are focusing on growing all the business lines in urban finance strongly. This segment, which comprises of Two-wheelers, Personal Loans, Home Loans, Loan Against Property business saw a 17% YoY jump in overall disbursements resulting to a 31% YoY increase in book size.
o The 2 -wheeler business registered a disbursement of Rs. 1,817 crores in the quarter, up from Rs. 1,726 crores in the previous quarter, and the book crossed Rs. 9,500 crores, up 18% YoY. This obviously in a quarter that is normally a difficult quarter for most of the consumer lending businesses. With a higher emphasis on the prime segment and an overall enhancement on customer base quality, we have been able to grow our prime customers with asset value -- defined as with asset value greater than 1.5 lakhs, 52% YoY from Q2FY23 to Q2FY24 . Now what happens in the prime product is that the customer gets a better LTV because they are prime

customers. We get much, much lower bounce rates, maybe as low as
1/3rd the bounce as compared to a normal customer from other lower value ICE sort of vehicles. And hence, as a corollary much lower collections cost and credit costs .

We have also entered into agreements with preferred electric vehicle players like Ola and Ather. This, of course, is within our plan for getting prepared for the future, but clearly, also within our plan for pushing

the portfolio towards more prime segments. This also furthers our goal of funding sustainably as a company.

We are leveraging a lot o n analytics in driving this business, and our analytics -driven dealer relationships analysis has always been our strength. And this has led to a higher counter share of 54% of our total disbursement from the top dealers.

This business is going to become one of our main customer acquisition engines in the coming future, and thus holds a lot of potential and hence, we have a lot of focus from our business as well .

o In the Personal Loans business, we have forayed into this category with the objective of sort of leveraging our existing Two-wheeler, seasoned Two-wheeler customer base as a primary cross -sell proposition. This business witnessed disbursements worth of Rs. 1,308 crores, and the book size crossed Rs. 6,000 crores, an increase of 63% YoY.

We have also launched an income assessment -based journey program to provide better offers to our customers based on their salary and banking credit, increasing the average ticket size to about Rs. 1.75 lakhs. We have been also working towards reimagining o ur customer journeys in the Personal Loans business by adding multiple layers like utilizing video KYC for customer onboarding, establishing manual underwriting centers and strategic locations to augment customer eligibility and augmenting traditional bureau-based models with advanced bureau plus models of -- bureau plus models of the -- what we call the additional signal -based underwriting, which I'll talk a little bit later, and also including geographic expansion .

I think it is important to discuss this segment in a little more detail. As I said earlier, some segments of this market are certainly showing signs of overheating. Basis our interaction with credit bureaus, we would like to point out that the stress large ly exists in the low -ticket personal loans segment, which is less than Rs. 50,000 sort of ticket size, and bureaus like CIBIL estimate at a total of Rs. 25,000 crores outstanding in this particular ticket size segment compared to overall personal loans boo k size of about Rs. 10.5 lakh crores . In high ticket sizes, normally, more caution is exercised while underwriting and the loss rates are significantly lower than those in less than Rs. 50,000 segment. As far as our portfolio is concerned, we have practically no exposure in the less than Rs. 5 0,000 ticket size segment, and we have consciously stayed away from the BNPL segment -- lending in the BNPL segment .

o Moving on to Housing. It achieved the highest -ever quarterly disbursement of Rs. 1,734 crores, up 55% YoY and the book size crossed Rs. 15,000 crores mark, an increase of 30% YoY. In line with the strategy of balancing customer mix for optimum returns, share of salaried and self -employed segments in the total disbursement stood at 58% and 42%, respectively, in Q2FY24 and we are operating mostly in the prime segment in case of disbursing Home Loans .

• SME Finance

Coming on to SME Finance. We'll be completing 2 years of SME Finance in Q3. As you know, the product was launched in Q3FY22. Our Q2FY24 disbursements stood at Rs. 872 crores, a 45% inc

rease QoQ, and it has
become quite large as a business, and we have done about -- if you recall, in the same quarter last year, we ha d done about Rs. 201 crores.
As we go ahead, here also, we have launched new products. We initially started only with the unsecured business term loan. We have now launched overdraft and hybrid overdraft products, which are seeing extremely good

traction as we go ahead. New locations, which are launched around the month of May 2023, contributed to about 15% disbursements in September 2023. We have opened the call centre channel for targeting prospect data in August 2023. We are also launching the hybrid OD product in September -23. The book now stands at about Rs. 2,413 crores crossing the Rs. 2,000 crores milestone, up from Rs. 321 crores in Q2FY23. We have added about more than -- about 3,500 customers in the quarter with cumulative customer base crossing about 12,000 . In Q3FY24, we will focus on adding new funnels to complement existing DSA channels, and we will be launching our partnership -based journeys as well. We also aim to launch our top -up offerings in this quarter.

Collections : As you know, for most retail asset businesses collections is a very key input to the entire operations of the business. And on the collection side, we have observed best -in-class collections in all our retail products wherein our entire collections team ha ve put in their best efforts to enhance collections t hrough the strategic use of analytics . This concerted approach has significantly strengthened our overall collections performance, and we have provided detailed product -wise collection efficiencies in our investor presentation as well as for our retail portfolio. As well as, in our retail portfolio, we have also shown the stage wise book in our investor presentation

as we had promised for the las t 3 quarters in a row .
Wholesale Business :
I would like now to come to a brief commentary on our Wholesale business. On the Wholesale business, we now are much closer to our Lakshya 2026 goal of making LTF a completely retail finance company and we show ed excellent reduction in our Wholesale book year -on-year. We are now very confident of crossing the 90% Retailisation mark by end of FY24. This quarter, the book size reduced to less than Rs. 10,000 crores from Rs. 14,292 crores in Q1FY24 to Rs. 9,318 crores in the period of just one quarter. That's a 76% YoY reduction and a 35% reduction QoQ sequentially . The contribution from the wholesale team has immensely helped in taking the retailisation percentage up towards 88%, thus making L&T Finance a truly retail finance company. The fact that the NS3 on the book is just Rs. 175 crores and NS2 is just about Rs. 500 crores give us complete confidence that there will be no negative surprises coming to the P&L from this segment in the future .

Business Strengths
Now let me also talk you through the various business strengths that we have steadily built in the last few years .

Deep pan India franchise
We have diligently cultivated a deep pan -India franchise over the years, and this has become a cornerstone of our operations and our performance quarter -on-quarter bears testimony to the strength of this franchise. An optimum mix of strong physical presence and preferred channel partners, coupled with leveraging our database which is about 2.2 crores customers, about 1.46 crores in the rural areas and about 76 lakhs urban and growing with every passing month has help ed us building a superior retail franchise. We have disbursed to about 6.5 lakhs new customers in Q2FY24, and our active customer franch ise now stands at about 90

lakhs . Share of cross -sell
as well as upsell in the total disbursement has been the highlight of this quarter, which stands at about 38% as against 34% in the last quarter. The gradual improvement underscores the enduring strength of the franchise that our organi zation holds and we are proud to witness its continued success as a testament to our ongoing commitment and focus.

We, of course, envisage these numbers to gradually increase as we concentrate our efforts on increasing the share of cross -sell and repeat loans like the Pragati loans in the R ural Business Finance business, the Vishwas loans, the Kisan Suvidha in our Farm business, the Two-wheeler Loyalty to primarily for cross -sell of Personal Loans, the Consumer Loans top -up or the Personal Loans top-up as we mentioned earlier, Housing Loans top -ups, etc. We have built a strong cross -sell and upsell engine with great use of digital analytics, which shows the strength s that we are building to address the additional needs of our customers of the future.
This is definitely beneficial for the customer and the whole idea is quarter -on-quarter, year -on-year, we reduce the effect - impact of seasonality both on our business as well as on our collection . And we certainly believe that we are equipped to handle the seasonali ty. However, this layer of cross -sell and upsell engine that we are building to our existing customers, reduce the effect of the volatility of seasonality if there, maybe. And you will see on a quarter -on-quarter disbursements that we have show n over for the last 9 quarters also, you see that the dependence on new disbursements is clearly coming down and our share of cross -sell disbursements is growing quarter -on-quarter .
We are proud to state that our quarter 2 disbursements are the highest that we have ever posted in a quarter, which actually shows that this is working quite well. This is just the beginning, and we'll be on our endeavour to increase this 38% of cross -sell/upsell volumes slowly to highe r levels as we go forward. And obviously, the added advantage is that the acquisition cost is lower for all the cross -sell, upsell sort of disbursements. And of course, credit cost is also lower because these are tried and tested credit season ed customers, and we have been seeing these customers over a couple of months on books. The strengthening of this franchise not only makes sense on the disbursement growth side, but also on the collections and the asset quality sides as well. Asset quality, we hope we should continuously improve going forward, leading to the reduction in cred it cost through continuous enhancements in underwriting, analytics -based strong focus on 0 DPD collections and strong ground collection teams. It makes the company resilient to exte rnal factors, and that is the one kind of company that we want to build .

Fintech@Scale
Obviously, you have known and analysed as part of our Lakshya 2026 goals that we want to build L&T Finance into what we call Fintech @Scale. And this has been our way of offering a one -stop solution for our customers. Over the course of the last multiple calls, we have talked about transforming L&T Finance into a company that relies on fintech and implements fintech at scale. This obvious ly requires not only a comprehensive strategy, but continuously putting data analytics to excellent use. We are dedicated to ensuring that no good customer is lost, and we are resolute in our mission to accompany them through every phase of their engagement with our products and services in a digital manner. This means that we not only prioritize the acquisition of customers, but al

so
ensure the long -term satisfaction, loyalty and sustained value realization as they navigate their financial interactions with us through our digital platform.
And specifically, we'll talk about our PLANET app right now.
PLANET App: Our PLANET app, which is our D2C app was launched in March 2022 has witnessed tremendous success and already crossed 6 million downloads since it launched, which even we had not imagined it. Th e App actually did one million downloads in November 2022, 3 million in April 2023, 4 million in July 2023 and 6 million in October 2023. So, you can see that there is a lot of customer pull towards using this app and which is sort of supplemented by the strong download trajectory that we see from our cust omers
But more than these numbers, what matters more towards is the engagement of our customers with the services that the application has to offer. From offering service features like downloading statement of accounts and interest certificates, the app has deve loped into having superior engagement features like providing mandi prices for our farmers, insurance, credit scores , features like the D2C journey for top -ups, etc. As we progress, a lot of more efficiencies in personal finance journeys are going to be un leashed by this app .

Let me give a few number updates on the PLANET app :
• As on date, the app has done collections about Rs. 590 crores, sourced loans of about more than Rs. 4,200 crores and catered to about 9.4 million service requests.
• The app also boasts of catering to about 8 lakh rural customers.
• More than 26 lakh customers have checked their credit scores. More than 31 lakh customers have downloaded their repayment schedules and more than 40 lakh statement of accounts have been downloaded from the app.
It has genuinely inverted the service pyramid . So, the branches just 2.5 years back, contributed to about 51% of our service requests and digital only contributed to about 14% of our service requests. This is now completely reversed to branches contributing 8% of our service requests and digital contribut ing to 81% of our service requests. So, on the other hand, this augurs, tremendously well for our operating cost, but much more important for quality of customer service and, hopefully, much higher customer retention and satisfaction.
As highlighted by DD in the last call, rural remains one area where there is a major sort of upside as well as improvement area for us. At this point in time, about 13% of total downloads i.e., from 60 lakhs -- around 8 lakhs come from the rural areas. And this speed is likely to catch up now with big efforts on marketing this app in rural, which has specifically been taken up as a target by the business teams as well. This will clearly change the way our customers in the rural areas engage with us and even in the manner of repayment of our loans .

Developing Digital Finance Delivery
On the last call, DD ha d spoken to you about developing digital finance delivery as a customer value proposition. As mentioned earlier, the objective is to touch every part of the customer ecosystem with superior digital infrastructure. We have built able 100 paperless journeys -- 100% paperless journeys in Rural Business Finance, in Farmer Finance and in Two wheeler finance as well as in Consumer Loans.
As far as collections is concerned, our strength definitely lies in our feet -on-street network owing to the nature of the businesses that we are in, and we are continuously boosting our digital collection capabilities. In the urban space, 93% of our urban collections happen completely digitally, which is on a steady state now. Thoug

h while
for the rural, it might look like a small number, but about 14% of our sort of loan -- rural collection is happening digitally, both in Micro Loans and Farmer Finance, th ey're catching up on our digital collections as well . Just about 2 years back, this number was low single digit, and I believe personally that this is going to accelerate as we go ahead -- And we, as an organization, are focusing on pushing the envelope in making sure that the digital collections also grow in the rural areas .

ESG@LTF
In the last leg, I would like to talk about ESG before moving on to the strategy of the 5 key vectors for future sustainable growth. The company's environmental, social and governance journey started in 2018 -19, making it one of the first NBFCs to embrace sustainability. Our journey towards La kshya, our primary objective, while it has to drive growth, but it was also while embracing the principles of environment, social and governance factors.
As far as our commitment to ESG is concerned, I'd like to share with you that we continued our vow towards minimizing our ecological footprint. The ESG policy adopted by LTFH has been a guiding framework to incorporate ESG considerations into operations an d business and mitigate material impacts and risks. We have won many notable awards for our ESG contribution during the quarter, including the Champions of ESG Award at the Global Fintech Fest 2023 held in Mumbai .

Five Vectors for Growth

Now what I'd like to talk is what we define as our 5 vectors for growth, and it is in consonance with our Lakshya 2026 strategy. With the results of Q2FY24, we have now reached where we aim to be when we formulated the Lakshya 2026 goals. The obvious question is what follows next. There's no doubt that we will be striving for LTF

to reach newer and higher heights, but how will we do that? Here, I would like to address the 5 vectors of growth, which we'll be emphasizing on our future journey to make sure that we maintain excellent growth while keeping our portfolio quality robust.

• Enhancing Customer Acquisition - Obviously, one of the first vectors is enhancing customer acquisition. This is going to be our primary aim going forward. We want to enhance the velocity and quantity of our customer acquisition. This will entail broadening the customer funnel and velocity while increasing throughput along with harvesting our existing customers and increasing cross -sell while keeping risk under control . In addition to this, we'll be launching contiguous product offerings. For this, we are formulating a detailed plan, and yo u will see a lot of developments in this area in the next upcoming quarters.

• Sharpening Credit Underwriting - It is very important that while we increase customer acquisition, it is also important to -- sort of improve the credit underwriting engine. And that will be our next vector of focus - to further sharpen our credit underwriting. We'll be moving from a single axis underwriting to multiple axis underwriting and movement from traditional means of underwriting like the bureau -based underwriting to new methods of sort of 360 underwriting using account aggregator pulls, market -available behavioural signals fully within the digital lending and privacy laws and obtained with customer consent. For this, we are developing a dynamic credit engine based on alternate data signals and ingesting these credit signals to make our underwriting model more robust, robust in addition to our traditional underwriting. These additions will provide us with a far better credit underwriting of the customer than we are curr ently able to .

• Implementing Futuristic D

igital Architecture - Obviously, increasing customer acquisition funnels and increasing the sort of the efficacy of our credit underwriting engine also makes it imperative on us to sort of build a futuristic digital architecture. And this is the third vector. The third vector w ill be optimizing and reimagining the digital journeys to eliminate choke points and provide a superlative experience to our customers . The digital machine that we will build will not only help us externally, i.e., in terms of ensuring a seamless experience for our customers, but also internally, i.e., all / most of our processes, databases, operations, etc ., are done and store d through a central digital warehouse . In order to achieve this, we have now a dedicated team for in -house engineering, so as to enhance our time to market.

• Heightened Brand Visibility - The fourth pillar that we will need to build up to the next level is heightened brand visibility. We will be ensuring continuous brand presence across channels to build salience and recall for the brand that we are brand L&T Finance . We have a host of other activities planned for the coming months, where we will be conducting multiple brand and product awareness campaigns, both in the rural and urban areas with focused targeting and ensuring optimum channel mix. The idea is to make the brand synonymous to retail lending and be the first choice of lender for our rural as well as our urban customers .

• Capability Building - And while we try to sort of build on these 4 vectors, obviously, one of the critical elements in this is making sure that we have the right quality of people. And so, the fifth and the last vector entails focused enhancement and optimization of talent pool in what we call capability building. We will be building teams focused on artificial intelligence and machine learning and also building additional capabilities in credit and risk management . The highly talented and specialized resou rce pool will ensure that we have the best human talent within the company who can bring on board their individual strengths and help us in delivering our Lakshya 2026 goals and carry the organization even further than that.

We have already started our work in these areas, and I'm extremely confident that these vectors will act as strong anchors so as to enable us to become the Retail Fintech @scale that we aspire it to be, while equipping us with meeting any challenges that may come our way in the future.

I would like to conclude by saying thank you to all of you for your support and by reiterating the confidence that the company is well on its line for a very accelerated achievement of the Lakshya 2026 goals. LTF is on its journey to become a pure -play ret ail company, and it is at an important juncture now with the company now having become 88% retail -oriented . While the goals have been achieved in terms of percentages well in advance, we keep -- we aim to keep this excellent growth going forward while main taining asset quality, further improving productivity, cost efficiencies and continuously improving our digital and analytics footprint as we go ahead. We are confident that this will lead to a secular improvement in our profitability ratios as we go ahead. What gives us confidence to do that is all our strengths like the deep sort of employee network and the distribution network we have, our digital capabilities and the proven management bandwidth, along with our ability to utilize and work on the customer database that we have already built or that we are going to build through our customer acquisition engines in the future.

With all these thoughts, I ex

tend my good wishes to all of you. I wish all of you a very happy Dussehra, and I thank you all for a patient hearing .

Moderator :
Thank you very much. We will now begin with the Q&A session. The first question is from the line of Mahrukh Adajania from Nuvama .

Mahrukh Adajania :
Congratulations. So basically, I had a couple of questions, but I'll start with Sudipta's comments on unsecured loans. First of all, thank you for making those comments upfront because there's a lot of confusion. But in your experience, because you have a very rich experience in unsecured retail and in risk, in your experience, do you think that the risk in the small ticket segment can easily spill over to the la rge ticket segment? Or they are -- they have to be viewed as two completely different segments? And does that then impact other unsecured segments like MFI as well? So that's my first question, and then I have earnings -related questions .

Sudipta Roy :
Yes. So, to answer your question on the rural segment first, they're not exactly consumption loans, they're rural business finance loans. So, in that way, they are of a different category. And the collections discipline and the lending disciplines on that business are markedly different from the urban personal loans. And frankly, I do not believe that the risk from the small ticket personal loans that we are seeing, which are mostly fintech in nature are actually the same quality of loans that are done by t he large established financial services players because in addition to the sort of the digital underwriting and acquisition models, there's a deep experience that the large organizations have, which actually help us to sort of sift out the risky customers from those that are non -risky. So, to answer your question, I really do not see any contagion risk from the small ticket personal loans to the larger sort of personal loans category or the prime category. And that -- and I have looked at the risk numbers, that the risk numbers on that p articular segment remains quite stable across the financial services players, the larger financial services players .

Mahrukh Adajania :
Okay. That's very, very helpful. The other two questions are that, of course, the presentation is very detailed, if you could just highlight the value of SR, security receipts?

Dinanath Dubhashi:
I will take that. So, Mahrukh, last time, we had said that SRs were about Rs. 6,500 crores. With the overall value of the loans, which we have sold was about -- original POS was about Rs. 13,000 crores. So that was the kind of safety we had. Okay? So same thing, SR stood at -- net asset value of SRs will be around Rs. 8,000 crores with total loans, the POS will be upwards of Rs. 16,000 crores. So, two things that I would like to highlight here:

• Number one, on entire basis, even if you take SRs plus loans, etc ., we have shown a reduction of close to Rs. 9,000 crores, between Rs. 8,500 crores to Rs. 9,000 crores from the beginning of the year to now. So, we can even see the overall.
• Second, because of these deep discounts on SRs over the original value, you would see that over the last several quarters, the reduction in the value of SR, revaluation, has been very limited. I always say that this Rs. 25 crores - Rs. 30 crores per quarter , Rs. 150 crores to Rs. 200 crores per year is what I always say will be the cost coming both from SRs as well as some reversal of interest that we take on the Infra loan s according to IndAS. So, no negative surprises waiting there.

• Third, for the first time, we have actually told on the call that the -- by the way, Net Stage 3 (NS3) on the book,

you know that is just about Rs. 175 crores. The Net Stage 2 (NS2) , as Sudipta said, is just about Rs. 500 crores on the book also.

So, if we put all this together, that gives us confidence that there are absolutely no negative surprises coming from either the book or from SRs. What you need to take in your model is about Rs. 150 crores to Rs. 200 crores negative on the P&L from wholesale book and model accordingly .

Moderator :
The next question is from the line of Viral Shah from IIFL Securities .

Viral Shah :
Congrats on good set of numbers. Actually, I had a few questions. So probably maybe I'll come back into the queue later on, if they are too much -- too many. So let me start with, first of all, the other income and the fee income growth that was there in this quarter. So right now, you are now at almost 12.5% NIMs +Fees. What's, first of all, the sustainable level going ahead? And was there any one -off in the other income in this quarter? Let me start by first this .
Dinanath Dubhashi:
So one -off, I can't call it one -off, but there was fees that we had to receive from our partners, insurance partners, which was due over the last 2 -3 quarters, but came this quarter was just about Rs. 25 crores to Rs. 30 crores. So, I don't think that is one -off. These things keep happening. Quarterly fees don't come every quarter, but that's about it. There were no major one -offs other than that coming. But since you asked this question, I would like to point out that another Rs. 25 - 30 crores in addition to business -as-usual came from there -- why I'm not ready to call it one -off is because further quarters also some past dues will keep coming, okay? As far as the trend is concerned. NIMs +Fees Retail, I have been always been guiding around -- I was initially guiding 11.5%, I changed my guidance to 11.7%. I was also surprised at 12. 16%. We have done very, very well this time. As I said in my comments, it comes from two things:

• Number one is cost of funds. That is an item which may go up by maybe 20 -odd basis points in H2. There is no question about that. We have managed our treasury very well based on locking certain long -term, medium -term loans. I mean I can tell you that when t reasury was looking at locking them, I was asking them so many questions. And today, we are laughing all the way to the bank, having locked some real long -term rates over the last one year. That is one.
• Second, our especially Farm portfolio, to some extent, Two wheeler and the Micro Loans portfolio enables our treasury to borrow PSL and even more importantly, PTC, which really keeps the cost of funds in control.
So even if we see major hardening -- not major, but 25 to 30 basis points hardening, further hardening in bond yields, by the way bond yields, as you know, are already hardened. Even if you say further hardening, we will keep our cost of funds in -- it will go up, but it will be in control.
• Secondly, as I pointed out, CP percentage, if you see, it's just about 6%. Now this 6% to 9% was good when our wholesale was 30% -40%. Now with wholesale down to 12%, there is scope to increase it, at this point of time, it doesn't make much sense since the spread between CP and long term is not that much. But that is temporary. We can always -- when the CP rates come down, we can always use them to increase it even slightly to 9% -10%, it will work well. So, this is as far as cost of funds is concerned.

As far as yields are concerned, let me clarify that it has not come out of a major increase in yields, etc . Competition doesn't allow that. It has come out of a little bit shift in portfolio, more towards retail, and especially within retail also towards rural. So that's clear.
As far as what is sustainable, I would be perhaps foolish to say that this 12.2%, we will sustain and increase from here. But I don't see it falling much more than 12%. It will be in high -- very high

11% to 12% over the next couple
of quarters. That's, I think, as accurate as I can go . We have done lots of modelling. It's a conservative number that I'm giving .

Viral Shah :
Fair enough. And thank you for this detailed answer. The second is in terms of the credit cost. So over here, as you mentioned, while NIMs are benefiting from the changing book mix, not just from wholesale to retail, but even within retail, the mix is changing towards more of MFI, Two wheeler and Personal Loans. And if I look at the collection efficiencies across your Tractor, Two wheeler or Personal Loans, they are now trending 30 to 100 basis points down on a YoY basis. So, I believe there won't be any seasonality into this. Now in this scenario, what gives you the confidence that your credit costs can further go down on the BAU basis? I'm not talking about whatever extra provisions you may be holding, but on a sustainable basis .
Dinanath Dubhashi:
100 basis points on a YoY basis, which product, I don't know -- #1 clarification. You called our Rural Business Finance, MFI. I would like to clarify it is no longer that. In fact, we give the breakup and a very small percentage of what we do is now Microfinance. Microfinance is defined as less than Rs. 3 lakhs income, and that's less than 10% of our customers.
So, 90% of our customers are above Rs. 3 lakhs income. Close to 15% of our customers -- rural customers are above Rs. 10 lakhs income and which is giving us the confidence that even the increased percentage of Rural Business Finance is quite safe. As you w ould see, we have maintained the collection efficiencies. I hope you are not making an issue in the colors. Collection efficiency of Rural Business Finance is absolutely steady at 99.8% .

Viral Shah :
So not in Rural Business Finance …
Dinanath Dubhashi:

Yes, yes. I'm coming, I'm coming, one by one, okay? As far as Farmer Finance is concerned, yes, there is a small reduction to 91.6% compared to 91.9%. We have not seen any worrying factor there. This may be just last couple of months, certain small issues coming up. We expect these things to improve quite a bit in the third quarter already. Okay?
One place where there is a reduction about -- 100 basis point reduction in -- is you can see in Personal Loans. Now two things have happened here. And the last time, last year, this Personal Loan book was just about Rs. 2,000 crores, and now it is Rs. 6,00 0 crores. So, it is, the percentage , to some extent, is just the book being large, more mature, etc ., one.
Secondly, as you would also see, we have reduced our rate of acquisition of new personal loans quite a bit. In fact, this is down quarter -on-quarter. For us to change and put in place many journeys, especially underwriting journeys. And once this area is c omplete , from Q4 onwards, we will start growing. In fact, Q3, we will be, again, on this slow trajectory. So, a little bit of denominator effect. Sudipta, would you like to add to that ?
Sudipta Roy :
Yes. So, what I would like to add is that though there might be a slight quarterly fluctuation in terms of the overall risk numbers, but on an overall basis, the sort of the new improved sort of risk framework that we are putting in place will smoothen out all these sorts of kinks in the future, and we expect to deliver a stable risk regime going quarter -on-quarter going forward.
So, I wouldn't read too much into this sort of as DD sa id, the base effect was very small. So, as we are speaking, we are working on -- and this is not only in the personal loans business, this is in all our business lines. We are strengthening the framework so that even as acquisitio

ns go up, th e risk trajectory remains stable .
Dinanath Dubhashi:
Last but not the least, Two wheeler. Yes, Two wheeler, we are at 97.9% as we speak now. And very, very important couple of facts, which wherein Sudipta's speech is, one, a big move is happening towards prime customers towards prime Two wheelers, the prime Two wheeler volume had some number of.. .

Sudipta Roy :
Yes. So, if you see the prime Two wheeler volume, it has gone up to 52% as of now in Q2FY24. So, it is a part of a concerted strategy where we have observed that Two wheelers above a particular ticket threshold size deliver significantly lower risk numbers then. So, the organization as a whole is pushing towards that. EVs sort of exhibit 1/3rd risk numbers of ICE engine vehicles. So as an organization, we are making a shift towards broadening those funnels and bringing more such customers in, right? Obviously, you will not see the impact of such actions immediately. But over the next couple of quarters, you will see those strategies come up in terms of risk numbers and collection efficiencies .
Dinanath Dubhashi:
Does that answer your question ?

Viral Shah :
Yes, it does. And again, thank you for the detailed answer .
Dinanath Dubhashi:
It is important because there are so many factors which come in finally to that credit cost, right? And I would also say that importantly, you would have observed that this credit cost number, the lower credit cost number is without utilizing even 1 rupee from macro prudential provision. So that remains.. .

Viral Shah :
So, does this still mean that even from this level, your credit cost can further come down – generally ?
Dinanath Dubhashi :
Most definitely .

Viral Shah :
Okay. Fair enough. I had another question, a follow -up on what Sudipta had mentioned in terms of strategy of cross -selling and top -ups.
Dinanath Dubhashi :
Go ahead .

Viral Shah :
Yes. So over there, that is what the strategy going ahead you are referring to. But when I see in terms of the personal loan disbursements, nearly 40% of those are being sourced from the e -aggregator platforms. So, can you give us more colo ur on what are those kind of loans, the character of those borrowers, average ticket size,

how do they differ? And how does this stand with our strategy of doing more of cross -sell to existing customers ?
Dinanath Dubhashi :
Sure. So, I will give the second part of the question to Sudipta. But first, see, when it moved from last year to this year, we started e-aggregator last year. So, we started this product, as I was always saying, only as a loyalty product. So, it was 100% loyalty, naturally. And now we are moving to more sources. So those percentages will obviously go up. The overall characteristics remain absolutely the same. We don't do new -to-credit customers. We don't do less than Rs. 50,000 loans. That remains absolutely same whether it is -- obviously, loyalty cannot be new -to-credit because they are our customers. Bu t as we acquire from outside, we d on't do a single new -to-credit customer as far as personal loan is concerned. As far as exactly how e -aggregator, what type, what are the credit engines and how we are improving them? I will ask Sudipta to elaborate. In fact, Sudipta, why don't you take a little bit more time to say how we're improving the credit... .

Sudipta Roy :
So, one of the things wh

at we want to do -- and thanks for the question, is that our average personal loans ticket
size now is about Rs. 1.7 lakhs, right? Now we are focusing as an organization on -- now on making sure that a large amount of the throughput of the customers that we get from the digital channels is primarily salaried. So that is our first focus.
The second focus is that we do not want, as DD said, we do not want any customer which -- who does not have a footprint on the bureau or which someone else has not seen in terms of their engagement. Now obviously, that would entail working with some e -comm erce players and some e -aggregators and making sure that their credit engines have seen that customer for some time, build a transaction score or risk behaviour for that customer, sort of validated it through us, maybe through our data room exercise and th en sort of given our offer to the customer s. So, the focus, as we sort of build the acquisition engine for this business, it is very important that we are operating on two axes:
• the first axis is to give the right -size loan to the right customers.
• And the second thing is while we are doing that, make sure that the credit administration process is further sort of strengthen ed by not only looking at the bureau data, make sure that we are able to -- whenever the customer s give us access to -- give us an account aggregator pulls, sometimes we are able to sort of analyse the bank statements with a far more degree of clarity.
And last but not the least, get the behavioural signals from whichever e -commerce player or whichever e -aggregator that we are pulling it from. Then making sure that as I told in my initial comments, that moving from a single axis underwriting to a multi -axis underwriting. This model will obviously take some time to mature. And so, we will grow this gradually. There is no hurry. And as DD said, you have noticed that we have sort of plateaued the acceleration rate of our personal loans business, while we put this new tool in place and sort of slowly gain experience in this new tool. So, you will see a gradual increase in disbursement in this business while trying to keep credit cost flat .
Dinanath Dubhashi:
So, two things I will add:
• Number one is, Sudipta has done it for his living for all these years. And we will obviously draw from that.
• Second, there was a -- last time, there were questions about yields based on -- as we move to prime. So, what we will do through this is it will enable us to do more risk -based pricing. So, this kind of underwriting, multi -axis underwriting not only helps taking better credit decisions, but it also helps risk -based pricing. Now that we hope to steer the portfolio more and more towards prime with that, which will reduce absolute yields perhaps, but we'll definitely make sure that risk -adjusted ROAs are superior. So basically, delta yield will be less than the delta collection cost plus delta credit cost. So th at's clearly in the model as we move ahead ....

Viral Shah :
Thank you so much. I think you even answered the other question that I had in terms of what changes are you making. So that's it from my side .

Moderator :
We take the next question from the line of Shweta from Elara .

Shweta Daptardar :
Congratulations for the quarter as well as the comprehensive presentation. So, I remember you always used to mention about market share across products. So, if you can just do that this quarter as well? And also, while we say that the growth on the retail side will converge for the whole overall loan growth ahead. So how do you see the momentum now in say FY25 -FY26? That's from my side .

Dinanath Dubhashi:
Okay. The second one, I don't know how to answer. I can only say that we expect those kind of growth rates to continue. Whether we will be at 33% -34%, I don't know, but we have stated always that we will keep the growth rate above 25%. And all this, we put in place for that. And at the same time, as I say, seasonality, cyclicality is a fact of life. So, I'm not saying anything quarter -on-quarter. Generally, for the 4 -5 years going ahead, various factors, like broadening customer funnel, using our database, which is increasing now every quarter, mor e efficiently, movement towards prime, we believe and then last but not the least, which we didn't talk about because it is too premature is launching new contiguous products.
What do we mean by contiguous products is products, which our existing customer segments use. We will not go suddenly looking for new customer segments, but our existing customer segments as they need more and more products, we will look at launching them as we go ahead. So that growth doesn't seem to be -- or especially the CAGR over the next 4 to 5 years. I mean we are not clairvoyant to say -- okay, how the fourth quarter will be, how the first quarter next year will be. But generally, CAGR is likely to remain healthy.
Most important part is to do this while making sure that productivity goes up and credit cost comes down. And the entire concentration is going to be on that. So that ROA s keep going up, keep moving up to by -- at least by FY26, we should reach at least 3.5%, if not earlier. We probably will reach it much earlier, but at least that's the goal.
So, we have said 2.8% to 3%. We should be comfortably at 3.5% levels over the next few quarters.
On this topic, I will also s ay that even the overall ROAs -- I mean, ROA, by mistake I think I said ROE, ROA at around 3.5% levels. And overall ROAs, as Wholesale comes down, over the same period, we can see going to the 3% mark and crossing it, which is giving us good confidence that even the overall ROEs can touch mid -teens as we finish the Lakshya period. So that is the overall profitability.
You asked a very specific question on market shares, okay. We have been giving our Farm market share. So, our Farm market share in terms of number of vehicles is around 15%. Our Two wheeler market share is around close to 10% if we say number of vehicles. But slowly, we will start also calculating it in value as we move more to prime vehicles and we are close to 6% in Rural Business Finance. Of course, there counting market share is, I think, a little bit infructuous because the market is microfinance. They all report it as less than Rs. 3 lakhs, whereas our share of less than Rs. 3 lakhs is very small. But if you take it as reported, then it is about 6%. I don't think we are anywhere near counting our market share for Home Loans or Consumer Loans (Personal Loans) . We are too small as well as SME also at this point of time. Does that answer your question ?

Moderator :
The next question is from the line of Saurabh Kumar from JPMorgan .

Saurabh Kumar :
Sir, just I had a follow -up on the SR book. So, what will be the time frame for this r un down? And secondly, beyond the Rs. 150 crores that you spoke about in terms of credit provisions, is there any fees also you pay for this SR? So, I just want to know the negative carry on the P&L.. .
Dinanath Dubhashi:
But the negative carry, we give the entire wholesale book profitability. So that entire negative carry is in the wholesale book profitability. It is there in the presentation .

Saurabh Kumar :
Okay. No. But on the SR you said Rs. 150 crores, because the book will keep running down, but you will keep paying this -- you'll keep having a markdowns and the fees, right ?

Dinanath Dubhashi:
I don't know that kind of micro details, I don't remember over the next 4 -5 years. As far as when it will run down, I mean, frankly, we expect it to start giving positively after another couple of years, because as I said, the SR value, so these are not parked SRs just because we don't like those assets. The effort on recovery is continuously on. And I would say conservatively after another 1.5 to 2 years, actual recoveries will start contributing positively to the overall P&L. But I don't want to guide at this point of time. You take the wholesale loss values, which is what right now? Wholesale loss...

Sudipta Roy :
Wholesale loss is about Rs. 50-odd crores per quarter .
Dinanath Dubhashi:
Rs. 50-odd crores per quarter. That conservatively, you can take continuing till FY26. It can only come down but not up from that .

Moderator :
The next question is from the line of Abhijit Tibrewal from Motilal Oswal .

Abhijit Tibrewal :
I have just two questions. So one is, I mean your wholesale GS 3 has declined. So, congratulations for that. Just wanted to understand, last quarter, you had explained predominantly Rs. 1,000 crores in that was Supertech. So, has that account now been kind of sold down to another ARC or has got resolved?
Dinanath Dubhashi :
Yes, answer to that is yes. So, it was only Supertech. And a part of that Supertech is sold to ARC. We would have liked to sell the whole thing, but that we could not. So, it is just that. It is not that the asset is resolved. However, as you know, Supertech, we have always said that we are more than adequately provided, whether it is on the book or with ARC. It is adequately provided, and it is one of the accounts, which may actually say, see recoveries, say, one year down the line from here. It is in that stage of NCLT.
So don't read too much into the reduction from Rs. 400 crores to Rs. 17 5 crores. It is just part of Supertech going out to ARC. The important number is what we gave this time for the first time, Rs. 500 crores Net Stage 2 (NS2) in Rs. 9,500 crores. So, we -- last time, people were saying that, okay, I am saying that there will be no negative shocks. Based on what I'm confident? I'm confident based on the, number one, the momentum I'm seeing and likely to see, but most importantl y, Stage 2 assets are just ab out Rs. 500 crores .

Abhijit Tibrewal :
Got it. Net Stage 2 (NS2) in wholesale is about Rs. 500 crores?
Dinanath Dubhashi:
That is correct .

Abhijit Tibrewal :
Got it. And sir, just one more question that I had. I mean, while we all have been talking long -term strategy here. I think, I mean, when Sudipta sir was making his opening remarks, I gathered that you were -- I mean, a little cautious on how things could be in the second half, especially rural cash flows and how demand could be given that inflation is going up etc. So just wanted you to kind of explain that in some more details?
Dinanath Dubhashi:
Sure. Number one, everybody knows that August rains were very bad. Also, the distribution of rain has not been very good. Reservoir levels are quite negative from last year. These are the 3 negatives in rural. What are the

positives? Positive is that the Kharif crop is not that down from last year. It is more or less at last year's level. The Kharif is, in fact, 0.34% up actually.
Secondly, the MSPs are at record level, as you know now. So that works as a -- on the other side. So that is why we would not like to paint a negative picture in rural. It is very easy to paint

a negative picture and then do better
than that and positively surprise. We are only saying that we need to be cautious and see how demand progresses.
When you're in rural, it's good money, but you have to deal with seasonality. Now what we are doing to deal with seasonality? There are various things that we have already highlighted: number one, making sure that collection is very analytics -driven and remains very strong, both 0 DPD and further collections. That is number one.
Second, increasing disbursements to our 0 DPD existing customers. Always, one, they are safer, they pay on time more often than not.
And thirdly, that is not seasonal. My current farmer customer borrows more not when there is -- tractor is in season or whether the tractor demand is going up or down, it doesn't matter. Same for rural business finance. We know the lady very well. We know her for 1, 2, 3 cycles. And at that point of time, we can take much better exposure.
Fourthly , we are specifically making sure that in our rural business finance, the share of direct agri keeps coming down. It is around -- the share of direct agri is now around 25% to 30% at this point of time, more than 70% is non-direct agri even though everything is rural. So, the feeling I want you to give is seasonality and cyclicality is the truth of life.
I also wanted to say that what all we are doing to make sure that we smoothen out these cycles as much as possible. And there is one thing which Sudipta said, which you may not have heard is -- perhaps is the first 20 days of the season, we are seeing a ve ry good season actually. So, the actual fact is going exactly opposite to

what pundit s say or what even I would have said. I'm no pundit, but I would have said that. But on the ground, I'm seeing very good pick up both for two wheelers as well as tractors.
Perhaps a fuzzy answer, but that is because it is something in future, and I don't want to be very emphatic about future -- lots of factors are playing, right?

Moderator :
The next question is from the line of Kunal Shah from Citigroup .

Kunal Shah :
Yes. So normally, you tend to comment with respect to opex plus credit cost in terms of the trajectory. So, when we look at it, opex was slightly higher, credit cost was almost stable and what Sudipta also talked about in terms of 5 growth vectors.
And I think maybe in terms of enhancing the customer acquisition or heighten the brand visibility and all plus optimization of talent pool, that will also involve a lot of cost, okay. So, what are the anticipated spends towards these five growth vectors? A nd any change in commentary with respect to opex plus credit cost.. .
Dinanath Dubhashi:
No. Same commentary, will tend to 7%. Today, we are at 7.33%. In fact, this time I went ahead and actually split because I don't want to hide behind this opex plus credit cost and pepper over the increase in opex. The opex has increased. And I'm saying that it will be, as you rightly pointed out, we are doing several investments -- in brand, in IT, getting good people. It will remain sticky. I'm not necessarily sayin g that this percentage will go up. It will remain sticky for maybe next year or so. Sudipta, if I can say that?
Sudipta Roy :
Yes, it will be about a year or so .

Dinanath Dubhashi:
And then it will start coming down. And it is -- but it is not going up as fast as the spending measure because the operating efficiencies and productivity are also kicking in. But as a net of both this, the opex may remain sticky, credit cost will keep co ming down and we are, hence, very confident of reaching our 7% guidance by FY26, the Lakshya period .

Kunal Shah :
Sure. And so, in terms of credit cost, ideally, maybe what is obviously you highlighted a lot with respect to collection initiatives. But was there anything maybe specific in this quarter that you are confident that 2.74% in retail. So, wholesale has hardl y seen any credit cost during the quarter. But retail, when you look at it, it's still 2.74% and mix is changing more towards the higher yielding ones, okay? So apart from maybe on the two wheeler wherein we are focusing more on prime, but what is giving y ou confidence in terms of getting this down to? And what would be the stable state levels looking at the profile, yes?
Dinanath Dubhashi:
Okay. I mean I wouldn't like to comment on what will be the stable state. Our ambitions are very high, very high as in very low credit cost. But I can only say that it will trend down. You see that the reduction in this quarter is 2 basis points. I am not promising huge reductions every quarter. But yes, this two basis points, 3 basis points, 5 basis points, we will keep reduci ng steadily. Again, I'm not saying quarter -on-quarter, a particular quarter may go the other way. But continuously, it will keep red ucing. Main reasons you see, component of H ome Loans is going up, component of the higher variety of Rural Business Finance is going up, which continues with 99.8% collection efficiency. Home Loans, as I said, is going up. In Two wheelers, we are moving towards prime more. In Tractors, percentage of Kisan Suvidha is going up. Now as -- so, two things, big things, is one, as we said, products, which are much higher collection efficiency percentages are moving up -- number one. Repeat lending is continuously going up. And as we have always said, and we maintain is repeat lending has credit costs of about 1/3rd of new lending is going up. And even in new lending, the gradual shift to more prime. So that is how we have modelled it, and that's what our experience says. And as I said, our ambitions and the models are -- the targets we have are much higher, but I wouldn't like to talk about that .

Moderator :
The next question is from the line of Abhishek Murarka from HSBC .

Abhishek Murarka :
So, sir, one question on SR. So can you give some more granularity. So specifically, two things I'm looking for, I think, one, you anyway mentioned. One, what is the provision on this? And two, on this Rs 8,000 crores, if you can give any cuts, for example, how much of it is roads, renewables, how much of it is operational? Or I mean,

may not be operational entirely, but what's the, let's say, completed to not completed parts of R eal Estate . So, any kind of cuts that you can give for this Rs. 8,000 crores, it would be helpful .
Dinanath Dubhashi:
If we could give the cuts, we would have given it in the presentation, if we wanted to give. But completion -wise I can tell you, R eal Estate completion, we said some number . So around, I would say, 83% complete is what we can talk in our Real Estate book. So overall, if we put, it is about 83% complete -- towards -- there are various projects. But if you put on a weighted average basis, 83% complete. So that's all. But most importantly, when the CFO, outgoing MD and the new MD, we are all commit ting that wholesale losses will be maximum Rs. 200 crores year-on-year til l FY26. Please understand that we have tremendous amount of confidence that no shockers are coming from this SR book .

Abhishek Murarka :
No, sir, of course, of course. That was not the idea. Just to get a sense of the.. .
Dinanath Dubhashi :
More than this -- I mean you see that every quarter we are giving more and more, and we'll cont

inue to do this.
Don't worry .

Abhishek Murarka :
Sure. And sir, just the second thing in terms of understanding when you give in your presentation the split between Microfinance and Rural Group Loans. The difference is only because you're making a difference between the Rs. 3 lakh income segment and higher than Rs. 3 lakh s. So, in terms of ticket size or other administration monthly, let's say meetings or in terms of operations is there any difference between these two categories?
Dinanath Dubhashi:
You are right. Good question. As of now, no; but going ahead, yes. We are launching -- we have launched actually Rural LAP and Business Loans. These are the two products we are launching, which will be managed differently, very differently, very different rhythm, very different way of doing business. It is being -- and a different team of course reporting into the same business Chief Executive, but a different team. So -- but at this point of time, that portfolio is very, very small. But you're right that t he rhythm is same. But more importantly, the resilience of these people to pay is much, much higher. Now the important thing, you asked one question, which is very important, that even if this is more than Rs. 3 lakhs, their income, the overall exposure cap, we have not removed. I believe that there are some players who have removed the overall exposure cap. The overall exposure cap -- exposure has been not only us, but for the industry. The overall exposure cap was about Rs. 2 lakhs. We have kept that same.
In fact, in most cases, we keep it at Rs. 1,50,000, but maximum we go is the overall exposure of Rs. 2 lakhs, not our loan, overall exposure of Rs. 2 lakhs. That's -- so you're right, we treat them -- not -- by don't over lend to them, treat them as if they're less than Rs. 3 lakhs. But the point I wanted to make is because of higher income, their ability to repay and repay on time is much, much better. I mean you can see, Rs. 21,000 crores now, we are collecting 99.8% on -time.

Abhishek Murarka :
What would be the difference in ticket size between the two categories ? Average ticket size, just for the microfinance versus rural group loans ?
Dinanath Dubhashi:
So, it depends on two things: it depends, one, on the FOIR of the customer. Second, it depends on the other loans that person has taken, right? So, it depends on the two things. So, let's say, more than -- because for both our overall limit is the same. So, if a microfinance customer has borrowed from somebody else Rs. 1,60,000, we will lend only Rs. 40,000 – or if she has borrowed -- and it works like that. So, we have not said that, okay, for Rural Business Finance , there is higher ticket size, for microf inance it is lower ticket size. It depends on what is her total exposure, what is her FOIR and because of that what is the gap that we have to lend .

Moderator :
We'll have to take that as the last question. I would now like to hand the conference back to Mr. Dinanath Dubhashi for closing comments .

Dinanath Dubhashi :
Thank you. So, I think I will not repeat anything that has been said other than that we here are very, very confident of continuing with the growth path that we have put and at the same time, continuously improving profitability ratios, not only of retail, but also overall profitability ratios as we keep reducing wholesale.
Reduction of wholesale enables two things: one is the convergence of the profitability ratio s, and second most important thing is any possibility whatsoever of suddenly some P&L shock coming - we are very confident that, that is not going to happen. As we go ahead, we look at t

he future only positively.
Now that is as far as the company is concerned . I would like to wish you a very, very happy Diwali, happy Dussehra before that. And more importantly, would like to also state that it would be my last quarterly earnings call as the MD and CEO of the company, would like to put all my gratitude and all my thanks on record for all of you. All of you have been absolutely wonderful interlocutors, and it has been amazing to speak to each one of you. I have tried to take inputs from each one of you, learn and incor porate that in the way the company is managed.
The team is here to take the company ahead and more importantly, Sudipta has landed with his feet running. And in the 4 months that he has spent here, I'm very, very sure that he will take the company to new heights as we go ahead. So, thank you very much. God bless you. Happy Diwali and happy Dus sehra .

Moderator :
Thank you very much. On behalf of L&T Finance Holdings Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines .

*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies ,
repet itions in Q &A which would have unintentionally crept in, if an y

Call: Feb 2024

February 1, 2024

National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051. BSE Limited
Corporate Relations Department,
1st Floor, New Trading Ring,
P. J. Towers, Dalal Street,
Mumbai - 400 001.

Symbol: L&TFH Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of investor(s) / analyst(s) meet – Q3FY2023-24 financial performance and strategy update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q3FY2023-24 financial performance and strategy update held on January 24, 2024.

The above information is also available on the website of the Company i.e., www.ltfs.com/investors .

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Holdings Limited

Apurva Rathod
Company Secretary and Compliance Officer

Encl: As above

L&T Finance Holdings Ltd.
Q3 FY24 Earnings Call Transcript
January 24, 202 4

Management Personnel :
Mr. Sudipta Roy (Managing Director & Chief Executive Officer)
Mr. Sachinn Joshi (Chief Financial Officer)
Mr. Karthik Narayanan (Head – Strategy and Investor Relations)

Moderator:
Ladies and gentlemen, good day, and welcome to the L&T Finance Holdings Limited Q 3FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded.
We have with us today, Mr. Sudipta Roy, the newly appointed Managing Director and CEO; Mr. Sachinn Joshi, Chief Financial Officer; and other members of the senior management team .
Before we proceed, as the standard disclaimer, no unpublished price -sensitive information will be shared during the call. Only public -available documents will be referred to for discussions during interaction in the call. While all efforts would be made to ensure that no unpublished price -sensitive information will be shared , in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the statements made on today's call may be forward -looking in nature. A note to this effect is provided in the Q 3 results presentation sent out to all of you earlier.
I would now like to invite Mr. Sudipta Roy to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir .

Sudipta Roy :
Thank you. A very good morning to all of you. Before we start the call, I would like to wish you all a very happy and a prosperous new year on behalf of the entire leadership team at L&T Finance . I feel humbled to take over as the MD and CEO of this organization that has been nurtured by Mr. Dinanath Dubhashi for the last 8 years as MD and CEO, and I would like to thank Mr. Dubhashi for his significant contribution in transforming L&T Finance into a truly digitally powered retail NB

FC, straddling the rural and urban ecosystem in the country .

I'd like to start this call by sharing our satisfaction about our Q3FY24 performance with all of you. I'm happy to share that once again, we have registered the highest ever quarterly disbursement, maintained expected margins and further reduced credit costs, thereby achieving a PAT of Rs. 640 Cr that translates into a 41% growth year -on-year. In line with what we have been communicating over the last few quarters, we continue to achieve and exceed the Lakshya 2026 targets well ahead of time and deliver con sistent results quarter -on-quarter. This is an outcome of the strong execution engine that we have put in place over the last couple of years, and we will continue to bolster the execution bias in every initiative we take.

Today's call is divided into 2 sections, which would be sequentially taken by myself and our CFO, Mr. Sachinn Joshi. Before getting into further details and presenting the highlights for the quarter, I would like to draw your attention to the 5 pillars of execution that we had detailed in our last analyst call, namely :
• Enhancing customer acquisition;
• Sharpening credit underwriting;
• Implementing a futuristic digital architecture;
• Heightened brand visibility; and lastly,
• Capability building

Over the course of the call, I will also speak about how we are further building our strength across the 5 pillars of execution to create a sustainable and predictable retail franchise, and Mr. Joshi will be talking about the overall business metrics and financial performance at length. With that , let me start with the highlights of the quarter and the strategic road map for L&T Finance going forward.

Macro -economic outlook

• As far as the global economy is concerned , majority of global forecasters expect global growth to remain rangebound or to slow further in 2024 on the back of persistently high interest rates, escalation of geopolitical conflicts, sluggish international trade, and climate -linked issues .
• The Indian economy will continue to remain as a bright spot in this environment with economic growth holding firm amid improved macro -financial stability. In fact, some of the leading rating agencies have forecasted India's average growth rate to be in the range of 6.5% to 6.7% till about FY27.
• During the quarter, a festival -led uptick in production across non -agricultural indicators and sustained deflation in commodity prices improved the overall production growth in Q3. Consumption sentiment remain ed stable among high income groups.
• As far as the outlook on Indian agriculture scenario is concerned, it is expected to record somewhat of a muted growth of approximately 1.8% in FY24, owing to elevated temperatures and patchy monsoon on account of the El Nino phenomenon. We are hopeful of a recovery in Q1FY25 on the back of an expected increase in rural outlay by the governments.
• On the policy rate change front, we expect the magnitude and timing of a policy rate change to be data dependent and carefully calibrated in line with the inflation trajectory of the Indian economy.

To conclude, the macroeconomic prospects for India appear to have brightened with a few caveats. However, we'll continue to track the progress granularly as we always do in the coming months and take business decisions judiciously.

Completion of Merger culminating into a Single Operational Lending entity :

We achieved a very important milestone for the organization this quarter . The subsidiaries of L&T Finance Holdings L td. namely , L&T Finance Ltd., L&T Infra Credit Ltd., and L&T Mutual Fund

Trustee Ltd. were merged
into L&T Finance Holdings Ltd. (LTFH).

With this merger, all the lending businesses have been housed under one entity i.e. L&T Finance Holdings Ltd. (LTFH), with it becoming the equity listed operating lending entity. Going forward, this single operational lending entity will be renamed as L&T Finance Limited, subject to the receipt of applicable statutory and regulatory approvals. I am happy to share that the merger was completed well before the envisaged time frame with all the necessary approvals in place. The single entity will lead to seamless corporate governance, increased operational efficiencies and synergies in treasury and liquidity management.

With the wholesale book going below the threshold level of 10% of the overall book size, time has now come to focus on consolidated numbers going forward to monitor our journey ahead till FY26. Thus , going forward we will only publish one consolidated financial performance summary of the entity in our financial reporting and investor presentation.

Q3FY24 Highlights

Now I'll talk about the Q3FY24 highlights. Undoubtedly, the biggest and the most important highlight for this quarter is that we have achieved all our Lakshya 2026 targets in FY24 itself, almost 2 years in advance.

Achieving the Lakshya goals 2 years in advance:

Our Lakshya 2026 plan was to establish L&T Finance into a leading digitally enabled, customer -centric retail Fintech @Scale. We set four quantitative targets, and let's evaluate our performance against those goals in Q3FY24 :
• The first milestone was achieving a Retailisation of > 80%. Against that, Retailisation stands at 91% at the end of this quarter, and we expect to maintain this positive trajectory going forward.

• The retail book growth target was set at a CAGR of 25%. Against this, we grew at 31% YoY this quarter, and this growth has been consistent.
• Thirdly, this Retailisation thrust had to be credit calibrated with the g oal of retail GS3 below 3% and NS3 below 1%. We are happy to inform that the retail asset quality metrics are well within the Lakshya 2026 targets in this quarter with GS3 at 2.95% and NS3 at 0.64%.
• The fourth and the last milestone of achieving a retail ROA of 2.8% to 3% was already achieved in quarter 1 this financial year (3.08% in quarter 1 and 3.32% in quarter 2). This quarter, it has further improved to 3.37% and while we will only present consolidated numbers going forward, we thought that this is an important metric for this quarter to share with you in our journey of delivering on the Lakshya 2026 objectives.

Our persistent focus on execution and execution alone has made this performance possible. We were able to achieve this, thanks to the relentless efforts demonstrated by each and every colleague of L&T Finance and we all remain committed to a consistent per formance trajectory going forward.

5 execution pillars to create a sustainable and predictable Retail Franchise:
On the investor call for Q2FY24, I had communicated in detail about the 5 vectors or pillars of execution for ensuring growth in a linear and sustained manner. I would like to give a brief update on what we have done across the 5 pillars.

1. Customer Acquisition – We are constantly focusing on broadening our customer funnel and working on both horizontal expansion and vertical penetration across all lines of our business. For instance, in Rural Group Loans and Micro Finance , while on one hand we are working on activating new villages where we do not have a presence in the geographies that we operate in , we are also parallelly working around vertical

ly increasing
the depth of our business in those villages where we already carry out our businesses. Acquisition strategies like this across products has resulted in disbursements to about 6.9 lakh s new customers in Q3FY24 against 6.5 lakh s new customers in Q2FY24.

2. Sharpening Credit Underwriting - We ha d talked about developing a dynamic credit engine that not only ingests bureau data, but also other alternate data base d trust signals. We have started the journey of building this new credit engine and we will keep updating you on the progress as we move forward.

3. Digital - On the digital part, we have worked on revamping our digital journeys for Home loan product and SME product and are focusing on various platforms for these products for a smooth customer experience. As far as the PLANET app is concerned, we are leveraging the channel multifold by using it not only as a new customer acquisition pl atform but also for our repeat business, collections and most importantly, the servicing needs of our customers.

4. Brand Visibility has been an area on which we have been working in the past quarter. An array of marketing initiatives w as undertaken in Q3FY24. We conducted product -specific marketing campaigns. For example, the multicity festive awareness campaigns for Two-wheeler finance and wall branding campaigns in rural geographies for our rural businesses. We also did an organization -wide marketing through brand awareness campaigns on Disney+Hotstar for Asia Cup and World Cup Cricket tournaments, print ads in leading newspapers and developing customer testimonial videos and participation at industry -specific events like RE Motoverse, Homethon, etc.

5. On Capability Building , we remain focused on our capability building agenda. Apropos to that, our newly created position of Chief Marketing Officer has been filled and we have strengthened the leadership bench below the business chief executives by adding experienced new leader s at key positions across major business lines. We also have added a seasoned technology professional as our new Chief Digital Officer and further expect to announce significant new hires in our digital and technology teams and other verticals shortly.

Going forward, the strategy would be to make our performance consistent, predictable and sustainable. It would revolve around sharpening or relaunching our existing product propositions and introducing contiguous product lines with a sharp focus on broaden ing our customer acquisition funnels while also harvesting our existing customer database of over 2.2 Cr customers. We'll constantly strive to reimagine and redraw various customer digital journeys to provide a superlative experience to our customers, shar pen our credit underwriting by bringing in new age insights into the underwriting models , while constantly strengthening brand L&T Finance and building new capabilities in the organization, both traditional and new age.

Business Strengths
Now let me talk about the business strengths that we have steadily built in the last few years.

• Deep pan India franchise:
A diligently cultivated franchise is not a one -time activity but an ongoing effort that requires significant thought and strategy , put in place with the help of digital and data analytics. The optimal mix of a strong physical presence and preferred channel partners , coupled with leveraging our database of 2.2 Cr+ customers (of which about 1.5 Cr Rural and about 0.75 Cr Urban), has put in place a superior retail franchise capable of addressing evolving and ever -changing needs of the retail customer. While we disbursed about 6. 9 lakhs n

ew customers during the
quarter, our active franchise stands at about 93 lakh s customers currently, in comparison to disbursement to about 6.5 lakh s new customers in the previous quarter and an active customer base of 90 lakhs in the previous quarter. Share of cross -sell as well as upsell in total disbursement stands at 33% in this quarter. The consistency of improvement in customer franchise numbers underscores the enduring strength of the franchise that our organization holds and we are proud to witne ss its continued success as a testament to our ongoing commitment and focus.

• Fintech@Scale:
Building a fintech @scale is just not about disbursing loans digitally, say through an app or a website. The essence of building a fintech in its truest sense is using tech heavily in each and every aspect of every line of business. And this has been our way of offering a one -stop solution to our customers. We not only prioritize the acquisition of new customers digitally, but also ensure long -term association, satisfaction, loyalty and sustained value realization as they navigate their financial interaction s with us through our digital platforms. We have strived to use digital not only on the lending or collections side of the business, but also internally where our systems interact with each other . And to ensure that this particular trajectory is maintained , we are investing more and more to make this part of our ecosystem continuously responsive to our customer needs.

And also, if we talk about Digital Finance Delivery capabilities, we had highlighted earlier how we are developing digital finance delivery as a key customer value proposition. Apart from building 100% paperless journeys in Rural Business Finance, Farmer Finance, Two-wheeler and Personal Loans, we are also boosting our digital collection capabilities. In urban space, 94% of our urban collections happen completely digitally. And also, when we talk about rural collections (especially in the Rural Group Loans & Micro Finance and Farmer Finance), 19% of their collections were carried out digitally this quarter. Needless to say, efforts are on to increase this number gradually with increased awareness and adoption by our rural customers.

PLANET: Our D2C PLANET app will be completing two years, one month from now. Our plan of initially offering features addressing basic customer servicing needs, whilst we are now adding superior engagement features has worked wonders , giving tangible results. We have built autonomous journeys for our products (Personal Loan, Two-wheeler Loan, Rural Group Loans & Micro Finance and Farm Top-Up), and the app has crossed about 7.6 million downloads till date. With multiple servicing and engaging features already in place, we are in the process of adding more features to the app. A few journeys went live this quarter, and we are expecting conversions from those journeys in the coming months.

Building Risk Capabilities with Digital: Again, superior risk management aided by data accessibility and availability of tech tools is also an ongoing attempt. The work is happening on multiple fronts in order to create a digital fortress with a best -in-class infrastructure. And we are talking about a dynamic and a self -learning underwriting engine that we have already talked about previously. We are in the process of building it. And we will talk about it more in the coming quarters as an d when we are in a position to deploy the new engine into production.

• ESG@LTF :
The last leg I would talk about is ESG. As one of the first NBFCs to embrace sustainability, our journey of creating a positive im

pact for the society started quite a while back. Consequently, L&T Finance has partnered with
SABERA (which is Social and Business Enterprise Responsible Awards), as a ‘Digital Sustainable NBFC partner ’ to recognize best practices in ESG and sustainable development initiatives by corporate s, non-profits and individuals. We also won the award for the “Best Sustainable Initiative in Women Empo werment ” at the “2nd India Sustainability Conclave and Awards ” for the Digital Sakhi project, among many other notable achievements.

In conclusion, I would like to thank Mr. S .N. Subrahmanyan, the Chairman of L&T Finance Holdings L td., for entrusting me with this responsibility to lead L&T Finance in its next growth phase. I would also like to thank Mr. Dubhashi for his immense contribution for building L&T Finance into the organization it is today and also for facilitating the leadership transition in such a textbook fashion.

Additionally, I would like to thank the investor community for reposing their faith in us over the years, and we will endeavour to meet their expectation to the best of our abilities.

Now I'll hand over to Mr. Sachinn Joshi to take you through the financial updates for the quarter.

Business as Usual updates :
Thank you, Sudipta, for the detailed highlights and your vision for L&T Finance. So let me begin with retail performance first.

Retail Performance:
• Retail NIM +fee, as we have seen over the last few quarters, has remained strong at 12.08%.
• We made again one more highest ever quarterly retail disbursement, Rs. 14,531 Cr. it's up 25% YoY basis.
• Our retail book has c rossed a new milestone where it's about to reach Rs. 75,000 Cr. We were Rs. 74,759 Cr, up 31% year -on-year.
• Our ROAs, as Sudipta mentioned earlier, retail ROA stand at 3.37%. In Q2, it was 3.32%, so directionally going up.
• As far as asset quality is concerned, retail GS3 and NS3, they stand at 2.95% and 0.64%, respectively. So, in this case also, the goal of having GS3 less than 3% and NS3 less than 1% completely achieved in this quarter.

Consolidated Performance:
• On the consolidated performance, our PAT for the quarter is Rs. 640 Cr. It is up 41% year -on-year.
• Capital adequacy continues to remain strong at 24.93%.
• On the consolidated side, consolidated NIM +fee remains strong at 10.93%. Again, improving both sequentially and on a year -on-year basis.
• GS3 and NS3 at a consolidated level also have been directionally going down, 3.21% and 0.81%, respectively.
• Our credit cost has reduced on a Y oY basis from 2.67% in Q3FY23 to 2.52% in Q3FY24
• Continued with our accelerated reduction in wholesale book with a steep reduction of Rs. 24,405 Cr (it's down 78% year -on-year basis) and now the wholesale book stands at Rs. 7,020 Cr at the end of Q3FY24.

One more piece to highlight is that the profit before tax on a year -on-year basis is up 31% at Rs. 824 Cr. Previous year, the same amount was Rs. 632 Cr. Over the past two years since the launch of Lakshya 2026 strategy, we have always guided that our wholesale book will keep reducing gradually as per plan. The ROA at consolidated level will keep moving towards and converge with the retail ROAs. In line with this, after having achieved Lakshya 2026 goals two years in advance, we now set the bar higher to ac hieve Lakshya 2026 goals at a consolidated level.

With that aside, let me now quickly take a deep dive and give some specific updates.

Retail Businesses :

Disbursements : Retail disbursements in Q3FY24 stood at Rs. 14,531 Cr, 25% higher on a Y -o-Y basis. This has resulted in the retail bo

ok growing by 8% quarter -on-quarter. So sequential growth also we have seen as well as on a Y -o-Y basis, which is up 31%. Our overall retail mix has grown to 91%. It is up from 64% in Q3FY23 and 88% in Q2FY24.

• On the Rural Business Finance , the business has registered disbursements of close to Rs. 5,500 Cr, and the book size has crossed Rs. 23,000 Cr milestone at the end of third quarter. The monthly disbursal run rate has been maintained at about Rs. 1,800 Cr despite the festival period, which is considered to be a weak quarter, especially for this business.

• Farmer Finance , the disbursement stood at Rs. 2,027 Cr (previous quarter it was Rs. 1,534 Cr). Now this increase of Rs. 2,000 Cr disbursement has led to a book size growing to Rs. 13,845 Cr. On a Y -o-Y basis, it's an 11% increase that we have seen. And this is in spite of the fact that the industry has seen a degrowth of 5% during this quarter.

• On the Urban Finance , the segment which comprises of Two-wheeler, Personal Loans, Home Loans / LAP, also saw 18% Y -o-Y jump in the overall disbursements. This has led to an increase of 29% year -on-year as far as the overall urban book is concerned. To start with, I'll talk about Two-wheelers.
o Two-Wheelers: The Two-wheeler business has registered highest ever disbursements of Rs. 2,540 Cr in the quarter, up from Rs. 1,817 Cr in the previous quarter. And the Two-wheeler book also has crossed Rs. 10,000 Cr milestone. It's close to Rs. 10,500 Cr. The book has grown 20% year -on-year.
o Personal Loans : This business witnessed disbursements of about Rs. 850 Cr. Previous quarter, it was Rs. 1,300 Cr, and the book size stood at close to Rs. 6,500 Cr. The book overall has increased 36% year -on-year.
o Retail Housing: On retail housing, it achieved highest -ever quarterly disbursements close to about Rs. 2,000 Cr. It is up 67% year -on-year. In the previous quarter, the same figure was Rs. 1,700 Cr. Book size with this increased disbursements stands at Rs. 16,650 Cr. It's an increase of about 33% on a year -on-year basis.
o SME Finance: Talking about SME Finance, it was launched in Q3FY22. It has completed two years this quarter. Our Q3FY24 disbursement stood at R s. 965 Cr. The month of December'23 also registered highest ever disbursements. We did Rs. 380 Cr in this month. In line with our strategy of maintaining optimal geo mix, we have launched 56 new locations in November, thereby taking the total location count to 109.

Collections: On the collections front, in fact, there is a slide that we have as part of our investor presentation. Our retail products experienced top -notch collections again in this quarter. And they are actually displayed along with stage -wise book for our retail pr oducts, which can be referred to by everyone.

Wholesale Business :
On the wholesale book, we continued our accelerated reduction in the wholesale book with a steep Y -o-Y reduction of Rs. 24,400 Cr. The book is down 78% year -on-year basis. And quarter -on-quarter, the reduction is close to Rs. 2,300 Cr. It's down 25%. With this reduction, the wholesale book now stands at Rs. 7,020 Cr at the end of third quarter.

I thank all of you for a patient hearing. We may open up for questions. Thank you.

Moderator :
We will now begin with the Q&A session. The first question is from the line of Digant Haria from GreenEdge Wealth. Please go ahead .

Digant Haria :
Hi. Congrats Sudipta, on getting elevated to the position of MD. My question is, see in the last 3-4 quarters, our credit cost in the retail business have been hovering around that Rs. 500 Cr number or around 3

% kind of a
number. Do you think we have some more scope to reduce this number? Because if I individually look at how the CV -- how the tractor cycle is or the micro finance or the two -wheeler cycle is, it seems that there can be some improvement in this number going ahead. Any thoughts on this, Sudipta?
Sudipta Roy :
Yes. So , if you see -- Digant, first, thank you for your wishes. And if I look at the overall credit cost on our retail business, actually, on a percentage term s, it has been trending downwards. If you look at our credit cost for Q2FY24, it was about 2.74%, which has actually sequentially reduced to 2.61% this particular quarter.
But I do believe that credit cost is a particular line in which you can always do more work. And that is where we have been saying, and if you sort of refer back to my five pillars of execution, the second pillar is reducing -- continuously reducing credit cost. So , what -- we are actually investing heavily in this particular vertical in sort of building a next -gen credit engine.
And through -the-door customer acquisition wh ich will mould the portfolio go ing forward and our existing portfolio, we will use this new credit engine sort of to normalize and try to see if we can further reduce costs either by making collections sharper or the through -the-door sort of the volume that comes in, it comes in with a far better credit quality. So, this is a continuous exercise, and we remain focused on that.
So, we remain hopeful that this particular sort of process that has been set in motion. And on an overall basis,

also, we are trying to sort of trend the portfolio towards a little more towards prime. For example, in Two-wheelers also, focusing on a large amount of prime through -the-door acquisition while making sure that while we are focusing on prime through -the-door acquisition. And by prime, I mean prime by Bureau definition, which is Bureau score 750 + or asset sizes of abo ve Rs 1.5 lakhs worth of vehicles . While we are taking our overall numbers up, we are also trying to make sure that our overall prime penetration also goes up.
So, it's a mix of a couple of things. It's a mix of making sure that our credit engines are using technology and a new generation sort of credit engine to administer credit , but also directionally push our distribution channels towards more prime in some of our lines of business, while continually strengthening our collections practices.
So, I do believe that this is -- this will remain a work in progress, and we'll continuously strive to make our credit cost sort of trend downwards.

Digant Haria :
Got it. Great. Thanks, Sudipta, for this answer. So, second follow -up to this is, that see. If we move towards a better customer segment and a better credit engine both, then do we -- would we have some room to change our collection strategy as well? Becau se I think currently, we do have a lot of physical collection infrastructure also. And maybe those cash to NACH kind of convergence may still be happening within the organization. So, can

there be some cost benefits also which come later on, once more and more portfolios is towards this newer customer segment and newer credit engine?
Sudipta Roy :
Absolutely. One of the – see couple of axes on which we are working, apart from working on a new credit engine, the other thrust has been improving our digital collection capabilities. Because both of these go hand -in-hand in reducing the ultimate collection cost. And with the penetration of digital payments in the country, we are seeing very healthy trends, especially from rural areas of customers who are hitherto use to paying in cash

for many
years are actually moving to sort of pay digitally.
So those sort of efforts remain in -- for example, we have been focusing very strongly on making sure, especially in a business like tractor, our e -NACH penetration per percentages or our through -the-door acquisitions go up with every month. Similarly, the re is a large focus on our rural business customers to make sure that we introduce to them the methods of paying digitally and focus on doing that.
In fact, if you see in urban business, 94% of our collections are currently digital. In our rural business, about 19% of our collections are digital. So, this remains the progress area, and we are keeping on pushing on it. But also, what we have to keep in mind that on -ground collection strength is very, very important because we remain in an environment where economic shocks or a localized event might happen at any point in time.
We have to remain vigilant of that. So, a good amount of collections presence is always a prudent strategy to maintain continuously. So, it will be an optimization o r the right optimum collections presence on ground as well as a continued focus on improving digital collections. So, we will keep on working on both these fronts .

Digant Haria :
All right. Thanks. And just on the rural collection, you said 19% are digital. To what extent can this number go? Like can it go as high as 50%, 60%, 70% also in the setup that we have and the setup that India is into?
Sudipta Roy :
See I think this is something which we're seeing gradually, with every passing quarter, the uptick is there. You have to understand that the major hurdle of your digital collections is basically the smartphone penetration. It is smartphone -- and there is -- when we travel around, we see that there's still a significant difference in smartphone penetration between the Southern states as well as the Northern states, especially like UP and Bihar, the smartphone penetration, especially among the women folk who are borrowing on the Rural Business Finance vertical, the smartphone penetration is less. But every quarter, this particular number is ticking upwards. So, I won't hazard a guess as to by what time we will get to about 50%, 60% sort of level. But I think we will get there sooner than later .

Digant Haria :
Perfect. Thank you so much. And all the best .
Sudipta Roy :
Thank you so much, Digant .

Moderator :
Thank you. The next question is from Hardik Shah from Goldman Sachs. Please go ahead .

Hardik Shah :
Hello, sir, congratulations on the quarter. My question is on the personal loans. I see lower disbursements in the

quarter. Anything to read there? And has the pricing changed post the RBI announcement of increased risk weights?

Sudipta Roy :
Okay. So, on Personal Loans, what we are trying to build on is that, yes, I would agree that there has been a pause , I would sort of define it as a pause in Personal Loans disbursement this quarter compared to the previous quarter, is because we have been sort of optimizing some of our customer journeys. We have been sharpening the credit funnel. But also, we have been implementing some of the regulatory sort of items like video KYC, etc. So directionally, the number is less because many changes are happening on the funnel, and we were also – credit sharpening the funnel for our next growth sort of trajectory. So, this is -- as I would say, this is a temporary reorientation pause rather than anything else. And we will continue our growth trajectory starting this quarter .

Hardik Shah :
And has the pricing changed on the...
Sudipta Roy :
On the next part of the question. As of now, if

you look at our cost of funds overall, they are quite stable . Between the last quarter and this quarter it has only gone up by about 2 basis points. However, because of the RBI guideline on RWA increase, etc, we expect that in our cost of funds, there will be some impact on our cost of funds. But our guesstimate is that it will be a difference -- the differenc e would be in the range of 10 to 12 basis points over the next 12 -month timeframe. And also, I would like to also say that especially on our Personal Loans busine ss, the credit quality remains good, and the collection sort of parameters that we have set, especially it remains excellent. So -- and we really -- we were not in that BNPL space, etc. So, we were in prime personal loans and of the normal personal loan ticket sizes. And we have used this quarter to sharpen the funnel and improve the digital journeys of this particular line of business .

Hardik Shah :
Understood. And sir, second question is on the credit cost. How do you expect that to trend from here on? And in the event of credit costs going upwards from here on how comfortable are you getting into provisions? And what is your strategy on overall PCR?
Sudipta Roy :
See, overall, we have given a guidance that our opex plus credit cost will range within a 7% sort of guidance. So, we remain committed to that particular guidance. As I sort of explained in my answer to Digant, that our whole focus is on building a sort of next gen credit risk engine. And we are being very extremely careful and conservative as we scale up our business.
So given the fact of the investments that we are doing in our credit risk engine and trying to build a new next gen framework, properly tested, make sure that our collections teams are capacitized and we use data more and more in our collections team , and overall, our shift towards prime in certain lines of business, we remain quite confident that we will be able to navigate within that 7% credit cost plus opex guidance that we have given going forward .

Hardik Shah :
Okay. Thank you, sir .
Sudipta Roy :
Thank you, so much.

Moderator :
Thank you. The next question is from Avinash Singh from Emkay Global. Please go ahead .

Avinash Singh :
Yes, hi. Good morning. Congrats, Sudipta. A couple of questions. Again, one update again repetitive on credit cost. So, I mean you operate into the segments like almost two -third of the book are in the segment and the rural micro , two-wheeler or farmer finance, that is perceived to be kind of cyclical and have a slightly higher credit cost. So even giv en info that, okay, you're building a mortgage book that would be close to one -third or one -fourth, your

two-third or three -fourth of business is going to be in a segment that will be cyclical as like this year. So -- and so you have to be sort of a keep over the cycle kind of provisioning cost in mind.
In that context, I mean, do you see the current sort of credit cost -- outcome of benign cycle or you are comfortable that this kind of credit cost anywhere around 2.5% to 2.7% for the retail is going to be comfortable over the cycle. So that is one. And t hen follow -up would be more on sort of some data keeping question.
If you can provide some breakup of this quarter's credit cost in terms of standard asset provisioning, NPA provisioning as well as what is the sort of amount of write -offs. And secondly, if you can provide at a consol level, what's the Stage 2 asset? Becau se I can see that for retail and at a consol I guess Stage 3, but not the Stage 2? Thanks .
Sudipta Roy :
Yes. So, I'll take your first question first. So, you need to understand tha

t, yes -- and I'll take your first question to
the fact that, yes, we agree that we are in businesses that are rural in nature. But what we also have to understand is that we have a decade -long experience in managing these busine sses. And sort of the cumulative learning that the organization has, especially in all the sta tes that we operate in. And at a village level, at a block level, at a taluka level, we know how the risk operates in tha t, we have a 10 -year history of that particular geography. And our -- and the fact is that our collection s discipline, it is very, very strong. And if you look at the -- our collections efficiency charts. For example, in our R ural Business Finance (RBF) businesses, we operate at collection efficiency, 0 DPD collection efficiency close to 99.7% to 99.8% in most markets.
So that way, between our understanding of the market , between our collections efficiency and again, because of the experience , our credit engines are also designed in a way to underwrite those customers. If you look at our approval rates, for example, in our RBF businesses, right. For every 100 customers applying, we only approve 45. We have approximately 45% approval rates. So that way, the th rough -the-door funnel is also very, very tight. And also, we have very strong credit monitoring as well as portfoli o management practices. So yes, there is sort of at times the thought that in this business, you might have some localized event risk, right? But for that, we also have Rs. 1,200 Cr of macro provisions, which has been kept aside to deal with any of the sort of localized risk that might arise in the business.
But I'll again go back to what I answered in the previous two questions, is that though we have expertise, though we have a large track record, we are not resting on those laurels. We are trying to build a next gen credit risk engine for across all our lin es of business, which will help us sort of to predict this risk better and sort of see even before hand even if -- and be sort of responsive to any sort of very minute leading indicators of sort of risk emanating .
Our teams are continuously on the ground. Our risk management teams are continuously on the ground traveling from location to location, trying to figure out whether there is any sort of semblance of risk that we might not be comfortable with emerging, and we immediately take action thereafter if we see any such sort of incidents or any hotspots developing.
So, it's a dynamic exercise. And we are continuously, as an organization, focused on it. So, we are confident that, as I said in the previous answer, that we have a guidance of 7% risk cost to opex trajectory, and we will try to sort of operate and navigate within that.
With regards to your second question, I think we have given detailed stage -wise separations in the Analyst Deck .

Avinash Singh :
That is not for consol? No, that is just for retail. I was asking consolidated, too?

Sudipta Roy :
So as of now, we have given for retail, right?
Sachinn Joshi :
But actually, consol does not make sense because retail is what ultimately we are...
Sudipta Roy :
We are 91% retail now .

Avinash Singh :
Okay. And if you can just sort of provide credit cost breakup in terms of standard asset provisioning , write -offs and NPA provisioni ng for the quarter.
Sachinn Joshi :
No, we do not provide that. But rest assured that with what Sudipta just mentioned, the overall credit cost quarter -on-quarter basis, you have seen the trajectory coming down. And number two, the macro prudential provisions, which are currently on Micro Loans, there is also an internal discussion

that as we start growing in the retail space,
we would possibly like to create this on the full unsecured book, as we progress into the future quarters. So, there

will be sufficient conservatism that we have maintained till now and which we will continue with as we progress .

Avinash Singh :
Okay. And if you can just sort of tell what is the sort of security receipts that will be outstanding currently? And what kind of a timeline you would have sort of by time, I mean, the security receipts will be resolved fully -- I mean, whatever paid out or resolved?
Sachinn Joshi :
So, there is no additional impact this quarter. There has been only resolution which has happened. About Rs. 420 Cr of assets have got resolved from the overall security receipt value. It stands about Rs. 7,900 Cr roughly .

Avinash Singh :
Okay. And this will likely be resolved in next 2 years? I mean, because currently, they might be leading to a cost of maybe Rs. 12 0 Cr, Rs. 125 Cr annually, I mean, on that SR AMC fee. So, what...
Sachinn Joshi :
As mentioned in the previous call also, all these cases are in various stages of NCLT. And we believe that in next maybe 15 to 24 months, we will start seeing it coming down. In fact, this is the first quarter when we have already seen a resolution of Rs. 420 Cr. And depending on each case, where it stands, we will start seeing resolution .

Avinash Singh :
Okay. Thank you.

Moderator :
We take the next question from the line of Abhijit Tibrewal from Motilal Oswal .

Abhi jit Tibrewal :
Yes. Good afternoon, everyone. Sir, 2 questions really. First one is a follow -up on the SR question that you answered. So, you said SRs on the balance sheet are about Rs. 7,900 Cr. These are the gross values of the SRs is what I presume or these are net SRs on the balance sheet?

Sachinn Joshi :
Okay. Let me just summarize this for you. If we look at the overall asset book that -- if you look at what was the original EAD at the time of sale, the overall book was about Rs. 19,000 -odd Cr, out of which about Rs. 4,000 Cr have been received in cash, which -- and the provisions have been made to the extent of about Rs. 7,000 -odd Cr. So roughly Rs. 15,000 Cr was the book, excluding the cash that was received, and on which Rs. 7,300 Cr of provisions have been made. So broadly, if you look at the book that we have currently, it is about 40% of the original value. So, 60% has been either received, money received in cash or provided for already as it stands today. And this has been fair valued .

Abhijit Tibrewal :
Okay. And like you said, I mean, this is expected to get resolved within the next 15 to 18 months?
Sachinn Joshi :
That's right. And if you recall, last year same time in Q3, we had also fair valued the whole asset book. And at that point of time, we had mentioned that whatever provisioning is required on the full wholesale book will be taken care of through the reduct ion in the fair valuation which was done. And we do not expect any incremental hits coming to the P&L for resolution of loans on the book or of f the books, which are in the form of SR .

Abhijit Tibrewal :
Got it. And sir, my last question is for Sudipta, sir. Firstly, again congratulations for taking up -- officially taking up the role of MD, CEO of this franchise. I just wanted to understand since July to now, I mean, from what we understand, I mean, you t ravel very extensively and you've been looking very deeply at all the retail businesses that we have, we have a very wide product suite across micro finance, two-wheelers, tractors, consumer personal loans, home loans. So I mean which businesses, I me

an, h ave you identified are maybe relatively weaker than
the others in your product portfolio and will require some overhaul either from an underwriting or a collection perspective?
Sudipta Roy :
I would not say that any business is weaker or anything like that. There are businesses which are mature businesses and there are businesses which are developing businesses. There are businesses which are in the progress of scaling to the next level. I think we -- one of the realizations that I have had after sort of immersing myself deeply in all lines of business, is that we have excellent people, right, both in business and collections in

all our lines of business, right? What we need to do from her eafte r is, as I said, sharpen our credit underwriting, sharpen our digital funnels and making sure that the focus on new customer addition as well as cross -selling on our existing franchise is , that discipline is maintained. So -- and while we give them air power of brand marketing, etc., we give them the air cover of that. So that is what we have been putting the ball into motion in the last 6 months. And as I can see, it is gaining momentum across the full organization across all lines of business. And you wil l see us moving the needle forward, going forward quarter -on-quarter .

Abhijit Tibrewal :
Got it, sir. And maybe in the interest of time, just one last question, maybe a follow -up on something you've already answered on Personal Loans. So, I mean what we saw in this quarter in Personal Loans is only temporary or transitory because this quarter, the disbursements were a 7 -quarter low. But like you suggested, I mean, you've been kind of spending more time in this business, whether it'd be becoming a regulatory compliant or kind of sharpening your credit funnel. So, I mean going forward, we should again see you kind of resume the growth trajectory in Consumer Loans as well ?

Sudipta Roy :
Absolutely. So, in Personal Loans, this quarter, I would call a reorientation/pause quarter to make our system stronger, both from a business credit as well as a regulatory standpoint. And also, the customer experience standpoint on our digital funnel, right?
So, we already have resumed the growth trajectory, and you will see this business moving forward in the coming quarters. And I would say, in a risk -calibrated fashion, this is very, very important. This is something that we will not compromise on, right? So, we will grow this business in a risk -calibrated fashion .

Moderator :
The next question is from Ma hrukh Adajania from Nuvama. Please go ahead .

Mahrukh Adajania :
Congratulations Sudipta sir. I had a few questions. On Housing, first of all. So, if you see most lenders who are into prime and above that ticket size lending have not seen any housing loan growth, so what are you competing for in Housing? What would your average ticket size be, first of all? And I mean, how competitive are your rates relative to others?
Sudipta Roy :
So, Ma hrukh, our average ticket size f or Housing is between Rs. 60 lakhs to Rs. 65 lakhs, which puts it almost in the prime category of housing loans. So, on Housing, we are focused as of now in two lines of business. One is business generated either through our builder tie -ups, etc. And the second thing is that where we go through our channel partners, or our channel team either digitally generates or through leads that we get organically. So that is sort of -- but we are focused on as of now in the prime and the near -prime segment in housing loans. And we are -- and as we have said, this is a line of business which we intend to grow going forward. And because

-- this
also provides a very large volume of low -risk ballast to entire retail book. In terms of our rates, because if you look at our cost of funds profile, we are able to sort of compete in the prime space there and sort of our rates are more or less comparable to most of the other banks or some of the leading NBF Cs. So that way, we're able to compete. If you see our top line numbers, our top line numbers are growing in a healthy fashion in this particular business quarter -on-quarter. And we remain focused on this business, and we are hopeful that over the next couple of quarters, we'll be able to grow t his business even more strongly.

Mahrukh Adajania :
Right. Because overall, the sector is not seeing much growth. That is the reason why I was asking ..
Sudipta Roy :
Yes. So, the fact is that there is a good amount of healthy sort of end user demand, which we are seeing in some markets. But again, if you look at our overall book size, our overall book size is not very significant as of now. So, objective for us now is to more sharply define our product proposition, make sure that our digital journeys are absolutely top -notch. And our servicing capabilities in this particular line of business are further improved.
So, our focus right now is to grow this business to a reasonable amount of scale while we optimize the digital delivery, we optimize the product proposition, as well as optimize the service channel. So that is what we are focused right now. And the amount of demand which is there in the market, is sufficient for us to grow.

Mahrukh Adajania :

Got it. And my next question is -- so you have kind of tightened the credit filters on Personal Loans. It's a temporary pause. You also mentioned something on regulatory compliance, which I didn't understand fully, but I'll come to that a bit later. But do you see yourself doing that in any of the other businesses? And I specifically ask on MFI, where your collection, rural and MFI put together, your collections are still monthly, whereas most players are on

a much lower collection schedule and some of them are tightening. Those who are on monthly like Spand ana are trying to progress to faster or quick or shorter duration collections, so?

Sudipta Roy :

Mahrukh, I'll take your first question on Personal Loans first in the sense that on the -- let me sort of clarify on the regulatory thing. The fact is that it's not any -- so we are actually implementing video KYC. So, video KYC is, obviously, an RBI's acceptable method of doing customer KYC. So, the entire video KYC stack actually had to be built and pushed into the system and then optimized, right?

So that was the only thing that I mentioned from , it's not that we are not compliant or anything like that. We're adding an additional KYC, digital KYC methodology, which is moving to 100% digital video KYC right now. So, there's no physical collection, etc. So, customers who come online or customers who are sort of even through our partner channels, if any customer comes, the only method of KYC is video KYC. So that is the only thing that we have sort of added in our Personal Loan business.

In terms of Micro Loans business, if you see our collection efficiencies are very strong, and our collection cycle are actually from the 1st to 12th of the month. So, the first 12 days of the month is spent on collections. So that way, we are almost spending almost half of the m onth in collections.

Other lenders, they follow different practices, fortnightly practices, weekly practices, etc. But we do believe that sort of front-ending the collections effort towards the beginning of the month gives us a lot of

freedom to focus on

business generation in the latter part of the month.

So, this is a model that we have been running for many, many years now, and it works really well. And as you can see, we have collection efficiencies of 99.7% to 99.8% in most of the markets. So, this is working well for us, and we intend to continue it.

Mahrukh Adajania :

Got it. And just 1 clarification. So, by how much have your Personal Loan disbursal rates moved up by? You said that your cost of funds has increased 10 -12 basis points. You've been indicating that since the RBI circular. But so, your cost -- your yield on personal loan would have moved up by what range? Unsecured, I mean .

Sudipta Roy :

Yes. So, if you see Y -o-Y, it's about , yes, 1%, it's moved about 1%, right …

Mahrukh Adajania :

Okay. No, I mean new disbursals post the RBI circular?

Sudipta Roy :

We haven't made any -- see, as of now, our cost of funds, etc., hasn't moved that significantly. It's been a little bit 2 basis points movement. So, if your question is whether we have gone and repriced our Personal Loan, as of now, we have not repriced our Personal Loans as of now, because the increase in cost of funds quarter -on-quarter for us has been about 2 basis points. But going forward, yes, we will reprice.

Mahrukh Adajania :

Okay. So that increase will be 30 -35 basis points. How much will it be and by what time ?

Sudipta Roy :

That is something that we will decide on the course of doing business. That is something which, unfortunately, I cannot give a guidance on the call. And so, it's dependent on multiplicity of factors. It's dependent on how the market has responded. It depends on how our competitors have moved their rates upwards and what is our sort of estimation of how much the conversion funnel will drop if I take the rate a bove a particular level. So, Ma hrukh, it's -- fact is that right now, the rate is dependent also on the Bureau score, right? If you have a higher bureau score, your rate is lower. If you have slightly -- so most of our Personal Loans funnel operates on a risk -based

funnel. So, it's not one uniform rate all over. But yes, if our overall input cost of funds goes up, our overall stock through the door , inward stock should see a rise in rate and that we will decide maybe over the next couple of months, right? As and when we know the -- we have a visibility of how our cost of funds is moving.

Mahrukh Adajania :
Okay. Thank you, so much. Thanks a lot.
Sudipta Roy :
Thanks, Ma hrukh.

Moderator :
Thank you. The next question is from Kunal Shah from Citigroup. Please go ahead.

Kunal Shah :
Congratulations, Sudipta. So first, when we look at it in terms of yields. So, in fact, yields has moved up quarter - on-quarter. So, one would be obviously the mix shift towards Retail. But if we look at it in terms of the AUM growth this quarter, largely the AUM growth is led by the lesser yielding loans. So be it in terms of home loans, LAP, SME, acquired portfolio. So, then what is leading to this kind of an increase? Has there been any rate pass -ons in any of these segments which you would have se en?
Sudipta Roy :
So, see, most of our businesses have had a good disbursement trajectory over the last two quarters. Our Rural Business Finance business has had a strong disbursement trajectory over the last two quarters, our SME business … plus also, we -- the first obviously thing contributing is the change in retail mix. We are now 91%. So as and when we are becoming more retail, you will have higher yields.
Plus also, within our Retail mix also, our Rural Business Finance vertical has been doing quite well, and the

re
have been strong and robust disbursement over the last two quarters. Our Two-wheeler business has been doing well. There has been strong disbursement over the last -- again, this quarter has been quite good for Two-wheelers. So overall, the buoyancy in disbursement , and the buoyancy in disbursement of some of our high - yielding products as well as the change in retail mix is overall contributing to the movement upwards of the yield.

Kunal Shah :
Okay. And secondly, if you can reconfirm Wholesale PAT. Should it be again the loss of Rs. 20-odd Cr and Retail being there at Rs. 660-odd Cr, given that you have shared 3.37% of ROA for retail business?
Sudipta Roy :
Yes, Sachinn will take this question.
Sachinn Joshi :
Yes, hi, Kunal. We had mentioned that the hit from the wholesale book overall will not exceed Rs. 50 Cr per quarter and a maximum of Rs. 200 Cr is what can be built up in any model. And as we start moving in more and more into Retail, you will start seeing -- in fact, this is the first quarter when we have said that let's stop looking at Retail and let's start looking at the consolidated financials and the ratios to be monitored , because I think the time has now come where we would like to take up that challenge of saying that this is the ROA, 2.53% is the ROA that we have. We would like to get into the trajectory of 2.8% to 3% over a period of time by FY26. Which means that directionally, we would want these numbers to keep moving up. And we are pretty confident, and that's the reason. I mean this is a quarter when we've jus t taken that call, that let 's stop looking at just the Retail numbers and start looking at, monitoring it an d achieve that.
Sudipta Roy :
So, in addition to what Sachinn said, as I said during my call also, is that now we will move towards adopting the Lakshya goals for consolidated basis. So original goal was Retail ROA between 2.8% to 3%. We are adopting

now consolidated ROA to move from 2.8% to 3%. And we are confident that exit FY26, we should be able to hit those numbers.
Kunal Shah :
Sure. And if I can squeeze in one more question. So one is, maybe when you look at it in terms of the overlay buffer, you said you will create on the entire unsecured. So now you will add another provisioning on the Rs. 6,500 Cr of Personal Loans. No other segments besides this. So, it will be an incremental provision on P ersonal Loans ?
Sachinn Joshi :
Personal Loans and SME, both -- SME, P ersonal Loans and Rural Business Loans, these are the three businesses that are unsecured. As we ha d mentioned in our earlier calls, the unsecured to secured ratio will be about -- unsecured will be in the space of 45% to 50% because that's what the rating agencies are also comfortable with. So, over a period of time, as this mix starts coming up, start growing, it's not that we are going to do immediately in the next quarter. But directionally, we would like to ensure that we are co nservative, and we create these buffers so that if there is any event -based challenge, which comes up, we are able to deal with it without any major impact to the P&L.

Kunal Shah :

Sure. Thanks. And all the best, yes .
Sudipta Roy :
Thank you, so much Kunal.

Moderator:
Thank you. The next question is from Viral Shah from IIFL. Please go ahead.

Viral Shah :
Yes. Hi, thank you for taking my question. And first of all, congratulations, Sudipta, on taking on this role and also on a good set of numbers. So, I had a few questions. So basically, first is on the consolidated book, while you are saying that we need to look at now on the consolidated P&L, wanted to check if go ing forwa

rd, if we can give also
the breakup of the Stage 1, 2, 3 loans on a consolidated basis that will help us to get a better clarity on the entire P&L and the balance sheet piece. Just looking at it in the isolation on the P&L does not help .
Sachinn Joshi :
So Viral, if you look at the book itself, it's just down to Rs. 7,000 Cr, and it will come down below Rs. 5,000 Cr. All we can talk about on that book is that it's a standard book, and it has been. It's not that only the bad book has remained after the down selling. This book is a standard book. And we would not like to sell it down at throwaway prices very clearly. A nd that's why we said that we will -- our Retail mix will be -- the next target is to be more than 95%. And next year onwards, if at all the book remains, we will start showcasing , there will be a few accounts now, which will be left , just 3 to 4 accounts. So, we will have no qualms in terms of sharing that data with everyone. At this point of time, frankly, because we are moving into Retail, we thought it was advisable to just do the Stage 1, 2, 3, the wholesale book has been going down quarter -on-quarter.
Last year, same time, we were sitting on Rs. 35,000 Cr book. No point in showcasing stage -wise things when things are moving so rapidly. It gives the wrong picture. We thought that we will first do the accelerated sell -down. And once the book becomes stable, in case, suppose we are able to retain, say, Rs. 4,000 Cr to Rs. 5,000 Cr book, we may possibly look at sharing that.

Viral Shah :
Okay. The next question I had was on basically the risk -weighted asset growth. So, I'm looking at your Tier 1 in this quarter. And if I look at then the -- basis your net worth, the implied risk -weighted assets, there has been

around 3.7% sequential increase in your risk -weighted assets, whereas your loan book has grown at 3.9%. So why would this be given that part of your book would have seen higher risk weights in this quarter?
Sachinn Joshi :
So, you're looking at the end of the quarter. So, there are two components to it. One is the profit gets added, okay? The capital is higher at the end of the quarter. Number two is the RBI circular impact was about 60 basis points, and that was only on one of the books, which is the P ersonal Loans . So, the overall impact was about Rs. 2,400 Cr book, I believe. It was not more than that. And so because the book has been -- certain specific books are growing, the CRAR requirement, if you look at between two quarters, it was about 23 basis points, if I'm not wrong, the reduction, which has happened. So, it's a mix of all these. One is the ci rcular impact. The other is addition of the pro fit to the overall capital. And then the change in mix during the quarter.
Sudipta Roy:
This has gone down from 22.99% to 22.8%.
Sachinn Joshi:
Yes. So, in fact, Tier 1 has gone -- I was talking about the overall CRAR number. Tier 1 is 22.99% to 22.84%.

Viral Shah :
Got it. And just as a clarification. So, the Rural Business Finance book does not see higher risk weights given that it is not a MFI loan because historically, you have said that it does not qualify in the technical sense of RBI's definition. So, will that not see higher risk weight?
Sachinn Joshi :
So Rural Business Loans, each loan is given specifically for business purposes. The circular applies to loans which are -- especially on our book, it is applying to the Personal Loans, which are not specifically given for. So, end use is not mentioned as for personal purposes. So, till the time it is for consumer consumption, that is what will apply to this. All other loans which are given s

pecifically for business purposes get out of it.

Viral Shah :
Got it. And the last question I had was on the collection efficiencies. So, while in the other segments, it's trending

pretty good. In two specific segments, the Two-wheeler and the Consumer Loans or the P ersonal Loans . Over there, on a sequential basis, yes, the collection efficiencies is flattish. But if you look at it, say, on a Y -o-Y basis, it is still anywhere between 20 to 100 basis points lower. So why would this be?
Sudipta Roy :
See, on Personal Loans, if you look at -- actually, it's actually improved from 98 -- if you see, 98.3% at the end of September to about 98.7% in December. So, it's actually improved, right, collection efficiency for Personal Loans. And Two-wheelers, if you look at what it was in September, it was at 97.9% and gone up to about 98.4% in December. So, these are like -- we are trying to -- obviously, with every passing month, we are trying to improve our sort of efficiencies. And right now, f rom a trajectory basis from Septembe r to December, definitely on Two-wheeler, we are seeing an improvement in collection efficiencies .

Viral Shah :
Sorry. But actually, what you are referring to is the collection efficiencies for the month. If you look at it, say, for the whole quarter, I think it's kind of similar only quarter -on-quarter. But more importantly, on a Y -o-Y basis, it's still lower? Like , is there any trend that you are seeing? What is driving this?
Sudipta Roy :
There's no specific sort of risk pockets or anything that we are not seeing. You'll also have to be appreciative of the fact that between last year and this year, the book size also has grown. Our disbursements also have grown. And as I said, we are on Two-wheeler specifically. You will even recall what I said at the beginning of the call is

that we are trying to push our through -the-door funnel towards more and more prime acquisition, right? This has been 750 Bureau score, or EVs or assets of ticket sizes greater than Rs 1.5 lakhs. So that is what we have been trying to do. And over the last three months, we have seen significant progress in that. And we are very confident that that will show up in improved quality, improved credit quality a couple of quarters from now .

Moderator :
Mr. Shah, I'm really sorry to interrupt but maybe request you to rejoin the queue as there are several other participants waiting for their call. Thank you .

Viral Shah :
Thank you.

Moderator :
We take the next question from the line of Shweta Daptardar from Elara. Please go ahead .

Shweta Daptardar :
Congratulations, sir, on assuming office at the helm and on a good quarter. Sir, I had a similar question as previous participant. So, on the Two-wheeler front, so while you mentioned that you're moving to the prime customer base, sir, what would be the urban -rural divide as in the prime and the rural customer divide? And what could be the NPA range on the Two-wheeler portfolio?
Sudipta Roy :
Shweta, we don't do much of rural Two-wheelers actually. Most of our Two-wheelers are urban and some parts semi -urban. So, we don't do much of rural Two-wheeler. So, I'm not sure whether I'll be able to give you a number there on rural.

Shweta Daptardar :
Okay. Sir, what could be the prime customer mix there on the Two-wheeler side?
Sudipta Roy :
Granularly, we have never given out what is the prime. And the fact is that it is something that we have just started over the last couple of quarters. But I'll sort of describe to you what are the sort of segments which are there, right? So basically, abo ut anything above Rs 1.5 lakh s -- but yes, sorry, i

n our Investor deck, we have not given
any such sort of breakup. But I'll give you what are the sort of markers we take.
The first marker is that income plus -- if you have an income above a particular threshold, which you fall into a particular prime category. If your CIBIL score is above 750, you fall into a prime category. If the asset size is greater than Rs 1.5 lakh s. Typically, what we are seeing is that if the asset size is more than Rs 1.5 lakhs, your loss rates are about half of through -the-door other categories. So that falls into our prime category. If someone is putting a higher loan -to-value. For example, if some one is putting in about 40% of own equity by buying a Two-wheeler, the loss rates of that category is much, much lower. So that also falls into our prime category by our definition. And also, if you look at the slide number 14 in the analyst presentation, there, we have given the prime customer share actually in the analyst deck. If you see, it has moved from 35% in Q3FY23 to about 41% in

Q3FY24. So, there has been about a 6% move in prime. And if you see the majority of the move has happened after Q1FY24, where actually we have moved 5 percentage points in the last two quarters. I don't know whether you got that slide, it's slide number 14.

Shweta Daptardar :
Yes. I am on that s lide, and this is helping. Just one bit there. So have the NPA trends, or is there a down trending of NPAs as on today, vis -à-vis, two years ago for us on Two-wheelers?
Sudipta Roy :
Sorry, the line was not clear. Can you repeat your question?

Shweta Daptardar :
Are NPA trends or are NPAs in Two-wheeler portfolio down trending, vis -à-vis, say, 2 years ago compared to what it is today?
Sudipta Roy :
Overall, I don't think we have given a NPA trend on our business -wise, we have not given. But overall Retail, you can see overall retail is improving and the focus is on improving the credit performance and the credit sort of profile of each and every line of our business. We are pushing equally on improving the credit profile of all of our lines of busines ses. And one part of it is maintaining it , if you look at our -- if you look at our collection efficiencies on Two-wheelers, our collection efficiencies also have been holding, right? So that's what the entire focus is, to push the credit quality better and to make sure that your delinquencies sequentially goes further down.
And if you see our Stage 1 number, especially in Retail asset quality has actually been overall -- in spite of the overall book size growing, your Stage 1 has been going up continuously. So, the focus is on improving credit quality on every quarter through every initiative that we are taking.

Shweta Daptardar :
Okay. And just similar observation which was made earlier. So, in the home loan book, your annual growth has been north of 30% -35-odd-percent, vis -à-vis, slack – or slackness in the industry, which you already comprehensively addressed. So, can you just also highlight what are -- how are the distribution channels there? And what is our LTV?
Sudipta Roy :
So, our distribution channel...

Shweta Daptardar :
Distribution as in acquisition -- sorry, customer acquisition, say, from the parent or lead generations internally, something on those lines and your LTV?
Sudipta Roy :
So, distribution channel means origination channel for the loan? Sorry, I just needed the clarity.

Shweta Daptardar :
Yes, origination channel I meant. Yes.
Sudipta Roy :
Yes. So, the origination channel is basically DSA is one large origination channel. Builder, especially direct -builder tie-ups, or APF business is another o

rigination channel. And the third origination channel is our digital/cross -sell
channels. So, these are the three main origination channels. In terms of LTV for Loan Against Property , our LTVs are about 65%. And for Home Loan, our average LTV range between 75% to 80%.
Sachinn Joshi :
This is regulatory.

Sudipta Roy :
Yes, anyway it's regulatory.

Shweta Daptardar :

Sure, sir. That helped.
Sudipta Roy :
Thank you.

Moderator:
Thank you. The next question is from Saurabh Kumar from JPMorgan. Please go ahead.

Saurabh Kumar :
Sir, just 1 question. So, of the security receipts book of Rs. 19,000 Cr gross, what was the Real Estate contribution to this whole book? And of this Rs. 400 Cr recovery, what is the income you booked in the P&L? Thank you.
Sachinn Joshi :
So, income yields would be in the range of anywhere between 13% to 15% when we started, when we would have actually sanctioned these loans , those were the yields that we were getting. But once you actually sell it off to an ARC we cannot book any income.

Saurabh Kumar :
No, no, on the recovery, you would have booked, right, the Rs. 400 Cr?
Sachinn Joshi :
Recoveries, I mentioned about Rs. 4,000 Cr is what we recovered in terms of cash. So, the net book post recovery is about Rs. 15,000 Cr, and we have made overall provisions over the period of time.

Saurabh Kumar :
So, this quarter, you have added Rs. 400 Cr recovery, right? So how much got booked this quarter?
Sachinn Joshi :
Yes. So, this recovery is the -- along with interest and all it has come, about Rs. 420 Cr.

Saurabh Kumar :
Okay. So, it is part of your NII this Rs. 420 Cr?
Sachinn Joshi :
Yes, yes, it is part of that.

Saurabh Kumar :
Okay.
Sachinn Joshi :
No. One second. Rs. 420 Cr is not just interest, because it's also the principal which has been recovered.

Saurabh Kumar :
Yes. So how much has got booked in the P&L?

Sachinn Joshi :
It does not come in NII.

Saurabh Kumar :
Okay.
Sachinn Joshi :
Because it is an investment, right? So, the -- so we can possibly explain you offline.

Saurabh Kumar :
Okay. Got the piece. Okay. The second is, sir, of the Rs. 19,000 Cr, what is the total value of the Real Estate book of this Rs. 19,000 Cr?
Sachinn Joshi :
No, I won't have that number. Maybe we can speak offline.

Saurabh Kumar :
Okay. Thank you.

Moderator:
Thank you. The next question is from Kaitav Shah from Anand Rathi.

Kaitav Shah :
Sir, can you talk more about the demographic conditions at present in rural, semi -rural where you are focused

on? How comfortable are you with the growth and collections?
Sudipta Roy :
Okay. So, see, India, we just cannot paint one uniform picture across all rural areas. But what I will try to do is that give you a sort of a sectoral picture -- and this is something, there is data available and there is perception available. Perception comes on d uring our visits and data comes obviously from syndicated sources.
So first, I will give you our perception, right, a perception which we get when we travel extensively to rural areas while supervising our various lines of business. So, from a perception point of view, what we believe is that there is South of India, espe cially, there is nothing called pure rural anymore. South of India, especially in AP, Telangana, Tamil Nadu, Kerala and Karnataka,

it is mostly semi urban, right, where leaving standards -- and
during our travel, we do not see agrarian distress to a very l arge extent in the South. And if you look at, though the rainfall has been -- actually last year because of the El Nino conditions, and there are some water table issues, especially in some markets, our Rural Business Finance demand as well as collection efficiencies continue to remain strong. And so in that way, those businesses are operating quite well.
The business in which we have, at times, we -- the industry is sluggish, is the Farmer Finance business, especially our Tractor Finance business, where the industry has sort of more or less seen a sort of even keel as compared to what the numbers were last quarter. But in spite of that, our business has continued to grow because we have been focusing on our repeat customers, as well as making sure that we have greater penetration at a particular dealer level.
So, I think the rural economy is quite, I would use the word resilient as of now, right, in spite of some of the sort of erratic rainfall, etc. But if you look at the rabi sowing right now, which is the leading data that we have, the rabi -- acreage under rabi sowing has actually improved. It is about 5% more than what the expected number was, which actually augurs well for the crop going forward.

So, I would say that we are -- cautiously, we are looking at this particular area. And the fact is that wherever there are certain pockets of support, which are needed, the government is stepping in and providing that -- those pockets of support, either in terms of MSP or in terms of fertilizer subsidy or whatever, right?
So that way, I do believe that the rural sector is quite resilient. And there is -- we do not see any -- as of now, we do not see any massive headwinds developing in this particular sector, and we expect to maintain our normal business trajectory as well a s collection efficiencies going forward.

Moderator:
We'll take that as the last question. I would now like to hand the conference back to Mr. Sudipta Roy for closing comments.

Sudipta Roy :
Thank you, everyone, for joining us this morning, and we liked the interaction with all of you. As I said, we'll be also available for one -on-one meetings or any other clarificationary questions that we might need to spend more time on an offline basis. We're happy to do that.
As you are aware that Mr. Dinanath Dubhashi has wrapped up his eight long years of tenure at the helm of this organization. So, it is fitting that I would -- I should invite him to say a few words at the end of this analyst call.
Dinanath Dubhashi :
Thank you. Thank you, Sudipta. Thank you very much. Thank you, all of you. In fact, there is -- as I sit here today, there is only one word which comes to my mind, which is thank you and feeling tremendous amount of gratitude towards each one of you. I rec eived lots of support, lots of respect, lots of love from each one of you.
First of all, I wish each one of you all the very best in your life. God bless all of you and your near and dear ones. That would be my biggest wish. I wish Sudipta and his team all the very best. And I have full confidence that the company will grow to im mense strengths under his leadership.
I have been listening to the questions, and I would just summarize that there will be details , there are quarter -on-quarter movements and all that. But I would like to share with you the direction that the company is taking. And we are just talking about the next -- till the Lakshya 2026. You will see exciting plans being raised even after that. But just talking about history. O

ne year back, when we started the rapid reduction of wholesale, there were quite
a few people who doubted whether we'll be able to do it without any decrease -- any hit to P&L. And I think the team has indicated that not on ly the team has remained together. But that kind of -- beyond everybody's expectation, the reduction has been shown.
And let me assure you, that, that will continue. And the promise of any further hit to P&L not being there will be kept. We have also built tremendous amount of strengths, business strengths, channel strengths on each of our businesses. Again, there will b e quarter -on-quarter ups, downs based on industry.
But based on the channel strength, business strengths we have built , also the cross -selling, upselling strengths

we are building, we will try to smoothen them as much as possible and have secular growth, which the team has been showing till now and will continue to show.
Lots of questions on credit cost, and I would only say that till now, we have been tremendously concentrating not only on underwriting, but also collection and maintaining and reducing the trajectory of credit cost. And with the new initiatives that Sudipt a has brought to the table, with his experience from his previous organization and adding to that, I'm absolutely confident that credit cost will trend down secularly.
There were questions about quarter -on-quarter, how will it g row? Of course, those things will keep happening, but secularly, and we have shown that also over the last few years. The only item, which we believe will remain a little sticky, is the opex. We have always indicated that the investment in people, investment in branches, investment in digital, investment in brand, we will not be shy of them. We believe that this bodes well for the long -term future of the company.

I can only now summarize by saying that always the ROA bridge that we have guided towards indicates and now even at consolidated level. And Sudipta upgrading the same guidance from retail to consolidated very clearly shows the intent of the management. And way back in 2016, I had talked about management intent. And I see the same intent and Sudipta is upgrading the target keeping them same, whatever was for retail now for consol. So, all this bodes well, and I would only request all of you that the same support, same love, same respect that you gave me , much more than that, I'm sure and hope, that you will give it to Sudipta. With that, I will sign off. Many of you know my personal number, personal e -mail. If you don't know it, you can take, and it would be great to generally interact with each one of yo u. I'm sure I will only benefit. Thank you very much, and God bless you.

Sudipta Roy :
Thank you so much. And with that, we would end this call.

Moderator :
Thank you very much. On behalf of L&T Finance Holdings Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines .

*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual disc repancies ,
repet itions in Q &A which would have unintentionally crept in, if an y

Call: May 2024

May 7, 202 4

National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051. BSE Limited
Corporate Relations Department,
1st Floor, New Trading Ring,
P. J. Towers, Dalal Street,
Mumbai - 400 001.

Symbol: L TF Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of investor(s) / analyst(s) meet – Q4FY2024 and FY2024 financial performance and strategy update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q 4FY2024 and FY2024 financial performance and strategy update held on April 29 , 202 4.

The above information is also available on the website of the Company i.e., www.ltfs.com/investors .

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Limited
(formerly known as L&T Finance Holdings Limited)

Apurva Rathod
Company Secretary and Compliance Officer

Encl: As above

L&T Finance Ltd.
Q4 FY24 & FY24 Earnings Call Transcript
April 29, 202 4

Management Personnel :
Mr. Sudipta Roy (Managing D irector & Chief Executive Officer)
Mr. Sachinn Joshi (Chief Financial Officer)
Mr. Raju Dodti (Chief Operating Officer)
Mr. Karthik Narayanan (Head – Strategy and Investor Relations)

Moderator:
Ladies and gentlemen, good day, and welcome to L&T Finance Limited Q4FY24 and FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded .
We have with us today : Mr. Sudipta Roy, Managing Director and CEO; Mr. Sachinn Joshi, CFO; and Mr. Raju Dodti, COO; and other members of the senior management team .
Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the conference call. Only publicly available documents will be referred to for discussion during interaction in the call. While all efforts would be made to ensure that no unpubli shed price -sensitive information will be shared, in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the statements made on today's call may be forward -looking in nature. A note to th is effect is provided in the Q4 results presentation sent to all of you earlier .
I would now like to invite Mr. Sudipta Roy to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir .

Sudipta Roy :
Thank you. A very good morning to all of you. I welcome you all to the Investor call for Q4FY24 and the close of the financial year 2024. With me on the call are – our CFO, Mr. Sachinn Joshi, COO Mr. Raju Dodti and the senior management team of L&T Finance .

Today's call is again divided into two sections, taken up sequentially by myself and our CFO – Mr. Sachinn Joshi, who will

be talking about the overall business metrics & financial performance at length.
Post our opening commentary we will be happy to take questions on the call .

Q4FY24 Highlights
I would like to start the call by sharing our satisfaction not only with the quarter's performance but also with the annual performance, wherein we have registered the highest ever yearly PAT of Rs. 2,320 Cr, a growth of 43% YoY. Moreover, we maintained a strong trajectory in our Q4 disbursements ending with an overall disbursements growth of 33% YoY and 4% sequentially over the Q3 festive quarter. Last quarter, I had emphasized about making our retail growth trajectory sustainable & predictable. In view of that we would like to conclude that our Q4 Retail growth performance has been extremely encouraging .

Lakshya 2026 Goals at Consol Level
Having met Lakshya 2026 goals at retail level in Q3FY24, we are re -orienting ourselves for convergence at the consolidated level by FY2026, as detailed in the last quarter. Accordingly, the new targets for Lakshya 2026 are as follows:
• Retailisation at >95%, against which we are at 94% in Q4FY24
• Retail book growth to be maintained at >25% CAGR. In Q4FY24, the growth stood at 31% YoY

• While we have improved portfolio quality by sustaining the Retail GS3 & NS3 levels within the threshold levels, we have now tasked ourselves to converge Consol GS3 & NS3 below 3% & 1% respectively. The corresponding numbers stood at 3.15% and 0.79% at the end of FY24
• On the RoA front, we are moving from tracking Retail RoA to Consol RoA in the range of 2.8% -3.0% as per our original Lakshya 2026 targets. Our Consolidated Q4FY24 RoA stood at 2.19% and annual FY24 RoA stood at 2.32% after an additional prudential provisio n about which I'll talk in detail subsequently. It is important to note that before the prudential provisions our unadjusted RoA for Q4FY24 stood at 2.63% and for FY24

stood at 2.43%. I would like to draw your attention to Slide No. 6 of the investor presentation where this has been delineated in detail .

Executive Summary :
I would like to quickly run you through the key highlights of our performance in Q4FY24 and for the full year FY24
• Highest ever annual PAT of Rs. 2,320 Cr in FY24, a growth of 43% YoY. The unadjusted figure before the additional prudential provisions stands at Rs. 2,432 Cr, a growth of 50% YoY
• Highest ever annual Retail disbursements of Rs. 54,267 Cr, growth of 29% YoY
• Highest ever quarterly Retail disbursements of Rs. 15,044 Cr, growth of 33% YoY. Well-tuned acquisition engines ensured that the Q4 disbursements exceeded that of the festive Q3 quarter
• Retail book crossed the Rs. 80,000 Cr milestone (Rs. 80,037 Cr), up 31% YoY
• As shared in the last 2 quarterly updates, the 5 Pillar strategy continues to be central to our roadmap to the future. The organisation continues to granularly execute the 5 Pillar strategy, details of which are available from Slide No. 11 of the investor presentation
• Sustained focus towards improvement in credit parameters across businesses ensured Consol. GS3 and NS3 numbers coming down by 159 bps to 3.15% and by 72 bps to 0.79%, respectively at the end of FY24. The Provision Coverage Ratio (PCR) currently stands at a comfortable 76%, up from 69% during the same period last year
• The company continues to focus on strengthening IT and information security infrastructure, risk management and business controls while building a strong compliance culture supported by a robust governance framework

Macro -economic outlook :
I would like to give you some flavour on the Macro -economic scenario

and prospects of monsoon before
proceeding to the 5 pillars of our execution strategy .
As far as the Global economy is concerned, growth forecasts for 2024 have been raised in recent months by multilateral organisations and rating agencies during Q4FY24. It will however have to be seen how the troika of global indicators (US Treasury yield, Dollar Index and Brent crude), which are hovering around their six -month high levels and the geopolitical tensions in the middle east evolve during the course of the year .
The country's GDP growth rate for FY25 is projected to remain strong at 6.8% aided by continued strength in domestic demand. Production indicators especially in non -agricultural sectors posted strong growth during Q4FY24, led by strongest manufacturing output in nearly three & a half years. However, pockets of concern remain around the 'unevenness' in consumption recovery during Q4FY24. As far as the premium consumption demand in the economy is concerned, it continued to remain strong in Q4, but demand for goods & services of mass consumption remained subdued. On the inflation front , retail inflation dropped from 6.42% (avg) in Q2 to 5.01% (avg) in Q4 on the back of a significant drop in core inflation aided by a tighter monetary policy. However, food inflation continues to remain sticky and will have to be monitored .
On the monsoon front, IMD has predicted a high probability (61%) of above normal south -west monsoon rains in 2024 with La Nina conditions likely to develop during Aug -Sep'24. Some areas in Northwest, East & Northeast are likely to receive below normal rain fall. The timely arrival and temporal & spatial distribution of monsoon rainfall will have to be closely monitored especially given the backdrop of precarious water reserves in the southern and western regions. The ongoing weakness in rural demand is likel y to spill over into H1FY25 due to probability of uneven monsoonal rains and decline in crop output in FY24, as per ICRA. Urban consumption is projected to remain upbeat in FY25, though uneven.
To conclude, a few challenges still persist in the NBFC sector in FY25, namely - access to funding at competitive rates, tight liquidity conditions and the 'higher -for-longer' global policy rate regime and elevated competitive pressure esp ecially from other competitors in the market . We will continue to keep a close watch on the emerging

scenarios, across products and customer segments to shape our policies and chart out the future course of action accordingly .

Double Click on the 5 pillars of execution :
As I mentioned earlier, I would now like to dive deeper into what we call the '5 pillars of execution' which will help us in creating a sustainable & predictable retail franchise.
1. Customer Acquisition - As I mentioned in the last call, we have started executing on deepening the customer acquisition funnel both, horizontally which means greater geographical coverage as well as vertically which means greater counter share at dealer points. For instance, the number of new villages / zero disbursement villages activated for Rural Group Loans & MFI stood at 21,524 in Q4FY24, which is a sequential increase of 66%. Similarly, our Two -Wheeler distribution points increased to 10,711 from 9,50 1 in Q3FY24, which is a 13% increase. This granular distribution surface area increase has actually enabled us to maintain the Two-Wheeler disbursement momentum in Q4FY24 as against the peak festive quarter in Q3. We have given out details for all relevant lines of business in slide nos. 12 & 13 of the investor presentation .
2. Sharpening Credit Underwriting - Buildin

g next generation credit underwriting models has been one of the
most important focus areas for L&T Finance. The work on the next generation digital credit engine has progressed at a satisfactory pace and we expect the Beta version to be deployed in production towards the latter part of Q1FY25. This in -house proprietary risk engine would underwrite customers on a multi - dimensional axis while ingesting bureau, account aggregator and alternate trust signals at scale using ML - based ensemble scorecards b uilt after extensive analysis and overlay of historical credit performance data on all the axes. The initial back testing of credit performance data on the efficacy of the models has been extremely encouraging. We are confident that this engine would add significantly to the underwriting depth of L&T Finance and help create a deeper moat in our fulcrum businesses .
3. Futuristic Digital Architecture - We are committed to becoming one of the pre -eminent technology driven lenders in the country. Our technology efforts are divided on 4 quadrants, namely designing superior customer experience, digital process engineering, augmenting IT infrastructure and strengthening information security.
In the last quarter, we improved on our digital journeys of our Personal Loans, Home Loans and Two -Wheeler businesses. We migrated our SME business to Salesforce from a legacy platform. B RAKE App, our in -house collections application went live this quarter. We have started working on a revamped customer portal and the next generation of our Planet App, which has now crossed 9 Million downloads .
4. Brand Visibility - The objective of investment behind brand visibility augmentation is to capitalize on the already strong recall of the mother brand Larsen & Toubro and build customer mindshare for L&T Finance in our operating lines of business. We are hopeful that the incr eased brand awareness will lead to L&T Finance's products finding its way into the customer's consideration set and result in higher sales and customer retention. In the last quarter, we have invested in building visibility around high traffic customer poi nts like airports and in -flight advertising on the urban side and wall paintings and melas on the rural side.
During the quarter, we also launched our Sonic identity for better subliminal brand association and recall. Those on the call w ould recall that the holding tune you heard is our new sonic identity that we have launched recently. You will see widespread use of this sonic identity and various upcoming versions of it, both internally for the people within the organisation as well as externally for existing & prospective customers. We will be launching integrated marketing campaigns for some of our focus produc ts in the coming months and they will be visible in the market soon .
5. Capability Building – In terms of capability buildin g, we have strengthened the LTF leadership in critical functions in the last quarter and have created a strong advisory framework. We have inducted leaders with significant experience in their respective domains with a track record of successful results del ivery. To sharpen the focus of the organisation on technology and data driven business delivery with a sharper consumer recall we created and filled the positions of Chief Digital Officer, Chief AI & Data Officer and Chief Marketing Officer, with senior ve terans. In order to strengthen the advisory framework in critical areas we have onboarded

seasoned industry professionals with successful track records to add fire power to our teams. Please refer to slide no. 20 of the investor presentatio

n for their detailed profiles .

Update on the Wholesale Business :
Now, I would like to give you an update on the Wholesale business and the related investments in Security Receipts with ARCs.
As many of you will recall, since the launch of Lakshya 2026 strategy in April 2022, the Board in order to pivot towards Retailisation, had in Q3FY23 decided to change the business model in Wholesale to enable an

accelerated transformation. The wholesale assets were reclassified from Amortized Cost to Fair Value Through Profit and Loss. In line with this, a fair valuation of the Wholesale assets was conducted by an independent valuer. Given a shift to accelerated sell -down of the Wholesale book, it was envisaged that certain illiquidity discounts were to be given to potential buyers during the sell -down process . To give effect to this, the Wholesale book was fair valued down by Rs. 2,687 Cr in Q3FY23.

Apropos to the above, I am pleased to share that the Company was able to sell down/ reduce the on -book Wholesale portfolio successfully from Rs.38,058 Cr at the end of Q2FY23 to Rs.5,528 Cr by the end of Q4FY24. This has resulted in a decisive reduction in Wholesale assets by Rs.32,530 Cr, thereby bringing down Wholesale as a % of portfolio from 42% in Q2FY23 to 6% by the end of Q4FY24.

Now, with the on -book Wholesale portfolio reduced to substantially low levels of ~Rs.5,500 Cr through sell -down and repayments of Rs 1,821 Cr in Q4FY24, the Fair Valuation exercise as on 31st March 2024 yielded a release of Rs.546 Cr. As an additional info rmation – we are pleased to share that that the on book Wholesale portfolio has further reduced to Rs 4,400 Cr on account of further repayments subsequent to March 31, 2024.

As of March 31, 2024 we are carrying investments worth ~ Rs 7,500 Cr in the form of Security Receipts of various Asset Reconstruction Companies (ARCs). As you are aware, these represent loans we have transferred to ARCs to expedite resolution. These pertain to exposures in Real Estate, Infrastructure, etc. Owing to improved macro - economic conditions in India and specifically in the case of Realty, increased buoyancy in the commercial & residential real estate sector, resolution pathways of various assets in our SR portfolio are now visible. We are also seized of the fact that such resolution processes carry a possible 'sequencing risk', wherein accounting markdowns of NAVs of certain security receipts may be required temporarily before reckoning higher realis ations from other project assets resulting in a net gain for LTF.

To minimise the possibility of above variations on a quarter -on-quarter basis arising out of this 'sequence risk ', the Company has created additional prudential provisions of Rs. 721 Cr comprising Rs. 546 Cr released on account of fair value changes in the Wholesale loan book and an incremental amount of Rs.175 Cr created through P&L. This additional provision of Rs . 721 Cr would take the overall PCR on the Net EAD value of SR portfolio sold to ARCs to ~55% post this exercise. The provisions created during the quarter of Rs . 721 Cr constitute approximately 10% of the Net carrying value (fair value) of the SR portfolio investment in the books of account as of March 31, 2024 of ~ Rs. 7,500 Cr before taking this provision. We are confident that LTF, over the next few years would eventually collect a surplus over and above the net SR carrying value in the books today.

With the Wholesale book coming down to a negligible level of 6%, the management would now continue its focus on growing the retail book as well as engage with ARCs for expeditious resolution of the SR book. Thus, we are confident of replicating the success of reduction in our Wholesale book to our SR portfolio without any further markdowns, in fact, our team is hopeful of achieving a surplus in this regard .

ESG@LTF

Finally, I would like to talk about ESG at L&T Finance. T

he Company has worked extensively in this area over the last few years. During FY24, our ESG rating saw an improvement from 'BBB' to 'A' from MSCI and moved from

the previously B management category to A - leadership category with CDP. We hope to continuously improve our performance in this domain as a responsible corporate citizen .

Now, I handover to Mr. Sachinn Joshi who will take you through the financial updates for the quarter .

Sachinn Joshi:

Financial Updates :

Thank You, Sudipta. As always, let me walk you through the financial performance of the company for the quarter & year gone by .

Quarterly Performance:

- Consol NIMs + Fees remain ed strong at 11.25% owing to change in portfolio mix to Retail and WAC remaining stable on a sequential basis on account of astute liability management
- Highest ever quarterly retail disbursements of Rs. 15,044 Cr, up 33% YoY, achieved in a non -festive quarter
- Retail book crossed Rs. 80,000 Cr milestone (Rs. 80,037 Cr), up 31% YoY buoyed by the increased demand from both the Rural and Urban segment s alike
- Consol PAT at Rs. 554 Cr (up 11% YoY)
- Consol RoA at 2.19% (up 29 bps YoY)
- Consol RoE at 9.53% (up 16 bps YoY)

Annual Performance:

- Consol PAT at Rs. 2,320 Cr (up 43% YoY)
- Consol NIMs + Fees remain ed strong at 10.67%
- Highest ever annual retail disbursements, Rs. 54,267 Cr, up 29% YoY

• Consol RoA at 2.32% (up 79 bps YoY)
• Consol RoE at 10.35% (up 256 bps YoY)

Retail Businesses :

Rural Business Finance
The business registered highest ever quarterly disbursements of Rs. 5,768 Cr (up 31% YoY) along with highest ever annual disbursements, which stood at ~Rs. 21, 500 Cr (up 27% YoY). The book size crossed Rs. 24,000 Cr milestone in this quarter . We also achieved the highest ever monthly disbursement of Rs. 2,124 Cr in Mar'24, with 33% business volumes coming from LTF exclusive customers. The growth in this business was aided by a strong focus on strengthening customer retention coupled with a renewed focus on new customer acquisition .

Farmer Finance
In Farmer Finance, disbursements stood at Rs. 1,530 Cr in Q4FY24. This led to the book size reaching Rs. 13,892 Cr, reflecting a growth rate of 8% YoY, A strong business momentum was maintained in this segment during the year despite a de -growth witnessed in the industry .

Urban Finance
The segment, which comprises of T wo-Wheeler , Personal Loan and Home loans / LAP businesses, saw a 32% YoY jump in overall quarterly disbursements and a 22% YoY jump in overall annual disbursements. As a result, the overall booksize increased from Rs. 27,841 Cr in Q4FY23 to Rs. 36,089 Cr in Q4FY24, translating into a 30% YoY growth.

Let me now take you through individual businesses:

• Two Wheelers: The T wo Wheelers business registered disbursements of Rs. 2,502 Cr in the quarter, which is almost equal to the disbursements made in a festive quarter (Q3FY24 disbursement at Rs. 2,540 Cr). The disbursements were up 45% from Rs. 1,727 Cr in the same quarter last year. Th e growth for the segment was additionally driven by geographic penetration, maintaining a strong focus on customer value proposition and building preferred dealer / OEM relationships to grow market share. The book size crossed Rs. 11,000 Cr milestone (Rs. 11,205 Cr), up 25% YoY. Additionally, focus remains on continuously increasing the Prim

e
& EV segment owing to deepening & new tie ups with leading industry players

• Personal Loan: This business witnessed disbursements worth Rs. 968 Cr, (Rs. 1,322 Cr in Q4FY23) and the book size stood at Rs. 6,440 Cr, an increase of 18% YoY. Growth was calibrated in this business driven by a well thought out strategy of revamping policies and risk g uardrails

• Retail Housing: Moving on to Housing, it achieved the highest ever quarterly disbursements at Rs. 2,513 Cr, up 70% YoY (Rs. 1,998 Cr in Q3FY24). The book size crossed Rs. 18,000 Cr milestone (Rs. 18,443 Cr), an increase of 38% YoY. We also hit a monthly disbursement milestone of Rs. 1 ,000 Cr in March. Sustained business momentum in the business through strategic measures like deepening geographic presence, solid DSA and channel partnerships & increasing customer retention.

• SME Finance: Our Q4FY24 disbursements stood at Rs. 1,213 Cr. The month of March also registered the highest ever disbursement of Rs. 458 Cr. The book is inching towards Rs. 4,000 Cr milestone quickly (Rs. 3,905 Cr as of Mar'24). Strong growth in business volumes aided by geo -expansion, deepening channel partnerships and focus on providing superior value to our customers.
Let me now hand over the call back to Sudipta to make his closing statements

Sudipta Roy:
Thank You, Sachinn . In conclusion, I would like to say that we are optimistic about the potential that the company holds. We are making ourselves future ready by continuously upgrading our capabilities across all domains. Our core business franchise stands in best shape, which is evidenced by the numbers posted by us, along with the highest ever PAT on a full year basis . We've already started Q1FY25 on a great note and I am confident that in FY25, our robust performance trajectory will continue .

Thank you all for your patient hearing. And we now open the floor for questions .

Moderator :
The first question is from the line of Digant Haria from GreenEdge Wealth. Please go ahead .

Digant Haria :
Team, congratulations for the good performance and good to see the top -level team getting beefed up in different areas. So , my questions are twofold. One is, that this exercise of reevaluating the SR and the provisions that we took on it, like will this keep on happening once a year or once a quarter, what will be the frequency of this exercise?

Sudipta Roy :
So as of now, we have done it this quarter. And so, as I said, because of the increased buoyancy in the Real Estate sector, resolution pathways of many of - some of - these assets in the SR portfolio is currently visible. And we'll keep on working on sort of during the year as well as the course over the next couple of years, trying to resolve those assets. Though we will sort of, obviously, reevaluate in terms of the S R portfolio, like with every passing quarter, but we believe that at the end of the resol ution period, we should get a surplus. And the provision that we have taken against this should take care of any sequence risk.
So, the reason that we have taken the provisions is to address the sequence risk that might come as we work on the resolution process. And we do believe that, that should be enough to sort of smoothen out any sort of quarterly variations in terms of NAV markd owns on the resolution process that might happen. One asset might get resolved this quarter giving a slightly lower resolution. But the next asset that might get resolved the next quarter might give a higher resolution resulting to overall surplus gain.
So, this process will continue. But what we are very, very confident about is that the provision tha

t we have taken
as of the exercise at this quarter is sufficient enough as far as the information available with us at this point in time to sort of smoothen o ut any sequence risk and protect the P&L from any variations that might arise on a quarter -on-quarter basis .

Digant Haria :
My second question is, on the credit cost, that in FY24, we ended up with roughly Rs. 2,000 Cr of credit cost on the Retail portfolio. So , you mentioned a few headwinds in terms of monsoons, which could probably be uneven, then the consumption patterns, which are uneven. And for us at L&T Finance, we are more indexed to that part of the consumption, which is slightly more impacted. So, do yo u see credit costs inching up for FY25? Like maybe we were at an average of 2.5% to 3% credit cost for the last year. Will that go up? And another reason is that micro finance had 2 great years and probably the normalization of credit cost in that business should also happen. So, any guidance here would be really appreciated .
Sudipta Roy :
Yes. So , Digant , I would urge the wider investor community to look at between slide 15 to 17. So , 2 things
1) First and foremost thing, we have said as part of our 5 -pillar strategy, our second pillar is improving - our credit administration framework. And as we have said that we are building a new generation credit engine, which probably will sharpen our credit underwriting capaci ty. So that's the first thing.
2) The second thing is that our credit costs have been -- our credit metrics have been pretty stable. And we are -- especially on the urban side, especially in the high -velocity businesses like Two-Wheelers, we're actually working on improving our credit metrics, which is balancing the portfolio with a right and optimum mix of New To Credit customers as well as prime customers.
If you see in slide 16 of our investor presentation, we have given the premium share of our Two-Wheeler originations have gone up by almost 9 percentage points this quarter from 41% to 50%. So, on one hand, we are trying to balance the portfolio acquisition to make it far sharper and cleaner and far more predictable . From a credit standpoint, we're investing in building our next -generation credit models, which will sort of bring our credit cost on a stable trajectory. And as you can see on the metrics, the index delinquency metrics or index trade performance metrics that we have given from slide 15 to 17, you can see that we are trending far lower when comparing industry metrics. For example, if you see Rural Group Loans and MFI business, if the industry metric is at about 100% delinquency on 12 month -on-book on an ever 90 plus, we are at 1/3rd the industry risk costs on that.
If you look at our Two-Wheeler business, we are at about 81% of industry sort of risk metrics. In our Farm Equipment Finance, we're about 85%. In our Loan Against Property, we're at about 50%. So, in all lines of business our credit metrics are much better than the industry. But as an organization, we are focused on bringing it far, far down by, again, as I said, building the new age credit models as well as improving the through -the-door credit quality acquisition. So, to a nswer your question or to summarize what, a little bit of a long -winded answer,

is that, we are working on keeping our credit costs on a downward trajectory . And we are hopeful that we should be able to achieve that even if some of the environmental conditions might be a little uneven during the earlier part of the year. We are hopeful that by August and September, we'll have a normal monsoon. The indications are there that we'll have a normal monsoon. As yo

u know, normal monsoons typically smoothen out credit kin ks
to a large extent, especially in the rural economy. So, we remain hope ful that normal monsoons also will aid us in improving our credit metrics going forward .

Sachinn Joshi :
Digant, I just wanted to add one more point. The credit cost, in terms of trajectory, you are referring to 2.4% that we have. I think it will be somewhere in the range of about 2.25% to 2.5%. That's the internal plan. Secondly, on the Rural Business Finance, the Micro Loans piece that you were speaking about, we had created macro prudential provisions of Rs. 975 Cr, during C ovid times. And you would see from the presentation that we are yet to use it. In fact, the total provisions, including macro p rudential , additional provisions on Stage 1, Stage 2 as well as OTR provisions totaled to about Rs. 1,200 Cr. We have ensured that we have till date not utilized a single rupee out of that. We have been very, very conservative trying to retain these buffers on the balance sheet. Our PCRs are perhaps one of the best in the industry. We have a PCR of 76% on an agg regate basis. And when it comes to Retail book, it's 79%. And so, we have been providing enough and more. And we believe that the credit cost trajec tory, as Sudipta mentioned, with focus on going more towards prime, we will be able to hold this .

Digant Haria:
Right , back from Microfinance where you're over provided to compensate for the SRs in the corporate portfolio, so that was very good to see and thanks for detail explanation. My one final last question is, Sudipta, you mentioned that competition is still very high. While, i t would be intuitively -- we would see that RBI is clamping down on one or the other institution for just growing too fast and the funding environment is tight. So, are there signs that this competition is cooling off or you really don't see anything cooling off in the near term?

Sudipta Roy:
See, competition is quite robust, I would say . So, the fact is that everyone is vying for a share of the customer pie. Obviously, on one hand, the customer pie is expanding in the country because as more and more people come into the consumption fold -- but the fact is that, yes, the competition -- there is market opportunity, but there is also competition. I think it is important for us to sort of focus on how efficient we are in garnering the share by intelligently investing in technology , processes that simplify our acquisition processes as well as making sure that our credit cost or the credit trajectory remains stable because it's very important to have a very stable and a predictable growth trajectory, both in terms of growth and maintenance trajectory in acquisition as well as maintenance of credit cost trajectory for you to keep on growing.
So yes, competition is intense, but as an organization because of our investment in our people, because of our investment in our technology, because of our granular presence across the country and the focused increase and focused execution that we are doin g in terms of, as I said, increasing the surface area of our distribution, we are hopeful that we will probably be mopping up a larger share of the available pie even in face of the competition.
But yes, to summarize, competition remains strong, but we are confident of dealing with it .

Moderator:
The next question is from the line of Mahrukh Adajania from Nuvama Wealth .

Mahrukh Adajania:
My first question -- sorry, I guess there's only one question allowed. So, the question I have is on the SR revaluation. I guess if I'm -- correct me if I'm wrong, you mentioned that you have a 55% PCR on

SRs, is that what
you mentioned?

Sachinn Joshi:

Yes, that's right. That's right.

Mahrukh Adajania:
So then, that would be around Rs. 38 billion provision, right? But the original wholesale buffer was Rs 27 billion , and the incremental you made this quarter through P&L is around Rs 2 billion – Rs 1.8 billion , so that kind of adds up to Rs 28.8 billion , right? So, you have provisions over and above that also, is it Wholesale provisions over and above that also?

Sachinn Joshi :
Yes, Mahrukh, let me take this. So, we had actually -- let me first speak about the Wholesale book. The Wholesale book now is down to Rs. 5,500 Cr as of 31st of March. And post March, again, about Rs. 1,100 Cr have gone. So, it's about ~Rs. 4,400 Cr. The provisions of Rs. 2,687 Cr were taken in Dec'22. And every quarter, we have to do this fair valuation. There is no choice under Ind AS, whether it's SR investments or whether it's a loan book, we need to do a fair valuation.

Mahrukh Adajania:
The credit rating driven fair valuation.
Sachinn Joshi:
That's right. That's right. So, we have -- we were continuously doing it. When we made th is fair valuation exercise and Rs. 2,687 Cr was the output, which came out of that valuation based on certain discounting factors because the book was very large. And how the book will behave was for anyone to guess. But last 18 months, we have seen this Rs. 38,000 Cr come down to Rs. 5,500 Cr. So, with the behavior and also the quantum of assets, which are left on the balance sheet, that was -- again, fresh valuation was done, which led to our -- and also, there were some resolutions also which happened duri ng this quarter. So , a net amount of Rs. 546 Cr. So whatever assets are already there on the books, the fair valuation has been done and whatever provision requirements were there have already been factored into that .
The balance amount of Rs. 546 Cr was what got released. One option for us was to take it to P&L. But simultaneously, as Sudipta mentioned on the call, there was an exercise, similar exercise, which was undertaken on SR just by stressing the portfolio because on a normal basis, even the i nvestments have been fair valued. As he explained on the call, it was only the sequencing risk, which was looked into just at the time of stressing the SR investment portfolio. And that gave a requirement of Rs. 721 Cr. Now Rs. 721 Cr was to be provided and there was a Rs. 546 Cr release, which came from the loan book. The difference of Rs. 175 Cr was the impact, which we took on the P&L. So that's how the Rs. 721 Cr has been accounted for.
To your question on the assets, which are on the balance sheet right now, the loan assets , they are fairly provided, and we believe that there is not going to be a single rupee requirement even if we want to liquidate those because these are standard assets, which are giving us a reasonable yield. So , unless there is interest in these assets from someone without any impact on the P&L, we would not -- we would want to continue with this asset book. I hope this clarifies.

Mahrukh Adajania:
No. I just wanted to check one thing, basically, you said that the PCR on SR, so the SR book net stands at around Rs. 70 billion, Rs. 67.8 billion is the calculation, right? You said that, it was -- yes...

Sachinn Joshi:
That's right, yes.

Mahrukh Adajania:
So, it's 50%, say, roughly, it's Rs. 35 billion, okay? Now so the PCR on the SR book is Rs. 35 billion, and that's...

Sachinn Joshi:
No, no, Mahrukh. Let me explain on the SR now. Our total SR book, which was -- the net EAD was ~Rs. 15,000 Cr when it was on my book, okay?

That Rs. 15,000 Cr, we provided Rs. 8,300 Cr in all. And this Rs. 8,300 Cr includes Rs. 721 Cr. So, Rs. 8,343 Cr to be precise on Rs. 15,000 Cr gives you a PCR of 55%.

Mahrukh Adajania:
The gross value. The gross value.

Sachinn Joshi:

Yes. That's the gross value. Rs. 6,770 Cr is net on the balance sheet now after all the provisions. So , the provision that we have made is Rs. 8,300 Cr.

Mahrukh Adajania:
Okay. And that subsumes the Rs. 2,700 Cr provision on the Wholesale book, right?

Sachinn Joshi:
See Rs. 2,700 Cr was taken on the loan book, which was on the balance sheet, okay? There were a few assets where the provisions were taken and a few of them moved to the ARC. So yes, there could be part of Rs. 2,700 Cr, which would have been absorbed by these assets as well.

Moderator:
Next question is from the line of Alok Srivastava from UBS.

Alok Srivastava:
Sudipta, I have a question on the customer acquisition number that you have given, the 6.8 lakh that we have done during the quarter. So how does it divide between rural and urban? And within urban, what is driving this acquisition? Is it coming from aggre gators or Two-Wheeler, where most of the acquisition is coming from?
Sudipta Roy:
Yes. So , in terms of customer acquisition, the fact is that we have a couple of major engines of customer acquisition. Obviously, the first major engine of customer acquisition is our Rural Group Loans and Micro Finance business. And also, in rural because the fact is that in Farm business or tractor business, the numbers are not very large. So finally, the large numbers come from our Rural Group Loans and Micro Finance business. And in urban, the main actually customer acquisition driver is our Two-Wheeler business . So, these are the 2 major , in terms of volume , customer acquisition drivers. As you know, the Personal Loan disbursement is small. So, I would

say 60 -40 division now, maybe a 55 -45 division, where 55% is coming from our rural businesses and about 45% is coming from our urban businesses. Urban, primarily driven by Two-Wheelers and rural, primarily driven by Rural Group Loans and Micro Finance. But obviously, the objective is to increase this going further. So that is why I have talked about increasing the horizontal surface area of distribution as well as vertical distribution.
So, we are continually operating on and tracking on that. You saw that we g ave out of the number of approximately 21,000 new villages activated during this quarter and our Two-Wheeler distribution points going up to greater than 10,000. So obviously, the focus is on increasing both horizontal and vertical distribution, and we intend to keep a focus on this metric as a very granular metric going forward .

Alok Srivastava:
Okay. That's fair. If I can just follow up on that one. So , on the urban side, Sudipta, maybe you don't have that many products to do that vertical expansion right now, so what is the product strategy that you guys are thinking of going forward? And do you think you can do some co -branded credit card, consumer dur able, those kind of products?
Sudipta Roy:
I'll tell you the focus of the organization right now is to sharpen what we are doing . So, we will continue this strategy for the next couple of quarters . As it is on a Two-Wheeler business, our business, if you look at our distribution momentum in our Two-Wheeler business, our distribution momentum on our Two-Wheeler business is quite good . And we increased the disbursement of our Two-Wheeler business significantly over what we did in Q2FY24. And our Q4 disbursements of two-wheelers actually has been almos t equal to our festive

quarter
disbursement. So as of now, for the next few quarters, we'll focus on sharpening our existing line of business and building scale in our existing line of business. And after that, as and when the need may be, we will probably look at new products .

Moderator:
Next question is from the line of Avinash Singh from Emkay Global.

Avinash Singh:
A couple of questions. The first one is on your Personal Loan. If you can just help us clarify some breakup between what part is your cross -selling to your own customers? And how the trend over the quarters have been with the fintech partnership? And any sort of delinquency trends in both your own cross -sell as w ell as the partnership? That's the first. And second one now, if we see your geographic expansion or rather point of presence is increased and expansion continues, in this backdrop and, likely, I me an, from the current level , growth will possibly moderate going into next year, how do you see sort of a cost -to-income ratio moving?

Sudipta Roy:
Yes. So , if I were to draw your attention to the slide 13 of our investor deck, where we have given our personal Loans to existing customer number. And you can see that in Q2FY24, we have about 47%, which have actually pushed to 60% in Q4FY24. So , to answer your question, 60% of our Personal Loans is disbursement to our own existing customers. And the remaining is from channel originated, new to origination customer, which is either through e -aggregators or we have just started our DSA distribution model as well in Personal Loans in the last quarter. And w e will obviously keep a very sharp eye on the credit quality of the portfolio that we do. And we are -- and I would like to put it on record that we, as an organization, are not into the small ticket personal loan space . We operate in the prime and near prime segments in this space. And we are very focused on the risk outcomes of this business. And also , very focused on digitization and very effective cost of delivery of this business. So as of now, we are like trending to close to about last quarter, the business has seen a slight uptick over the numbers

that we have posted in Q3FY24. But going forward, as many of our sort of fintech partnership engines come on stream, you will see a growth in numbers of disbursement of Personal Loans.
But again, I would like to put on record that our focus remains majorly on doing Personal Loans to our own customers as well as for New To Organization customers, focus more so on the salaried segments of personal loans, which we believe are of a far lower risk profile and more stabler risk profile than maybe any other segments.
So, this is the first part of your question. The second part of your question was in terms of distribution. Yes, so in terms of distribution increase, we obviously are cognizant of the fact that the -- see, we have -- again, the question is that India is a ve ry large country. And even in businesses that are of significant size like our Micro Loans business or our Two-Wheeler business, there are reasonably large swaths of the country where we are still yet to build our distribution to scale. In some states, we are number one or number two positions. In some states, we are not in those two positions. So obviously, our focus is to increase distribution in those states, in those geographical areas where we are probably a little lower down the pecking order in terms of positioning. So , our focus is on that. Our focus is to make sure that we -- in the Two-Wheeler business, at least we are present in about 85% to 90% of the distribution universe. And right now, I would reckon that we are about 75 -o

dd, so there
is some distance to go on that. So , there is some work for us yet left to do before we say that we have saturated distribution. And I'm sure that as we start increasing our distribution, some of those distribution gains in terms of customer acquisition will be visible in our portfolio.
Sachinn, on the cost to income ratio, you want to take it?

Sachinn Joshi:
So, on the cost to income rather than talking about cost to income, we have in our previous calls also spoken about the trajectory that we want to have in terms of cost to book. And we had said that if you look at the overall RoA tree, we're talking about NIM plus fee of about 11% and opex plus credit cost being restricted to 7%. You can notice that we are about that range at this point of time during Q4.
Whatever savings we have , because we are actually trying to move the credit cost down to about 2.25% to 2.5% , but this is also the time that we are making huge investments on technology, people, setting up of new businesses. We have rolled out new branches for the new businesses that we started off last year in the SME. Personal Loans is also absolutely digitized product where lot of investments have gone into IT. So, all these -- whatever savings we get on the credit cost, the intent is to actually apply t hat money towards the investment in new technologies as well as manpower. Going forward, we believe , at this point of time, the cost income ratios are in the range of 40%- 41%. As the businesses start picking up , the last 2 quarters we have seen the balance sheet growing. The Wholesale book reduction has more or less got completed. There will not be any significant reduction going forward. So, you will see the balance sheet growing. And the top line also will start growing because the reduction of Wholesale book, which was at a lower yield is now getting replaced with the Retail, which is at a much higher yield. So automatically, all these get factored into when you look at the cost to income ratio. So , moving forward, we should start at least over the next 15 to 18 months , investments would continue. So , I think the best barometer is to manage the overall opex plus credit cost within the range of 7% when it comes to cost to book .

Moderator:
Next question is from the line of Kunal Shah from Citigroup.

Kunal Shah:
So, first question is, we indicated that the focus is to sharpen the existing businesses. But when we look at Lakshya 2026, I think we are well ahead of the targets, which are laid out. So maybe how should we look at it, would we want to maybe have a revised targets getting 6 months, 1 year down the line? Or we would broadly stay with this and just improve the quality within this framework?

Sudipta Roy:
So, Kunal, my answer to that question is that we would like to broadly stay within this framework and the fact is that we would like to improve on the predictability of earnings and our predictability of AUM growth because, as you know, I have -- we have articulated the 5 -pillar strategy. We still remain in execution mode on the 5 -pillar strategy. We believe that we have a long way to go in sort of fully executing the 5 -pillar strategy. And as and when we execute the 5 -pillar strategy, the gains from that e xecution will be visible in the business, either in terms of top line growth, in terms of AUM growth or in terms of bottom line/credit cost parameters.
So, we would not like to defocus ourselves over the next couple of quarters and try to sort of sharpen every line of business and granularly focus on executing the 5 -pillar strategy. So as and when we think that we are in a state of completion of -

which will obviously take -- the path we will take - a couple of quarters going forward . We are in a state of completion at that point in time, we will probably look at whether we want to sort of reset ourselves and reorient ourselves to new targets. Until then, we remain focused on these Lakshya targets and, again, improving predictability of our metrics on a quarter -on-quarter basis .

Kunal Shah:
Sure. And marketing costs would not have much of an impact ? Maybe would there be more of a front -loading of the cost because across the board we ha ve seen wherever there is more focus on branding, marketing, there is some front -loading of the cost, and we see maybe the opex have been as in few quarters, do we expect the same or it will be more balanced?
Sudipta Roy:
See, it's not that our investments will be only in marketing, our investments are in marketing, our investments are in people, and our investments are in IT , primarily. These are 3 sort of axes of our investment. Obviously, there will be some investments in marketing. But I do not think that they are extremely high investments. I think they are reasonable investments. What we have factored in, we, for example, just finished our overall brand research for the entire organization where we have granular details as to which areas we need to invest in order to improve the recall of L&T Finance brand. And as I've said in the -- previously in the call that over the ne xt couple of months, you will see more presence of L&T Finance product focused a dvertising in the market.
So yes, there will be some investment in marketing, but I would say investments in marketing, people, technology, etc., are equally paced. And as Sachinn said, we have said that our opex plus credit cost from a -- we would try to sort of guide towards a 7% range, and that is where we will try to focus on meeting that particular number. We do believe that our investments in marketing as well as building brand recall to make L&T Financ e, a preferred choice in the mind of the customer will have to be sustained for a couple of quarters, post which we will look at sort of tempering that down and bringing it to far more normal levels

Kunal Shah:
Okay. Great. Great. And just one clarification. This entire SR valuation exercise that was more internal independent rather than anything coming in from the ARC valuation?
Sudipta Roy:
Yes, so it was more internal independent. And the fact is that while we met a lot of investors, we felt that this was an area we needed to address . And so , we did an exercise in last quarter . And basis the inputs that we got from that exercise, we have taken the action, as Sachinn explained in great detail in a previous question. So that is what we have done .

Kunal Shah:
And no risk of reassessment on Retail for sure ? And this was only on the Wholesale, which was required ? But Retail since we are strengthening the credit filters, there is no risk at any point in time there would be reassessment and provisioning build -up even for the Retail at some point in time ?

Sachinn Joshi:
Kunal, like I said, even for the ARC piece, actually, the NAV s come from the credit rating agencies . So, what we did was , we have actually taken this at a portfolio level. So Rs. 721 Cr has been taken at a portfolio level and not at the asset level because asset level already is based on the NAV. So , I can't take anything more than that. They are already fair valued. This is keeping in mind the future that if there are any kind of variation or volatility as the SR start getting resolved, this is going to ta ke care of that and, hence, it was taken at a port

folio level. And on the
Retail side, I already spoke about the kind of PCR s we are maintaining across the board as well as the macro prudential provision of Rs. 1,200 Cr. I think we are right now sufficiently and heavily provided for.

Sudipta Roy:
Yes. And Kunal, I'd like to add to that, for example, in slide -- and one of the reasons is from slide 15 to 17, we have taken extra care to sort of point out our credit metrics vis -a-vis industry. And this is given -- this has been given specifically to give comfort to our investor community saying that our portfolio metrics are very robust at this particular point in time. If you look at especially the -- our Rural Group Loans. And the fact is that this is like TransUnion CIBIL data . So, if you look at ou r Rural Group Loans and our Micro Financ e, our sort of delinquency levels on an apples -to-apples basis is 1/3rd that of industry . If you look at our Two-Wheeler Finance, we are at about 80% of industry.
So, the fact is that we are already maintaining good portfolio metrics in terms of credit performance. And the entire focus of the organization is to improve on that . So, we have told ourselves one thing that we will grow. But we will grow only after we are absolutely comfortable that the credit metrics that will come out of that growth is of a far superior quality. We will not sacrifice our credit quality in chasing growt h. So -- and the metrics that we have given out sort of should give comfort that our Retail portfolio metrics, credit metrics are quite in a good shape. And we will keep on our endeavor to maintain that.

Moderator:
Next question is from the line of Praful Kumar from Dymon Asia.

Praful Kumar:
Yes, congratulations on a great momentum that you have built. I wanted to spend just some time on two thoughts. One, in terms of technology, on the tech stack that you are building, the sustainability and what edge does it give to L&T Finance? Because everybody talks about digital. How are we different in terms of what we are building today in terms of ecosystem? And second question would be on your employee talent acquisiti on and retention because that has been one challenge that we have seen historically. If you can address these 2 questions, what changes have you brought in the last 3 -4 quarters and how it makes you a different underwriting tech stack and it gives you a le ver to grow sustainably higher than the system?
Sudipta Roy:
Yes, thank you for the question. I think it's a very relevant question. So , on the tech stack, as you see, if you look at, as I said in my call, 3 axes on which we are sort of building. First and foremost thing is that, obviously, building the front end in a way that the UI/UX, we invest on the UI/UX and then make sure that custo mers have a world - class UI/UX when they come in and the friction points or what I call the choke points are eliminated surgically. So , the entire team has -- what we have done is that over the last 6 to 9 months, we have looked at all our customer journeys and we have mapped our customer journeys. We have granularly mapped, what are the choke points, what are the points of friction where we tend to lose customers, and we are smoothening all that.
Our new Personal Loans journey has gone live and our new Home Loan journey will also go live in the next couple of weeks, especially, our Home Loan digital journey will go live in the next couple of weeks. In terms of -- and the focus is not only on Two -Wheeler, we already had an excellent journey. We are working on improving the journey.

So, as you see, all our lines of business, the focus is on ma king sure that the user experi

ence for the customer
who is coming digitally as well as the user experience for our field sales force, who is sort of bringing in that application digitally, both are improved. For example, you can see that we have launched our n ew in -house collections app, which is called the BRAKE app, which is completely built in -house, and which is of a new generation and gives our collections team a great amount of flexibility. So that is sort of talking about the acquisition engines.
In terms of sharpening credit underwriting, we have given the detail s on slide 14. But what we are trying to do is that we are trying to stitch together our next-generation integrated underwriting platform, which includes not only bureau inputs, but include s the account aggregator inputs, which is like maturing with every passing month. We ingest alternate data at scale. And by alternate data, I mean that various signals, which I call trust signals, which have been built by many payment companies who are seeing great volumes of payments data . And last but not the least, have micro geographic inputs wherein if a particular geography -- overlay geographical loss rates -- historical loss rates in a particular geographical area into the underwriting engine. So, what we have been trying to do is that while we stitch together this engine, the underpinning of this engine will be like machine learning - based score cards, which have been built basis past historical data. And frankly, the scorecards have been built and now being integrated into the system. And we are very pleased with the performance of the scorecards and the lift that it is giving basis when we back test t hat on existing data that is available.
So, we are hopeful that the beta version will come into production in sometime around the latter part of Q1FY25. And this engine will actually be an omni product engine, wherein it can be used for two-wheeler, it can be used

for personal loans. It can be used for tractors. Though the underlying scoring models might be different. That means I might have a scorecard, which is different for Personal Loans or different for our Two-Wheelers or different for Tractors because these are like different products. But the fact is that all these scorecards will go into this one engine and depending upon the product there, appropriate scorecard will be picked up. And so , the data source, for example, when we pull it will be the same. But the scoring models might be different for each and every line of products. So , this is a slightly complicated build and a little bit of heavy lifting that our technology as well as our credit teams are doing, but we are very satisfied with the progress so far. So , does that answer your question? Was there a second part of the question?

Sachinn Joshi:
On the employee part.

Sudipta Roy:
Yes, on the employee part as well as -- so on the employee part, obviously, financial services have seen higher attrition in all organizations over the last couple of quarters. What we have done is that especially for some parts of our front line, we have done some salary corrections and made parity corrections over -- compared to some of our competitors, whi ch has seen our attrition levels in some of our front lines come down as high as 30% in a period of 2 to 3 months.
So, in a way, we remain focused on doing that. Because also, there are various sales force welfare measures that we are keeping on doing through our HR team, which we have started doing it very, very granularly. Like, for example, in our Micro Loans business, we do something called a role appreciation program wherein when people join, we spend the first couple of days, just taking them through the ropes of what their business needs are and what the business requirements are, what they will be. An d dos and d on'ts and the best practices, which we have noticed is that helps us sort of bring down the initial sort of joining att

rition that we see.
So overall, we are -- the efforts are on and the initial results that we have seen on some of these efforts is quite encouraging. We have also, for example, in Micro Loans business started canteen facilities for our Micro Loans employees, wherein the food is provided at the Micro Loans canteens -- Micro loans' branches or meeting centers, as we call it, to most of the employees who are like coming from outer areas and probably stay in bachelor accommodations. So small initiatives like this, but overall, whe n we add together those micro initiatives, they add

up together into a whole and sort of bring down the overall attrition levels, of which the initial trends are very encouraging.

Moderator:
Next question is from the line of Viral Shah from IIFL Securities.

Viral Shah:
So basically, I had first question on your -- the profitability , essentially the NIMs going ahead. So , 2 things are playing out. So , one you mention ed that incrementally, the focus will be more on the secured products and also the prime customers within that. So one would be, say, the pressure on yields. And the second would be also on the cost of fund side. So right now , we have seen that since last few quarters, we had the benefit of running down the book and which essentially meant that we did not have to borrow heavily. Now incrementally that we are going to grow the book as well as also the benefit of reverse merger is also being now behind us, how will the cost of fund trajectory look like? And consequently, the NIM because we saw that the spreads actually compressed 10 basis points in this quarter .
Sudipta Roy:
Yes. So , I don't know, I didn't say that we'll be focusing on secured. Secured obviously is a focus for our business. But the fact is that if you see all our lines of business are doing well . And the fact is that high yield lines of our business like Micro Loans, etc., has given very good -- has shown a very good growth trajectory. We'll be also growing Personal Loans, which is of a good yield. So obviously, we would have to judiciously balance our secured origination vis -a-vis our unsecured origination, bu t we'll be mindful that we -- while during that process, we do not -- we keep a fine -- we keep a good balance and do not end up sort of disturbing the yield trajectory going forward. So, we hope that we'll be able to keep our NIMs and fees between 11% to 11.25% sort of corridor in FY25.
Obviously, the cost of funds trajectory is something that is dependent on the market condition. And given the sort of the initial expectations of easing o f the fed rate was -- is sort of less of a possibility. Now a follow -up action by RBI also looks like a less of a possibility going forward. So , we are more or less sort of , given the certainty that sort of the cost of funds regime that we are in probably will trend towards a majority part of the year, which might see to a 35 to 40 basis points increase in our cost of funds during the course of the year.
But maybe, Sachinn, you would like to add to that?

Sachinn Joshi:
Yes. I think if you have noticed this financial year, we have kept it in the same corridor, about 34 basis points is the weighted average cost increase from 7.46 to 7.80. I think there is still -- some of the banks are yet to transfer the 250 b ps repo increase, which was done by RBI because certain loans come up for renewals only after completion of 1 year. So those are the ones, which will impact. Secondly, even the capital adequacy requirements for banks have gone up for certain -- for the NBFC financing. This also may come up for -- the banks ultimately will have to pass it o

n. So , these are 2 -3 things, apart from what Sudipta mentioned in terms of what may happen in the markets. RBI has been monitoring the liquidity pretty well.
Last -- if you look at just last fortnight, we have seen that the -- there was some liquidity, which got created and the short -term funds were available. Actually, the costs came down. So , we will have to be very opportunistic. Our commercial paper exposures are today just 5%. We can, as per the ALM go up to 15%. We have started seeing balance sheet growth from last quarter and we will have the opportunity of increasing the commercial paper exposure slowly and steadily, we will not be very aggressive on tha t because we also have the benefit of financing the tractor and micro loan books, which also qualify for PSL.
So, if you look at our overall borrowing, 20% of our borrowings are actually financed with the PSL loans provided by banks and these loans come in at a cost, which is lower by at least 100 to 125 basis points. With whatever is happening on the Fed side, there has been expectation of -- there was rather an expectation of 2 to 3 rate cuts,

which is slowly and steadily dimming. But this has also led to the borrowing through ECB route coming out to be more cheaper than domestic borrowings. So , all these are opportunities, which we will take. We have already 2 sanctions from Asian Development Bank and JICA. Apart from that, there are a few other public sector banks with whom we have been in discussion.
So, ECB limit of 750 million is fully available to us. So , we would want to diversify and also take opportunity to restart our retail bond issuances, which we used to successfully do pre -Covid and smaller tickets about Rs. 250 Cr to Rs. 500 Cr every quarter on tap will ensure that we have monies, which stick to our balance sheet. So , this is broadly the strategy on the liability side.

Viral Shah:
So just to actually follow up on both those point s. So, on first of all, cost of funds. I think so basically, this means that the incremental cost of funds for you while the back book is at 7.82%, it will be closer to around 8.15% -8.2% going at -- for the full year?

Sachinn Joshi:
Yes, yes. So that is based on the current situation. Naturally, if something dramatic happens, we will have to factor in. But as we speak, this is what our expectation is .

Viral Shah:
Fair enough. And secondly, Sudipta, on your point on the yield . So, in terms of the balancing of the secured - unsecured, I get it . But incrementally, you are saying that we are going to focus more : a) more on mortgages; b) within PL also the NTB customers, more on the salaried side rather than the self -employed side, which is there already on the book. So how will we be able to expand the yields to offset this increase in cost of funds?

Sudipta Roy:
See, the fact is that we have to look at the risk -adjusted yields at the end of the day because finally, it's the risk - adjusted yield that flows into the P&L. So , it's not that we are saying that we will be focusing only on mortgages. Mortgage is one of our focused products, but the other products will also have equivalent amount of focus. And what we are saying is that, for example, in Two-Wheelers, you have seen that we have increased our prime share, but the fact is that we have not dropped our NTC share . Our NTC share still remains at about 40% of our originations, which give us the overall yield. So , what we are trying to do is that making the portfolio balance in such a way that the portfolio risk metrics become more predictable, and there is a paring of collections cost as well as the paring of entire credit c

ost as well.
So though especially on the prime segment, the yield might drop by a couple of basis points when we actually administer in the field. But the attendant efficiencies that you can get in collections cost or the attendant efficiencies that you get in terms of the actual credit cost because -- which obviously brings -- the sort of the risk - adjusted yield overall at an even kill or probably improve or ends up improving the risk adjusted yields and makes the portfolio far, far more stable.
So, we are quite confident that whatever the current sort of NIMs + Fee trajectory that we have guided for, which is between 11% to 11.25%, we will be able to reasonably track well within that, even though we might sort of

marginally sort of tweak the composi tion through the segment acquisition as part of our strategy.

Sachinn Joshi:
Yes, just to add Viral, right now, what you see NIM +Fee income, there is a fee component, which also gets factored in. So as the disbursements grow, your fee, the normal processing fee as well as a fee from the cross - sell also keeps increasing. And th is, FY24 has been a year where you have seen the Wholesale book slowly and steadily coming down every quarter. So next year, we -- that factor also will prevail that, yes, there will be some

pressure when we move more towards prime. But it will be full Retail portfolio that will be giving me those yields. So, some of it will get compensated through the Wholesale book coming down to levels of Rs. 4,400 Cr as we speak. And the Rs. 80,000 Cr Retail balance sheet will actually give me much better yields .

Sudipta Roy:
One additional point of information I'd like to give is that as an organization, we have received an insurance corporate agency license. So previously, we could do insurance only at the point of origination. Now we'll be able to do insurance through the li fe cycle and we are setting up an insurance team as well, so we are hopeful that, that also will give us a little more inflow of fees as well .

Viral Shah:
Right. And just one last follow -up on that point only, Sudipta. So , on the MFI piece, we are seeing that all the MFIs are talking of taking a rate cut. Do we also anticipate that because this is a clear, I would say, informal mandate from RBI .
Sudipta Roy:
I don't know about any informal mandates, so I will probably not be able to comment on that on the call. But as of now, our rates, we have been maintaining the same rate for almost close to 5 - 6 years now .

Sachinn Joshi:
More than that.

Sudipta Roy:
Actually , more than that and we plan to sort of follow the same trajectory as forward.

Viral Shah:
Okay. Okay. And what would be the interest rates in the MFI segment right now for us?
Sachinn Joshi:
24%

Sudipta Roy:
24% for us.

Moderator:
The next question is from the line of Abhijit Tibrewal from Motilal Oswal.

Abhijit Tibrewal:
Just 2 clarifications on things that you've already explained in this call. One is, I mean, in terms of SR provisions that we've taken that you have already explained in far greater detail, but just wanted to know that, I mean, from the regulator, there is no nud ge at this point in time to increase the provision cover on the SRs on the book , right?
Sachinn Joshi :
See, the NAVs, which are given by the rating agencies, okay, these are given from the ARCs. It comes through the ARCs. So , the valuations are always done basis the NAV s, which are being given. And regulators will be more than happy when we have incremental provisions on the balance sheet. In our case, it was more to do with the

fact that the loan assets having come down to such a level, we were very successful in bringing it down within a very limited time frame.
So, we also thought it was advisable now to start focusing on the SRs and relook at how do we really focus and start bringing resolution around that. RBI, actually, the inspections will keep happening on a yearly basis. So ,

there are always discussions around having macro prudential provisions, having overlays. So that's part of the usual requirement .

Abhijit Tibrewal:
Sir, my last question is, again, on -- I mean, there are 2 questions here. One is, I mean, you've talked about this new underwriting engine that you are building , we are comfortably growing in Retail at about 30%. I mean maybe 6 months -12 months out when you kind of roll out this underwriting engine, would you look to accelerate the Retail growth, is something I wanted to understand. And sir, lastly, on the dividend, I recall sometime in the first quarter earnings call of FY24, we had shared that until the time we find a better opportunity to deploy the net worth, we'll be kind of evaluating dividend payouts of up to 50%, which is permissible. So has there been some rethink on that?
Sudipta Roy:
First, I will take the first question, and then I'll ask Sachinn to take the second question. So , in terms of, we are already growing at a fast clip. 30% is quite a good pace of growth . So, our objective on building the new credit engine is to make sure that we are able to sort of pare out even those sort of questionable credit cases that may be a little non -- less-sharpened engine is not able to do.
So, because we are growing at such a fast clip at a 30% level, and as per Lakshya strategy, we have guided on a 25% growth rate, it becomes imperative for us to make sure that our credit engines are far, far more stronger than we had before. So , I don't think we are building the credit engine to make us grow faster. Probably we are already growing at quite a fast clip.
The reason we are building the credit engine is to make sure that while we are g rowing at that pace, we obviously do not have any unseen surprises like hitting us maybe a couple of quarters down the line just to make sure that everything is robust, and everything is absolutely underwritten in a pristine fashion. Such that there are no le akage situations later on. So that is our objective. Obviously, as part of this new growth engine, what happens is that what we call in our parlance, swap -in swap -out set, t hat means it helps you to swap in a set of customers you might have declined and even helps you to swap out a set of customers which you might have approved.
So, the efficiency of increasing the swap -in swap -out is also an objective of the new credit engine. And if you're able to do that, it actually improves the credit metrics by an order of magnitude. So that is the focus . So, the focus is that while we are growing at that pace, just to make sure that everything is far more tighter and far more stronger .

Sachinn Joshi:
Yes. With regard to dividend, as you are aware, last year, we had declared and paid 20% dividend. And this year, Board has already recommended 25% dividend, which will have to be approved at the AGM. And if approved, then that will be paid. Our CRAR is pretty robust, but at the same time, against the Lakshya 2026 plans of growing at 25% CAGR, you would have seen that over the last 2 years, we have been actually growing at 30% plus. So , retaining the capital on the balance sheet really is helpful as well as RBI has come up with incremental capital requirements and all that. So frankly, I think a 20% -25% dividend declaration is pretty reasonable is what the Board felt. And

hence, they have recommended 25% for this financial year

Moderator:
The next question is from the line of Shweta Daptardar from Elara Capital.

Shweta Daptardar:
Congratulations on a good quarter. Sir, you mentioned in your opening commentary about rural demand weakness spilling over and persisting, so then how do you perceive the Micro Finance business as on today? If you can throw contours in terms of ticket size, vintage of the borrower, center meetings versus industry level, that's one. And just a follow -up question on SRs. So , while you mentioned Rs. 2,600 -odd Cr of provisions on the existing book -- sorry, not on the SR, on the existing -- on-balance sheet in fra book. So , is this because of the haircut discount that we are taking or you're perceiving any underlying risk even on the on -book infra portfolio? Thank you.

Sudipta Roy:
So, I'll take the first question, and I will ask Sachinn to take the second question. So , lot of details have been given actually , in slide 15 of our investor presentation where we have given borrower vintage and our ticket size as per borrower vintage. So , with regards to unevenness in rural demand, that was -- that comment was far more to -- on the -- actually on the Farm segment, which is basically tractors. Because of the unevenness in rainfall and because of the lowered water tables all across the coun try, tractor demand has been sluggish, OEM shipments have been sluggish and the entire industry has degrown . And MFI industry currently, it's operating on a 31% -30%

growth rate. And the fact is that even if it tempers down slightly by a couple of percentage points, even -- it's a good growth rate. In fact, for us, this year has been good primarily because as I s aid, one way you can tackle uneven consumer demand also is to increase your surface area of distribution. And that is what we have been trying to do as well as increase the sort of the depth of your distribution wherein we have tried to see that many of our credit seasoned customers . We have to try to see whether we can cross -sell at a better efficiency, so we've been able to do both that. We've been able to do cross -sell at a better efficiency as well as we have been able to increase the surface area of distribution, which has actual ly helped us to sort of hold our distribution in the MFI segment. As of now, as I said in my call, Q1FY25 also, which is basically the month of April also looks to have started reasonably well. And we are hopeful that as rains come, both the Farm business, which is basically primarily the tractor business, the trajectory of that business will improve. And we are also very hopeful that the rural economy will work up from -- at current levels and lead to sort of good robust demand generation throughout the year. Obviously, the wildcard here is the monsoons. And given the current focus right now, monsoons are expected to be normal to near normal, though with a little bit of a delayed onset. So , we have to keep our fingers crossed -- Sachinn, would you like to take this?

Sachinn Joshi:
Yes, so the provisions that were taken earlier, the Rs. 2,687 Cr was on the Rs. 38,000 Cr book. And at that point of time, we had communicated that this was more of an illiquidity discount because the intent was to accelerate the sell down. And if you have to accelerate sell -down of such a large book, then naturally, the expectation of the buyers would be that they would get a discount to acquire asset or a portfolio, which is more long term in nature -- most of these Infra and Real Estate assets were in th e range of anywhere between 5 to 10 years. And if we have to sell thes

e within a limited time frame, to take care of these expectations of these investors or the buyers,
we thought it was prudent to get a valuation done wherein the asset -by-asset -- individual asset, the segment to which that asset belong , the promoter group to which that at asset belong, all these factors were taken into account before the valuer arrived at a value, at which it could be sold.
Now naturally that was only an estimate, which was done. And as we started selling them, we realized that there were some assets, which got sold at below the NAV, some assets got sold above the NAV and some assets at par. Once this exercise was undertaken , on the same lines the SR investment that we have today are again in the same space. There are various projects, which are in different stages of resolution. Some will be in NCLT, some we will be trying to resolve with the promoters. So , because of this, a s Sudipta mentioned, the issue came up of sequencing risk. So which asset will get resolved earlier and which will get resolved later is very difficult to really decide. And hence, we thought it would be good to get an assessment done basis which if there is any risk of having an impact coming to P&L, we should do this stress testing and sort of create a provision at a portfolio

level, which helps us in then focusing on the Retail side because this is a quarter -on-quarter feature. The valuations will be done as required by the regulator. So , a sort of stress testing resulted in this requirement, which has been factored in the Rs. 721 Cr provision.

Sudipta Roy:
And I'd like to add to what Sachinn said, the fact is that because of the increased buoyancy in the real estate sector, both in commercial and residential real estate, land values have gone up across the countries. A project, which was started maybe 5 years back, the residential real estate rates have gone up in that particular area. And the fact is that now we see that several resolution pathways have suddenly emerged. And we can see that pretty visible to us and our teams are working on those resolution pathways. So, we just wanted to prot ect our sort of quarter -on-quarter performance from any variations rising out of the sequence risk. And that is why as a prudential measure, we have taken this Rs. 721 Cr, just to give a p eace of mind to sort of against any of the sequencing risk rise because what we want to do as an organization is that we want to focus on growing the Retail.
As you know that our Retail engines are firing very well. You have seen that our Q4 disbursements have been better than our Q3 disbursements, which is the festive quarter, which is also a testament for the fact that the Retail engines have been tuned, fine -tuned, the Retail engines have come together as a cohesive whole. We obviously, as a management team, obviously thought that it is important that we should not get distracted from growth of our Retail engines going forward. And that is why we sort of have created this floating provision pool for the SR assets.
As an organization, we believe that at the end of the day, as and when these SR pools go towards resolution, LTF, will actually probably end up gaining a significant surplus over whatever the carrying value or the fair value of those SR ass ets are. But this resolution process will take anywhere between 4 to 5 years because they are real estate assets and they have an execution time frame. In the interim, this Rs. 721 Cr is just provided to take care o f any of the sequencing risk and help us sort of focus on Retailising L&T Finance, where we see that -- we are already at 94% Retail. Obviously, we will be mo

ving towards 100% retail. And the transformation agenda
should not be distracted at any cost. So that is our core agenda .

Moderator:
Next question is from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe:
Just one clarification. You have provisions on SR of around Rs. 720 -odd Cr, you've Retail ECL on balance sheet of around Rs. 3,500 Cr. And you have provisions in the Wholesale book of around Rs. 2,100 Cr. So -- all of this adds up to around Rs. 6,300 Cr of provisions on the balance sheet. Is my math right?

Sachinn Joshi:
You're talking of financials as of what date, Nischint?

Nischint Chawathe:
This current date . So, you've got ECL and you have Wholesale loans and you have macro prudential.

Sachinn Joshi:
So no, no, like I mentioned, the overall provisions, which have been taken we will actually -- the financials will get released shortly. But just to talk about the numbers, I'll just repeat the overall provisions that we have. On the SRs that we have taken over a period of time is Rs. 8,300 Cr. And today, the value of these SRs on the balance sheet is Rs. 6,770 Cr, which is after taking -- incorporating the Rs. 721 Cr.

Nischint Chawathe:
No, no, I understood. But the balance amount other than Rs. 720 Cr is a markdown, right? So Rs. 720 Cr is.
Sachinn Joshi:
Yes, that's right.

Nischint Chawathe:
I am just saying that if I look at the pure provision at Rs. 720 Cr, the Retail book is Rs. 3,500 Cr and the Wholesale book is Rs. 2,100 Cr.
Sachinn Joshi:
The Retail book is --

Nischint Chawathe:
That overall ECL on balance sheet in the Retail book that you put out.
Sachinn Joshi:
Okay. Rs. 3,531 Cr is what you're talking about.

Sudipta Roy:
On the book -- this is on the book .

Nischint Chawathe:
Yes. And Wholesale is Rs. 2,100 Cr, which you mentioned anyway in the call right now.
Sachinn Joshi:
So see, Rs. 2,687 Cr was taken and that was factored in the fair valuation. We can come offline and, in fact, share the numbers with you, Nischint. Because there is the whole Retail portfolio and there is Wholesale loan assets, plus there is a Wholesale investment.

Nischint Chawathe:
Got it. Just one last one. On the Retail -- sorry, on the consumer side, Personal Loan side, if you have seen some sort of sluggishness over the last 2 quarters, that largely reflects slowdown in kind of digital origination or have you slowed down the -- on the cross -sell.
Sudipta Roy:
No, no. See, our Personal Loan's origination is completely digital. We -- in fact, we have just started a little bit of DSA this quarter. So , till date, it was completely digital, what we did was that we -- because obviously, there was an entire overhang on the entire unsecured, especially on Personal Loans. What we did was that we took up our risk guardrails and also we were implementing some of our digital pathway changes. So , both things actually tempered down our Personal Loans growth. But as you've seen -- between Q3FY24 and Q4FY24, there has been a disbursement growth of approximately about Rs. 120 Cr -- Rs. 100 Cr to Rs. 120 Cr odd.
So, you will see that this portfolio will be growing at a measured clip, but probably the percentage growth rates

will be measured. It will -- we will not try to put any breakneck growth in Personal Loans. It will be measured and we will grow it measuredly. And you will see guidance from us and performance commentary from us in the next couple of quarters on this .

Nischint Chawathe:
Sure. And when you say measured, it's faster than the overall company growth or slower?

Sudipta Roy:
This will probably be -- see, it's on a very small base . So, at times, what happens is if you grow on a small base, percentage growth rates might come out lower. But still, if you look at the percentage cross -sell of PL to our existing customers, this is currently at 60%. So , in terms of the net growth rate, it might be lesser than the net growth rate of many other lines of business. But because the base is very small, sometimes percentages can come out as high. But the fact is that whatever we grow, we'll be growing it to the salaried segment. We'll be growing it on cross -sell, and we'll be growing it to absolutely safe segments .

Moderator:
Ladies and gentlemen, we will take that as the last question. I'll now hand the conference over to Mr. Sudipta Roy for closing comments .

Sudipta Roy:
Thank you. I would like to sort of thank the analyst and the investor community for having joined us on this call. As I said in my opening commentary, we, as an organization and the management team, we are quite satisfied at our performance in Q4FY24 . We believe that we have laid the foundation stones over the last year for a very sustained Retailisation journey. As you can see, we are at Retailisation of about 94%.
We remain ahead of our Lakshya plan by almost 2 years. Now we are investing, as I articulated the 5 -pillar strategy, we are granularly executing the 5 -pillar strategy while keeping a hawk's eye on risk. This quarter, obviously, also, we wanted to make sure that our investors sort of -- and we listen to our investors and make sure that we allay sort of the overhang that we had on the trajectory of our SR book. So, we have created a Rs. 721 Cr of floating provision to sort of protect us against and protect ou r quarter -to-quarter performance against variation that might come because of a sequence risk while we resolve those SRs, which I maintain that at the end of the entire SR trajectory, L&T Finance will probably make a surplus on that.
And we remain committed on executing a very strong FY25. Q 1FY25 has started on a strong note. And we -- I'm just hopeful that given the prediction of a good monsoon, FY25 will also turn out to be a very strong year for L&T Finance.
I thank you all again for joining us on the call. And as we go through the year, we'll be very happy to sort of catch up with the overall investor /analyst community on a one -on-one whenever we have an opportunity and explain probably on a face -to-face basis some parts of our strategy as well. Thank you so much, and have a good day.

Moderator:
Thank you very much. On behalf of L&T Finance Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies ,
repet itions in Q &A which would have unintentionally crept in, if an y

Call: Jul 2024

July 25, 2024
National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051. BSE Limited
Corporate Relations Department,
1st Floor, New Trading Ring,
P. J. Towers, Dalal Street,
Mumbai - 400 001.
Symbol: LTF Security Code No.: 533519
Kind Attn: Head – Listing Department / Dept of Corporate Communications
Sub: Transcript of investor(s) / analyst(s) meet – Q1FY2024-25 financial performance and strategy update
Dear Sir / Madam,
Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q1FY2024-25 financial performance and strategy update held on July 18, 2024.
The above information is also available on the website of the Company i.e., www.ltfs.com/investors .
We request you to take the aforesaid on records.
Thanking you,
Yours faithfully,
For L&T Finance Limited
(formerly known as L&T Finance Holdings Limited)
Apurva Rathod
Company Secretary and Compliance Officer
Encl: As above

L&T Finance Ltd.
Q1 FY25 Earnings Call Transcript
July 18, 202 4
Management Personnel :
Mr. Sudipta Roy (Managing Director & Chief Executive Officer)
Mr. Sachinn Joshi (Chief Financial Officer)
Mr. Raju Dodti (Chief Operating Officer)
Mr. Karthik Narayanan (Head – Strategy and Investor Relations)

Moderator:
Ladies and gentlemen, good day, and welcome to L&T Finance Limited Q 1FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signa l an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded .
We have with us today : Mr. Sudipta Roy, Managing Director and CEO; Mr. Sachinn Joshi, CFO; and Mr. Raju Dodti, COO; and other members of the senior management team .
Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the conference call. Only publicly available documents will be referred to for discussion s during interaction s in the call. While all efforts would be made to ensure that no unpublished price -sensitive information will be shared, in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the stateme nts made on today's call may be forw ard-looking in nature. A note to this effect is provided in the Q 1 results presentation sent out to all of you earlier .
I would now like to invite Mr. Sudipta Roy to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir .
Sudipta Roy :
A very good morning to all of you. I welcome you to the investor call for the first quarter of FY25 for L&T Finance. With me on the call are our CFO, Mr. Sachinn Joshi, our Chief Operating Officer, Mr. Raju Dodti, and the senior management teams of L&T Finance.
During my last interaction with you, at the end of FY24, I had informed all of you about the various investments that we are making for strengthening the company and upgrading our capabilities across domains. In this call, I will provide further details ab out the progress that we have made during the quarter. As far as our core business franchise is concerned, it stands in a satisfactory shape which is evidenced by the numbers posted by us in Q1FY25 with the highest ever quarterly PAT, and I'm hopeful that in FY25, our steady performance trajectory will continue.

Today's call is divided into two sections, taken up sequentially by m yself and our CFO, Mr. Sachinn Joshi, who will be talking

about the overall business metrics and the financial performance.
Post our opening commentary, we'll be happy to take questions on the call .
Q1FY25 Highlights
I would like to start the call by sharing with all of you that our performance during the quarter has been upto our expectations and in line with the guidance provided by us in the last few quarters. We have registered the highest ever quarterly Consol PAT of Rs. 686 Cr, a growth of 29% year on year (YoY), on the back of healthy Retail disbursement s growth of 33% YoY with Retail quarterly disbursements standing at Rs. 14,839 Cr.
Our Retail book now stands at Rs. 84,444 Cr, a growth of 31% YoY. These numbers reflect the strength of the Retail franchise that we have created over the years which has been further sharpened by our 5 pillar execution strategy and I am happy to state that the Company is now sustainably accelerating its journey towards becoming a top -class, digitally enabled and a customer focused retail financier.
We are continuously working towards providing results that are predictable and sustainable quarter on quarter and our Q1 result is another step in that direction

Lakshya 2026 Goals at Consol Level : Our performance
Having met Lakshya 2026 goals at the Retail level 2 years in advance in Q3FY24, we re -oriented ourselves for convergence at the consolidated level by FY26 and took new enhanced targets for ourselves. Our quarterly performance against the new targets are as follows :
•Our Lakshya goal was to achieve Retailisation of >95%. I am pleased to share that we have reached the 95% level this quarter
•Our Lakshya goal was to maintain Retail book growth at >25% CAGR. Against this, in Q1FY25, we achieved a growth of 31% YoY, which was coincidentally exactly the same growth registered by us in the last quarter as well
•While we have maintained the Retail GS3 & NS3 levels within the threshold levels (Retail GS3 at 2.79% and NS3 at 0.62% for Q1FY25), we are working towards converging Consol GS3 & NS3 below 3% & 1% respectively. The corresponding Consol numbers stood at 3.1 4% and 0.79% at the end of Q1FY25
•On the RoA front, we had communicated in the quarter gone by that as far as tracking RoA is concerned, we are moving from tracking Retail RoA to Consol RoA in the range of 2.8% -3.0% as per our original Lakshya 2026 targets. I am happy to share that our Consol RoA for Q1FY25 s tands at 2.68% , up 55 bps YoY, which in the last year same quarter stood at 2.13% .
In this regard, I would like to draw your attention to Page No. 5 of the Investor Presentation, wherein we have provided the journey of our RoA trajectory over the last 10 quarters in great detail, since the Lakshya goals were adopted. You will be happy to see that we have been making steady progress towards achieving our stated Lakshya 2026 goals .
I would now like to quickly run you through the key highlights of our performance in Q1FY25 .
•Highest ever quarterly Consol PAT of Rs. 686 Cr, a growth of 29% YoY
•Quarterly Retail disbursements at Rs. 14,839 Cr, a growth of 33% YoY. Our acquisition engines and execution strategy ensured that the disbursements remained almost at the same level as last quarter, wherein we had posted the highest ever quarterly retail d isbursement figures.
•Q1FY25 Retail book stood at Rs. 84,444 Cr vs. Rs. 64,274 Cr in Q1FY24, implying a growth of 31% YoY. Consol book growth has picked up pace growing at 13% YoY reaching Rs. 88,717 Cr in Q1FY25
•As shared in the last 3 quarterly updates, the 5 Pillar strategy continues to be central to our roadmap to the future. The organisation continues to granularly execute the 5 Pillar strategy, details of which are available from Slide No. 11 in the investor presentation
•Sustained focus towards improvement in credit parameters across businesses ensured Consol GS3 and NS3 reaching 3.14% and 0.79%, respectively. The Provision Coverage Ratio (PCR) currently stan

ds at
comfortable 75%, up from 71% during the same period last year
Macro -economic outlook :
Now, I would like to give you some flavour on the Macro -economic scenario and progress of monsoon before proceeding to the 5 pillars of our execution strategy.
As far as the global economy is concerned, growth forecasts for 2024 have been raised in recent months by multilateral organisations and rating agencies during Q1FY25. These upward revisions reflect higher growth prospects, especially for India.
The country’s GDP growth rate outlook for FY25 was revised by the RBI from 7% to 7.2%, with S&P Global upgrading India’s sovereign rating outlook to ‘positive’ from ‘stable’. High frequency indicators indicate a continued momentum in manufacturing and serv ices sector activities so far in Q1FY25. However, pockets of concern remain around the ongoing weakness in rural demand, which is expected to recover as per the latest monsoon progression and distribution estimates for the country coupled with an expectati on of enhanced fiscal support to aid rural consumption. Urban consumption, on the contrary, is projected to remain steady in FY25, albeit uneven.

As far as retail loan growth momentum is concerned, retail loans in the non -agri space are projected to grow healthily during the year, aided by positive macro indicators and steady appetite for home loans, two wheelers

and SME loans.
On the monsoon front, IMD has predicted a high probability (61%) of above normal south -west monsoon rains in 2024 with La Nina conditions likely to develop during Aug -Sep'24, with some areas in Northwest, East & Northeast likely to receive below normal rainfall.
While monsoon progression and distribution remained skewed in June, it has gradually progressed in July. The "active " phase of monsoon progress, which commenced in July, has already wiped out the overall 10% deficit witnessed in June.
To conclude, a few challenges still persist for the NBFC sector in FY25, namely - access to funding at competitive rates, tight liquidity conditions, the 'higher -for-longer' global policy rate regime and elevated competitive pressure especially from banks. We will continue to keep a close watch on the emerging scenarios, across products and customer segments to shape our policies and chart out the future course of action accordingly.
As mentioned earlier, I would now like to dive deeper into the '5 pillars of execution' which will help us in creating a sustainable & predictable retail franchise :
1.Customer Acquisition - As far as the first execution pillar is concerned, we are continuously working on deepening the customer acquisition funnel both, horizontally i.e. greater geographical coverage as well as vertically , which is greater counter share at dealer points. In this quarter as well, the numbers reflect the continued momentum of horizontal and vertical deepening. For instance, the number of new villages / zero disbursement villages activated for Rural Group Loans & MFI (RBF) stood at 21,832 in Q1FY25, as against 21,524 villages in the last quarter. Similarly, our Two -Wheeler distribution points increased to 11,178 from 10,711 in Q4FY24. This granular distribution surfac e area increase has enabled us to continue our growth momentum in both RBF and TW businesses, while maintaining a healthy and a risk calibrated portfolio. We have given out details for all relevant lines of business in slide nos. 12 & 13 of the investor presentation .
2.Sharpening Credit Underwriting - In the last quarter, I had mentioned that one of the most important focus areas for us is building and continuously sharpening our next gen credit underwriting models. The highlight of this quarter is the deployment of the beta version of our proprietary digital credit engine, 'Project Cyclops', the first of its kind engine in the industry which facilitates a thorough credit underwriting on a multi -dimensional axis. Th

e AI -ML powered underwriting engine facilitates an in -depth assessment of the customer's potential by ingesting bureau, account aggregator and alternate trust signals at scale using ML based ensemble scorecards built after an extensive data analysis and overlay of historical credit performance data. The same has been explained in greater detail on page no. 14 of the investor presentation .
The beta version of th is engine, which is currently operating with 14 ML scorecards has been deployed at various Two -Wheeler dealers in the country and the initial trends are encouraging. In the next phase, we intend to scale up deployment in the Two-Wheeler Finance business, further amplify the data sources and eventually implement it across all our lines of businesses starting with Personal Loans, Farmer Finance & SME Finance by the end of this financial year.
With 'Project Cyclops', we are hopeful that our underwriting capabilities will become more comprehensive and accurate, enabling us to make faster and more informed decisions at scale. I am sure that this engine will

significantly add to the underwriting depth of the Company and help create a deeper moat in our fulcrum businesses.
Additionally, you may refer to page nos. 15 and 16 of the investor presentation, wherein we have explained the strength of our credit guardrails in the Rural Business Finance business revolving around customer leverage and group indebtedness, which leads to enhanced portfolio resilience .
3.Futuristic Digital Architecture - We are committed to becoming one of the pre -eminent technology driven lenders in the country. As detailed in the last quarter, our technology efforts are divided on 4 quadrants, namely designing superior customer experience, application & process engineering , augmenting IT infrastructure and strengthening information security . In the last quarter, the BRAKE App, our in -house collections application went live. I had informed you that we had started working on a revamped customer portal and the next generatio n of our Planet App. It is heartening to share with all of you that the app, which has emerged as an important servicing tool for our customers has achieved a significant milestone of crossing 10 million downloads in Q1FY25. We also launched PLANET 2.0, wh ich is aimed at enhancing the experience of our customers. During the quarter, while we launched certain journeys like DIY Home Loan, others were revamped like Rural Business Finance sourcing app, and customized to meet user expectations, in line with our philosophy of customer centricity. We will constantly harness cutting -edge technology to simultaneously enhance the customer experience as well as improving our operational metrics .
4.Brand Visibility - In my last interaction with you, I had stated that we will augment our brand visibility to build customer mindshare for L&T Finance in our operating lines of businesses. Over the last few quarters, we have invested in building visibility around high traffi c customer points like airports and in -flight advertising on the urban side and wall paintings and melas on the rural side. As I had mentioned in the last call, our multi - lingual Sonic Identity, which was launched a few months back is no w being used both internally and externally for building greater recall and association with the brand .
During the quarter, we launched our first integrated marketing campaign for our Housing Finance business 'The Complete Home Loan', which generated sizeable leads for us and aided in overall lift in awareness of our brand. The integrated Home Décor Finance proposition is a first of its kind in the industry and addresses a whitespace in the home buying process for our customers. In the coming quarters, we will be working on

Integrated Marketing Campaigns for our other businesses, with the TW business being ne xt in line .
5.Capability Building - On the capability building front, we have further

strengthened the Risk and Compliance
culture in the organisation by creating a 3 -tier compliance structure i.e. a Central compliance, a Business compliance and a Regional compliance structure , reporting to the Chief Compliance Officer. To ensure the robustness of our compliance framework, a separate compliance testing team has been created for continuous monitoring and testing .
I am happy to announce that we have been certified as a Great Place to Work for the period May 2024 to May 2025. This certification is based on a survey and feedback from over 21,000 employees and underscores our continuous dedication to create a workplace that fosters growth, development, and well -being for all employees. At LTF, we are continuing to invest in our people and culture, thereby drivin g excellence in business and other related spheres . This recognition also highlights our dedication to fosteri ng diversity and

inclusion, promoting employee engagement, and developing talent. We are proud of this recognition and will continue to aim for excellence in all aspects of our organization .
Now, I will request our CFO, Mr. Sachinn Joshi to take you through the financial updates for the quarter .
Financial updates
Sachinn Joshi :
Thank You, Sudipta. As always, I will be walking you through the financial performance of the company for the quarter gone by .
Quarterly Performance:
•Our Net Interest Margin + Fees at 11.08% vs. 9.64%, is up 144 bps YoY owing to change in portfolio mix and Weighted Average Cost of Borrowing remaining stable
•Highest ever quarterly Consol PAT at Rs. 686 Cr was up 29% YoY
•Healthy quarterly retail disbursements of Rs. 14,839 Cr, up 33% YoY
•Retail book stands at Rs. 84,444 Cr (up 31% YoY) on the back of healthy retail disbursements during Q1FY25. Our Consol book stands at Rs. 88,717 Cr . This is the first time we have shown a double digit growth after a long period of time , this is up 13% YoY
•Consol RoA stands at 2.68% , up 55 bps YoY
•Consol RoE at 11.58% , up 186 bps YoY
Retail Businesses :
Rural Business Finance
The business registered highest ever quarterly disbursements of Rs. 5,773 Cr (up 28% YoY). The book size crossed Rs. 25,000 Cr milestone in Q1FY25 .
Farmer Finance
In Farmer Finance, disbursements stood at Rs. 1,903 Cr in Q1FY25 (up 8% YoY & 24% QoQ). This has led to our book size reaching Rs. 14,204 Cr, reflecting a growth rate of 8% YoY. With the current positive trajectory of the monsoons, we are hopeful that this business momentum will improve as compared to the previous year.
Urban Finance
This segment, which comprises of T wo-Wheelers , Personal Loan s and Home loans / LAP businesses, saw a 44% YoY jump in overall quarterly disbursements and a 32% YoY jump in the book size , which increased from Rs. 29,261 Cr in Q1FY24 to Rs. 38,653 Cr in Q1FY25 .
•Two-Wheeler Finance : The TW business registered robust disbursements of Rs. 2,621 Cr in the quarter, which is more than the disbursements made in a festive quarter (Q3FY24 disbursement at Rs. 2,540 Cr). The disbursements were up 52% YoY from Rs. 1,726 Cr in the same quarter la st year. The growth for the segment was aided by activation of new dealership points during the quarter, as well as continued focus on Prime disbursements. Additionally, LTF achieved 150% YoY growth in EV vehicles financed and received a strong reception f or its offering under the Superbike segment. The book size has crossed Rs. 12,000 Cr milestone (Rs. 12,025 Cr), up 31% YoY .

•Personal Loan s: This business witnessed disbursements worth Rs. 1,178 Cr, as against Rs. 1,162 Cr in Q1FY24 and the book size stood at Rs. 6,667 Cr, an increase of 11% YoY. Risk calibrated growth in this segment was aided by new digital processes and expansion of physical distribution through the DSA channel focusing on salaried prime customers .
•Retail Housing: The quarterly disbursements stood at Rs. 2,245 Cr (up 73% YoY). The book size

reached
closer to the Rs. 20,000 Cr milestone , an increase of 42% YoY. Sustained business momentum in th is business through collaborative launches with prime developers across top locations. Additionally, the launch of LTF's 'The Complete Home Loan' offering across 11 locations drove higher lead generation which should lead to tangible results over the next fe w quarters. The Home Décor finance package of The Complete Home Loans programme has seen a good customer acceptance and we expect increased penetration of this add - on to lead to greater customer stickiness a s well as higher portfolio yields .
•SME Finance: Our Q1FY25 disbursements stood at Rs. 978 Cr , up 61% YoY. The book size reached Rs. 4,471 Cr in Q1FY25. Strong growth in business volumes were aided by focus on building additional channels to diversify the existing sourcing funnels .

I will now hand over the call back to Sudipta to make his closing statements
Sudipta Roy:
In conclusion I would like to state that , in the quarter gone by, we are satisfied with our progress on achieving our Lakshya 2026 goals and we will continue to remain focused on granular execution of our strategy in the quarters to come. We would like to open the floor now for questions.
Moderator :
Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead .
Mahrukh Adajania :
Sir, I have a couple of questions. Congratulations, first of all. My first question is on the MFI business, that you, of course, articulated why your collections have been consistent through the years, and that's well articulated even in your presentation when we discussed with you. However, all lenders have complained about collections this quarter, in the first quarter because of elections and heatwave . Of course, there have been state -specific issues as well, but more so to do with collections and heatwa ve. Sir in these conditions, how did you incentivize your collection s team better than others to achieve better outcomes because everyone is complaining about collection efficiency in the first quarter. That's my first question on the MFI business.
And the other one is that -- I mean what is possibly competition not doing right to have issues in MFI over the last 2 quarters, which you've not seen. So , these are my 2 questions on MFI. Then I just have some -- one more follow -up question on SRs, so in security recei pts if you could give some colo ur on when you think a lot of realization will happen , by which year? How it's progressing? Any comments you can give either on the fair valuation or visibility of realization of SR s? That's the second part of m y question.

Sudipta Roy :
Thanks, Mahrukh. I'll take your first question first. I would like to state that I think collection efficiency and collections discipline is a culture . And over the many years that L&T Finance has been present in the microfinance business, the culture of disciplined collections efforts and disciplined execution and granular execution on the ground has held us in good stead. And I think it has also helped us during this period as well. And plus, also, I would like to state the fact that our prudent credit assessment and our prudent credit guardrails administration where we not only take the household income, but also, we follow association norms, also we f ollow leverage norms very judiciously also has helped us to maintain a pristine asset quality. Almost 40% of our customers are our exclusive customers , who are obviously non -leveraged. So , if I look at our collection efficiency in the last quarter, our collection efficiency is holding in the range of about 99.6% -99.7% levels backed by the robust credit guardrails that we follow. With improved prospects of monsoons and monsoons have been good, till about middle of July and the progress is satisfactory , I do believe that

it will lead to sort of improvement into healthy rural credit
demand as well as rural incomes. And we are hoping that sort of the indications o f stress that might have been visible in the first couple of months probably will dissipate on the back of a good monsoon. We expect that our portfolio quality will remain absolutely stable, and we are sort of confident of our expected growth trajectory for the rest of FY25.
Your second question was about the competition, I cannot comment on competition and the fact is that everyone follows their own practices. We are focused on making sure that whichever MFI customers that we onboard are of low risk and non -leveraged quality. And we have a very strong portfolio management practice, which actually keeps a watch on the leverage levels of the customer. And the moment we have sort of any signals of a customer getting leveraged beyond our thresholds, we stop disbursing to that custo mer. That actually discipline has helped us to maintain a sort of a very balanced portfolio and maintaining high collection efficiencies on ground.
As regards to the SR book, as I said in the last investor call that the resolution pathways are visible. Many of the projects which had been sort of lingering for a period of time , actually, construction has started. The secondary sale of the apartments in those under construction projects have started. We have the visibility of the cash flows. But as you understand, this is a long drawn out process . It is not something that you flip a switch, and you get an instant result . So, we'll continue our efforts. A nd I do hope that over a period of maybe next anywhere between about 10 to 14 quarters , that is what it will take for us to sort of come to our overall sort of granular realization of these portfolios. As we have maintained in the call previously, we are hopeful that once this process is over, it will lead to a net gain for LTF and our sort of wholesale banking teams as well as our commercial real estate teams who are monitoring these projects, they rema in engaged very granularly on the ground with the deve lopers and the promoters of these projects, and we are tracking everything in these projects very, very minutely and closely .
Moderator:
Our next question is from the line of Avinash Singh from Emkay Global .
Avinash Singh :
Two book -keeping questions. First one is on your cost of funding and interest cost link age. So, if we were to look at the numbers for the quarter, your interest cost is close to Rs. 1,350 -odd Cr. That means that annualized run rate of Rs. 5,400 -odd Cr and your average cost of borrowing you reported is 7.85% that if we do the reverse math, it suggest s more like a Rs. 70,000 Cr borrowing, but your borrowing reported is Rs. 80,000 -odd Cr. And even if you do the average, I mean the Rs. 70,000 Cr calculation. So , where I mean, what is sort of , I understand the daily balance method, but it's still that your cost of funding and interest cost and the borrowing. I mean struggling a bit to kind of link . That's one.
The second one is, within the part of credit cost that around Rs. 155 Cr losses on the account of derecognition of

assets. But if I see the disclosures in this quarter, there ha s been just 1 loan -- standard loan that you have sold, that is worth Rs. 200-odd Cr. So, from where this Rs. 155 Cr, if I understand correctly typically, where loans you

are selling to ARC and all typically will recognize it will go out of your loan book and s it in investment book, and that recognizes Rs. 155 Cr. So, from where this is coming if you can help. These are the 2 questions ?

Sachinn Joshi:

Okay. Thank you, Avinash. The first question, let me take on the cost of borrowings. The closing book, of course, total borrowings are at Rs. 80,295 Cr. But the actual average borrowing because the book has been growing over a period of time , the average borrowing for the quarter are

just Rs. 69,100 Cr. And this, if you look at , compared
to the previous year, Q1FY24, the average borrowings were just about Rs. 70,559 Cr on a much lower book. The reason for that was in the last year, we had not completed the merger process, and we were running 3 different balance sheets, which meant that the liquidity was to be maintained across all the 3 balance sheets as per the LCR norms. So , the actual average borrowings being much lower. The overall growth, if you see, it is actually minus 2% growth on a YoY basis. And even over the quarter, it's just about 1%. And if you apply a weighted average cost of 7.85%, you will get the results .

Avinash Singh :

Yes, that's clear. I mean this Rs. 11,000 Cr kind of a gap between what we have seen in balance sheet and what is the daily average balance that -- I mean was understood . That was my question, it s answer ed, I mean, but yes Rs. 10,000 Cr – Rs. 11,000 Cr difference on a kind of Rs. 80,000 Cr, it was pretty big. The second question on that loss on derecognition .

Sachinn Joshi :

Avinash, can you repeat the second question? We couldn't really hear .

Avinash Singh :

Yes. So , I mean, you have kind of a different parts of your credit cost. So , if I go with your -- yes, Ind AS filing, there is a Rs. 155 Cr reported loss on derecognition of loan at amortized cost. Generally, I would understand this would be typically when you are selling loans and getting SRs and all kind of a thing for that. But in this quarter, in the same filing, if I see, there is just 1 loan that you have sold, that also a standard loan for 200 -- I mean that loan was Rs. 200 Cr. So, where this Rs. 155 Cr line item is coming from? What have you derecognized from loan book and investment look .

Sachinn Joshi :

So, there are different components, which form part of the overall credit cost. One is the mark -to-market, which is there on account of fair value changes. Second part is the ECL provisions that we make. And third part is the foreclosure losses that we have, which get incurred when we actually do the repos session and foreclos ure and whatever proceeds come that also come as part of the credit cost and the ultimate gap between the actual value on the books and what we recover comes in as a hit to the P&L. So, these are broadly the 3 components that come .

Moderator:

The next question is from the line of Nischint Chawathe from Kotak Institutional Equities .

Nischint Chawathe :

Just two questions. One is if you could share some colo urs on the top state exposures in microfinance. And the second one is slightly more qualitative. Some of the banks and NBFCs are raising some concerns in the personal loan business with higher delinquencies , increasing customer leverage. I know we are going live on the new model. We are starting to do business with DSAs now, but are we kind of tightening the stream? And what is it that we are watching for ?

Sudipta Roy:

So, Nischint, I will take your first question. Our top states are Tamil Nadu, Karnataka, Bihar. These are mainly our 3 top states. And the fact is that our asset quality in all these states remain stable. And what we have been trying to do over the last couple of quarters is sort of bring down the overdependence on a couple of states and try to expand into the new sort of geographies or terri tories, which are lesser penetrated and have less MFI penetration and correspondingly less leverage. So that is what's been our strategy. So that's the first question.

The second question is on personal loans. Yes, on personal loans, as I said, we are focused on prime and near prime personal loans, especially on the salaried segment. And our personal loans, if you see our -- the new acquisition engine, the new credit eng ine. The new credit engine is not live on personal loans yet. It will become live on personal loans towards the latter part of the year. But the fact is that overall, on a cr

edit policy perspective,
we have tightened most of the guardrails. As you can see, our Personal Loans year -on-year sort of growth is only 1% odd. And so that is why on Personal Loans, we have been very, very cautious and judicious and the underwriting standards, especially for Personal Loans have been increased. Though previously, we used to underwrite Personal Loans completely on a sort of a machine algorithm basis. Now we have introduced manual underwriting on Personal Loans above particular ticket sizes, where post the machine BRE goes through and human being also looks at most of the loans and looks at most of the parameters. So , we're very guarded in scaling up this particular portfolio. And whatever we do -- we can assure you that it will be on a risk -calibrated basis and primarily to the salaried segment .

Nischint Chawathe :
Perfect. Just one small question, what would be the average yield on loans in home loans ?
Sudipta Roy:
Average yield -- would be about -- we do not give out the exact numbers, they will be in the range of about -- close to about 9% .
Nischint Chawathe :
This is practically the prime segment, prime or near prime .
Sudipta Roy:
Yes. Yes .
Nischint Chawathe :
Perfect. Those are my questions and all the best .
Moderator:
The next question is from the line of Chintan Shah from ICICI Securities .
Chintan Shah :
Congratulations sir, on strong set of numbers. Sir, my question is on the Two-Wheeler business. So , on the Two-wheeler , the sector seems to be growing – the two-wheeler sales seem to be growing around in single digits, whereas our growth is around more than 25% odd. So how do we expect the growth to sustain in the Two-Wheeler segment?
That is first and similarly, sir, on the microfinance given that there have been some news on a collection efficiency and probably heatwave. And so because of that, are we also planning to somewhat slow down our growth in the microfinance? Or so basically, what would be the growth vectors that will help us to grow more than 25% ?

Sudipta Roy:
Yes. So , I'll take the Two-Wheeler question first. Obviously, on two-wheelers, India sells anywhere between 1.2 million to 1.4 million two -wheelers per month. And I think our focus on two -wheeler has been to make sure that we are present in the prime and the near prime segments and primarily sort of wean ourselves away f rom the sort of the below prime segments. Though new -to-credit continue to be a significant proportion of our through -the-door acquisitions as well, wherein our new credit engine Cyclops wil l come useful.
As I said in my call, our focus is on what I call deepening the surface area or increasing the surface area of distribution, we are currently at about 75% penetration of the overall dealer universe. We want to take it to about 85% of the dealer universe, and our teams are focused on sort of on boarding more dealers.
We are also working on building our loyalty program for our Two-Wheeler dealers, which obviously has constructs built-in wherein we get a preferen tial share from the dealer , in whichever dealers that we agree to onboard on us.
Plus, last but not the least, the new credit engine, which we have deployed on a beta test pilot basis. Also, you have to understand that a large proportion of the two -wheeler approvals are done in the dealerships, sometimes the customer does not end up taking the loan from us . So, which we call approved but not disbursed. One of our focus areas is to reduce the approved but not disburse d -- and then by giving the right ticket size to the right customer, and we are hopeful that our new credit engine will also help us do that.
While calibrating for risk, it will also throw up the right ticket size, which is sort of due to that particular customer rather than through the door sort of a simple business rule and engine type of approach. We have invested in our Two-Wheeler distribution

teams as well. Our Two-Wheeler distribution team has grown. We have set up a
separate EV channel. We have separate -- put up a separate prime bikes channel as well as the superbike channel as well.
You have to keep in mind that Two-Wheeler AUM expansion is not only a function of the number of two -wheelers that we finance, but also the average price of the two -wheelers that we finance. And if you see from the slide that we have put up in the investor deck, our average ticket size of the two -wheeler s financed by us has been going up. So , if you look at that particular two -wheeler slide, the average ticket size has been going up, which obviously shows the focus that we have on the prime segment as well a s the average financing amount of more higher -end two-wheelers have increased.
Yes. So , it's in slide 18, where you can see that from June'23, where we had about Rs. 85,000 average ticket size, we are currently at Rs. 98,000 average ticket size. So , it is on two -pronged approach, first and foremost thing increasing distribution, increasing quality, and making sure that we are -- reduce our rejections or reduce our sort of leakages by approved but not disbursed and last but not least, pushing the tick et sizes of the vehicles.
On the back of a good monsoon that we are seeing this year, I think overall, the two -wheeler demand might increase as we move towards the festive period. We remain hopeful. And if it really does and the two -wheeler demand spurts on the back of a good monso on, I think we will be sort of sufficiently well capacitized by that time to take a large amount of that share as and when that happens. So that's the first question. What was the second question ?
Sachinn Joshi :
On Micro Loans
Sudipta Roy :
Yes. So , growth expectation . Micro Loans , we are very clear that we will do risk -calibrated growth. Our vintage markets are Bihar, Tamil Nadu, Karnataka, and Kerala. Th ese market s, obviously, we are focusing on, as I said, new villages as well as zero disbursement villages is where we are sort of granularly tracking.
We are also moving into new markets. We are moving into Telangana, we are moving into Maharashtra, Western

UP and probably later on in a couple of other new geographies as well. So , our growth will come in the Micro
Page 12 of 16
Loans segment from expansion into hitherto uncovered villages in our existing territories as well as completely virgin villages in the new territories.

So, we are probably -- during the course of the year, we will set up anywhere between 250 to 300 new Micro Loans branches. And as you know, each and every Micro Loans branch in about 6 to 8 months of operations , starts generating about Rs. 1 Cr worth of top line. So , we are also confident that a mix of focus on new geographies as well as setting up new branches as well as deepening up our distribution channels will help us sustain the growth in our Micro Loans business.

As regards to the asset quality in our Micro Loans business , as I stated earlier in the previous question, it remains stable. Our collections discipline and our discipline of -- on due date collections remain strong. And as of now, I can say that our asset quality sort of metrics that we see right now on ground are quite satisfactory .

Moderator:

The next question is from the line of Kunal Shah from Citi .

Kunal Shah:

Congratulations. So , a couple of questions. Firstly, in terms of just taking forward the growth question, if we look at YoY against, like, say, Rs. 6,000 Cr net addition to M icro Loans , there has been Rs. 6,000 Cr addition to Home Loan plus LAP as well. So , when we look at the mix between the secured and unsecured on incremental basis, do we see now the secured proportion would be relatively on the higher side, given the various marketing campaigns also which are being done on the Home Loan, LAP and all ?

Sudipta Roy:

So, Kunal, the answer to that is that we obv

iously are trying to calibrate our secured to unsecured sort of separation of our AUMs. And yes, the focus has been on Home Loans and Loan Against Property in the last maybe 4 or 5 months, thanks to our 'Complete Home Loan' launch and which is doing reasonably well in the market.

But however, you would notice also that our Personal Loans business has been recalibrated, and we have been sort of making sure that the guardrails in this business are made far, far more stronger and focus on salaried customers as well. So , I do believe that overall, for the next couple of quarters in terms of growth prospects, our Rural Business Finance business will continue to grow. We will see risk calibrated growth in our Personal Loans business as well as we will see growth in our secured businesses, which is factor ed on the back of good monsoons, Home Loan and Loan Against Property, the market demand remains robust as well as in terms of Two-Wheelers.

We have started also Rural Micro LAP, we have started, we have piloted Micro LAP, and we have -- the pilot has been reasonably successful in Tamil Nadu. We have close to 30 branches in Tamil Nadu, and we're scaling up in Maharashtra, Gujarat, Karnataka, Telangana, the Micro LAP business also we are scaling up. It will be very hard for me to put a sort of complete sort of a percentage separation between secured and unsecured. But what I'd like to believe is that given that we expect reasonable -- to continue reasonable business growth momentum of all our lines of business, both secured and unsecured. I think the current separation that we have between secured and unsecured, I think that trajectory will continue for the next couple of quarters .

Kunal Shah:

Okay. Okay. And secondly, with respect to yields. So , if we look at it in terms of what would be the difference between the incremental and the book yields, okay, because we would still be having a larger part on the fixed rate side? So given that margins have expanded almost like 17 -odd bps, just want to ge t some sense of that .

Sudipta Roy:

It will be about 10% to 11%

Sachinn Joshi :

Page 13 of 16

Yes. About 11.5%.

Sudipta Roy:

11.5% to 12%. Wholesale would be about 11.5% to 12%. And overall, retail would be, I would say, ballpark which is average basically is 15% -- 16%-odd.

Kunal Shah:

About 16% ?

Sudipta Roy:

Yes.

Kunal Shah:

So, this would be book yield ?

Sudipta Roy:

Yes, that's right. Yes .

Kunal Shah :

And incremental on retail side .

Sachinn Joshi :

See, directionally, Kunal, we don't see -- the earlier question actually will answer depending on how the secured, unsecured piece stands out. Usually, what we try to do is that we first have a secured , especially the H ome Loan/LAP that is part of our strategy , that the Home Loan piece is one which is first grown on the balance sheet and around it then we are able to do the unsecured piece, grow the of unsecured piece, which is the Rural Business Loans, Rural Micro LAP . SME and P ersonal Loans are the two, again, growth businesses for us. So, these will not grow unless we have a strong secured asset base on the balance sheet. So , it's going to be a mix. Directionally, we feel that the yields will continue to be in this range at least for next 3 to 4 quarters. We really don't see that we will continuously keep increasing either the Home Loan book or aggressively growing the Rural Business Loans. So, it will be calibrated, and we will ensure that the mix is maintained at a level where overall NIM plus fee do not get impacted .

Sudipta Roy:

Yes. So , in addition to what Sachinn said, I would like to also add is that, for example, in our Home Loan business, our home decor finance product has actually seen a good amount of traction in the 2 months that we have operated. And it is at about an 11% yield, introductory 11% yield. And that when it adds to the entire sort of Home Loan portfolio, it obviously brings the o

verall yield of the home -allied AUMs a couple of basis points higher.

So -- we obviously will be working on strategies to improve our yields. We are looking at sort of seeing whether we can take our Two-Wheeler yields a notch up, especially in some markets. So , it's a continuous process. But as Sachinn said, it will be more or less on this ballpark area .

Moderator:

The next question is from the line of Abhishek Murarka from HSBC .

Abhishek Murarka :

Congratulations for the quarter. So , a couple of questions. One on MFI again. So recently, M FIN has come out with some refreshed guardrails, in terms of number of lenders per customer, Rs. 2 lakh s is the maximum MFI to

a customer. Does this create any kind of slowdown for you in MFI? And you see a portfolio which is breaching these currently, and you have to run it down something of that sort? Or incremental customers are breaching this, so that creates a constraint. So , are you seeing any kind of slowdown because of this? The second question is sort of on Two-Wheelers. So , when you say, what is the yield on prime, near prime versus the book yield on two wheelers. So yes, these 2 questions .

Sudipta Roy:

Yes. So , the first question, I would like to point out that , to start off , the new M FIN guardrails, which have been rolled out does not impact us in any way. Because anyway, we are following those guardrails. In fact, some of our guardrails are more stringent than that .

For example, we do not disburse to customers on JLG loans who are at any point not at zero DPD . We onboard if only the customer is a zero DPD JLG customer. That's the first thing. We continued the association norms even after it was regulator ily not required. We said a maximum of 3 lenders, which are allowed, including LTF . So, we continued that no rm. We continued the JLG indebtedness norms , where we -- in any way, our guardrail was about Rs. 2 lakhs . So, plus also what we do is that we have 800 strong risk control unit team as well as a separate verification, which we call the branch process team.

So whenever -- though if our field level guy also goes and source s a customer and whether the customer gets a preliminary approval, there's a backup process also to continuously check, whether the customer -- independent backup process to check whether what the customer has said it is correct or not .

So, before a customer goes through for disbursement, multiple levels of checks. So , in fact, we were party to the MFIN discussions as well when these guardrails were set up. And we were happy to note that th ese guardrails though it will be overall beneficial for the industry and sort of protect the industry from any accidents going forward , for us, it will be business as usual. It doesn't impact any -- these sort of guardrails are already embedded in our business for the last many, many years. So , it's not of a concern for us as well.

With regards to your Two-Wheeler question, our prime IRRs are around 15% range and our non -prime IRRs about 19% range. Our overall mix comes in at about 17.5%. But I would also like to state the fact that our prime portfolio, of which we have considerable right now at about 52% , have decent yields because the collection costs are much lower, the loss rates -- the projected loss rates are much, much lower. So , in terms of R oA basis, the prime portfolio, Two-Wheeler portfolio R oAs are sort of traversing on a satisfactory trajectory .

Moderator:

Our next question is from the line of Hardik Shah from Goldman Sachs .

Hardik Shah :

I have a couple of questions. First is on the MFI. Am I audible, sir ?

Sudipta Roy :

Yes, you're audible .

Hardik Shah :

Yes. First is on the MFI, you mentioned that your top states are Tamil Nadu, Karnataka, and Bihar. And Bureau data is also suggesting that there is very high retail overlap for the MFI customers in Tamil Nadu and Karnataka particularly. So , can you share

some of the data points for your customers if you have done any study of what is the retail overlap for the MFI borrowers ?

Sudipta Roy:

So, we have done a significant amount of sort of bureau wash on retail overlap. And I can say that in majority of our markets, close to 60% of our customers have negligible retail overlap . So, the fact is that the retail leverage,

and this is something that which even we have been doing for a long time, even when there was sort of -- it was not even in the limelight, so we have been doing it. So , does that answer that question .
Hardik Shah :
So, this is retail overlap you're talking about with your own portfolio as well as from the industry. So , are you suggesting that
Sudipta Roy :
Yes, absolutely
Hardik Shah :
Okay. And second, on the center meeting discipline, are you tracking kind of attendance? How does that look like, given that we've had feedback from other competitors that the discipline is not the way it used to be before pre - COVID? Anything to share there, sir ?
Sudipta Roy :
Our discipline levels are completely sort of rigorously adhered to. People report for collections. The first 12 days of the month are dedicated to collections and the next is for sourcing mostly. People report at work at 6:30 a.m. in the morning. It is rig orously and digitally tracked . So, I do not know about -- I cannot comment about industry, etc. And our on due date collection remains at 96%.
Hardik Shah :
Any number around center attendance, you want to share, sir ?
Sudipta Roy :
Discipline is persistent.
Hardik Shah :
Any number around center attendance that you would like to share, sir, if you're tracking that ?
Sudipta Roy :
We track center attendance numbers, but I wouldn't like to go specifically into center attendance numbers on the call. I would like to state that discipline. And discipline is a mix of the control that the business managers have on their business, as well as the overall HR discipline of the organization. Our people are extremely disciplined. And whenever -- and frankly, I haven't received any sort of adverse feedback on any lack of discipline or lack of attendance -- lack of attendance in any part of our ec osystem. In fact, what we did was that we hiked the salaries of our R ural Business Finance employees. And we did a salary correction in the month of February . And post that, our attrition levels have significantly dipped in this line of business, which shows that our employees are not only well taken care of, but they are motivated, and they are performing well to their expectations.
Hardik Shah :
Understood. Sir, and last question on the cost -to-income ratio and the provisioning that you have. How are you viewing cost -to-income ratio going forward from the current levels? And how comfortable are you with the provisioning that you're having right now ?
Sudipta Roy :
Cost-to-income ratio for this quarter is about 40% odd and if you look at sequentially, we have gone down from about Rs. 980 Cr to Rs. 966 Cr. And that too on a quarter where we have invested significantly in marketing and above the line marketing. And obviously, our focus is on making sure that our cost trajectory remains stable while we do not shy away from investing in the right areas that we need to invest in. We have told that overall, as a

block, our credit cost plus opex will be at about 7%. And we remain committed to the trajectory, though for this quarter, I think that number is close to 6.8% . So -- we are running several cost control initiatives right now in the organization, on the technology side, on the collection side, on the overall sort of employee cost side, the travel side, etc, and we are trying to see wherever we can get efficiencies, we are trying to get efficiencies on the cost side. So those efforts will continue.
However, I would like to reiterate that our investments in technology as well as our

investments in brand building
will continue for the next couple of quarters . In terms of provision coverage ratio, I think we are comfortable. We are at about 75% right now. And we think that is quite comfortable for the next -- the go -forward trajectory.
Moderator:
Ladies and gentlemen, we w ould take that as the last question for today. I would now like to hand the conference over to Mr. Sudipta Roy for closing comments .
Sudipta Roy:
Thank you, everyone, for joining our call. We remain optimistic about the future. As part of the 5 -pillar execution, granular execution strategy towards our Lakshya 2026 goals are truly in motion right now. The entire organization is focused on making sure that we deliver on all the 5 pillars of execution to the best extent possible.
We are hopeful that the environmental trends that we have been seeing, especially with regards to rainfall or monsoons continue its positive trajectory that we have seen so far because it is very important for our lines of business. We also remain mindful about the credit cost scenario of the entire industry and how that is projecting, and we continue to monitor them and also continue to continuously invest in making sure that our credit guardrails and our credit administration guardrails become stronger wi th every passing quarter.
We are very focused on compliance and control. And as I have said in my -- during my opening comments that we have created a separate deeper compliance organization, including central compliance, business compliance as well as regional compliance. We are now putting compliance people within every business es as well as who

will work on the business compliance part that whether the business is compliant with every rule that is applicable to that business as well as regional compliance, wherein we are putting people in -- regional compliance people in the 4 regions. So that on ground granular compliance monitoring also happens.

We are very hopeful that on the back of a good monsoon and on the back of a good festive quarter, FY25, the continued growth trajectory will remain. And we, as an organization, remain committed to our investors as well as our promoters to deliver the retur n that is expected of us. Thank you for attending the call, and we'll be happy to meet many of you on a one -on-one basis as we go through the rest of the quarters of this year .

Moderator:

Thank you. On behalf of L&T Finance L td, that concludes this conference. Thank you all for joining us. You may now disconnect your lines .

*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies ,

repet itions in Q &A which would have unintentionally crept in, if an y

Call: Oct 2024

October 28, 202 4

National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051. BSE Limited
Corporate Relations Department,
1st Floor, New Trading Ring,
P. J. Towers, Dalal Street,
Mumbai - 400 001.

Symbol: LTF Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of i nvestor(s) / a nalyst(s) meet – Q2FY2024-25 financial performance and strategy update
Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the i nvestor(s) / analyst(s) meet for Q 2FY2024-25 financial performance and strategy update held on October 21, 202 4.

The above information is also available on the website of the Company i.e., www.ltfs.com/investors .

We request you to take the aforesaid on records.
Thanking you,
Yours faithfully,
For L&T Finance Limited
(formerly known as L&T Finance Holdings Limited)

Apurva Rathod
Company Secretary and Compliance Officer

Encl: As above

L&T Finance Ltd.
Q2 FY25 Earnings Call Transcript
October 21, 202 4

Management Personnel :
Mr. Sudipta Roy (Managing Director & Chief Executive Officer)
Mr. Sachinn Joshi (Chief Financial Officer)
Mr. Raju Dodti (Chief Operating Officer)
Mr. Karthik Narayanan (Head – Strategy and Investor Relations)

Moderator:
Ladies and gentlemen, good day, and welcome to L&T Finance Limited Q 2FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signa l an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded .
We have with us today : Mr. Sudipta Roy, Managing Director and CEO; Mr. Sachinn Joshi, CFO; and Mr. Raju Dodti, COO; and other members of the senior management team .
Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the conference call. Only publicly available documents will be referred to for discussion s during interaction s in the call. While all efforts would be made to ensure that no unpublished price -sensitive information will be shared, in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the stateme nts made on today's call may be forw ard-looking in nature. A note to this effect is provided in the Q 2 results presentation sent out to all of you earlier .
I would now like to invite Mr. Sudipta Roy to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir .

Sudipta Roy :
A very good morning to all of you. I welcome you all to the Investor call for the second quarter of FY25. With me on the call are – our CFO, Mr. Sachinn Joshi, COO Mr. Raju Dodti, and the senior management team of L&T Finance .

Today’s call is divided into two sections, taken up sequentially by myself and our CFO – Mr. Sachinn Joshi, who will be talking about the overall business metrics & financi

al performance at length .

Post our opening commentary, we'll be happy to take questions on the call .

Q2FY25 Highlights
I would like to start the call by sharing the highlights of this quarter’s performance, wherein we have registered a quarterly Consol PAT of Rs. 696 Cr, a growth of 17% YoY while maintaining a satisfactory trajectory in our Q2 disbursements ending with an overall disbursement growth of 11% YoY with Retail disbursements standing at Rs. 15,092 Cr, a growth of 12% YoY and 2% sequential growth over Q1FY25 .

Our Retail book now stands at Rs. 88,975 Cr, a growth of 28% YoY. These numbers reflect the strength of the Retail business franchise that we have created over the years which has been further sharpened by our 5 Pillar execution strategy and I am happy to state that the Company’s execution momentum to transform into a granular retail financial services provider continues unabated .

Lakshya 2026 Goals at Consol Level : Our performance
Having met Lakshya 2026 goals at the Retail level 2 years in advance (in Q3FY24), we have re -oriented ourselves for convergence at the consolidated level by FY2026, as detailed in the last quarter’s earnings call. Accordingly, our quarterly performance as against the new targets for Lakshya 2026 are as follows :
• Our Lakshya goal was to achieve Retailisation of >95%. I am pleased to share that we have surpassed this target with 96% Retailisation at the end of this quarter

• Against a Retail book growth target of 25% CAGR, in Q2FY25, our growth stood at 28% YoY
• While we have improved portfolio quality by sustaining the Retail GS3 & NS3 levels within the threshold levels, we have now tasked ourselves to converge Consol GS3 & NS3 below 3% & 1% respectively. The corresponding numbers stood at 3.19% and 0.96% at the end of Q2FY25

• On the RoA front, we have moved from tracking Retail RoA to Consol RoA in the range of 2.8% -3.0% as per our original Lakshya 2026 targets. Our Consol RoA for Q2FY25 stood at 2.60% up by 18 bps YoY, which in the last year same quarter stood at 2.42%

I would like to draw your attention to Slide 5 of the investor presentation where this has been delineated in detail .

Executive Summary :
I would now like to quickly run you through the key highlights of our performance in Q 2FY25
• Quarterly Consol PAT of Rs. 696 Cr in Q2FY25, a growth of 17% YoY
• Quarterly Retail disbursements of Rs. 15,092 Cr, growth of 12% YoY. In spite of a challenging operating environment, our acquisition engine and persistent execution strategy ensured that the disbursements exhibited a sequential growth of 2% over the last quarter
• Q2FY25 Retail book stood at Rs. 88,975 Cr, up by 28% YoY. Consol book growth has picked up pace growing at 18% YoY reaching Rs. 93,015 Cr in Q2FY25. The on -book wholesale assets closed at Rs 4,040 Cr at the end of Q2FY25, which is ~4% of overall book
• This quarter marks completion of one year of our 5 Pillar transformation strategy and it continues to be central to our roadmap to the future, details of which are available from Slide 11 to Slide 24 of the investor presentation
• Consol GS3 and NS3 numbers came in close to the target metrics of 3% & 1%, at 3.19% and 0.96%, respectively. The slight erosion in GS3 performance over Q1FY25 is largely on account of macro -operating environment deterioration in the Rural Business Finance vertical in certain pockets, rationalization of Tractor repossession policy in early buckets and some localized adjacencies in the Two -wheeler business. Collection efficiencies in our Rural Business Finance vertical was maintained at 99.43% for Sep -24, whi ch is

a 13 -bps
erosion over the corresponding figure of 99.56% for June -24

Macro -economic outlook :
Now, I would like to give you some flavour on the Macro -economic scenario and sectoral outlook before proceeding to the 5 Pillars of our execution strategy .
The spread and width of rainfall distribution this year from the south-west monsoon has been unprecedented with rainfall being at 122% of long period average this year and most parts of the country have received adequate or more than adequate rainfall. This augurs well for the restoration of depleted water tables and reservoir leve ls in most parts of the country. The success of the south -west monsoon bodes well for a possible resumption of consumer demand in rural areas and improvement of rural liquidity po st the arrival of the Kharif crop and a possible bumper Rabi cropping season. This could have a positive implication for our Rural Business Finance and Farmer Finance verticals in H2FY25. We have already seen the green shoots of improved tractor offtake in the month of October and are hopeful that the trend sustains and positively impact the entire rural sector .
We would like to share that we have seen localized impact on collection efficiencies in the Rural Business Finance vertical due to wide spread floods in certain geographical pockets namely, North Bihar, Gujarat, and parts of West Bengal. We also saw distur bances from certain unscrupulous elements hampering our collection efforts in North - Eastern UP and headwinds in Odisha on account of temporary disruption in social welfare schemes. I am pleased to share that our R ural Business Finance team was able to proa ctively address these issues minimizing the impact on the business overall. I would also like to reiterate that the incidence of our customers with chronic overleverage is one of the lowest in the industry with customers having more than 4 external associa tions standing at 5.4% of the total R ural Business Finance outstanding book. Granular details of our customers' leverage has been given on Slide 17 of the investor presentation. However, we are also seized of the fact that the industry is passing through a period of de -leveraging which might have a ripple effect continuing into Q3FY25 and Q4FY25, thereby moderating our growth outlook. I would like to inform that we did not need to dip into our macro -prudential provisions specifically created for Rural Busin ess Finance vertical in Q2FY25. We would continuously assess our

collection outcomes in the impacted geographies highlighted above and keep our options open on defraying

possible slippages through existing macro -prudential provisions in H2FY25 .
As far as the global economy is concerned, it has weakened over the last quarters with some of the major economies including the U.S, China, and the Eurozone now shifting their focus from targeting inflation to fostering growth momentum. The start of Fed's calibrated quantitative easing cycle along with RBI's signaling of a neutral accommodation stance indicates a movement towards a more benign policy rate regime globally and in India in the coming year. Pockets of worry remain due to the conflict zones remaining red -hot in Europe and Middle East and demand constant att ention due to the possible spillover impacts into the Indian economy in case of a sustained worsening of the conflicts .
In spite of the rather uncertain global macro and geo -political situation, the domestic growth story remains intact despite some sluggishness in High -Frequency Indicators, as rural consumption and private investment demand start to gain momentum. We hope t hat a higher government expenditure in the

second half of the year and the
bountiful rains should add further fillip .

Double Click on the 5 Pillars of execution
As mentioned earlier, I would now like to give a brief update on the 5 pillars of execution that we had enumerated one year back and continue to be in implementation mode against the same .
1. Customer Acquisition - The focus has been sustained on maintaining customer acquisition momentum in a challenging macro environment while doing the necessary credit adjustments to maintain future portfolio quality. Accordingly, rationalizations have been made in the dealer netwo rk in both Two Wheeler and Farm Equipment business in Q2FY25 and focus has been sustained on new customer acquisition in the Rural Business Finance vertical to tap into non -leveraged customers by expanding the new village footprint. Consequently, the cross -sell penetration in Rural Business Finance has been calibrated downwards to exclude customers of higher risk profiles. Details of the same are available in Slide 12 & 13 of the investor presentation deck .
2. Sharpening Credit Underwriting - Project Cyclops – our three -dimensional credit engine that was operationalized in Q1FY25 has now been scaled up to cover 55% of the Two Wheeler monthly throughput. Two additional scorecards – the Fraud Scorecard and Dealer Scorecard have been implemented in Q2FY25 taking the number of scorecards in deployment to 16, only for the Two Wheeler business. The initial results remain encouraging with through -the-door net -bounce numbers for fresh acquisitions being approximately 125 bps lower than those underwritte n by legacy algorithms. Project Cyclops will be implemented for the tractor business in Q3FY25 followed by the other lines of business, notably Personal Loans & SME Business Loans in Q4FY25 .
3. Futuristic Digital Architecture - The work on upgrading our technical capabilities and IT framework remained unabated in Q2. On the large partnerships initiatives, deep integration with CRED enabled us to go live on Personal Loans sourcing within expected timelines. Progress has been made in optimizing cloud usage expenses and building robust disaster recovery infrastructure, alongside beefing up the cybersecurity capabilities. The organization has embarked on the task of housing the entire Core IT, Data Sc iences & Operations capabilities in an integrated facility in Navi Mumbai, slated for go live in Q4FY25 .

L&T Finance is also happy to announce that the inaugural edition of R.AI.S.E., India's premier BFSI -focused Artificial Intelligence conference featuring luminary speakers will be held in Mumbai on the 26th of November, 2024 showcasing practical use cases o f AI in the financial services domain to BFSI industry & Fintech participants. We urge you to visit the event website ' www.ltfraise.com ' and register for the same .
4. Brand Visibility - Over the last few quarters, we have invested in building visibility around high -traffic customer points like airports and in -flight advertising on the urban side and wall paintings and melas on the rural side and marked our presence at Global Fintech Fest 2024 .
We will be launching integrated marketing campaigns for Two Wheeler and SME -focused products in the coming months. We are pleased to inform that we have signed a contract with Jasprit Bumrah as a brand ambassador for L&T Finance products .
5. Capability Building - In line with our objective of boosting the human capital of L&T Finance with an execution bias towards various initiatives, the Regional Business Head structure was operationalized in Q2FY25 to provide more granular distribution & risk co

ntrol on the ground, aid cross -sell and inter -business synergies
and reduce response times to tap emerging market opportunities. Four senior professionals from the banki ng sector have been onboarded in Q2FY25 to transition L&T Finance from a business silo -driven organization to a more participative matrix organization structure with far more granular senior supervision on the ground in the four geographical regions of the country .
During the quarter, we also launched our first Model Branch in Madurai, Tamil Nadu for elevated customer experience and brand visibility and will continue to replicate this templated design across all our new and

legacy branches over the next few quarters. Details of the new organization structure and model branch are provided on Slide 24 of the investor presentation .
The organization also continued on its people developmental objectives emanating out of the Great Place to Work survey conducted in April 2024 to transition the organization into a truly differentiated and employee - focused workplace
In addition, I would like to provide a half yearly update on our Wholesale assets and Security Receipts portfolio. As guided earlier, we continue to maintain that we are on track in ensuring the orderly rundown of this book over time. Many of our Real Estate assets in the ARCs, especially those in residential projects have gathered significant momentum towards resolution, with resumption of construction and increasing velocity of sale of units to end users. As part of the ongoing process, to enable faste r resolution, we may be required to transfer one on -book asset to ARC in Q3FY25. This in no way diminishes our expectations of eventually recovering more than the Net Carrying Value on our books. We would like to reiterate that our provision coverage and the one-off additional prudential provision on SRs accrued in Q4FY24, would be more than sufficient to deal with the resolution of these assets

Now, Mr. Sachinn Joshi will take you through the financial updates for the quarter .
Sachinn Joshi :
Thank You, Sudipta. As always, I will be walking all of you through the financial performance of the company for the quarter .

Quarterly Performance:

• Our quarterly Consol NIMs + Fees remain strong at 10.86% owing to change in portfolio mix and Weighted Average Cost of Borrowings improving by 5 bps on a sequential basis on account of astute liability management
• Our quarterly Consol PAT at Rs. 696 Cr was up 17% YoY
• Healthy quarterly Retail disbursements of Rs. 15,092 Cr were up 12% YoY
• Our Retail book stands at Rs. 88,975 Cr which is up 28% YoY on the back of healthy Retail disbursements during the current quarter . Our Consol book stands at Rs. 93,015 Cr, this is up 18% YoY
• Consol RoA stands at 2.60%, which is up 18 bps YoY
• Consol RoE at 11.65%, is up 84 bps YoY

Retail Businesses :

Rural Business Finance
The business registered quarterly disbursements of Rs. 5,435 Cr , down by 5% YoY. The book size reached ~ Rs. 26,500 Cr which is up by 22% YoY in Q2FY25 .

Farmer Finance
In Farmer Finance, disbursements stood at Rs. 1,782 Cr in Q2FY25 , up by 16% YoY. This led to the book size reaching Rs. 14,488 Cr, reflecting a growth rate of 9% YoY .

Urban Finance
This segment, which comprises Two Wheelers, Personal Loans, and Home Loans/LAP businesses, saw a 29% YoY jump in overall quarterly disbursements. As a result, the overall book size increased to Rs. 41,578 Cr in Q2FY25, translating into a 33% YoY growth .

• Two Wheelers: The T wo Wheeler business registered quarterly disbursements of Rs. 2,393 Cr in the quarter. The disbursements were up 32% from Rs

. 1,817 Cr in the same quarter last year. 60% of the disbursements
were contributed by prime customers during the quarter . The book size increased to Rs. 12,699 Cr, up 33% YoY.

• Personal Loan s: In Personal Loan, we achieved disbursements of Rs. 1,361 Cr, last year we had done about the same which is Rs. 1,308 Cr and the book size stood at Rs. 7,178 Cr, an increase of 11% YoY. During the quarter, growth in this segment was aided by expansion of physical distribution through the DSA channel focusing on salaried prime customers .

• Retail Housing: Moving on to Housing, it achieved quarterly disbursements of Rs. 2,531 Cr, up 46% YoY , last year same time we had done Rs. 1,734 Cr. The book size crossed Rs. 20,000 Cr milestone and finally closed at Rs. 21,731 Cr, an increase of 42% YoY. The momentum was sustained in the business through strategic measures including collaborative launches with prime developers across top locations . Additionally, the launch of LTF's 'The Complete Home Loan' offering across 11 locations drove higher lead generation which should lead to tangible results over the next few quarters. The Home Décor finance package of The Complete Home Loans programme has s een a good customer acceptance and we expect increased penetration of this addon to lead to greater customer stickiness as well as higher portfolio yields .

• SME Finance: Our Q2FY25 disbursements stood at Rs. 1,244 Cr, up by 43% YoY. The book stood at Rs 5,190 Cr at the end of September 30, 2024 . The strong growth in business volumes was aided by building additional channels to diversify the existing sourcing funnels. We are in the final stages of launching our supply chain product in Q3FY25 .

I will now hand over the call back to Sudipta to make his closing comments.

Sudipta Roy:
Thank you, Sachinn . In summary of my opening note, I would like to maintain that Q2FY25 remained one of the most challenging operating quarter s post-Covid in the BFSI sector. We expect Q3FY25 to be as intense a quarter as Q2FY25 with a normalization runaway visible only in Q4FY25. We are confident that we have enough buffers and safeguards available to ensure a consistent outcome in Q3FY25, even as we continue to operate in a difficult credit environment. On the back of a good monsoon, we remain cautiously optimistic about im proving rural and urban demand and credit outcomes during Q3FY25 and we will remain focused on execution of our transformation agenda across all lines of business .
I thank you all for joining the call and for a patient hearing. The floor is now open for questions.

Moderator :
Thank you very much. We will now begin the question -and-answer session. The first question comes from the line of Kunal Shah with Citi .

Kunal Shah :
Yeah. So, first question is overall on the credit cost front. So , when we look at it, the ECL provisions have actually come off, so would it be fair to assume that there would have been a significant write -off? And if you can just quantify the amount of overall write -off and write -off in the MFI portfolio, that would be helpful, y eah.

Sachinn Joshi :
This is Sachinn here. Yes, as far as the overall credit cost is concerned, it has gone up, no doubt and the PCRs have also come down. Actually, the impact has been, as Sudipta mentioned in the initial comments, there has been some impact , whether it is Rural Business Loans , there has been some challenge ; simultaneously we also had on the repo assets as far as Farm is concerned and finally some issues on the Two Wheeler. So , it's a mixed bag, I would say. It's not just relating to Microfinance . The write -off is actually -- once

the 100% provisioning is
made across any product or any asset, the write -off actually becomes an accounting entry for us. So , there will be 100% provided assets, which are still part of GS3 and every quarter the write -offs keep happening. So , we really don't share the actual write -off number, but the PCR reduction is primarily on account of some write -off, which you're right and addition of certain Stag e 1, Stage 2 assets, which would have moved, roll -forwarded to 90 -plus. Naturally, these have a lower provision compared to the 100% provision, which was on the written -off assets.

So that has led to a reduction in the overall PCR, but we believe that our PCRs have been pretty helpful at 75% -76%, which has come down by a few percentage points . If you have seen, we have been mentioning this also during our earlier discussions and on various calls that we have been maintaining a very conservative approach and whether it's PCR, whether it's macro prudential provision that we create, the additional overlays that we have, all these are meant typically for a rainy day. So , these are difficu lt times, no doubt and something which was 75% -76% going down to 71% and all, we really don't think it's something really worth worrying at this point because we believe that it's a matter of a couple of quarters, and it should be business as usual .

Kunal Shah :
Yeah. And write -off would have had an impact even in terms of slightly lower increase in Stage 2 and Stage 3 as well? Because maybe otherwise, when you look at it in such a challenging environment, GS3 and GS2 is up

hardly by like, say, 14 -odd basis points both put together .

Sudipta Roy :
Yes, that's right .

Kunal Shah :
And secondly, on the MFI side. So , hearing the comment ary from the peers, it seems like Bihar is going through some kind of a swing. You also highlighted floods have impacted the northern part of the Bihar. But there, if we look at the SMA -2 pool or SMA -1 pool, that has gone up quite significantly, which suggest s some flow through into Q3 as well. So , now looking at the overall environment in the MFI, are we worried? You also indicated like Q3 would be challenging. But then in that case, are we looking to u tilize some of the macro -prudential provisioning getting into Q3 given this stress which is flowing in. And the general commentary on the overall MFI would be very helpful, ye ah.

Sudipta Roy :
Yeah. So, specifically on Bihar, though we don't normally give state -wise collection efficiencies, but I will say because there have been some floods in Bihar, especially in North Bihar, we ended our September collections efficiency in North Bihar at about 99.5%. S o basically, what I want to say is that in spite of floods, in spite of whatever disruptions come in, our focus on collections and our people 's focus on collections continues unabated and we expect that in October the situation would improve as the flood w ater recedes. It is true that the industry is passing through a period of deleveraging and obviously, as the industry passes through a period of deleveraging it will show up in numbers of the players in the microfinance industry .
However, I would like to put on record a couple of things and frankly, we have seen some commentaries on our performance, which need clarification. The first thing that I would like to say is that L&T Finance, as an organization, especially in the Rural Bu siness Finance vertical, we do not lend to a single customer, who is not a 0 DPD. So that is the first thing that I need to point out. The second thing is that our overall guardrails are always consciously maintained. That means we

underwrite not only the customer, but we underwrite the customer's family
as well. So , we calculate leverage at a family level .
The second thing is that if a customer's overall debt goes above Rs. 2 lacs at any point in the cycle, whether if she is a fresh customer or if the customer is eligible for a repeat, but the leverage is more than Rs. 2 lacs, that customer goes out of the lending window. So that means we make sure that when we lend to a customer, the overall leverage of the customer is below Rs. 2 lacs. And I would also like to point out that some of these guardrails have been introduced by MFIN as late as June -July of this year. However, L&T Finance has been maintaining these guardrails since 2020. So , it's not that these guardrails are coming to us suddenly new. We have been doing it for the last 4 years.

A couple of more things . First and foremost thing, our approval rates in the microfinance vertical is 40%. Once our sales guy goes and sources a particular file, then there's an independent check by a branch process manager, which is a completely different vertical, and then last but not the least, about 15% of all our disbursals are checked by our risk control unit. So , it's a 3 -tier process through which our customers come across because our focus has always been to bring in non -leveraged customers. The o ther thing, which I would like to state is that we realized , actually early this year and the latter part of last year, that the industry is probably getting into a situation of leverage . That is why we upped our efforts into new non -leveraged customer acquisition from September last year. And from January of this year, we started cutting out close to Rs. 75 Cr to Rs. 100 Cr of repeat disbursements because we felt that those customers were on the border line of getting leveraged. And this exercise has been continuing for us since January of this year.
And sort of last but not the least, we have brought down our average accounts per collector sharply from about 540 to about 4 60, which means we have put in actually 1,000 additional collectors in the field. And we did it early on. So our average accounts per collector ratio has actually dropped, which helped our collectors also to address the sort of the flow issues much more effectively. So overall, it has not been a single -axis action. It has been a multi -axes action and I would like to say that the discipline with which the business has been built is not a 1 -year phenomenon. It's a 3 -, 4-, 5-year phenomenon. So , which obviously, when the industry is in stress through deleveraging, o bviously, if you are in an industry, there will be a ricochet impact on us. We are not immune to it and on top of that, because of the monsoons and the floods etc ., it has added to a little bit of additional pain of what the industry has been going through. But I can assure you that our business is fully capacitized to handle this.
And last, but not the least, we have Rs. 975 Cr of provisions which has been kept aside as macro -prudential provisions, which we have not touched this quarter. However, as Sachinn said in this call, for example, if you have an umbrella, and it's raining ou tside, any logical person will open the umbrella to prevent himself/herself from

getting wet . So, we have this umbrella. We are not saying that we will use it, but the fact is that, that option is on the table. But however, as of now, our collection teams are working and our business teams are working to ensure that we have the best outcome possible through these difficult circumstances .

Kunal Shah :
Sure. Just one thing, one clarification. Macro-prudential is Rs

. 977 Cr ? because last time, we highlighted closer
to Rs. 1,100 Cr. So not sure and you mentioned like there is no utilization of macro -prudential at all .

Sudipta Roy :
Macro -prudential provision allocated to Microfinance is Rs. 975 Cr. Overall, Rs. 1,100 Cr is OTR outlays, etc. So that is separate from Microfinance. Pure microfinance is Rs. 975 Cr. PCR in our Rural Business Finance is close to 100%, if not 100%. So, 90-plus everything is anyways 100% provided .

Moderator:
The next question comes from the line of Hardik Shah with Goldman Sachs .

Rahul Jain :
This is Rahul here. A couple of questions. One is, I appreciate the detailed explanation that you gave just a while back on the macro -prudential and the PCR and the portfolio that you've been underwriting. But just wanted to understand the PCR bit again. So , Stage 2 also saw a dip. So , I wanted to understand how you think about Stage 2 provisions and Stage 3 provisions? And where does this provision coverage need to go before you start opening your umbrella, which is your macro -prudential provisions? How should we think about? Because y our commentary about the outlook also was a bit soft, at least in the third quarter. So how should we think about the utilization or the PCR trajectory from here on ?

Sachinn Joshi:
Initially, Sudipta made a mention that the deterioration in GS3, it was primarily through the macro -operating environment deteriorating in Rural Business Finance vertical, a rationalization of tractor repo policy and some localized adjacencies in Two Wheeler business. Yes, there has surely been challenges externally in the Microfinance segment. But that is about 26% of our overall book. There are certain other challenges, which he spelt out on the call. Now as far as PCRs are concerned and you talked about Stage 2. Now Stage 2 percentage actually includes the macro -prudential provision, which is sitting over there . We have not enhanced this macro -prudential provision. It has been Rs. 975 Cr, and the book has been growing. So , in percentage terms, you will find that there will be a decline as far as Stage 2 is concerned. The utilization, the overall PCR that we spoke about, just to repeat, we have gone from 75% to 71% on the aggregate basis, more to do with some write -offs of 100% provided portfolio, not necessarily that the whole piece has been completely written off. It's an accounting decision, which is taken, more to do with cash flows rather than anything else . As far as taxation is concerned, already we take a hit, whenever write -off happens, there is a cash inflow for us . The 71% is primarily because of new assets, which were, say, in Stage 2, moving into Stage 3 . For Micro Loans, as Sudipta mentioned just a while back, anything which is 90 plus, we do 100% provision, but that's not true for other assets because you also have a very safe book like Home Loan - LAP, you have a book like Two Wheeler, Tractor . The ECL model decides what will be the percentage provision required for a specific Stage 3 asset. And hence, this movement from Stage 1, 2 to Stage 3 and 100% book which has been provided being written off leads to these changes. Now when there is wherewit hal, we ensure that we maintain the PCRs at a particular level. Like we spoke about overlay just some time back . But at this point of time, the requirement was not there. If you look at the peer group comparative financials, broadly a 50% -55% PCR is a pret ty comfortable situation to be in. We have always tried to be conservative. As and when the P&L permits, we can always rebuild. We had mentioned in a couple of calls back, a couple of quarters back, t

hat this macro -prudential provision also, which is curre ntly on Rural Business Loans,
we would take a call on whether -- as the unsecured book starts growing, whether this whole macro -prudential provision should be applied to the full unsecured book, but that will be over a period of time. I hope I have clarifi ed.

Rahul Jain :
Very, very helpful explanation, Sachinn. And just if I were to have a follow -on with the -- your credit cost that you talked about, I think, the news channels were flashing some of the comments that it will stay elevated for the next 1 or 2 quarters more. Does it take into account any further buildup of macro -prudential? Or will it be completely to respond to any potential flow -through into Stage 3 provisions ?

Sachinn Joshi :
So, if the challenge in Micro Loan piece actually increases any further, then as Sudipta mentioned, we always have a choice to dip into the macro -prudential provisions and utilize part of it. As he also mentioned that we are better placed compared to the industry. Our numbers are much better. Our collecti on efficiencies seem to be in control. And if Diwali, post -Diwali, if things do n't really improve, there may possibly be a need for macro -prudential provision utilization, but at a much lower level. But if things worsen from here, yes, we keep that option open .

Rahul Jain :
Alright. Secondly, on the MFI portfolio, basis your details given in the presentation, we understand zero plus is about 3.5% of the portfolio, MFI portfolio. Is it possible to get the granular cuts as to how much is 0 to 30, 30 to 60 and so on and so forth ?

Sudipta Roy :
Normally, we don't give such granular cuts, so we have -- what we have done is that this time around, we have put the association wise cut, which is in Slide 17 of the presentation. So that's what we have given. So -- and I believe that the entire market is poised now for -- this is our belief that on the back of a strong monsoon, the entire market is poised now for a gradual recovery .
We have seen very good tractor demand in the first half of October and we remain hopeful that the tightness that we saw in the market, especially in certain geographies will start dissipating towards the latter half of Q3 and probably sharply improve over Q4. So, as I said, we remain very optimistic of our -- I would say, a soft landing between the latter part of Q3 and early part of Q4 .

Moderator:
Thank you. Next question comes from the line of Mahrukh Adajania with Nuvama. Please go ahead .

Mahrukh Adajania :
So, is it possible to give any cut on what proportion of total credit cost was attributable to rural MFI? I mean, would it all be driven by rural MFI and Farmer Finance this quarter because nothing really bad is happening on the corporate front or other businesses. So -- because everyone's kind of indicating some level of credit cost for the MFI business, so if you could share those details ?

Sachinn Joshi :
Yes. Yes, you want to continue, you please continue .

Mahrukh Adajania :
No, no, you please continue. I'll ask my second question .

Sachinn Joshi :
So, on the breakup of credit cost, of course, we don't share, but I'll just give you a general response to this. We spoke about Micro Loans. We spoke about Farmer Finance and Two Wheeler finance. Naturally, it's slightly higher for Micro Finance, followed by Tractor and Two Wheeler. So, it's a mixed bag, I would say. It's not just a composition of one particular book really going bad .

Sudipta Roy:
See Mahrukh, you would recall that there were industry -wide reports of difficulties in collections in April and May, which was reported by many players a

cross the industry. So now obviously, you can understand that if Rs. 100
flow at any point in time, not the entire amount flows back and not an entire amount is co llected back. So obviously, some portion of that has flown, in Q2, and we have seen stabilization in the latter part of Q2. But obviously, the credit cost components, as Sachinn said, are all comp onents of this .

Mahrukh Adajania :
Got it. And my next question is that in the first few days of October, say, has the collection efficiency deteriorated or stable or only marginally down, any such inputs in Microfinance .

Sudipta Roy:
Okay. So barring Bihar, the flood -affected villages in Bihar, our collection efficienc y has remained relatively stable in the first half of October .

Moderator:
Thank you. Next question comes from the line of Avinash Singh with Emkay Global. Please go ahead .

Avinash Singh :
A couple of questions. The first one is that there is a reasonable improvement in opex ratio, particularly the non - employee opex. Now can you help us understand what is sort of improving? And is this sustainable? And even if you were to sort of ramp up you r employee headcount further, will this sort of a ratio sustainably improve or not, that's one ?
And second, just on this Microfinance, again, continuing. I mean, you are suggesting that, I mean, Q3 should be likely bottom with Q4 or early Q4 recovery. Given the fact that, I mean, many of the peers, I mean, the banking as well as non -banking who have sort of started to acknowl edging the pain earlier are still kind of not giving a very clear -cut sort of a deadline to end the pain. What makes -- you -- of course, you have explained, you have given retail data, but eventually if the geographies, the custo mer segments are undergoing this, what sort of gives you confidence that your pain will be sort of end in 1 -1.5 quarter ?

Sudipta Roy:
So, the first question, Sachinn will take. I'll take the second question .

Sachinn Joshi :
So as far as opex is concerned, I think, every quarter -on-quarter, there you may see some variations or some increase in opex. This is primarily to do with investment s that we are making, either in IT, various technology investments are being made. We are also undertaking certain branding activity, plus rollout of new branches and all. So, these are the major components of expenses, which we are currently seeing. So , quarter -on-quarter, you may see some kind of increase -decrease, so I don't think you should really try to get some meaning out of it. We have mentioned that we would like to be -- the opex plus credit cost, we would like to keep it in the range of about 7%.
So, at this point of time, we believe that a couple of quarters we will have some challenges as far as credit cost is concerned because of the external environment. We have the branding and all, it will be un dertaken as an investment depending on the external environment. There is no point in really going out and go very aggressively with our branding and advertising when the market itself is a challenging piece. So, 7% is, I think, the overall range that we keep ourself. It can be plus or minus a few basis points here or there. So, nothing specific to really make any assumptions if you are thinking of modelling it . I think you should continue to model it in the same range because when we talked about the R oA tree, we spoke about the NIM plus fee in the range of about 10.75% to 11.25%. Naturally, in these times, we may possibly see a NIM plus fee range coming down from about 10.5% to 11%, maybe for a few -- couple of quarters till the time the challenge is ad dressed. The opex plus cr

edit cost being
in the ran ge of 7%, it can be plus or minus something. But the R oA trajectory in the medium to long term, we would want to pursue the Lakshya 2026 goal of being in the range of 2.8% to 3%. Maybe a few quarters of some turbulence, we will try to deal with during that .

Sudipta Roy :
I'll take the second question. So obviously, a couple of things has -- and I gave some commentary on how our underwriting and our management of the entire Rural Business Finance vertical is mandated to focus on more predictable customers. Now a couple of -- why we think there might be a soft landing and I use that term. First and foremost thing, we have had good monsoons . And the first signs are available in improved tractor demand, so we'll have to wait for the commentary from the various FMCG companies as to what level of demand that they are seeing, to put two plus two together. But the fact is that normally, monsoon brings in income and these

monsoons have been really good . So, we are hopeful that towards the latter -- Kharif crop arrivals seems encouraging. We are tracking the arrivals and basis the water table levels, we think Rabi crop will be a bumper crop. So, we do believe that rural incomes will improve. Secondly, obviously, the social scheme, the government social schemes have started flowing again. They had a temporary hiatus on the background of the elections. They have started flowing again, which will again improve rural liquidity . Last, MFIN has come out with the norms. So , MFIN norms got implemented from June -July. So, players have started adhering to the MFIN norms. So once --

so basically, the leverage adding, obviously, has stopped, and we have to understand that most of these loans are 24 months loans. And the problem really started in January -- December, January of this calenda r year . So actually, if you see, we are already 12 months almost -- not 12 months, but maybe about 9 to 10 months into the problem . So, a lot of deleveraging already has happened. Maybe some tail -end deleveraging is still left, but that might happen over Q 3 and the earlier part of Q4. But I do guess that maybe 60% -70% of the deleveraging has already gone through. So -- and overall, I think each and every player has become cautious, overall leverage has been coming down . So, I do believe that with all these factors playing in, we actually remain hopeful that there will be a soft landing in the latter part of Q3 and the earlier part of Q4. However, there has been a significant amount for the industry that has flown into PAR 0+. And that will continue from a fi nancial point of view, that will continue to flow and cause impact on the downstream P&Ls between Q3 and Q4 .

Avinash Singh :
Okay. Thank you .

Moderator:
Thank you. Next question comes from the line of Sameer Bhise with JM Financial. Please go ahead .

Sameer Bhise :
Hi. Thanks for the opportunity. I just had one question on the Home Loan fees. I see the ticket size on the LAP has kind of inched up meaningfully. Just wanted to get some sense here and it is -- I'm asking because it's, say higher than the H ome Loan average ticket size .

Sudipta Roy:
So, the team has been focusing on LAP and the team has been focusing on LAP primarily in the urban areas. So , the LAP -- and the LAP proportion of the entire portfolio also has slightly gone up. We have been also focusing on another product of ours which is Micro LAP (part of the book size of Rural Business Finance) in which our book size is now about Rs. 178 Cr and average ticket size there about Rs. 5 lacs to Rs. 6 lacs sort . So overall, on a weighted average basis, there has been a foc

us on pushing yields upwards both in our urban LAP as well as on our Micro LAP product to just balance the yields a bit.

Sameer Bhise :
And what kind of yield would be there, urban and rural .

Sudipta Roy:
Sorry .

Sameer Bhise :
What yields would you be earning right now on urban and rural Micro LAP?

Sudipta Roy:
So urban will be about.. .

Sachinn Joshi :
Urban is about 10% to 10.5% .

Sudipta Roy:
10% to 10.5%. Micro LAP, the yields can go up anywhere between 17% to 18% .

Sameer Bhise :
Okay. This is helpful. That’s all from my side. Thank you .

Moderator:
Thank you. Next question comes from the line of Nischint Chawathe with Kotak Institutional Equities. Please go ahead .

Nischint Chawathe :
Thanks for taking my question .

Sudipta Roy:

Nischint we are barely able to hear you. Can you -- I don't know use..

Nischint Chawathe :
Am I better now? It's better now ?

Sudipta Roy:
Yes.

Nischint Chawathe :
Yes, sorry about that. Just a couple of questions. One is your fee income was almost flat. Is it to do with the Micro Loans business or are there any other factors out here ?

Sudipta Roy:
No, not really. Sachinn, do you want to take that .

Sachinn Joshi:
Yes. So , fee income, of course, has a composition of processing fee on disbursements. So , if disbursements are slightly subdued naturally for the Rural Business Loans has higher levels of processing fee income. Number two is the cross -sell income which is the CLI, credit -linked insurance. With the disbursement, the new disbursements coming down naturally this also gets impacted . Year -on-year basis one more factor is that Q2FY24, there was a one-off item of interest on income tax refund, which led to the ove rall fee income increasing in the previous year same time which had actually not been part of it. So that's also one of the reasons. But otherwise, in general, I think the trajectory wise, it's -- directionally it's 1.92% fee income which we feel is very h ealthy fee income .

Nischint Chawathe :
Have you called out how much was the quantum in the base year for the income tax refund ?

Sachinn Joshi:
Should be about anywhere -- I think it was about Rs. 15 Cr to Rs. 20 Cr .

Nischint Chawathe :
Okay, not very meaningful. Okay, got it .

Sachinn Joshi:
No.

Nischint Chawathe :
Sure. You also mentioned that we discussed a little bit about tractors and the stress from first quarter sort of flowing into slightly higher credit cost this quarter, but what exactly happened on two -wheelers? I believe you mentioned something about local ized adjacencies, so just curious what actually happened over there .

Sudipta Roy:
See, there are certain markets in two -wheeler that really performed like not according to our expectations. So, for example, markets like suddenly - and this was primarily a deterioration that happened in April and May. And I'll give you one example. For e xample, Surat, suddenly we saw galloping delinquencies in Two Wheelers. So , as I said localized adjacencies mean there are certain pockets in which we saw heavier flows in the month of April and May . Again , this is not us, but the industry saw it. But if y ou see, we continue to fare much better than industry in terms of our overall sort of credit costs and our index delinquencies. So , in Two Wheeler, we have about 87% of the delinquency of industry. And if

you see our collection efficiencies actually have been continuously improving
from about 97.1% to about -- above 98% by the end of Q2FY25 . So whatever sort of slight deterioration that we saw in April and May in last quarter that has stabilized and that is on a pathway to sort of resolution. We have pushed up the prime share of our Two Wheeler business to almost 60% prime share right now. And if you can see in Slide 20 where we have given our prime share in disbursements compared to the same time last year and prime share on book compared to same time last year. So , I would say that majority -- quite a significant portion of our Two Wheeler bu siness is now prime Two Wheeler . And this has been done to make sure that even some of these localized adjacencies that we see are better managed in the future. And because of our new three - dimensional credit engine, Cyclops, is completely now upscaled on our Two Wheeler business. 55% of Two Wheeler business is now going through Cyclops. By the end of November, maybe early December, 100% will flip over to Cyclops. And early signs are very good . The Cyclops' first net bounce is 125 basis points lower than fr om

our legacy algorithm. So, obviously, there has been a lot of work which has been done to even sort of prevent any sort of this sort of this sudden 1or 2 month blowout that happens in the future .

Nischint Chawathe :
So probably going forward, your guidance for second half which tends to be a little more guarded is largely from Micro Loans. I think, these two segments, you believe are sorted ?

Sudipta Roy:
It is largely from Micro Loans. And again, I would like to point out and thanks for asking this question. Largely, I point out that sort of the worries on Micro Loans for us is less -- okay, yes, there is worry from sort of ricochet impact on the overall ecosystem for people who have borrowed from others and are leveraged. There is a little bit of worry from that, but we are more worried about the impact of this -- environmental impact like Bihar floods . There are some unscrupulous elements operating in the North Eastern U.P who are sort of hampering collection efforts , the resumption of the social flows in Odisha, etc. So , our pain is more from those areas . Because of our guardrails and because of our assiduous focus on avoiding non -leverage customers and always ma king sure that only one customer has one loan at a point in time from L&T Finance , I think we have been able to sort of not be in the eye of the storm, if I were to use that particular term, but when a storm happens there are like gusts of wind that comes to the farthest player as well. And so we are not immune to that .

Nischint Chawathe :
And just final one with all of this, where does -- where do we go on loan growth for a company as a whole and let's say even for the microfinance piece over the next couple of quarters ?

Sudipta Roy:
See, our guidance is 25% loan growth as far as Lakshya objectives. Now, obviously, if there is a one or two quarter calibration, we will have to go through that because we have braked on the MFI and Rural Business Finance disbursements. And for the sake of greater caution, we have braked on it. I would say that we -- on the festive season, we are seeing good demand in tractor . On the festive season, we are seeing -- for the last one week, we are seeing good demand in Two Wheeler. Lot of new housing project launches are happening. We have been working on building our developer channel in our Retail Housing Finance vertical . And if you look at our Personal Loans, our Personal Loans have significantly grown quarter -on-quarter and we have gone --

and this
quarter we'll be also adding new digital partners and very large digital partners on our Personal Loans portfolio . So, again on Personal Loans we'll g row on a risk -calibrated fashion. We have braked on one line of business, but the fact is that on a risk calibrated way, we remain continuing growing on the other lines of business and take benefit of the festive momentum. So , I cannot at this point , at the beginning of the quarter p inpoint and say where we will end up at the end of the quarter. But you will be seeing that apart from Rural Business Finance vertical, where caution rules the roost, for all other businesses there will be a growth bias in this quarter and the coming quarters as well .

Nischint Chawathe :
So broadly remain in the corridor is what you will suggest ?

Sudipta Roy:
Yes

Nischint Chawathe :
Perfect. Those were my questions. Thank you very much and all the best .

Sudipta Roy:
Thank you so much .

Moderator:
Thank you. Next question comes from the line of Abhijit Tibrewal with Motilal Oswal. Please go ahead .

Abhijit Tibrewal :
Thank you. Good morning, everyone. So just wanted to understand, I mean, while these results as well as our commentary shows that we've been better off than a lot of other peers in Microfinance, I think, I mean, one of the things and just a suggestion that some of the metrics which are also shared by our peers like collection efficiency including arrears, excluding arrears because the collection efficiencies that we share which is zer o DPD customers, that somehow , I mean, unless we are comparable with our p eers, will not give that much confidence . And while I appreciate you have said on the call that we do not share segment wise GS3 or segment -wise credit cost. I mean, when the environment is such where the sector itself is going through a pain, we have almost one -third, almost 30% of our book coming from Microfinance side. I mean sharing some of these details during maybe one or two quarters, will help all of us kind of gain better confidence, higher confidence in LTF's Microfinance book . So, if you could pl ease consider that maybe in the coming quarters. But sir, the question that I had really was on this statement that we made in the fact that Q3 will be a challenging quarter and Q4 seems like improving. So, I'm just trying to understand if you see today , unsecured itself, I mean what started with credit cards spilled over to personal loans. It's now spilling over to micro finance now ? And if you look at credit cards and personal loans, that pain is still not over yet. So , our unsecured credit cycle what we are seeing in Rural Business Finance now, and at the sectoral level, do you think it is just a hope today or moving the goalpost where we think that maybe the problem will get resolved by Q4? Or I mean, how to read it is what I am trying to understand because 1Q when everyone posted their earnings call, everyone said, that things look like will start improving from Q2 . Having seen Q2, now we are saying, maybe things will start improving from Q4. So I'm just trying to understand, is it like just things getting delayed and we'll see when it comes? Or is there another way to look at this? This is my only question .

Sudipta Roy:
See the thing which is there is that -- the first thing, obviously, which gives us hope is good monsoons. The first green shoots of a very rural product, which is tractors, demand going up. So that gives us good hope. The second thing is that, see, all the se are 24 -month loan. And as I said, we realized that the industry was going into -- get into inclement weather as early as January of this year

. So, the fact is that though it started showing up in results
sometime around May -June. But the fact is that th e signs were visible in January only. The early signs were visible in January. So , the fact is that the industry actually has now gone through a period of deleveraging for about close to 9 to 10 months and since it's a 24 -month product, the book runs up very fast, and which is the nature in any unsecured product . Typically, unsecured product peaks and the bad portion of the book peaks very fast, typically within a period of 6 to 12 months. So by December, we would be already been 12 months or almost nine mo nths into the leveraging cycle. So that gives us sort of a reasonable amount of hope that there will be a soft landing in the latter part of Q3 and the early part of Q4 . The question is that if suddenly something, if for example, rains were bad, we would have said that, no, we really think that this might elongate. The only thing that because monsoons have been good, the Kharif arrivals are good, social flows have started, we expect a bumper Rabi crop. If on the back of those things, things don't improve ... And lenders are becoming more responsible. Deleveraging has started across the entire industry. So , I do believe that things will move towards normalcy in the early part of Q4 .

Abhijit Tibrewal :
And just one last thing. While we've spoken a lot on tractors, two -wheelers, even microfinance. The personal loans, like you rightly said, we started growing again, you are expecting some good large digital partners to come on board in the next couple of quarters. Just trying to understand, banks, which reported last week, large personal loan players, on the NBFC side, still seeing stress in personal loan portfolio. Are we co mfortable there now and maybe that is a sign that we've started growing again .

Sudipta Roy:
Yes. So , if you see, we really slowed down Personal Loan sometime last year. Last Q3 of FY24, we slowed down our Personal Loans. So , if you see Q2 in FY24, we did about Rs. 1,300 Cr or Rs. 1,350 Cr of disbursement. After that we dropped it to as low as Rs. 700 Cr. We dropped the volumes at 50% because we wanted to rework the way we wanted to do Personal Loans . And now in Personal Loans, we are completely focused on the prime segment, again, and the salaried segment, prime salaried segment. And frankly, we a re very happy with the new portfolio that we have garnered, which is showing excellent credit outcome. So -- and that has given us confidence to start scaling it up once again, but you will see that this will not be a mad scale up. This will be a gradual calibrated risk -focused scale -up. Obviously, Personal Loans is an essential component and ingredient of any retail

lenders balance sheet. Because this is a good product to do from yield perspective. And frankly, if you are -- if you maintain your guardrails well and don't go crazy in disbursements, then actually, the outcome can be very, very good. So , we are now focused on a very risk -calibrated scale up with the large amounts of data thrown in the underwriting process . Cyclops, our new credit engine, will be pushed into underwriting Personal Loans, where we'll be using multiple lines of data digitally to underwrite our customers. So , we are very confident of being able to scale up this business with an excellent credit and return outcome for the business .

Sachinn Joshi :
Abhijit, just on the first point that you mentioned in terms of disclosure. I think, last couple of quarters, if you see, especially on the Rural Business Finance, we have gone and provided more than whatever we otherwise keep sharing in terms of

informati on. This quarter, we have talked about, we've given the bucketing of the number of associations that we have across the book. The collection efficiencies, you are right . There are different methodologies used by different players. I think what is important to look at is, how the collection efficiency has changed between the two quarters because if you look at only the differential, the methodology could be whatever, but the differential will actually spell out what has been either the deterioration or impro vement in the overall quality of book. I think there are -- plus, there is also an industry -related .

Sudipta Roy :
Yes. And Abhijit, I'll point out to the Slide 18, where we have given the 12 month on book performance from July'23 to Jun'24 , so that is -- we are at 23% of industry. If industry is indexed at 100, we are at 23%, and this is TransUnion CIBIL data. If you look at Slide 18, it will give you a sense .

Abhijit Tibrewal :
Yes, sir, I have seen that. Yes, yes, absolutely. Sir, the disclosures that you have given out is indeed increasing every quarter, then that's appreciable. My limited request for you is, if some of the data points, which are reported by peers as well, if w e start reporting them, if possible, it will just give all of us greater confidence in what you have articulated that our experience in this credit cycle in microfinance is better than peers. That's the limited point that I wanted to make .

Sudipta Roy:
We take this on board, benchmark ourselves against the others, and then we will see. See, our level of disclosures has significantly gone up over the last couple of quarters across all our lines of business. But definitely, we'll take this suggestion on board and see to the best how and what we can do .

Moderator:
Next question comes from the line of Alok Srivastava with UBS .

Alok Srivastava :
Just going back to the macro buffer part, I was just trying to understand if there is any quantifiable metric internally that you will look at, let's say, or externally like collection efficiency before using it? Or it is fully subjective? And secondly, as thin gs are today, let's say, things worsen slightly and your base case of improvement end of 3Q, early 4Q doesn't happen, do you think this Rs. 950 Cr odd that we are carrying, is that good enough for whatever stress could come up in microfinance ?

Sachinn Joshi :
Yes. Thank you, Alok. This is Sachinn here. Yes, see macro -prudential provisions that have been created, this is based on a Board -approved policy. So , creation of macro -prudential provisions as well as utilization has to be approved by -- we need a sign -off of the Board. So , the way it has been defined is the macro -prudential provisions have been created to deal with specific events, events like flood, famine, political instability, industry -wide credit events . One of the event s, which we saw was COVID. When we created this policy, we did not know that something like COVID would really happen. But yes, those are the kind of events, which cannot be modulated or modelled in our ECL -- are the ones which get covered. Sudipta talked about the increasin g leverages . Now if the increasing leverage is into -- just limited to a particular geography, it's not an event. But if it's going to spread across the country, and it spreads across, the whole industry is going to get impacted, this also will get very cl early become part of a macro -prudential event. So it is -- we have to see -- we spoke about Bihar floods . At this point of time, the collection efficiencies have not deteriorated to a level where I really need to dip into these. But otherwis

e, that will be a clear -cut example of me being eligible to dip into it and get the Board consent to utilize it .

Alok Srivastava :
But Sachinn, just following up on that, that does that mean that only the part which has been impacted by an event, against that only you can use or you can use against the entire MFI book ?

Sachinn Joshi :
No, we can't use it against the entire MFI book .

Alok Srivastava :
And second question I had was that the action that RBI took last week against four NBFCs, so have we had any communication on interest rate being charged by us? And also, does our MFI interest rate continue to be 24%?

Sudipta Roy :
No. See, our MFI interest is now around a band of 18% to 24%, the more mature that the customer gets. The starting interest rate is 24%, but the more mature a customer gets, especially in cycle 3 and cycle 4, the customer moves down the rate of interest. T he second thing is that on our Personal Loans business, etc, we are focused on our prime customers where we give an interest rates from say 12% to a band of about 16% -17% is what we do. So no, we haven't received any communication regarding anything .

Sachinn Joshi :
See, 24%, Alok, was being charged for over a decade. And based on the MFIN guidance, in fact, everyone has moved into risk -calibrated kind of structure. So we have interest rates, which range from 18% to 24% depending on the riskiness of the customer, depe nding on whether the customer is in the first cycle, second cycle, third cycle, and her behavior, the interest rate gets decided .

Moderator:
Next question comes from the line of Shreepal Doshi with Equirus .

Shreepal Doshi :
The question was on how are the collection efficiencies trending in states like Karnataka and Tamil Nadu for us? And any update for the trends in October month?

Sudipta Roy :
See, October month, let me be very candid. October month, as I said, we are holding at efficiencies of previous month. Except North Bihar, where we are affected by floods. In Karnataka, the collections efficiency, though we do not give out specifics, but at this time, I will give out. In Karnataka, our collection efficiency in September was 99.6%. And Tamil Nadu, our collection efficiency in September -24 was 99.4 5%. This is zero DPD collections efficiency .

Shreepal Doshi :
So, these are like -- basis June quarter, how are these like trending broadly?

Sudipta Roy :
As I said, I don't know there was one particular call, which I had said -- these are holding pattern. These are holding patterns, very stable .

Shreepal Doshi :
And sir, just one more question on this write -off. So what is our Board -approved write -off policy for the Micro Loan category?

Sachinn Joshi :
No, the Board approves the provisioning policy, which states that whenever the asset becomes 90 -plus DPD, you need to provide 100% against the Rural Business Loans. The write -off policy is, as I mentioned earlier, is more of a technical issue. It's for the CFO office to decide based on the, it's more of a cash flow issue. Because once the asset gets written off that does not mean that the business stops followin g up for those collections. There is actually no difference as far as the collection team is conc erned . The collection team continues to keep following, because 90 days is a small period that way, right, as far as R ural Business Finance is concerned. So the follow - up continues whether the asset has been written off . And there, in fact, every month we keep receiving monies even out of the asset, which has been fully provided for. So there are teams which actually work specifically on

90 plus. There are teams

, which work on 30 plus, 60 plus. There are specific coordinat ed efforts made to ensure
that there are -- we don't leave customer just because we have provided it in the book .

Shreepal Doshi :
And we don't consider that number -- the pool of customers, which have been written off or, say, which is 100% provided for, in collection efficiency ?

Sachinn Joshi :
No, this is 0 DPD, as Sudipta just mentioned. It's a 0 DPD customer whose billings have been done and the collection out of those billings .

Shreepal Doshi :
Thank you, sir. And good luck for the next quarter .

Moderator :
Thank you. Next question comes from the line of Chintan Shah with ICICI Securities. Please go ahead .

Chintan Shah :
So, I just had a question again on the Rural Business Finance. So yes, as we don't give the segment -wise breakup of slippages, but if you look at the additions to Stage -3 for this Rural Finance Business specifically, for Q4FY24 and Q2FY25, so how much could b e the rise in absolute number in percentage? If you could quantify that so that we would just get a sense, how much stress are also we're getting on our books. So , any rough idea on that would be helpful ?

Sachinn Joshi :
See, actually, if you look at -- if you're wanting to know the stress on the book, you should actually look at Slide 17, which talks about 5.4% of the loan book of LTF is LTF plus more than 4 associations. And there, we have actually even given a further b reakup of more than 4 association, 5 association, 6 association. So it will show very clearly that the pain level is pretty limited . And the reason why we've done this bucketing is also to ensure that I just mentioned earlier that we actually mark out in o ur system, the most leveraged customers, and the focus of the collection team is first to be the first one in the queue because if there are 6 lenders, I would want to be the first in the queue to go and collect. And this discipline that we maintain has ac tually helped us ensure that the collection efficiencies, though they have dipped, they have not dipped to the levels, which we see in the industry .

Chintan Shah :
And sir, if I heard it correctly, MD sir also mentioned that we would be working to enter into -- working on building the developer finance vertical, so apart from retail also, are we planning to venture into any other businesses ?

Sachinn Joshi :
No. Not developer finance vertical. I'm saying that the developer basically the APF origination team, where basically, we work with developers as a channel to finance homes to retail customers. So developer channel basically. It is the part of the Home Loan channel working with the large developers .

Chintan Shah :
Sure, sir. So , nothing on the corporate side, yes ?

Sudipta Roy :
No.

Chintan Shah :
Yes, that's it from my side. Thank you for the opportunity .

Moderator:
Thank you. Last question comes from the line of Gao Zhixuan with Schonfeld .

Gao Zhixuan :
Just some data keeping question. Do you mind sharing what's our interest reversal in our NII this quarter and also last quarter because the margin seems to be coming down there, I suppose. It should be somewhat affected by the increase in reversal .

Sachinn Joshi :
I mean you're referring to the yields or you're referring to the NIMs.

Gao Zhixuan :
The yield, right? The yield is coming down obviously because of

some of the increase -- just trying to know the quantum of interest reversal in there .

Sachinn Joshi :
Sure. So as far as yields are concerned, the wholesale book was actually coming down dramatically over last 4 to 6 quarters. And as the book was moving more -- trending more towards retail, the yields were increasing. You would have noticed that last quart er and this quarter, especially, the wholesale book has broadly remained around the 4% level. 96% of the book now is Retail. So, what will actually move the yield positively or negatively will depend on the kind of disbursements we do. Because the Retail business comprises of various products, which are Rural Business Loan, which is perhaps the highest yielding product for us, and home loan and LAP is the lowest yielding. You would have seen that the disbursement this quarter have been more towards HL and LAP . We wanted to be conservative and do secured business and, hence, you see that the yield has got a bit impacted. Once the cha llenges in the micro loan segment actually comes down, we will see the disbursements firing up again. To support micro loan business, we also have personal loans, SME. These are the businesses. Micro LAP, which we have started also. Book is small. The pote ntial to grow this secured book is also very high. So as we go forward, we will keep seeing the change in the yield within a particular band. And rather than talking about the yields because it is equally important to look at how the interest cost pan out . This quarter, we have been able to bring down the weighted average cost down by about 5 basis points, so 7.85% in the previous quarter has come down to 7.80%. So rather than looking at the yield, it's good for a company like us to monitor the NIM plus fee as a monitorable metric. And we have already communicated the band within which we would like to be, which is in normalized times about 10.75% to 11.25%. And in difficult times like these, perhaps between 10.5% to 11%.

Gao Zhixuan :
Got it, sir. I understand the mix part of disbursement. I just want to understand the interest reversal increased materially this quarter sequentially, that also impacted our yield temporarily a bit. I just wanted to understand that ?

Sachinn Joshi :
Sorry, I did not get -- can you please repeat the question

Sudipta Roy :
Can you please repeat the question ?

Gao Zhixuan :
Yes. So , I just want to understand the interest reversal increased materially this quarter sequentially, which also impacted our yield on top of the mix change in disbursement that you were talking about ?

Sachinn Joshi :
Yes. So interest reversal ..

Gao Zhixuan :
If you can quantify, if it's possible, please ?

Sachinn Joshi :
Yes. Interest reversal impact would be about 5 to 6 basis points .

Gao Zhixuan :
And how much was that last quarter ?

Sachinn Joshi :
Last quarter would be lower than this -- this slightly lower than this .

Gao Zhixuan :
Got it. And just last one on the Slide 17. I appreciate the breakup on the LTF plus external associations . Just want to understand for the 5% of this outstanding book, what's the collection efficiency there for the month of September ?

Sachinn Joshi :
Which product you're talking about, collection efficiency ?

Sudipta Roy :
No, I think he is ta lking about Rural Business Finance -- Sorry, the audio line is not very clear. So , we're just not able to get the full gist of the question. If you can repeat the question once again .

Gao Zhixuan :
Yes, sorry. I'm referring to Slide 17. So , we have about 5% of MFI book ...

Sachinn Joshi :
Collection Efficiency in this particular segment for the mon

th of September was about 97.5% -odd. So that bucket
-- the buckets of the people more than -- you're asking collection efficiency of the bucket of people more than -- more than 4 associations. Is that the question ?

Gao Zhixuan :
Yes, which is 97%, right ?

Sachinn Joshi :
Yes, that's 97.5% .

Gao Zhixuan :
How much was that in June ?

Sachinn Joshi :
How much was it in June ?

Gao Zhixuan :
No, March. I just want to get a historical comparison ?

Sachinn Joshi :
Yes. So , June, it was about same about 98.4% -odd. The March number, I don't have handy with me right now. Maybe we can give it to you offline .

Moderator:
Thank you. We have reached the end of question -and-answer session. I would now like to hand the conference over to Sudipta Roy for closing comments .

Sudipta Roy:
So, thank you, and thank you for joining the call. As I said on the beginning in the opening comments that we expect Q3FY25 to be as intense a quarter as Q2 however, what we are very confident about is that our teams are very, very well prepared and well equi pped to take care of the challenges on ground .
In terms of our work on the 5 pillars, it continues unabated. We remain focused on ensuring, building our other lines of business with a focus on risk and ensuring great credit outcome in the coming years. I would like to qualify the phase that we are pass ing through as phase of inclement weather, rather -- and I would also like to reiterate that we, as an organization, are perfectly capable of dealing with this. So , we will work very hard to ensure a consistent outcome in Q3FY25 .

And we will be happy to meet all of you on a one -on-one basis whenever time permits and allows us, to give a further granular view of our overall lines of business and progress. The other thing which I wanted to tell you is that on November 26, we have our first AI conference, where we will be sharing some of our developments on AI side as well, which we have implemented and including also our overall discussion on applicability of AI to BFSI segment. Registrations are open on www.ltfraise.com. And if your schedule permits, we would like you to register for it and attend the same. Thank you so much for attending the call .

Moderator:
Thank you. On behalf of L&T Finance Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines .

*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies ,
repet itions in Q &A which would have unintentionally crept in, if an y

Call: Dec 2024

December 2, 2024

National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051. BSE Limited
Corporate Relations Department,
1st Floor, New Trading Ring,
P. J. Towers, Dalal Street,
Mumbai - 400 001.

Symbol: LTF Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of Investor Digital Day

Dear Sir / Madam,

Further to our letters dated November 19, 2024 and November 25, 2024, and pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Digital Day held on November 25, 2024.

The above information is also available on the website of the Company i.e., www.ltfs.com/investors .

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Limited
(formerly known as L&T Finance Holdings Limited)

Apurva Rathod
Company Secretary and Compliance Officer

Encl: As above

L&T Finance Ltd.
Q3 FY25 Investor Digital Day Transcript
November 25, 202 4

Management Personnel (who presented):
Mr. Sudipta Roy (Managing Director & Chief Executive Officer)
Mr. Sachinn Joshi (Chief Financial Officer)
Mr. Ramesh Aithal (Chief Digital Officer)
Dr. Debarag Banerjee (Chief AI & Data Officer)
Ms. Sonia Krishnankutty (Chief Executive – Rural Business Finance)
Mr. Asheesh Goel (Chief Executive – Farmer Finance)
Mr. Sanjay Garyali (Chief Executive – Urban Finance)
Mr. Abhishek Sharma (Chief Executive – SME Finance)
Mr. Raju Dodti (Chief Operating Officer)
Ms. Kavita Jagtiani (Chief Marketing Officer)
Mr. Karthik Narayanan (Head – Investor Relations)

Karthik Narayanan :
On behalf of L&T Finance, I welcome you all to the Investor Digital Day. The L&T Finance Investor Digital Day coincides with the Pearl Anniversary of L&T Finance, celebrating 30 years of trusted excellence, along with a premier AI and Tech Conference, RAISE 2024 being held tomorrow. We have with us today our Managing Director and CEO, Mr. Sudipta Roy and other senior members of the management team.
The agenda and flow of events of the L&T Finance Investor Digital Day is as follows. It starts with a presentation by our Managing Director and CEO, Mr. Sudipta Roy, on his Tech and AI vision for L&T Finance. This is followed by a presentation on the exist ing and futuristic digital architecture roadmap by our Chief Digital Officer, Mr. Ramesh Aithal. Following that, you'll have a presentation on the use cases of AI and its application in L&T Finance by our Chief AI and Data Officer, Dr. Debarag Banerjee. This will be followed by a presentation on digital use cases and its practical applicability, along with some business updates by our Chief Executives in the following order. Ms. Sonia Krishnankutty, Chief Executive, Rural Business Finance; Mr. Asheesh Goel, Chief Executive, Farmer Finance; Mr. Sanjay Garyali, Chief Executive, Urban Finance; Mr. Abhishek Sharma, Chief Executive, SME Finance.
The last set of presentations will be by our Chief Operating Officer, Mr. Raju Dodti, giving an overview of our customer service and operational excellence. And wrap -up will be with a presentation by our Chief Marketing Off

icer, Ms. Kavita Jagtiani, sheddi ng light on our marketing strategy and initiatives. The session will then culminate with a detailed Q&A chaired by Mr. Sudipta Roy, our MD and CEO, and Mr. Sachinn Joshi, our CFO.
So, before we proceed, as a standard disclaimer, no unpublished, price -sensitive information will be shared during the presentation and ensuing discussions. Only publicly available documents will be referred to for discussions during this meet. While all effo rts will be made to ensure that no unpublished, price -sensitive information will be shared, in case of any inadvertent disclosure, the same would in any case form part of this recording/meet.
Further, some of the statements made on today's meet may be forward -looking in nature. A note to this effect is provided in the presentation uploaded on the exchanges just around half an hour back. Also, before we begin, we request you all, to kindly put y our mobile phones on silent mode.
I would now like to invite Mr. Sudipta Roy to please come on stage and provide us with a detailed perspective on his tech vision for L&T Finance. Over to you, sir .

Sudipta Roy :
Good evening, everybody. I would like to thank all of you for taking time off from your busy schedule and coming and attending this Digital Day of L&T Finance. As you are aware, during Karthik's introductory message that we are celebrating our 30 years, ou r pearl anniversary of L&T Finance, we are founded on the 22nd of November, 1994. So it's been an eventful 30 years and to commemorate this, we are having our Digital Investor Day today and tomorrow we are having our main marquee AI conference, which is ca lled RAISE and which is about applicability of AI into BFSI and all of you must have got invites to it, as well as I would urge you to take the entry passes for tomorrow's event because it's going to be a very exciting day tomorrow.

I joined L&T Finance about 18 months back and for those some of you might know me, but for those of you who do not know me, probably I'll just give a brief background about myself. I spent the last 14 years of my career in ICICI Bank, where I used to manag e unsecured assets, cards, payments, parts of digital banking, specifically the connected banking and API banking, the student ecosystem, the merchant ecosystem, as well as the digital acquisition piece for liabilities. Prior to that, I spent about 13 year s equally spent between Citibank and Deutsche Bank. I joined L&T Finance in July last year and it's been my 18 months running now in L&T Finance. You know, it's been a very, very eventful 18 months and what we have tried to do in 18 months was to sort of turbocharge the Lakshya 2026 goals that L&T Finance h ad already embarked upon and sort of move the needle forward in the digital transformation of L&T Finance.

Now obviously, many of you are in the room today because, you know, many of you are probably wanting to seek answers to some of the sort of top lines of our MFI business, but what I would like to tell you is that, we will give you top lines and data about our MFI business as well, but L&T Finance is not only about only MFI business. In fact MFI is only about, you know, one -fourth of our total AUMs. A lot of things are not known about L&T Finance and I thought that, I will sort of lay out some of them before you. Obviously, we complete 30 years. We have a very large customer franchise. We have a 2.5 crore customer franchise. Out of it, 1.1 crore customer franchise is in rural. We are one of the very few NBFCs who have a balanced customer profile between rural and urban. Our customers are di

vided between 50:50 rural and urban.

If you look at our employee strength, we are about 34,000 employees and in about 13,200 distribution points and a Pan -India presence of over more than 2 lakh villages and about 100 cities. In terms of our urban business, our urban business is almost Rs. 42,000 crores with about 100% digital onboarding.

We have best -in-class ESG rating, CDP A -, and we are AAA rated by all the four rating agencies. If you look at our other sort of parameters, we are one of the largest JLG financiers in the rural space. We are the third largest in the country. We are the le ading tractor financier in the country and our onboarding systems, 100% of our onboarding systems is paperless, completely paperless.

Now, one of the things, you know, as we stand in 2024, I am reminded of a quote by Charles Dickens, it was the best of times, it was the worst of times. It is in the tale of two cities and it is the best of times, primarily because the world is at the cusp of the fourth industrial revolution. The world is at the cusp of massive changes in technology driven by artificial intelligence and machine learning. The space race is again hotting up. People are talking about putting man on the moon and then man on Mar s in the next 10 years . And the fact is that, we are seeing that the Global South or the developing countries are picking up growth. However, it is the worst of times primarily because in this environment, we have two wars raging, one in Europe and one in Middle East. And overall closer to the country there are certain sort of pockets of doom and gloom, which are visible in the asset space. So that is why I term it the best of times and the worst of times.

But obviously, we focus on the best of times and this is the time where we have decided to kick forward our digital transformation and take our transformation agenda much, much faster ahead. If you see, we started our Lakshya journey on the Quarter Four of FY 2022 and now as we stand in Quarter Two of FY25, let's look at what we have achieved. We have transitioned from a wholesale dominant franchise to a retail diversified NBFC. The retailization currently is at 96%. Our retail book grew by about 97% and we realigned our strategy from a product focused company to a customer focused company. We posted the highest ever PAT of Rs. 696 crores last quarter, which is up by 104% from what we were in quarter four of FY22 and if you look at our ROA at about 2.6% and ROE about 11.65%. Our credit cost has trended downwards. Last quarter it was about 2.59% and our asset three -- asset quality in terms of GS3 and NS3 remains at about 3.19% and about 0.96%. In the interim, we have added about 5 million new customers. Obvio usly, the customer franchise has grown by 26% on the back of a robust distribution network about 28,000 partner touch points. And last, but not the least, this is one of the most important part. Digital led the core of this transition. We launched our PLANET App about three years back and currently our PLANET App, which is in PLANET 2.0, PLANET 3.0 will be launched soon. Currentl y, we are seeing about 13 million customers regularly using it and we transitioned from a disjointed incremental to an integrated modular product technology approach. Big words, difficult sentence, but I'll explain to you what that means in the next couple of slides.

Over the next 18 months -- over the previous 18 months, we have picked up speed in execution and we have been executing at a reasonably fast clip. So, in the last 18 months, we have sort of grown the retail book by about 38%. And if you look at our disbursements, actually disbursements have grown by about 35% from about 11,000 crores at the end of Quarter One FY24 to about 15,000 crores last quarter. Our rural business finance business has grown by about 34% in terms of book size. In spite of a tough operating environment, last year our tractor business grew by about 10%. Our two -wheeler business grew about 38%, pe rsonal loans. We actually slowed

down personal loans last year for about two quarters. We wanted to make sure that the digital journeys are retooled. Our risk metrics are far, far more strengthened and then we have again started growing our personal loans business. Sanjay Garyali, our Chief Executive for Urban Finance will cover it in his presentation. Home loans and LAP has grown in about 54% and SME has also grown at a very high rate albeit on a slow base .

If I look at the other work that has got done, we have transitioned from a Silo structure to a Matrix structure. We have divided the organization now into four regions, distribution regions. We got four very seasoned distribution professionals as Regional Business Heads and we have moved the organization to a matrix structure for a far more granular distribution focus. We have been recognized as a great place to work. We have built a 3 -Tier compliance structure. Our number of people in compliance last year at the same time, probably were eight people. Right now we are about 3x that number. We have put together a regional compliance structure. We put together a very strong compliance testing framework to make sure that the business that we do is done within a ll ambit of regulation. And last but not the least, I will spend some time on the technology part and though it's mentioned here that you know we launch ed Project Cyclops and AI -driven underwritten engine, in fact this will be explained in detail during th e presentation by our Chief Digital Officer and our Chief AI and Data Officer and you will have a fair understanding of this at the end of today's presentation. We institutionalize d NPS tracking for all lines of business starting of November 23 and our Chief O perating Officer, Raju Dodti will cover the details of that in his presentation.

In terms of technology, I will spend a lot of time on technology in the next slide, but the fact is that the focus has been on building omni -channel digital architecture which means you know you build solutions or you build product ized solutions which can operate on any channels or operate on any products. Use AI and ML technologies at the core and you will see how we are using at the core in the next slide. And last but not the least, build in -house application engineering capabilities. We have more than 3 00 application engineers right now divided into risk engineering, application engineering and product engineering. We have put in a state -of-the-art technology center in Bangalore. Our second technology center is coming in Mahape in Mumbai and we already have 300 of those engineers on board. In fact , Cyclops which is our first three -dimensional AI engine probably for the industry, create engine for the industry was built by our application engineers flat within a period of four months. And last but not the least, we have built a micro service based API stack which obviously is currently live on these two particular partners. We are going to announce another large partner tomorrow. So , if you are in the session tomorrow, you will see which large partner we are announcing tomorrow. And last but not the least, we have ramped up our brand visibility. We have launched a multi -channel brand marketing effort. You saw the ad, so I'll not spend too much time on it. And obviously Captain Bumrah has done boom to Austral ia today.

So this is, I will actually quickly click through it so that you get the full picture. This is our actually unified technolog y stack which we are imagining for tomorrow. You have to understand on

e thing that technology right now is moving
at a very, very f ast pace. Traditional methods of delivering technology or traditional methods of delivering financial services to technology is probably dead. Especially nothing more is more dead than your credit underwriting . And you will see we are using one word very e ffectively in this; that word is intelligence. Why do we use the word intelligence? Because the current tools which are available in terms of compute power, in terms of data availability and in terms of tools, whether be it in machine learning or through the AI tools which are currently available to make much more meaningful inferences out of the data and the structures about every customer which is available, and give inferences either in terms of credit decisioning, in terms of portfolio management or in terms of service. So that is why we are transitioning to an architecture which we call an intelligence -based architecture. And you will see in the presentations of our Chief Digital Officer, as well as C hief AI and Data Officer, how we are unpeeling these intelligence layers and building products around these intelligence layers.

I will take a little more time on credit intelligence. Traditional methods of underwriting I said is dead and I will repeat it again. Traditional methods of underwriting is dead because traditionally we used to take the customer's detail, we used to take the customer's income, we used to go to the Bureau and then used to underwrite. But the fact is that the data which is there in the Bureau, though it provides a rich history of the behavior of the custom er, it takes a little bit of lag data. Customer data is available on tap, on demand and in huge volumes, especially in India where during Diwali we almost had 800 million UPI transactions. A huge amounts of data are flowing through, both in terms of payments, in terms of micro -geography, or in terms of social media, or external marketplaces, especially e -commerce data. Now if you are able to triangulate all this data, which I call trust signals or micro -geography data you tend to get up a far, far more richer u nderstanding of the customer, which is what we mentioned as credit intelligence block out here. In fact, one of our major developments was Cyclops, which is the sort of the first product in the credit intelligence block, which we have built and we have ope rationalized in the month of June this year. And we are steadily scaling it up with very encouraging results and Debarag and Ramesh will sort of share some of the details and the resiliency of Cyclops in their presentation. Again, I'll click through all this. This is sort of the sort of the unpeeling of the various intelligence layer and what are the product boxes that lie in it. One of the things which I said initially was to move from an incremental disjointed approach to a product approach. That means wh en we take a solution, we build a solution like a product, that solution becomes a product box which is omni -channel, omni -product. That means, if I build something from two -wheeler, that particular skill of the products box that I have built for two -wheel er, I can actually pick it up and put it in for SME. I can actually pick it up and put it in for mortgage. What it does is that, it gives us this modular approach to product building and makes product rollouts much, much more faster. Like, for example, in portfolio intelligence, when you do portfolio management, most portfolio management in the country is reactive. That means, you really react after the horse is bolted. You do not have proactive portfolio management because on large po rtf

olios, when you hav e 25 million
customers, when you have 30 million customers, when you have 50 million customers, you cannot monitor customers individually. Current processes or technology of monitoring is basically you take cuts and then you try to make inferences based on cuts. But what this engine, for example, this is our next build which has started, which Debarag will spend time on, who is our Chief AI a nd Data Officer, is Project Nostradamus. It is basically a very high -end automated portfolio management engine that t he engineering team is trying to build, which moves L&T Finance from a reactive portfolio management paradigm to a proactive portfolio management paradigm. If you see, in the consent layer, we are already live on all these tools. These presentations are available and uploaded. You know, account aggregator is something that we have been focusing big time on. Right now, our account aggregator success rates are 91%. That means for every 100 pulls that we do on account aggregator, we get 91% account aggregator success, and Ramesh will cover some of those metrics in his presentation. If you look at ability to understand the customer, customer lifestyle index is an AI -based tool that we have built. This Debarag will cover in his presentation and we filed our first patent on customer lifestyle index. In fact, what my guidance to the team and what our guidance to the team is that, make 100 moonshots . We are not afraid of failure. We will pick up 100 projects. We will make moonshots against these 100 projects. We will try. If we fail, we will fail fast. But the fact is that out of these 100 moonshots that we take, even if 15 or 20 succeed, they will lead to a transformational outcome of the organization. That is why what we want to go forward with this particular organ ization. As I said, you know, in the ability to underwrite and the cr edit indigenous layer, the greens are the ones that have been sort of done yet. For example, decision through additional trust signals such as satellite data and digital footprint. We are using it in the beta that we are going to roll out in the month of December in underwriting our tractor business and Ramesh and Debarag and as well as Asheesh will also speak about it during their presentations.

Now, what will all this lead to? Obviously, this will lead to scale up of business at a low cost of acquisition and obviously lead to higher productivities. It will lead to stable and predictable credit costs. This is something that we do not want to compromise on. In fact, there is a joke internally where I say that all our middle name especially is credit. That means finally credit, you have to deliver credit with certainty. You have to use all tools to deliver credit with certainty. And if you are actually stable in this, you run a stable organization. Otherwise, you run a sinusoidal business approach which does not serve anybody right. Obviously, our focus is b est in class customer satisfaction. We talked about service intelligence. We will give you some examples of service intelligence in the next presentations. As I said, the modular approach allows us faster rollout of new product and stabilization. So the modular approach is allowing us to do products much, much faster. I talked about one particular product which has rolled out; especially Cyclops was rolled out in four months. Most of our products are seeing much faster turnarounds. And last but not the least, obviously, our expansion will be geo expansion, you know there are certain

markets we are not present. So we'd be obviously doing expansion of all our lines of products across the

country
so that we are able to -- and you know, one of the problems of doing this is this. You are scared to do geo expansion because you are scared of your credit cost going out of control. So at the core, if you build an engine that gives you very sort of standardized acquisition modularity, it helps you to underwrite the customer well and

understand the customer well. If it helps you to predict credit cost, as well as underwrite the customer by sifting through between the bads and the goods, you actually end up having a much more stable and predictable credit cost, which helps gives you the confidence to do geo expansion. What should it lead to? We expect to double the book size in the next three to four years. We expect a steady credit cost of 2% to 2.25% with a more of a bias towards 2%. Obviously, you saw that our current credit cost is about 2.59%, 2.6%. Now, obviously, all these numbers in the next three to five years' timeframe, you know, maybe, you know, this one we will try to get to about in the next 2 to 2.5 years' timeframe. All these changes that we are doing, it takes time to build. It takes time to show results, a sustainable 2.8 to 3 % ROA trajectory. And last but not the least, at 20%, 25% CAGR sustained growth trajectory. I get asked this question. Why don't you, can't you grow at much higher speed? Why can't you grow at 30%? Why can't you grow at 35%? I think, you know, it are hostess fo r courses. There are certain businesses for a short burst of time, you might go at higher speeds. But for an overall organization, I think this is the safe speed to grow at between 20% to 25 % with a bias towards 25 %.

Overall, we are an organization in the middle of enormous transformation. We are an organization in which we have actually sort of trying to push the needle on transformation on all lines. You know, on people transformation, we have hired some of the best people across the world. You know, our Chief AI and Data Officer, I searched f or them fr om all over the globe and got them from Silicon Valley. Our Marketing Head, she came from Pidilite and managing Fevicol, a marquee brand in the country. Our Business He ads, whomever we have hired new, they have had significant sort of track record. So in a way, we have sort of tried to position the organization for the leap forward. And in today's presentations, which my colleagues will take you through, I hope we will give you a sense of how we are taking the leap forward, apart from giving you some business data for which all of you are interested. Thank you so much. We have demo stalls of some of this which have been sort of made and kept in the hall next to, this particular hall. And once I am through, we are through with the presentation, we would like you to join us in the demo stalls and see for yourselves some of the solutions, how they are operating. Thank you so much. And I will see you around after the presentation is over. Now I will hand over to Ramesh. Ramesh Aithal, our Chief Digital Officer, to take you through the digital transformation part of our journey.

Ramesh Aithal :
Thank you. Thank you, Sudipta. Welcome, everyone. I'm here, obviously to take you through how technology is transforming the BFSI space and how L&T Finance is also kind of fronting it. All right, before I start off, perhaps a brief about myself. I've been in the industry for over two decades, primarily worked early on in my career with Fintechs like Citibank and Goldman Sachs, where I stayed for a very, very long time, more than a decade, primarily working on products, building trading platforms f or trade derivatives, mortgage derivatives, futures, options, interest rate products and structured products. Built that for a long time and then moved on to manage the risk platforms for Goldman Sachs; primarily for Asia, market risk products. Again, you know, shocking stress, the portfolios and figuring out what implications a

re there for the portfolio at Goldman Sachs. Moving on from there,
after like I said, over a decade, started working at a mid -level Silicon startup, Silicon Valley startup that was primarily working on Payroll and HR software and led the teams for India, and then moved to a more Deep Tech Valley comp any named Elastic, where we built search engines f or Fortune 500 companies. Around 10 months ago, I ended up taking this role at L&T Finance and here I am.

All right. Before we move on, I want to kind of perhaps take you through some trends across in the BFSI industry. No technology presentation would perhaps be appropriate without saying our pronouns to Generative AI. In the last couple of years, since it's come onto the mainstream, it's moved from primarily an experimental project for the most part, and in certain pockets of technology domain to the mainstream. And while it has moved to the mainstream, now we are beginning to see applications in the real wor ld employing this technology.

A few key features of that, one of the things that came out in a recent research report by a VC firm in the Valley is that, in Generative AI, just over the last year alone, the spend has gone up six times, from $2.5 billion to around $13 billion. And this is, again, keeping aside all the huge spend that the big tech is doing anyway, primarily on those foundational platforms. Aside from that, what is noticeable is a shift from broad -based models that we are all used to, like the ChatGPTs of the world to more vertically integrated models that are being used in specific areas in finance, sales, marketing and so on. I think the future is here, especially in this field and we are witnessing it first -hand. Moving on from that, another hot topic at the moment is about hyper -personalization. I mean, we are in the age of instant gratification. Whether it be your hyper -local groceries or how you consume your content, everything is getting personalized . Very soon, we'll be able to kind of offer you a lo wer, interest rat e mortgages in the development next to your office, based on the commute times that you are spending in Mumbai. We're not there yet, but we'll get there. The next development is about the open lending ecosystem, the India Stack that Sudipta also referred to earlier. This is an area where there is a complex interplay of market participants, the government, NBFCs, banks, all playing their own part and buildin g a very competitive flat ecosystem. While this is great and there are business implications, it's ver y, very interesting because from a technology standpoint, it dramatically increases the complexity of the systems that we build. Just as an example, in our supply chain finance business, recently, we built an integration and we onboarded a new system and there were more than 30 plus external integrations that we had to plug in. That tells you the extent of the complexity, and I'll c ome more on that in the subsequent slides.

The next part is around Cloud. Cloud is used in 80 % plus of the industry already. In most banks, you have heard of Cloud, but even Cloud architectures are evolving into more managed services, primarily because of the trends around how managing it and tryi ng to bring in more robust data resiliency in the industry.

The last part, of course, is data protection. On the one hand, you have the government with its data privacy laws, the upcoming DPDP Act and on the other hand, you have threat actors that are constantly evolving strategies to disrupt the business. In the m iddle, we need to maintain our sanity in terms of defending ourselves from these actors . Moving on, this

is a slide that you've just seen from Sudipta and I'll do a deep dive into some of these layers where we've been able to impact or in the process of im pacting, from a technology standpoint. The first one, of course is the customer consent and verification layer.

Customer consent, obviously, this is critical. Customer consent and verification is integral to any business that we do at our company. It is a cornerstone of trust. A few years ago, a lot of customer information and data was collected on pen and paper, ju st a couple of years ago as well. With the India Stack, now you have a consent architecture in place. You have a complex interplay of companies, like I mentioned, aggregators, data sources from the government primarily, as well as industry participants, an d we have our NBFC kind of consumers of the data. This is leading to a lot more frictionless customer experience in the market. A couple of examples I want to take you through here is primarily, the first one is around what we call as our account aggregator implementation. Here, we've taken the process of collecting a customer's bank statement and verifying it and using that in or der to process a loan to a much, much more early TAT or Turn Around Time from around 15 minutes or days in some cases to seconds , 15 seconds. This is something that's been possible primarily because of the ecosystem and we are a big participant in it. The next example is around how we are able to use, again, customer information to provide them a better way of managing their finances. The PFM tool app is actually going to be launched within our PLANET app in the coming weeks. Going back to take you through some data around how many integrations we've built, there's a sizable number. I'm not going to cite through all of them. The onl y thing I would want to call out is the metrics on the far right side. We have 100% of onboarding of customers happening on PL digitally via V-KYC. E -sign is 100%. Again, cashless collection in our businesses, 60% excluding some of the rural businesses. Customer onboarding via DigiLocker is 80% and I'm happy to report that this number is likely to go up again further because just last week we received our biometric KYC license as well. All in all, this is something that we are definitely investing heavily into to provide a compliant, convenient, and frictionless customer experience.

The next layer I'll talk about is customer intelligence. What we're trying to do is get deeper into the minds of the customer. How are we doing that? Again, harnessing the ecosystem. 50 plus fintech partnerships already built . And more on the way. What that enables us to do is collect up to 10,000 data points. 10,000 data points. Humanly, this is not possible happening through the technology that we have . Customized offerings enables us to get early warning signals, propensity to default, and much more. Aga in, I do have a couple of examples to show you how deep we are getting into how our information gathering as well as our customer onboarding is. Two examples here. The first one is the video personal discussion that I'll share a quick example of right now. This is our friend, our credit manager, Dhananjay Singh, in Bihar talking to a customer about their tractor business and understanding this information in their credit appraisal process. The next one is in the microloan space. Currently, our microloan tea m wakes up early in the morning, plans their routine to collect money from the customers and fairly long route in remote areas and remote corners of their vicinity, of their jurisdiction, as well as, you know, finding out where the banks are

. All this info rmation fed into the system, we're able to provide them the most optimal route to collect the money as well as deposit the money. The next part is about credit intelligence. As you saw in the earlier slides, we had data, we collected data, we have develope d insights into the data. How do we use it . That leads us to credit intelligence. Sudipta referred to the product project Cyclops, rather. The story goes that sometime early this year, Sudipta set us a target about building the next state -of-the-art credit underwriting system with higher approval rates, the ability to use alternate data sources, the ability to use AI models, runtime customer evaluation, and also do it in a very, very rapid way with high enough volume as well. And over the course

of the next four months from early Jan, we put a multidisciplinary team together across different businesses, as well as technology, analytics, AI, ML, all those teams came together to deliver this completely in -house. I want to take you through the high -level system design of this product. As I referred to earlier, we have data that's coming in from the outside, alternate trust signals, geo -signals, AI, and the bureau. We have internal data coming in from the data lake and data warehouse that we have from the custome rs. We have our AI models also deployed, and from the front end, we get our applications to give us customer information.
And we have the system that's kind of going to process this data at lightning speed. From an engineering standpoint, this challenge we've undertook kind of perhaps falls into a certain framework, what we would call it as the 4V framework, and that's how it's been designed. It's been designed for Velocity, Veracity, Variety, and Volume. I'll take you through that, starting with Variety.

Today, we know that data is not consistent. It's coming in from a diverse set of sources. We have 16 plus alternate data sources, and we have the ability to handle disparate data sources seamlessly. The next one is Volume. We have massive volume handling capacity. This is built on a microservices -based architectur e with the ability to horizontally scale. And today, we have currently benchmarked it for about 200,000 transactions per day. The next one is on Velocity. Sorry. This is about the ability to make in rapid decisions quickly. And to be able to do that, we have employed fast API, a very low latency design, as well as what I call parallel processing. We're able to take 100 hits per second, primarily on most of our APIs. Finally, couple that with the Veracity part of it, which is the ability to deal with incomplete datasets. Like I said, you have 30 integrations in some cases for a simple business, and what that does is you have to rely on data being incomplete, and to be able to deliver information and process even with some of those data sources not being preva lent or being faulty. And that is the ability that we have built with this system. 100% data reliable with no data loss. All -in-all, we've delivered this for our two -wheeler business a few months ago, and farm is coming up very soon, and subsequent businesses will follow after that. Just a snapshot of what we have delivered . We have the ability to process 2,500 data variables and crunch it down to 733 data variables on which we make our decisions . As I said, API, super fast APIs. 4x improved throughput, and finally, this was tested during our recent Dhanteras where we had up to 56,000 hits. The capacity, as I told you, is around 200,000, so we've still not reached there. With other businesses, our hope is that we'll get there very soon, and then we'll scale up again.

The next part is around portfolio intelligence. This is somewhere, again, our tech team is quite excited, as you can see, with delivery of Cyclops, and now we are looking at the next frontier to cross, and that's about portfolio intelligence. This is the p roject t

hat Sudipta talked about, referred to earlier, which we call as the project
Nostradamus. The idea is to build a state -of-the-art automated portfolio management system with predictive risk

management capabilities. We have an initial system blueprint in place. We are happy to share that with you. Again, the key features will be the ability to push data at scale, to process data, again, at low latency speeds, and to develop the ability to predict and risk model and run your simulations in real time. Finally, obviously, for the users, to provide them with functional views that they can use in day -to-day decision making and decide, you know, how the portfolio is doing. All of this, the team has a lready been put in place, and it's a completely in -house team, like I mentioned. We have conceptualized the time, the design, we are working on policy and the next steps, and we are planning to roll out in Q2, Q3 of the following year. Pretty excited about this development for us.

The last part, of course, is service intelligence. I mean, most of the earlier parts, layers that we talked about, they're point -in-time things, usually, usually. But service intelligence is something that stays with you for a long time, because customers stay with you thro ughout the tenure of a loan. And what we've done is, we've, again, massively invested in digitizing the customer experience, so that there is a huge element of personalization that can happen, the huge element of engagement that can happen with the custome r. We've increased our digital servicing platforms to seven at the moment, from one. We've gone to 200 -plus servicing options completely online, self-service, and that has taken us to, in two years, to 90% digital servicing of our customers. We don't intend t o stop there. We continue to invest in automation. Robotic process automation has enabled 80,000 hours of savings in our operations functions, just pure last year alone. We are focusing more on the analytics that we can derive from our speech and call c enters, as well as investing further in our flagship D2C offering, which is PLANET.

That takes me to PLANET, which is our offering. Launched a couple of years ago, we had 1.3 crore user downloads right now. This is obviously enabled by around 208 services and 18 business journeys already on the app. Seven engagement journeys, and obviousl y, in India, we've got to be multilingual. Here are some charts that takes you to the extent of the impact . We have around, the number I want you to look at is the 1.9 million MAUs we have on the app alone. We've done a business of more than Rs. 1,500 cror e, around Rs. 500 crores coming from new businesses, Rs. 1,100 crores from cross -sell, and we are already at 4.5 on the app Play Store, and we have the top search results on a lot of the keywords that you would normally employ when you search for a loan. Evolving on that platform, 1.0 was primarily on correction servicing two years ago. Early this year, we launched 2.0. This is coupled with all the business journeys, and now, within the next two weeks, you'll hear about launch of the 3.0 app that will be a complet e revamp on the user experience, a brand new design with a completely revamped backend as well. All of this, again, focused on delivering a consistent user experience across all our platforms. I'll take a short detour from here to tell you how this is poss ible by taking you through three broad categories of modernization that we're employing. The first one is on productivity. You can't get to where we want to get to without focusing on our productivity of our teams, and three specific call -outs there is

on the speed.
We've been able to develop things faster, 20% increase, primarily by using a lot of AI tools. Moving on, agility. By employing agile practices in the industry, we're able to get to 50% more productivity, even with business scenarios changing so rapidly. And finally, a lot of our change management has been streamlined and 40% reduction in incidents, primarily because we are able to develop tools and deploy them for automated testing and deployment Moving on, API stack. I already talked to you. We are focusing on super -fast APIs. Primarily, if you see, we have 500 plus APIs right now, and we are benchmarking to around 30 milliseconds on average response time, and we intend to take that further. What that allows us to do is to reuse code, deploy them quickly in a modular way, and reduce risk of failure because you can plug and play as you need them. Finally, cloud compute. We are going to evolve further from cloud, single cloud dependency that we had earlier to a more hybrid cloud mode. And the reason is, it's primarily because dependency on one cloud or one vendor or one set of rules is always constr aining. As an NBFC, we know we have to evolve and cloud architectures are evolving as well, and so we'll be moving more to a more public private cloud set up that will enable us to deliver on our user experience goals as well as on our scale goals much easier. And on this topic, RBI themselves wanted to get into the act by competing with Google and Microsoft, and I think just last week they announced a new c loud offering that's going to be coming and that will be available to financial industry participants.

Obviously, the next slide is around cybersecurity. There is a whirlpool of insecurities that keep cropping all the time, and if you are not careful enough, you can get caught. And we constantly have to focus on being one step

ahead of our threats. A lot of names here might be familiar to you. What's interesting is something called a supply chain attack, where threat actors identify the weakest link in your supply chain and get a backdoor to enter your systems and take down or cause, let's say, malicious content, software, anything like that, de ploy that by coming in through the backdoor. And that's something to watch out for. That's very new in the industry. We've built a Zero Trust Architecture that would enable every device to authenticate itself and register for every transaction that would happen. And we continuously monitor it through human as well as automated AI, advanced AI systems, to enable that we are, like I said, one step ahead of the threats.

Finally, regulatory compliance forces us, because that's the oxygen of the entire industry, to make sure that we are on constant vigil. Finally, like I said, like most folks here are people who love numbers, so I thought I'll leave you with a slide where w e talk briefly on the metrics that we've managed to kind of call out, share with you some metrics, not all of them, but a few key ones here, where first one is on the sourcing, where we'll be able to bring down sanction to less than five minutes for our ML, PL, and two -wheeler businesses. Disbursement collections, again, from minutes to seconds. Servicing, 24 lakh rural users on PLANET alone are using our app. Rural users, not urban. Retention, 10 plus offerings, primarily driving engagement. Increasing engagement, more on the app. These ar e metrics that I'm really happy, proud of to share with you. Because there have been efforts, sustained efforts made in this direction, and they're trying to bear fruit. 40% increase in cross -sell, 60% increase in D2C disbursements, di

rect -to-customer disbursements through our app, mostly. 25% increase in offer conversions,
and 30% increase in contacti bility and search through our advances. To sum it up, we are future -proofing growth with smarter engineering and cutting -edge technology. Thank you. I next call upon Dr. Debarag Banerjee, who's our Chief AI and Data Officer, to take the stage .

Debarag Banerjee :
Thank you, Ramesh. So we heard of how we are transforming the business of lending, and I'm going to talk about how we are doing it through AI. Briefly about me, I started this journey of AI 30 years ago when I wrote my first paper on Neural Networks published at IEEE back in 1 994 when I was doing my undergrad back here in India at IIT Kharagpur. Then I went over to the Valley, did my PhD at Stanford, founded two successful companies, both exited to public companies, one of my few, and served as executive leadership in tech comp anies that are household names by now. Then my career took a right hand turn where I was part of this journey by Reliance to connect all Indians, 200 million plus, through the launch of what at that time was World’s most advanced 4G

network JIO. I stayed over to then bring the first commercial GenAI application, that too in the field of fashion, at Myntra, which is as part of Flipkart now acquired by Walmart. Fast forward to now, I am now heading AI and data right here at L&T Finance, and what excites me he re is that I saw India get ting connected, highest volume of mobile data with the lowest prices anywhere in the world. On top of it, e -commerce is growing, newer and newer applications every day, and not just e -commerce but e -government. So all of the government paperwork is coming digital, U PI, Aadhaar, and so on and so forth, the India stack.

So what is next? I think this mass of data with the combination of AI as it mature, as I have seen it mature through all these 30 years, is just right to bring credit to the masses and unlock value and make that frictionless, personalized experience with a deep understanding of all Indians. So that's what brings us here at L&T Finance. Sudipta and Ramesh talked about the pillars, the five pillars of intelligence. I'm going to walk you through them one by one.

Credit intelligence. The first step that we took in that is what we heard about as the project Cyclops. Just like Cyclops the giant, we are looking at data that is not just credit bureau data to understand each and every customers who come and apply for a two-wheeler loan. With their permission, we look at their bank statements, their digital payment signatures, and also geo -intelligence based on their home location addresses as to what kind of affluency is there in the neighborhood. And then with these dat a correlated with the past performances of our past customers, we can build delinquent models for each of them. For not just credit, but banking information models, payment information models, and also geo -intelligence models. And they produce, as you can see, a

decent level of accuracy. GINI is a commonly used score, as you know, especially in the financial industry, for measuring accuracy of especially classification models. However, what's interesting is when we then combine this information together, we arrive at an accuracy that is fa r better than even the individual accuracies of the individual models. And that leads us to a much sharper razor. With that razor, we can segment customers from the best to the worst based on what we predict is going to be their d elinquency rates. Now, what do we do with the segments? So for the best segments, we give the best offers

. Segment one, we give 97.5% LTF on an average
so that they only have to pay 2.5% in down payment. Very good interest rates. But then for the less good segments and the worst segments of all, we increase the interest rates and decrease the LTVs. The result is that when we look at the actual uptake of these offers, the ABNDs, which is the Approved But Not Disbursed Rate, we see the best segments having the most uptake because they have the lowest ABND. But it goes up as we go up the stack in terms of the worthiness of the customers. Now, what does that do? It means we are bringing in more of the good customers and less of the worse. So you can actually see that effect in our customer distributions. The blue is how our customer distribution was before we launched Cyclops. Now, because more of the better customers are coming to us and less of the worst customers, we see a definite distortion in this distribution towards the better customers. Now, not surprisingly, that means we are bringing down the delinquency rates because better customers bring better reliability. This is already evidenced by a 64 % fall in net non -starters. Now, you may wonder, is this better performance coming at the cost of not making enough loans? Actually, it's the exact opposite. So, we are right now running essentially an A -B experiment where we have two legs, the non -Cyclops leg in yellow and the Cyclops leg in gray. And over time, we have ramped up the percentage of loans that are going through the Cyclops engine. As you can see, until the launch of Cyclops, they were in lockstep. But after that, a divergence happened. We ar e actually bringing in far more customers through Cyclops than is happening with the non -Cyclops leg, which is why we are, in a measured pace, increasing the number of people coming in through Cyclops. So this is proof that all of this alternate data to understand customers actually work. But we are not just using Cyclops in two wheelers. We are taking it to rural India as well. The first step is farm loans, tractor loans. We are one of the bigger tracto r lenders in India and part of the world. The difficul ty with tractor loans is that it is very hard, apparently, to predict whether a particular farmer using a particular tractor in a particular land is going to have a good outcome, good financial outcome, good income, and so on and so forth or not. And we ha ve actually been able to crack this puzzle, not only by using all of those other information of two wheelers that I described, but in addition, in this case, we are bringing in data from the meteorological offices, the weather data, as well as satellite in formation. So from that, we can actually enhance that model and bring in greater accuracy in predicting, given a particular type of soil, given a particular depth of soil, given a particular temperature range or rainfall range, whatever may be applicable for that par ticular soil, whether that tractor loan is going to have a higher or a lower probability of going into default. These sets of models are going into production as actual digital underwriting models by the end of this year.

Coming to customer intelligence, one of the harder problems in credit is understanding whether a particular customer is going to go prime or not before they have gone prime, according to Bureau records. Bureau records, as you all know, are lagging indicato rs. So with all this other data at our fingertips, is it possible for us to catch that customer who is going to be a good customer early or not? And we believe the answer is yes. To give you some thought about it, about what are the, you know, kind of ways you can think that might be possible, imagine a young fellow coming from a good neighborhood, taking a tractor, a two -wheeler loan. We see that he is using a good phone, he is dining at the best places in town, and he is going to a good college. He is probably set well enough in lif

e that he continues, that although his Bureau record at that point is pretty thin, he will probably go on a journey that will eventually make him one of the prime customers who will eventually end up buying an expensive house, e xpensive furnitures, good vacations that he will take on credit cards and personal loans that he will not only take but pay off pretty early and so on and so forth. All of those are fingerprints that are available from all of these alternative sources of data. So , we are doubling up on understanding customers above and beyond just at the time of disbursement and following their journey and understanding which ones will become prime. Not only can we do this for urban India, but even in rural India, imagine a family that where the lady of the house starts off with a microfinance loan, but then it turns out that our satellite and other reach indicators point to a good house, rich village, good kids' education. It probably gives a better idea that they will do g ood in life and so forth. And

then they may be eligible for -- or the farmer in the family may become eligible for tractor loans. Good ideas about all these good land indicators and so forth may mean that they will be a better upsell customers as well. Gold loans are usually a flag, bu t if they are getting paid off early, that's probably an indicator of their resilience. A good house in the village and in general the village being in a good geographical area with good GDP, all of those can indicate early signals of a prime customer. So this is a thesis that actually brings up the Nostradamus concept that I'll talk about a little later. But before that, you may wonder, in rural India, are there enough digital footprints to really make all this happen? And in a traditional sense, in a traditional structured data sense, bank statements and credit bureaus and so on and so forth, perhaps not that much. But 90% of the data in the world is actually unstructured. And we are in a methodical mission to unlock value from them. An example, imagine a microfinance customer as part of their KYC process, our FLO has to go and get a picture of them with the house behind them. And that KYC picture we can use with a multimodal LLM to understand the signals about whether this is a good house or not and give a score about their lifestyle index. We're using this today and we are taking those better scoring customers and upselling them into, or rather cross -selling them into micro LAP loans. This, by the way, we have invented and filed a patent on. That's not the only example. It is well known that microfinance customers who attend the monthly meetings are far less likely to default. So can we identify them? This is an actual picture of a microfinance meeting snapped by the FLO. We can take hundreds and thousands of these pictures, go through an advanced AI model based on deep learning architectures and understand from the existing KYC images which of them attended the meeting and who did not. And based on that, we can understand who are we going to upsell and who are we going to suppress? Not only is this applicable for images, but another kind of unstructured data is text conversations. One of the hardest problems in microfinance is identifying those customers who have the resiliency to continue paying a loan versus those who may flip on a bad economic situation. For that we are sending out psychometric questionnaires that don't have a clearly correct answer, but then we analyze them using GenAI and other technologies to give them a psychometric resilience score wh ich we are in the process of evaluating as to how much difference they will

make in loans. Now all of this, of course,
requires a lot of data and you may ask is it worth it? So we came up with this concept of RODI, return on data investment. Simply put, how many rupees of credit losses are we suppressing for every rupee of data that we spend to acquire and process that data? It turns out that while the premium bureau sources are fairly good, has a pretty positive RODI, some of these other alternative source s have RODI that far exceed them. So this validates the path not just from a purely underwriting model improvement, but doing that in a sustainable way and that's why we are going after a host of other data sources in a structured ethical way to extract va lue from them.

Now we talked about portfolio intelligence, so project Nostradamus is going to be the first step in that where after onboarding, we keep taking a periodic peak at that customer and see whether they have improved their risk and resilience score in which case we can try to put them in the right buckets for cross -sells and upsells or whether we are getting questionable signals which lead us to then look up all of their available sources and understand whether there's a red flag and act on that by giving them to collection teams far before their DPD may actually turn positive. This is proactive management of portfolios and is only possible through data and models and looking at them very frequently. Now at the end of the day, we are in a B2C business and for that we have to talk to the customers in their own terms and give them value, let them understand our products. For that the industry has been trying to use chatbots. Generally, today's chatbot as they exist tend to be very non -conversational, they don't understand UL. And even if they do, a lot of them are not connected to the right agents underneath to actually bring out value and they sometimes ask you to do some very structured kind of data fill up like okay fill up this form o r this particular format and so on and so forth and sometimes they are too menu driven, click here, click there rather than being something that is truly of a human -like nature. Instead we need conversational chatbots that actually converse to you like a mortgage officer would. We need something that is truly well equipped. You need an amortization schedule, here it is, download, take it and use it, bookmark it, come back. You need somet hing where you can actually use this in a dynamic way. You want to talk to it in English, fine. Hindi, fine. You want to ask cryptic questions, you want to ask longer questions, fine. It should dynamically adapt and finally it should be interactive. It sho uld not be just a static menu. You should be able to see where you are and all that. We have that as a demo today in the room next door along with four other demos of AI products that we have

built and we are in the process of revealing to the world. There will be more tomorrow where you are all invited. I ask upon Sonia, the Chief of our rural business to now come and talk about the wonderful things there .

Sonia Krishnankutty :

Good evening, everyone, and welcome to the analyst meeting. Before we start, just a self introduction. So I have been in this organization for the last 16.5 years, managed diverse functions covering risk, collections, farm equipment finance business and in the last five years I have been managing the rural business finance which primarily comprises of microfinance as well as the joint liability group loans that we give. So just moving on after the digital as well as the AIML presentations, we will have a qu ick insight into the business realities and where te

ch and data is used and leveraged extensively to build the business. Microfinance as all of you are aware has evolved over the last 18 -20 years in our country and moved from a business which was providing financial assistance to rural women in the underbanked areas. It has come a long way and evolved quite a lot. The construct of the business, the realities of the business have changed in these years. It has increased a lot of formal finance penetration in the rural areas. It has ensured that there is formal credit access to the rural population. It has also improved the digital financial penetration in these rural areas and helped women set up sustainable livelihoods as well. Now this business as all of you are aware is prone to a lot of event risk, whether it is natural events like COVID or natural calamity or even man -made events like what we saw in An dhra, in Assam, demonetization. These are all man -made events. Irrespective of whether it is man -made or whether it is natural, we have seen that over the years this business has actually surpassed all these crises, has shown resilience in coming out of it, surviving and growing as well. That is the reality of this business.

Now what I am going to talk about is our journey in this business. We have been in this business for the last 15 years. Started off in 2008, completed almost 15 years in this business. Started off from the southern part of India. What you can see over here , from the southern part of India we moved to the eastern part and then to west and then to north. So between 2008 to 2021 is how our journey covered almost the entire part of India, except northeast. So while we grew our business like this, our presence s pread almost over to 16 states. We cater to around 350 -odd districts, 1,80,000 villages. We have around 18,500 people who manage this business, including the field level officers and we also have 1,900 -odd branches as we speak right now which cater to this business. Now if you look at our growth that has happened in the last couple of years. In 2018, we were a Rs. 7,500 crores book. From there we have been systematically growing for almost a year and a half and we had the COVID scenario happening and for the next two years, there was a pause that we took on the business front just like what happened in the industry and post that the business has been growing in a very healthy way. Now as many of you would be aware, we stand among the top five financiers in the country of the JLG industry which is almost Rs. 4.5 lakh crores in size. We have a 1.3 crores captive customer base and 65 lakhs of active customer base today. Now if I look at the journey that we have built as a part of this last couple of years, our journey essentially on the tech and data side starte d off in 2018. So this was a time when this business typically was done as a very traditional brick -and-mortar model. This is a time when we envisaged that we need to have a sourcing app as well as a collection onlin e sourcing as well as a collection app to be there so that we enable the field force to serve the customers better. So in 2018 is when we first started this industry. First we developed a sourcing app so that all applications get sourced digitally and then we also had an online receipting system wherein the mobile receipts would be issued by way of thermal printers to the customers. So that's something that we introduced way back in 2018. 2018 as many of you will be aware, we had a crisis in one of our prom inent states in the east, post that we took a step back and we looked at what sort of credit risk guardrails and portfolio monitoring guardrail should be there to ensure that we don't suffer any sort of an eventuality like that in future. So the next three points that you see over here, the trigger -based early warning signal, this is something we developed consciously to track the leverage or the exposure of customers in eac

h market to see whether the customers are borrowing beyond their mean s. And if it is happening, it gives us early signals of increasing heatedness in that market and hence we can take proactive actions to be away from that market. So this is the early warning signal that we developed. The maker -checker workflow that we introduced, this was again industry first, this we introduced early part of

2019, is to have an independent assessment vertical which is not the business team who does the sourcing of

the cases and this would avoid any sort of bias that would come in as part of the business sourcing team's interest in achieving their targets. So this independent vertical which was separately assessing the business was almost rejecting 11 to 12 percentag e of cases which get sourced which gave us an additional comfort that the quality of the business that we are doing is great. The last point is about validating that the customer who is onboarded and the bank account to which the funds gets digitally dispe rsed is one and the same. So we developed an algorithm which was checking the name of the customer from the penny credit reverse feed that we get from the bank, compare it to the name and the application and ensure that the bank account is the same. So thi s ensured that there are no dummy cases which are happening. So these three were done as part of the portfolio strengthening framework.

Between '20 to '22, as you are aware, we had COVID. So this was a step back when we took and we saw how do we build efficiencies and processes in the system. And this is when we understood that during the field verification, when the customer logs in the a pplication and the application goes through the various internal rule checks and the credit rule checks, it's after a period that you are able to tell the customer that the customer loan gets rejected or approved and the throughput normally for this busine ss remains around 50 -odd percentage, 50 - 55 percentage. So the remaining 45 percentage of customers where you actually enter all the data, there's a loss of time of the field level officer which happens. There's a loss of time wherein you are not able to gi ve a decision to the customer. So we developed a system wherein we can give an instant principal credit approval at the field level by doing an instant bureau check. So this actually enabled improve the productivity and waste of time was avoided because im mediately you could communicate the decision to the customer. We also saw that as part of our book during COVID that we had a large repeat customer base and before that we had a product which was towards the lag end of the cycle which is at the 24th month or the 21st month which is when a customer becomes eligible for a repeat loan. So we decided to take a step back and see which is the stage in the life cycle that the customer looks for a repeat loan and why not we have a product in the midterm. And we cam e out with a product which is at 15 months when the customer completes a cycle, but we ensured that we made the credit risk guardrail so strong that it can only go to a zero DPD customer, ever zero DPD customer, ODD customer. This pre -approved midterm rene wal product was made available. We launched digital collections. This was post COVID. During COVID when our field machinery could not go to the field, for the first time, industry first, we had the QR code which was a dynamic QR code specifically linked to each loan agreement as part of the passbook so that the customer at the convenience of a home even if the field officer is not able to reach her was able to pay her installments and ensure that her

loan remains in zero DPD. The last one was about the customer liveliness checks that we ensured. This was done by integrating with D igio by ensuring that the photo captured is of a live customer and it's not a photo captured of another photo or a dummy case which is getting captured. So these are all risk contro l measures that we put in place.

Moving on to the next period which is '22 -'23. While I said that in 2018 we developed a sourcing app and a collection app, we took a call to unify both the apps so that the same officer who is on the field doing both business and collections will have the comfort of logging into one app and servicing the customer both on business as well as collections. We also had tailor -made pre -approved offers for customers. This was the customer pool. The entire customer pool will run through all the rule engines in the beginning before the field officer approaches the customer and a pool of almost 15 lakhs to 18 lakhs customer pool which qualifies all the credit checks, all the internal checks is provided to the field team so that they can do very focused bombardment of the cases and the repeat conversion improves. So this actually helped in improving the productivity quite a lot. We also implemented smart document management system by incorporating OCR and ML checks to ensure that the KYC checks happen, are validated well in time and immediately. We also built -- this was in 2022 when the regulation required us to do an income assessment of the customer, we built a system calculator, built trade activities behind in the system to have a calculation of the income happenin g at the backend when the input parameters are provided so that there is no chance of a manual bias or a manual error happening in the calculation. So this was implemented in March '22. Moving on to '23 -'24, as part of the document management system, e -agreement and e -signing, we moved into 100 percentage paperless journey. So today there is no paper that moves as part of this business sourcing till disbursement. We also integrated with m ultiple technology partners like HyperVerge, Karza to ensure that there are KYC checks and validations happening immediately. We adopted geospatial technology. This is about looking at the data at a pin code level, a granular level of information to no pin code level, delinquencies pin code level, exposures pin code level, business expansion that happens, business growth that com petitors has, every level of data at a pin code level. We check before we decide whether to be in a market, when to enter, when to exit a market. That's something that we adopted. And the last one, this was mentioned in the previous presentation about automated route maps. This was done by comparing the lat -long of the customer with the lat -long of the field agent when he goes out to collect and ensuring that in the shortest possible route he is able to cover maximum number of customers, which improved the efficiency.

Moving on to more current period, we are at the cusp of almost 25% digital collections from the time we started off doing this. There are four multiple options which have been given to customers who can pay through either the QR code or BBPS or an SMS link that they can pay. They can also pay through the PLANET app. We have introduced a DIY journey for these customers. This is for repeat customers who actually would want to get a new renewal of their loan. And when the field officer is not available, she ca n download PLANET app and log in her application, and the application takes the due course. So that's something that we have developed as part of our internal

conversion. We developed a customer leverage tracker. This was extremely important because in the last one year, in fact, even by the end of almost 2023, we could see that the leverage in particular markets are increasing. Every market was showing a different this. An d so we implemented a leverage tracker in terms of average customer leverage in each of these markets, what should be the threshold, where are we, where is our customer leverage heading towards? And then we risk categorize these customers into high, medium, low risk, and ensure that when we take an exposure, we take exposure on lower leverage customers. So this was implemented. And the last one is about building internal efficiencies by reducing m anual work by ensuring that we do better credit decisioning. We utilize AI quite a lot. Now here it finishes off the journey that we had in buildi ng this business. Now if I clearly look at on the themes of grow, harvest, and protect, how did we scale up our business is what I mentioned over here. So the loan operating system that we have over here, the LOS on which the business happens is a homegrow n system. And this homegrown system has the capability tool for login of almost 7 lakh applications a month. When you have 13,500 people working on the app at the same time, sourcing and collections, it manages it. So it's extremely customized for our requ irements. We have an app -based digital sourcing journey, which I have explained already, 100% digital disbursement, and an instant credit assessment. As part of data, I mentioned about looking at pin code level granular data to take credit calls, to take calls of ge o-expansion. We also do integrations by way of managing the third -party service providers to ensure that the KYC validations are in place. What this has helped us achieve is what you see down there, which is about average monthly disbursements, w hich you can see over here. It's not working. So what you can see over here is that disbursement is at -- there's a 27 percentage increase in disbursement. Our monthly disbursement moved from Rs. 1,400 crores to almost Rs. 1,800 crores. The FLO productivity moved from Rs. 15 lakhs to Rs. 18 lakhs. That's another achievement that we could build in by improving the process and efficiencies. The process enhancement, the average log into disbursement time got cut down by almost 50%, 100% paperless journey, some thing that we could achieve and 12 lakh customers have already downloaded PLANET app and almost 2, 2.5 lakh customers use the PLANET app every month for services. Now on the right side, what you see is the way forward for these businesses. So on customer l ifestyle index, some of the things which Debarag also explained. This is about understanding the affluence and the financial stability of the customer to understand what sort of income that she can generate and she can repay, and hence taking the right cus tomer calls is what we are working on. AI-backed geo-expansion, beyond what we today look at bureau in terms of pin code and granular level data, looking at other tertiary data like the presence of a river, presence of a bridge, or the geography which is prone to flood or drought. These are oth er factors which we'll be integrating into before we undertake any geo -expansion. AI -based helpline, both for employees as well as customers for clarifying any doubts on the product or the policy or interest rates or the process is something that we are putting in place. Alternate data for these customers to enrich information about the customers so that we take the right customer calls is something that we are working on. Moving on to harvesting existing customer base. As I mentioned, we have a very rich repeat customer base in our book. So what we have done is we have implemented straight through processing journeys for these customers so that those customers do not face any cumbersome journeys and have the easiest proces

s to be

followed to avail a loan. We have also launched express journeys for Green Channel customers. This is a group which is fully eligible for a repeat loan, all of them qualifying all the credit parameters that we have defined for a repeat loan, which is an ex press journey that we have put in place. We're also working on a propensity model which will tell us what is the time in the life cycle of a customer where the customer would be looking out for funds and ensuring that we give them an offer at the right tim e? As part of data, I already explained that we have a pre -qualified customer pool given out to the field to improve field efficiency. We also use this entire customer database to ensure that we cross -sell the micro LAP product which we started off last ye ar. The last one is about providing risk-based pricing. So what we have done is we have segmented customers' basis, the number of associations that they have and the leverage that they have, and then enabled differentiated risk -based pricing so that we giv e the best pricing to the lowest leverage and the best creditworthy and the lowest association customer. So an exclusive customer who has the lowest leverage outside gets the best rate that we can offer to.

So what has this resulted in? We have got almost a 40 percentage unique customer base, which is customers who have no other loans, only loans with us. We have a 67 percentage repeat base, which is both these are clear strengths of our portfolio. And we have 10 percentage of the micro LAP business, which happens today, happening through cross -selling from this existing base. Now on the right side, what you see is the way forward, which is predictive geo -analytics, which I explained. Understanding more about the customer by looking at the customer lifestyle patterns, the customer's behavior, the customer's tenure after taking a repeat loan and understanding more about the customer, assigning a score and developing customized product offerings for those customers is something that we are working on. We are also working on a loyalty program for rewarding customers based on their behavior with us.

Moving on to the last one, which is protecting the customer franchise. This is more about how do we build strong processes to ensure that our portfolio is resilient. So I explained about OCR and ML checks for customer identification and authentication, whi ch happens. Early warning signals, as I said, early warning signals, not only on leverage, but also on -us and off -us, which is a customer paying to us, but not paying outside and the reverse. Both are early warning signals, which comes into the business so that we can take conscious calls based on that. Leveraging third -party service providers for KYC authentication is another one. Data pin code, data bureau analysis, I said. Risk detection using real -time data is something that we do as system -based triggers and flags that we have provided in the system, which goes as an input to the risk control unit on the field to do field intelligence and field checks to see if there are any other abnormalities that they see. And the last one is about analytics -based settlement model. This is about overdue customers w ho have already defaulted and moved into buckets. At what stage do you settle those cases? At what amount do you settle? So building automated foreclosures and settlement models is something that we have worked on. What this has resulted is a 99.5 percentage collection efficiency that we today have, a 95 percentage ODD, and a 97 percentage zero DPD book that we have today. And as I mentioned earlier, we have an independent a

ppraisal vertical, which today is a
testimo ny to the quality of the portfolio that w e have been able to build. And the risk control team, which is an exclusive 700 -member team, which is one risk manager per every three branches that we operate, who operate on the field, who give us the entire field intelligence for the business to take th e right calls . On the right side that you see is the way forward, wherein we are building geopolitical models. So this is particularly about what are the potential of a market, what are the likely stress in a market, whether it is geopolitical, whether it is economical, and then take calls on geo -expansion in these markets. AI -enabled attendance marking is something Debarag explained in detail. Comparing the photograph of the woman in the group with the individual photograph in the loan application and seeing whether she has attended the customer meeting is something we are working on. Repayment propensity model is something about customers, whic h are the customers who are today at zero DPD but are potentially likely to default because of increasing leverage from the industry. This is something that we do as part of our bureau checks. And the last one is about the psychometric assessment, which again Debarag explained, about getting more understanding of the customer so as to custom -made, tailor -made products can be offered to her. That finishes off the data and tech part of it and how we have built, leveraged data and tech, and we have built on processes, we build on the methods that we do business, credit risk guardrails to ensure that we have built a portfo lio which is very differentiated and unique and resilient.

Now moving on, since we are having this meeting at the time when this industry is going through a tough situation, there has been a request from a couple of our key investors to have a business update as well. So in the next three to four slides, what you see is granular business updates, which normally would not be there in the Investor Deck, the last Investor Deck would not be there, one more deeper level of understanding of the data. So the first one that you see over here, this is about our monthly disb ursements. So if you look at the monthly disbursements, our monthly disbursement trajectory had reached almost Rs. 1,800 crores, which is when we saw that there's a crisis in the industry. So we put collection at the forefront and said that if a branch qualifies collection metrics of 99 percentage, 98 percentage, we put different thresholds basis, the market where those branches are, and if the branch qualifies that and crosses that threshold, then the branch has the right to do repeat business. If it doesn 't, then it doesn't have the right to do fresh business. So this sort of guardrails have been put in place and this ensured that the monthly business trajectory moved gradually from 1900 to almost like 1400. Now, on the second side, what you see over here is the association which is today of a lot of interest because once the number of associations that a customer can avail has got changed, customers have gone and borrowed from multiple lenders and that's some thing which has caused sort of stickiness in the industry. So when you look at it, we have 41 percentage of our book in LTFS plus zero, that is these are customers who do not have any other association and only loan with LTF. We have 27 percentage customers with LTF plus one association and 18 percentage customers with LTF plus two associations. So this is all that we fund. So our LTF norms continue to remain like this since the last one year. Now, MFIN norms still are at LTF plu

s three, our norms continue to be more
conservative than the MFIN norms. We have eight percentage of book in LTF plus three and five percentage of book in LTF plus four. These are customers who after taking loan where I was the third financier has gone beyond that and taken loans. Now this is the book that will have to slowly run down and get to 10 to zero once the MFIN norms are implemented by all financiers. What we have also done as another measure is in the existing markets that we are operating since the leverage of customers h ave been increasing, we also wanted to take exposu re on customers who have lower leverage. That's when we have explored Telangana and Andhra as two markets where the customer leverage is pretty much on the lower side. Western UP as well as Eastern Maharashtra, two markets where we have not been present. So we get more newer customers, more customers with a lesser leverage and that somehow we are trying to compensate for it. What we have also done because there is a coll ection stress on the field, we just didn't want our field team to be over stressed becau se of the difficulty or the time taken to collect. We have augmented the field force by adding people, almost more than thousand odd people we have added to reduce the accounts per collector from 540 to 490 and we have also implemented a call center channe l. This is an independent channel which calls up customers who default on the day of billing, on the day of payment and tell them, ask them why they have defaulted and take a PTP and pass it on to the field team. So that's an independent check which actual ly helps us know whether the field officer has reached the customer or not. What we have as part of our portfolio from what you see over there, 69% of our portfolio remains with zero association, zero external association or just one external association. So this is a big strength of our portfolio. What you see over here is more than or equal to four association as per MFIN norms. June ‘24 we had 7% of our portfolio in this which is Rs. 1,700 crores. By September it has come down to 1 ,371 which is a good si gn of deleveraging happening in the market as a result of the MFIN norms coming in July where customers would not get any loans more than four loans. By October we are at 1250. So this is a number that we very closely track and these customers have been flagged off in the collection app of the field officer so that they prioritize these customers for collections. So since our collection cycle is in the first 10 days of the month, first 12 days of the month, they ensure that these customers are approached fi rst for collections.

Now moving on to the norms by which we source. So as I said we fund as LTF plus 2 which is max LTF can be the third financier. So on our onboarding, so this is on monthly onboarding of cases, only LTF is 53 percentage, LTF plus 1 is 30 percentage, so that itself makes it 83 percentage and 17 percentage comes in through LTF plus 2. And as I said since we implemented these norms som e time back, the LTF plus 3 has tendered to zero. For repeat loans is what we used to do it but even that we have cut off way bac k in April. So now we have the entire portfolio which is a new portfolio coming in is coming in these three categories of LTF plus 0, plus 1 and plus 2. We have also added what I mentioned over here is we have also added a 500 -member team for fresh sourcing.

So this ensures that these officers are only engaged in doing marketing activities in new areas which where we are not present and ensuring that we onboard new customers.

Now this is a slide I'm sure you would have seen in

the last Investor PPT. We have just updated it with the October
numbers. So our LTF plus 0 which is exclusive customer base is slowly increasing which is a good sign. LTF plus 1 is also gradually increasi ng. LTF plus 2 has remained constant. LTF plus 3 is coming down because we in April we have taken the call to cut off that for repeat customers. And LTF plus 4, 5, 6 and more than 6 that entire portfolio which is totalling to 5 percentage is coming down wh ich clearly indicates deleveraging happening in the industry. Now if you look at the total portfolio 87% of our book is less than or equal to two external associations which is as per our norms and 95% of the book is compliant with MFIN norms.

Now moving on to the collection efficiency this again you would have seen in the Investor PPT . October numbers we have updated from 99.4 our 0 DPD collection efficiency has been at 99.34 in the last month. In 0 to 90 it has remained at 98.1. So the entire effort is first on completing collections and ensuring collection remains intact and the dip i n collections is reduced to the most minimum. That's the entire effort and the focus on the field post which is when we do the business which is right now happeni ng.

Moving on to the PAR so this was something that we often get asked from investors and analysts what our PAR 0 plus 30 plus 60 plus and 90 plus. So from Q2 FY24 what you can see over here Yes between 3 to 3.2. So from 3.2 our 1 plus which is you can say 0 plus has moved from 3.2 to 3.6 and all the other numbers have remained almost at the same level. The 0 plus which is 100 minus 99.34 which is my collection efficiency that is what gets slipped and is flowing in which is showing up in that slight increase in the 1 plus that you see which in those buckets which they land up in that is where the effort is to stabilize those accounts. And as we said in last quarter there have been multiple states where there has been flooding and a collection has been impacted because of that as well. So there are multiple reasons which are happening in the field. We are very consistently monitoring all of this to ensur e that we manage our portfolio and ensure that our portfolio remains resilient. Now this is something we specifi cally added with this there has been a lot of talk about attrition in the industry and hence difficulty in managing collections. So while there was a stress in the industry the first step that we took was adding people, definitely because we had to reduce the load on their fellows the field level officers daily routine. Because otherwise he does not get time to complete his work. So that's something that we did. We also took a step to improve to increase their salaries and incentives because when we did an industry benchmarking we saw that while we were in the top 3, 4 financiers our salary structure was pretty much on the lower side and hence we did a salary correction which actually helped in curbing attrition. We also added people and reduced the workload which actually reduced the attrition by 17 percentage between August to October. This coupled with a very strong supervisory layer we have a seven level hierarchy above the field level officer reaching from the field officer up till the business head . We have ensured that this layer of people that we have a supervisory layer is vintage people with five plus years of experience. Average vintage is around five and a half years. They are people who have seen the industry, been with us for a significantly long time, managed cycles in our company itself and know how to manage the portfolio. That's one of our biggest strengths that hel ps us manage our portfolio so well. So if you look at the addition of people every market we have added depending on the dynamics of the market, the situation in the market, the events political events or climatic events which happen in the market. We have taken calls to add in different.

Some of the high numbers that you see are in the newer states for example Maharashtra, UP and al l what you see is the new geographies that we expanded where people got added.

Now moving on to the last slide. The newest product that we have introduced Micro LAP, micro loan against property. We started off in Tamil Nadu. Now we are present in Karnataka, Maharashtra as well as Gujarat as part of our expansion. We also intend to ex pand this to Telangana as well as Andhra Pradesh. Today we have a book of close to around Rs. 210-plus crores. We are operating around 50 plus branches with this product. So the inherent advantage that we get is that with the micro loans portfolio that we have with 18,000 people working on this with 13,500 people on the street catering to 180,000 villages. We get a lot of leads from them and it also helps us filter this base to see which are the potential customers for Micro LAP and thus do cross selling. So that's

something that we are focusing on so that we build a secured part of the book parallel to the book that we have on the micro finance side. That's it from the business update side and I would request Asheesh Goel to come on stage to present the Farmer Finan ce business. Thank you .

Asheesh Goel :
Thank you Sonia for the detailed presentation. Good evening. Thank you for taking the time out and coming here. A little bit about myself. I've been now with the company for about five and a half years. Prior to that spent about 19 years with Citi. Primari ly worked in the commercial asset backed finance space. And I'm here to basically take you through the use cases of digital , IT, analytics which were discussed in detail by Debarag and by Ramesh. But before I get there, let me just give you a brief synopsi s of what the business is all about because that's going to put in perspective the use cases that we will discuss as we go along. So obviously we cater to the farmer segment across the board, small, medium, large farmers. We also service the agri traders and processors that are there. We have a Rs. 15,000 crore odd book, about 11 lakh odd customers service d so far. We work very closely with more than 2,500 dealers. As mentioned before, India is the largest tractor market in the world by units, so 9 lakh tractors odd get sold in India. So we work very closely with all the OEMs, your preferred financers with all of the m. The top five namely Mahindra, TAFE, Sonalika, John Deere and Escorts make up more than 90% of the total market that is there. And we have a very close association with them. Our product basket covers the entire range of things that are required by the f armer, right from the tractor to the implements to the upsell for the working capital requirement and warehouse receipt which was launched about a year and a half back. Again before I get there, one thing that had happened last year, year and a half, that we'd seen a negative demand as far as the tractor industry was concerned and that primarily came in because of paucity of rainfall, there was delayed rainfall, there was uneven rainfall, sporadic rainfall, water reservoir levels went down big time and all of that led to a negative sentiment around the industry. Now in the first half of the year, while there's been delayed rainfall but it's been in abundance about 108% over the long period average, water reservoir levels are at 87% of li ve capacity.

So it'll be prudent to see if whether or not those two things and more have really had a positive impact and one of the best ways to do that is to see as to how the second half of the year has started. So the first thing we look at is disbursements,

the industry g rew by 20%, our disbursements grew by 26%. As a matter of fact, last month was the highest ever disbursement done by us ever since inception of being in this particular business. The demand was not only in the new tractors but even in the upsell piece had an equal amount of growth at 26%. The other thing to note is that this growth did not come at the backdrop of adding fresh manpower. This came in by the productivity enhancements that we were able to get due to the interventions that we've had which we wil l discuss as we go along. The other thing of note is that the e -NACH penetration is up by 54%. It stands at about 65% right now. Now this is an important change because : a) it is change in the banking habits of the rural customer. And the second thing is it's also our ability to be able to get to his primary account, his operative account which leads to a higher clearance and e -NACH clearance today stands at about 78%. All of this has resulted in the first EMI net bounce at 2%. This is down from 6%. Now thi s augurs very well for the portfolio in the times to come because at 98% collection efficiency on the first EMI is a number that we were happy about. Typically, festive seasons are the month wherein due to personal consumption there is a dip in the collect ion efficiency. However, what we witnessed is 140 basis points betterment over the last year. The t ouch free collections are up by 15%. They currently stand at about 62%. Now this is also a big fill ip on my opex because it doesn't require for me to go out there and collect and which obviously results in my on -due-date collections which stand at about 68%. All in all, all of this has ensured that I have been able to maintain the market leadership position in the Tractor Finance space.

Now moving on to the use cases, we are going to divide this into three. One is obviously going to be Protect, the second one is going to be Grow and the third one is going to be Harvest. So let's take the Protect piece first and this is going to be on our Tractor Finance piece. Like I said and a lot of you would know that we've been here for more than two decades doing this business. The association started when L&T had a tie -up with John Deere to manufacture tractors and that was the genesis of this busine ss. Obviously, this has seen a change over a period of time. It was pen and paper that moved on to a scanned document, then it moved on to a tablet and then it

moved on to a mobile app which we have been using for the past couple of years which has made it completely digital and paperless. However, the challenges of this industry was something that we wanted to address and we continue to address. It is still a lot based on the declaration by the customer or the farmer. It obviously has to do with the fact that a lot of them are new to credit , hence there is a lack of data availability. Banking, like I said, is not something that we had visibility on and more impor tantly were two points that the assessment of the standard of living of the customer and also whether he was the person who was ultimately going to use the tractor or the fact that he understood the nuances of what it meant to own a tractor was dependent u pon the field guy who would go and make that assessment. Now to be able to address these things, one of the things that we did was obviously and a lot of that has been discussed both by Ramesh, Debarag is utilisation of the KYC and the Bureau but couple of things that we really came in handy was our ability to be able to get his land records, his details of the land records. The kind of land it was, the kind of produce

that was happening, the kind of prices that were prevalent for that particular produce, t he past three years of performance. That along with geo data like the kind of electrification in that particular area, the road infrastructure available, all of that put together is what allowed us to build a rule engine. Now this is going to go into the n ext level and where Farm Cyclops which has been discussed is going to come into play by the end of this quarter. However, this allowed us for decile based decisioning. Now higher the decile, it was a straight through wherein no further manual intervention required and this enabled us to sanction in less than 24 hours. However, the ones which were higher decile and this is a video that you saw in Ramesh's presentation is wherein we were able to do a video PD in a real time basis. This was done again at two l evels, one at the first level supervisory level and second at the underwriter level and with this what we were able to do was have a better understanding of the profile of the customer. Now what that means is that when you go and you have a look and the conversation is happening, you see a bike standing over there, you see the kind of house there is, you see whether there is a refrigerator in the house, whether there is a TV in the house. The entire standard of living comes out plus there is a communication that happens wherein we are able to understand through that discussion. And whether or not he is the person who actually is going to be taking it and whether he understands what it means and the EMI and the liability that he is taking on. And this is now evident in the number that I told you about which is the 6% first EMI bounce coming down to 2%.

The second thing is Grow and Warehouse Finance is something that we launched about a year and a half back. Now let me just give you a brief overview of how this product works. A lot of you would know that. So the customer deposits the commodity at the ware house, the warehouse issues a receipt and a quality report, basis that money gets disbursed to the customer, the customer repays, I give the release order to the warehouse and the warehouse then returns the commodity back to the customer. Now there are two , three things that we did which were different. One we were only, we decided to only go with professionally managed warehouses which is about 40% of the total warehouses in the country. One of the reasons for that is professionally managed warehouses we w ere able to develop API integration because all the documents, there is no documentation that we take, all the data moves in through the APIs that we have had. And the second point is that these professionally managed warehouses give you indemnity against both quality and quantity and if there is a deviation from the warehouse receipt or the quality report, they are liable to make good the difference of the two. And the second is that we only chose 34 commodities out of the prevailing commodities to be able to do this business. Now in the first year, year and a half, we have been able to disburse Rs. 400-odd crores and because this is a short term product of six months, the AUM stands at about Rs. 150 crores. However, what I will take you through is, what wa s the reason that we wanted to develop this completely differently? And one of the issues was that this was a very document heavy business in the way it was being done. The second thing was obviously because of that the TAT was very high, sanction used to take anywhere from 7 to 20 days, disbursement would take 24 hours to 48 hours, the MTM process was completely manual and the release process was very cumbersome. Now to overcome these challenges, obviously we had a first of a kind digital workflow which was completely paperless. Now this was possible again because we were pulling data both on the personal side, on the financial side including GST, ITR and we had the abilit

y to upload the profit loss and balance sheet. Entirely this would al low me to be able to run the BRE and to be able to make a decision. Now this decisioning we were able to do in less than two days, down from 7 to 20 days and we were able to dis burse in 15 to 20 minutes as against the industry doing it in 24 hours to 48 ho urs. The other thing that we did was that the entire MTM process was automated wherein the pull would

happen at a periodic basis of the prevailing prices of the commodities which would then get run at the back end and MTMs would then go out to the customers as and when required. And the second thing is that the release process was seamless. We actually have a release process which is 24 by 7 and with that the customer, the release letter goes out to the warehouse and parallelly the same goes through mail to the customer for him to be able to take the release of the goods as and when he desires. Now this has ensured that we have been able to build up a sanction of Rs. 1,100 crores in the first year, year and a half of being in operation and the second thing is that MTM has only been 1% of the total disbursements that we have done. And we do not have a single customer who's overdue in the one and a half years of operatio n.

Moving on to the last one which is Harvest. Now I said we have about 11 lakh odd customers of which about 4.2 lakh odd customers are live. So it's very important for me to be able to cater to all their needs through the life cycles. Now we've been doing th at and doing that well because if you remember I told you the upsell numbers also went up by 26%. However one of the things that we were currently doing was basically doing it through the field officer. So it was manpower dependent. A lot of the closure of the loan was happening basis that discussion. So asset verification whether the customer still had the asset or not and how the entire structure of the loan would happen would be dependent upon that interaction. Now to be able to overcome that what we did was from a BAU process of the call centre calling up the customer, building up a lead and that lead being given to the field officer and the field officer then going and closing out. We changed the thing to the call centre calling up, sending him the link of the app, assisting the journey and the customer being able to do it themselves and the disbursal happening to the customers without the manpower being in between. Now it's a simple four -step multilingual journey which is there which the customer can do it themselves. This allows for the customer to bl ankly be able to get a disbursal and that too in two hours. That's it from my side. I would now as we move on from rural to urban request Sanjay to come on and take you through the urban piece. Thank you .

Sanjay Garyali :
Good afternoon ladies and gentlemen. So just before we start just a short introduction on who I am. I've been with L&T Finance for the last two and a half years. Before that about 18 to 20 years I've spent between branch banking and lending, Kotak and HDFC . I think all of us realize professionally that and collectively what as an industry we have done in the last two and a half years in the Indian financial sector. We have leapfrogged and done more than what we did in the last 20 years. I'm also very happy to share with you that the way we have progressed in L&T Finance. We have not just been in the centre of the changes. We have also taken some of those disruptions and we have led a lot of those challenges. So with that the attempt here is to take you throu gh the numbers obviously on the entire business. But more

importantly what are the right to wins that we create and what are the challenges that we see in the industry. So urban finance essentially incorporates of three businesses mostly PL is a relatively newer business mostly between mortgages and two wheelers. And clearly that you see on the disbursement side Rs. 12.5 crores that's about Rs. 2,000 crores a month is equally divided between mortgages and two wheelers and about 20% on the PL. Because of the nature of the business and a mortgage being a long tenor you see it dominating on the book side and of the Rs. 42,000 crores you see about 52% coming from the mortgage business and the balance 50% equally divided between two wheeler and PL. What I have to give you a flavour of the kind of customer segments that we are into in all these three businesses. I've also given you the yields the tenors and the collection efficiencies to give you a sense of what kind of segments that we are in each of these three businesses.

The first business I will talk about is the Two Wheeler business. So this is a -- I think this is one of the most intense businesses in our country. We do about at a country level we do about 1.7 to 1.8 crore two wheelers in a year, amongst the top two in the world. So while the industry has grown by about 10% and the industry has recovered post COVID. We have grown over faster than the industry at about 24%. So there are three large pillars that we have the entire two wheeler proposition is riding on. One as we all realize right now the customer acquisition still happens at the dealership which means that the dealer partner is the most critical person. So we have a very strong value partnership program and I will talk about that and how we have leveraged technology around it. We

have not just restricted ourselves to channel partners we are also preferential partners with certain premium OEMs along with two to three electric vehicle OEMs. We also have a very strong understanding of digital ecosystem and because of the intensity or the scale in which this business is, we have been able to create a right to win on creating a digital almost a paperless journey. Going forward we see that the industry will continue to grow at about 10% to 11% . LTF right to win. I think we will roughly be about 20%. Three key levers here that I would want to talk about and I'll share with you what we are doing on the valued partner program. So this is not just a partner program which defines the remuneration that the dealer gets but also beyond remuneratio n what is in it for the dealer. And the entire portfolio quality depends upon or decides what kind of partnership or what depth of partnership we will go with the dealer. Two because this is completely digital and there is no paperwork required there is no pressure on the opex when we are going to newer markets or there is no, as long as collections is taken care of there is no acquisition opex that we are getting into. And finally two words that you have heard a lot about through the previous presentations is Premium and Cyclops and these are the two cornerstones on all the businesses and I'll explain why.

So a tough slide but I think Debarag and Ramesh they explained it so my job is much easier. I'll just explain the simple part of it. The tech is already taken care by them. So this is on the left hand side this is where the sales guy comes in. Everything o n his app or tab there's no physical interaction of documentation with the customer hence no concept of actually a branch required everything happens at a dealership. This is where the entire decision making comes in. So whether we have two metrics

four me trics the number of variables that we get and
I'll just explain a little about this and this is finally the disbursement to the dealer. So the moment everything is approved the immediate disbursement happens to the dealer. And again no paperwork and I'm ju st explaining because this creates a very low opex business model. Now this is where the key thing is that, do we have enough confidence on the customer to be giving a decision in less than two minutes and that's what the entire decision making does. So wh at we have in here is either to a good customer where we have multiple inputs, we will either give him a better LTV or a stronger offer . Where we are not confident, we will either reject the customer or the LTVs will be much lower. What hence it leads to is a completely digital business no manual underwriting as you all see and most critically the entire decision making is automated. On the valued partner program this is an industry first and we realize that there's a strong reinforc ement that needs to happ en at the dealer partner because what beyond the payout that we give to the dealer. So in phase one what you see this is the value partner program currently managing about 9,000 active dealers out of which value partner are about 2,000 so we realize that t his kind of scale is very critical to be going through technology. Right now what we have built it which is phase one it takes care of the business it takes care of the portfolio health because that is what the portfolio health decides what eventually how deep the relationship will be with the dealer and finally what the dealer gets along with the trade advance. So in this business trade advance is a very critical factor of doing business. In phase two we realize that this is a sales efficiency intensive mo del and we realize that because there are humans in the entire sales process there will be inefficiencies and there will be gaps and the phase two will create a two -way communication with the dealer. So the reliance on the sales channel will be much lesser because of this app. How it will look like or this is actually in place, so this is how the achievement is which means that what he gets this is how the approval rates are on the right hand side top corner, left hand side bottom you see the portfolio health and portfolio health decides what kind of how far in the relationship we go with the dealer and finally on the trade advance the right hand bottom corner that you see.

Two-wheeler is not just a product for us. Two -wheeler is also an acquisition or a cross -sell or a data mining because we have a very strong information on the customer very good understanding. We also realize that two -wheeler is normally the first asset product that a customer takes. And if we do a good job in terms of taking care of his requirements and do the credit properly, we think that this is a strong digital native which will help us bui ld on the journey with the customer rather than being a standal one product. And that's where the entire credit mechanism comes in. So about 7.3 million customers that we have on the two -wheeler side. We don't just look at the bureau and simple guardrails there are multiple portfolio actions basis which while we are ta lking there are about 8.5 lakh customers on the two -wheeler approved for a personal loan. Just to give you a sense of what we have done over the last and this is about a three -year-old product. We have been able to disburse close to about

Rs. 9,300 crores so far an active book of about Rs. 4,000 crores. We roughly every month do about 1.2% to 1.1% of the entire Rs. 8.5 lakhs that you see for perso

nal consumption. Prime which we have already spoken about I
am reinforcing, prime is not just bureau score greater than 730 and above. A prime customer is a customer who has at least two or three of these metrics. So it could be an EV customer with a n account aggregator or having a certain bureau score with a certain income level and a certain LTV s o it's a mix and match of at least two to three variables. And clearly you see by design how the prime share in two -wheelers has grown, clearly from 39% to 64% almost doubled. We continue to see this growing very aggressively and Debra and Ramesh what they spoke about Cyclops. So two -wheeler is the first used case for Cyclops and you see the upside going essentially because of this. While we are talking about 50% of the entire b usiness in two -wheelers happens on Cyclops. We intend to take 100% in the next t wo months. Already prime share is up by about 10% LTVs and ATS are up by about 4% to 5% and GNS is down by about 55% to 60%. Net-net what we have ended H1 at about book growth of about 33%, this will continue to grow I've already shared the numbers with you. With Cyclops at 56% and prime at 64%, with Cyclops now going to 100% you can imagine the kind of prime that we are going t o get, along with a drop on the NNS.

So the second business that I would want to take you through is the personal loan business clearly left top corner you see the industry has gone through a challenge. For LTF most of the PL business has come from the internal data mining that we did on the tw o-wheeler customer. So close to about Rs. 7,000 crores book much smaller than the rest of the book. Three key things that we or three key pillars that we worked on, one was that we had very strong understanding of a digital journey on the two -wheeler side and we replicated it on PL. Two, we worked very closely with analytics and credit on how do we build offers for the customers so what we already spoke about 8.5 lakh customer offers and finally we went out into the open market and we said some of these digital journeys can be integra ted with open partners with this kind of credit infrastructure. So that we create a product where we are able to without diluting the guardrails we are able to sanction at less than two minutes. We see with the consumption, the way it is happening in India, we see that this product will continue to grow at about 14% to 15%. LTF finance will follow that growth rate. However , the levers that we are working on we will continue to upsell on existing customers right now we do on two -wheelers we will get in other products as well. Second the physical channels that we are targeting this is 100% salaried, prime customers, category e mployers this will continue to grow. And remember the journeys that we are getting to the market even with these channel partners who work otherwise with large banks has been able to get us the right to win .

Finally we will grow with large mega partners and I'll take some time to explain what a mega partner is. So mega partners are partners who have customer base of 10 million and above. So that's the first criteria of a mega part what does mega partner get to the table superior UX a recurring customer base but along with this it also gets a very strong customer demographic and a behaviour understanding. What we get to the table, we understand the product very well, we understand the guardrails very well and between t he partner and us the intention to create a journey which is integrated rather than broken. We feel that with this kind of a model we will be able to create a very seamless customer experience resulting in higher conversion on the salaried and the prime ba se. Sharing with you a case study with a mega partner which fits into all this where we went live about four months back. And that gives us the confidence to go on while you see the scale -up that has happened in about four to five months.

I have just index ed it. The kind of credit cost we are at a zero NNS in the last four to five months. On a premiumization, this is 73% salary based and about 80% premium. So that gives us the confidence that as and when we go with more partners, we will see more upside on this prime base. So thankfully I don't have to talk about it, on the left is our existing, on the right is the Cyclops. It's already been talked about by everybody, so I'll not touch upon this but Cyclops will be launched in personal loan business by end o f the year. The way forward on this business Cyclops going live, we will be integrat ing with three new partners other than the one mega partner that we are integrated with. There'll be a launch that we'll be doing tomorrow with one of these large mega partners and finally the channel and geo expansion along with cross -sell opportunities beca use these are completely digital products there is no unnecessary stress on the opex, we'll be able to scale up very quickly. Eventually you see 77% on existing customer that's the personal loan H1 and premiumization and salaried continue to go up. NNS reduced by about 55%.

The final product that I would want to talk about is mortgages. We realize that industry still does mortgages like a very traditional product and it is brick and mortar because eventually you're buying a brick and mortar property. What however we have been able to do is that because of our experience of digital because of understanding today we are one of those very few who have been able to create a complete end -to-end digital journey. So what that does is while we also work with e xternal partners like a l ot of industry does, the kind of journeys that we are able to give to the custo mer and Kavita who's the chief marketing officer she'll talk about it in our subsequent slides. We said we don't want to be another home loan provider in the market. So what is it in it for the customer. And we identified the genesis Kavita will talk about but I'll just talking about the output. We said there's a home decor which means most of the cu stomers, the result paying the down payment and the everything and they are left with very little to do up the house in terms of the interior. So that's where the home decor comes in. This is for all our home loan customers. The second we said, that the way SKY RM the way a branch banking or a banking operates. Home loans are typically 15 year to 20 -year end loans. And during this tenor while the customer doesn't require too much of interaction there are points where the customer requires and those are the points where he gets upset and that's where the balance t ransfer happens to anoth er bank because nobody takes care of that customer. So we have built a central RM which is right now at Bombay. So 60% of our entire customer base that we acquire has a SKY RM dedicated to take care of any customer requirement the way a relationship manage r does in the branches. Current offtake of home decor on our eligible set of customers is about 15%. We also feel that with these two right to wins other than the digital there's an opportunity hence to mine our existing customers. Right now, we were minin g two wheeler customers for personal loans. We believe that there's an opportunity to mine our entire base. We have identified about 2 lakh customers in our existing base who have Rs. 62,000 crore of home loan opportunity. The offering to these customers is not just a better price. It is better price plus it is a home decor which takes care of their requirement plus it is a SKY RM plus it is a completely digital process. With this we think that we will b

e able to create a ve ry strong proposition in an other wise undifferentiated home loan market. So on share metrics this is what we ended H1 at book growth of about 42% in mortgages, completely prime. Credit cost is sub 0.2% in this.

While I come to the end of business presentation, there is no presentation right now complete unless you talk about collections. Clearly if you see most of our businesses, we have indexed it against industry do exceptionally well and it's not just the outp ut. If you look at on the right -hand side, I've just put together how we are allocating, how the entire delinquency management is happening and analytics and AI is a very integral part of how we allocate because the intensity of how many calls a customer n eeds to be reached out to, which customer requires a face -to-face versus a telesales. So right now 76% of the customers due, are taken care through an AI model or self-cure. Between 18 and 6 that's about 24% -24.1% customers are ever called by a physical either a bot or a voice for a due date and that too out of this 18% is taken care by a c ontact center. So again no physical people going and no friction points. So roughly about 6% that you see on the right -hand corner is what is actually through a face -to-face interaction with the customer and we feel that it is very critical because these are the friction points in the market. We have an indigenous app, a BRAKE App which takes care of the entire hands -off between us and the customer. Just to give you a snapshot of how the BRAKE App looks like. A lot of it is outsourced to agencies and we have about 4,000 to 5,000 collection executives who are hired not by us but by the agency. Every executive out of these four and a half thousand there 's a KYC done and there 's a separate login ID created on this BRAKE App and every customer which is allocated and called will have to be first allocated on the BRAKE App and there is no other way of doing collections outside the BRAKE App. What it also does is it gives the individual a complete understanding on what is the customer that he's going after and the supervisor for us at a central level. We have complete control on who is meeting the customer, what point of time. Eventually the money is collected, the last mile, the slip -ups, the friction points, everything is taken care of. Everything that we do in collections or discussions and reviews h appen completely on the BRAKE App. So with that I come to the end of my Urban Finance presentation and I would call upon Abhishek Sharma. Abhishek, who is the Chief Executive of the SME business to take you through the business fundamentals. Thank you so m uch.

INTERNAL

Abhishek Sharma :

Thank you Sanjay. Good evening to all. So let me start with a brief intro of mine. Graduated in the year 2000, did a stint of around six odd years with Ministry of Defence, then two years in Jamshedpur doing my MBA and last 15 and a half years serving with L&T Finance and what I'm going to introduce now and talk about is the SME business of L&T Finance.

So this business was conceptualized and envisaged as part of post -COVID Lakshya 26 target that we rolled out. And post around one odd years of research and FGDs, what we came up with, was that we started our pilot in two locations. The focus of the pilot a nd why we wanted to approach it like this, is that SME is a very, very diverse universe and we wanted to exactly understand what are the customer needs which we need to cater. Second aspect was that when we approached this market there were already more th an 40 players entrenched in this market. And hence we needed a value proposition w

hich is slightly different which is going to attract customers towards us. And third is one of the more important person or one of the most important person is the channel because this business is generally sourced through channel and hence we needed a value proposition for them as well. So with those aspects in mind and a two around good nine months of pilot, we came up with what exactly we are going to do and with that in ph ase one we had around 17 odd locations and we did a book of around Rs. 1,500 odd crores which was built as part of phase one. Subsequently in phase two another 54 locations were added and our manpower was around 300 odd and a book size of Rs. 2,800 odd crores and finally the current phase where we are around 110 locations plus we are present with a manpower of close to 400 odd with a book size of around 5200 odd. Now one of the things that we understood and that on the left side that the sequence of product launches. So when we launched initially it was only a plain vanilla te rm loan. However we understood that flexibility of repayment is something which is valued by the customers who are prime and super prime and hence we came up with drop line OD and hybrid OD product. Just to explain what this means is that within the given principle which keeps declining month on month a person has the flexibility of paying more than his EMI but can withdraw whenever the need arises. So that's the construct under which this product approaches. By March -24 we also had a decent customer base w ho had serviced their loans over a period of time. Hence as a natural outcome Top -up was launched in August. SuFin is a L&T's own industrial B2B marketplace. So we had a tie up with SuFin and through that in August -24 and finally what we expect is in next year in the next month rather in December, we will be launching our supply chain finance business, which Ramesh also talked about.

Coming to how we approach this. What we understood out of the market out, these are the five big pillars under which the whole business stands. So first is that it's a primarily digitally native business. What it means that there is no paper there is no physical signature as far as customer is involved. What has been achieved through is integration through 20 -odd APIs. Also there are multiple portals for all the stakeholders who are involved in any particular transactions and hence from a customer service v iewpoint it becomes seamless. So that's the pillar one. Second pillar around which this business stands is that from day one we have approached this through a risk-based pricing. So around 200 basis points difference exists between near prime and super pri me and for different customer segments there are different customer journeys as well. Third is around location selection. Today as we speak from 110 odd locations we service around 18% of the overall market and wherever we are present we are having around 5% plus market share. Now how we have selected th ese location s is on three dimensions. First is the underlying market whether the size is good enough or not. Second whether it has been growing and last but not the least whether the delinquencies are controlled in those underlying markets or not. So under those three dimensions we selected the locations where we are present at this point of time. The complete portfolio goes for every month as scrubbed and hence we have very strong EWS measures. The output of that is our first time bounce is range bound for last 18 odd months in the range of around 2% odd. Last, but not the least that, while we do have 150 odd BR E rules we strongly believe that on -field presence of credit gives us strong inputs about how to approach this business and hence in 75 locations odd plus we have credit managers manning those locations as well to provide those inputs. So hence what we beli eve is that generally we do have a plug and play model available for expan

sion as we move forward.

Now coming to the resilience part of it if we index ourselves against industry, our standard book which is a 0 DPD book is around 106, vis -à-vis, if we consider industry as 100. As a natural outcome of that in the buckets our book is lower than whatever is there in the industry. How we have managed to do this is that if we see on a ticket size cut, the major delinquency comes from 5 lakhs to 10 lakhs bracket and we have completely stayed away from it.

So our ATS is around 25 odd lakhs which happens to be th e sweet spot of the industry as well and that has allowed us a leverage here. Second is that there is complete absence of subprime in the portfolio. We do not do any case which is subprime. Our offering starts from near prime and above. Even on CMR if we see our distribution it is primarily between low risk and medium risk and hence we have been able to achieve a range bound collection efficiency over a long time horizon between 99.7 to 99.6. So that is how the resilience of the portfolio has been. Now when it gives us reasons to believe that one we have a customer journey which is amenable to changes that customer requires and second is that we do have reasons to believe that we have a resilient portfolio.

So what next now and going forward what we intend to do is one, Project Cyclops naturally. What it allows us is that today we take these four as our primary data points which is his banking, bureau, GST and application data. We intend to add the GeoIQ which gives us an insight on where exactly this business is located and what is the business intensity, the signals around his payments and other digital footprints that he might be having and which will fundamentally allow us to do a better improved customer segmentation while strengthening scorecard and real-time decisioning. Another aspect that will be adjacency that we will be launching is around supply chain finance. We all know this business so hence I will not get into explaining the business but the focus of our implementation of supply chain finance is that we have to take opex out of this particular model to the extent possible and hence we have invested in a stat e-of-the-art platform which will allow all the ecosystem players to be on the same platfor m and hence reduce the cost of communication between each partners and reduce the cost of credit as well. How we intend launching is that, initially it will be first with dealer finance then followed by vendor and then subsequently a bill discounting model will be launched. Next aspect is around direct channel scaling. Currently 94% of our business is through channel. We would like to increase the 6% which is a direct contribution through a combination of cross -sell, tie -up with other fintech partners. Seco nd is, continue our effort as far as ease of customer use is concerned, PLANET app 17% of our OD customers every month transact through PLANET app and take their withdrawals. So that's something that we will continue to build upon. Last but not the least is that we would like to get into the adjacency of secured BL both through form of an insurance guarantee scheme which is CGTMSE as well as through other non -property collaterals and machinery loans and all, thereby giving us a reduced cost of credit throug h a cycle -resistant portfolio.

Coming to the last bit of it, our NPS stands strong at 62. We have engaged customer base and around 70% of our customers do use PLANET app regularly and we continue to work on three important value propositions that we are trying to build in. One is that continue to have a fully digitized process, second is quick

loan disbursal and
third allow flexibility of repayments to the custo mers within the overall ambit of a declining principle. It is always better to hear from the customer what they think about us and let me conclude with a customer testimonial around it. Thank you so much ladies and gentlemen. With this I hand over the stag e to Mr. Raju Dodti, our Chief Operating Officer. Thank you

Raju Dodti :
Good evening, all. Just when Abhishek was talking, I was having a word with my CFO, Mr. Sachinn Joshi with whom you all must have interacted. I asked him what is that one sentence or one thing people from this room should walk out with and he mentioned something to me. I will come back to that. Exactly eight or nine months ago in one of the investor s meet, we were visiting certain investors, Sudipta was there, me and Sachinn and that was the first time Sudipta uttered the word Cyclops in front of us. To be very honest with you, coming from the world of legal, I was a general counsel in this company a t one point in time. For me to get understanding and affinity with that word was bit challenging. But in this last eight months, the organization has gone at the cost of sounding little pompous, I must say, through a transformation where every single employee in the organization today is virtually eating, drinking and breathing digital and technology a nd that is courtesy three individuals. I must

mention them, Sudipta, Ramesh Aithal and Dr. Debarag. A big round of applause for these three individuals for bringing the organization to this stage where we could get a confidence to dedicatedly have an Investor Digital Day for all of you to let you know what exactly we are doing in our company and how it is impacting and transforming the company. I must also say thank you to the customer whose testimonial we just saw a while ago. His name is Harsh, which means happiness and joy, which is the exact feelin g I am experiencing at this point in time as I am standing on the podium in front of you. Three areas where technology and digital initiatives of ours have impacted the most are operations, customer service and credit. Our business executives took you through all the businesses in granular details. I will take you through in briefly what are th e initiatives which we have taken in these three areas and what exactly has happened because of that.

Briefly, I joined the company around 10 years ago as Group General Counsel, led three businesses as Chief Executive Infrastructure, Real Estate Financing and SME and have now assumed the role as COO recently. When it comes to the operations, we have been s uccessful in setting up a t ech enabled 24x7 operation desk and the whole idea of the operation is just not to handle transactions but get them at the volume which would be seen multiplying as we pass many years. We were almost one third exactly three to fo ur years ago. We have been able to achieve the volume of both the transactions overall as well as the disbursement which we are doing. We are probably disbursing almost Rs. 50,000 to Rs. 60,000 crores of disbursement in a year only in retail segment. All this has happened whilst we tracking two key parameters. One is the operation cost per transaction and the second is the cost per disbursement. In the bottom part of the screen, you would see both these numbers. I should not utter them once again but this h as happened because of few initiatives which we have taken. When it comes to the disbursement, we have been in a position to manage bulk of our disbursement with the STP mode. So these are totally touch free. Right from the time a customer approaches our d esk f

or a loan, till the time he gets
the first rupee of disbursement into his account, almost 50%, the precise number is 46% of the disbursement happen through STP mode. Our endeavour is to take this number to 100% but as you understood from last conversa tions, we are operating eight business lines in the hinterland of the country in both rural and urban across 2000 locations. So it does take a time to take it to the 100%, but that is what our endeavour would be. Moving on, when it comes to the loan closur es, earlier the loan closures would take customer to approach the branch or at least call the customer call centre on a phone and spend a bit of a time over there. Today we are in a position, we probably would be one of the companies who can definitely tak e a credit of managing almost 100% of the transactions of loan closure happening on the STP mode. We have out of around 30 processes to 35 processes which go right from the application of the loan to the closure, we have almost automated 25 processes out of that. All these three key initiatives has led us to basically get the benefit which we are seein g on the screen in terms of the increased volume of transaction and the falling cost per transactions.

When it comes to the customer service, we launched the net promoter score initiative in two broad areas. Firstly, we thought why not start given the fact that we have almost taken most of our initiatives on the digital platform. Let's start with the onboarding of customer. We began from there, I'm very happy that we have reached a score of 55 odd percentage. This is one data on which basically the opinions are pretty diversified and therefore I went to that one source where we get the maximum amount of inpu ts nowadays and that is ChatGPT. I asked what is the good score for a digitally enabled NBFC in India to have when it comes to the NPS and I got a score between 40 to 50 , I was very happy, but having said that happiness in customer service will not take there, we have internally set the threshold of at least 70% when it comes to the NPS of onboarding. Having said that, we also moved and took initiated another NPS for custo mer service and in that we have got a very massive score of 80% plus and we are satisf ied with that. Will we remain absolutely satisfied and therefore become little relaxed . The answer is no. We will keep on investing in the customer service and therefore we have enabled multi -channel customer portal to interact with us. Everything is there, be it a Chatbot, be it a web enabled services, be it our PLANET app about which Rames h took us through in the detailed manner, but most importantly we understand that when it comes to the customer, artificial intelligence is the one on the basis of which we will pivot. But we will never forget the emotional intelligence part of it and ther efore we have kept almost 150 customer service executives in those branches of ours so that customer has an option. She can definitely go and meet our customer executive to get that service as and when needed. When it comes to the regulatory complaints as well as the

customer complaints, we have seen all these initiatives which we saw on the first slide and what is there in front of us is leading to per thousand complaints falling massively down. This is one of the big barometers we will be completing and we will be keeping a watch on to ensure that all our initiatives in this area are on the right track.

When it comes to the last slide of mine about the credit, everyone, every single gentleman and Sonia when they came they spoke about credit as Sudipta said credit is our middle name. I think Sudipta

we can say credit is our
middle name, our first name and our surname. At the end of the day that customer who gives you the best business is the one who will eventually lead you to the situation of a lower credit cost and therefore from the old age credit underwriting model which was manual in nature to begin wi th and which was based on bureau score and some amount of information being looked at, we have moved to the credit engine wherein we have got all this information ahead of us. So we have a bureau data, we do have the account aggregations data and we have that score coming from the geolocations which gives us the various kinds of indexes which help us to do the segmentation of the customer. This has led to many benefits for us. O ne definitely the quicker turnaround time, second is the improved credit cost fo r us and last but not the least it is allowing us to offer best offers, in the best interest of the customers and with which we are operating this franchise. In nutshell, these are some of the few initiatives which we will be focusing on in the next 12 odd months. The big one in this is our 24 by 7 tech enabled operation center is already operational and in next 3 months we will be completely optimizing it and it is based in Mahape. We

would be moving mostly the customer service is outsourced to the call ce nters. We two were in the same league. We are moving external call centers to the captive internal L&T finance employees handling it because we want to believe that the customer service would be the one that should remain at the heart of everything that we will be doing in L&T finance. Without any ado I would not have any shame therefore to subscribe that one of the profound quotes on the customer service by none other than Jeff Bezos which is on the screen. Thank you so much. I will now request Kavitha our CMO to take the podium

Kavita Jagtiani :
Thank you Raju and good evening everyone. I'm Kavita Jagtiani. Well by profession I'm a marketer. I'm an marketer and my passion lies in building winning brands. At L&T Finance, I have spent about a little over a year, but I have about 25 years of steering the marketing function in leading BFSI and consumer products companies. Well to start the presentation I must say this crowd has a lot of action, but as we speak there is some action that is happening at the India -Australia cricket match right now in Perth. Now we cannot go there, but can we bring some of that action here? Let's see. Well as you just saw this is 3D animation and with the advent of 3D CGI, augmented reality, GenAI, it has all added a whole new dimension to marketing and that is what I'm going to cove r in the course of my presentation, while I will bring our Brand Ambassador back into the presentation later. At present, I'm going to cover the home loan campaign. You saw some of these visuals during the home loan TVCs that were aired at the start of the session. Now I'm going to talk about what led to the creation of this campaign as well as how did we execute it with the use of digitization. Well before the campaign we had very low level of awareness and therefore the objective before us was to increase the awareness through repositioning our offering. Now how we went about doing that is we took up a research to know what are the kind of pain points that the consumers are facing and they remain unaddressed by the category leaders. That is why we decided to fulfill this gap and disrupt the entire home loa n category with the introduction of “L&T Finance Complete Home Loan ” which came with these benefits which as you saw Sanjay elaborated in his presentation. Well what was important for us was to drive this category message across all stages of the consumer journey starting from awareness. When it came to awareness we took up both digital and conventional form of advertising. In digital, we were present on connected TV. So connected

TV we were there on JioCinema which was airing the IPL. As you know
connected TV is a digital serving medium as compared to linear TV. So it was important for us to understand what were the kind of impressions that we were getting for each of the creatives that you saw especially in the key markets where the match was being played. Now how is that possible? This was possible with a tool that's called a seismic tool which tracks every impression during the IPL. So there's a seismic pixel tracker which gets embedded into the digital files and therefore every time the impression is ser ved we know that. It also measures the kind of unique TV sets where the impression is served as well the entire duration for which the creative has

been played. So of course we were able to achieve about 215 million views because of this tracking. We also took up outdoor advertising which is essentially billboards. Now here too it was important for us to track what is the kind of reach we are getting. So the tool that we put to use was mobile propensity which helps us to track the outdoor viewership. What this does is that it looks at data from different sources. So, for example, it looks at mobility data which is essentially all the GPS logs that have been logged in through the mobile apps in that area along with the census data and the profile data to estimate what is the reach that we are getting for every billboard. So this therefore helped us in precision delivery of our media. Moving on we also took up for discovery and consideration Google search and influencers and here we utilized the Google analytics to understand the kind of source keywords and the combination of keywords that would give us high volumes as well as the kind of traction that we are getting from the contextual influencers. Also I'm glad to share that organically for the keyword complete home loan, L&T finance home loans ranks first on the page one of the search. So therefore conversion. Additionally through a lot of performance media and retargeting we were able to drive higher conversions and personalization. Now basis every intent so for example if a consumer is logged in to magic bricks to search for property or has applied for a home loan. Now that is the time we personalize me ssages and that happens through AI and ML based dynamic ads which are triggered and of course we generated considerable amount of leads. Now this entire exercise helped us to drive higher levels of awareness so our top of mind awareness improved from 1% to 14%. So the model I spoke about was all about driving marketing at an aggregate level. However, this is the model which now helps us to drive marketing at a single customer level. The model what it does is that it looks at data from different sources. It also adds on the propensity modelling and segmentation which gets integrated into the unified customer data, integrated with that are the Mar Tech tools which enables a single view of the consumer. Further through AI we are able to segment and drive higher ROIs through hyper personalization. Now let me explain this to you with an example. So what we've done is followed this hyper personalization for our two-wheeler customer onboarding journey. So right from the start when the lead is generated and up to the disbursement, we are able to track t he consumer as well as understand what are the kind of interventions that we can do. So because of the single view or the 360 degree view that I spoke about we're able to understand at what points of time we can do a n outbound call through the call center or also try to do a whatsapp or an email message depending on what s

tage the consumer is at as well as hyper personalize the communication. So, for example, if let's say a consumer has served a lead and we want to nudge him to move to the next stage here's what we do as a message. So as you saw we have got Bumrah back and if let's say your Anurag and your loan is sanctioned here's the message that you will get. So this is the kind of hyper personalization we're able to enable and of course that helps us to drive higher login to disbursement ratio. Moving on there is great use case of AI both for image and content creation and we've used that for a recent festive campaign for Diwali which was an AI enabled program called Sapno Wali Diwali with L&T Finance whe re we set up a n AI led microsite, had consumers visit the microsite, select your dream, upload your picture and have an AI generated image which got us a very huge response from people and as you can see these are all the kind of images that got created al l thanks to AI and GenAI and we were able to improve the level of engagement to as high as 23% and get 16 million views on social media. If you want to know more about what GenAI can do in marketing do visit the marketing stall which is at in the next room. Moving on just beyond image there's also a great use case of AI in video creation and we did just that. So the event which is coming up tomorrow our marquee Raise Event. We have an entire AI generated video that talks to you about what the event is all a bout and this gives you a sneak preview of what is in store for you tomorrow. Happy viewing and we look forward to seeing you at RAISE tomorrow. Thank you and now I request Sudipta and Sachinn sir to come on stage to address Q&A

Karthik Narayanan :
Thank you so much Kavita. Thank you so much everyone for the granular perspective on LTF. We now move on to the Q&A session . I now invite questions from the audience please. We request the audience to restrict their questions to one for maximum participation. We have volunteers who will assist you with mics on each side of the hall. We request you to provide your name and organiz ation before you ask the question please. So Sudipta sir and Sachinn sir kindly please come on stage for the Q&A session. While they come in let me tell you that the

lanyard you're wearing is your pass for tomorrow for Raise ’24. So please do attend RAISE 2024 with the lanyard that you're wearing tomorrow, that’s your pass for tomorrow. Thank you ,

Sudipta Roy :
Long presentation, 162 slides .

Digant Haria :
My name is Digant Haria from GreenEdge Wealth. So Sudipta great presentations and these two examples specially that undiscovered prime and the second example of the AI application which was if the customer is good you have lower down payments, higher LTVs and different interest rates. Those were great examples, but so my question - it's a question and compliment both by doing so much of analytics, so much of capabilities will we be getting enough customers to grow at 25% because a lot of your competitors wo uld actually be lending without doing any of these things. So that's my question .

Sudipta Roy :
Yes so let me take that. See I think India is a large country. There are lots of customers out there so I don't think we'll have a dearth of customers, but I'll tell you where we'll get enough customers. Right now we let go of a lot of customers because we ar e not sure of lending to them because their bureau footprints are thick, their liabilities footprints are thick, but the fact is that they might have - there might be NTC borrowers, but there are many lenders who shy away from giving loans to NTC borro

wers . You know that two wheeler is a business in which 40% of the loan goes to new to credit borrowers. So what happens is that the undiscovered prime concept as well as the Cyclops concept which we talked about, both of them in conjunction actually help us to lend to new to credit with far more confidence right and as we lend and as we build a body of data of NTC credit the se scorecards will become more and more stronger, more and more stronger which will allow us to lend with more and more confidence. So in a way we get into a virtuous cycle. So small answer to that question, no I don't think it won't shrink the customer base, it will actually expand the customer base .

Shweta Daptardar :
Hi this is Shweta from Elara Capital. So my question is on two wheeler finance only. So I always felt that typically two wheeler is sort of an Achilles heel of a particular lending model and larger part of upselling is happening to the two wheeler customer profiles. Of course you had a very elaborate and comprehensive explanations on how we have put up credit guardrails, but nonetheless historically and even from the industry perspective NPAs

traditionally have been typically higher for two wheeler business . So how, so if you can provide some color?

Sudipta Roy :
Yes so Shweta if you see recall Sanjay's presentation where Sanjay said that by the end of September or actually early October we were almost close to 60 % plus prime and when we talk about 60 % prime these are customers who are generally bureau score of about 730 plus, majority of them 750 plus or buying a vehicle of 1.5 lakhs plus. So these are not in the way the sort of the weaker section of the customers. So and the fact is that as our models and as Cyclops matures we expect our prime to go far higher probab ly you know go 70% plus which means that you are actually funnelling a prime urban customer base into your customer fold. Also what we have done is that which people have which we have not covered here which are very thriving super bike business where we a re funding almost close to 600 or 700 super bikes every month with an average price of about Rs. 10 lakhs to Rs. 12 lakhs plus. So overall as a strategy of the organization, our two wheeler business volumes have actually gone up in terms of number of custo mers as well as ticket sizes plus we are funnelling a large amount of prime and we do believe that this prime customer base which we are funnelling in is significantly different from many of our competitors what they do and again even in prime even in NTC you might have undiscovered prime the concept which Debarag talked about. So our strategy is to get in customers who are prime by their current footprint or their

prime lookalikes and I do believe that as this body of customer grows over a period of time this will form a very strong prime customer base for cross sale of other further products. Yes this won't happen overnight. Right now we are about you know 60 % plus prime as we move it to 70 % prime and as we traverse through you know we started this journey around September of last year where you will recall in terms of data in September of last year we were roughly about 30 % prime. Right now as we speak in October o r November of this year we are close to 60% plus prime. So we actually doubled the prime acquisition without dropping our volume. So our sales channels have been oriented that way, we have done a lot of analytics into our dealer channel to figure out which dealer channels actually fit in much more of prime or VPP program actually incentivizes a dealer on prime acquisition. So even in a storefront where other competito

rs might be present 100 customers are coming through the door
and if the natural distribution of prime in that storefront is 40 of them we will try to garner 30 of those primes, take an outsized share of those p rimes and obviously as you know primes have much lower loss rates, primes have much more stability and primes lend themselves to cross sell much, much better. So that is sort of the strategy which will play out over the next couple of quarters .

Shweta Daptardar :
Thank you and congratulations on these digital initiatives .

Sachinn Joshi :
Shweta just to add I think the next question which comes always whenever this kind of a question is raised is on the returns. The yields naturally are low, but the risk adjusted ROAs will take care of that. So the credit cost, collection cost when it's a n ew to credit customer and I think the Cyclops is going to be the key differentiator. When we differentiate the right customer, offer credit to them we are going to have the best of customers with us as well as the ROAs also will not be impacted .

Viral Shah :
Viral Shah from IIFL Securities. Sudipta I have a question, you guided for 2.8% to 3% ROAs and I think briefly Sachinn touched on it but given the changing book mix, one which is increasing share of urban, second probably reducing share of MFI, thirdly wit hin MFI the weighted average lending rates coming down and fourthly as the leverage going up, how do you anticipate you reaching this ROAs on a sustainable basis by when? Because in last two quarters we have seen that we have reduced the NIM s plus fees gui dance by nearly 50 basis points. So can you give us a walkthrough of that?

Sudipta Roy :
Yes, I will give the first part of the answer then maybe Sachinn can add to that. One of the things which is there is that obviously you're right you know some portion of our business especially on the MFI business, we are tempering that business currently in line with the market conditions. However, the fact is that it is not that we are not growing other lines of business or the other high -yield lines of business. As you saw we have launched MicroLap which is a secure high -yield business. There are a coup le of products which I can't reveal right now which are currently in the works. Some of them might be high -yield. In fact we have launched a small as an experiment what we call the high -yield mortgage also we have launched slightly as an experiment and we are piloting it in a couple of markets in the west of the country. One of the other things is that if you look at our fee profile, our fee profile has been largely dependent on the fees on origination and some parts of CLI insurance on

attachment. We are working on a plan to sort of broad base our free profile as well and there are couple of products specific products which can be done which actually adds to your fees profile especially in the line of payments etc. This particular block for us is completely empty. Now obviously we have guided at 2.8% to 3% ROA on a sort of consistent basis. There are a couple of blocks missing blocks which need to get filled in for that to happen. We were at about 2.6% at the end of this quarter. The fact is that if we are getting into a - if you are able to and we have set up a completely a new insurance channel where we actually right now we could do insurance only at the point of origination as CLI. Now we are actually trying to sell through the entire insurance

lifecycle because we have got a corporate agency license. We have put up a fully dedicated insurance sales team as well. So on one hand we are trying to improve our fee profile so addition of

new fee based products as well as
insurance. We are trying to ad d a couple of more new product lines which can have higher yield profiles and you will see them as they come along. Personal loans business you will see one launch that will happen tomorrow. I do believe that the personal loans business also has legs to ru n and it's a relatively medium in product. So overall there is a lot of focus on cost reduction. The lot of digital work that we are doing is an overall focus on cost reduction is what we are carrying and I do believe that from next year probably India wil l probably start on a downward rate cycle from next year. You have to see when it happens, but we are hopeful that it might happen. So overall I think we remain moderately confident about NIM s and fees guidance about between 10.5% to about 11.5% percent. As your cost of credit starts w eaning off as we have said between 2% to 2.25% is our sort of directional movement towards cost of credit with a bias towards 2%. I think that 2.8% to 3% number delivery in spite of the changing asset mix might be possible on a consistent basis .

Sachinn Joshi :
Just to add when we said the NIM s plus fee range is being brought down from 10.75 to 11.25 to 10.5 to 11 that was we had also mentioned that this was because of the challenging environment externally. No doubt the regulator has been talking about bringing down the interest rates generally , not just about one business, but across businesses. What will actually happen is the riskiness of doing each and every business is going to come down. So the credit cost requirements at the industry level itself will come down. If the whole industry is not going to take the kind of risk which it takes today it's going to naturally bring down the risks which will lead to lower credit costs. The collection efficiencies will improve across and with the kind of work that we are doing, I am sure t hat we are going to spearhead that because as the balance sheet starts growing there will be businesses like Home Loan LAP which today the yields are low. But on an ongoing basis as the book starts growing the incremental cost of doing the same business or adding balance sheet is not that high. So the operating efficiencies will then kick in to ensure that the overall opex will go down which includes collection costs and the credit cost of course there's a lot being done on that. So in spite of the NIM s plus fee coming down to a particular level we believe that we'll be able to manage on a sustainable basis 2.8% to 3% .

Viral Shah :
Can I have one more question?

Sudipta Roy :
You can have one more question, but provided others are okay and maybe give others a chance and then come back .

Viral Shah :
Yes.

Hardik Shah :
So this is Hardik Shah from Goldman Sachs. Firstly congratulations on putting this piece very useful insights on the entire Cyclops, how they are touching each of your businesses. I have two questions one is can you broadly tell what will drive the 20% to 25% growth guidance that you are giving? If you could share what products will drive that? And second question is MFI collection efficiency has seen marginal dip in October, so where is that stress coming from and incrementally where is that heading if you could share in November .

Sudipta Roy :
So I'll take the second part of your question first. So I think incrementally as we see in November I think we are sort of equivalent to what we are in October in most of the markets we, actually when I looked at the collection

efficiency numbers as of yesterday, in most of the markets we are actually have a n improving bias to those

collection efficiencies. We -- you know that we had a flood in the last week of September in Bihar, and that led to some collections disruption in Bihar in the first in October and then it was followed by Ch hath in Bihar. So obviously, when our people also go for some leaves etc. So but we are also very hopeful that in Bihar also the collections efficiencies will come back to normal in the latter part of December. In a nutshell November we are seeing similar amounts of collection efficiency in as we saw in October with a bias towar ds improvement. I am just not getting ahead of myself and trying to guess what December will be, but given the fact that we have had a reasonably good Kharif crop the social flows have started once again, and I do believe that December will probably if not better will probably be around on similar levels. So Sachinn you want to add anything to that?

Sachinn Joshi :
Yes just I think -- usually we see that whenever flood like situation happens which especially in Bihar, you always find at least once in a year there are certain districts which get into this challenging circumstances, but we have seen that after 60 to 75 da ys things start coming back to normalcy, so we are very hopeful that come December we should start seeing some improvement that there will be first stability and then some improvement. So you can see certain geographies excluding Bihar already starting to see some kind of improvement. So on an aggregate basis we believe that in Q4 we should be seeing improvement, I mean the collection efficiency whatever reduction has to happen and you have seen in quarter 1 and quarter 2 the overall reduction has been around 40 basis points so, it's no t going to be alarmingly high and the reduction which we will see in Q3 will be in about the same range as what we have seen in earlier 2 quarters and post which we are very hopeful that things should start picking up .

Sudipta Roy :
Okay, so and the first part of the question, see if you saw also -- and this is a question that I am getting very frequently these days and the fact is that, I'll be very candid in saying that we have slowed down the MFI business by choice. It is not that we have slowed down by the MFI business by duress, we have slowed down the MFI business by choice, because the fact is that when there is a little bit of an adverse situation in asset quality in the market it is foolhardy to grow the business at that time right. So we have decided to do absolutely safe business and but even after deciding to do absolutely safe business we have done Rs. 1500 crores of business disbursements in the month of October, which is typically not a very high MFI disbursement month as well, because they are festive sort of disruptions in many parts of the country. If you look at the chart and if you remember the ch art and you can refer back to it when we upload the presentation. When Sonia talked about the markets in which we are doing expansion in MFI, AP and Telangana we are doing expansion in MFI . AP and Telangana this year this this quarter we are putting in close to 100 branches, new branches , last quarter between last quarter and this quarter we'd have put about 150 odd branches, about 150 odd new branches and I do believe that post the good monsoons post a good Kharif, Rabi crop will be good, social flows has started, Asheesh talked about a r ocking disbursement month in tractor in the month of October. I think these are green shoots of positivity in the rural sector. I think the rural distress had built in certain pockets all of you have to keep in mind that these are unsecured loans. Typicall y unsecured loans flow in 6 to 9 months. I think in most cases unsecured asset industry asset quality issues typically flow out between 6 to 12 months. The current genesis we saw it last year in September. We saw signs of it in last year in September and t hat is why Sonia talked about it we mo

ved
into LTF plus two from January of this year. In fact the MFI norms have just got announced right today evening the Press Release came, right where it has come from lender plus four to lender plus three. We have bee n operating on lender plus two from January itself and even then we have been doing Rs. 1500 crores of disbursement, even after tightening our repeats as well as our fresh issuance. I do believe as things normal growth will come back to the industry. Yes, you will not have that heady 30% -40% those are unsafe speeds, but a safe speed is about 20% is a safe speed, because India is a large country there's a large unserved market, so safe speed even in this business it may be next year maybe by second quar ter of next year is 20%. I do believe that the industry will restore to reasonable growth rates and in my mind the reasonable safe growth rate in this business sits around somewhere between 15% to 20%. We have other levers, like personal loans is a lever again, personal

loans lot of people are scared about personal loans you have to remember that prime personal loans and super prime personal loans continue to behave properly even after so much of doubts on it. The section of personal loans that does not continue to behave properly is the section of personal loans below Rs. 75,000 of ticket size and in a Rs. 13.5 lakh crores market of personal loans only about Rs. 1.25 lakh crores is below, Rs. 75,000 and that too has a loss rate of about 6% to 7% -odd loss rates while prime personal loans still continue to operate below 2% plus loss rates. Yes, there are questions whether in personal loans there has been leverage etc., and all this. So yes, there has been leverage, but the fact is that the industry has also seen stabilization in risk cost in personal loans and unsecured lending -- in Septemb er and October so that business will also continue to grow. I do believe in India mortgage as an asset class will continue to grow at about 20% to 25% growth rates, some secured loans like gold loans , micro lap etc., will continue to grow at 20% to 25% rate. Personal loans, I do believe safe speed to grow is about 20%, micro finance I do believe safe speed to grow is about 20%. So I do believe if you plan your portfolio distribution properly and you plan your growth strategies properly, on a steady state basis growing at 20% to 25% is not a challenge in a safe risk calibrated fashion. Yes, some businesses you might gain some tailwinds, for a couple of quarters you might grow at 30%, but on a steady state basis, we would like to grow at between 20% to 25% with a bias towards 25%. Does that answer your question?

Hardik Shah :
Thank You.

Ramesh Bhojwani :
Sir, Ramesh Bhojwani from Mehta & Vakil. First and foremost many heartiest congratulations on 30 years, which we are celebrating today, delayed by 2 days because we started on November 22, 1994 and I have had the good fortune of being virtually in almost e very presentation by L&T Finance, beginning with Mr. Devasthali , then Mr. Dubhashi and now your good self. It's remarkable to see, how L&T Finance has evolved in all the eight verticals of your business, with not only digital strength but with an extra inc isive innovative and inventive carefully crafted safety first feature in the lending business which is full marks and it shows that your net NPAs are at 0.86. Sir, 1 Slide was there where it was showing in the last bottom, some write -off of Rs. 256 crores or Rs. 236 crores. Not a question but just would like to get a clarification what is the total write -off and are we recovering even although they are in the write -of

f segment as banks do?

Sachinn Joshi :
Yes, I will just take that. So this quarter we had a total write -off of Rs. 641 crores, out of which what you saw was on the rural business loans we had about Rs. 236 crores. The other Rs. 236 crores, it's a coincidence that the number is same is on farm loans and the balance of about Rs. 169 crores was 2 -wheeler. Now the write -offs usually happens it's more of a CFO’s decision when to actually take a write -off because once asset is provided 100%, then you can do a write -off on an immediate basis or you can take a write -off at a later date. So all these loans which have been writte n off, have been written off after 100% provisioning and all the provision 100% provision need not necessarily have come in the current quarters ’ credit cost. The credit cost would have already come over a period of time .

Ramesh Bhojwani :
And we are certainly pursuing recoveries from this segment, because the classification as a write -off is viewed by RBI as say after 90 days. But they are not bad loans, they may be a business in temporary, intermediary, quarterly, reverse cycle

Sachinn Joshi :
Absolutely, so especially for rural business loans the moment it is 90 DPD we do a 100% provision. That does not mean and that's why I said that it's a CFO's prerogative, it's a technical write -off.

Sudipta Roy :
We have separate collections team following on write -off portfolios and we track recoveries from write -off portfolios separately .

Ramesh Bhojwani :
Perfect, it's very well answered. Thank you and all the best .

Nischint Chawathe :
Hi, this is Nishant from Kotak Securities. So this is a question pertaining to data security and the changes or the regulatory changes that would come in this front. What do you envisage in this and how have you taken care of this in Cyclops?

Sudipta Roy :

Yes, so one of the things in Cyclops, obviously we consume Bureau. Bureau obviously is all kosher and regulator approved. We consume account aggregator. Account aggregator obviously comes with the customer consent after the customer gives OTP. On all other fronts we do not consume any raw customer data. We only consume an indicative score which can be an affluence score or which can be a risk score or which can be a stability score. So we do not take any PII data. So if that answers your question .

Nischint Chawathe :
Got it. Thank You.

Vipul Shah :
Yes. My name is Vipul Shah. So I wanted to know what is the total capex we have done on this Project Cyclops, this entire digital initiative around which this whole discussion is going on? And also what type of expected returns on this investment?

Sachinn Joshi :
So, in fact the return, if you had seen slides which Mr. Debarag was showing, he had talked of the term RODI. I think it's a new concept. As far as returns are concerned, we will have to still bide our time to see because it's just being implemented for the first product, first business. It's 2 -wheelers. The pilot just happened in June and we started seeing the results which seem to be very good. On the total investments in Cyclops, in the first half we have invested about Rs. 20-odd crores. Another Rs. 25-odd crores will be invested in H2. So about Rs. 45 crores is the investment purely for Cyclops. The total capex that we intend to incur during the current, I mean what's been budgeted is about Rs. 175 crores for the current year. The same number was about Rs. 100 crores to Rs. 125 crores in the previous year. And the rest is all operating expenses .

Sudipta Roy :
But what I would like to add to what Sachinn said is that since Cyclops is a p

roduct, Cyclops is a standalone
product in itself, we are able to capitalise a lot of the cost in line with the accounting guidelines. So the other thing which I would like to sa y is that Cyclops, one question which arises is that why it is 55% right now? Why it is not fully? You put it in June, beta was released in June. Why you are pushing 55%? Because it was a new product and because you saw that in 2 -wheelers we are using 16 s corecards. It's an extremely complex machine. Probably the country has not seen before in credit underwriting. So we wanted to be absolutely certain that what we are doing is correct because the fact is that if something goes wrong then it will show up bad ly in credit cost. So we actually slowly migrated dealer by dealer, dealer by dealer, region by region and then looked at the results and see whether we need to fine tune anything. So this is a process of fine tuning that this machine is going through.

But as Sanjay said, by end of December, early January 100% of our 2 -wheelers will be on Cyclops and then the tractor business will go into Cyclops. And as I said originally in my presentation that this is a productised modular approach where this is an Omni product, Omni credit engine. It can do anything .

Chintan Shah :
Hi, this is Chintan Shah from IS ec. Thank you for the detailed presentation and showcasing our digital capabilities especially on the project Cyclops. So most of the efforts seems to be towards the pre -sanction stage which is expanding the customer base and sharpening the underwriting skil ls to lend to more quality customers. Moreover, now most of our processes are digital in nature. However -- how are we leveraging analytics on an account once it becomes overdue, even if the overdue is by a single day? Can you please share some colour on that ?

Sudipta Roy :
Yes, Chintan, you probably have seen that couple of Slides on what we call the automated portfolio management engine, which is the next sort of moon -shot that we are taking, right, where it's an automated portfolio management engine. It will, even before the customer goes delinquent, it should ideally tell you that the customer is on the verge of going delinquent. Because the fact is that as I said, credit -- there are two things which I said at the beginning of my presentation. Traditional credit administration is dead. If any organisation in this day and age is following traditional credit administration, they are probably not doing justice to the streams of data and the technological stack that is available in India today, they are not taking full benefit of this. So the way we want to go is that when Nostradamus comes live, which is an automated portfolio management engine stack, which is probably in terms of complexity a programme, which is probably two times more as complex as Cyclops, when it goes live, it will tell us at an individual customer level that this customer is this pr obability of going delinquent in the next 3 months. And then your entire proactive collections engine will spring up on that customer. This will be done for millions of customers automated in a sentient basis. I use the word sentient, because the machine itself

will ingest data sources, the machine itself w ill run the BREs and algorithms, and then the machine itself will decide whether this customer is behaving, exhibiting risk, and what is the probability of this customer going bad in the next 3 months, wh ich will form a feed to a pre -delinquency measurements. So ideally, I would not like that customer to go to that DPD 1 or DPD 30 stage. I would like to address the customer before he gets there .

Sa

chinn Joshi :
I think the date mentioned is Q2FY26 .

Sudipta Roy :
Yes, so that is what we are saying, Q2FY26, we'll try our best to get there before Q2FY26, we'll try our best .

Chintan Shah :
Thanks.

Sachinn Joshi :
I think Viral had one more question. Viral, if you want, you can .

Viral Shah :
Just wanted a perspective on the MFI business that you have been highlighting . As you mentioned today, there's another news that has come out that it will be capped at three lenders. So how do you foresee the second half of the fiscal for especially L&T Finance, given that if we look at that portfolio that is similar to what it is a t an industry level of 18%?

Sachinn Joshi :
It will not be -- it is actually, if you have seen the Slide which Sonia was flashing, it is 8% plus 5%, so it's about 13%. And that 8%, if you looked at the collection efficiencies over there, it's about 97% collection efficiencies. So yes, in fact this recommendation, I was part of the meeting where it was, where these calls were taken. And I think the whole industry, all the members of MFIN are, one thing is very clear to them that if they don't take stringent calls at this point of time, then there are, the challenges are only going to increase. If you are going to continue financing an over -leveraged customer, you are just passing the buck. You are just pushing the problem to a future date. And that's also one of the reasons why they have brought down the overdues, for funding from 89 days to 60 days. So I think at an industry level, there is going to be pain which will increase for sure. Players like us who have faced lesser problems because of the guardrails that we created four years back would contin ue to have an upper hand. If at all there is any loss which is going to come, I think we have already mentioned the first quarter, the slippages were about Rs. 100 crores. Second quarter, it was Rs. 175 crores slippages. So we have had about Rs. 275 crores which came in the first half. We believe that in the next two quarters, looking at the current scenario, I don't think we will exceed the overall provisions beyond Rs. 1000 crores. So we still have some room and we are just hoping that the way we have bee n managing this business, we should be in a position to curtail whatever losses are there and if the collection efficienc ies improve going forward in Q4 and that's what we believe things should start turning around. Because if the pain level has to come, it's better that people take that hit and go ahead in life because it's not just about the current losses. The customers are there. If you keep providing more and more money to an overdue customer, I don't think the problem is going to get resolved. Yes, yo u cannot suddenly squeeze out liquidity from these customers, but as Sudipta was mentioning, the external situation should start improving because whatever problems arose was more on account of election, the liquidity drying up because most of the projects , the M NREGA projects and other social projects which are undertaken, they had to be stopped. The liquidity was squeezed out and we see that most of such projects have restarted. In fact, the Ladki Bahin scheme which was announced in Maharashtra, we saw co llection efficiencies already improving, although the portfolio is very small in Maharashtra, but these kinds of schemes are being taken up by major states these days and the liquidity is helping people in a way to get back on track. So we are very hopeful that the losses should be limited. If the industry is going through a turmoil, then we cannot completely get out of it absolutely unsca

thed. What also helps us is that we are sitting on Rs. 975 crore macro -prudential provision and these are the reserves w hich we have created for these kinds of difficult times. So if there is a need, we will use them .

Sudipta Roy :
Yes, but I would like to add to what Sachinn said when I look at data. I see an improvement bias in collection efficiencies in many states. I see an improvement bias. I just don't want to get ahead of myself, but if we see the

trend continuing in the month of December, then I think by the end of Jan uary, if the same trend continues, we can safely assume that the industry has bottomed out in the December -January mont hs.

Karthik Narayanan :
Can we take one last question. Kunal first and then we will go to K aitav so that will be the last question. So Kunal please go ahead.

Kunal Shah :
So firstly, with respect to these entire digital initiatives on the credit side, if we look at it on the existing customer base, how is it mapping? So when you spoke about risk -based segmentation, so how does the existing customer base actually falls withi n the various risk layers and where eventually we would want to be over a period say next two to three years, if you can just highlight something on that part .

Sudipta Roy :
See Kunal, one thing is that it's very difficult for us to go and back -test what we are doing in the current credit engine on the historic base because we do not have those data elements. We don't have those additional data elements. We just have to rely on Bureau and frankly, Bureau gives us a directional sense, but it does not give that fine, sharper separation that we are getting right now. The only thing that I can tell you is that as, for example, Two-Wheeler, the prime bas e, now throughput is about 70% of our incremental sourcing is Two -Wheeler. So our entire legacy Two -Wheeler portfolio will probably get renewed in the next 12 months Sachinn almost, next 12 months. So I would reckon that after 12 months, my premium prime portfolio in Two -Wheeler will be close to 85%. Maybe 15% of the legacy portfolio will be left. That will show up in credit costs. So, and as each of this portfolio go in block -by-block into this, all this portfolio will go through the credit renewal or what I would call a much more resilient customer p rofile. And this is something which is very, very interesting that we saw during COVID. If you look at the Bureau data, before COVID, if you have two sets of customers in the Bureau, the resilient customers and the sensitive customers, sensitive customers defined as those customers who exhibit more risk under stress. Before COVID, the risk separation between those two customer segments was not more than maybe, 30, 40 max 100 basis points risk separation. COVID comes, the risk separation became 400 basis points between the sensitive borrowers and the resilient borrowers. The objective for doing all this is to make sure that your portfolio has a far greater share of resilient borrowers. You cannot totally el iminate the sensitive borrowers, because the sensitiv e borrowers at times give you a yield. So, it is very important to calibrate a portfolio mix with a larger majority of resilient borrowers with a small smattering of sensitive borrowers, so that in matters of stress, when stress situations come, or when an industry event come or an industry sit uation come, the amplitude of your loss does not go beyond a point that you cannot manage. That is the science behind it. For us, it's very difficult to go back and retrofit our existing portfolio with these new tools , because you do not have that granular data. But what

I can say with confidence is that 12 to 18 months down the line, once all this goes through, the portfolio that will be left will be an extremely resilient portfolio .

Kunal Shah :
Sure, so not done it even on a sample basis ?

Sudipta Roy :
We have done it on a sample basis. And basically because we did it on a sample basis we saw that the new portfolio behaves particularly well. Probably I can share offline the results of the sample with you .

Karthik Narayanan :
Okay, thank you. So, we'll have the last question coming from Kaitav.

Kaitav Shah :
Yes, thank you. K aitav here. Sir, if you can explain in more layman's language, what are the industry first in technology that you're trying to bring out .

Sudipta Roy :
Okay, I'm a layman. So, whatever I speak, I'm not a technology professional. So, I understand technology, but I'm not a technology professional. So, I'll try to explain. See, what we are trying to do is a couple of things. First thing that, number one, as I said, we are trying to take a modular approach. What do you mean by modular approach?

Previously, when you go and did development in BFSI, you said, you have to improve UI, UX. So, you do a small Mickey and put that into the stack. Our approach is differ ent. Our approach is that if I'm doing something, I will build it like a box. That means, I will build it ground up. I'll build it solidly like a box so that any business, and I'll build it cutting edge, so that if you want to use this box, whether be it in the UI, UX domain, whether be it in the credit domain, whether be it in the portfolio management domain, whether be it in the service domain, you can

pick up this box, make minimal changes and deploy in another lines of business. So, there's a first sort of philosophy change, right, to move from a disjointed approach to a product modular approach. This is exactly the approach that Silicon Valley works in, product -wise modular approach. This is the approach that they work in. So, that's the first change.

The second change is that we are trying to think GenAI and ML first. Many of the things, for example, you saw the automated attendance that, we are trying to do in ML. Now, I used to get asked this question, what is your attendance in MFI? I said, this is the attendance here. How do you know that the lady is coming and your sales guy is not blindly marking? I came back and thought that I don't know, right, if the sales guy is blindly marking or the lady is genuinely there, then how can we use technology to make sure that this is foolproof? Take a photograph of the FLO with the lady who have come into attendance, go back to the KYC photo, do an image processing algorithm, match them with the ladies of the photo that the FLO has got, where the photo comes with geotagging, photo comes with device, photo comes with a token. So, it is very difficult to forge. And then when I do this thing, it gives automatic attendance. It is tamper -proof. Simple example. But we are trying to think GenAI First. We are trying to th ink how to use technology first in problem solving. This is what we are trying to use. So, GenAI, ML first. This is what we are trying to do.

The third approach is build versus buy. That is the third approach. Sometimes, when you try to buy, the speed at which the people who make for you is much slower than the speed at which you want to move. Critical applications, you make yourself. Because you have far more control on what you want to do. And that is why we have 300 application engineers. Youngsters, hungry youngsters. And what we have realized is that if you give them tough problems, they really go b

ehind it. So, that is the other main change. Which is basically, you know, where you can build it, you know, build it rather than buy it. And typically, we have noticed that building it is probably cheaper than buying it. An d it is much more, you maintain the IP with you.

Which brings to me the fourth point. The fourth thing that we are trying to do is we are trying to build intellectual property. It is not about whether you're trying to do something in technology. But it is about whether what you are trying to do in techno logy, is it cutting edge? Is it the first in India? Is it the first in the world? You know, our engineers have to ask themselves the same questions. And that is why reorienting the technology teams to problem solutioning so that they build critical intelle ctual IP. That is why, you know, in our lifestyle index, small solution, but a very effective solution. And we scoured around, we figured out that the solution does not exist. It is non -patented. So, we filed our new patent . So, the fact is that the fourth thing is to build intellectual property.

Overall, why we are doing all this? Because we want to seep in a technology culture within the entire organisation. We want to make -- because transformation won't happen unless the person in the ground level, the engineer, the graduate engineering trainee who is coming in, the guy in the field who is going to, all are learned to use technology, all are comfortable with technology and all trust technology . So, it has to start from the ground level. So, overall, we are doing all this to build that cultural transformation within the organisation. Long answer to the question, but I hope I have answered your question .

Kaitav Shah :
Yes, thank you.

Karthik Narayanan :
Thank you, sirs, for the detailed discussion and clarification provided. With these ladies and gentlemen, we conclude this Investor Digital Day. On behalf of L&T Finance, I thank you again for spending your valuable time for this digital and business immer sion, and we hope it would have been useful. For any further clarifications, request to contact the Investor Relations team .

*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies ,
repet itions in Q &A which would have unintentionally crept in, if an y

Call: Jan 2025

January 28, 2025

National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051. BSE Limited
Corporate Relations Department,
1st Floor, New Trading Ring,
P. J. Towers, Dalal Street,
Mumbai - 400 001.

Symbol: LTF Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of investor(s) / analyst(s) meet – Q3FY2024-25 financial performance and strategy update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q3FY2024-25 financial performance and strategy update held on January 21, 2025.

The above information is also available on the website of the Company i.e., www.ltfs.com/investors .

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Limited
(formerly known as L&T Finance Holdings Limited)

Apurva Rathod
Company Secretary and Compliance Officer

Encl: As above

L&T Finance Ltd.
Q3 FY25 Earnings Call Transcript
January 21, 202 5

Management Personnel :
Mr. Sudipta Roy (Managing Director & Chief Executive Officer)
Mr. Sachinn Joshi (Chief Financial Officer)
Mr. Karthik Narayanan (Head – Strategy and Investor Relations)

Moderator:
Ladies and gentlemen, good day, and welcome to L&T Finance Limited Q 3FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded .
We have with us today : Mr. Sudipta Roy, Managing Director and CEO; Mr. Sachinn Joshi, CFO; and other members of the senior management team .
Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the conference call. Only public ly available documents will be referred to for discussion s during interaction s in the call. While all efforts would be made to ensure that no unpublished price -sensitive information will be shared, in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the statements made on today's call may be forward -looking in nature. A note to this effect is provided in the Q 3 results presentation sent out to all of you earlier .
I would now like to in vite Mr. Sudipta Roy to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir .

Sudipta Roy :
A very good morning, everyone, thank you for joining us today. I would also like to wish you all a very happy and prosperous New year on behalf of the entire leadership team at LTF. Today with me on the call are – our CFO, Mr. Sachinn Joshi, and the senior management team of L&T Finance .

Today's call is divided into two sections, taken up seq uentially by myself and our CFO – Mr. Sachinn Joshi, who will be talking about the overall business metrics & financial performance at length .

Post our opening commentary, we'll be happy to take questions on the call .

Macro -economic outlook
Before movin g to the highlights of the quarter, I would like to give you some flavour on the Macro -economic scenario and sectoral outlook .

Global backdrop remains uncertain at this point as possible policy pronouncements in US, cloud visibility of outcomes in global trade and financial markets. In the meanwhile, stronger growth momentum and high policy rates in US, continue to drive flow of funds towards the US Dollar assets and adding pressure to financial assets in the Rest of the World. Sharp shift in external lan dscape has triggered tighter liquidity conditions and currency volatility in domestic financial market as well .

In the meanwhile, delayed government spending, mixed demand signals and credit squeeze has hit GDP growth momentum in the domestic economy. Slo wer urban consumption and moderate investment activity has only partly been offset by rural recovery, leading to a sharp dip in growth during the second quarter of FY25. Government's first advance estimate of Real GDP highlights a t ampered pace of economic activity in FY25 at 6.4% annual growth, well below the 8.2% growth in FY24 .

Acknowledging the headwinds to consumption demand and private investment in the economy, RBI has also revised down its Real GDP growth projection for current fiscal year. RBI als o revised up its inflation projection, highlighting the challenges of bringing down the headline inflation to target level in the current fiscal year. While Headline inflation has seen some moderation in November and December, as improvement in mandi arriv al of

vegetables and bumper Kharif harvest help ease price pressure of volatile components, Core CPI inflation and WPI have seen some uptick indicating broadening of inflationary pressure in the economy .

High inflation level and lower government spending has hit the disposable income available with consumers for discretionary spending. Urban consumption has shown signs of fatigue with the exhaustion of pent -up demand, while rural consumption, despite gradual improvement, remains inadequate to offset urban drag. Unexpected weather events, depreciating currency and worsening of geopolitical conflicts constitute major upside risks to expected moderation in inflation levels going ahead. Hence monetary and fiscal policy interventions to support consumption are k ey to sustained growth recovery in H2 .

In the quarter ahead, we expect rural recovery to continue and hope for uptick in urban demand as inflation levels drift lower. Some of the squeeze in economic momentum is already reversing in Q3FY25 and fiscal suppo rt has picked up as well. With further fiscal and monetary support expected in the upcoming budget announcements and monetary policy announcements, we keenly watch for these early green shoots to turn into strong growth drivers in coming months .

Q3FY25 H ighlights :
I would like to share that despite the challenging operating environment in the microfinance sector, our diversified franchise has enabled us to achieve the highest festive quarter disbursements of ■ 15,210 Cr, a growth of 5% YoY and we have bee n successful in sustaining the trajectory in line with the Lakshya 2026 goals .

Our Retail book now stands at ■ 92,224 Cr, a substantial growth of 23% YoY. The numbers reflect the strong execution engine aided by a proactive portfolio management and pruden t risk management that we have put in place over the last couple of years, and we will continue to bolster the execution bias in every initiative we take .

Many of you would have attended our Investor Digital

Day in November, 2024 along with RAISE’24, our AI BFSI
conference, where we showcased several of our technology initiatives, some of which could be transformational when successfully completed. I am pleased to share that the progress on these initiatives during the last quarter has been satisfactory. Our next -gen credit underwriting engine ‘Project Cyclops’ was extended to 100% of dealerships in Two -wheeler Finance and was also launched for Farm Equipment Finance business . In our pursuit of innovation and fostering partnerships within the lending lands cape, we established a strategic partnership with Amazon Pay to develop cutting -edge credit solutions, while also extending PhonePe partnership to Personal Loans, thereby delivering a seamless digital lending experience to our customers .

Additionally, we launched Knowledgeable AI (KAI), an AI -powered chatbot that revolutionizes the home loan experience. Furthermore, as announced in the Investor Digital Day, we have commenced work on ‘Project Nostradamus’, a first of its kind AI driven automated portfolio m anagement engine. We intend to release the beta version of this new technology engine in Q2FY26 .

As we look ahead, we remain dedicated to driving innovation and enhancing our offerings to better serve our customers .

Update on Lakshya 2026 Goals
Now, I wo uld like to provide an update on our quarterly performance against the Lakshya 2026 goals :
■ The first milestone was to achieve Retailisation of >95%. I am pleased to share that we have surpassed this target with 97% retailisation at the end of this quarter .

■ We had earlier set ourselves a retail book growth target of 25%. However, given our outlook of the business environment in different segments, we have consciously chosen to slow disbursements in segments where

risk reward was not in our favour. Consequent ly, our retail book growth for the quarter stood at 23% YoY, a growth rate we are satisfied with, given the current circumstances. Specifically, as delineated in Slide No. 30, you will observe that in Q3FY25, our RBF disbursements were calibrated downwards to ■ 4,599 Cr, while simultaneously in other business segments such as Farmer Finance, Housing Finance and Personal Loans, we have maintained growth trajectory based on our confidence in our new generation underwriting capabilities and the market potential. I n particular, we have skewed our sourcing efforts towards onboarding more prime customers, who in general exhibit credit resilience during downward credit cycles. In line with this, in the TW business, 69% of our disbursement in the month of December, 2024 was to the prime segment, a number which has jumped to 75%+ in the elapsed timeframe in January, 2025 .
■ Thirdly, this retailisation thrust had to be credit calibrated with a goal of retail GS3 below 3% & NS3 below 1%. I would like to inform that while the quarter witnessed an increase in slippages owing to macro challenges in the RBF segment, the Retail GS3 & NS3 levels stayed close to the threshold levels. The corresponding consol asset quality metrics in this quarter remained healthy with GS3 at 3.23% & NS3 at 0.97% (below the Lakshya threshold of 1%) .
■ The fourth and last milestone on RoA front, we have moved from tracking Retail RoA to Consol RoA in the range of 2.8% -3.0% as per our original Lakshya 2026 targets. Our Consol RoA for Q3FY25 stood at 2.27% down by 26bps YoY, which is a mix of two factors, i.e. a compression in NIMs + Fees on account of a conscious calibration in the RBF business and an increase in credit cost during the quarter. I would like to highlight that our credit cost over the past 12

quarters has been in the range of ~2.60% thereby displaying
predictability across cycles. We remain confident that in accordance with the initiatives towards sourcing better quality customers and investing in the next -gen underwriting platform like cyclop s, along with the improvement in macroeconomic environment will help resume our journey towards delivering 2.8 - 3.0% RoA .

Executive Summary

I would like to quickly run you through the key highlights of our performance in Q3FY25 .
■ Consol PAT of ■ 626 Cr in Q3FY25.
■ Despite a calibration in RBF disbursements, the retail disbursements for the quarter stood at ■ 15,210 Cr, registering a growth of 5% YoY, driven mainly by robust performance exhibited by the Farmer finance, Housing, Personal Loans and SME segmen ts.
■ Retail book for Q3FY25 stood at ■ 92,224 Cr, up by 23% YoY . Consol. book grew at 16% YoY reaching ■ 95,120 Cr in Q3FY25.
■ Our 5 Pillar strategy continues to be central to our roadmap to the future. We continue to granularly execute the 5 Pillar strate gy, details of which are available from Slide No. 12 to Slide No. 28 in the investor presentation .
The year had a challenging operating environment with certain macro events viz. prolonged heat wave, severe floods in several states and temporary slowdown o f government expenditure & grants due to general elections, leading to increased credit cost for Rural Group Loans (RGL) & Microfinance business (MFI) portfolio, thus warranting a case for utilisation of the macro prudential provisions created during COVID (FY21 and FY22). We estimate, based on current trends, that before utilisation of macro prudential provisions, the total credit cost in the RGL and MFI business will be in the range of ■ 950 Cr – ■ 1,000 Cr for full year FY25. In light of the above, the Audit Committee and the Board have approved the utilization of an amount of ■ 100 Cr out of the macro prudential provisions in Q3FY25. Our advance estimate of the macro utilization in Q4 is in the range of ■ 300 - ■ 350 Cr based on a peak credit cost on the roll-forward book of Q4FY25 .
With abating of the above macro events and early green shoots of stabilization in Collection Efficiency (CE) in Dec’24 and Jan’25 (till date) CE being slightly better than same time last month, we anticipate an improving CE trajectory for RGL & MFI portfolio during Feb and Mar’25, thus signalling sustained recovery trends in this business. Our analysis tells us that the onset of MFIN 2.0 guardrails from April, 2025 will ultimately lead to recovery

of the credit profile of the sector, albeit at a marginal cost to growth. These norms would be value accretive for participants with high quality franchises .
As asked by many of you in our earlier calls, we have endeavoured to give detailed portfolio cuts on our RBF business in the I nvestor Presentation. You may please refer to Slide Nos. 16 to 20 and Slide No. 35 of our Investor Presentation for the same .
We are currently evaluating adopting the CGFMU credit guarantee scheme in certain geographies and segments to optimise the unfore seen event risks in the RBF business. We will be in a position to provide greater details around this in the subsequent quarters .

Double Click on the 5 pillars of execution

As mentioned earlier, I would now like to give a brief update on the 5 pillars of execution that we had enumerated over a year back and continue to be in implementation mode against the same .

1. Customer Acquisition - We are continuously working on deepening the customer acquisition funnel both, horizontally (greater geographical coverage) as well as vertically (greater counter share at

dealer points). As
in the last quarter, this quarter as well, our focus has been on new customer acquisition, albeit with necessary credit adjustments to maintain the future portfolio quality. Accordingly, there has been calibrated channel optimisation in Two -Wheeler and Rural Business Finance vertical with sustained focus on better quality and under -leveraged customer acquisition. We added a total of 5.8 lacs new customers during the quarter. Further detail s around customer acquisition and repeat share are available on Slides 13 & 14 of the Investor Presentation .
2. Sharpening Credit Underwriting - Our proprietary credit engine, Project Cyclops that was operationalized in Q1FY25 has been extended to the Tractor business (currently live with 24 Scorecards), and having been scaled to 100% of Two Wheeler dealerships, where it is currently live with 18 Scorecards, showcasing encouraging results with Net 0+ reduced by 120bps in the TW portfolio over a four month peri od when benchmarked to the Non-cyclops portfolio . Cyclops will be implemented for the Personal Loans & SME Business Loans in the coming quarters.
3. Futuristic Digital Architecture - We have spoken at length on our technology initiatives on our Investor Digital Day and granular details on our technology initiatives have been provided for each line of business. Our biggest technology initiative for next financial year would be operationalizing Project Nostradamus, a state of the art, first in industry AI driven automated portfolio management engine .
4. Brand Visibility - We continue to focus on brand building with Jasprit Bumrah as a brand ambassador for L&T Finance products. Having successfully concluded RAISE, India's premier AI -themed event in the BFSI sector, w hich saw more than 8000 registrations and reached an engagement level of 3 la cs, we participated in the India Bike Week, 2024 where the unveiling of the LTF Zoom Two Wheeler Loans took place. As we move ahead, you will see a set of integrated marketing cam paigns and targeted branding exercises in the upcoming quarters .
5. Capability Building - On the capability building front, I would like to inform you that the Regional Business Head structure was further strengthened during the quarter with institutionalisat ion of periodic reviews and processes. Additionally, we worked upon capacitising and upgrading our infrastructure at various branches

across the country while also opening an integrated Tech, Operations and Data Science facility at Mahape, Navi Mumbai. On the employee initiatives front, we continued to work around performance and productivity with the introduction of integrated employee scorecards and took several employee engagement measures during the quarter, details of which have been provided in Slide No. 28 of the Investor Presentation .
Update on New Product initiatives
As part of our strategic growth roadmap, we are committed to building a well -diversified asset profile, minimising concentration risk on any single line of business. With that end goal in mind, we remain committed to growing our existing and new lines of business while also looking at synergistic opportunities . Amongst our new product initiatives, our team has been successfully scaling our Micro LAP, Warehouse Receipt Finance and Supply Chain Finance products. In the Micro LAP domain, as we shared in our Investor Digital Day, our existing distribution is being leveraged to upsell this secured high RoA product to the cream of our RBF customer base. The Micro LAP asset book has crossed the milestone of ■ 300 Cr in Q3FY25. Some of you may recall that on our Investor Digital Day, we had call

ed out a booksize of ■ 214 Cr for this business – exciting growth, albeit on a low base . Similarly,
our Warehouse Receipt Finance business housed under the Farmer Finan ce vertical has also shown encouraging initial traction. This business, which operates on a first of its kind completely paperless journey and digital workflows driven through a network of ~25 branches and presence in ~80 mandis has achieved cumulative disbursements of ~ ■ 350 Cr in FY25 YTD . Lastly, our supply chain business housed under the SME vertical was launched in Q3FY25 and while it is still early days, we are optimistic that this business too can scale significantly and profitably .

I will now request Mr. Sachinn Joshi, our CFO, to take you through the financial updates.

Business as Usual updates
Sachinn Joshi :
Thank You, Sudipta. As always, I will be walking you through the financial performance of the company for the quarter.

Quarterly Performance:
■ Consol NIMs + Fees stood at 10.33% vs 10.86% for Q2FY25 on account of conscious shift in disbursement and book mix due to a challenging credit scenario in RBF

■ Consol PAT for the quarter stood at ■ 626 Cr
■ Healthy quarterly retail disbursements of ■ 15,210 Cr, up 5% YoY
■ Retail book stands at ■ 92,224 Cr (up 23% YoY) on the back of healthy retail disbursements during Q3FY25. Our Consol book stands at ■ 95,120 Cr, up 16% YoY
■ Consol RoA stands at 2.27 %, down 26 bps YoY
■ Consol RoE at 10.21%, down 114 bps YoY

Retail Businesses :

Rural Business Finance
The business registered quarterly disbursements of ■ 4,599 Cr (down by 16% YoY), the trajectory aided by prudent disbursement strategy. The book size r eached ■ 26,231 Cr (down 1% QoQ and up14% YoY) in Q3FY25 .

Farmer Finance
In Farmer Finance, disbursements stood at ■ 2,495 Cr in Q3FY25 (up by 23% YoY), better than average monsoon and festive season demand resulted in a double -digit growth. This led to t he book size reaching ■ 15,075 Cr, reflecting a growth rate of 9% YoY .

Urban Finance
The segment, which comprises Two -Wheelers, Personal Loans, and Home Loans/LAP businesses, saw a 21% YoY jump in overall quarterly disbursements. As a result, the overall book size increased to ■ 43,957 Cr in Q3FY25, translating into a 31% YoY growth .

■ Two Wheelers: The TW business registered quarterly disbursements of ■ 2,414 Cr in the quarter (down by 5% YoY), partly due to the strengthening of documentation and credit gu ardrails taken by us during the quarter for sourcing of better quality credit tested customer and shift towards prime customers. The book size increased to ■ 12,676 Cr, up 21% YoY .

■ Personal Loan s: In Personal Loans, we achieved disbursements of ■ 1,642 Cr translating a growth of 94% YoY with the book size at ■ 7,820 Cr, an increase of 22% YoY. During the quarter, the double -digit growth in this segment was led by scale up of fintech partnerships and expansion of physical distribution through the DSA channe l with focus on salaried prime customers. Our large partnerships business has already started meaningfully contributing to our origination volumes. It was ~12% of the overall disbursements done during the month of December, up from a mere 3% contribution i n September, 2024 .

■ HL/LAP : In Housing, we achieved quarterly disbursements at ■ 2,475 Cr, up by 24% YoY with the book size at ■ 23,461 Cr, an increase of 41% YoY, while maintaining a pristine secured portfolio performance .

■ SME Finance: Our Q3FY25 disbursements stood at ■ 1,249 Cr, up by 29% YoY. The book stood at ■ 5,817 Cr. The gr owth in business volumes was aided by building additional channels to diversify t

he existing
sourcing funnels .

Let me now hand over the call back to Sudipta to make his closing statements

Sudipta Roy:
Q3FY25 has been a challenging quarter for the entire industry. Our teams have worked extremely hard to deliver a reasonable outcome for us. We are cautiously optimistic that the worst is behind us, and we are hopeful, going into our annual business planning exercise for FY26, that we will be able to continu e delivering on our promises of asset growth, profitability and RoA .
I thank you all for a patient hearing. The floor is now open to questions .

Moderator :
We will now begin the question -and-answer question. The first question comes from the line of Sake t Chheda with DAM Capital. Please go ahead .

Saket Chheda :
Congrats on a pretty good set of numbers, more so on MFI front, where we have been meaningfully better versus peers. So , my query was on one of the notes to accounts, wherein we have mentioned ab out ■ 250 Cr of provision reversed to P&L account, as is mentioned. But when we see the credit cost ex of the overlay also, it seems that the benefit has not been taken into P&L. So , has that been reserved for the SRs that we would have received against th e ARC sale? Just a clarity on that is what I would request .

Sudipta Roy :
Saket, there was a disruption in between. We lost majority part of the question. So , for the benefit of others on the call, can you repeat the question once again?

Saket Chheda :
Sir, my question was regarding the ARC sale related notes to accounts, wherein we have mentioned about ■ 250 Cr of provision reversed to P&L. But when I see the credit cost ex of overlay also, it doesn't seem that we have taken that benefit. So , is it that we have reserved that ■ 250 Cr, which was available for the reversal against the SRs that we have. And once that SRs get monetized, that's the time when it will be reversed on P&L?

Sachinn Joshi :
Yes. Thank you, Saket. Thank you for asking the question. There have been some queries on this. You are right. Actually, as per the Ind AS accounting, we cannot take whenever transfer of assets happens to ARC. The provision reversal is just a routine item, which comes as a credit . But 85% of whatever asset goes to the ARC comes back as an investment on the book. So , in this particular case, ■ 250 Cr got first credited, it got reversed to the P&L. And then the same amount of provision was created when the SRs were created on the books of the 85%.
I will just enumerate the exact chronology and the numbers that have been shown over there. So , ■ 776.37 Cr was the principal outstanding of the loan transfer. This was the POS. The EAD against this was ■ 815 Cr, and this ■ 815 Cr of asset was actually sold at a gain at ■ 833 Cr. So about ■ 18-odd Cr of gain was made on this. And 75% of this ■ 833 Cr was actually booked as an investment, which comes to ■ 708 Cr. So, against this ■ 708 Cr, we have, first of all, adjusted the profit made on this because that also cannot be taken to the P&L. So , ■ 18 Cr was adjusted. And the ■ 250 Cr, which was reversed to the P&L, was also adjusted against this. So totally, ■ 268 Cr has been adjusted against the ■ 708 Cr of SR value. And the net carrying value in our books as of 31st December stands at ■ 440 Cr. Because both the assets on the loan book also is being accoun ted through the FVTPL route and the investments are also accounted for in the same way, you can't see the actual provision which has been made, which has actually got subsumed into the financials. Maybe by when we do the 31st March full-fledged financial, this will be visible.
But y

es, you're absolutely right that there was no credit taken and adjusted against the credit cost. This is just a setting of f, just getting reversed from loan book and getting again adjusted towards the SR security receipt s, which has been booked in the books. I hope it clarifies .

Saket Chheda :
Yes. And this was a real estate account, right?

Sachinn Joshi :
That's right .

Saket Chheda :
Sure sir. That’s all from my side .

Moderator:
Thank you. The next question comes from the l ine of Digant Haria with GreenEdge Wealth. Please go ahead .

Digant Haria :
Thank you for the opportunity. Two questions, Sudipta. First is that you mentioned that in Tractor and Two-

wheeler, we have significantly reduced the risk by going more towards the prime segment. So , when I look at your provisioning, even if I remove the whole microfinance -related provisions of ■ 170 Cr this quarter, we are roughly at a run rate of, say, ■ 400 Cr - ■ 450 Cr of provisions for the quarter for the rest of the business. So, do you think that the benefits of this whole moving towards prime and this better underwriting, all of this is already showing in the provisions number or the credit cost can still go down further in the non -MFI part of the business. That's my question one.

Sudipta Roy :
Okay. So yes, Digant, in the sense that the full benefit of all the work that we have been doing is still not visible because it's a gradual process. You have a legacy portfolio at a particular credit profile and you have this new portfolio coming in at a lower credit cost trajectory. Obviously, the new portfolio has to build and the old portfolio has to wash out for the entire benefit of this to be visible. So , I would reckon that it will take a couple of more quarters for this to be fu lly visible. It is not fully visible yet. However, internally, when we monitor the credit performance of the new portfolio vis -a-vis some parts of the legacy portfolio, that is already visible to us, but it will take a couple of more quarters to fully fruc tify.

Sachinn Joshi :
So just to add in terms of numbers, if you recall, in the previous quarter, we had made a mention that there were a couple of steps taken, especially on the Farm portfolio, we had stopped the repossession at 90 plus. And there will be an impact on account of this through the roll forwards for a couple of quarters. I think by Q4, that impact should get over. So , one is on the Farm portfolio, this is the impact. On the Two-wheeler, the Tier 2, Tier 3, Tier 4, those kind of cities, the im pact which you saw in the Microloan piece, we talked about the rural, there was some impact on account of heat wave and all across the country. So Two-wheeler also, after Sudipta has come in, we have already changed the strategy and started moving towards prime. And as we speak, I think 49% to 50% of our book now is prime. The impact on the credit cost will start as this book starts seasoning, you will start seeing the impact coming into the P&L. And I think 2 to 3 quarters is what perhaps we will take to s ee the complete benefit of the pristine quality of the Two-wheeler book, which is being built now .

Sudipta Roy :
And Digant, if you s ee we have put in two additional slides this quarter in the investor deck, which is Slide #23 and Slide #24 where we have g iven our index ed representation of Two-wheeler portfolio bounce. And you will see that our Two-wheeler portfolio bounce is already at about on an index basis at 84% in December 2024 compared to 100 index in December 2023. So , it is also trending down. And if you look at our sort of net non -starter in our Farm equipment financ

e business which is basically the number of people who bounce their first EMI. That is at

25% level compared to the same number in December 2023. That means in December 2023, 100 people bounced the first EMI. In December 2024, only 25 people bounce the first EMI. So , we put this as an index form just to sort of demonstrate the better -quality portfolio that we have been focusing on building. I mean how some of it is showing up in the lead ing indicators, which is the bounce rate. We consider bounce rate being the leading indicator of credit quality and that is currently trending well. Obviously, this over a period of a couple of quarters will find its way into the credit performance because as the new portfolio builds with these better credit parameters that should obviously translate into lower credit costs .

Digant Haria :
Perfect. Thank you so much for that detailed answer. Second question is on -- Sudipta, on this whole -- this NIMs + Fee s guidance we have it in the corridor of 10% to 11%. But now, let's see, we have done quite well in microfinance versus competition or versus what the general sector is. But that also, maybe next two, three quarters the growth may not be as strong as it wa s in the past. So obviously, that fees and the fees plus interest income is highest in that division. How do we compensate that given that we are seeing more growth in the LAP home loan portfolio which are obviously at much lower IRR. So how does this whol e trade -off work for the next 12 months? And then is the ■ 100 Cr extra Opex that we saw in this quarter related to collection efforts in Microfinance division?

Sudipta Roy :
Yes. So I'll give you the first -- the answer to the Opex question that's very st raightforward. The fact is that this being the festive quarter, we had certain festive -related spends. Secondly, as you are aware and we had informed in the last quarter that we have actually -- we beefed up our collections workforce. So that has got an ad ditional component of expense plus there were certain technology -related expense during this quarter because we have been operationalizing Cyclops across all our lines of business. So, these are the three primary main drivers for some of the increased opex that we have seen this quarter. And so on the NIMs + Fees, yes, there is no easy

answer to this. This is a journey that we have told that we are going to travel. And obviously, it's sort of the ongoing credit challenges in the microfinance sector. Obvious ly, it does not help us sort of -- does not smoothen the journey for us. Obviously, there are a couple of things to this.

First and foremost thing is that we have to increase our fee base. We are working on increasing our insurance penetration. Right now we do insurance only at origination. However, we have a full institution insurance distributor license right now. Now we can sell through the life cycle. That team is building. We are putting together a technology platform for the same. So , we are hopeful that over the next couple of quarters, some more of those fee revenues will come in.

In terms of growth, we are trying to grow our slightly higher yield secured business, for example, our micro LAP business though albeit on a small base, we are trying to g row it. We already have 80 branches. We are going to grow it much more in the next couple of quarters . You can see that personal loans have been growing quite well. Personal loans on a quarter -on-quarter basis has -- on a year -on-year basis has grown by ab out 94%. Our large partnerships are scaling up well. And one of the things we have noticed is that in terms of digital delivery sometimes y

ou can sort of work on increasing your interest yield without losing too much of expense on that. So , we'll work on s ome part of nullifications through our personal loans growth. And we are hopeful that even though certain markets of the -- in the RBF business, JLG business, there is stress. There are certain virgin markets where actually, you can safely grow. And I can give you example. There are certain markets that we have ventured into in the last couple of quarters, new markets like AP and Telangana, our collection efficiency is 100%. And we continue to sort of judiciously deploy our branches there. We are focusing o n Western UP where collections efficiency trends well. We are focusing on Western Maharashtra where collection efficiency trends well. So , we are finding those pockets in the JLG business where our collection efficiency is trending well and where we can do safe non -leverage business. So , it's a tight balancing act. And I do believe that it will not be easy, but we will try to definitely be within that corridor. Obviously, there is one large sort of part wherein if now possible RBI rate cut or a couple of cu ts were to come next year, that will probably ease the challenge a little bit, but we cannot

obviously count on that completely. So overall, a couple of irons in the fire and we will continue to work towards sort of that trajectory .

Sachinn Joshi :
Digant just to add, in terms of the overall modeling. Yes, we -- last quarter we had mentioned that it could be in the range of 10.5% to 11%. But directionally, just like to your earlier question, we were talking about how we are moving more towards prime. So , what would happen directionally over a period of time, maybe the NIMs + Fees it may actually be slightly downwards. But at the same time the opex plus credit cost also will move downwards. So, the R oA which is if you're actually derisking yourself o f bringin g down the risk, you will find that the R oA will overall adjust. So , the whole R oA tree would possibly move left, where you will have -- you will see that the 10.5% to 11% may actually come down slightly . But at the same time, you will find that the operat ing expenses because of the productivity levels would increase and the overall opex as a percentage of the book as well as credit cost as a percentage of book on account of the steps being taken may move downwards. Thus, actually impacting the RoA only pos itively. So, we will still stick to over a period of time, the R oA directionally to be in that corridor of 2.8% to 3%. But the all other numbers may -- the percentage terms, they may actually change for the better because we will have a much stronger book which maybe slightly lower yields, but coupled with steps which we will be taking, as Sudipta mentioned, there will be other line items of fees and all which will get added. There will be new businesses or products that we may get into over a period of tim e which we will start working on the next full year business plan and we would possibly come back to all of you at the end of -- when the results for Q4 come .

Digant Haria :
Thank you so much for the detailed answer. Thanks Sachinn and Sudipta. All the bes t.

Moderator :
Thank you. The next question comes from the line of Kunal Shah of Citigroup. Please go ahead .

Kunal Shah :
Yes. Thanks for taking the question. So firstly, maybe if you can just highlight how much has been the write -off, particularly on the Two-wheeler and PL because outside of MFI also we are seeing a slightly higher stress out there. And still, in terms of the growth in PL that seems to be quite aggressive. So , would we look at pulling

back
growth at any point in time because of the higher delinquencies in PL?

Sudipta Roy :
Kunal, I'll take the PL growth question and then Sachinn will give you -- take the rest of the part of the question. See, PL we are very clear that we will not do PL to any leverage d segment or any non -prime segment. Our growth in PL primarily is coming from prime salaried segment. So , if you see our DSA, we do 99% salaries in our DSA channel. If you look at our large partnership, our target in large partnerships is towards prime salaried. In fact, some of the metrics are absolutely clean in this business. So, we are very clear that our PL scale -up will be very risk calibrated. See, on a percentage terms it might seem high, but from an actual quantum perspective we are still doing about ■ 550 Cr to ■ 600 Cr of PL a month wh ich is not very large. So , we are gradually scaling up this business and the metrics are currently absolutely okay. As long as -- we do believe that as long as we do prime salaried business with a sharp eye on both aggregate debt burden as well as unsecure d exposure overall metrics we should be fine. And we are implementing Cyclops for PL also this quarter. Parallelly, SME and PL Cyclops we're implementing this quarter. So as PL and SME Cyclops get implemented this quarter, the unsecured business will, I be lieve will be run in a far, far more safer fashion .

Sachinn Joshi :
Hi Kunal. Sachinn here. Yes. On the write -offs, usually we don't give these numbers. Last quarter we gave the number as an exception, but the overall write -off like we mentioned on the cal l previously is a function of -- it's a technical write -off because any asset which gets provided up to 100%, there is a pool of assets which are taken up for writing off in the book. But at the same time, that does not mean that business stops the efforts on collection all those things.
So yes, RBF, you have seen that the roll forwards have been happening. And out of that pool, last quarter we had given -- we had specifically clarified that the whole write -off was not RBF. All I would like to say is that i t is distributed amongst product s. So, it is not one business where the write -offs are very high. About ■ 300 Cr, I can share for the micro loan piece is what we wrote off. And rest all the businesses have been almost equitably done .

Kunal Shah :
Yes. So more in terms of the credit cost, not particularly write -off, but if you have to look at it like credit c ost is very clear this time in terms of how much MFI is contributing. And maybe you indicated that from the wholesale side there seems to be like zero impact, no recoveries and no provisioning during the quarter. So how would be the breakup there between, particularly Two-wheeler , tractor and consumer loans?

Sachinn Joshi :
See, on the Digant's question we already responded to this. That for a couple of quarters, Farm, Two-wheeler and PL will see some challenge. And thereafter, you will start seeing things changing for the better because whatever challenges we have faced in the first quarter are not restricted just to rural business. I mean the election time as well as the heat wave, all this led to liquidity going out of the market, led to a situation of ov erleveraging and there has been an impact across businesses. The most was felt, of course, in the micro loan market, but the other businesses have also got impacted to a level. Plus at the same time, we have been directionally moving ourselves more towards prime and all. So , like we called out in the last quarter, it will be two to three quarters of some pain which will be -- and it is not just one particular

business. What I -- what we would like to highlight is it's
not one business which is going through a major turmoil or anything. It's just that certain key activities like Farm on account of repo stoppage, Two-wheeler because of some challenges in certain states are the reason s why the credit costs have been slightly on the higher side . (The pain may be perceived in the context of current BAU credit cost versus prospective improved credit cost outcome that may be expected under ‘Project Cyclops’ in the Two-wheeler and Farm businesses)

Kunal Shah :
No, the reason was the repayment rate in Two-wheeler was quite high. If we look at it ■ 2,400 Cr of disbursements and the portfolio staying flat, so that suggests a very high -- maybe the rundown rate. So just wanted to check, is it like a relatively higher credit cost and write -off in Two-wheeler which is particularly leading to that. Primarily, that was the question .

Sachinn Joshi :
That is not the case. The write -off has be en -- as I mentioned across all the three, four products they are distributed. So , no specific major hit in one particular product .

Kunal Shah :

So, rundown could be on account of?

Sudipta Roy :
Yes, Kunal, if you would recall, we had started sort of the p rime movement in Two-wheeler journey sometime last year, -- in September of last year when we started moving in towards the prime of Two-wheeler. So , actually some part of that, actually, if you look at our portfolio, 49% of our Two-wheeler portfolio is pr ime which is basically half of our Two-wheeler portfolio is now prime.
And on an incremental basis, as I said, in the month of January almost 75% of the through -the-door disbursement in Two-wheeler is prime. So around April and May we saw some spike in Two-wheeler delinquencies along with -- which is a contiguous product along the microfinance business, but we saw also stabilization of the same around August -September, we saw stabilization around the same. And the downward trajectory continues and which is also demonstrated by the portfolio bounce rate sort of index ed representation we have given in Slide 23. And we are very, very confident that whatever credit costs that we have seen happen in Q2 and Q3 in the Two-wheeler business will -- is on a sharp, do wnward trajectory over the next couple of quarters .

Sachinn Joshi :
Kunal, just to add, I was just looking at the numbers after you gave the breakup of Two-wheelers. What has happened, this was a festive quarter. And there is a trade advance book we -- usually advances are given to the dealers. So , there is a trade advance book which has reduced by ■ 350 Cr close to. So that is one impact because of which you are seeing that. That is specifically for this quarter .

Kunal Shah :
Thanks. So that's perfect, yes. So , I think trade advance s unwinding is leading to that. Thanks , and all the best .

Moderator :
Thank you. Next question comes from the line of Mahrukh Adajania with Nuvama. Please go ahead .

Mahrukh Adajania :
Hi, I had a question that lenders plus -- 3 plus lenders is around 7% and then 4 plus is around 2.5%?

Sudipta Roy :
2.5% is LTF plus 4, if w e take the entire block LTF plus 4 up to whatever i s the whole block is 4% .

Mahrukh Adajania :
Yes. So , if you just take LTF plus 4, which I guess is 2.5%, not 5 , 6. And then if you take LTF plus 3 that's 7%. So basically, you have a gap of 5% -5.5% which w e will have to convert by April 1. So , your call on p eaking of credit cost is driven by the fact that this 5.5% will reduce to near zero or how do we think about it?

Sudipta Roy :
See, Mahrukh, on this you have to look at that, t

hat it has been resolving i tself quite well from 10% in quarter 1
FY25, it has come down to 7%. So , you can see that on an average, on a quarter basis, average has been 1 .5% resolution on an average on a quarter basis. And the collection efficiency on this pool is also at 98.7%, the collection efficiency. The collection percentage efficiency is not extremely bad on this.
Now one of the things that we have to keep in mind that from April 1, the MFIN overall 2 la cs leverage guideline comes into play which has more of an impact on disbu rsement actually rather than an immediate follow through impact on repayment capability of the customer. So , what we expect is that this number which is there that 4% and that 2.5% to orderly wind down over the next couple of quarters. Anyway, we have push ed in about additional

900 collectors on the ground. And one of the focus of those additional 900 collectors is to focus on the geographies where collection intensity is needed. So that effort is already continuing and we are reasonably confident that this -- the 7% plus 2.5% number will be reasonably wound down over the next maybe max 2 to 2.5 quarters .
Mahrukh Adajania :
Got it. But basically if the run rate is 1.5% then it would require three quarters to wind down or it does not work that arithmetic ?

Sudipta Roy :
See one of the things that, Mahrukh, you have to keep in mind that the entire portfolio is not bad. The 7% portfolio as a 98.7% is close to 99% collection efficiency. So , a majority of the part of the portfolio is good. So , there is -- we need no t panic on the portfolio that is good. A small part of the portfolio has stre ss and the focus should be on that small part of the portfolio .

Mahrukh Adajania :
Got it. Okay. Makes sense. And then just one clarification on the SR provision. So , the reversal and the additional provision that accounting is done through the same line of provision?

Sudipta Roy :
Yes. That's right .

Mahrukh Adajania :
Thank You.

Moderator:
Thank you. Next question comes from the line of Saurabh Kumar with JP Morgan. Please go ahe ad.

Saurabh Kumar :
Sir, just two questions. One is on the microfinance portfolio. Number one, what's the write -off policy and just in terms of number of customers, what will be the collection efficiency like how many of your customers are fully paying ri ght now?

Sachinn Joshi :
On the first part, like I mentioned earlier when a question was being asked. So , write -off policy, actually once any asset is fully provided to the extent of 100%, it is -- it qualifies for a write -off and the write -off is more lik e a technical write -off for us because after the write -off also the efforts do not come down.
The write -off policy, specifically on micro loans, the provisioning of 100% is the moment it crosses 90 DPD. For all the other products, it all depends on the ECL model has been built in where the 100% provisioning happens based on a particular DPD. The actual write -off in the book happens basically the finance takes a call on when the technical write -off has to be done in the books like I mentioned earlier also. But the effort on account of write -off should not be linked to the fact that we will stop pursuing those customers in terms of collection. So , we also have reasonable collections happening out of the assets which have been written off .

Saur

abh Kumar :
So, if you can just detail, sir, micro finance is of 90 days 100%, where will personal loans and where will Two-wheelers be to reach 100%?

Sachinn Joshi :
Sorry, can you repeat that?

Saurabh Kumar :
Microfinance, you provide 100% at 90 days. When do you provid e 100% on PL and on Two-wheelers?

Sachinn Joshi :
No, that's the ECL model. So , it's pretty -- it takes -- I will have to check on that. On the other piece which you talked about, whether it really is relevant on counts it's not relevant. What is important is actually how is the customer levered and that we have already shared. During our Digital Day also we clearly mentioned the portfolio that we have how levered it is. Ours is the least levered book that we have .

Saurabh Kumar :
Sir, my related question w as your fee includes over dues. So basically, what I was trying to get is, essentially, all the customers which are paying on time, so the balance will be basically part paying or non -paying and that basically creates your overdue risk. So , I just wanted t o know if your collection efficiency is 99%. In terms of customers, how much will it be? Is it 97%? Is it 98%?

Sudipta Roy :
Yes. So , in terms of collection efficiency first it does not include over dues. We report zero DPD collection efficiency. And in te rms of the number of customers, it is 99.22% is correct .

Saurabh Kumar :
And including over dues?

Sudipta Roy :
Yes, 99.22% and they are number of customers .

Saurabh Kumar :
All right .

Moderator :
Thank you. Next question comes from the line of Nischint Ch awathe with Kotak Institutional Equities. Please go ahead .

Nischint Chawathe :
Thanks for taking my question. One was on project Cyclops. You said that Cyclops is implemented in Two-wheelers and we are now looking at implementing it in personal loans and S ME. So , I mean, I was just curious

why would you sort of scale up the book just as yet . You probably implement Cyclops and then kind of scale it up?

Sudipta Roy :
So just to think, Cyclops we have already implemented in Two-wheeler 100%. And in tractor it is implemented. It is live. We are scaling up the number of dealer coverage slowly. The SME and personal loans we are at advanced stage, it's a stage of readiness to deploy. And the current sourcing that we are doing, we are very confident of the current q uality of sourcing. We're only doing absolutely super -prime salaried customers where the net non -starter number is as low as 40 basis points. So , this is not the number that we normally give out, but I'm giving out the number because you asked the question . In December on our new salaried sourcing, our net non -starter number was only 40 basis points .

Nischint Chawathe :
So, does it mean that after implementing Cyclops, you'll probably go towards slightly one segment lower or something of that sort?

Sudipta Roy:
No. See the thing is that - see Cyclops is designed in such a way that it targets a target PD. So , once we put the PD then the customers who qualify in the portfolio mix towards that PD is only what will go through. We are at any point in time not sa ying that it will help us go towards a more riskier mix. So that is not the -- in fact, one of our guiding principles of our personal loans business is that we will do our personal loans business with a majority salaried profile. That will be the profile o f our personal loan business.
Cyclops helps us to sharpen the credit outcome in that segment even further. Cyclops, I'll tell you in terms of it's -- the maximum benefit for Cyclops will come in case of our Two-wheeler business and the Farm business and the SME

business primarily because this business has a large content of customers who are new to credit and large customers of content who are thin bureau. So, the way the Cyclops is constructed, it helps actually underwrite NTC and thin bureau much better. Whereas in personal loans we are actually going for customers with a little thicker bureau track. So probably the alpha on Cyclops in personal loans will probably be of an order of magnitude slightly lower than that we are seeing in the Two-wheeler busines s or in the Farm business. So, on the personal loan business, it's age -old experience that is driving the current sort of growth momentum. And though on a percentage basis again I'm repeating myself though on a percentage basis the number might look large, but on a real absolute amount basis ■ 550 Cr of qualified salaried personal loans a month is not really a very large number .

Nischint Chawathe :
Got it. I mean, since we are on this maybe as a one -off, can you share the yield and ticket size in personal loan segment?

Sudipta Roy:
Average ti cket in personal loan is just ■ 2.5 la cs and the average yield is about 17% on it.

Nischint Chawathe :
Got it. Just one more curious thing, any specific reason for change in Chief Risk Officer?

Sachinn Joshi :
Actually, we have already put the.. .

Sudipta Roy:
So, the departure of the -- for better opportunities necessitated his change .

Nischint Chawathe :
Got it. And just one last data keeping question. You mentioned that you added 900 collection officers in the micro loans business. So , what is the aggr egate number as we speak?

Sudipta Roy:
In micro loans business the guy who sells is the guy who collects. Overall, just a second I'll take overall everyone is a collector and everyone sells, but specifically in terms of collection it will be about 2,500 p eople. So , there are two things. In our micro loans business, we have the normal regular 1,200 -- for collections, 1,200 additional for collections .

Nischint Chawathe :
Got it. So basically we have the normal kind of microfinance employees who are collecti ng. In addition to that, you have...

Sudipta Roy:
It's a hard bucket collection team .

Nischint Chawathe :
That's around 1,200 which we have put up for the first time?

Sudipta Roy :
That's right. We have added to it. We had it, we have added to it .

Nischi nt Chawathe :
No, that's what I'm saying. How much did you have and how much have you added that was my question?

Sudipta Roy:
So, overall addition of people in the micro finance team has been about 900. Now some of them have been deployed in the regular c ourse of work. Some of them have been added to the hard bucket collections team. The reason, for example, let's take this example. In a micro -- in a meeting center you currently have five people. These five people are servicing 1,000 accounts. So , on aver age, accounts per collector is 200. We wanted to bring down the accounts per collector in a meeting center. So , what we did is with the 900 people that we added, some portion of the 900 people went to our regular meeting centers such that our accounts per collector have come down. Our account per collector came down from 560 to 480. And a small portion of the 900 was deployed to the hard collections bucket team. Is my answer understood?

Nischint Chawathe :
I think this helps. Ye

s. Perfect. I think we unders tand the magnitude of how people have been deployed. Thank
you very much .

Moderator :
Thank you. Next question comes from the line of Abhijit Tibrewal with Motilal Oswal Financial Services Limited. Please go ahead .

Abhijit Tibrewal :
So, my most questions have been answered. Just 2 questions that I had. First thing is, Sudipta sir, in MFI so what we have put out in our presentation, your peak credit costs are likely going to come in 4Q. So , first thing is, can you explain why is that? Now why I ask this is, what you have said, if you actually provide 100% on MFI loans after their 90 DPD and maybe technically write them off, and if your collection efficiencies are incrementally getting better in December and January, then why is it that our peak credit cost s hould come in the fourth quarter?

Sachinn Joshi :
Abhijit, let me take this. So usually, the credit cost comes with a lag of a quarter, because whatever the -- we have already disclosed the collection efficiencies, the way they panned out in October, Novem ber and December. From 99.43%, it came down to 99.26%, finally it ended with 99.39% in December.
So, when the collection efficiency comes down, which was the case for 2 months, October and November, there will be roll forwards, which will actually keep hap pening. And also the roll forwards happening out of the previous quarter customers. So whatever roll forward finally happen, net of the collections, because the collection effort is still on, right, those will ultimately lead to a credit cost panning out, because the moment these customers move to 90 -plus bucket, we will have to start providing for. So, as we are seeing a sign that December has actually improved vis -a-vis November, we have said that there is -- we believe that what may happen assuming that this trend continues in Jan, Feb and March, the collection efficiencies as they start improving, the roll forward will slow down. And hence in the first quarter of next financial year, the roll forward will slow down compared to quarter 4. So, on relative terms, we have mentioned that quarter 4 may turn out to be the highest in terms of the credit cost .

Sudipta Roy :
Yes. So , the vintage flows tend to get bunched up, because you have stabilization efforts continuously going on. And then so some customers ge t stabilized, some customers roll forward for 1 month and then roll back. So , this process continues. And typically, what happens in retail portfolios, most of this, when the deceleration starts within a period of time, they tend to get bunched up at one p articular point of time where across a couple of months, you see high credit costs and then the curve shoots downwards. We expect that the peak of this curve will happen sometime between January, February and March, and that is why the advanced estimate of macro utilization that we have given for Q4 .

Sachinn Joshi :
So, Abhijit just one more piece. We are all aware of the one more guardrail, which is to be implemented by M FIN, which will be effective 1st of April. We will have this, and this is going to be across the industry. We already responded to one of the questions earlier that we will have to wait and watch how this guardrail impacts at -- because the impact is going to be across the whole customer base in the industry. So , we'll have to wait and watch on that. Again, the players who have least levered customers will be benefiting out of this compared to customer -- companies who have high levered customers in respective buckets that we have shared in our presentation. So , we will have to see what will be the impact of that. But barring that, if the trend continues, if the December trend continues into Jan, Feb, March, then what we mentioned would prevail .

Abhijit Tibrewal :
Got it. And just a follow -up on that, given that we are still looking forward t o this M FIN guardrail implementation from April and whatever you just highlighted, can there be a scenario that this MFI stress or MFI credit cost, which we think will p eak out for us in 4Q, can spill over to the next financial year as well?

Sachinn Jos hi:
So see, the guardrail initially was supposed to be implemented from 1st of January. So , pushing it to 1st of April is going to only support all the industry players, and it will also help customers figure out ways and means of making repayments and get ting alternate sources available .

Sudipta Roy :
Yes. So let me add to that. See, we can't crystal ball gaze as to what will happen . But the fact is that given the

fact that in general, the Kharif arrivals have been good, there is reasonable amount of liqui dity which is building up. The Rabi sowing has been very, very good. So , we expect that in month of March and April, when the Rabi crop comes, it will also be reasonably good, which will -- augurs well for the liquidity.
We expect that there will be a soft landing, but we will have to wait and watch. As Sachinn said, the players with the better franchises will benefit because they have the non -levered customer. So , the disbursement impact on repeats, etc., will not be impacted that much, especially for thei r exclusive customers. And I would like to point out that we have a very high proportion of exclusive customers o ur Pragati customers. Who are again relatively non-levered. So , we are hopeful that the entire industry will have a soft l anding post April and -- but we'll have to see how it pans out .

Abhijit Tibrewal :
Got it. And just one last question. Because you just mentioned the better franchises. So just trying to understand in the past, even in our presentation, we have called out that we picked up thi s leveraging early and which is where maybe we slowed down or maybe we didn't go after leveraged customers? Just trying to understand, I mean, over the course of these last 6 -9 months, have you had a chance to understand if our model in rural business fina nce or MFI, is it different from the other peers, which has helped us deliver better asset quality outcomes than the industry?

Sudipta Roy :
See, I think I cannot comment on what others have. But I will say some of the underpinnings of discipline that we follow and which obviously is up to the investor and analysts community to analyze and benchmark with others. One of the things that we do is that, obviously, we do not rely on third -party origination of MFI loans . All our MFI loans and JLG loans are origin ated by our own people. We have a very close connect with the village distribution that are on ground. The second thing which we have is that obviously, we have a very, very tight leverage. And as I've told earlier, from January itself, we started tighteni ng our leverage conditions and started letting go off some portion of the repeat. The last thing is -- third thing is that we have a very strong RC U network and a branch process vertical who goes and every loan that the field level process books, there is a second level check. And out of the second level check, there's a sample of third -level check. So actually, it almost goes through a 3 -level check before the loan is granted.
The second thing is that some of the discipline that we have been following for many, many years, for example, if a particular meeting center dips below 98% collection efficiency, we immediately stop disbursement there and focus collection there. Now this is a hard guardrail. That means in a meeting center if collection efficiency wer e to

drop between 98%, the app freezes for those field -level office rs. Even if they want, they can't onboard a single loan in that particular meeting center. And then the focus entirely shifts towards collections.
And last but not the least, we have exten sive data analytics for geo selection and expansion. We only go in areas where we think has got less non -levered customers wherein, we can get non -leverage customers onboard.
So -- and the last thing is that we also, because we understood that the industry was getting slightly leveraged, we sa id that we will invest in a channel that gets non -leveraged and fresh customers, which we call our FSO channel or Fresh Sourcing Officer channel. Now we have reasonable amount of people in about -- approximately 1,000 people, give or take a couple of 50 or 100 here and there. We have approximately 1,000 people which we call fresh sourcing officers whose only job is to get fresh loan non -leveraged customers and to get into villages that are no n-penetrated.
So, in a way, the business has been structurally designed to go after non -leveraged customers. And wherever there has been instance of leverage, the business has been structurally designed to take a pause before business starts again. This provides an automatic inbuilt what I call a speed governor mechanism, right, wherein you are not allowed to speed up in an area where you have sort of worrying asset quality, whereas in areas where you have rather non -leveraged assets or opportunities sitting, the organization is desig ned to speed up on that areas, albeit safely . So in a way, it is for the entire investor analyst community to benchmark and see whether this sort of practices of ours has helped us sort of keep us relatively in a straight path during this trying period. An d only time will tell as to who are the ones who have better franchises and who are the ones who do not have .

Abhijit Tibrewal :
Got it. Thank you for the detailed answer. Thank you and wish you and your team the very best .

Moderator :
Thank you. Next ques tion comes from the line of Chintan Shah with ICICI Securities. Please go ahead .

Chintan Shah :
Congrats on good set of numbers. So firstly, just continuing on the insurance piece. I think we mentioned we

increased the share of insurance in the overall inc ome. So currently, what would be the total percentage of insurance income in the total fee income pool?

Sudipta Roy :
Can I have that number? I don't have this. Just give us a couple of seconds. Do you have -- if you can give us -- I don't have the number handy instantly, so...

Chintan Shah :
Sure. And sir, on the margins front...

Sudipta Roy :
Insurance fee -- insurance as a percentage of average book would be about -- roughly average over the last 3 quarters would be about 1% .

Chintan Shah :
1%?

Sudipta Roy:

Yes.

Chintan Shah :
Okay. Sure. And sir, on the margins front, I think we mentioned, given the rate cut, there would be some benefit flowing over there. So , in terms of our fixed book also largely what percentage of the book would be fixed in nature?

Sudipta Roy :
Entirely almost .

Sachinn Joshi :
Yes, except for home loan, all the other pieces will be fixed .

Chintan Shah :
Sure. And also, on the PL part, I think you mentioned we have a n average ticket size of ■ 2,50,000 and a yield of 17%. And so what would be the tenure -- your average tenure also for these loans typically?

Sudipta Roy :
About 30 m

onths. See, we are in the business of prime PL. We do not do STPL or anything like that. Absolute prime salaried P L.

Chintan Shah :
Sure. And sir, just lastly, to dwell up on the R oA piece again. So , I think for quarter, we reported 2.3% and we are gradually looking at 2.8% to 3%. So given that our yields will contract and similarly, the credit cost or opex would contract and resultant benefit on R oA. So how does that R oA move from 2.3% to 2.8%? So , more benefits come from the income piece or the opex piece? And on the leverage, then what would be the optimal leverage that we would be targeting?

Sachinn Joshi :
Chintan , I think it's slightly premature talking about because these couple of quarters are an aberration . We have spoken earlier about the R oA trajectory that we wanted to move on. Now there is some shift which is happening. There is some impact, specifically wh ich has come up. So, I think 2 to 3 quarters, you will have to live with this aberration, which would mean, as I mentioned earlier, the 2.8% to 3% is what our targeted R oA. Now this was part of our Lakshya'26 strategy. If there are going to be a few challe nging quarters, maybe it will move in a couple of quarters down the line. But directionally, we still want to achieve that. We will be working -- as I mentioned, we will be working on the business plan for the next financial year and also a long -term plan for the next 5 years. If there is a change in this, as part of those discussions, we'll come back. But at this point of time, we are still fixated on the fact that 2.8% to 3% is directionally what we are looking at. It may just -- if there are a couple of quarters which are challenging, it may just move ahead by a couple of quarters. That's it .

Chintan Shah :
So that is helpful. And just last thing on the leverage part. So , what could be the optimum or best leverage we could be looking at ?

Sachinn Joshi :
Debt equity of 5:1 is what we would like to be at. But there is -- we are right now at 3.4. So as a AAA, I don't think we would want to go beyond that at this point and the leverage will be 6 then .

Chintan Shah :
So that is very helpful. Yes and that's it from my side. Thank you and all the best .

Sudipta Roy :
Thank you .

Moderator :
Thank you. Next question comes from the line of Abhishek Murarka with HSBC. Please go ahead .

Abhishek Murarka :
Congratulations for the performance. So just in terms of marker s, trying to look at all the conversation that has happened so far, looks like GS2, at least Gross Stage 2, that should start showing improvement or at least that should not increase going forward, right? Because GS3 might go up or write -offs might go up, but forward flows into GS2 should not happen? And also looking at your net non -starters and the bounce rate you have shared for Two-wheeler , Farm, it looks like things should improve there. So ideally, GS2 should not increase from here. Is that a correct u nderstanding?

Sachinn Joshi :
See it will all depend on -- specifically for micro loan, as we mentioned, that we have seen some green shoot. We have seen some improvement coming up in December, right? But I think we have to wait for a couple of months more to see whether directionally it is panning out. So , at this point of time, we would not really want to commit that Stage 2, nothing will be there because there are various businesses and all these businesses are in sort of in a transition. So there is par t of the book, which has moved towards prime. There is part of the book, which is still from the earlier -- before the strategy was changed. So at this point of time, I would just li

ke in case you are
asking this question from modeling point of view, I wou ld say that you should continue holding on to the assumptions because we will still need some kind of visibility coming out of this challenging time, which I think is 1 or 2 quarters away, post which we will be more -- we can possibly talk more firmly on h ow stage 1, stage 2, stage 3 would really pan out. But we believe the credit cost and all would be in line with the last 1 or 2 quarters .

Abhishek Murarka :
Okay. No, I was just trying to understand the direction of NPA and therefore credit cost to try and understand why it would remain elevated for 2 quarters when you're showing good numbers on bounce rate and maybe...

Sachinn Joshi :
Yes, because the seasoning takes time, the Two-wheeler and Farm, as Sudipta mentioned, only the Two-wheeler book, and that too over a period of a few quarters has moved from 0 to almost 100% over on Cyclops. Farm, we have just begun. We are yet to start off on the PL. So -- and then SME.
So, till the time this whole transition does not happen, you will -- we cannot pinpoint at this particular quarter. It will be business by business, right? Maybe 1 year down the line, once every product moves on to Cyclops, then we will be able to say firmly that, yes, now the transition has been over and the credit cost now will follow a

particular trend. But until that time, I think -- and then we also have a challenging time on the micro loan front, where we have a ■ 26,000 Cr book. So , I think all these factors are leading to a situation where it will be difficult to specifically say the challenging time will -- on the other businesses, the credit cost has been slightly elevated for various reasons pointed out earli er. So, I think you need to give us a couple of quarters, and then you should start seeing. So H2, which is quarter 3 onwards, you will start seeing the impact of Cyclops in terms of the benefit, which flows on to the credit cost line .

Sudipta Roy :
Yes. S ee Abhishek, what I would like to add to what Sachinn said is that all the leading indicators of the work that we have been doing are looking good. So , we are satisfied with all the leading indicators. And we have put certain indexed representation of some of the leading indicators in the analyst deck. As I said earlier, the portfolio washout and replacement or the replenishment of the portfolio with better credit fundamentals takes -- typically takes a couple of quarters, couple of quarters means 4 quarter s to 6 quarters. So obviously, we are about 3 quarters into the journey. It will take for another 2 quarters to 3 quarters for the full -- some headline impact to be start being visible, which as Sachinn said, takes us to about latter part of Q2, early Q3 of FY26, right, when you will start seeing the real impact of that.
The current macro situation does not help us also. Because the current macro situation makes us also sort of adds a lot of noise into whatever we are seeing . So, I would like to add to wha t Sachinn said is that for us, this is a marathon journey. It's not a sprint . And we are very satisfied with the progress that we have made on the journey. The building blocks are more or less in place. What we are doing is that now we have a process of op timizing those building blocks, which have been put into place. So , my only request would be that we should be a little patient and give us a couple of more quarters for that benefit to build out in terms of numbers .

Moderator :
Thank you. Next question co mes from the line of Subramanian Iyer with Morgan Stanley. Please go ahead .

Subramanian Iyer :
So, on micro loans, yo

u have given a lot of texture on asset quality and that there are a few imponderables. But I had a question on micro loans beyond this curr ent asset quality cycle. So how are you looking at loan growth structurally? I mean, because of the changes happening at an industry level, do you see that loan growth here is going to be structurally lower than what it used to be in the past? And also are you expected to reduce loan yields, given that the regulator has also been making comments on this all through last year? So essentially, looking at structural growth and profitability beyond this current cycle, your thoughts ?

Sudipta Roy :
Thanks. One of the things is that I do believe that -- this is a business -- this is my personal opinion, industry opinion might vary . My personal opinion is that the safe speed of this business is anywhere between 15% to 20%, not more than that. So, the industry probab ly for the last couple of years have been driving this business at 40% -plus growth rate, which obviously has led to some -- is sort of part contributor into this asset quality sort of challenge that we are seeing in this.
So, I do believe that after the MF IN guardrails come into being from -- full MFIN guardrails come into being from April, the industry structurally will have to adjust itself to, if I were to use the old English proverb cutting the coat according to the cloth, which will mean somewhere betw een a 15% to 20% growth rate on an annualized basis. And I think that's a safe growth rate. So , I do believe that in the longer term, this industry will settle between this growth rates.
The second thing, which I think is on the yield side, we have already sort of t ampered down some of our yields. And if you go to our website, our yield differential is from 16% to 23%. The absolutely credit qualified fourth cycle

customer, non -leveraged fourth cycle customer end up getting a low rate of 16%, whereas most of the new customers coming into the fold will get a rate of 23%.
So, the average yield is closer to -- a little shade lower than 23% because we have a portfolio stock, etc., which is priced at 24%, which was our previous yield. Our average yield still remai ns high. But over a period in time, this is the sort of the interest range that the industry will move towards. So yes, so some of the super normal yields that we might have seen in certain sort of franchises, probably those will get t ampered over a period of time .
Subramanian Iyer :
That was a very clear answer. Just one more question. What is your guidance or, say, your view on retail loan growth for you in FY26?

Sudipta Roy :
I can't really crystal ball gaze and say that what should be the retail loan gro wth. By Q4, we'll be able to -- see, we are guided by the Lakshya goals of 25% plus, etc. But again, what I have said is that we will exercise caution and wherever the risk required equation is not in our favor, we will choose caution over growth. This is a very clear philosophy that we are following, and we will follow this philosophy. So, what we will need to see is that how the collection efficiencies for all lines of business pan out in this quarter, Jan, Feb, March, which I think will be a

quarter of s tabilization for the entire industry. And probably a much more clearer guidance is probably we should be able to give in some time at the end of Q4 .

Sachinn Joshi :
Yes, I think we should be -- we would have by now -- by then finalized the business plan as well.

Sudipta Roy :
Yes, finalize the business plan as well .

Sachinn Joshi :
And also the growth rate would differ depending on the business we are in. For example, person

al loan, SME are
younger businesses will grow at a much larger pace, whereas the mat ure businesses will grow perhaps at similar lines, barring MFI which is one piece, which we will have to look and figure out what kind of growth we can consider. We need some more clarity on that .

Subramanian Iyer :
Thanks so much and wish you all the best .

Moderator :
Thank you. Next question comes from the line of Wuzmal Handu with Goldman Sachs. Please go ahead .

Wuzmal Handu :
Just one question from my end. You spoke about the near -term pressure on NIMs + Fees on account of the change in mix that you see right now. Just wanted to gauge your thoughts on when do you anticipate this trend would stabilize for your book? And then eventually, when do you potentially see operating leverage playing out?

Sachinn Joshi :

So NIMs + Fees already, we responded to this . I think depending on when the rural business loan piece actually stabilizes, which perhaps we believe that one more guardrail, which is being implemented by MFIN will come into play from 1st of April. So we still see 2 quarters to 3 quarters of turbulenc e at the market level, at the industry level. But we would like to state that we are still better off. So the impact may be lower is what we believe. We will have to wait and watch on this, because this is a large significant portfolio on our books, as wel l as the fact that we are moving more towards prime is also adding to the change that we anticipate on the NIMs + Fees, which may come slightly on the lower side. But that should actually get compensated or move then compensated by two things, one is the i ncreasing productivity and the lower effort on collection cost, because that's a significant part of our operating expenses, as well as the reduction in the credit costs, which we hope will start getting factored into our P&L from H2 next financial year. So 2 quarters to 3 quarters is what we believe that we'll have to continue with this, and then we will start seeing the positive impact of it .

Wuzmal Handu :
Okay, thank you .

Moderator :
Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of question -and-answer session. I would now like to hand the conference over to Mr. Sudipta Roy for closing comments .

Sudipta Roy :
Thank you, everyone, and thank you for your participation. As I said earlier, us along with the ent ire industry, is going through a little bit of trying times, if I may use that word. But I think this is not very protracted like deep rally downturn that we might have seen earlier. I do believe that this particular downturn, especially for the overall industry, I'm not speaking only of the microfinance business, but speaking of other asset lines also, is a much shorter duration cycle that we might be seeing. And we remain hopeful that th is shorter duration cycle will probably see a bottoming out sometime between quarter 1 and quarter 2 of next year. And then probably, because the deleveraging has happened quite a bit as per data available with us, so I do believe that things probably will get on to a normalized trajectory sometime at the end of quarter 2 o r starting quarter 3 o f next financial year.
So, with that in mind, we remain focused on building all our capabilities even while we are going through some of these sort of on -ground challenges. We have not stopped for a single day in sharpening our tools of execution such that when things become normal, we are able to rise much faster than others and take a share of the market opportunity, which is available, obviously, in a risk -calibrated fashion and deliver those retu

rns for our
shareholders.
So, thank you so much, and wish all of you a great quarter ahead .

Moderator :
Thank you. On behalf of L&T Finance Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines .

*Since the transcript has been derived from a v oice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies ,
repet itions in Q &A which would have unintentionally crept in, if an y

Call: May 2025

May 06, 2025

National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051. BSE Limited
Corporate Relations Department,
1st Floor, New Trading Ring,
P. J. Towers, Dalal Street,
Mumbai - 400 001.

Symbol: LTF Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of investor(s) / analyst (s) meet – Q4FY2024-25 and FY2025 financial performance and strategy update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q4FY2024-25 and FY2025 financial performance and strategy update held on April 28, 2025.

The above information is also availabl e on the website of the Company i.e., www.ltfinance.com/investors .

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Limited
(formerly known as L&T Fi nance Holdings Limited)

Apurva Rathod
Company Secretary and Compliance Officer
Encl: As above

L&T Finance Ltd.
Q4 FY25 & FY25 Earnings Call Transcript
April 28, 202 5

Management Personnel :
Mr. Sudipta Roy (Managing Director & Chief Executive Officer)
Mr. Sachinn Joshi (Chief Financial Officer)
Mr. Karthik Narayanan (Head – Strategy and Investor Relations)

Moderator:
Ladies and gentlemen, good day, and welcome to L&T Finance Limited Q 4FY25 and full year FY25 Earnings Conference Call. We have with us today : Mr. Sudipta Roy, Managing Director and CEO; Mr. Sachinn Joshi, CFO; and other members of the senior management team .
Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the conference call. Only publicly available documents will be referred to for discussion s during in teraction s in the call. While all efforts would be made to ensure that no unpublished price -sensitive information will be shared, in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of t he statements made on today's call may be forward -looking in nature. A note to this effect is provided in the Q 4 and FY results presentation sent out to all of you earlier . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded .
I would now like to invite Mr. Sudipta Roy to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir .

Sudipta Roy :
A very good morning, everyone. I welcome you all to the I nvestor call for Q4FY25 and the close of financial year 2025. Today with me on the call are – our CFO, Mr. Sachinn Joshi and the senior management team of L&T Finance.

Similar to our previous calls, today's call is divided into two sections, taken up seq uentially by myself followed by our CFO – Mr. Sachinn Joshi, who will be talking about the overall business metrics & fi

nancial performance.

Post our commentary, we will be happy to take questions on the call.

Macro -economic outlook
Before we delve into the highlights of the quarter, I would like to give you some flavour of the current macroeconomic scenario and the sectoral outlook .

While in the global environment tariff and trade war are dominating the economic headlines, closer home in India we are looking at prospects of a strong recovery on the back of a very good monsoon last year, record Kharif and Rabi crop harvests and improvement s in rural liquidity aided by tailwinds from lower inflation and easing of the interest rate cycle .

The growth outl ook for India as predicted by IMF remains relatively stable at 6.2% in 2025, supported by private consumption, particularly in rural areas. Underlying momentum remains robust, driven by better consumer demand, higher exports growth, increase in gov ernmen t expenditure, and strong agricultural performance .

Rural demand is continually improving on the back of record kharif production and favourable agricultural conditions. Total kharif food grain production is estimated at 7% higher compared to last year and 9% higher than the average kharif production in the past five years. Estimates of rabi production are running over 5 -year average levels as well. Along with expected better than average kharif arrivals and initial forecasts of a normal monsoon in the curre nt fiscal, it will set the stage for further revival in the rural economy .

Strong rural demand backed by a rebound in agricultural production, an anticipated easing of food inflation and a stable macro -economic environment augur well for near -term growth outlook. Private consumption will also be supported by the tax benefits announced in Union Budget, higher budgetary allocations towards employment

generating schemes and easing monetary policy by the Reserve Bank of India. The central bank's recent liquidi ty infusion measures and lower risk weights for non -banking financial companies will help transmit the benefits from a softer monetary policy to the broader economy. However, the impact of adverse weather shocks such as heat waves and altered rainfall patt erns on agricultural output remains monitor able at this point. The recent trade tariff related measures have also exacerbated uncertainties, posing new headwinds for global growth and inflation. We remain watchful of the fast -changing global environment an d believe that stronger domestic demand, benign inflationary conditions and sustained policy support, should help us navigate the volatile global environment .

Q4FY25 Highlights :
Coming to this quarter's highlights, I would like to share that the operating environment in the microfinance sector remained challenging during the quarter, with some state specific events like the Karnataka ordinance about which I will speak in greater detail during the course of the call .

However, despite the operating challeng es, our diversified franchise has enabled us to achieve the highest ever annual PAT of ■ 2,644 Cr, registering a growth of 14% YoY and the highest ever annual RoA of 2.44%. Our robust business model coupled with responsible growth across all retail segment s led to an overall quarterly disbursement of ■ 14,899 Cr in the current quarter, compared to ■ 15,044 Cr in the corresponding quarter in the previous financial year. This was achieved despite the risk calibrated disbursement strategy followed especially in the Rural Business Finance and the Two -wheeler vertical .

The Retail book now stands at ■ 95,180 Cr, a growth of 19% YoY, while the overall booksize reached ■ 97,762 Cr in FY25,

registering a 14% YoY growth. The growth reflects the strength of the Retail business franchise aided by a strong execution engine, proactive portfolio management and prudent risk management. We will continue to focus on making our retail growth trajectory sustainable & predictable .

I would take some time here to share an update on the various strategic and technology initiatives we have taken during the course of the year. Project Cyclops, our proprietary AI -ML based credit underwriting engine that was operationalized in Q1FY25 has now been extended to the Tractor business (curre ntly live with 24 Scorecards), after a 100% scale up in Two -wheeler dealerships. We aim to implement it in the Personal Loans business in Q1FY26 and in SME Finance by Q2FY26 .

We would like to update that in order to independently review the efficacy of ou r Two-wheeler underwriting through Project Cyclops, the portfolio was analysed through TransUnion CIBIL's proprietary Credit Vision algorithm. We are pleased to share that the analysis clearly demonstrated shift of origination to a lower risk portfolio und erwritten through the Cyclops engine for the periods Aug'24 through Mar'25 as compared to a non -Cyclops legacy portfolio, with estimated credit costs paring downwards by an estimated 100 -150bps. This drop in risk cost and subsequent improvement in overall asset quality will augment the overall profitability of the Two -wheeler portfolio going forward. We are hopeful the full impact of Cyclops on the Two -wheeler business in terms of improved all round metrics should be visible by Q4FY26, as the newly generate d Cyclops portfolio replaces the old legacy portfolio .

Our next transformative technology initiative for FY26 will be operationalising the beta version of 'Project Nostradamus', a state of the art, first in industry AI driven automated real time portfolio and credit risk management engine leveraging traditional as well as alternate data. We estimate to bring it to production by the end of Q2FY26.

Additionally, we launched the beta version of the third generation of our mobile platform PLANET .

Update o n Lakshya 2026 Goals
I would start with an update on the Lakshya 2026 goals :

■ The first milestone was to achieve Retailisation of >95% by FY26. We achieved a retailisation of 97% in the last quarter and it remained at the same level this quarter, despite ca librated disbursements in the R ural Business Finance and Two -wheeler businesses. Other businesses within our robust retail franchise supported us well in these times in maintaining the retailisation trajectory, with a 16% YoY growth in Farmer Finance disbu rsements, a 42% YoY growth in Personal Loans disbursement and a 37% YoY growth in SME Finance disbursements. In the Home Loans business, we clocked a 27% YoY growth in disbursements, in spite of an overflow of close to ■ 800 Cr of disbursed cheques to next quarter on account of delayed banking of cheques by customers, in line with the revised RBI guidelines .

■ On the loan book growth front, despite consciously choosing to slow down disbursements in segments where risk reward was not in our favour, our Retail Book Growth stood at 19% YoY, a growth rate we are satisfied with, given the challenging environment that we witnessed in FY25. Simultaneously in other business segments such as Farmer Finance, Housing Finance, Personal Loans and SME Finance, we have maint ained a healthy growth trajectory based on our confidence in our tech powered underwriting capabilities and the market potential. We continued to maintain our focus on shifting towards sourcing more prime and near prime customers, which

led to the Prime cu stomer share in our T wo-wheeler disbursements increasing to 82% in the month of March 2025, which stood at 53% at the end of March 2024. Our journey towards building a prime -dominant portfolio which showcases resilience across business cycles continues wit h a strong focus on credit and risk frameworks .

■ On Asset Quality front, while we maintained the Retail GS3 & NS3 levels closer to the threshold levels (GS3<3% and NS3<1%) despite the macro challenges and segment specific challenges in the microfinance segment, our Consol. GS3 stood at 3.29%, while NS3 was at 0.97% (below the Lakshya threshold of <1%).

■ The fourth and last milestone on the RoA front, as you are aware, we have moved from tracking Retail RoA to Consol RoA in the range of 2.8% -3.0% as per our o riginal Lakshya 2026 targets. We registered the highest ever annual RoA of 2.44%, up by 12bps YoY. This has been achieved despite microfinance industry challenges and risk calibrated disbursements across all lines of business. We remain committed to delive ring the Lakshya RoA goals and the continuous improvement in RoA trajectory should resume as the segment headwinds in the microfinance sector dissipates .

As you are aware, over the course of FY25, there have been operational and credit quality challenges i n unsecured consumer lending businesses in India particularly in the microfinance sector owing to increased leverage and impact of macro events like prolonged heat wave, severe floods in several states & a temporary slowdown of cash flow for rural employme nt schemes during general elections. This led to increased credit cost in our R ural Group Loan & MFI (RGL & MFI) portfolio, thus warranting a case for utilisation of macro prudential provisions as intimated in the investor communication for last quarter. A s guided previously, post approval by the Audit Committee and the Board, we have utilized a sum total of ■ 400 Cr of macro -prudential provisions in FY25 (■ 100 Cr in Q3FY25 and ■ 300 Cr in Q4FY25). The actual utilisation of ■ 400 Cr is at the lower end of the guided range of utilisation, which was possible on account of a relentless focus on restoring collection efficiency in the RGL & MFI portfolio. With this, we move into the next financial year with an adequate buffer of unutilised macro -prudential provi sion of ■ 575 Cr .

Update on Karnataka Ordinance
The quarter witnessed an industry event in the form of an ordinance towards prevention of coercive practices for unregistered financiers in Karnataka. Due to this, in a ricochet effect, collection efficienci es of registered microfinance players also witnessed pressure in February 2025. Our R ural Business Finance team proactively took on -ground measures to protect our Karnataka portfolio resulting in the collection efficiency showing signs of steady improvemen t throughout March and April. We expect the Karnataka CE to stabilize to normalized levels by early Q2FY26. Please refer to Slide No. 38 of the Investor Presentation for improv ement in our trajectory of our Karnataka R ural Business Finance collection effic iency (CE) .

Over the weekend, we received information about a new bill being tabled in the Tamil Nadu assembly with an objective towards controlling unregulated lending. Prima facie, this bill, unlike Karnataka, seems to have a broader scope rather than a n MFI focus only and exempts RBI regulated entities and is targeted solely at unregulated entities. Given our experience of Karnataka over last 3 months, we are confident that this will not pose any significant challenges for us in the operations of the RG L and MFI busin

ess in Tamil Nadu. Our March 2025 CE in Tamil Nadu was 99.6% which is 10 bps lower than our normalised trajectory of 99.7%. We are confident of maintaining this trajectory going forward though there might be a couple of months of adjustment period in -between, as in the case of Karnataka. Needless to mention, we are closely monitoring the situation and will work

closely with MFIN and the industry participants to mitigate any possible impact to the fullest extent.
As I had mentioned the last q uarter, I would like to reiterate that the onset of MFIN 2.0 guardrails (applicable from April 1, 2025) is an overall long -term positive for the microfinance industry which will ultimately lead to recovery of the credit profile of the sector, albeit at a m arginal cost to growth. The impact of the guardrails in terms of credit cost for LTF, is expected to be limited as the leverage level of LTF customers has gone down since the proposed announcement as illustrated in Slide No. 22 of our investor presentation . We are hopeful of a return to normalized CE for the RGL and MFI business by early Q2FY26 .

Double Click on the 5 pillars of execution
As mentioned earlier, I would now like to give a brief update on the 5 pillars of execution that we had enumerated over a year back and continue to be in implementation mode against the same .
1. Customer Acquisition - The focus continues to be on maintaining customer acquisition momentum both vertically and horizontally while proactively implementing credit adjustments to ens ure sustained portfolio quality. To ensure focus on acquiring new non -leveraged MFI customers the team focussed on deepening reach into new non -covered villages. Hence the number of new villages / zero disbursement villages activated for Rural Group Loans & MFI (RBF) stood at 25,401 in Q4FY25, as against 19,975 villages in the last quarter, a growth of 27%. This has helped us in maintaining disbursement momentum to new non -leveraged customers in RGL and MFI business. We are also expanding our geographical f ootprint in Assam, Western U.P. and Rajasthan. This quarter we have added a total of 5.3 lacs new customers. Alongside this reach expansion, we performed calibrated channel optimisation in Two -wheeler with sustained focus on better quality and under -levera ged customer acquisition. Further details around customer acquisition and repeat share are available on Slides 16 & 17 of the Investor Presentation .
2. Sharpening Credit Underwriting - I have already spoken at length on the impact of our proprietary credit underwriting engine ‘Project Cyclops’ on the Two -wheeler business. It has now been extended to the Tractor Finance business (currently live with 24 Scorecards), after having been scaled to 100% Two -wheeler dealerships. In addition to this the Cyclops (Projec t Cyclops) underwriting engine will be implemented for the Personal Loans business in Q1FY26 & SME Business Loans by Q2FY26 .
3. Futuristic Digital Architecture - We continue to work on upgrading our technical capabilities and our focus on continuously strengt hening our IT framework remains unabated. I have already spoken about Project Cyclops, Project Nostradamus, and upgrades to our Planet app and we have also launched our new website (www.ltfi nance.com).
4. Brand Visibility - We continue to focus on targeted engagement through multi -channel and multi -product brand building with Jasprit Bumrah as our brand ambassador. We also partnered with the L&T Group for the MMRDA Atal Setu L&T Marathon 2025. During the quarter, we launched an Integrated Marketing Campaign ’Business Loan – Aapke Business Ka Game Changer’ for our SME Finance business, with targeted marketing campaigns for SME audiences in 7 cities - Mumbai, Delhi, Jaipur, Ahmedabad, Kolkata, Bang alore and Hyderabad. We also focused on airport brandings in multiple cities along with opting for branding in Air India’s Namaste.ai in

-flight magazine to enable us to engage with a captive audience base. As we move ahead, you will see a set of integrated marketing campaigns and targeted branding exercises for other lines of businesses in the upcoming quarters .

5. Capability Building - On the capability building front, as you are aware, we have taken a series of measures during the year. During the quarter, w e institutionalized our annual long range planning process, about which I had mentioned in the last quarter. This process, launched across all verticals will ensure that each function develops aligned and forward -looking talent strategies linked to busines s priorities. In line with our ‘Hire Right’ strategy, we have hired a batch of talented and motivated Management Trainees out of which, 43% of the positions were closed from Tier 1 colleges, including top IITs and IIMs .
Speaking about employee initiatives, we launched employee engagement surveys, including reintroduction of the Great Place to work (GPTW) survey, to enable the management to effectively listen to the voice of its employees. Additionally, we focused upon providing Continuous Learning opportuni ties to our employees to excel in the organisation. In line with the same, we collaborated with Symbiosis School for Online and Digital Learning (SSODL) to offer employees access to high -quality, industry -relevant programs
Update on Wholesale Business
Now, I would like to give you an update on the Wholesale business and the related investments in Security Receipts with ARCs. The Wholesale book has been reduced from ■ 5,528 Cr in FY24 to ■ 2,582 Cr in FY25, reduction of 53% YoY. Security Receipts (SRs) book has also been reduced from ■ 6,770 Cr in FY24 to ■ 5,862 Cr in FY25, mainly due to monetization of assets driven by active stakeholder negotiation, completion of projects and subsequent sale of constructed units and recovery measures implemented through le gal action.
With wholesale book reduction progressing satisfactorily, we will continue to work with ARCs focusing efforts towards reduction in security receipts .

Update on New Product initiatives
Now, let me take you through our performance in our new prod uct initiatives as shared in the last call, where we have been successfully scaling our Micro LAP, Warehouse Receipt Finance and Supply Chain Finance products.

In the Micro LAP domain, we have expanded our geo presence across 6 states in Southern and We stern geographies and further expanding footprint in R ajasthan & MP to scale up business . Asset book has crossed the milestone of ■ 450 Cr in Q4FY25, on the back of strong credit underwriting to build a sustainable high yield secured portfolio.

Similarly, our Warehouse Receipt Finance business launched to address post -harvest needs within the agricultural value chain, uses a digitally -assisted process resulting in superior turnaround times for sanction, disbursement, and commodity release. This business un der the Farmer Finance vertical has achieved cumulative disbursements of ~ ■ 500 Cr in FY25.

Lastly, our Supply chain business, under the SME vertical was launched in Q3FY25, which offers dealer and vendor finance and while at a nascent stage, we hold a positive outlook towards its potential to scale profitably.

As you are awa re, during Q4FY25, we announced LTF's foray into Gold Loans through acquisition of the Gold Loan business of Paul Merchants Finance Private Limited, on a slump sale basis. Our philosophy on inorganic growth has been guided by 3 considerations – firstly, ad dressing a critical capability gap, secondly, easily integrable business and people profile and last but not the least,

available at reasonable valuations. Given a large
number of our customers have been availing of gold loans, we had been keen to enter th is segment to complement our existing product portfolio and also tap this significant cross sell and up sell opportunity.

The proposed acquisition of the gold loans business of Paul Merchants Finance Private Limited, on a slump sale basis, meets all 3 of our criteria outlined above. We signed definitive agreements for this purchase on February

7, 2025 and an integration plan and governance framework has been put in place to enable us to achieve a closing by Q2FY26.

We expect the Gold loan business to a dd significant value to our retail business franchise and the business to become a major secured high yielding revenue line for LTF going forward .

I will now request Mr. Sachinn Joshi, our CFO, to take you through the financial updates.

Business as Usual updates
Sachinn Joshi :
Thank You, Sudipta. As always, I will be walking you through the financial performance of the company . First starting with the quarter ly.

Quarterly Performance:
■ Consol NIMs + Fees stood at 10.15% vs 10.33% for Q3FY25 on account of conscious shift in disbursement and book mix due to a challenging credit scenario in RBF. This includes a negative impact of 23 bps on account of refund of ■ 55 Cr of broken period interest to certain customers as per advice of RBI.
■ There is also a one -off item of tax gain of ~ ■ 35 Cr on account of closure of certain historical tax litigations
■ Consol PAT for the quarter at ■ 636 Cr.
■ Quarterly retail disbursements stood at ■ 14,899 Cr.
■ Retail book stands at ■ 95,180 Cr (up 19% YoY). Our Consol book stan ds at ■ 97,762 Cr, up 14% YoY
■ Consol RoA stands at 2.22%, up 3 bps YoY
■ Consol RoE at 10.13%, up by 60 bps YoY

Annual Performance:
■ Consol PAT at ■ 2,644 Cr (up 14% YoY)
■ Consol NIMs + Fees at 10.59%
■ Highest ever annual retail disbursements, ■ 60,040 Cr, up 11% YoY
■ Consol RoA at 2.44% (up 12 bps YoY)
■ Consol RoE at 10.87% (up 52 bps YoY)

Retail Businesses :

Rural Business Finance
The business registered quarterly disbursements of ■ 5,114 Cr (down by 11% YoY), and annual disbursements stood at ■ 20,921 Cr (dow n by 3% YoY), mainly on account of a risk calibrated disbursement strategy. The book size reached ■ 26,320 Cr (up 0.3% QoQ and up 6% YoY) in Q4FY25 .

Farmer Finance
In the Farmer Finance vertical, quarterly disbursements stood at ■ 1,755 Cr in Q4FY25 (up b y 15% YoY), while the annual disbursements stood at ■ 7,935 Cr (up by 16% YoY). We had carried out multiple changes along with credit calibrations in this business during the year, which allowed us to take full advantage of a favourable monsoon and optimal rural liquidity, thereby leading to a double -digit growth. The book size reached ■ 15,219 Cr, reflecting a growth rate of 10% YoY .

Urban Finance
The segment, which comprises Two -wheelers , Personal Loans, and Home Loans/LAP businesses, saw a 2% YoY jump in overall quarterly disbursements and 22% jump in annual disbursements. As a result, the overall book size increased to ■ 45,897 Cr in Q4FY25, translating into a 27% YoY growth .

■ Two-wheelers: The T wo-wheeler Finance business registered quarterly disburs ements of ■ 1,857 Cr in the quarter (down by 26% YoY), and annual disbursements stood at ■ 9,285 Cr (up by

8%). The book size
increased to ■ 12,321 Cr, up 10% YoY. Notably, 82%+ of Two-wheeler Finance disbursements in Mar'25 were in the Prime segment. This reflects our focus on quality growth and risk -adjusted returns .

■ Personal Loan s: In the Personal Loans business, we achieved our highest ever quarterly disbursement of ■ 1,915 Cr translating into a growth of 98% YoY, and annual disbursement stood at ■ 6,096 Cr (up by 42%) with the book size at ■ 8,648 Cr, an increase of 34% YoY. The double -digit growth is due to the expansion of physical distribution through the DSA channel with focus on salaried prime customers and scale -up of the fintech partnerships, wh ich now contributes ~22% of the quarterly disbursements .

■ Home Loans /LAP : Moving on to Housing, we achieved quarterly disbursements of ■ 2,332 Cr, down by 7% YoY, and annual disbursement stood at ■ 9,582 Cr (up by 27%) with the book size at ■ 24,929 Cr, an increase of 35% YoY, growth in the segment aided by newer partnerships and strong network of distribution channels .

■ SME Finance: In SME business, quarterly disbursements stood at ■ 1,528 Cr, up by 26% YoY, and annual disbursement stood at ■ 5,000 Cr (up by 37%). The book stood at ■ 6,524 Cr (up 67%). The growth in business volumes was aided through increase in direct sourcing and existing strong network of distribution channels .

Let me now hand over the call back to Sudipta to make his closing statement s.

Sudipta Roy:
Thank you Sachinn. The year gone by saw considerable headwinds especially in the microfinance business, however we remained resilient while showcasing our ability to thrive even in a challenging environment. We are optimistic that FY26 wil l present a far more benign operating environment which will help us to scale up business momentum riding on the back of significant improvements across all five pillars of execution that the organisation has implemented in recent quarters .
Guidance for FY 26
We expect our disbursement momentum to gain pace in FY26 especially in our urban businesses and our rural businesses in H2FY26. We are hopeful of 20%+ growth in booksize during the coming financial year. We are also hopeful that our RGL and MFI business will resume its growth trajectory from Q1FY26 picking up pace in H2FY26 on the back of an already forecasted better than normal monsoons. Growth in all lines of business will remain the primary agenda in FY26 after having completed the credit administrati on framework rehaul through full implementation of Cyclops (Project Cyclops) and introduction of Nostradamus (Project Nostradamus) . Hence, we expect the growth momentum to pick up significantly from H2FY26 in a risk -calibrated manner.
In the backdrop of ex isting market conditions, we expect NIMs + Fees to trend in the range of 10% to 10.5% as yield changes made in FY25 reflect in the ongoing book mix realignment.

This year we will also be focusing on building opex efficiencies in our collections and credi t administration verticals which will be a by -product of Cyclops (Project Cyclops) implementation. We also will focus on augmenting productivity of our sales channels through a concerted exercise, including the deployment of multi -product

Sampoorna branche s. Operating expenses are expected to trend along the same lines as FY25 as LTF continues its investment in guided core technology related initiatives.

As the asset book subsequently underwritten by Project Cyclops and other structural credit policy meas ures implemented in our various businesses , we expect it to positively start reflecting decline in credit cost between Q3 / Q4 of FY26. This should in turn refl

ect favourably on the Return on Assets profile, ranging between 2.4% to 2.5% for FY26, with seque ntial improvement in H2 over H1FY26.

Having guided as above, we remain cautious about the emerging geo -political risks and would like to maintain that the above guidance does not take into account any unforeseen developments.

I would like to end by sa ying that as always, we remain committed to building a sustainable risk calibrated franchise that leverages technology and deep customer understanding to deliver consistent value to all our stakeholders. I would also like to put on record our heartfelt tha nks and deep appreciation to the analyst and investor community for encouraging us through our transformation journey .
I thank you all for a patient hearing. We apologize again for the temporary disruption in between, which was completely out of our contro l. And the floor is now open to questions.

Moderator :
We will now begin with the question -and-answer session . The first question is from the line of Kunal Shah from Citigroup . Please go ahead .

Kunal Shah :
So firstly, on credit cost side, if you can j ust highlight with respect to the various product segments contributing to the overall credit cost of ■ 600-odd crores. So last time, maybe MFI was closer to ■ 160-odd crores. How much is the MFI this quarter? And even on Two-wheeler and consumer loans, you indicated that it will take a couple of quarters to see the full benefit. But how has the behavior b een in 4Q on, say, Two-wheelers and consumer loans ?

Sachinn Joshi :
Kunal, this is Sachinn here. As you are aware, we really don't give breakup product -wise on the call, but I can broadly give you a trend and it continues to be on the same lines as in the earlier quarters. We had mentioned on the call that, yes, Micro Loan (Rural Group Loans & MFI) , of course, is the key business where we are looking at higher credit costs because of the reduction in collection efficiencies. So that is one part where we ha ve also mentioned that we have utilized ■ 300 crores to take care of that incremental credit cost. But apart from that, we have also seen credit costs emerging out of Farm. Directionally, it is slightly lower compared to the previous quarter. Then we have Two-wheeler and Personal Loan. These are the 3 businesses where we've seen a higher credit cost.
And as we had mentioned on the earlier call, I'm just reiterating that 1 or 2 more quarters and then we should be actually looking at H2, which will be much be tter in terms of overall credit cost directionally because Project Cyclops implementation on Two-wheeler is completed. In Q3 and Q4, we will start seeing the impact of that because the book will get seasoned. And we are also in the process of implementing it for Farm as we speak, followed by P ersonal Loans and SME. So directionally, H2 will be better than H1 in terms of the overall credit cost .

Sudipta Roy :
Yes. Kunal, I'd like to add to what Sachinn said. If you refer to Slide 26 of the investor present ation, where we have given the index ed representation of Two-wheeler portfolio bounce. You can see what was at 101%, 100% -

odd or 101% in April'24, the index ed bounce is now at about 85%. So , we see a significant cleanup of the Two-wheeler portfolio in term s of the portfolio metrics, like -- and obviously, the first metric you take into account is the portfolio bounce. And as I had spoken earlier, when we validated our Two-wheeler portfolio credit metrics, especially the ones that are sourced through the Project Cyclops engine through the CIBIL's Credit Vision algorithm. From a high -level perspective, the sort of

the portfolio that behaves in a high risk -- a slightly higher -
risk fashion in a non -Cyclops legacy portfolio was about 11%, which has currently dro pped to a level of about 3% or 3% or 4% -odd when we underwrite it through the Project Cyclops portfolio. So that is giving us much, much better headline credit metrics. And obviously, our prime share in Two-wheeler disbursements is up to 82%.
Now if you l ook at Slide 27, our Farm Equipment , again, the net nonstarters (NNS) , which is the first EMI bounce, from an index of 159%, which was in April'24, is down to 38%. That means if you had 1,000 customers, 159 customers out of the 1,000 customers sort of boun ced their cheques. Currently, we have only 38 customers who bounce their cheques.
So basically, from 159 to 38, the journey in the Farm business has actually sort of given us a lot of leeway to sort of ramp up disbursements in a credit calibrated fashion. In our Personal Loans business, we continue to operate on the prime and near prime segments, especially the entire disbursement that is coming through our large partners, which is predominantly CRED, PhonePe as well as Amazon continues to be absolute prime customer, prime salaried customers.
Our DSA channel operates on prime salaried customers. And we have seen a significant downward trend in sort of the through -the-door risk metrics, in our Personal Loans business as well. So as I maintained, as Cyclops (Project Cyclops) gets implemented, now it's getting implemented in the Farm business, it is getting implemented in the Personal Loans business this quarter and the SME business next quarter, as all of them get implemented and the overall portfolio quality b ecomes -- origination becomes far more cleaner and because of the much tighter credit metrics followed over the last 12 months across all lines of business, we expect a very normalized credit cost trajectory in H2FY26.
In H1FY26, there might be some residu al impact from the flows that we have seen in FY25 from our RBF business. But we -- as I said, barring Karnataka, we saw a collection efficiency of 99.6% plus for rest of India . So, our -- I would say our Micro Loans (Rural Group Loans and MFI) business is also very strongly moving towards normalcy. And we expect a very normal BAU H2FY26, of which H1 and during H1FY26 with every passing quarter, you will see significant milestones for improvement in that as well .

Kunal Shah :
Sure. And the second question i s on NIM plus fee. So obviously, you indicated that there was some impact of refund on the interest policy, which was there post the regulatory direction. But otherwise, maybe would there be further pressure as we look to maybe at least on the MFI side tha t portfolio would be coming off. So , could there be further risk to this NIM plus fee or maybe you are confident of the guidance of 10% to 10.5% ?

Sachinn Joshi :
I think 10% to 10.5% guidance we stick to. We already gave clarification on what was the inc remental one -time impact, which will go off. And as the disbursements in the Micro Loan (Rural Group Loans and MFI) fees start growing, as things come back to normalcy, you will start seeing that -- because it's now a question of change of mix within the r etail. So, we have also made a mention that gold loan business acquisition also will happen in early part of quarter 2. That happening, Micro LAP business growing, Personal Loans growing. All these pieces put together, I think we have a fair visibility in terms of maintenance of NIM plus fee in this range. Whatever now this -- the range which has come down to this level, I think from the point of view of R oA tree, the positive impact will have to start flowing from the operating expenses, efficiencies that we need to bring in and the credit cost. So, the overall R oA impact on the -- in the positive direction will happen more from operating expenses, the efficiencies we build in because the --

as Sudipta mentioned, we're also moving towards prime. So that wou ld
mean that anyways directionally, the NIM plus fee would remain in this t ight range of 10% to 10.5% .

Sudipta Roy :
Yes. One of the things which is not always visible is that sometimes the cost of credit is also -- there's an invisible iceberg of credit a dministration cost that lies below the cost of credit. Now as the portfolio continues to clean up because we have taken significant efforts in FY25 in building those credit frameworks that sort of builds a very robust credit calibrated portfolio, we expect sort of some cessation in our credit administration cost also, as we move over FY26 . And it will start getting visible as I have continuously maintained in H2FY26.
In terms of our growth momentum, to answer your question, I do believe that we have seen t he bottoming out of the RBF business industry crisis. And as I mentioned in the call, I do believe that the impact from the implementation of MFIN 2.0 guardrails will be limited, especially for us because the number of leverage d customers that we have in L TF plus 2 segments is quite minimal now going forward. And we see the Rural Business Finance , especially the microfinance business gaining its disbursement momentum on the back of good monsoons as well as a good estimated good kharif crop this year as well . So again, we expect us to sort of get to normality by the beginning of the festive season of FY26.
We are also focusing on our high -yield secured businesses like Micro LAP, the integration of the gold loan business with 131 branches and we intend to sort of deploy another close to 100 to 150 branches depending

upon how fast we can do it, over the period of FY26, we'll also add another high -yield secured portfolio to our entire disbursement mix.
Our personal loans business continues to grow strongly. You h ave seen that we have grown our personal loans business over 98% on a full year basis and about 42% on a quarter -on-quarter basis. Our big tech partnerships along with Amazon, PhonePe and CRED continue to scale. And we will add a couple of more other large big tech partners this quarter. So obviously, the funnel that is coming from these partners are mostly prime and near prime customers with a reasonable cost of acquisition and a very, very predictable risk cost profile at acceptable yields. So overall, I expect the disbursement momentum in the Two-wheeler business. In the Home Loans business, obviously, we will take a calibrated view in the Home Loans business, moving more towards Loan Against Property and probably sort of tempering down the sort of the Home Loan disbursement process just to balance out the yields. So -- and overall, on the cost of funds side, also, we expect more or less a stable sort of weighted average cost of borrowing as compared to this quarter, at least being there for the next 2 qua rters. And as the sort of the RBI rate cuts, we expect another 2 rate cuts to come on. And as that monetary policy transmission starts happening and if we get some movement in the cost of funds towards H2FY26, that will be anyway accretive towards our RoA profile. So we are -- in a nutshell to summarize, we are more or less confident of the guided RoA profile. Obviously, the caveat is that we are not sort of factoring in any cessation or disruption due to any emerging geopolitical risk, that is an entirely -- that is something for which we cannot forecast as of now. Things remaining normal at BAU levels, we remain -- we are reasonably confident of the outcomes that we have talked about in the call.

Moderator:
Next question is from the line of Rahul Jain fro m Gol

dman Sachs .

Rahul Jain :
I actually had two, three questions. The first one to start with is, can you just help us understand of this credit cost of 2.5% in this quarter or 3.8%, including the buffer. If you were to break it down between MFI and non -MFI that will be useful color to get.
Second is on a similar note, we see disbursal within the rural book across the board kind of declining. So, is this because of the change in business structure that we are doing, i.e., moving up the consumer cohort or you're generally cautious on the -- on some of these segments, for example, Two-wheeler disbursals are also down?

And third, sorry, I'm asking all these questions in one go, but there is MFI linkage. That's why I'm asking all these questions. Third is MFI , there's now back -to-back new states who are joining the chorus of putting out the ordinance. And there is a Central Government bill also that was put up for the public comments called as BULA, Banning of Unauthorized Lending Activities. So , if that gets also implemented, then what kind of an impact do you see for MFI? Do you see that if these things keep coming through, would you still focus on growing MFI? And how are you going to run the business in this volatile environment from the government side? So , these three questions, yes. Thank you .

Sudipta Roy :
Yes. So , Rahul, I'll answer the -- probably the last question first. I think again, the Tamil Nadu sort of bill, I think, as I said in my call, I think it's a more broader scope than MFI -only scope. An d what it does is that it is probably aimed at restricting unregulated lending and also unregulated digital lending as well. So it impacts -- again, we have to see that what is the final statutes that finally get passed. But again, I do believe that while we have seen in Karnataka, this is probably a transitory impact, 3 -4 months impact that we can see as we are seeing in Karnataka. In Karnataka, we saw the impact in February. But after February, with every passing month, our collections efficiency started improving by about 50 -60 basis points every month . So, as I said, we expect Karnataka to reach -- get back to normal by end of Q1FY26. Tamil Nadu, as I said in the call, our collection efficiency is at 99.6%. And given the experience that we saw in Karnata ka, I'm very, very hopeful and very, very confident that the industry will be very, very proactive in with dealing any fallout, having sort of learned from the Karnataka experience.

Rahul Jain :
That's helpful. Just on that point, so in that transitory ph ase, would you look to press the pedal again? Or you will wait to see how the response comes from the customer side ?

Sudipta Roy :
So see, Rahul, again, during the period, if you look at our MFI disbursements between Q3FY25 and Q4FY25. Q4FY25, we had Karna taka. But in quarter 3, we did ■ 4,462 crores of disbursement in RGL & MFI . In RBF, we did ■ 4,965 crores of disbursement in quarter 4. So actually, on a sequential basis, our RBF disbursements have

grown. And as we speak, we intend to maintain -- we inten d to maintain a risk -calibrated trajectory. That means non-leveraged customers are customers who are exclusive to LTF or customers that have only LTF plus 1 and we assume that they are non -leveraged and non -credit hungry, we will maintain business as usual as well as I have said that we are expanding into Assam, we are expanding into Western UP, we're expanding into Rajasthan. So, if there is a small squeeze in some part of the country, we have an enormously large franchise to compensate for that squeeze in other parts as well . And the fact is that in the other par

t s, the collection efficiencies are almost
back to normal. As I said, barring Karnataka, our collection efficiency pan -India is at about 99.6%. So , I'm being very, very honest. Though the Tamil Nad u development is obviously concerning, we probably will not lose sleep over it because it is something that we have seen in Karnataka. We have seen the rapid improvement in collection efficiency that happened. And I believe that the impact probably will be not as widespread as we saw in Karnataka because this is not only MFI -only, but this is targeted at the entire digital lending universe. And obviously, RBI entities are exempt from it. So again, to go to the first part of your question, I probably don't f ully agree with the statement that we are tempering our disbursements in our rural entities, rural businesses. For example, if you look at our Farm business, our Farm business grew at 16% on a year -on-year basis. Q4 generally is a sluggish quarter for the Farm business on the back of a very robust quarter that they -- see during Diwali. The tractor business, the biggest months, the biggest quarters are quarter 1 and quarter 2. These are the 2 biggest quarters followed by quarter 3. Quarter 4 in tractor is g enerally sluggish . So you will see on the back of a good monsoon and on the back of price increases that have been announced by most of the tractor OEMs, we are looking forward to a good disbursements in tractors.

On coming to the tempering of our Two-wheeler and I'm glad you asked this question . On the Two-wheeler business, as I told you, we have implemented Cyclops (Project Cyclops) fully for the Two-wheeler business from December 13. That is when all our dealers cut over to Cyclops. Now what Cyclops (Project Cyclops) has done, if you see a legacy non -Cyclops portfolio as per CIBIL's Credit Vision algorithm, a legacy non -Cyclops portfolio tended to have anywhere between 10% to 13% of high -risk customers. Now what we have done is that we saw in Q4, which i s in January, February, March, that 10% to 13% high risk -- relatively higher -risk customers have shrunk to 3% whereas the share of the medium risk and the absolutely low -risk customers have actually increased. So what has happened is that this shrinkage o f 10% to 13% of high -risk customers to 3% has shaved off about ■ 100 crores to ■ 110 crores of our monthly disbursements, leading to a tempering of ■ 300 crores of disbursements across the quarter. That is the drop that you are seeing, but we are very happy to let it go because this cohort of customers come with anywh ere between a projected of 11% to 12% loss rate . So, this, we are very happy to let go. Having said that, now that the entire model has stabilized and we know that from a third -party validation, we know that the entire engine is working well, the entire te am is now working to scale up disbursements in prime and near -prime segments in the Two-wheeler segment because we are very, very sure of knowing what we are doing . So this slight decrease in volume of Two-wheeler disbursements is intentional . And you will see the recalibration of this upwards over quarter 1 and quarter 2 FY26. Personal Loans anyway we have said that we are growing very, very strongly . SME finance, we have grown 37% on a year -on-year basis. Our gold loans business will come in, gold loans h as been the strongest growth asset class category last year .
So overall, we are very, very confident that FY26 will be a reasonably strong growth year for us, especially in H2. H1, we will still be a little careful because as we see the last tail end of th e MFI sort of industry issue. And we are very, very conf

ident that if we have a good monsoon, H2 is going to be a very, very decent half in terms of growth
rates .

Rahul Jain :
That's very helpful. Can I just ask one more follow -on question ?

Sudipta Roy :
You asked about a question on credit cost. You asked a question of credit cost, sequential credit. So that Sachinn is answering .

Sachinn Joshi :
So, Rahul, on the credit cost, I already responded to Kunal. It's the same question that you have asked. I woul d just reiterate that as far as credit cost is concerned, this quarter, we have perhaps seen the worst as far as Micro Loans (Rural Group Loans and MFI) is concerned. And that's why we also utilized that ■ 300 crores. This quarter was also the -- it was -- we were in fourth quarter and it was time for us to revisit our ECL models. And hence, I would like to go and go public with the statement that vis -a-vis previous quarters, we had mentioned that we will have 3 to 4 quarters of higher delinquency levels in Farm, Two-wheeler and P ersonal Loans . This quarter, we have seen that Farm, the credit costs have stabilized and actually have gone down a bit. On the P ersonal Loans ,

they have stabilized at the previous quarter level. And in Two-wheeler , we will still ne ed 2 more quarters to actually come to the normalcy.
And hence, we mentioned that because 52% of the overall book now is prime. Next 2 more quarters, and we will be out of the slightly higher level of credit cost on the Two-wheeler piece. So , taking these into account ...

Rahul Jain :
I purposely asked this question because I recall you had given an estimate of about ■ 1,000 crores of loan losses for the MFI portfolio in fiscal'25. So , did we stay within that? Would you want to give some more colo ur?

Sachinn Joshi :
Yes, yes. So our overall credit cost is well within the ■ 1,000 crores that we had stated when we had al so met up on the Digital Day. We have stuck to that number. And we believe that, in fact, this was perhaps the worst. Of course, Tamil Nadu already Sudipta mentioned about, but looking at our Karnataka experience, we don't really see any major impact comin g out of it, which will worsen our situation compared to Q4 .

Rahul Jain :
Very helpful. Sorry for stretching and adding one more question, if you may. What is the normalized credit cost, Sudipta, you're looking at as a result of Cyclops and MFI being -- you're calling fiscal'25 being the worst year for MFI. What kind of normalized credit cost that we can look at in 2H of this year? And also, I think aside, at what stage you start to see benefits of Cyclops coming through in terms of the scale and the operat ing leverage that the company might start to derive ?

Sudipta Roy :
Yes. So , Rahul, first thing is that we're not doing Cyclops (Project Cyclops) on MFI (Rural Group Loans and MFI) , we are doing Cyclops (Project Cyclops) on all other businesses because MFI (Rural Group Loans and MFI) , the digital footprint is very low for the customers. So , it's difficult for the machine to work. But overall, for the year, we are looking anywhere between 2.3% to 2.5% of credit cost outlook. And next year, as most of the sort of initiatives that we are doing because Nostradamus (Project Nostradamus) is yet to come, will be in Q2 , September FY26 is when it goes live, the automated portfolio management engine , we are looking at about 2% steady -state credit cost going forward. So that is what our target is .

Rahul Jain :
That's including the -- any further rundown in the macro prudential, 2.3 to 2.5 % credit cost?

Sachinn Joshi :
So, it will be -- Rahul, it will be more directionally towards 2.3 because we --

if there is any utiliz ation required . We
continue with ■ 575 crores. We will have to see how quickly -- we are at 99.64 % (CE) if you exclude Karnataka. So we are very close to normalcy if you exclude Karnataka. We will see what comes out of the TN bill. And without taking into account anything on Tamil Nadu be cause it's just come out, we are looking more towards 2.3% and taking into account if there is anything incremental which comes in terms of roll forwards because you still are away from about 30 -35 basis points, from 100%. So that 30 -35 basis points roll f orwards, which will happen will have to be dealt with in some way. Part of it will be taken through the macro prudential provisions if need be and the balance will be the normal credit cost. So that's how it will be .

Sudipta Roy :
So Rahul , here I will add to what Sachinn said and delving on my experience over 25 years in this business in sort of our lending businesses. What happens is that typically after a credit cycle, when a credit cycle starts, lenders push upwards the credit lending guardrails. And ty pically, a credit cycle mostly in unsecured takes a period of anywhere between 9 to 15 months to run through. And during this process, the lenders take upwards their credit guardrails. So , what happens is that after a credit cycle runs through, you actuall y have a period of lower than normal credit costs because during the period, you have taken your guardrails up and the bad portfolio washes off. So suddenly, for a period of 12 to 15 months you have, where you have lower than normal credit cost, till credi t cost again picks up and normalizes. So, this industry will go through the same trajectory as well . So that is why we are reasonably confident of what we are guiding. Obviously, our caveat is that any geopolitical fallouts, any geopolitical, we just not f actored that into this .

Moderator :
Next question is from the line of Nischint Chawathe from Kotak .

Nischint Chawathe :
Just curious why was there some slowdown in the urban businesses, I believe, in the home loans and LAP .

Sudipta Roy :
Home loan and LAP , we haven't had a slowdown .

Nischint Chawathe :
And disbursements are down over the year .

Sudipta Roy :
No, no, no. See, Nischint, what happened was that we had ■ 800 crores of disbursed che ques , which we couldn't -- which the customers had not banked. And the new RBI guideline says is that you onboard the loan on system, only when the cheque gets banked. So basically, ■ 800 crores of unbanked cheques -- disbursem ent unbanked cheques were not included in this quarter's disbursement .

Nischint Chawathe :
Okay. So there is no slowdown per se is what we're trying to say ?

Sudipta Roy :
No, there's no slowdown. See, what has happened is this is the first quarter that thi s has come into being. Now what will happen is that now this will become a quarterly relay race. Now this ■ 800 crores will move to next quarter. Next quarter, we will have some flow over to the next quarter. So , this will happen. So , for the first quarter, we took a hit this quarter .

Sachinn Joshi :
It's sort of onetime impact actually .

Sudipta Roy :
It's a o ne-time impact .

Nischint Chawathe :
I got it.

Sudipta Roy :
There is no slowdown .

Nischint Chawathe :
Got it. Have you called out the -- sorry, the second question is, have you called out the portfolio in Tamil Nadu in Micro Loans (Rural Group Loans and MF I)?

Sudipta Roy :
Called out in the sense that what is the portfolio size we have .

Nischint Chawathe :
That's right .

Sudipta Roy :
The portfolio size in Tamil Nadu is about , ■ 6,000 crores we have is our portfolio size in Tamil Nadu, right. So -- and our collection efficiency continues to be 99.6% plus. So , that's our portfolio .

Nischint Chawathe :
Yes. Sure. Third question -- small question. In the farm business, you said tha t we had a higher credit cost. But if I look at the industry trend and I think even your delinquency trend, it sort of seems to suggest that farm actually

had a good quarter, and I guess that's a consistent trend across players .

Sachinn Joshi :
Nischint, I mentioned that this quarter, Farm has actually improved. So , Farm has improved compared to the previous quarter. The P ersonal Loans has been about the same, which means it has stabilized. And Two-wheeler has been -- Two-wheeler , we need a couple of more quarters to get out of this .

Nischint Chawathe :
Sure. And one final question in terms of ..

Sudipta Roy :
I would like to put on record that our Farm credit metrics have been cleaning with every passing quarter. The metrics are looking good. We have -- we are anyway in terms of when we look at the industry representation, our industry representation, our Farm credit cost is, I think, is about 85% of which slide, 87%. It's about 87%. And if you look at Slide 27, our Farm net nonstarter (NNS) rates are like at an index basis, what it was on April ’24, it is at 38% of that. So , our Farm business have been rapidly cleaning up in terms of their credit metrics with every passing quarter. In fact, we are very, very confident about this business right now. And the s tructural readjustments that we had to do, both from a sales perspective, from a collection perspective and from a credit perspective, we have done, it's finished, and it has started delivering results. So , if we have a good monsoon this year, which is pro jected, I think the Farm business will do very, very well this year .

Nischint Chawathe :
That's good. And just finally, going forward, in FY27, what kind of growth rate are we really looking at microfinance business? Is it going to be higher than the indus try -- sorry, company level growth? Or would you want to kind of -- from a risk management point of view, keep it at a lower level ?

Sudipta Roy :
Nischint, the question is for FY27 or FY26?

Nischint Chawathe :
That's right in FY27.

Sachinn Joshi :
In FY27 .

Nischint Chawathe :
FY27 yes. Structurally, how do we see growth in this business, yes ?

Sudipta Roy :
See, Nischint, what we have guided is that we will grow between 20% to 25% overall as an organization basis. That is what we will grow at. Now, some bus inesses might grow at 30%; some businesses might grow a little slower. Overall, I believe the safe speed for the growth of the MFI business is , somewhere between 15% to 20% is the safe speed . Because you try to grow at any speed more than that, you end up with asset quality issues, etc, which I'm sure many of our competitors would have realized by now, and the industry will settle to such growth rates. So , I see in FY27 anywhere between a 15% to 20% growth rate for the MFI industry. Some might grow much -- on a lower base might grow faster. Some -- we are very large. So for us to maintain that growth rate is a task in itself. So , we will try to achieve those growth rates in FY27. But I think the FY27, the growth rate that we'll get in FY27 will in general be visible from end of -- from H2FY26.

Q4FY26 will be generally indicative of the growth
rates that will be achieved towards FY27. Again, for our business, rainfall becomes a major criteria. So again, that remains the joker in the pack. So that is -- that ca veat notwithstanding, I do believe a very, very normal year in FY27 as well .

Nischint Chawathe :
But directionally, we seem to be kind of moving a little bit more skewed towards urban businesses than rural. I think that's my like broad reading .

Sudipta Ro y:
True in the sense that the share of urban businesses have grown primarily because we have tempered

disbursements in the R ural Business Finance business . And also -- but the fact is that if you see the gold loan business when it comes in and because we h ave -- our MFI (Rural Group Loan & MFI) customers have borrowed ■ 15,000 crores worth of gold loans, suddenly you might see the rural component of the gold loan might suddenly become quite large . And the Micro LAP business, which is primarily semi -urban rural also might start growing . So, it will continue sort of calib rated in calibrated ratios. We are very, very clear. We are not seeking a particular urban rural split or etc., we are not seeking it. What we are seeking is risk -calibrated growth . And wherever risk -calibrated growth is available, whether be it urban or r ural, we'll chase that .

Moderator :
Next question is from the line of Harshit Toshniwal from Premji Invest .

Harshit Toshniwal :
Sir, the question was on the tie -ups with Amazon, PhonePe, etc, for the Personal Loan sourcing. Now if you can give some -- because I think when we look at the different players, people have struggled to grow this book and maintain the credit cost simultaneously. I agree to your point that we are very focused on the prime segment

customer itself. But if you can also guide some col or on the arrangement that like who bears the credit cost, the kind of cost of sourcing this business? Is there a sharing in the credit cost, etc.? And some more colo ur on the nature of the business on those personal loan sourcing ?

Sudipta Roy :
Yes. So , I'll give a color to the extent I can . So, this is a multiyear arrangement, where most of these partners act as origination partners. There is no sharing of credit costs .

Harshit Toshniwal :
Sorry, pardon .

Sudipta Roy :
Over the one that we do .

Harshit Tos hniwal :
Sorry, I missed the last line .

Sudipta Roy:
There is no sharing of credit costs . The one on -- with CRED is on a co -lending model with 90 -10 co -lending model. The one with PhonePe and Amazon is only purely origination basis . So, the way we do this is that we have a strong customer profile in mind and the target risk cost in mind. What we do is that we overlay this customer profile, and we have -- that is the science that we do. We have certain metrics or certain, what I call, signals, which are ava ilable for these customer types. And when this is overlaid on their customer basis, they come up with a set of target customers. And then those customers are targeted through their digital platforms, which obviously goes through the conversion funnel throu gh us. Just to give you some sense, our average ticket sizes for this is about ■ 2.5 lakhs odd . Our average yields are close to 16% on this platform and our average processing fees range anywhere between 1.5% to 2% depending upon the platform. As of now, w e have done about close to ■ 600 crores of disbursements. And if you see the scale -up between January, January, we did ■ 99 crores and we did ■ 215 crores odd in the month of March. So , you can see that in 3 months, the volumes have doubled in this plat

for m. In fact, we can do more, we are going slow because we want to be absolutely risk calibrated. So , what we do is that once the origination comes in, we look at what's the risk, what are the gross nonstarters, what are the net nonstarters. And I'm happy to sort of inform you that the net nonstarters in the portfolio generated so far is close to nil because we maintain a very, very close watch on the quality that we are onboarding . Having said that, we will be -- and this is -- please understand that stil l we have not implemented Cyclops (Project Cyclops) on top of this. Cyclops (Project Cyclops) is going to get implemented on the Personal Loans portfolio this quarter. And we have seen the scorecard and how they are working. So , we are deeply optimistic about this. And last but not the le ast, having -- I in my previous stint -- have worked with Amazon for 5 years. So I have a deep understanding of the nature of the portfolio and what works and what doesn't work. So , we are very, very confident of scaling up in a very risk -calibrated fashio n and taking wind in our sales from the distribution power of these massive platforms . Correspondingly, what we also want to do is that as this platform scale up in a risk -calibrated fashion in the prime segment, we will also temper our disbursements in th e other segments, where we might not have a favorable risk reward. And we are -- the ultimate goal is that in our Personal Loans business, we want to mirror a private sector bank's personal loans business, which is largely salaried and very high income sel f-employed . So, between this. We really do not want to play in the STPL segment. We really do not want to -- because what happens is that in a credit event, the losses from these segments become unmanageable . So -- and that is the philosophy of LTF overall . We want to move to a very predictable risk cost regime because what people -- what is not visible to people is that when things start tanking, they not only tank on the credit cost side,

they also tank on the opex side, which is normally not visible beca use your cost of credit administration is equal, if not more than your credit cost. So , the hidden icebergs are always not visible. So obviously, our focus is to make sure that we build a very, very -- to use the word, a bulletproof portfolio in terms of c redit cost over a period of time .

Harshit Toshniwal :
Got it. Sir, just two questions there. One is the yield, which you mentioned, 16% and maybe some processing fees, if I just add all then it's like 17% -18% yielding books. And so, if you can also that fo r the customer segment, which we are trying, I mean, is this -- how are we being able to manage this yield? And the second is that, is the tenure of the product very small, which is what allows us to maintain that yield? Or how should we look at this part?

Sudipta Roy :
No. See, two things. The tenure of the product has averaged 28 months, if my memory serves me right. So , 28 months to 30 months. So these are prime personal loans. So , you have to understand two things. Customers like journeys, which are les s friction so it has to be well-oiled journeys. The beauty of working with these platforms is that you are able to build very intuitive journeys, where most of the heavy lifting on credit underwriting has been done previously and the customer has just to g o through the KYC ho op to get the loan. So typically, the speed of disbursements have -- the customer has a premium -- pays a premium of about anywhere between 100 basis points to 150 basis points in terms of rate on a trade -off of speed of disbursements. So typically, you will see t

hat
digital channels, if administered well, tend to get anywhere between 100 basis points to 150 basis points yield of the same customer if you were to come through a physical channel, where he has the wherewithal to negotiate with the DSA, etc, and all that stuff . So we are able to maintain the yields. As of now, we are able to maintain the yield, and we are able to maintain it quite tightly. And the opex on these channels are also quite low because, obviously, we do not have an y sales force deployed, and we have a reasonable origination cost agreed with some of the channels, some of these partners .

Moderator :
Harshit, I request to come back for a follow -up question, please. Next question is from the line of Shweta from Elara C apital .

Shweta Daptardar :
I'm referring to Slides 16 and 17 of the presentation. Sir, you partially answered to the previous participant. But I was looking at personal loans to existing customers. Now in a challenging year of FY25, where people have been -- where most of the players have been focusing on or curtailing NTC customer cohort, we are seeing this consistent decline in existing customer profile penetration. Also, you mentioned that a lot of leverage operational efficiency benefits will flow throu gh fintech partnerships. But again, most of your peers have been scaling down the fintech partnerships, especially on the personal loans front. And from the similar slide, so while you categorically called out risk in MFI segment, even in your opening rema rks and also especially with guardrails in order, then why rural group loans and MFI businesses have exhibited substantial surge in new customer acquisition. I mean, especially when you also mentioned that implementation of Cyclops (Project Cyclops) is sort of not feasible in this particular customer profile and naturally so. So yes, these are the 2 questions .

Sudipta Roy:
Yes. So , thanks, Shweta, for the question. I'll answer your first question, why Personal Loans in Slide 17 has gone down from 49% to 40% . So, in a percen tage sense, it has gone down. In the absolute amount, it has not gone

down because what has happened is that the acquisition of new to organization customer from some of our digital channels has gone up. So , from a percentage point, it has come down. So th at is the reason for this. So basically, it's just a denominator effect, where it has gone down. So -- but the quantum of disbursements in terms of actual value of disbursements has actually not gone down . So that's the first answer to that question. The s econd -- and again, to answer your question, why we are doing NTC when others are scaling up NTC and fintech partnerships, etc. So the fact is that we are -- see -- we are very, very clear that our target segment, we do first things. We don't do STPL. Our average ticket size on Personal Loans even through all our partners is above ■ 2 lakhs. Average is about ■ 2.5 lakhs, with a 28 month to 30 month tenure. So we really do not do the small STPL personal loans . We don't do that. And the second thing is that if you see, look many of our partners, for example, Amazon, we are the only provider. And the fact is that in Amazon also, we are very, very clear that we go above the absolutely pristine customers . And given the fact that -- and the fact is that -- we really do not do any new to credit customers. We do new to LTF custome rs, but most of those customers have a significant bureau track, and we are able to underwrite them vis -a-vis a significant bureau track and with Cyclops (Project Cyclops), we're not only using the bureau track, we'll be using the entire alternate data track to underw

rite t hem. So we are very, very confident of what we are doing. We cannot comment on what others are doing or what has been the experience o f others. As I said, we have done about almost close to ■ 600 crores of origination in our large partners over the last 4 months, and the delinquencies are close to NIL. So we are very, very certain of what we are doing, and we know what exactly we are doing. In terms of the RBF customers, as I said, one of our objectives is that when the entire industry is going through an a sset quality issue, one obviously -- is that one obviously has to look at non -leveraged customers. Because if you look at most of our competitors, especially in the microfinance industry, their book sizes have shrunk over last year. We are probably one of the -- maybe as per information available with me, we are probably the only player whose book size has grown by about 6% on a full year basis, in the Microfinance business (Rural Group Loans and MFI). So, we have to go to segments, where we get non -leveraged customers. So that is why our new village coverage, we have increased by about 25% on a quarter -on-quarter basis. Because if we do not go granular into distribution, we will not get the new non -leveraged customers. And anyway, we are expanding our funnel into, our hitherto n on-distributed areas like Western UP and Rajasthan . So -- but -- and there is no deviation from our core underwriting philosophy and the core guardrails that we have been following in the RBF business since 2022. So , we are actually not really deviating fr om anything. We are just making our distribution more granular and more sharper in search of non -leveraged customers. And if we get non -leveraged customers that pass through a credit guardrails, we will do that business. We will not shy away from that busi ness because finally, we have to deliver growth . We cannot suddenly say that we shut this business, and we run away. We cannot do that. Within a difficult circumstances, we have to operate. We have to look at opportunities of growth within difficult circum stances, and that's exactly what we have done .

Sachinn Joshi :
Just in terms of numbers, Shweta, we have 2.9 lakh new customers, and the addition has happened from new markets. This is Western UP, Maharashtra, Andhra Pradesh and Telangana. The total amount of disbursements here is ■ 1,112 crores. So clearly, these are all low leverage customers, and we will not lose this opportunity. In fact, after being the best in the industry, it doesn't make sense for us to just keep worrying about we identify the right set of customers and actually go ahead in the place. In fact, this is going to be one of the key advantage for good players, who have been the least impacted. We will be able to buck the trend and actually get up and grow faster. Because the opportunity f or good players will be much higher, competition will be very low going forward .

Sudipta Roy:
In fact, I would like to add to what Sachinn said, our AP (Andhra Pradesh) and Telangana collection efficiency is 100% .

Moderator :
Next question is from the line of Abhijit Tib rewal from Motilal Oswal .

Abhijit Tibrewal :
Just one clarification. You spoke about the SR book in your opening remarks, which has declined by almost ■ 900 crores from March to March. Two things I wanted to understand. One is, I mean, in bringing down thi s book, what is the hit that we had to take? And out of this residual ■ 5,900 Cr of net SRs that we have on the balance sheet, over what time period will this run down? And what is the impact that is expected? When I say impact, I am trying to understand b oth the

things, either it could be a P&L drag or you are actually expecting recoveries from this SR book, please help us with that as well ?

Sachinn Joshi :
Yes. Sachinn here. So first thing is, yes, this quarter, we have -- this quarter on a year -on-year b asis, we have seen a reduction. And the overall reduction actually for the year is about ■ 900-odd crores. The -- your question was on whether it will have any impact. See, this -- our average balance is about ■ 5,800 crores -- yes, ■ 5,800 crores is net carrying value on the book, which is covered about 58% -59%. So, it is sufficiently provide d. Now this money is stuck. The resolutions will happen. We don't expect any significant resolutions happening in FY26. But FY27 and FY28, we will see a lot of reduction, which will release capital and hence the impact on the interest cost because there is an interest cost element sitting over there, at least 30 basis points to 40 basis points is the cost, which will actually come down, as the full book starts getting released. We have also seen our wholesale book coming down from about ■ 5,500 crores to ■ 2,500 crores year -on-year basis. That also is releasing capital. So yes, wholesale book now is the issues that we used to have, they are coming down significantly. And I think it will -- only as the resolution start happening, we should -- as mentioned in the earlier calls also, there should be some good news also coming up in FY27, FY28 in terms of release of some provisions .

Abhijit Tibrewal :
Got it, sir. And sir, just one more clarification. Earlier during the call, a couple of times when we guided for credit cost of 2.3% to 2.4%, what kind of macro prudential provision utilization are factoring in for the MFI business .

Sachinn Joshi :
Yes. That -- sorry, can you repeat the question .

Abhijit Tibrewal :
Sir, I'm saying earlier in the c all when we guided for 2.3% to 2.4% of credit costs in FY26, what is the quantum of macro prudential provision utilization from the MFI business that we are factoring in ?

Sachinn Joshi :
See, we have not -- actually, we have to wait for how things pan out. There is no point in making an assumption. Once the Karnataka collection efficiencies come back to some kind of normalcy, we will be having better visibility. And we have also now to look at Tamil Nadu. But all I can give you in terms of assurance is ■ 575 crores is much more than what we may actually end up needing. So , we -- from your point of view, in terms of modeling, you can safely assume that 2.3 -2.4, whatever is the credit cost -- it will not come and hit the P&L .

Abhijit Tibrewal :
Got it. Got it. And lastly, so whatever impact that we saw in Karnataka in the month of February, they will actually start hitting the P&L sometime in the first and the second quarter, if at all there is some disruption in Tamil Nadu. Suffice i s to say that whatever we see in 1Q will actually hit the P&L of the microfinance business in 2Q and 3Q .

Sudipta Roy :
No, I would like to clarify this. The Karnataka sluggishness in collection efficiency was not because of leverage issue or not -- was not because of customers d id not have money. It was because customers had a clarity issue. Customers were confused about whether the regulation is applicable to them or not. There will -- collections will happen in the Karnataka business, but they will come with a delay. So it migh t be possible that there -- some portion might flow, but they will come with a back -ended strong recovery. This is what our belief is . And that is why your collection efficiency, if you see, is improving by 50 basis points to 60 basis

points with every pas sing
month in Karnataka. I believe -- and this is -- I believe that the Tamil Nadu impact will not be as widespread or as problematic as the Karnataka impact because if you look at Karnataka, Karnataka already had trouble brewing in this industry before th e legislation came in. It is because of the trouble that the legislation came in. We had serious issues in Gulbarga. We had serious issues in the part of North -western Karnataka. There was already some issues that was visible . In Tamil Nadu, as of now, ther e is no major issue in any district or in a sub administrative area. But there can be -- we are not denying the fact that there can be some impact . But given the fact that the guideline has a far more, wider scope as whatever the preliminary reading unders tand, obviously, it's evolving, so you have to understand it much more fully . So we will have to -- we -- it is my belief that probably we'll have a much more smoother landing in Tamil Nadu than what we saw in Karnataka. Sachinn wants to add something .

Sachinn Joshi :
Just to add, I'm just referring to the bill, the draft, which has come. It is actually mentioned that this act shall apply

to all money lending institutions, except banks, non -banking financial institutions registered with RBI. That is point number one. Number two is by way of limitation, the categories of this act relating to compulsory action against the borrower shall apply to banks, NBFCs registered with RBI. Now this part is, I believe, clarification is being sought by MFIN because this comp ulsory action has not been defined in the bill. So that's where we stand at this point of time. But in terms of behavio ur of customers and all, Sudipta already mentioned how we expect. And this being the second st ate, I think better sense will prevail becau se they have -- the customers also realize that non -payment would mean that the bureau scores worsen and then there is a challenge when they want to seek finances going forward .

Moderator :
Next question is from the line of Avinash Singh from Emkay Global .

Avinash Singh :
Sir, just a question again on the securitization part. So I mean, you started with ■ 6,700 -odd crores, ended at ■ 5,800 crores. So if you can help with the sort of the flow because if I see in the year, about ■ 776 crores of 8 loans you h ave sold to ARC. So some bit of that SRs would have got added. So what was the quantum of existing SR that got resolved during the year? And on this -- that NPA sales, I mean, could you help with the kind of underlying assets, of course, it looks from the wholesale book? Because the reason why I'm asking the net book value of these loans were ■ 550-odd crores, whereas the consideration for the sale to ARC is some ■ 833-odd crores. So I mean, that is where, again, I'm getting a bit confused that, okay, what kind of loans were there? I mean, that you're getting kind of a transfer at a higher than book value ?

Sachinn Joshi :
So the net SRs, as they stood on 31st March '24 were about ■ 6,800 crores. And what has actually got resolved on a net basis is about ■ 900-odd crores, okay? So that's how we have this ■ 5,900 crores coming .

Avinash Singh :
No, no, sir. But in the year, you had addition and this addition because you have some 8 loans sold to ARC. So of course, this -- there would have been addition. So that's why I wanted to know that like from the existing book, how much got resolved and what s ort of amount you received? And the addition for these 8 accounts, I wanted some more colo ur because when I see in the disclosure, these have been sold to ARC at a value much higher than the net book va

lue of loans. So that I wanted some more colo ur on what sort of..

Sachinn Joshi :
So in terms of gross value, about ■ 1,350 crores is what got resolved and the net SRs, which have got added is about ■ 400-odd crores. That's how the net amount of ■ 500 crores comes. So resolution has been much higher. I mean, if that's what your question is .

Avinash Singh :
Yes, yes. And this was -- around this sale to ARC that happened at a much higher value than your net book value. So what was the sort of underlying reason behind that ?

Sachinn Joshi :
Yes, there was just one a sset, which I just gave you the number. The number is too small compared to the resolutions, resolutions of ■ 1,400 crores and addition of about ■ 400. So that's right .

Moderator :
Next question is from the line of Zhixuan Gao from Schonfeld .

Zhixuan Gao :
My first question is on the growth outlook. So for Two-wheeler and MFI for FY26, what kind of rough range of growth should we look at ?

Sudipta Roy :
MFI for growth for -- you want for only MFI for FY26 .

Zhixuan Gao :

Yes, MFI and Two-wheeler . I just want to understand what kind of growth should we expect .

Sudipta Roy :
MFI for FY26, we have to see how Q1 goes. But we think in MFI in FY26, we'll end up with a growth somewhere between 10% to 15% growth for the full year is what we are hopeful as of now, between a 10% to 15% growth. And for the Two-wheeler business, we are hopeful of a growth between 15% to 20% i s what we are hopeful of on the Two-wheeler business .

Zhixuan Gao :
Got it, sir. And I just want to reconcile that with our NIM plus fee guidance, right? Because these 2 are the higher - yield products, and we are guiding overall growth of 20%, so there's st ill a negative mix happening in FY26, plus within Two-wheeler , your disbursement prime is 82%. And if I'm not wrong, you're saying that on the book mix is about 50% prime. So what are the levers to prevent our NIM plus fee to further fall or offset this ne gative mix in FY'26?

Sudipta Roy :
See, we are -- obviously, we'll be scaling up of our gold loans business. So our gold loan business is coming in. As you know, gold loan business is a very high yield secured product. We'll be scaling up of our Micro LAP business as well, which is also a high yield secured product. Our Personal Loans business will scale up. Our Personal Loans average yields between the DSA and is -- DSA and the large partnerships is upwards of 17%. So the Personal Loans business will also be scaling up. And throughout the year, we'll also be working on certain fee-generating initiatives. We'll be starting working on fee generation -- generating initiatives. As of now, you know, I would not like to elaborate on that. And as and when we are ready, we would like to elaborate on that. So overall, we expect that -- and again, the 10% to 15% growth rate that we have guided on MFI, etc, is obviously on a conservative basis because we are very, very -- we do not want to grow that business at a leve l, which is far, far higher than what is sustainable and again, adds into a lot of leverage. And then the Two-wheeler business, we are very confident of growth provided the segment -- the industry also grows strongly. For example, if we see a very strong g rowth of the industry in FY26, I'm sure there's a 15% to 20% that we can guide it , can be more. But however, right now, we would like to guide at about 15% to 20% growth in there , in our Two-wheeler business. And again, we have certain fee -generating initia tives, which we have in store that we'll be working on for the year. Overall, I do believe, and as Sachinn has guided, through a

mix of high yield secured products, through a mix of
our existing growth products as well as a little of tempering down of our Home Loan disbursements and focusing more on LAP, as well as some space that we might get from the 2 rate cuts that we might come in will help us sort of maintain the NIMs and fees in the guided range .

Zhixuan Gao :
Got it, sir. And if I look at 2 -3 years now is, let's say upper end, let's say, 10.5%, is 10.5% a medium -term range we should think about as well ?

Sachinn Joshi :
I think we will have to wait for the mix to settle down because there are a few new products. We'll have to see what kind of growth trajectory they pick up. We have Personal Loan, we have SME. We are also wanting to get into secured SME. We have gold loan business, which will be coming up and then Micro LAP plus the growth in Micro Loans (Rural Group Loans and MFI).

Sudipta Roy :
There are new fee products.. .

Sachinn Joshi :
And the new fee product that we are working on, which will get implemented in the beginning of next financial year. So there are lots of opportunities and options that we can -- we will work on. And we will have to wait because we are still in the process of stabilizing the book once we stabilize with the right kind of mix because we also need to ensure that the secured, unsecured piece also works for us. So, it is not just going to be NIM plus fee in isolation. We will have to also look at wha t is the kind of impact it has on our operating expenses, which have to trend downwards and the credit costs. So whatever impact, if we are going to continue in the prime range -- prime range

of customers, then naturally, the operating expenses and credit costs would tend to be lower -- much lower than possibly what you see currently .

Zhixuan Gao :
Got it. And just last question is, you have been very helpful guiding us on FY25 MFI credit costs before. So if we assume FY26 -- sorry, 2H FY26 to be normalized MFI credit cost, what kind of first half FY26 MFI credit costs before using buffer that we should think about? Any rough range that we can expect there .

Sachinn Joshi :
So we will get back to you on this because we have to first wait for the market to act ually stabilize a bit. But normalized credit cost, I mean, there -- like I can just give you our example. In FY24, we had an overall ■ 88 crores of credit cost compared to that in FY25, we have anywhere between ■ 900 crores to ■ 1,000 crores. So expecting -- assuming that things come back to normalcy, the credit cost requirement will be low. Actual credit cost requirement will start tap ering down. But I think we need to factor in about 2% to 2.5% safely too, as the normalized credit cost, which will -- and that's what we had done earlier to create a macro prudential provision of ■ 975 crores .

Moderator :
Next question is from the line o f Chintan Shah from ICICI Securities .

Chintan Shah :
So sir, just harping again on the credit cost. So just wanted to understand on this m acro prudential buffer of ■ 575 crores, is it only -- that is only for MFI and not for any other segment, right ?

Sudi pta Roy :
That's only for MFI .

Chintan Shah :
Yes. Sure. And just again, just to clarify, that 230 bps to 250 bps credit cost assumption doesn't -- that doesn't include any utilization from m acro prudential. So if we utilize anything from m acro prudential, that would be over and above that 230 bps to 250 bps guidance .

Sachinn Joshi :
No, no, no. This will be -- we are factoring in some utilization, of course, but we -- the percentage utilization is expected to keep coming down. As I mentioned, the collection effici

encies ex -Karnataka are at 99.64%. So the
actual requirement will come down, as we progress into the future months. And hence, it's very difficult for us to give -- point out a particular number. But since we have the macro prudential provisions, we also have sort of comfort from the Audit Committee and the Board that since the nature of this event is such that it qualifies for utilization, we will utilize further if there is a need .

Chintan Shah :
Sure, sure. Just one thing. And actually, sir, lastl y, on the opex front, so opex, probably this year, we believe that has been relatively on the lower end as compared to FY24 opex to assets, particularly due to slow business. So that could that see some pickup in FY26, as we pick up on the loan growth fron t?

Sachinn Joshi :
No. In fact, Sudipta mentioned in his initial call transcript, if you look at, very clearly, the operating expenses will be one focus area for us this year. We will try to increase the productivity. And whatever steps we have taken in FY25 and the work that is happening on Project Cyclops and the work, which has begun on Project Nostradamus, all these things are going to actually help us in terms of bringing down the operating expenses. One of the key component of this operating expenses is collection cost, and there is going to be a huge amount of rationalization, which will happen over there. No doubt, there will be some investments, which will happen in the technology space, as well as growing the branch network, but that will actually also help us in terms of increasing the top line. So yes, the operating expenses increase on investments will start giving us returns partially. Some of it will be in the form of capital expenditure. And on the productivity front, we will start seeing effi ciencies coming in and the operating expenses should remain in control .

Moderator :
Ladies and gentlemen, we'll take that as the last question. I will now hand the conference over to Mr. Sudipta Roy for closing comments .

Sudipta Roy :
Yes. Thank you, everyo ne, and we really appreciate the time spent by all of you with us. FY25 was a challenging year. FY25, I think the entire L&T Finance team worked really, really hard to deliver an acceptable outcome even through these difficult circumstances. As we speak, t hough there are certain sort of issues regarding geopolitics, etc., and overall global trade and tariff -related issues, but we do believe that closer home, I think given things remaining constant, FY26 will be a year in which we will see restoration of norm alcy in most lines of business.
And on the back of a good monsoon, sort of an accommodative stance taken by RBI as regards monetary policy, as well as improving liquidity, improving consumption sentiments, as well as an overall sort of tempering and cessat ion of the sort of the overhang on credit that had built on the economy, I do believe that FY26 will be a year of calibrated growth for the entire financial services industry, of which obviously, we will also be a part.
Many of the initiatives that we have started in FY25 are almost towards the end of completion, and we'll see the fruits of that sort of coming through in numbers. And as I've maintained in meetings with many of you is that it will be -- start becoming visible in H2FY2 6. Our team remains growth focused. Our team remains execution focused and extremely credit -minded with a focus on bottom line.
The distribution alignment that we have done with the introduction of the regional business head structure also makes sure that our granular distribution on ground is far, far more stronger than it was ever before. Through the year, we'll be working on scaling our new products, especially maintaining our supremacy and leadership in our existing fulcrum line of products.
We are also working on a set of new products, obviously, with the objective of improving our fee lines. I'm hopeful that the numbers that we have guided for, everything remaining constant and the environment remaining constant will be something that we should be able to achieve. Thank you, again, and wish all of you a good day .

Moderator :
Thank you very much. On behalf of L&T Finance Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines. Thank you .

*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies ,
repet itions in Q &A which would have unintentionally crept in, if an y

Call: Jul 2025

July 28, 202 5

National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051. BSE Limited
Corporate Relations Department,
1st Floor, New Trading Ring,
P. J. Towers, Dalal Street,
Mumbai - 400 001.

Symbol: LTF Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of Investor(s) / Analyst(s) meet – Q1FY2025-26 Financial Performance and Strategy Update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q 1FY2025-26 financial performance and strategy update held on July 21, 202 5.

The above information is also available on the website of the Company i.e., www.ltfinance.com/investors .

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Limited
(formerly known as L&T Finance Holdings Limited)

Apurva Rathod
Company Secretary and Compliance Officer

Encl: As above

L&T Finance Limited
(formerly known as L&T Finance Holdings Limited)
Registered Office
Brindavan, Plot No. 177, C.S.T Road
Kalina, Santacruz (East)
Mumbai 400 098, Maharashtra, India
CIN: L67120MH2008PLC181833 T +91 22 6212 5000
F +91 22 6621 7509
E igrc@ltfs.com @ l&T Finance
www.ltfs .com

L&T Finance Ltd.
Q1 FY26 Earnings Call Transcript
July 21, 2025

Management Personnel:
Mr. Sudipta Roy (Managing Director & Chief Executive Officer)
Mr. Sachinn Joshi (Chief Financial Officer)
Mr. Raju Dodti (Chief Operating Officer)
Mr. Karthik Narayanan (Head – Investor Relations) 9 l&T Finance

Moderator:
Ladies and gentlemen, good day, and welcome to L&T Finance Limited Q1FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded . We have with us today Mr. Sudipta Roy, Managing Director and CEO; Mr. Sachinn Joshi, CFO; and Mr. Raju Dodti, COO; and other members of the senior management team.
Before we proceed, as a standard disclaimer, no unpublished price-sensitive information will be shared during the conference call. Only publicly available documents will be referred to for discussions during interactions in the call. While all efforts would be made to ensure that no unpublished price-sensitive information will be shared, in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the statements made on today's call may be forward-looking in nature. A note to this effect is provided in the Q 1 results presentation sent out to all of you earlier.
I would now like to invite Mr. Sudipta Roy to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir.

Sudipta Roy:
Thank you. A very good morning, everyone. I welcome you all to the investor call for Q1FY26 and the start of the financial year 2026. Join

ing me today on the call are our CFO, Mr. Sachinn Joshi; and our Chief Operating Officer,
Mr. Raju Dodti; and other members of the senior management team of L&T Finance .

Similar to our previous calls, today’s call is divided into two sections, taken up sequentially by myself followed by our CFO – Mr. Sachinn Joshi, who will be talking about the overall business metrics & financial performance.

Post our commentary, we will be happy to take questions on the call.

Macro-economic outlook
Before we delve into the highlights of the quarter, I would like to give you some flavour of the current macroeconomic scenario and sectoral outlook .

The Indian economy remains one of the few bright spots in an uncertain global economy with a healthy pace of growth of 6.5% in FY25. Consensus projections indicate a similar growth trend of Real GDP at 6.5% in FY26 as well. Strong domestic growth catalysts, sound macroeconomic fundamentals and prudent fiscal and monetary policy support are driving overall macroeconomic stability.

Monsoon season is progressing well, with cumulative rainfall in the country at 10% above the Long Period Average till 15th July. 80% of the geographical area have already received normal to above normal rainfall. The water storage level is 83% above normal and 96% higher year on year. Kharif sowing is at a 7% increase over last year and mandi arrivals of Rabi crops were 19% higher year on year. Mandi prices are ruling above their respective MSP for many major crops. Strong cash flows from Rabi season and healthy monsoon progression have kept rural sentiments hopeful of another year of bumper harvest. This augurs well for our rural businesses which constitute a significant portion of our portfolio.

Consumer demand signals in Q1FY26 remained mixed. The quarter recorded contraction in passenger vehicle sales and low growth in industrial output on one hand and pick up in retail sales volume, surge in toll collections and strong PMIs on other. Domestic inflation has been steadily declining with the headline CPI inflation recording a six-year low of 2.1 % in June 2025. The Reserve Bank of India lowered policy rates by cumulative 75 bps in the quarter and injected durable liquidity through a suite of liquidity measures. These measures have turned durable liquidity into surplus and are also contributing to faster transmission of monetary policy to the financial and credit {[j; I&T Finance

markets. Easing financial conditions along with restoration of lower risk weights in the quarter should also help improve credit growth prospects further into the year.

Overall, we remain cautiously optimistic about strengthening demand signals, prudent policy support and huge potential for credit growth in the Indian economy .

Q1FY26 Highlights:
Coming to this quarter's highlights, I am pleased to inform that our diversified franchise has enabled us to achieve a quarterly PAT of Rs. 701 Cr, up 10% QoQ and 2% YoY, with the highest-ever consolidated book of Rs. 1,02,314 Crore, delivering an RoA of 2.37%, up by 15bps QoQ. Our robust business model coupled with risk calibrated growth across all retail segments led to an overall quarterly disbursement of Rs. 17,522 Crore, a healthy growth of 18% YoY, which was driven by a strong performance across all our lines of business.

The Retail book now stands at Rs. 99,816 Cr, reflecting a growth of 18% YoY. The growth reflects the strength of the Retail business franchise aided by a strong execution engine, early dividends from technology investments, proactive portfolio and prudent risk management.

Our Rural Business Finance vertical showed a positive moment

um in disbursement growth during the quarter,
resulting in a growth of 10% QoQ on the back of improved collection efficiencies. The collection efficiencies in our operating geographies have been continuously showing signs of improvement and growth in disbursements. However, in Karnataka, while we have seen a gradual recovery from the lows in collection efficiency of the previous quarter, full normalcy may take a couple of months longer than what we originally anticipated. On account of flow-forwards arising in Q4FY25, the Board, in Q1FY26 approved a utilization of Rs. 300 Cr of macro-prudential provisions. To speed up the process of normalisation in Karnataka we are currently proactively boosting our collections by bringing down our accounts per collector through manpower addition and educating borrowers on merits of prudent credit behaviour through our community outreach programs. We would also like to add that the Tamil Nadu legislation has had a negligible impact on our business.

As an interim update, I would like to m ention that in the month of July'25 we continue to see further improvement in our collection efficiencies especially in the state of Karnataka.

In the last quarter's call, we had announced our foray into the Gold Loans business through the acquisition of the Gold Loan business of Paul Merchants Finance Pvt. Ltd. I am pleased to inform that the technology systems and people integration was achieved in a short timeframe of around 2 months, leading to an amalgamation of 130 branches, 700+ employees and ~Rs. 1,300 Cr of book. Gold loans, a high yield secured product will add significant value to our retail business franchise going forward. We foresee that this business will serve as a big cross-sell opportunity to our ~65 la cs RGL & MFI and Farm Equipment Finance active customer base and the customers forming a part of our existing customer database of 2.6 Cr+ customers, who have gold loans o/s of over Rs. 16,000 Cr. We envisage that our field force of 20,000+ officers will force multiply the gold loans lead generation process and direct incoming business to our branches. In the coming quarters we also plan on expanding our geo-presence through branch expansion with ~175 additional locations focused on areas with high cross-sell potential. By the end of FY26, we plan on establishing a distribution strength of 300+ gold loan branches. Many of these branches will be in our new format Sampoorna branches which will sell other products like Micro-LAP, SME loans and Personal loans apart from Gold loans. Apart from North, our expansion locations will be focused in our traditional areas of strength in the eastern and southern states.

Our digital large partnerships initiative, established with Amazon Pay, Cred and PhonePe, has picked up pace in the last quarter, with overall Personal Loans disbursements for the quarter from the aforementioned channels reaching Rs. 651 Cr (Rs. 1,236 Cr live to date), while keeping a strong focus on credit and risk guardrails, extensively leveraging partner trust signals. We will continue to keep expanding our origination momentum with existing partners while fostering new partnerships, some of which will be announced soon.

I would now take some time here to share an update on the various technology initiatives for the quarter. Project Cyclops, our proprietary AI-ML based credit underwriting engine that was operationalized in Q1FY25 and implemented across 100% dealerships in the Two Wheeler Finance business has been upgraded to Generation 3, based on Kubernetes architecture. Today, 100% of our TW disbursements take place through this engine and we

have been seeing very encouraging trends from this implementation quarter after quarter, with the Net Non-Starters for the portfolio reducing to 0.34% for June-25 from 2.36% in December-2024 improvement of 200bps in a short period of 5 months. Project Cyclops has also been under phase-wise implementation in the Farm Equipment Finance business, having been extended to 20% of our tractor dealerships with 24 live scorecards. We'll complete full implementation in the month of August-2025. Similar to Two Wheeler Finance the initial performance reads from the pilot in Farm Equipment Finance business is extremely encouraging. The full implementation of Project Cyclops in our Farm business is expected to be completed by Q2FY26.

Project Cyclops has been simultaneously rolled-out in SME Finance during the quarter and full deployment is expected to be completed by end of Q2FY26. We have initiated extension of Project Cyclops to our Personal Loans business with full implementation by Q3FY26.

In the last call, I had spoken about ‘Project Nostradamus’, our next transformative technology initiative for FY26. It is a state of the art, first in industry AI driven automated real time portfolio management engine leveraging traditional as well as alternate data. I am pleased to share with you that the implementation of this engine is on track with creation of multiple data dashboards for early warning and proactive portfolio management. We expect the beta launch of ‘Project Nostradamus’ to t ake place in September-2025, details about the same are available on Slide 31 in the investor presentation.

It gives me great pleasure to share that L&T Finance has been assigned its first -ever International Rating. S&P Global Ratings has assigned LTF “BBB -” long- term and “A -3” short -term issuer credit rating. The outlook on the long-term rating is Positive. Fitch Ratings has assigned LTF long-term foreign and local currency Issuer Default Ratings of “ BBB- ”with a Stable outlook. These long- term ratings are investment grade and are at par with India’s Sovereign Credit Rating. This opens additional pathways for diversification of liability origination at competitive rates from global capital markets.

Update on Lakshya 2026 Goals
Now, I would like to share an update on our quarterly performance against the Lakshya 2026 goals:
■ I am pleased to share that retailisation has increased from 97% to 98% from last quarter to this quarter against a Lakshya target of 95%.
■ We had set ourselves a retail book growth target of 25% CAGR over the four-year plan period against which as of 30th June-25 our retail asset book growth stood at 28% CAGR. Given our outlook of the business environment and a risk calibrated growth in Rural Business Finance and Two Wheeler Finance business, our YoY Retail Book growth for the quarter stood at 18% supported by strong performances in Farmer Finance disbursements with a 16% YoY growth, a 65% YoY growth in Personal Loans disbursement, a 24% YoY growth in Housing Loans and a 30% YoY growth in SME Finance disbursements. We continue to maintain our focus on sourcing more prime and near prime customers who exhibit credit resilience, which led to the Prime customer share in our Two Wheeler Finance disbursements increasing to 84% in the month of June-

25, which stood at 53% for the month of March-24. Our journey towards building a prime-dominant portfolio which showcases resilience across business cycles continues with a strong focus on credit and risk frameworks .

■ On the third milestone which is on the Asset Quality front, where we maintained the Retail GS3 & NS3 levels closer to t

he threshold levels (GS3<3% and NS3<1%) despite the macro challenges and segment specific challenges in the microfinance segment, our Consol. GS3 and NS3 stood at 3.31% and 0.99% respectively.

■ On the fourth and last milestone of RoA, we have achieved a RoA of 2.37%, which is an improvement of 15 bps over the previous quarter. This has been achieved despite microfinance industry challenges and risk calibrated disbursements across all lines of business. We remain committed to continuous improvement in RoA trajectory as the segment headwinds in the microfinance sector dissipates.

Double Click on the 5 pillars of execution

As mentioned earlier, I would now like to give a brief update on the 5 pillars of execution that we had enumerated over a year back and continue to be in implementation mode against the same.

1. Customer Acquisition - The focus continues to be on expanding our customer base, both by deepening our reach in existing segments and broadening our geographical footprint. While our approach in Rural Business Finance was carefully calibrated to the macro environment, we are actively re-engaging disbursement activities, expecting a gradual return to full momentum as conditions improve. Our Two-Wheeler Finance business is seeing renewed focus with policy changes, expanding through reactivated dealers to better serve prime customers. Farmer Finance is gearing up for increased activity this Kharif season, and our Personal Loan strategy is highly risk-calibrated, ensuring responsible lending, with Home Loans & Loans Against Property witnessing a seasonal dip. We also expect our new Gold Finance vertical to add towards this positive momentum. This quarter we were able to add a total of 5.5 lacs new customers. Further details around customer acquisition and repeat share are available on Slides 17 & 18 of the Investor Presentation.
2. Sharpening Credit Underwriting - Project Cyclops continues to be extended to other products as I mentioned earlier. A fully capacitised Model Risk Management (MRM) team has been setup to mitigate any potential risk arising from over 100+ machine learning models that are being used in Project Cyclops. W e expect the number of machine learning models to double over the next one year and we will rely on the expertise of the MRM team to ensure continuous monitoring, validation and recalibration of the models.
3. Futuristic Digital Architecture - Apropos to above we have also setup an independent machine learning operations team and we will expand its capacity over the next couple of quarters to ensure smooth build and implementation of additional Project Cyclops, Project Nostradamus and collections models. Additionally in our Bangalore engineering centre we have setup LTF Labs to enable our engineers to experiment on innovative use cases in a sandbox environment. Our new Home Loans Neo 2 platform has reduced average data capture time from 30 minutes to 10 minutes and we continue working on optimising the digital sales interface apps on all lines of business to enhance field executive productivity. During the quarter the beta version of our AI-powered SME underwriting co-pilot was deployed, which interprets bureau reports using custom-trained in-house LLM models leading to faster and accurate SME loans underwriting turnarounds.
4. Brand Visibility - We continue to focus on targeted customer engagement through integrated marketing campaigns where we launched a Business Loan campaign featuring iconic Indian cricketer and our brand {[j; l&T Finance

ambassador Jasprit Bumrah. Our AI powered digital microsite www.ltfgamechanger.in was launched as a part of the business loa

n campaign and has received excellent customer engagement statistics. We also briefly ran campaigns for Personal Loans and Gold Finance during the quarter. Following our Gold Finance acquisition, we have re-branded all the 130 gold finance branches. I am also delighted to announce that the second edition of our flagship BFSI- AI event RAISE'25 with the theme Accelerating financial services with AI, is scheduled to take place on 7th November, 2025 at the Jio World Convention Centre, in Mumbai.
5. Capability Building - On the capability building front, I am pleased to share that we have been re-certified as a Great Place to Work®, affirming our commitment to building a high-trust, high-performance culture. This time our score improved from 82 in FY24 to 84 in FY25, driven by increased employee participation, which rose from 73% to 89%. We are committed to fostering an environment where every employee feels valued, empowered, and inspired, making us truly an employer of choice in the financial services sector.

As part of the strategic acquisition of Paul Merchants Finance Pvt. Ltd.'s gold finance business, we successfully on-boarded ~700 employees into the workforce. Swift and seamless employee transition across 130 acquired branches, ensuring zero disruption to operations. We continue to standardize our branc h infrastructure, this quarter we inaugurated new revamped regional offices in Kolkata and Rajkot.

These efforts underscore our dedication to providing a modern and efficient workspace that supports our expanding operations and talented teams.

I will now request Mr. Sachinn Joshi, our CFO, to take you through the financial updates.

Business as Usual updates
Sachinn Joshi:
Thank You, Sudipta. As always, I will be walking you through the financial performance of the company for the quarter.

Quarterly Performance:
■ Consol NIMs + Fees for Q1FY26 stood at 10.22% vs 10.15% for Q4FY25
■ Consol PAT for the quarter stood at Rs. 701 Cr up 10% QoQ and 2% YoY
■ Quarterly retail disbursements stood at Rs. 17,522 Cr, up by 18% YoY
■ Retail book stands at Rs. 99,816 Cr, up 18% YoY. Our Consol book stands at Rs. 1,02,314 Cr, up 15% YoY
■ Consol RoA stands at 2.37%, up by 15 bps QoQ
■ Consol RoE at 10.86%, up by 73 bps QoQ

Retail Businesses:

Rural Business Finance
The business registered quarterly disbursements of Rs. 5,618 Cr, delivering a strong momentum with 10% growth QoQ, with focus on acquiring lower leveraged customers and geo-diversification. The book size reached Rs. 26,616 Cr, up by 3% YoY in Q1FY26.

Farmer Finance
In the Farmer Finance vertical, quarterly disbursements stood at Rs. 2,200 Cr in Q1FY26, up by 16% YoY . Increased crop yield and favourable monsoon is fostering positive rural sentiments and resulting in improved retail demand. The book size reached Rs. 15,756 Cr, reflecting a growth rate of 11% YoY.

Urban Finance
The segment, which comprises Two-Wheelers, Personal Loans, and Home Loans and LAP.

■ Two Wheelers: The business registered quarterly disbursements of Rs. 2,128 Cr in the quarter, down by 19% YoY. The book size increased to Rs. 12,331 Cr, up 3% YoY. Notably, 84% of Two-Wheeler Finance disbursements in June-25 were from the Prime segment. This reflects our focus on quality growth and risk-adjusted returns.

■ Personal Loans: In the Personal Loans business, we achieved quarterly disbursement of Rs. 1,942 Cr translating into a growth of 65% YoY with the book size at Rs. 9,382 Cr, an increase of 41% YoY. The double-digit growth is aided by scale-up of the fintech partnerships.

■ Home Loan and LAP: Moving on to Housing, we achieved quarterly dis

bursements of Rs. 2,780 Cr, up by
24% YoY with the book size at Rs. 26,464 Cr, an increase of 33% YoY, growth in the segment supported by newer partnerships and strong network of distribution channels.

■ SME Finance: In SME business, quarterly disbursements stood at Rs. 1,273 Cr, up by 30% YoY. The book stood at Rs 6,964 Cr, up 56%. The growth in business volumes was driven by an increase in direct sourcing and existing strong network of distribution channels .

Gold Finance
During the quarter we acquired Gold L oan portfolio of Rs. 1,335 Cr and disbursed further amount of Rs. 195 Cr in the month of June-25. The closing book stood at Rs. 1,360 Cr at the end of Q1FY26.

Let me now hand over the call back to Sudipta to make his closing statements.

Sudipta Roy:
Thank you Sachinn. In closing, I would like to state that we expect the pace of disbursement to accelerate in the

remaining quarters of the year along with our focused execution on all risk and technology initiatives. Our investment in our state- of-the-art credit engine Project Cyclops, has already started giving early dividends and I am quite confident that this will solidify as we complete implementation across all lines of business. Project Nostradamus is nearing an advanced stage of completion and we are confident of deploying the beta version in Q2FY26.

As an organisation we have already started working on the Lakshya 2031 plans and we will be sharing the same at the start of FY27. We are focussed on transformation of the organisation towards a technology first risk aware bottom line driven culture with a heads down execution mentality. We are hopeful that this will translate into a consistently positive outcome trajectory in the years to come.

I thank you all for taking time to join us today, and I would like to throw the floor open now for questions.

Moderator:
We will now begin with the question-and-answer session. The first question is from Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania:
I have a couple of questions. Firstly, where do you now expect credit costs to stabilize as in that -- or put it the other way around, the Rs 3 billion of drawdown that happened this quarter, was it all towards Karnataka? Is that issue behind us? So now you can continue to see gross and net credit costs come down sequentially because we are also moving to prime and -- I mean, is the Karnataka pain now fully behind? Because we don't have additional buffer now to drawdown. That's right. So that's the first question.
And secondly, where do you see long-term yields stabilizing because Cyclops is doing very well. It's been extended to many products now. So obviously, we are moving prime. We are shifting customer segments. So where would yields settle? What will be the maximum downside to yields from these levels?

Sudipta Roy:
Okay. Thanks, Mahrukh. On the first question, Karnataka is stabilizing fast. With every passing month, collection efficiencies are ranging from a gradual 20 to 30 basis points improvements with every passing month. And you are right, a large amount of the sort of flow forwards that was accounted for by the macro prudential provisions this quarter came in from Karnataka, which was obviously an event that the industry had not planned for.
I think, overall, the Karnataka, sort of collections sluggishness will take another -- according to me, another 3 to 4 months to fully stabilize, which brings us to about October 2025. I do believe that Karnataka should have stabilized by October 2025. As I said in my call, we are putting in additional collectors in Karnataka. We are trying to bring dow

n the accounts per collector in Karnataka. And overall, also, we are trying a lot of community outreach programs and sort of telling our borrowers about the need to maintain good credit scores so that their access to credit is not hampered in any way. All of those results are bearing fruit. But I do believe that should happen sometime around September, October is what my sort of estimate is. And also, you have to also keep in mind one thing that the MFIN guardrails, which went into full implementation, the industry is also trying to settle to that. So the industry has seen the long tail of that settlement. And given the fact that monsoons are good and we expect a good kharif crop, I do believe that H2 will be more of a normal quarter, more of Q4. But in Q3, we'll see signs of normalcy coming in, in this business.
As regards to your question on the macro prudential provisions, yes, our objective is to use as less as possible. You have to be as prudent as possible. And though we believe that there are conditions precedent, which satisfy that usage exists even in Q2, which is primarily the Karnataka ordinance and some flows forward from the previous year's events as well. However, as a management, it would be our objective to be as prudent as possible in using that.
On your guidance of long -- sort of where do we see credit cost settling, our objective is to get to a trajectory of about 2.3% to 2.5%, towards Q4 of this year is what we intend to get to. And given the fact that the outcome of Project Cyclops is very, very encouraging, and we expect that that should be achievable unless there are any unforeseen shocks in the middle.
In terms of sort of the yields, etc., the way we look at it is a little different. I get asked this question that saying that you're going prime, so will it have an impact on your yields? Yes, going prime will have some impact on yields, but the fact is that I look at the overall risk-adjusted yield as a guiding factor. And I do believe that risk-adjusted yield will continue to remain stable or probably improve as our risk cost starts paring down. And in terms of yields, though there might be a couple of notches, maybe 30, 40, 50 basis points tempering of yields over a period of time, but our risk-adjusted -- our risk cost will improve further, probably giving rise to a 50 to 100 basis points improvement in risk-adjusted yields. So that is the way I look at it . And frankly, as an organization, we are moving

away from the practice of -- we look at yields, obviously, definitely, and our objective is to improve yields. But as {[j; l&T Finance

an organization, we are also looking at risk-adjusted yields very, very carefully. And the entire philosophy of the business teams have been moved towards improving the risk-adjusted yields rather than focusing on yields alone.

Moderator:
The next question is from Kunal Shah from Citigroup.

Kunal Shah:
So firstly, again, coming on to contingency buffer, looking at the collection efficiency trends across the product segments, maybe there is not a significant improvement, which is happening compared to that of fourth quarter. Then is it fair to assume that the balance Rs. 275 crores will also get utilized given this collection efficiency trend as maybe managing credit cost in 2.3%, 2.5% would be difficult.
And second question is in terms of the repeat customers, particularly in MFI, that is continuously inching up, like there is like almost 5 percentage points increase in count as well as, say, in terms of the value term. And we are the only player in the MFI segment that has grown the book over past couple of quarters. So is it like more kind of a refi

nancing which is happening to the existing customer? And if you can highlight in terms of the time lag, which is there between the repayment and the disbursements because I think the general concern is whether like maybe the repeat disbursements is leading to improvement in the collection efficiency.

Sudipta Roy:
No. Okay. First, I would like to dispel that notion because we do not give -- first and foremost thing, we give only one loan to an existing customer. And that too after 9 or 12 months of seasoning. So, for us, that question does not arise. For us, one customer is one loan. It's very, very clear. The second thing that you should note in mind that we have a very strong ‘only-LTF ’ customer base, which is almost close to 48% right now . Now the fact is that in the event that our portfolio quality has been outsizedly better than the industry, there is a lot of attention on our customer pools. There is a lot of attention on our customer pools from our competitors. Now if I have to frame that, I have to reach my customers earlier than -- from a strategy point of view, reach my customers -- creditworthy customers a little earlier than our competitors reach. And to a certain extent, if our LTF-exclusive customers wants a repeat top-up, we are rather better off it in giving to that customer much faster than anyone else such that the associations don't increase and sudden leverages don't increase, from a strategy point of view. But that has also -- see, if you see our last 8 quarters trajectory, actually we have been trying to bring our repeats down. Repeats actually came down for a couple of quarters, because we are focusing on much more of new customer additions. It is only in the last 2 quarters that we have seen a slight uptick in repeat, which will, again, we'll try to normalize as sort of the conditions of the microfinance industry improves and as we sort of step up our distribution in the new geographies, which is AP, Telangana, Western UP, Maharashtra, and we have recently entered – re-entered Assam as well. So, as new customers start flowing into our pools, the repeat also will start going down. So that is -- I consider that as a temporary phenomenon, and it should normalize within the next 1 or 2 quarters.
The first question that you asked is in terms of macro prudential provisions and subsequent utilization etc. And as I said, as an answer to Mahrukh's question, as a management, our objective is to be as prudent as possible. We really want to make sure that our collection efficiencies are pushed up this quarter, and we really do not need to use macro prudential provisions to a significant extent. However, as I said, certain amount of the conditions precedent, which has led to some of those flows exist. And frankly, at this stage, it is too premature to indicate on possible utilization in Q2 and can be only ascertained in the quarter end in consultation with the Board and the auditors. However, as I said, July collection efficiencies continue to trend upwards across all regions, including Karnataka. We are having good monsoons. We are hopeful that a good kharif crop will add to more amount of liquidities and the sort of the last tail of disruption because of the full implementation of the MFIN guidelines will settle this quarter. So -- and we are increasing collector workforce across many of our large markets just to bring down the accounts per collector, so that an average collector is able to focus on a smaller number of accounts {[j; l&T Finance

and reach higher efficiencies. So overall, we are working on all fronts. And we are very, very hopeful of a reasonably good outcome by the end of next quarter a nd the quarter after.

Moderator:
Thank you. The next question is from Bhavik Dave from Nippon Mutual Fund. Please go ahead.

Bhavik Dave:
Hi, sir. I hope I am audible? Congratulations on the numbers. Just three questions, sir. One is on your Project Cyclops segment implementation like we've done that partially for farm finance and personal loans. But we haven't seen a material drop in your disbursem ent. So just wanted to understand will there be some disruption in terms of disbursement in these two products as the entire Cyclops gets implemented because we've seen that during the Two Wheeler loan implementation. Just wanted to understand what is different this time around wherein disbursement is still holding up.

Sudipta Roy:
Yes. Thanks, Bhavik. Is that your only question? Or is there a follow-up question as well?

Bhavik Dave:
Yes. Second question is on the personal loans, we started to inch up in terms of the partnerships -- digital partnerships that we have. Just wanted to understand how are the economics different from like doing it maybe via DSA or in-house versus doing it via digital partners, because my guess is that we are trying to maybe make this a larger part of the book. So just wanted to understand from an economic perspective in the sense the cost of acquisition and also the credit cost, I'm sure credit cost early days, but how would you want to maybe look at profitability in this digital acquisition -- digital implementation that we do?
And the last question is on the macro prudential provisions . So just wanted to understand at what point do we start building buffers in terms of macro prudential. Maybe we utilize most of it that is left over FY26. But at what profitability do you think we will want to maybe build those up because in good times, you only build it and maybe utilize it when times turn by, like what we had in FY25. Just wanted to understand what is the thought process in terms of building this in the future? What will lead you to build that? Thank you.

Sudipta Roy:
Yes. Okay. Thank you. So, first question on Project Cyclops. Project Cyclops has been fully implemented in Two Wheeler, fully implemented in December, and we have now almost 6 months of 100% operation on Cyclops in Two Wheeler Finance. Cyclops in Two Wheeler -- and I think all businesses will go through this trajectory. The first 3 months, which is implemented, we should see a dip in approval rates because it cleans out the sort of the dodgy borrowers . But over a 3-month period, the system understands and system compensates. So, if you see in -- and then we slightly fine-tune also because we continuously watch it as we go along. This quarter, our Two Wheeler disbursement actually went up compared to Q4. And the early start to Q2 also has been strong . So in terms of Project Cyclops in Two Wheelers, it's fully stabilized, and we are getting incredible benefits out of the tool in terms of leading indicators pointing towards much, much more lower risk costs. In SME, in tractor business, it has been implemented in about 20% of the volumes. And the leading indicators there also are very, very encouraging. It will be fully completed by end of -- actually, we are targeting August 10, failing which probably by September end wherein, we should be able to sort of implement fully in Farm Equipment Finance. Again, there has been a 17% increase in rejection rates. However, the team is compensating by moving into a larger number of dealerships and trying to make sure that sort of the throughput remains higher. So again, here, we will sort of compensate. What happens is typically also Cyclops actually boosts LTVs also because we are far more confident in taking certain calls, which we are not able to do previously. And some of the LTV boosting data we have put in {[j; l&T Finance

our investor presentation as well. So overall, on an overall basis, I think it remains even-even with the sort of the bad borrowers cut out. And over a period of a quarter or a quarter or 2, the volumes build up. And we are very, very confident that as Diwali comes, which is also a big market for big period for the tractor business, I think the volumes will shoot at that particular point in time with fully stabilized Cyclops.
Personal loans and SME are getting implemented. SME, it has been implemented in 5 markets. We are learning from it. We are fine-tuning it. I do not foresee much of a drop in SME volumes because in SME business, just like we have done on the Personal Loans business, we are implementing the digital partnerships, the large partnerships. And as you can see, the large partnerships have given us a massive kicker in the Personal Loans business. Our Personal Loans business, because of the digital partnerships have grown up, has grown 65% year-on-year. And to a certain extent, we expect that strong growth trajectory to continue both in Personal Loans and SME as well, even with implementation of Project Cyclops. So yes, from a growth point of view, even with Cyclops implementation, we are very, very confident that the growth trajectory will continue and the growth trajectory will continue in a very risk-calibrated fashion. In fact, the successful implementation of Project Cyclops has given us

a lot of confidence actually to scale up in the markets that we were previously hesitant to scale up because we were not sure of the risk outcomes, especially in the Two Wheeler business. Two Wheeler business, traditionally, we have not been present in Rajasthan. In Two Wheeler business, we have not been present to that extent in Madhya Pradesh because we were not completely confident of the outcomes in these 2 markets. After Project Cyclops has come in, we are significantly sort of expanding in these 2 markets, and we are very, very satisfied with the results that we are having. So overall, Project Cyclops, in the long term will boost disbursements rather than curtail disbursements in a very, very risk-calibrated fashion.
In terms of Personal Loans economics, the Personal Loans economics to the large partners, with each partner, we have a different model of economics. Some of th e -- our objective in most of these partnerships is outcome-based economics. That means we set targets of disbursements and we set targets of risk. So, it's not that it is only a disbursement only. It's a risk plus disbursement sort of calibrated outcome and basis certain of those thresholds, the economics stack up. So overall -- see, in our DSA channel, your cost of acquisition remains around 3% to 3.5%. What I can say without going into extreme specifics, because it is very specific for each and every partner, the origination costs and the economics are far lower than what we would do in -- through our DSA channel. In fact, as a matter of principle, we run the business on what we call a 3-2-1 metrics. That means channels that have 3% acquisition cost, channels that have 2% acquisition cost, channels that have 1% acquisition cost. And our objective over the period of time is to get 50% of our acquisition volume from the 1% and 2% channels, especially in the SME business, which has got a very, very large DSA component. So overall, our focus is to make sure that all these channels are as efficient as possible. And the initial leading indicators of the volumes arranged through these channels is that risk is holding, yields are holding. So -- and we are now building volumes. So overall, we'll continue to build on this. As I said in my call -- in my opening comments that we'll announce a few more large partnerships this quarter, which has significant potential to sc

ale up on whatever we have already
done. And I do believe in the period to come, large digital partnerships will contribute to about 50% to 60% of our Personal Loans origination.
In terms of the macro prudential buffers, on building them up, we would like to build back the macro prudential buffers as fast as possible, probably -- but that depends on sort of -- you generally build macro prudential buffers in a situation where you have probably an extra dollop of profitability because that's when you look at doing that or when you get some extraordinary gains, which you have probably not accounted for. As you are aware that we have a large amount of wholesale business, which is currently in the process of resolution, especially in the commercial real estate and many of them are in advanced stages of resolution. So, what we have decided as an organization that the cash flows that we accrue from the resolution of those assets, post the sort of the Security Receipts structures resolving, the extra cash flows, which we are very certain according to our calculations, we'll get from it, will go back to build the macro prudential buffers at an organization level. One of the other thoughts that we have is that if this time we build macro prudential buffers, we'll not build at a business-specific level, but we'll build it at an umbrella, floater level, at an organization level with a large focus on unsecured businesses. So that is what our strategy is. So obviously, yes, across FY27 and FY28, our focus will be to build back those macro prudential provisions as fast as possible. {[j; l&T Finance

Moderator:
Thank you. The next question is from Avinash Singh from Emkay Global.

Avinash Singh:
Yes, hi. Good morning. Thanks for the opportunity. So just, I mean, referring to your media interaction, I mean, 2.8% kind of exit RoA you were referring to. I just wanted to clarify if that 2.8% kind of a thing corresponds to the 2.37% number for this quarter. My question is coming that because of Project Cyclops implementation and also that LAP and Home Loans increasing ….

Sudipta Roy:
Yes, the 2.8%, I meant near 2.8% in FY27. So, I'd like to clarify that. Quarter 4 exit, we should be around anywhere between in the corridor of 2.5% odd. So the 2.8% trajectory will probably be achieved sometime around FY27.

Avinash Singh:
Yes. This kind of clarifies, because I was a bit confused that 10% to 10.5% when you were alluding to, your opex at 4.2% looks stable. And on -- after macro, the credit cost is close to 2.2%- 2.3%, that also is a kind of a near term, I would say, stable rate. So, then the 2.8%, yes, because there was some confusion. Thank you. That answers my question. Thank you.

Moderator:
Thank you. The next question is from Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar:
Thank you, sir, and congratulations on a good quarter. I have two questions. So, while if I look at repeat disbursement share, which is steady now at 49% and even in value terms, around 35%, and you just alluded to the fact that in the earlier question that microfinance could be the larger share there. But going forward, how are you marrying the fact that this also forms the base for growth, as well as you are curbing the risk emanating from overlap across the businesses such as microfinance or unsecured lending. So that's one question. Second is considering we have sizable presence in Bihar, so are we building in any kind of traction on macro prudential provisions? Or maybe that -- will that be part of our discussions whenever the Board meeting or that happens, although past precede nce do not trigger a worry, but currently, the

dynamics are definitely slightly distinct? Thank
you.

Sudipta Roy:
Thanks, Shweta. On the repeat -- overall retail repeat is currently, if you see the numbers, last quarter, it was at 49% overall. And this quarter also, it has remained at 49% overall. However, in Rural Group Loans, it has gone up by about 5% odd in terms of count. And in terms of -- again, in terms of value also, it has also gone up by about 5%. I -- obviously, our objective is that -- and I explained in detail in my previous answers as to why that has happened. However, what we intend to do is that we -- over the period of time, as situations normalize, as new sort of customers from the new markets, like Western UP, Eastern Maharashtra, AP, Telangana, Assam, etc., start flowing in, I see that proportion start reducing. We're still building our distribution in these new locations where we are distributing, and these are relatively lesser leveraged locations. So, I do believe that over a period of time, over the next 2 quarters, you will see the repeat going down. So that is what I would like to give an answer to the first question.

As an answer -- what was the second one? Yes, Bihar. On Bihar again, Bihar collection efficiency is pretty stable. Though we are keeping a close watch, it's pretty stable. And overall, as an organization, we have certain thresholds of exposure in one single market. So, we are very, very careful that we do not breach those thresholds . So -- and frankly, in Bihar also over the last couple of quarters, we have slowly increased our manpower strength to bring down our accounts per collector. And this quarter also, we'll be continuing that trend to bring down our accounts per collector even further, so that there is a very granular and focus on maintaining the collection efficiencies. So, Bihar continues to be very, very stable for us, but yes, we always watch that. Actually, Bihar traditionally, got more worse from natural calamities and floods, etc. than any other thing. And we are hopeful that at least this year -- because last year, there was a bad flood in Bihar. We are hopeful that at least there won't be a repeat of the same this year as well.

Sachinn Joshi:
Just wanted to add, Sachinn here. Shweta and Kunal, I don't think you should be really worried about increase in repeat because these are the times when the MFIN guardrails have actually got implemented on three financiers . So, the repeat customers, especially the exclusive customers, 48% of our total Rs. 26,000 crores, these are the customers who have been with us for second, third, fourth cycle and all. So, we have enough information on them. We have enough behaviour. There is a lot of goodwill among these customers. And till the time we maintain the guardrails which we have been since April 2020, I think we would not want to give up on our customer -- huge customer base, which we have created with a lot of pain over the last 10 to 15 years. And this is the time to ensure that this customer base, which has been loyal with us should remain with us. And new customer you try to go for at this point of time, unless it's a new geography or geographies which have very little leverage, the risks are very high in ultimately getting into the same customers, who have been perhaps delaying and defaulting with other financiers. So, I think the strategy at this point of time is to ensure that our customer base does not get disintegrated in any manner.

Moderat or:
The next question is from Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe:
Yes, hi. Just two questions. One is on security receipts. We almost have Rs. 5,000 crores pl

us. So..

Moderator:
Nischint, we can't hear you very clearly. If you could speak a little louder?

Nischint Chawathe:
We expect to kind of monetize that. I believe the reduction last year was around 12%- 13%. So, is that the pace or will it accelerate or how do you think about it? And the other one was on disbursements, where this quarter, if you look at ex of gold loan book purchase, disbursement growth was around 8%. Is this disbursement -- yes, am I audible now?

Sachinn Joshi:
Yes, yes. Much better.

Nischint Chawathe:
Yes, sure. So, is this decline in disbursement -- or sorry, this weakness in disbursements, is this because of company-specific factors in terms of the migration of portfolio? Or is it because you can see some general weakness in the economy.

Sachinn Joshi:
So, Nischint, on the first point on SRs, we had mentioned on our earlier calls also that the resolutions of these SRs, which are currently around 60% provided for, the book is right now Rs. 5,500 crores. It has been coming down. But I think the significant resolutions are in advanced stages with NCLT. And the resolutions are expected in FY27 and FY28. A significant part of these projects will actually see completion, and we should be able to -- and we had also mentioned, Sudipta in the earlier -- one of the conversation also mentioned that we expect certain projects to be resolved in our favor, which means that the provisions which have been taken against such projects may get released only to be utilized to rebuild our macro prudential provisions. So yes, the progress has been there, but a bit slow at this point of time. FY27, we'll see a significant amount of development.

Sudipta Roy:
Yes. On disbursements further, I'll take the question. You are right because the disbursements growth this quarter -- if you look on a Q-o-Q basis, actually, the disbursement of Farmer Finance was very good on a Q-o-Q basis. Tractors grew quite well on a Q-o-Q basis. Even microfinance also grew reasonably well on a Q-o-Q basis. If I were to look at on a Q-o-Q basis, Farmer Finance grew by 25%. Even the microfinance business grew by about 10%. So, you see same time last quarter, which is the quarter previous to this quarter, we were averaging around Rs. 1,600 crores per month in Rural Business Finance. This quarter, we have averaged around Rs. 1,800 crores per month . And we are hopeful that as and when the collection efficiencies move upwards, as they are with every passing month, we should be able to get back to Rs. 1,900 crores - Rs. 2,000 crores trajectory as soon as possible, preferably towards the near-term, towards the festival season.
In Two Wheeler Finance, if you see on a Q-o-Q, we have grown by about 15%. So that growth has been pretty strong. The reason you probably see a dip in the overall growth rate is that Personal Loans actually this quarter was probably a little lower growth rate, primarily because we had a very good growth rate in the -- in Q4 of FY24. But with Amazon and PhonePe now, the volumes now stabilizing, this quarter, we are also looking at a strong growth rate in Personal Loans as well. So overall, I do believe that the situation in the market is slowly improving. The sort of the mini cycle we saw in some asset classes, especially unsecured and microfinance, show signs of dissipation. Have they fully dissipated yet? No. I think it will take another two quarters for the industry to see full dissipation. Anyway, credit was also squeezed, as you can see from all the CIBIL dashboards that credit disbursement across the industry had got squeezed. So, I do believe that the restoration of that is a two-qu

arter
process for us. We have seen good momentum this quarter. I expect Q2 to continue that momentum, though Q2 has some seasonal fluctuations in view of Shradh, etc, that happens in September before the festive season, Q2, normally is a tight quarter for most lenders. However, I do believe that we will see decent growth in Q2 as well. But I do believe that H2 will be very, very good, especially starting with the festive season and in Q4. That is the way I look at it. I see more of a level out Q2. I see good acceleration in Q3, and I see a pickup pace in Q4, if that answers your question.

Moderator:
The next question is from Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal:
Yes. Thank you for taking my question. So firstly, sir, on asset quality and credit costs, if you could just help us understand how is the T wo Wheeler and the Tractor portfolio kind of behaving now? That is one. And somewhere earlier during the call, you spoke about credit cost declining to 2.3% to 2.5% by the exit quarter 4Q. So just trying

to understand, I mean, earlier in the past earnings calls, we've spoken about benefits from Cyclops leading to a {[j; l&T Finance

structural improvement in credit costs for us. So, what could that credit cost look like from FY27 onwards? Also, we have discussed a little bit on SRs earlier. So, Sachinn sir, I just wanted to understand, you gave out a number of Rs. 5,500 crores and the 60% provision. So, is the gross SRs outstanding roughly around Rs. 11,000 crores now? And also, you spoke about FY27- FY28, where we can see some resolutions happening in our favor and which will subsequently be utilized for macro prudential provisions. So any ballpark estimates of what recoveries we are expecting from SRs over FY27- FY28?

And lastly, with regards to gold loans, I think Sudipta sir spoke about setting up branches and we're aspiring to get up to 300 branches. So, I mean, over what period this will be done? And will this mean that at least in the near-term opex will remain elevated? So just some of those questions. Thank you so much.

Sudipta Roy:
Okay. I'll take the T wo Wheeler and Gold Loan and then Sachinn can give the additional details in the -- for the SRs, -- in terms of numbers. So let me tell you at the onset that I'm very happy with the way the T wo Wheeler and the tractor sort of risk numbers are panning out. In T wo Wheeler, especially, as I said, our prime share has reached 84%. And the two-wheeler gross non-starter rates as well as net non-starter have gone down. We have given an indexed representation of the bounces in, I think, slide -- it will be on Slide 15 or 16, I think. We have given it -- sorry, Slide 27.

Sudipta Roy:
Slide 27 in the investor deck. So, you can see that if indexed on April was 100 -- out of 1,000 customers, 100 customers are bouncing, now only 72 are bouncing. So, this is portfolio bounce. That means -- and still, if you see, we have some portion of the sort of the legacy portfolio left, which will probably become much smaller in volume by, say, Q3 of this year. So overall, T wo Wheeler risk cost is progressing very, very well. And I do believe that we will see probably a very low risk cost regime in T wo Wheeler to set in post Q3 for us, as the legacy portfolio still dwindles in size.

For Tractors also, similar trajectory. Tractors, if you see our net non-starters in tractors are at a historical low. Actually, in the Project Cyclops portfolio, we have seen net non-starters as low as 0% actually. So, Two Wheeler in Tractor also, the overall sort of cleanup has happened. And if you see Slide 28, in terms of indexed representation of net non-star

ters, in April-24, if it was 159%, we are down to 38%. So that will tell you the extent of improvement that has taken in the tractor business. And if you see the tractor sort of charts in terms of collection efficiencies as well in Chart 38 -- is it 38 or 37? Yes, sorry, 37 -- no, chart 38. You can see the collection efficiencies now. You see in June last year, we are at about -- 91.8% collection efficiency, which has gone up to a 93% collection efficiency. You can see that it has significantly gone up. And this -- we expect that this trajectory to continue. And on almost a Rs. 16,000 crores book a 120 b ps improvement in collection efficiency is significant in terms of credit cost. So, we expect that both the two wheeler business and a tractor business to have significant contribution to profitability in ...

Sachinn Joshi:
The Two Wheeler is on the next page.

Sudipta Roy:
Yes, the two-wheeler is on the next page. If you can see two-wheeler also, collection efficiency in two wheeler is at 98.5% which is in Slide 39, top up and -- which was 98% same time last year. And this number is actually going up quite steeply. So, April is a seasonal blip because what happens is that many of the outsourced collection agencies actually post the -- and BFSI industry sees this April, what I call, the April blip. But overall, I'm very, very satisfied with the way these two are progressing. {[j; l&T Finance

In terms of the gold loans, the 135 branches, which I said new branches, will happen before March 31 of this financial year. We are working on that. We have a fair amount of -- we have figured out -- see, you have to understand that we acquired a business which had actually fine-tuned the process of branch addition . So the branch cost -- the cost of branch addition is not really extremely expensive, but it's quite economical because the process has been fine-tuned by the team, which was managing this business in Paul Merchants over a period of

years. So obviously, yes, 175 branches will take a little bit of the cost, but we do not expect that to be significant enough to show up materially significantly in our cost numbers.
Overall, as an organization, we are also running a massive productivity as well as a cost improvement exercise internally. And we are hopeful that we should be able to absorb this cost quite effectively. So, our focus is that we expand very, very quickly in our markets of strength, especially where we can use some of the feet on the street that we have, especially in the MFI business as well as in the tractor business to sort of cross-sell gold loans to our existing pool of customers, either existing customers or our customers who have been previously with us and sort of build in a new model where we sort of lead generate in the field and send the customer for fulfillment towards the near branch. So that is what we will be wanting to do. And we are reasonably confident that we should be able to do that. Sachinn on the SR thing.

Sachinn Joshi:
Before that, I think Abhijit you also wanted to know the traction of how credit costs will pan out between 2.3% to 2.5%. So, see, the credit costs, the first quarter, of course, we have used -- and when we talk about this range, this is, of course, after taking into account the macro prudential provisions. During our earlier couple of calls, we had mentioned that the T wo Wheeler, Personal Loans and Tractor businesses for specific reasons, the -- like, for example, we had stopped the repossession of 90 plus for Tractor. Similarly, T wo Wheeler and Personal Loan for the challenges which were faced from the urban side had led to increasing credit costs. And we had m

entioned
that this will last for at least 2 to 3 quarters. We are seeing some kind of stabilization as far as Personal Loans is concerned. Tractor has actually started showing an improvement after last 2 to 3 quarters. Two Wheeler, we, I think, has still a quarter or two to go. And as Sudipta mentioned, Q4, we will start having the seasoning of the book, which has come through Cyclops, will start showing its impact. So Q4, we will start seeing the full benefits of Project Cyclops on the T wo Wheeler portfolio. Till that time, we -- the book, which was generated through the earlier models will also become very insignificant. So, keeping these in mind, I think we should -- for the full year, we are expecting that we should be somewhere in the range of about 2.3% to 2.5%. We should exit, I would say, by -- with 2.5%, but with the average for all the four quarters, we should be somewhere around 2.4%, 2.5% for the full financial year.
On the SR piece, the overall book, which was sold off to ARCs post receipt of cash was about Rs. 14,000 crores over a period of time. And against that, we have, during various points of time, created provisions at the time of transfer. Also, we had announced about a year back, setting aside about Rs. 729 crores. All that put together, we have about Rs. 8,400 crores, which is set aside, which comes to about 60%. So, the Rs. 5,500 crores is the net carrying value as of 30th of June, if that clarifies.

Moderator:
The next question is from Chintan Shah from ICICI Securities?

Chintan Shah:
Yes. So, sir, one question on the MFI PAR portfolio. So, our PAR 31 to 90 portfolio, so that has been more than 1 percentage since the past three quarters. So current quarter -- and it has been actually increasing since the past six quarters. Only for this quarter, it has declined to 1.2% versus 1.4% previously. And simultaneously also we have utilized the macro-prudential since the past three quarters wherein the PAR 31 to 90 has been abo ve 1 percentage. So, when do we see this portfolio coming down below 1%? I understand it could be due to Karnataka {[j; l&T Finance

or Bihar, etc. And this PAR used to be 0.5 percentage almost a year ago in Q1FY25. So, yes, when -- where this could normalize by the year-end? Yes. That's the first question.

Sudipta Roy:
Yes. So, if you see -- thanks, Chintan, for the question. If you see, we already saw the inflection point of the curve between PAR 1 to 90 this quarter.

Chintan Shah:
Yes.

Sudipta Roy:
And as I said -- first, I would like to say that there is no issue in Bihar. Bihar is normal. There is no issue in Bihar. So, Karnataka, yes. Karnataka, the speed at which we thought it will improve probably did not happen in Q1, but again, we are seeing it picking up pace. We are seeing it picking up pace. And as I said, our objective has been to bring down the accounts per collector ratio in Karnataka as well, so that our people are more focused. So, we have increased the number of people, so that the accounts per collector has also come down so that we are --

the same number of -- because what has happened is the Karnataka window of collection has reduced, because there is some time -- till sometime you can collect, you cannot go beyond 5:00 P.M. etc. So we need the larger number of collectors to reach the same amount of customers within that period of time. So that is what we have been focused on and that's what currently work is going on. So, I do believe that this quarter, we'll see further improvements. And again, MFIN guardrails came into being in the first quarter fully. So, obviously, that took -- the market is taking time to settle as well on that. So,

overall, I think Q2 will be the settling period, and in Q3, we'll see
the normalcy. So, the curve, which you saw the inflection point in Q1 will continue to trend downwards in Q2. And probably by middle of Q3, it will probably come close to normal. Again, I'll put a caveat here in the sense that, all these are sort of… .

Sachinn Joshi:
In the play.

Sudipta Roy:
In the play and we are hopeful that, the Karnataka event came in a short period of three weeks. And frankly, the industry was not prepared for it. And in a short period of three weeks, we saw our collection efficiencies tanked . So, all these numbers, the caveat that things have settled. And there are no more sudden surprises. That is the caveat.

Sachinn Joshi:
So just to add, the only positive thing we can share is that the dip, which went down to almost 200 basis points plus in the month of February, the recovery has been there. Maybe from the pre-February times when the collection efficiencies were 99% plus, I think, we would be about 50 basis points, 60 basis points away. And as we speak, July also has been trending positively. So, yes, I think we'll have to just wait and watch, but the other geographies have already stabilized. So, we should not see any reversal of what you were pointing out in terms of the PAR 0 to 30, 30 to 60 beyond this, in a very significant manner. That's where we are.
Chintan Shah:
Yes. So just a follow-up on that. So typically, do we have any ratio, means as in -- if this much is the PAR 30 to 90 percentage of the portfolio, so how much typically that flows into 90 plus or how much can be rolled back? So any data points to share there. {[j; l&T Finance

Sachinn Joshi:
See, actually, this works only in a normal environment. In today's environment, like Sudipta mentioned, if the collection efficiencies are slowing down, we'll just put more people to see that the collections are done. So, it will -- right now, the challenges are in only specific pockets, specific states. We will have to address it by using different, different techniques. So, there is no specific signs that, okay, if 31 -- under normal circumstances, we can possibly mention about what will be the reverse flow, which will happen. But roll forward right now, the moment they touch 90-plus, 100% gets provided for. So that ensures that whatever risk is seen already gets captured in terms of provisions. One thing which we can say is that the Karnataka challenge is not in terms of ability to pay, but the intent to pay. And a time will surely come when these customers would need money and they're -- looking at their bureau scores getting worsened, they will not get money anywhere. And the chances of recovery will be high when they come back asking for fresh loans. This is the expectation we have.

Moderator:
We'll take that as the last question. I would now like to hand the conference back to Mr. Sudipta Roy for any closing comments.

Sudipta Roy:
Thank you. I thank everyone who has joined us today. So, it has been -- Q1 has been a tough quarter for all around for the industry as well, as well as for us. And -- but what we are reasonably satisfied with the outcome. Obviously, a lot of work remains to be done, which will be done across the rest of the year.
One thing I would like to assure is that, we are focused on making sure, and as I've mentioned in many of my media interviews that we are building a risk-first organization. So, and many of our technology sort of investments in the initial phase has been focused towards making sure that our risk guardrails are strong and bulletproof. So now that we are reasonably confident of some of -- the efficacy of th

e early technology steps that we took last
year, this year we will as -- and as the conditions improve, I think, we will have the confidence enough to be the first of the block in terms of growth. And all the growth drivers, all the growth thrusters are now being positioned into place for that event to happen . We are seeing very fast improvement in the operating environment in all lines

of business, both rural, as well as urban. And I am very, very confident that Q2 will be the inflection point in terms of the risk outlook of the industry, and we will see better outcomes in Q3 and Q4.
With that, I would like to wish you a very good remaining part of the day. And I will -- me and my management will be very happy to give you -- interact with you when we meet one- on-one and probably give -- provide more flavor of our execution story. Thank you so much. And with that, we will end the call.

Moderator:
Thank you very much. On behalf of L&T Finance Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies ,
repetitions in Q &A which would have unintentionally crept in, if any {[j; l&T Finance

Call: Oct 2025

INTERNAL October 27, 2025

National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051. BSE Limited
Corporate Relations Department,
1st Floor, New Trading Ring,
P. J. Towers, Dalal Street,
Mumbai - 400 001.

Symbol: LTF Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of Investor(s) / Analyst(s) meet – Q2FY2025-26 Financial Performance and Strategy Update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q2FY2025-26 financial performance and strategy update held on October 16, 2025.

The above information is also available on the website of the Company i.e., www.ltfinance.com/investors .

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Limited
(formerly known as L&T Finance Holdings Limited)

Apurva Rathod
Company Secretary and Compliance Officer

Encl: As above

L&T Finance Ltd.
Q2 FY26 Earnings Call Transcript
October 16, 202 5

Management Personnel :
Mr. Sudipta Roy (Managing Director & Chief Executive Officer)
Mr. Sachinn Joshi (Chief Financial Officer)
Mr. Raju Dodti (Chief Operating Officer)
Mr. Karthik Narayanan (Head – Investor Relations)

INTERNAL

Moderator:
Ladies and gentlemen, good day, and welcome to L&T Finance Limited Q2FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then ze ro on your touch -tone phone. Please note that this conference is being recorded . We have with us today Mr. Sudipta Roy, Managing Director and CEO; Mr. Sachinn Joshi, CFO; and Mr. Raju Dodti, COO; and other members of the senior management team.
Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the conference call. Only publicly available documents will be referred to for discussion s during interaction s in the call. While all efforts would be made to ensure that no unpublished price -sensitive information will be shared, in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the stateme nts made on today's call may be forw ard-looking in nature. A note to this effect is provided in the Q2 results presentation sent out to all of you earlier .
I would now like to invite Mr. Sudipta Roy to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir .

Sudipta Roy :
A very good morning, everyone. I welcome you all to the Investor call for Q2FY26. Joining me today on the call are – our CFO, Mr. Sachinn Joshi, our COO, Mr. Raju Dodti and other members of the senior management team of L&T Finance. On behalf of the entire L&T Finance team, I would like to extend our festive wishes to you and your families and the broader investor community .

Similar to our previous calls, today's call is d

ivided into two sections, taken up sequentially by myself followed by
our CFO – Mr. Sachinn Joshi, who will be talking about the overall business metrics & financial performance .

During my interaction with you over the course of the last 2 years, I have spoken about the various investments we were making in strengthening the company and upgrading our capabilities across domains, including the various transformative initiatives unde rtaken by us. In this call, I will provide further details about the results we are seeing from those initiatives and their long -term impact on the business. As far as our core business franchise is concerned, it stands in a good shape, which is evidenced by the numbers posted by us in Q2FY26 and I am hopeful that in the remainder of FY26 this performance trajectory will continue .

Post our commentary, we will be happy to take questions on the call.

Macro -economic outlook
Before we delve into the highlights of the quarter, I would like to give you some flavour of the current macroeconomic scenario and sectoral outlook .

India's recent credit rating upgrades reflect growing global confidence in the country's economic resilience and growth prospects, amidst heightened trade uncertainties. Growth remained resilient, on the back of private consumption aided by rural demand an d fixed investment supported by buoyant government capex. Headline inflation has also seen significant moderation during H1 FY26, mainly due to a sharp correction in food prices and is projected to remain close to the lower end on RBI’s target band in 2025 -26.

Agriculture sector prospects remain favourable despite flooding caused by heavy rainfall in several states, including grain bowl states like Punjab, where crops have been destroyed and rainfall deficiency in east and northeast India impacting crops. This f avourable prospect is supported by above normal monsoons in most regions, adequate reservoir levels, and supportive policy interventions. Rainfall over the country as a whole during the 2025 South West monsoon season was above average at 108% of its long p eriod average, albeit unevenly

distributed. The area sown under key kharif crops like rice, pulses, sugarcane, coarse cereals , etc. are 1 -6% higher than last year. Reservoir levels stand at 90%, exceeding the levels recorded a year ago as well as the decadal average. Intense rains towards the end of season in pockets of Karnataka, Telangana, Maharashtra, Gujarat, Rajasthan and Punjab have impacted standing crops in some parts. However, the early trend of mandi arrivals indicates a delayed but healthy crop output overall. Prompt relief me asures for the farmers and higher MSP prices should provide further support .

As far as Rural demand is concerned, it continues to remain buoyant with upbeat tractor and motorcycle sales and strong growth in fast -moving consumer goods sales in rural areas. The GST 2.0 reforms are expected to further boost private consumption and dom estic demand. Revival in the discretionary spending of households in both rural and urban areas is already reflecting in high festive sale volumes and consumer sentiments and should support credit expansion in the quarters ahead .

With liquidity conditions improving during the first half of FY26, domestic financial markets remained resilient and relatively stable. Monetary policy, along with liquidity easing measures, have contributed to favourable financial conditions by influencing both money and bond markets. Concomitantly, credit demand has witnessed an uptick in the recent months as well .

Going ahead, lower inflation, rising capacity utilisation , and c

ongenial financial conditions continue to support the
growth outlook. The government's continued thrust on capital expenditure, GST 2.0 reforms and improving credit conditions should boost aggregate demand conditions in the near -term and help to sus tain strong momentum in the NBFC sector with healthy credit demand .

Q2FY26 Highlights :
To start off with this quarter’s highlights, I would like to share that the microfinance sector has shown green shoots of recovery this quarter and we have seen sustained resilience and uptick in both disbursement volumes and collection efficiencies in our microfinance portfolio. The performance of the LTF portfolio is a result of the strong credit underwriting and stringent association norms implemented over the years and further sharpened over the course of the last few quarters. I am happy to share that directionally, the overall credit cost for the organisation has started its downward trajectory owing to the various process interventions and implementation of Project Cyclops in fulcrum businesses like Two -Wheeler and Farm loans and is expected to tend towards normalisation in the second half of FY26. I will speak about them in greater detail during the course of the call .

I am pleased to inform you that we have achieved a quarterly Consolidated PAT of Rs 735 Cr, registering a growth of 5% QoQ and 6% YoY, with the retail book crossing the ■ 1 lakh Cr milestone, now standing at Rs. 1,04,607 Cr, reflecting a growth of 18% YoY. The Consol booksize registered an increase of 15% YoY, reaching Rs. 1,07,096 Cr, while the RoA came in at 2.41% in Q2FY26 .

Given the fact that quarter 2 for BFSI is traditionally a weak quarter, we are pleased to inform that we recorded our highest ever quarterly disbursement of Rs. 18,896 Cr, a growth of 25% YoY and 8% QoQ, driven by a strong performance across all our lines of business. I would like to p oint out that this growth in Q2FY26 is driven by organic business expansion and we expect the additional boost from GST 2.0 especially in the Two -Wheeler and Farm segments to be registered in Q3FY26. Our Rural Business Finance disbursements achieved normalisation during the quarter with a disbursement of Rs 6,316 Cr, up 12% QoQ and 16% YoY, based on continued improvement in collection efficiencies, giving us the confidence to expand disbursements and markets, while continuing t o follow the stringent sourcing and portfolio norms. Our Two -Wheeler business saw a QoQ disbursement growth of 18% and Personal loans disbursements expanded by 50% QoQ driven by increased funnel off -take from our big tech partnerships (slide 53 of the Inve stor Presentation) .

Next, I would like to provide an update on the impact of the Karnataka ordinance. Last quarter, I had mentioned that we had started seeing uptick in collection efficiencies and a positive momentum in growth from Karnataka across monthly and quarterly tenor s. The quarter saw a 70bps improvement in monthly collection efficiency which increased from 98.48% in June'25 to 99.18% in September'25. We expect the collection efficiency will continue to trend upwards in Karnataka in Q3FY26. The pan India '0 DPD' colle ction efficiency improved by 15bps to 99.50% from 99.35% during the previous quarter .

I would now like to give you an update on the performance of the newly acquired Gold loans business. I am happy to share that the Gold loans segment acquired significant momentum during the quarter outperforming our expectations with a quarterly disburseme nt of Rs. 983 Cr and the highest ever monthly disbursements of Rs. 423 Cr in the month of September. In the coming quarters we are workin

g on expanding our geo -presence across the country through branch expansion with ~200 new branches focused on areas wit h high cross -sell potential. In this regard, our model of integration of gold finance branches into multi -product 'Sampoorna branches' augurs well with our aspiration to become a leading pan-India gold finance player. By the end of FY26, we plan on establishing a distribution strength of 330+ gold loan branches .

Coming to our large partnerships initiative, continuing with the momentum established with Amazon Pay, Cred and PhonePe, the overall Personal Loans disbursements for the quarter from big tech partnerships, including that from our newest partner Google Pay reached Rs. 1,138 Cr, pushing our overall Personal Loans disbursements for Q2 up 50% QoQ and 114% YoY at Rs. 2,918 Cr. While the uptick is steep, I would like to highlight that we have been keeping a strong focus on credit and risk guardrails, while we continue to extensively leverage partner trust signals. I am confident that we will continue to scale up this business in a risk calibrated manner and expand our origination momentum with existing partners while fostering partnership with few more big tech players .

You would recall that I had made the announcement in Q1FY25 of the deployment of beta version of Project Cyclops, our AI -powered digital underwriting engine and since then Project Cyclops now powers 100% of underwriting in Two -Wheeler , Farm Equipment and SME businesses. It will be implemented in Personal Loans in Q3FY26 and we are readying the decks for implementation in R ural Business Finance and Mortgage business in FY27. The leading credit performance indicators from the Project Cyclops underwritten port folios in the above lines of business es remain extremely encouraging and our technology teams have been hard at work to improve the versions of Project Cyclops with every passing quarter. It is to be noted that we are currently in the version 3.0 of the software whose processing capacity has been improved from 100 TPS (Transactions Per Second) at launch to 1,400 TPS at present .

We continue to see encouraging trends with sharply lower portfolio bounce outcomes and NNS (Net Non -starter s) trends in the Project C yclops underwritten Two -Wheeler Finance portfolio in comparison with the non-Project Cyclops portfolio, while there has been a sharp reduction in Net Non -starters (NNS) for tractor customers through identified dealership rationalization in the Farmer Finance portfolio. The total number of cases disbursed in the Two-Wheeler Finance vertical through the Project Cyclops engine crossed 7,50,000 during the quarter while more than 21,000 cases were disbursed in the Farm Equipment Finance segment through Project Cyclops. As a consequence, the NNS for the Two -Wheeler Finance portfolio reduced to 0. 47% for September'25 from 2.36% in December, 2024, which has also contributed to a reduction in the overall gross credit cost for LTF during the quarter. We will be sharing deeper insights into portfolio performance of Project Cyclops portfolios in our Investor Digital Day scheduled on November 6, 2025. We are confident that as disbursements through this engine scale up across businesses, our portfolio quality will get significantly enhanced with lower bounce rates and early non - starters, thereby leading to a reduction in the overall credit cost trajectory for the organisation .

Our next transformative initiative, 'Project Nostradamus', a state of the art, first in industry AI driven automated real time portfolio management engine leveraging traditional as well as alternate data went live in 'bet

a mode' for
Two-Wheeler Finance in August'25, with data dashboards for early warning and proactive portfolio management to monitor performance down to an individual micro -market cluster. We will also be giving previews of Project Nostradamus during our Investor Digital Day on November 6th. I am confident that we will be able to make Project Nostradamus live for all lines of business by the end of the year .

I am happy to share that our investments in cutting edge technology and strengthened credit frameworks and underwriting have started showing early signs of impact in the gross credit cost trajectory for the organisation. We have been progressing towards a fundamentally stronger credit cost paradigm, with credit costs (before utilisation of macro prudential provisions) reducing from 3.80% to 2.98% between Q4FY25 and Q2FY26 (slide no. 8 in the Investor Presentation). Consequently, with a projection of further improvement in credit profile after full scale up of Project Cyclops and Project Nostradamus, we expect overall credit costs to trend lower in the medium term .

In my last call I had mentioned L&T Finance being assigned its first ever international rating, I am happy to share that we received a rating upgrade from S&P on August 14, 2025, with the long -term rating moving from "BBB -/Positive" to "BBB/Stable" and the short -term rating moving from "A -3" to "A -2", a result of the upgrade in India's sovereign rating. These ratings are investment grade and are now on par with India's Sovereign Credit Rating. This favourable assessment significantly enhances our ability to access global capital markets, thereby enabling further diversification of the liability franchise and the deepening of our lender base .

Update on Lakshya 2026 Goals
Now, I would like to share an update on our quarterly performance against the Lakshya 2026 goals :
• The first milestone was to achieve Retailisation of >95% by FY26. We achieved a retailisation of 98% in the last quarter and it remained at the same level during Q2FY26, with the retail booksize crossing the Rs.1 lakh Cr mark .
• The second milestone, on the loan book growth front, we had set ourselves a retail book growth target of 25% against which we have achieved a CAGR growth of 27% between Q4FY22 to Q2FY26 .
• On the third milestone which is on the Asset Quality front, we maintained the Retail GS3 & NS3 levels closer to the threshold levels (GS3<3% and NS3<1%) despite the macro challenges and segment specific challenges in the microfinance segment, our Consol. G S3 and NS3 stood at 3.29% and 1.00% respectively .
• On the fourth and last milestone of RoA, we achieved RoA of 2.41% in Q2FY26. We remain committed to continuous improvement in the RoA trajectory as the segment headwinds in the microfinance sector dissipate and the downstream benefits of better credit proc ess control and underwriting through Project Cyclops start materialising .
I am also confident that with the improving collection efficiencies in the microfinance portfolio (including recovery in Karnataka), we will not require utilisation of any further amount from the macro prudential provisions from Q3FY26 onwards. During this quarter, the Board approved utilisation of Rs. 150 Cr of macro prudential provisions. After the utilisation of the said provisions to the extent of Rs. 150 Cr, the residual macro prudential provision at the end of Q2FY26 stands at Rs. 125 Cr .

Double Click on the 5 pillars of execution
As mentioned earlier, I would now like to give a brief update on the 5 pillars of execution that we had enumerated in October 2023 and continue to be in implementation mode against the same .

1. Customer Acquisition - Our focus remains on broadening our customer funnel, both by deepening our reach in existing segments and broadening our geographical and digital footprint through partnerships. In the R ural Business Finance vertical, apart from focusing on retaining our credit -tested customers we continue to acquire new non -leveraged MFI customers through geo -diversification, leading to an uptick in the activation of new villages villages during the quarter. We are also expa nding our geographical foo tprint in the states of U.P., Maharashtra and Andhra Pradesh. With overall improvement in the credit risk environment in the industry, our customer acquisition velocity moved northwards across all lines of business in Q2FY26 and we expect this positive trajectory to continue over the rest of the year . Further details around customer acquisition and repeat share are available on slides 14 & 15 of the Investor Presentation .
2. Sharpening Credit Underwriting - The continuous expansion, improvement and validation of Project Cyclops scorecards remain paramount for us. Project Cyclops is fully implemented and operational for Two - Wheeler , Farm Equipment, and SME businesses. The implementation for Personal Loans is scheduled for Q3FY26, while rollouts for both Home Loans & LAP and Rural Group Loans & MFI are planned for the fiscal year FY27. Our model risk management and machine learning o perations teams are now fully functional giving us a strong structural framework to implement and monitor an increased density of algorithms and scorecards across various lines of business .
3. Futuristic Digital Architecture - We continue to work on upgrading our technical capabilities and our focus

on continuously strengthening our IT framework remains unabated. I have already spoken about Project Cyclops and Project Nostradamus. I would like to make a special mention of our PL ANET App, which has emerged as a powerful digital channel for our customers while serving as an important servicing tool. Our PLANET app which crossed over 2 Cr total downloads till date, received the award for “Best Digital Experience in Finance” at the G lobal Fintech Fest, 2025. I am confident that through this app, we will constantly harness cutting -edge technology to simultaneously enhance customer experience as well as improving our operational metrics. Please refer to slide no.60 & 61 in the Investor Presentation for operating metrics on the app .
4. Brand Visibility - We continue to capitalize on our integrated marketing campaigns, leveraging our brand ambassador, Jasprit Bumrah. During the quarter, we also ran campaigns for our Two -Wheeler and Farmer Finance businesses, while participating as an Associate Sponsor in th e Asia Cup '25 .
I am delighted to announce that the second edition of our flagship BFSI -AI event ‘RAISE’ with the theme ‘Accelerating financial services with AI’, which is scheduled to take place on 7th November , 2025 at the Jio World Centre, in Mumbai will be bigger and grander, with a very interesting line up of international and national speakers and technologists. We urge you to visit the event website ‘www.ltfraise.com’ and register for the same.
5. Capability Building - On capability front, we are committed to fostering an environment where every employee feels valued, empowered and inspired, making us truly an employer of choice in the financial services sector. On this front, we continued to strengthen our organizationa l capabilities through robust employee recognition programs. These include the Champions League (recognizing over 200 top performing employees across the country) and the Zonal Star Awards (honouring over 1,100 top performing employee s across key regions), ensuring continued motivation and development of our employees .

I will now request Mr. Sachinn Joshi, our CFO, to take you through the financial updates.

Financial updates
Sachinn Joshi :
Thank You, Sudipta. As always, I will be walking you through the financial performance of the company for the quarter .

Quarterly Performance:
• Consol NIMs + Fees for Q2FY26 remained stable at 10.22% on QoQ basis and down by 64bps YoY
• Consol PAT for the quarter at Rs. 735 Cr up 6% YoY and 5% QoQ
• Quarterly retail disbursements stood at Rs. 18,883 Cr , up by 25% YoY and 8% QoQ
• Retail book stands at Rs. 1,04,607 Cr (up 18% YoY and 5% QoQ). Our Consol book stands at Rs. 1,07,096 Cr, up by 15% YoY and 5% QoQ
• Consol RoA stands at 2.41%, down by 19bps and up by 4bps QoQ
• Consol RoE at 11.33%, down by 31bps YoY and up by 47bps QoQ

Retail Businesses :

Rural Business Finance
The business registered quarterly disbursements of Rs. 6,316 Cr, delivering a strong momentum with a growth of 16% YoY and 12% QoQ. The book size reached Rs. 27,460 Cr , up by 3% YoY and 3% QoQ respectively , in Q2FY26 .

Farmer Finance
In the Farmer Finance vertical, quarterly disbursements stood at Rs. 1,654 Cr in Q2FY26 (down by 7% YoY and 25% QoQ). Postponement of purchases owing to GST rate rationalisation anticipation led to a lower offtake in the month of September. The book size r eached Rs. 15,943 Cr, reflecting a growth rate of 10% YoY and 1% QoQ .

Urban Finance
The segment comprises Two -Wheeler Finance , Personal Loans, and Home Loans & LAP.

• Two Wheeler Finance : The T wo-Wheeler business registered quarterly disbursements of Rs. 2,512 Cr in the quarter , up by 5% YoY and 18% QoQ. The book size increased to Rs. 13,013 Cr, up 3% YoY and 6% QoQ. Notably, 88%+ of T wo-Wheeler Finance disbursements in Sept’25 was from the Prime segment as against 53% for the month of March’24. This reflects our focus on quality growth and risk -adjusted returns .

• Personal Loan s: In the Personal Loans business, we achieved a quarterly disbursement of Rs. 2,918 Cr translating into a growth of 114% YoY and 50% QoQ with the book size reaching Rs. 10,878 Cr, an increase of 52% YoY and 16% QoQ, attributed to the successful scale -up of t he big tech partnerships .

• Home Loans & LAP: Moving on to Housing, we achieved quarterly disbursements of Rs. 2,713 Cr, up by 7% YoY and a degrowth of 2% QoQ, with the book size at Rs. 27,407 Cr, an increase of 26% YoY and 4% QoQ. Growth in the segment was supported by newer partnerships and a strong network of distribution channels .

• SME Finance: In the SME business, quarterly disbursements stood at Rs. 1,468 Cr, up by 18% YoY and 15% QoQ. The book stood at Rs 7,465 Cr (up 44% YoY and 7% QoQ). The focus continues to be on building

diversifying sourcing channels and expanding sourcing funnels through new partnerships to boost disbursements .

• Gold Finance

In the Gold loan business, quarterly disbursement stood at Rs. 983 Cr and the closing book stood at Rs 1,475 Cr at the end of Q2FY26 .

Let me now hand over the call back to Sudipta to make his closing statements .

Sudipta Roy:

Thank you Sachinn. In closing, I would like to state that our teams remain fully focused on capitalising on the strong base we have built over the last few quarters and increase the acquisition velocity in the coming quarters. The impact of many of our credit and technology initiatives will start becoming more visible in our financials in Q4F

Y26 and the full scale will playout in the next financial year. Our investments towards best -in-class technology that can act as a force multiplier for our businesses w ill continue unabated as we continue to work towards achieving our long -term business goals which will be outlined in our Lakshya 2031 plan in April 2026 .

I thank you all for joining us today. I once again now wish you all a very happy Diwali. The floor is now open to questions .

Moderator :

We will now begin with the question -and-answer session . The first question is from the line of Praful Kumar from Dymon Asia.

Praful Kumar :

Hi, Sudipta, hi Sachinn , hi everyone. Congratulations, sir, on great execution. Sir, one -- first question is that given that macro prudential provisions are largely used and next year will be much better given all the underlying macro drivers and each of our geographies stacking up very well. Would it be prudent for us to rebuild the provisions in good times as they have helped you in bad times ?

Sudipta Roy :

Yes. Thanks, Praful, for that question. As we have indicated in some one -on-one conversations earlier, we would be looking at rebuilding back the macro prudential provisions as and when we have the opportunity of doing that. So as an organization, we are committed to rebuilding it back. However, we would like to rebuild it back from some of the realizations from our ARC portfolios, which some of them are in very advanced stages of resolution. And we probably will have some realizations from them over the ne xt 18 months to 24 months period. And whatever over realizations that we have from them will go towards building the macro prudential kitty once again. So it will not be an immediate exercise. We'll kick off that exercise immediately, but because these assets will keep on res olving over the next near -term horizon , as and when they resolve, we will continue to build the macro prudential provisions from that over realizations .

Praful Kumar :

Understood. And sir, one small question. You had a superb treasury management and the cost of funds is reflecting , one of the first NBFCs to reflect it meaningfully. Despite that NIM plus fees is flat Q oQ, is this more the risk calibrated returns that you are contemplating in terms of business model? That's the way to look at it ?

Sudipta Roy :
Yes. Sachinn, you want to take that ?
Sachinn Joshi :
Yes, sure. So NIM plus fee if you look at each component of the NIM, the yields as we have spoken over various calls, over last -- from the time we began our Lakshya 2026 journey. Initially the NIM actually went up because the yields started going up since we were moving towards retail. A time came about 1.5 years back when the overall retaili sation sort of got over , around 95% we had reached, after which the further increase in yields was not possible because retail book replacing wholesale book led to that increase. Post that , last four -five quarters, we have seen that microfinance sector has gone through a challenge and the disbursements also were very calibrated. This led to other businesses growing more than the Rural Business Finance , which naturally meant that the change in mix resulted in the yields coming under slight pressure. But as we have seen in this quarter, the Rural Business Finance , the disbursements have again picked up and we believe we have now come through a major part of that crisis, where our collection efficiencies are already 99.50% as of September. And as this book continues to grow, the pressure will naturally ease. We have also begun from last quarter the journey of growing our gold loan busines

s. This quarter was also very good. We did about Rs. 923 Cr. September month actually
was about Rs. 400 Cr plus. So as these higher -yielding book starts growing, we will see the pressure on yields coming down.
We believe that NIM plus fee in the range of 10% to 10.5% seems to be possible. I'm thankful for the interest rate cycle to really change and we are now in the downward cycle. RBI has already given a 100 basis point s repo cut. There are also talks about further rate cuts coming in. Yes, because of the way we grow our liability book, the PSL advantage that we have, the mix of that book in terms of short, medium and long -term assets helps us in terms of building up a sh orter-term book as well in the form of commercial paper. The shorter end of the curve, you've seen that the interest rates have been lower. And we are yet to fully take advantage of that. If you look at the composition of CPs in this quarter's number is ju st about 7%, average may be about 8% to 9%, but yes there is a scope to grow this book right up to 13% to 15%. This as well as the full benefit of the rate cut has not yet been passed on by all the banks.
So we believe that there will be still some room to have a reduction in weighted average cost, but significant part of it has actually come in. The third component of this is the fee component. The fees this quarter has been down by about 18 basis points on a quarter -on-quarter basis. But I think the range is very clear , from 1.75% to 1.9% has been the range. And if we continue within that range, I think we should be able to manage the overall NIM plus fee in the range of 10% to 10.5% .

Sudipta Roy :
Yes. And I'd like to just add to what Sachinn said is that our business units are continuously being tasked to improve their yields across the disbursements. And so there is a very sharp focus on making sure that we maintain the yields and with the upward bias across all our lines of business, while maintaining the asset quality as well. So overall, yes, as I would like to echo what Sachinn said, our objective is to maintain it in the corridor of 10% to 10.5%. And we are reasonably confident that we should be able to do that .

Praful Kumar :
Fair enough, sir. Thank you and all the best .

Moderator:
Thank you. The next question comes from the line of Mahrukh Adajania from Nuvama Wealth Management .

Mahrukh Adajania :
Hi, congratulations to you and your team. I just had a few questions. Firstly, the housing disbursements are a little soft on a sequential basis. So is it that you really want to focus on other segments because they are higher yielding? So that's my first question. And then, in general, there has been a growth surprise in the BFSI segment. Do you see this sustaining? I mean what's your view? And if you could give some colo ur on fees. I know that you said that because of MFI they are stressed, but for better yielding products, would you like -- or to move up the credit risk curve, would you like to sacrifice some yields? Is that the way to look at some fees? Is that the way t o

look at it because the benefit on credit cost can be substantially higher ?

Sudipta Roy :
Yes. So I'll take them one by one. So the first question was about Home Loans. So we -- obviously, as you can understand that post the rate cut, there have been significant downward pressure on the revision of the H ome Loan rates as well as well as the market has transmitted and the market has become very competitive, especially for Home Loans . So what we have been doing is that we have been judicious in terms of not entering into a full - blown rate war and operating in segments

where we'll still get the rate efficiency and focusing more against Loan
Against Property . So overall, our loa n against property disbursements have gone up and our pure home loan disbursements actually has sort of remained on an even keel, which has led to the little bit of moderation in the overall mortgage portfolio growth. And we expect that this will remain in this state for the next couple of quarters. Obviously, we are -- we will look at way by which we can sort of take our or maintain our home loan yields as well. But obviously, the market is very competitive and sort of downward facing in terms of rates. So that is the reason for that. The second question was -- is that -- I didn't get you. You were saying that it has been -- the growth has been surprising? No, I didn't catch that. BFSI growth you said .

Mahrukh Adajania :
No, in general, so not too many results have come, but there has been banking business updates. And all of them have reported better than -- most of them have reported better -than-expected growth. So there is a growth surprise in the BFSI segment. Do you s ee it sustaining is my question ?

Sudipta Roy:
Yes, Mahrukh. I see it sustaining. Obviously, you see, if you see the last 18 months the regulator had been extremely cautious on growth and the regulator had been pressing the brakes on growth for quite some time. However, I think the sort of the asset qu ality clouds, which were also there on many of the segments, like personal loans, microfinance, has reasonably resolved. And that is why you can see that some of the growth spurt is coming back.
Our microfinance business, if you see the disbursement this quarter has been Rs. 6,300 crores. The previous highest of our microfinance disbursement was in March 2024 when we crossed Rs. 2,000 crores. And this quarter, both in the month of August as well as in the month of September, we have seen -- both months, we have done Rs. 2,000 crores plus. So obviously, there is a demand in the market and there is space in the market for organizations to grow. For example, if you look at our Two-wheeler disbursement s on a Q -o-Q basis, they have grown by 12%. Our personal loans disbursement on a Q -o-Q basis has grown upwards of 100%. And primarily, that is because of our focus on our digital channels and all of them have fired in. So yes, there is a growth bias. And I would like to add to that that the numbers for this quarter really do not reflect the GST 2.0 volumes. And if I look at the trajectory in October, especially in our Two-wheeler and in our Farm business, there are an order of magnitude differen ce from what we saw in September. And I do believe this is not only for us, but this will be seen overall in the industry as consumer sentiment improves, as overall asset quality cloud lifts and as well as there's a massive push towards consumption, thanks to the GST 2.0 reforms and overal l customer sentiment improving. So, I do believe H2 FY26 for BFSI will be a very strong quarter for growth. And I expect this trend to continue in the latter part of H2 and maybe into FY27 as well . Your third question was on fees ?

Sachinn Joshi :
No. Moving up the credit risk curve.

Sudipta Roy:
Yes. So -- so see, what -- we are very, very clear. The fact is that we will do business, and I have guided on several occasions that as an organization, we want to build a cycle resilient business. Now what do you mean by cycle resilient business? Cycle r esilient business is that as and when the business moves to cycles or the economy moves to cycles, there will be crest and troughs in the credit risk sort of trajectory. You have to sort

of
box the crest and troughs in a tight narrow band, so that even whe n the cycle turns, the risk cost of your portfolio does not go beyond a particular pain threshold. And for that, you can deliver that only when you have about roughly 80% to 85% portfolio , that is the back -of-the-envelope sort of calculation that we have in what I call cycle resilient customers . So yes, obviously, as you move up the cycle, there will be a little bit of downward bias on yields, etc, because your better -quality customers will probably expect a little bit of lower rates. But again, there are ways of balancing that. Customers on digit al delivery channels tend to be a little less rate agnostic than

customers on physical delivery channels. So overall, obviously, it's a continuous op timization exercise. And I'm quite happy to note that our teams have been sort of faring quite well on this. And on back of the implementation of Cyclops, it also helps us fine price the segments. That means if I have a couple of segments, I am able to pinpoint the risk cost that would arise out of the segment and price it accordingly. So that the risk -adjusted yield that is expected of us operates in a tight trajectory, and the credit cost also operates in a tight trajectory.
So, this is the philosophy going forward. And this is something that as we gain experience more through Cyclops, Cyclops has been in operation for about 18 months -- about 14 months now, 14 -15 months now . As we gain more experience, the science will become far, far more sharper and will help us maintain a very, very tight trajectory going forward .

Sachinn Joshi :
I'll just add -- part of just to add, you know, as part of this strategy, in fact, just to bring the pressure down on our dependence only on the rural business finance, we have acquired gold loan business, and that will be one of the key thrust areas becau se that's a secured book and reasonably good yields. So , we would like to try and balance out. Your question was also on the housing piece, whether it will be -- whether we are soft peddling that. But the fact is that housing book being secured, it's absol utely necessary to be a part of your balance sheet. But at the same time, you cannot accelerate the growth to a level where your NIM plus fee starts getting impacted. So, it will surely be a significant part of the book. It is a significant part, but it has to be supported well by a mix of both secured as well as unsecured books, reasonably high -yielding portfolio so that we have -- we are in a position to give decent R oAs and R oEs that we have targeted for .

Mahrukh Adajania :
Okay. Thank you so much. Thanks a lot .

Moderator :
Thank you. The next question comes from the line of Kunal Shah from Citigroup .

Kunal Shah :
Yes. Congratulations for a good set of numbers. Firstly, maybe in terms of the credit cost trajectory. So earlier also, you had indicated that by end of FY26, we would be closer to 2.3% to 2.5% -odd. And this would be without, I would believe, now the utili zation of the buffer. But as you indicated like the larger part of the benefit of all these

investments on the credit underwriting side will reflect in FY27, how should we eventually look at the normalized credit cost over the medium term .

Sudipta Roy :
Thanks, Kunal. What we would like as an organization to aim for a 2% credit cost trajectory. That is what we would aim, aim for a 2% credit cost trajectory. So over the medium term, the numbers will tend towards that. Obviously, on a Rs. 1 lakh crores book with what I call a number of high -velocity businesses like Two-Wheeler , microfinance and some of the clima

te -dependent businesses, on which we literally, as an organization, have no control, like
farm business, etc . This have a little bit of cyclicality i n this. So though, our objective through our credit models is to take out the cyclicality as much as possible, but we do believe that over the near -term, that means in FY27, we'll trend closer to that 2% target. It's very difficult for me to put my finger on and s ay which quarter we will hit that. But directionally, you will see the movement. You will see directionally see the movement. We are already seeing the movement through the early indicators of our Cyclops underwritten portfolio. And as you can see, the three businesses, three, I would call the high -velocity businesses, like Two-Wheeler , Farm as well as now in SME, they are already under Cyclops. We're implementing personal loans this quarter. Over the next quarter and probably the first half of FY27, we'll see the implementation in home loans, loan against property as well as rural busines s finance. So overall, I do believe that through those interventions and through the automated portfolio monitoring that we have, which allow us to see risks much earlier, then it becomes apparent . So, we should be able to trend closer to that 2% risk cost trajectory .

Kunal Shah :
Yes. And you shared the numbers with respect to bounce rates in Two-Wheeler and net non -starters in Farm equipment. But if we want to understand maybe how the credit cost behavior in these two particular segments have been. We have earlier indicated, by September, we should see it picking out and thereafter second half should see a much better improvement out on those front. So, if you can highlight maybe apart from those early indicators, how is the credit cost in these two segments? Where is it settling? And for 2% number, what are we

expecting these two segments to contribute in terms of the overall credit cost, yes ?

Sudipta Roy :
Kunal, probably going into a couple of, sort of data points over the call might -- this call might be difficult, but I would urge you to attend our Investor Digital Day, where we will give the investors a flavor of this . So, we will try to give some granular flavor of this, which I believe will paint a much more coherent picture than me giving some numbers on the call, which might not give the full picture. So, I would request you that the answers to this will be provided on the 6th of November 2025 in our Investor Digital Day .

Kunal Shah :
Sure. And if one last question, I can squeeze in. So, particularly on the growth, like again, LAP, SME, consumer loans, everything is growing quite significantly. So do we see this scale up continuing? Are we confident with respect to overall personal loan s, SME and LAP given maybe there are maybe tariff concerns out there, personal loans, not very sure if it is -- maybe most of them are indicating it is stabilizing and improving. But what is the scale up and what is the proportion which we can take in th ese three particular portfolios ?

Sudipta Roy :
See, again, this is what I would say is that we will have risk calibrated growth . So, the fact is that you have to understand that -- what we have originally guided , we have originally guided is that AUM growth rate between 20% to 25%. This is what we have guided . So again, at times, there are gaps in the market when everything is

benign, you might -- and you can have a little bit of higher trajectory of growth. However, our growth is, as we have said in many occasions that, we are a risk -first technology - first company . And the fact is that our growth appetite is tempered by the indications o

f market risk or emerging risk that we continuously see. So as of now,
we see good growth potential ahead, and we are reasonably confident, thanks to Cyclops sort of tapping that growth, without letting any risk hotspots developing in our portfo lio. So back of GST 2.0, we see a good spurt in farm business, tractors. We see a good spurt in Two-Wheelers . But again, when we are participating in that spurt, we are very, very clear that we only take that segment of customers that matches our risk profile. Now if that gives us a 20% growth, so be it. If that gives us a 25% growth, so be it . But the fact is that -- so please understand. Here we are not chasing any particular growth number . What we are chasing is risk calibrated growth. Now if the risk ca librated growth makes us hit a particular number, that is the number that we'll report to the market .
So -- but given the fact that we are seeing good customer sentiment, good consumption sentiment and the GST 2.0, especially in the wheel segment pushing disbursements. And it's not only about GST 2.0, for example personal loans. Personal loans, our digital channels have fired really well because the fact is that the extensive model building that we do with each of these partners, with a particular risk cost in mind, help us sort of catch a customer of a particular credit profile. And given the fact that if this digital channels start firing -- because you have to understand that in acquisition, the digital channels, if properly delivered -- if they properly deliver the customer experience, is the least frictionless way of acquisition. And sometimes if the ch annels are operating at their full stack efficiency, your growth can be very, very high without compromising on risk.
So, overall, it's a -- many factors are here at play. We -- but again, I would like to send the message that we are not chasing any headline growth number. We have guided for an AUM growth for the full year between 20% to 25%. We are confident that we'll h it that. But given if there are gaps in the market, if there are benign spots in the market, if there are markets where risk -calibrated growth is strong, we will not shy away from participating in that .

Kunal Shah :
Sure. Got it. Thanks. Thanks and all the best.

Moderator :
Thank you. The next question comes from the line of Kaitav Shah from Anand Rathi .

Kaitav Shah :
Yes, sir. Congratulations on your -- on a good set of numbers. Sir, if you can share about when you started the journey and as of today, some technological changes that have happened and which you would like to highlight Digital Day coming up, but just for our understanding couple of highlighted points that, you know, you would like to -- that stand out for you, that would be great for us .

Sudipta Roy :
See, I think the biggest sort of change has been our underwriting through our Cyclops underwriting engine. So it is pretty state -of-the- art, already in Version 3. And I'll be very, very honest, when we started building it , and we

will give double clicks on some of the results during our Digital Day , when we started building it, we probably did not anticipate the impact of that on some of these high -frequency portfolios so quick . So, some of the results came in very thick and fast and which helped us also o ptimize that channel also very, very fast, and has given the -- actually the confidence to scale up our volumes as well in this festive period. So, that has been really a transformative initiative. And it's not that it has -- it is delivering result only in the Two-Wheeler business. It is delivering in Farm. It -- SME has gone live. We are seeing the leading indicators in SME also within 2 months, in terms of reduced net non -starter numbers . So -- and I'm 100% certain that it will give the benefit in person al loans as well and SME and MFI and mortgage as it goes -- gets implemented in those going forward.

The next tool, which is Nostradamus, which is our automated portfolio management engine. Again, I do believe that it is something the market is probably not fully aware of what has been built, and we will take the covers o ff it during our Digital Day. So, you will see sort of the beta version of it during the Digital Day, and we'll be demoing it as well. So that has been another significant achievement.
The introduction of our copilots for underwriting, especially the GenAI -based SME copilot, wherein a file which used to previously take about anywhere between 3 to 4 hours to underwrite is currently being underwritten in sub - 30 minutes . And to the extent that the SME copilot also tells the underwriter for the PD questions. It also -- so it sort of indicates. So, that has been quite -- and it's a new rollout that has happened. It went live about a couple of days back. That has been -- and overall, the stabil ization of the core engineering platform, the movement of omni platform sales force for all our lines of business, barring microfinance as of now. And also, for example, our PLANET app. Our PLANET app in terms of servicing has been extremely transformative . A large amount of our servicing and sort of cross -sell and acquisition is now carried through our PLANET app. I'm not so sure whether all of you are aware that our PLANET app got awarded the Best Digital Finance Experience Application in FY25 in India in the Global Fintech Fest. We have spent quite a lot of time, effort and energy in sort of building PLANET to absolutely global standards in terms of user experience and user interface. So that was a vindication of that in receiving that during the Global Fintech Fest. And this is not the stop. The fact is that our GenAI -based collection sort of initiatives, including our entire collections calling through voice bots has sort of matured over the last 2 to 3 months, and we expect to scale it up much further a nd deploy it in customer service as well as in collections with even more frequency across all our lines of business. So overall, I think for us, technology is moving forward on all facets, in credit underwriting, in acquisition, in customer servicing, in collections as well as simplifying the operating processes within the organization as well.
So, as I said, the philosophy of being technology -first is taken very seriously by people in the organization right now. And as an organization, we are focused on lifting the tech DNA of the entire organization. So in a way, I think over the last 24 months, this transformation has gone out quite well .

Moderator :
The next question comes from the line of Avinash Singh from Emkay Global Financial Services Limited .

Avinash Singh :
A couple of questions. First one is on operating expenses. So there is kind of a material improvement there. Also, if you can sort of guide, I mean, going ahead, once things sort of normalized, you have kind of a different way of -- I mean, like your digital sourcing picks up and all kind of things happens. Where is the kind of a steady state probably this opex to AUM will look likely in FY27? I just wanted to know the sustenance of this kind of improvement. And the second, the 2% credit cost guidance you a re referring to over medium term, is that kind of assuming some changes to your product mix or is it largely based on the current product mix which you have and with all these -- kind of your Cyclops eventually going to all the product lines, and that lead ing to the improvement ?

Sachinn Joshi :
Thanks, Avinash, for your question. Firstly, let me address the operating expenses related question. The opex, if you recall, we hav

e guided that our opex plus credit cost, which started off as a 7% kind of thing. Slowly and steadily, you would have seen t hat it has been coming down. It was actually 4% opex, plus 3% credit cost. Credit cost, you've already seen that we actually guided it down to around 2.3% to 2.5%.
The operating expenses, there are 2 components to it. One is the business -as-usual expenses, and the other is the investments that we have been making. You see quarter -on-quarter some changes happening in terms of percentages, more to do with the investmen ts which have been -- which don't happen absolutely on a week -to-week or a month -to-month basis. We have been investing in setting up branches. Last quarter, we have actually set up 84 rural LAP branches. We have also set up meeting centers, about over 150 meeting centers. We have also acquired the gold loan business. So that has also impacted in terms of the incremental opex plus the goodwill

that was paid -- the premium that was paid to acquire that business. So , all these are components which go in. And then, of course, the investments in technology. Sudipta spoke about how we have been investing in building up Cyclops, Nostradamus and all. So I think it's a mixed bag. We will continue to be in this growth phase for at least next 15 to 18 months minim um. So , there will be investment s because we have to ensure that the future remains intact in terms of building up top line.
The businesses which we built now, especially the last 2 to 3 years, we have built up on SME, micro LAP, personal loans and now we have acquired gold loans. So there will be investments in continuing to build on these businesses plus expansion that we take up for these businesses we'll need some -- both operating expenses as well as capital expenditure.
So, the range now will surely come down from 4% to -- 4% plus 3% to somewhere around -- 7% will come down to about 6.5% and then to 6%. So as these investments stop, you will see this -- directionally, the operating expenses coming even below 4%. But I think there is some time for it because it's very easy to bring down that cost, but then we have to keep the future in mind.
On the credit cost piece and the R oA targets that we have talked about, yes, the key businesses we are already into. We will be starting to work on our Lakshya 2031 plan shortly. We should be done with it , with the Board approvals by April next year. And we would perhaps at that point of time come up with some new businesses. But what we talk about at this point, a significant part of the R oA tree that we spoke about would be -- is a construct based on the current businesses that have enough potential to grow. I hope I have answered your question .

Avinash Singh :
Yes. Very clearly. So that 7% going to eventually 6.5%, eventually to 6%, so probably are you looking like the 6% kind of a thing in FY27 or beyond ?

Sachinn Joshi :
Yes, FY27, it's quite possible. Like I said, as of now, there is some visibility on what investments we want to make, right? But as we move into the next year, we will -- if we take a call on introducing some business, then yes, there will be investments required . So rather than going by the percentages, I would suggest that we need to look at where the investments are going in and whether they are going to help us in terms of maintaining the R oA, RoE trajectory and then building on it .

Sudipta Roy :
See, one of the things that we have to understand here is that a large proportion of the cost profile of an NBFC also is collections costs . And the fact is that as the credit clears and as the portfolio quality improves, you see a

,
pari-passu, dip in collections costs. So , what happens is that it's a multiplier impact. Your credit cost reduces, your collections cost also reduces. And the speed at which that your credit cost reduces, pari -passu, your collections cost will also reduce at the same speed . So in -- what we expect is that over the medium term, as our portfolio credit cost comes down, you will see a release in the credit cost as well -- collections cost as well. And this too will overall push us to -- as Sachinn guided, from that 7% to a 6% traject ory. And we do believe that achieving that somewhere during FY27 is possible. But again, it is contingent on how the market behaves, what is the environmental condition at that point in time, is there a long tail risk, which we do not know right now develo ps. So, it is too early to comment on this. But I do believe that we should see it sooner than later .

Moderat or:
The next question comes from the line of Bhavik Dave from Nippon Mutual Fund .

Bhavik Dave :
Sorry if I am repeating my question because I was out of the call for the first 30 minutes .

Moderator :
Bhavik, I am sorry to interrupt you. There is too much of background noise .

Bhavik Dave :

Okay. So , two questions. One is on the consumer busines s. Just wanted to understand when we scale it up in terms of disbursement, what is a commensurate cost? Because when I look at your cost line item, that's dipping down. And incremental growth is coming from consumers, where I believe that the payouts are rea sonable in terms of originating the business by via partners? So , I just want to understand how is that chugging along, and the growth is higher there, and the costs are inching down? That's one.
And second question is on, again, on the Stage 2 provisioning. What would be the exit for the Stage 2 provisioning coming down quarter -on-quarter? And declining trend, is it because of the better outcome that we're seeing on Cyclops underwriting or is it -- what is the story there will be interesting to hear that ?

Sachinn Joshi :
Yes. Bhavik, the first question with regard to the personal loans business. So , the Personal Loan business, as Sudipta mentioned, this quarter, almost 40% of the disbursements have happened through the financial partnerships that we have tied up. The commercials on that are different for each partner. But very clearly, the commercials are much lower than the normal DSA costs, which otherwise are incurred. So , you will see that the cost of doing this business are much lower as well as the fact that the funnel -- the customers that come through this funnel are much more -- are much better in terms of qual ity because they are more salaried, prime kind of customers, more bank -like.
Number two, the Stage 2 provisioning that you talked about. Stage 2 provisioning, Stage 1 and 2 had the macro prudential provision sitting over there. And as we have been utilizing the cover from Stage 1 and 2 has been going down. So , it's just arithmetic .

Bhavik Dave :
Perfect. Just one clarification on the previous answer is, on the cost that we incur on acquiring these loans and consumers, that is all cap ex -- that is all expensed out in the quarter itself and would have to pay 1%. .

Sudipta Roy :
Yes. So , I'd like to add to what Sachinn said. What we do is that typically -- typically on digital channels, you tend to get a little bit of higher realization than you would get from the same customer on a physical channel . For example, if the customer is willing to give you a 13% rate of interest -- agree to a 13% rate of interest on a physical channel. The same customer when delivered digita

lly, probably will agree to 14% -14.5%, primarily because the
speed of delivery is much, much higher to the custome r. So, generally on digital channels, you tend to have a little bit higher realization.
And the second thing is that the digital channels are, I would say -- there are -- if you look at expenses of channels, your DSA channel or direct sales channel is the most expensive channel, followed by the digital channel, which is the partnership channe ls. Organic digital channels are actually the most expensive, where you generate organic leads from Google or from Facebook, etc. But the direct partnership channels are in the middle cost level, which means that they are cheaper than the DSA. And obviousl y, the quality that comes along with it primarily because of the various data exercise and the consumption of trust signals from some of these partners, quality is an order of magnitude different .
So, from a P&L standpoint, risk adjustment standpoint, the cohorts are far more better than probably even the DSA cohorts. And the last channel is obviously, which you originate on your own is the cheapest -- is your own cross -sell base, or your own pre-approved base. So , these are the 3 sort of cohorts through which you acquire

customers. Again, for us, it's very important to maintain a fine balance between both because we would also not like to maintain a concentration of origination in one channel. We would like to distribute the origination across a couple of channels . So that's why you will find us operating in the DSA channel, you will find us operating in the digital channel as well as you'll find us operating in our own channel as well as our preapproved channel. But overall, the objective for all of us is to make su re that the origination cost is as low as possible and obviously, again, with an eye on quality .

Moderator :
We take the next question from the line of Prithviraj Patil from Investec .

Prithviraj Patil :
Yes. So , my one question is on the MFI part. So , if I look at the 0 DPD collection efficiency that's been mentioned, it's largely in line with what was the last quarter -- last couple of months. It's at 99.5%. So , do we expect this to be the new normal in the MFI lending space or is it supposed to get better from here? Like if you could just throw some light on how to look at this ?

Sudipta Roy :
So, you see the 0 DPD collection efficiency, obviously, is at 99.5%, but there is some improvement over what it was last quarter .

Sachinn Joshi :
99.35%.

Sudipta Roy :
Can I have the last -- 99.35%, right? So , the 0 DPD collection efficiency for pan -India was 99.35% at the end of last quarter. It is about 99.5%. So there has been a 15 basis points improvement over the last 3 months period. See, again, we are improving slowly in this . So, the pace of improvement will probably slow down going forward. But again, a large discriminant on this was Karnataka on which we have given the data on Karnataka during the call, where Karnataka, we have seen a significant improvement over the last quarter. Over the last quarter in Karnataka, we have moved from about 98.18% to 99.06%, and we ended September with 99.18%. This is available in Slide 38 of our investor presentation.
We expect this to move further. Over a period of time, which is as we -- between Q3 and Q4, we'll move to about 99.6% -- we hope we'll move to about 99.6%. However, I know we have to see how it pans out in the market. And -- but yes, to answer your questio n, there will be an upward bias to this particular number. But the climb up from this particular level will be slow .

Prithviraj Patil :
Okay

. And if I can just ask another question on the cost of funds ?

Sudipta Roy :
Yes.

Sachinn Joshi :
Yes.

Prithviraj Patil :
So, the cost of funds has come down dramatically. So , I just wanted to know what is the reason behind that. Because if we look at the fixed floating split that you have given for the one -year gap, the assets -- the repricing assets are higher than the liabilities. I just wanted to know why the cost of funds have come down .

Sachinn Joshi:
So, a couple of reasons. We had actually gone for some ECB borrowings in fag end of Q1, but the drawdowns and all have happened in tranches. Those have come in at better rates. There have been -- you would have seen the overall mix where we have the direct ba nk loans PSL and bank loans non -PSL. There are loans which actually come up for -- which are linked to, I would say, either the T -bills or a variable rate, which leads to reduction. Number three is the commercial paper rate, the short -term rate. We just made a mention of the fact that gold loan business has also picked up. So , our ability to actually -- the ALM permits us to have more short -term assets and correspondingly short -term liabilities in the one -year bucket, which enables us in also taking advantage of the short -term rates.
So, it's a mixed bag and add to it, the liquidity that has to be kept. RBI has been keeping enough liquidity in the system of about Rs. 1.5 trillion to Rs. 2 trillion on an ongoing basis. That also ensures that we don't have to keep liquidity the way we otherwise keep when situation -- external situation is a bit tense. So , it's a mix of all these things, which has actually resulted in a reduction in the overall weighted average cost .

Moderator :
The next question comes from the line of Shreepal Doshi from Equirus .

Shreepal Doshi :
Hi, sir. Congrats on a good set of numbers. My question was on personal loans again. So , in that, what is the customer profile that we're targeting, the CIBIL benchmark and also the pricing that we have at a blended level for that segment? And just h arping on the channel partners. So , what are the typical payouts there for DSA and for the online channel ?

Sudipta Roy :

So, our focus on personal loans is pure salaried customers . That is our focus area . So, we want to build a portfolio that is 80%, 85% salaried, on the Personal Loan side. So , when we -- for example, if you look at our DSA channel, we do not source customers who are non -salaried . So similarly, on our digital channels, the focus is on acquiring salaried customers. So that's from a customer segment point of view. You can say the average pricing of our Personal Loans product, it varies by channel, but it -- the average pricing varies between 15.5% to 16.5%. So , this is the average pricing of our personal loans portfolio.
And in terms of payouts, the DSA channel typically has a payout of 3%, which is not known -- which is now known widely in the market. But the fact is that for digital channels with every digital partner, we have a different arrangement . So, there are some partners who operate on a low origination fee and a share of profits for portfolio breakeven. So , there are varying models that you have. So , it will be very difficult for me to paint in one particular sort of blend .

Shreepal Doshi :
Okay. So then 15.5% to 16% is a blend -- is a yield bracket. So , then what is the CIBIL benchmark that we have for these customers? And also, so 27% of these customers are existing customers wherein you're doing cross -sell, I guess. So , these -- so that -- so what would be the original, or let's say, the base case product that

these
guys would have taken from us ?

Sudipta Roy :
Yes. The base case -- the cross -sell customers are mostly seasoned vintage Two-Wheeler customers. So , majority of our cross -sell comes from season vintage Two-Wheeler customers. And if you would want to know what is the average, CIBIL benchmark score would be 750 plus is what we would be targeting for most of the customers . And again, if a customer has a much higher score, probably they will get a little bit of risk -adjusted rate. But average would be about CIBIL 750 plus .

Moderator:
The next question comes from the line of Chintan Shah from ICICI Securities .

Chintan Shah :
Yes. Thank you for the opportunity and congratulations on the performance, steady -state performance. So firstly, just h arping on the credit cost part again. So , we believe probably it could be around 2 -percentage odd by -- over the medium -term. What -- so how are we looking at the portfolio mix over the medium -term, say, by FY27 and given that now, MFI, we already have the guardrails and so it would be a slow mov ing portfolio for us. So , what would be the typical other portfolios which will be growing at a faster pace? And how would that compensate for the yield part? Yes, that's the first question .

Sudipta Roy :
Over a period in time, we want to move to a secured -unsecured profile of about 65 -35, over a period of time. But currently, we are -- our first port of call would be -- about a 60 -40 level would be our first port of call. So Gold Loans that we acquired, obviously, is a secured high -yield portfolio. As you heard earlier in the call that we'll be doing 200 more branches during this period in time. So, we will be sort of deploying th ese 200 branches in the latter part of the year . And then obviously, we have our sort of m atrices into high risk, medium risk and low risk. So overall, the way we look at the portfolio is that Gold Loans will continue to grow. Gold loans is a fully secured high ROA, low -risk product, is actually probably the lowest risk product as of now . Then you have mortgage. But mortgage, again, we will balance the growth on mortgage primarily because of the downward rate considerations that we have.
Personal loans, the one we originate -- Personal Loans , obviously, we will originate in a risk -calibrated fashion. MFI, I believe that the geographies that we are expanding, we'll see reasonable growth. I think on a steady -state basis, 15% growth on a year -on-year basis on MFI is still possible . I'm not advocating that MFI should grow at 15%, at a 25%, 30% level as we saw in the previous two years. But I do believe that a 15% growth rate on MFI is a safe speed to grow.
SME, if you see post implementation of Project Cyclops, we are very, very confident of our credit paradigm in SME. So SME business, especially the prime SME business is what we will continue to grow. And Two Wheeler gives us a lot of confidence right now, given the leading indicators from Project Cyclops are fully visible to us and we know that the signs of acquiring risk -calibrated prime customers is working. We will continue to accelerate that. And on the Two Wheeler business, the Two Wheeler business has been tasked within those paradigms to take the rates up northwards by giving -- delivering a much better experience to customers . And so -- and on the tractor business also, we are seeing a lot of credit efficiencies, a lot of collections cost efficiencies. And given the

fact that we have healthy reservoir levels, we have good GST 2.0 benefits where the headline GST on tractors have been slashed from 18% to 5% . I do believe that this segment will see v

ery good growth rate in H2 and even
going forward into FY27 as well .
So overall, all these -- all categories of our businesses will continue the strong growth trajectory upwards. And as I said earlier in a question, the focus on maintaining the sort of the yields on all these businesses is very, very strong, and we'll try t o maintain that .

Chintan Shah:
Sure. And just one last thing from my end. I think you had earlier guided for around 2.8% exit R oA by Q4FY27. So, this is -- this still holds, right? And does this include any benefit from the SR recoveries ?

Sudipta Roy :
No. See, the 2.8% to 3% R oA that we have said that we expect to hit somewhere around exit FY27 is without factoring in any SR benefits. It is on an organic basis .

Moderator :
The next question comes from the line of Shweta from Elara Capital .

Shweta Daptardar:
Congratulations on good set of numbers. Sir, I just have one question. Given the fact that we have implemented Project Cyclops now on the MSME financing verticals as well, sir, can you substantiate or quantify in terms of demonstration of improvement in asset quality parameters, say, bounce rate reductions, etcetera? And any headwinds do you still see persisting in MSME portfolio? And how overall trends are stacking up in the industry? That's my one question .

Sudipta Roy:
Thanks, Shweta. The SME business, Project Cyclops full implementation has happened only 45 days back. There has been a smaller sort of -- and when you implement this, we go in a graded fashion. We take a small portfolio. We implement it. And then over a period of time, over, which is 3 -4 months ’ time, we sort of flip the entire portfolio into Project Cyclops. So, the leading indicators of bounce rates, etcetera, on the SME portfolio, SME underwritten Project Cyclops portfolio, Project Cyclops underwritten p ortfolio is encouraging. But I would say it is too early for me to give any indications that it is working well. Probably by the time we move into the Digital Day on the 6th of November, we'll have some early reads. So , on the 6th of November, probably we'll be able to answer this question of you with a far greater degree of confidence than immediately that whether there is a meaningful difference. We have seen a small cohort. There is a meaningful difference in a small cohort. But by 6th of November, we pr obably will see a full month of underwriting coming through. So probably we'll be able to give more nuanced details there. So -- and overall on the SME segment, yes, we saw some risk develop on the outside margin, especially on SME ticket sizes of Rs. 25 lakhs and below. But if you see our average ticket size on SME is between the range of Rs. 65 lakhs to Rs. 70 lakh s -- sorry, Rs. 29 lakhs, sorry. Yes, Rs. 29 lakhs. So , we operate on the -- in the UBL, especially, we operate on the higher end of the spectrum. And we saw some of this risk on the margin developing almost 6 months back. And we acted at that particular point in ti me and tightened our guard. So as of now, we see dissipation of some of those initial risk indicators that we had seen. And after Project Cyclops has got implemented, we are pretty confident of the risk trajectory going forward .

Moderator :
We take the next question from the line of Abhijit Tibrewal from Motilal Oswal Financial Services Limited .

Abhijit Tibrewal :
So just trying to understand this, like in the previous few participants, you gave a very detailed commentary on how we are looking at growth across our different segments. If you could also cover what are the asset quality trends, again, qualitatively, in the various product segmen

ts where we are...

INTERNAL
Moderator :
Abhijit, I do apologize to interrupt you there. Your voice is not audible .

Sachinn Joshi:
We can't hear you.

Moderator :
Abhijit, we do apologize to interrupt you there. Sir, Abhijit has left the call and the question queue. Ladies and gentlemen, we take that as the last question and conclude the question -and-answer session. I now hand the conference over to Mr. Sudipta Roy for his closing comments .

Sudipta Roy:
Thank you. Thank you for joining us on the call. I -- before I close, I would like to invite all of you for our Digital Investor Day on the 6th of November. The invites of that will be going out shortly from our Investor Relations team. On the 7th of Novem ber also, we have RAISE, which is our AI conference, which is organized by L&T Finance. And this year, we have got a marquee lineup of speakers. And this is going to be bigger and better than last year. And we have Pitch Point this year, which is the AI st art-up competition, as well. All the details and the agenda is available on www. ltfraise.com.
All our investors will be auto registered for RAISE as well . And we will be happy if you can share part of the time out of your busy schedules with us on 7th of November as well, where in the demo section, we'll be showcasing some of our sort of tech developments as well, which are in live -- in production.
This quarter obviously has been the quarter in which we continue our normalization trend towards some of the business lines which had seen some headwinds in the previous couple of quarters. On the back of GST 2.0 and on the back of the good monsoons, I thi nk we're going to see very good consumer sentiments in H2, which will lead to greater offtake of products and services and which will obviously boil down into better credit demand. And we are hopeful as an organization, we'll be able to participate in that in a calibrated fashion.
I wish all of you and all of your families a very happy Diwali and best wishes for the festive season ahead. Thank you so much, and I look forward to meeting many of you on the 6th of November at our Digital Investor Day. Thank you so much.

Moderator :
Thank you. On behalf of L&T Finance Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines .

*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies ,
repet itions in Q &A which would have unintentionally crept in, if an y

Call: Nov 2025

INTERNAL November 13, 2025

National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051. BSE Limited
Corporate Relations Department,
1st Floor, New Trading Ring,
P. J. Towers, Dalal Street,
Mumbai - 400 001.

Symbol: LTF Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of Investor Digital Day

Dear Sir / Madam,

Further to our letters dated October 16, 2025, and pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Digital Day held on November 6, 2025.

The above information is also available on the website of the Company i.e., https://www.ltfinance.com/investors .

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Limited
(formerly known as L&T Finance Holdings Limited)

Apurva Rathod
Company Secretary and Compliance Officer

Encl: As above

L&T Finance Ltd.
Investor Digital Day Transcript
November 06, 202 5

Management Personnel (present):
Mr. Sudipta Roy (Managing Director & Chief Executive Officer)
Mr. Sachinn Joshi (Chief Financial Officer)
Mr. Raju Dodti (Chief Operating Officer)
Mr. Ramesh Aithal (Chief Digital Officer)
Dr. Debarag Banerjee (Chief AI & Data Officer)
Ms. Sonia Krishnankutty (Chief Executive – Rural Business Finance)
Mr. Asheesh Goel (Chief Executive – Farmer Finance)
Mr. Jinesh Shah (Chief Executive – Urban Secured Assets & Third -Party Products)
Mr. Manish Kumar Gupta (Chief Executive – Urban Unsecured Assets, Payments & Partnerships)
Mr. Abhishek Sharma (Chief Executive – SME Finance)
Ms. Kavita Jagtiani (Chief Marketing Officer)
Mr. Karthik Narayanan (Head – Investor Relations)

Karthik Narayanan :
I welcome you all to the L&T Finance Investor Digital Day 2025. The L&T Finance Investor Digital Day coincides with the flagship premier AI and Tech conference RAISE 2025 being held tomorrow.
We have with us today our Managing Director and CEO, Mr. Sudipta Roy and other senior management members. The agenda and flow of the L&T Finance Investor Digital Day is as follows: it starts with a presentation by our Managing Director and CEO, Mr. Sudipta Roy, delving on his tech vision and execution roadmap at play in L&T Finance. This is also followed by a presentation on the digital architecture roadmap implemented by our Chief Digital Officer, Mr. Ramesh Aithal. Following that, you will have a presenta tion on the deep dive of Project Cyclops and Project Nostradamus , our proprietary AI -based underwriting and portfolio management engine and other AI use cases in L&T Finance by our Chief AI and Data Officer, Dr. Debarag Banerjee. This will be followed by presentations on digital use cases along with business updates by our Ch ief Executives: Ms. Sonia Krishnankutty, Chief Executive, Rural Business Finance, Mr. Asheesh Goel, Chief Executive, Farmer Finance; Mr. Jinesh Shah, Chief Executive, Urban Secured Assets and Third Party Products; Mr. Manish Gupta, Chief Executive, Urban Unsecured Assets, Payments and Partnerships, Mr. Abhishek Sharma, Chief Executive, SME Finance. Following tha

t, the last set of presentations will be by our Chief Operating Officer, Mr. Raju Dodti, providing the go -forward strategy of our new product, Gold Finance. The wrap -up to this august event will be with a presentation by our Chief Marketing Of ficer, Ms. Kavita Jagtiani, shedding light on our branding and marketing strategy. The session will then culminate with a detailed Q&A anchored by Mr. Sud ipta Roy, our MD and CEO, and Mr. Sachinn Joshi, our CFO.
So, before we proceed, as a standard disclaimer, no unpublished, price -sensitive information will be shared during the presentation and ensuing discussions. Only publicly available documents will be referred to, for discussions during this meet, while all eff orts will be made to ensure that no unpublished, price -sensitive information will be shared. However, in case of any inadvertent disclosure, the same would in any case form part of this meet. Further, some of the statements made on today's meet may be forward -looking in nature. A note to this effect is provided in the presentation uploaded on the exchanges just around half an hour back. Also, before we begin, we request you all to kindly, put y our mobile phones on silent mode.
I would now like to invite Mr. Sudipta Roy, our MD and CEO, to please come on stage and provide us with a detailed perspective on his vision for L&T Finance. Thank you. Over to you, sir .

Sudipta Roy :
Good evening, everyone. And thank you all for taking time from your busy schedules to join us today evening. For those who are joining us for the second time, we did the Investor Digital Day for the first time last year. Welcome back. And those who are joi ning us for the first time, we hope that the next couple of hours will give you a deep dive into our tech initiatives and our growth and execution plan for the next couple of quarters.

Now, there is a quote loosely attributed to Lenin, where he said that, there are decades in which nothing happens and there are weeks during which decades happen. If you look at the geopolitics, that has sort of been stressed on us this year. You know, it' s almost like decades have happened in weeks, as well as if you look at the tech space, the speed at which things have been moving in the tech space have been quite blinding, with new models being introduced with every passing week. And in fact, I don't kn ow whether you caught the news, an Indian LLM -- a Voice -AI based LLM broke into number 4 rankings, a startup out of Bangalore, and it was published yesterday only, so Indian startups are also catching up.

That's a little about me. But if you were to ask ourselves, what did we achieve since the last time we met? We met in November last year on the backdrop of RAISE 24. Tomorrow, we have RAISE 25, the second edition of our flagship AI Summit. We have done a lot of things, but I'll focus on four most important sort of achievements. I think we have accelerated our core business and added new growth engines. Last year, to this very time last year, the microfinance industry was going through an asset quality issue, the entire industry. But I'm happy to report that -- that is a passing p hase, and the industry has more or less resumed its journey on coming back to

normalcy. And you will see that our Rural Business Finance disbursements in the month of October at about Rs. 2,160 crores, a 42% jump over what we did in October -24. Our overall disbursements, we did our highest monthly disbursements in October -25 and crossed Rs. 8,000 crores for the first time, obviously, on the backdrop of the huge consumer demand that we saw, especially in the wheel segment driven by the GST 2.0 Reforms. Our Urban Finance vertical clocked a 49% growth on an year -on-year basis in terms o f disbursements and this was largely led by our Two-Wheeler and our Personal Loans business, with Two-Wheeler crossing almost Rs. 1,600 crores disbursement for the first time. Our Farmer Finance, again, the Tractor business also had a push from the GST 2.0 Reforms and clocked a 21% growth rate. And SME Finance, after some re -calibration, has resumed its growth path at about 17%. Our Gold Loan business, obviously, is a new line of business and it has stabilized very well post-acquisition and then clocked about Rs. 457 crores of disbursements.

This is one most important thing. The last time we met, Project Cyclops , our proprietary AI -based engine, credit engine, was still in beta phase. We actually operationalized Project Cyclops for our full Two-Wheeler business in the month of January, and now it's a full -fledged machine, working now on our Two-Wheeler business, on our Tractor business, as well as our SME business. And it's a pretty large piece of software right now in Version 3, and our Chief AI and Data Officer will take you through all the details about it. But it's about 1 million lines of code, 55-plus algorithms, 75 + data scientists and engineers working behind it, about Latency on the various models between 50 milliseconds to 700 milliseconds, 1 million loans underwritten. And we have the performance leads for this. So Debarag, in his presentation and the individual Chief Executives in the ir presentations will give you the performance metrics of how Project Cyclops has been operating as well.

We told the market that we will bring our automated portfolio management engine, Project Nostradamus , to a beta mode in this quarter. We launched it in the month of August, and right now it's live in our Two-Wheeler business. Again, 13 -plus algorithms, about 200 -plus banking variables getting analyzed every month on an automated basis, and we have about 30 -plus engineers and data scientists supporting it. Obviously, this number will grow. And we plan to push Project Cyclops into Personal Loans in the month of November and December, and lay the ground for building it for Rural Business Finance, as well as Mortgage businesses next year.

We have scaled up the partnership of disbursements through our Large Partnerships to meaningful volumes. The last time we met, we did about Rs. 157 crores. This quarter, we did about Rs. 1,138 crores, and you can see that the string of partnerships that we have added, and we are going to add a couple of more in the next couple of months. And this number is scaling at the rate of maybe about between 7% to 10% every month. So, the numbers are scaling quite well. We are not only doing Personal Loans, but we are also doing Two-Wheeler loans, as well as Mortgages through the Large Partnerships and we do believe that the Large Partnerships help us get a large qualified pool of customers, and the trust signals that we consume from these businesses help us actually maintain significant amount of credit quality, which would otherwise not be possible, if you were to get them from the direct sales channel.

The fourth large sort of block, obviously, the acquisition of the Gold Loans business and the rationale for acquisition of the Gold Loans business was simple. Our micro -loans customers actually had borrowed Rs. 17,000 crores worth of gold loans. So, we thought that that gave us a natural potential -- cross -sell potential to tap into this customer base and build our Gold Loans business. The acquisition of the Gold Loans business has actually cut our time to scale by almost 24 months and we got 130 branches, about 700 employees, and we finished the integration in a record time of three months. In fact, we launched our first new Sampoorna Gold Branch in Ujjain on the 30th of October. The concept of Sampoorna is that we not only do Gold Loans, but we do other products as well through these branches, so that we are able to amortize the cost of the branch rollout across a couple of more business lines and we are able to sort of harness, the cross -sell potential as well. The day we launched the Sampoorna branch in U jjain, our local microfinance branch generated 30 leads for Gold Loans in one single day.

So, obviously, the thesis of feeding from the microfinance channel into the gold finance channel, obviously has some merit. And last, but not the least, we plan to deploy 200 new branches by March -26, which is we will be opening one branch every day for the rest of the year.

Some metrics, 19% year -on-year growth in AUMs with Retail Book over Rs. 1 lakh crore, Retailization at 98%, sustained R oA at 2.4%, even through difficult market circumstances, disbursement growth of 39%. We saw this earlier. Our collection efficiencies in microfinance business improved to 99.57%, especially in a holiday -dense month where we had also Chhatt in Bihar. Excluding Karnataka, our collection efficiency, Rest of India 0 DPD collection efficiency hit 99.6%. Our Chief Executive of microfinance, Sonia Krishnankutty, will cover it in more detail. Our Gold Loan acquisition business has now hit an AUM of Rs. 1,500 crores. We have a customer fra nchise of 2.7 crores, 2 million added in the last two months. And our investment in the brand building, especially with Bumrah as our Brand Ambassador, has lifted our brand association to a significantly higher level, with 32% unaided recall of our associa tion with Retail, Digital and Sustainable, which is our tagline. Obviously, as we gain scale, how has L&T Finance changed from inside? I thought we will give you a little bit of insight as to how a day in L&T Finance looks like.

Peter Drucker said that culture eats strategy for breakfast. You can make strategies, you can make large presentations, but strategy execution on ground does not happen unless you change the culture of the organization and focus the organization towards on e common goal. And one of the things that we have been trying to do within L&T Finance over the last 24 months is to build a cohesive, execution -oriented, risk -first, tech -first culture. What I thought is that I will unpeel some of the components of that c ulture change strategy and show you as to what sort of impact that we are getting onto it. Obviously, the first thing which is very, very important for us is credit culture. It's driving down to the field that, if you give out money, treat it as your own m oney, and that money has to come back with a return. And this is being sensitized right down to the field force and aided by very rigorous portfolio review processes. We have a growth orientation that has been drilled into the entire organization. The long -range planning process has helped. Everyone knows their targets, month in, month out, and it is across various dimensions also implemented through a balanced scorecard across the entire organization. We have moved the organization from a silo to a matrix structure, and the introduction of the Regional Business Head structure in the four zones actually has made sharper operations possible with faster time to market for all the decisions. And also, the focus has been on implementing a non -political and a non -hierarchical implementation mindset.

Tech mindset, this is very important for us, and we have been working to lift the tech DNA of the organization, including a very successful technology for non -technology managers. Our technology teams run workshops and these are almost workshops, 3-4 workshops a month, whe

re people from Finance, people from Compliance,
people from Internal Audit are actually taken through boot camps on technology. They are allowed made to develop apps. They are made to understand the AI tools. They are made to solve AI prob lems or write prompts properly. So, the huge focus has been put on building the tech mindset of the organization. Needless to say, the innovation mindset and the failure tolerance is gone up in the organization; where all the leaders communicate that we are a failure -tolerant organization, and this has led to a strong innovation mindset. And last but not the least, we have made a move towards a caring organization with upgrading our facilities and taking care of our women employees to the extent that you wi ll see in the next couple of slides that our diversity ratios also have started improving. In the words of our Chairman, SNS, the entire organization is now focused on one ethos, “Can do, Will do, Will get it done ”. But let's hear from some of our employees, as well as some of our partners as to what they have felt about our organization over the next, over the previous couple of quarters. How have we changed?

We will now hear from a few of our employees about their experiences with L&T Finance.

Sheetal Prabhu:
Hi everybody. I'm Sheetal Prabhu. I Head the Legal Team of Retail business at L&T Finance. In my 18 + years at L&T Finance, the last 18 months have been uniquely transformative. We have achieved remarkable growth, while remaining firmly within the regulatory guardrails. Our organization has embarked on a journey of multiple tech -driven key initiatives. This includes working with large partners to scale our disbursements, sharpening our credit decision and portfolio monitoring with Project Cyclops and Project Nostradamus , and scaling our technology and

infrastructure platform. I'm confident that with this sharp focus on building these new capabilities, we're positioned for a risk -calibrated growth with our tech and AI -enabled approach .

Kunaey Garg :
Hi, my name is K unaey Garg and I'm part of the Strategy Team and the Product Head for Gold Loans at L&T Finance. I was given the task of managing the acquisition and post -merger integration of the Gold Loan business. The integration was completed in a short span of three months, which reflects the extent of the agility and collaboration present in the L&T Finance DNA. The business has now settled over the past three months. We have aggressive growth targets which reflects the top management's investments in the business growth .

Shruti Shetty :
Hi everyone, I'm Shruti Shetty and I lead Digital Initiatives for the SME business at L&T Finance .

Balaji :
Hello, I am Balaji, the Lead Developer of the Underwriting Co -Pilot Projects. Our co -pilot is an AI -powered assistant built on Agentic architecture using MCP tools. It acts as a digital co -pilot for our credit managers automating underwriting tasks. The goal is to make the borrower data analysis faster, smarter, and more consistent .

Shruti Shetty :
In our Unsecured Business Loan segment, our credit teams often deal with lengthy bureau reports and voluminous banking data. With the underwriting co -pilot, we have been able to cut the assessment time for these activities by nearly 50% .

Anil Tyagi :
I still remember during our initial discussion with our MD and CEO Mr. Sudipta Sir, it's a credit engine which is a next generation credit engine and it is basically product agnostic and as well as it can fetch the data from multiple data sources. It has b uilt from our in -house engineering team into four to five

months. Project Cyclops is designed
for fault tolerance, scalability, resiliency, and observability.

Raj Ranjan Jaiswal :
To achieve this, we created a common set of APIs that can work with different products. This made Project Cyclops product agnostic and modular .

Mohammed Fardeen :
Project Cyclops is developed to handle high traffic and we have implemented in -house innovative solutions like asynchronous non -blocking in order to achieve a high throughput and concurrency .

Biswadev Banerjee :
Hi, my name is Biswadev Banerjee and I Head, Two-Wheeler business for L&T Finance. For last one year, we have been implemented with Project Cyclops and what we are seeing is the improved business quality, customer profile, as well as better conversion rate which is helping not only for the disbursement, as well as for the dealers in terms of their profitability .

Rahul Rai :
Hi, I am Rahul Rai, part of Project Nostradamus Development team. Project Nostradamus is helping to build a proactive data -driven portfolio monitoring approach and generate early warning signals .

Suresh :
Hi, hello, I am Suresh, heading the Two-Wheeler product team at L&T Finance. As a business user, Project Nostradamus has become our one -stop solution for portfolio monitoring. With Project Nostradamus going live, it

now provides actionable insight at micro and cluster level helping us with active portfolio monitoring and recalibration of our collection strategy .

We will now hear from a few of our partners about their experiences with L&T Finance while they talk about culture change and transformation.

Mayur Devendra Jain :
My name is Mayur Devendra Jain. I am the CEO and Managing Partner of Palladium Automotive, which is a dealership for Royal Enfield. I am very happy to say this, they have initiated a Digital AI platform called as Project Cyclops . It's a credit engine basically which helps and engage the customers to get faster loans. It is a fully digital process. It has helped the dealership as well as we have scaled up 3 times more disbursements .

Rahul Kapoor :
My name is Rahul Kapoor. I run India's largest loan distribution business by the name of Andromeda Sales and Distribution. This last one and a half years is the big jump up on the numbers on both on the HL side, on the PL side of the business and I think t his jump up on the numbers came purely, purely led by the tech initiatives undertaken at L&T Finance. What it means is the average TAT on a home loan, an average TAT on a salaried PL has come down by about I would say 60% -70%. Today I can safely say sittin g here is that, when I'm planning for next two, three years of business growth, L&T Finance is there in the top three; NBFC institutions for me .

Kunal Shah :
At CRED, we've always been focused on credit worthy users and we had the good fortune of knowing Sudipta much before he joined L&T and through his previous assignment, he had clear understanding that we focus on the right set of customers and we were fortu nate to meet him in his early weeks of joining L&T and discuss a potential partnership and commendable speed by the team that they actually got the partnership running. The partnership is thriving, we are already doing a very large volume, we expect to pro bably 5x -10x the volumes that we are working with L&T and this has been a great partnership, focused on trust, credit worthy customers, usage of technology to create the most magical experience for all our members and super excited for this partnership. I wish all of the members of L&T a lot of success going forward .

Sudipta Roy :
So, wh

at has our culture change sort of yielding to the organization? The first and foremost thing which is very important is a product mindset developed within the engineering teams which is actually helping us blitz scale our tech solutions. Our distribu tion teams have started focusing on risk calibrated granular distribution. Risk has really become, the question whether the customer I'm lending to is a credit worthy customer. Every sales guy is asking that question themselves before they lend. Adoption o f Project Cyclops by Two-Wheeler team, actually you heard the dealer say, it actually improved our market share. Our market share actually has gone up because the dealers have more confidence in the quality of underwriting and the LTVs because the loan -to-values of the customers that the customers get has gone up. So, they are funneling more and more prime customers to us. Our prime customer penetration during the Diwali period actually went up to almost 86% -87% of our total throughput.

Movement to matrix structure has made P&L ownership down visible down to the branch level. Our percolating the tech mindset down to frontline is helping in rapid tech tools adoption and productivity gains because when you roll out a tech tool, the sales ch annel actually has to adopt it because there is a lot of digital friction. Because we have been percolating tech mindset down to the frontline, the adoption is very, very fast and a complex tool like Project Cyclops adoption in the sales channel actually went like knife through butter.

The multi -product Sampoorna branches will leverage the local cross -sell potential. The process has already started and last, but not the least, initiatives in talent management to build a caring organization has resulted in an annualized attrition drop of 5% and a 30% increase in number of women colleagues.

What will it yield to? It will yield to faster rollout of product variants cutting time to market. It will help our focus on AI and tech, will allow us to leapfrog market share gain resistance. We saw the market share gain in the Two-Wheeler business after we rolled out Project Cyclops fully. Increased acquisition momentum on the existing lines of business and lower customer acquisition costs because everybody is now focused on productivity. The branch structure is actually allowing the Retail Business Heads to granularly focus on cost as well as productivity and we have a detailed Productivity Council now to look at the spots where we can improve. Lower attrition rates obviously leading to stability of talent density and longevity. Continuously improving risk cost trajectory while eliminating cyclicality because our focus on prime and prime customers are generally less sensitive customers to credit stress. We are trying to eliminate cyclicality to the largest extent possible. And obv iously all this will k ick start the flywheel for further profitable improvement as we go forward in the quarters.

What is the road ahead? Obviously, India continues to grow . India is the brightest spot in the world . And India will continue to grow and the demographic dividend of India is real. The young and the Gen Z borrower will drive credit growth. The Semi-Urban and the Rural what we call SURU in common parlance will drive credit demand driven by government push because the government really wants credit flow to happen to Semi-Urban and Rural areas. And L&T finance is uniquely placed because if you look at our distribution map, our distribution map is equally strong in Urban as well as Rural. In fact we are one of those very few NBFCs who are equally strong in Rural and Urban

and we are uniquely placed to take advantage of this. And last but not the least the government push on manufacturing , the PLI schemes and the focus on MSME will actually drive MSME contribution to overall GDP and we are very, very confident that we will take -- partake in that an d we are building focused solutions for the SME business which I will reveal a little Later.

The India stack is fully developed. I need not spend time on it, but the fact is that this is helping digitization. Really if you want to do digitization in the real sense India probably is the best place in the world apart from China to do this. What are the engines powering LTF's growth story? Obviously, depth of distribution. I spoke about distribution strength both in Rural and Urban. Data and AI. I think we are one of those organizations in the country right now who has a full data and AI practice whic h is functioning, which is rolling out products and which is rolling out results. In fact, this -- in this matter, I think we are one of the leaders in the industry right now.

Risk and controls. We have a seasoned risk policy and compliance team for risk calibrated scale up and we have added a model risk management team to ensure that the multiple models that we are using do not add to risk. Obviously, we talked about people and last but not the least our technology platforms are modular neo stack, which is in -house proprietary built , yields very, very robust performance and which Ramesh, our Chief Digital Officer will cover during his presentation.

So, what are our imperatives for the next 12 to 18 months? We will announce our Lakshya -31 goals in Q1FY27 . We will drive a 20% to 25% risk calibrated AUM growth. We will achieve an R oA in the corridor of 2.8% to 3% by Q4FY27 . We will initiate and complete the build of the service intelligence layer. As I said last year we had an acquisition intelligence layer. We had a portfolio intelligence layer. You know with Project Cyclops and Project Nostradamus more or less we have finished a large amount of the build in those layers. The service intelligence layer is built, so we'll finish the service intelligence layer. We'll build an AI -based next generation collection stack to improve collection yields and optimize collection costs and we'll drive credit costs down towards a 2% threshold. So, when we meet one year later, I'm very, very confident that we'll be able to show you significant progress on all these objectives that we are listing out here.

What is our overall goal? To be a risk first, tech first, multi -product retail financier of choice. And I think we are well on that journey to become that. Tomorrow, we have RAISE 25 which is our flagship AI conference in which, you know, we have this year lined up a stellar set of speakers. So those of you who have time tomorrow would be happy if you can join us in the RAISE 25 sessions tomorrow. We have two tracks, a plenary track and a tech track and we have speakers from all over the world coming and ta lking about the latest advancements in AI, and specifically with its applicability to BFSI. We are also going to launch a couple of things tomorrow. And what we

decided is we will give you a sneak peek on what we are about to launch tomorrow. So, we have talked about Project Nostradamus , but the fact is that we have not revealed Project Nostradamus to the world. So maybe let's have a quick look at what Project Nostradamus can do.

But that's not all. Let's give you a look as to how the Project Nostradamus strings look like.

Project Nostradamus demo is available in the demo session. The demo session will open a

fter we finish the
investor presentations. And you can have a hands -on look as to how the really the screens look like and what they can do. This is the result of hard work for all our data science teams, our technology teams, our risk teams, our credit policy teams and the entire support teams. You know, the legal, compliance, everyone together, everyone works together as a team. And that's wh y the collaboration culture has actually helped build this in a record possible time. But I'm not done yet. There's one small other thing that we want to show you which we are very, very proud of because we do believe that it's almost an industry first and we have been using it for the last 1 month with fantastic results.

So in fact we have used it for the last one month. Our SME underwriters are using it and a traditional SME file that takes four to five hours to underwrite. The credit managers are doing it in under 30 minutes right now using the Helios underwriting copilo t. So with that I would invite Ramesh Aithal, our Chief Digital Officer to take you through the next session on our technology initiatives for the last 12 months. Over to you Ramesh .

Ramesh Aithal :
Thank you Sudipta. All right. Welcome back. Good evening. This is the second edition of the Digital Day and I'm happy to be here. We have a lot to unpack today. Before I do that perhaps we'll take you quickly through what's cooking in the BFSI industry and specifically in the technology space. Like last year, every presentation has to start with the pronoun to AI. While last year it was about Generative AI, this year that's morphed into Agentic AI. And within Agentic AI there are two areas that we are watch ing quite closely. The first is something called as multi -step workflows with automation. This is about having the ability to use a single prompt to carry out complex workflow tasks without any supervision of a human being. The next one is on conversational and voice banking . Pretty self -explanatory and I will delve upon this a little bit more in some of my later content. Next up is contextual finance. Again, a person walking into the branch and the bank immediately knows what they're there for. Or a person engaging with one of the digital channels and the channel is able to immediately service the customer based on what their requirement is before they even ask for it. Finally, multimodal authentication. This is about enhancing security with not just biometric data like face or fingerprint, but also using your behavioral patterns. All these technologies are not distant, too far off in the future. They're actually actively shaping how we are looking at our digital backbone and customer interactions. Next up is our futuristic digital architecture, which we unveiled last year, the Visi on 1.0. Briefly, it mirrors the loan journey of a customer, starting with the consent layer and then the acquisition layer, which is composed of customer intelligence and trade intelligence, the portfo lio layer, which has portfolio intelligence and service intelligence built in, all feeding into a unified customer experience layer that is enveloped by a layer of wrapper of information security. This was the vision that we unveiled to you last year, and active work has gone on each of these segments like Sudipta referred to earlier. I'm thrilled today to announce the next iteration of this architecture, which is as follows. This includes component s that we've already developed and you are familiar with, h opefully by now, as well as newer elements that we've added to be prepared for tomorrow. Of particular interest is the real -time intelligence layer, which is a learning layer on top of the portfolio and acquisition layer, as well as the Zero Trust architecture framework, which is basically using verification technologies to verify any user or device in the network. With this in mind, I'm ready to move to the next section where

we show you how we're able to accelerate business, starting with the acquisition layer.

Product launches. We have four launches that we want to call out. Gold Loans, Embedded Finance, Micro LAP for RBF, and Supply Chain Finance. I'll walk you through a couple of examples in detail.

Gold Loans. Like Sudipta referred to earlier, this is a new business that we acquired early part of this year. For the technology team, the challenge was to get the entire integration and the day zero setup done in a matter of nine weeks. Twelve weeks was the entire integration effort. The technology team had nine weeks to deliver. I'm happy to state that we were able to deliver that, able to build a loan journey, collections, and a direct -to-customer channel, 100% regulatory and risk compliance with connec tivity for all branches. All of this in a matter of nine weeks. With gold, fairly unique business, fairly sensitive information and data, we've built an extensive network of multiple live command centers with over 2,000 plus cameras across the 130 branches, growing at the rate of one branch a day, 24/7 monitoring in place wi th centrally controlled two -factor authentication for vaults. A lot of this was a fairly steep challenge for the team, and I'm really happy to state that we were able to bring the organi zation acquisition to the technology benchmark that we set within the company. For us, this was a transformation built on discipline and speed. From gold, another shining example of execution, which is Embedded Finance 2.0. Embedded Finance is about leveraging partnerships as our growth engine. Particularly for L&T Finance, this is about acquiring, using not just our traditional channels for customer ac quisition, but going to where the customers really are. On the left -hand side of the screen, you can see a few of the partnerships that we've listed out. We have marketplace partnerships here. We have OEM partners and we have FinTech aggregators. All of th ese partnerships have been scaled up quite extensively over the last year. For us, this might seem -- for an outsider, this might seem like a fairly plug -and-play model to develop. However, it's not been the case. We've had a fairly delivered, a fairly cus tomized journey for each of our partners. We've been able to do that with complex API orchestration, a unique credit policy, and deployment across all of these partnerships. Like Sudipta referred to earlier, we've scaled it up quite massively in the last t wo quarters, from 3 to 10, which is fairly record time with an increased disbursement of 2.5x. We've been able to achieve all of this by sticking to some fundamental engineering principles, a so -called ready kit, if you might, about using modular journeys and open API stack. Once the customers or once the partners are integrated, we're able to scale horizontally with using cloud -native technologies and smart load balancing. Again, a stellar example of how we've been able to move the needle on all of these p artners in a record time. For us, this is how finance becomes invisible, intuitive, and truly embedded. Moving on to a few more examples of now how we've brought in AI to change fundamentally how we do sales augmentation. The first example I have for you is on AI -based outbound calling. We've taken outbound calling and added intelligence to it. What we've do ne is we've rolled out an AI -based voice bot for our outbound calling for pre -qualified leads. This is in the Personal Loans business. We rolled it out last quarter. What it also does is, apart from regular calling, we're able to provide real -time dashboar ds, quick lead filtering, and do t

his in a parallel.
The initial results are quite positive, and users have reported an 80% improvement in TAT in lead engagement. Let me show you a brief clip of what's possible today.

Our relationship manager, in fact, did call the customer at 5 PM and converted the person. What you perhaps already have seen is the human -like capabilities that’s built into the bot, as well as the multilingual ability that's on display there. The next example I have is what we call as a loan offer pod. For us, maximizing customer lifetime value is a key metric that we live by. Earlier, the process used to be fairly cumbersome, manual, and not as customer -friendly as we would have liked. What we've taken i s, we've taken a fairly scientific approach to that. We have an analytics mart, from which we have a lot of data that's internal to our databases, push it to a loan offer engine with ML models in place, and are feeding that into the customer -facing channel s with a feedback loop in place. This allows us to manage the lifecycle of an offer fairly effectively, in fact with very, very great results. This has a full end -to-end automation with live nudges to customers, and an AI -- and it's augmented with AI capa bility. Another example of how AI is really maturing in our sales augmentation process. Moving on in our acquisition layer to credit intelligence. Credit decisioning is a fairly dense ecosystem that's engineered for scale, complexity, and accuracy. Today, I want to, again, highlight how we've built one of the most advanced credit decisioning engines in the industry. Let me start off with a small example of a loan process. As a new customer comes in, they get in through the login process, and we run a lot of event -driven checks, which includes face match, liveliness, DigiLocker, VKYC, and as well as contactability checks, which has geospatial intelligence built in. From there, we run into the cross -entity intelligence layer, where we conduct our risk assessme nts, both income as well as other risks that might be involved in the customer. All of this data is processed at record time and fed into the cognitive and risk layer, which is a bunch of models, a complex interplay of all of those models to do your

internal dedupes, anomaly detection, and so on. Finally, this is fed into the autonomous decision layer that we have engineered. Last year, until last year, this was just the BRE, the business rules engine. Since last year, we have Project Cyclops at play with its alternate data and trust signals. With Project Nostradamus that Sudipta just talked about, we will fill the third cog in this massively scalable autonomous decision engine. Dr. Debarag will talk about Project Nostradamus in his presentation later. I will double -click into Project Cyclops a little more in my next slide. Before I move on, I just want to call out, all of this decision -making happens at rapid fashion, which I will talk about as well, but 50 -plus validations to approve one case, one simple case, is what we are talking about here. Project Cyclops needs no introductions. It is our next -generation credit underwriting engine. What I will talk you through is a simple case of a thick file processing. Thick file is for customers that have a credit bureau record. When we feed it for a simple Two-Wheeler customer, we feed it through a bunch of models. I am representing that quite simply here for the sake of simplicity. Taking up first is the banking and account aggregator model, which makes a decision whether it is a go or a no -go. A no -go might be because of either incomplete data or missing data. It does not matter. We built Pro

ject Cyclops to handle all of that. Fed through a few more scorecards,
a few more models, and again, decisioning goes on into payments, account aggregation, and credit scorecards, and finally, resulting in a clear decision at the end of the process. All of these are actually a bunch of 55 -plus models, 20 -plus APIs, happening in the span of three seconds, less than three seconds, thick file customer. As I said before, all of this complex orchestration is about the maximizing our ability to underwrite credit for the most number of customers. That is all this is geared up for. We built Project Cyclops for volume, veracity, velocity, and variety of data. Each of these factors are critical to the way we've scaled our engine from a technology standpoint. As Sudipta referred again, we've rolled out to a few of the business lines already. Personal Loans is under implementation and will be rolled out over the next month or so. All in all, Project Cyclops continues to be a great engineering challenge for us, and we are up to it. I will move on to the portfolio layer a little more deeper because that's an area of focus as well as we continue our journey. In the portfolio layer on the collection space, we are gearing up to unveil our new futuristic blueprint, which is a completely AI -based full -stack collections engine. What you have on one side, starting with the data analytics layer, which feeds into an a utomated allocation engine, then all feeding off into the optimized channels that are determined by this automated collections engine, finally ending up with real -time alerts and insights in the command centers that we have. We've started to work on this blueprint, and hopefully in the next few quarters, we' ll be able to demonstrate progress in each of these layers. The intent, obviously, is to make collections smarter, resulting in a superior portfolio performance. Moving on to our flagship product, B2C product, PLANET 3.0. We unveiled PLANET 3.0 last year i n this very conference. This year, like perhaps every cell phone in our pockets, it's smarter, bigger, better, and bolder. What I do want to

show is the different areas that PLANET touches for our customer base, starting with collections, servicing, engagement, and the 360 business enablement. Collections specifically, it is one of the most cost -efficient collection channels w e have. Over the similar time period of the first half of last year, we've doubled the number of collections that we've managed throu gh this app, with 120 crore plus high -DPD collections, as well as 35 plus charge collections, purely through app minimal effort. On servicing, we have the industry best servicing numbers through the app. We are at 88% of servicing across all our servicing channels within the company. We continue to strive for 90 percent, fairly elusive given our rural base, but we're working on it. We have document servicing, payments, profile updates, and customer feedback, all feeding into over 236 options that are availa ble today on the app, ensuring convenience for our customers. PLANET is a force multiplier with its DIY journeys. Over the last two years, it has accelerated cross -cell volume by 4x and new to LTF volume by 3x, which is made possible by our approach to the smart digital enablers, which are integrated journeys, faster fulfilment, and enhanced cross -cell.

All these improvements have taken a significant amount of effort from the team, but like I said, it's a fairly low -cost DIY channel for us, and we continue to invest in this platform. Moving on to customer engagement. It's been 10 plus years, perhaps, sinc e Alexa was announced to the world. There have been few attempts being made at voice and conversational banking, and perhaps none of them have succeeded so far. But with advancements in AI, we wanted to take these challenges head -on. So today, I'm going to reveal to you the first in industry conversational v

oice agent built into PLANET. I'm going to stop conversing now and let the agent do the talking .

KAI:
Hello, I'm Monika from L&T Finance. How can I help you today, Aman Singh?

Aman Singh :
Monika, tell me the number of installments that is left on my Two-Wheeler loan?

KAI:
You have a total of 24 installments for your Two-Wheeler loan, and you've paid 19 so far. This means you have five installments left. Does that help?

Aman Singh :
Okay, let me know how much outstanding principal is pending now?

KAI:
On your Two-Wheeler loan outstanding principal amount is Rs. 21,767.52. Do you want to know anything else?

Aman Singh :
No, Monika, thank you .

Ramesh Aithal :
Hopefully, you noticed its amazing ability at interpreting multilingual commands from the user, emotionally aware response, and how it manages interruptions very well. A lot of human -like features have arrived in bots, and we are leveraging all of that. We built all of that, in fact. We are using this for our existing and new loans. This product is already in CUG as of last month. Very soon, we will be rolling it out into production over the next month or so. We have demo stalls next door demonstrating this capability, and I encourage each one of you to actually try this out after the session. And hopefully, if it works well, I would encourage you also to download our apps and become our PLANET customers. Moving on, in the ecosystem today, PLANET was about c ustomer centricity. But customer centricity also means we look at our customers from the point of different touch points of their engagement, not just from an organization standpoint and the FinTech ecosystem, but partners. Partners in the ecosystem are a fairly important aspect of how customers, through which customers engage with us. We send research teams on the field and determine that the dealer community or the partner community has been underserved from a technology standpoint in the competitive land scape. And therefore, with this in mind, we are launching our all -new Partner PLANET today. This is a mobile app specifically for our partner community, which is right now rolled out to our Two-Wheeler and Tractor Farm dealers with amazing capabilities tha t are built and taken for granted as part of PLANET. It comes with its own personalized dashboard with one -step trade advance withdrawals with comprehensive details that we're always looking for and never could find. A real -time dashboard indicating their pipelines of disbursed customers with a complete portfolio summary that they can review from time

to time. For us, the approach we are taking is that when our partners win, we win. From here, I come to the last sectio n of my presentation, which is on the t ech modernization for sustainable growth layer. A lot of what we saw earlier is about technology enabling business. All this is not possible without a deliberate attempt or deliberate strategy of tech modernization that we've taken within the company. And what I will do is take you through a few areas o f focus today, starting with Agentic AI, a product mindset that Sudipta referred to earlier as well, and engineering resilience, starting with Agentic AI. I've walked you already through examples of how we us e Agentic AI to influence customer experience. We've also looked at how Agentic AI plays a role in decision -making. What I will do is take you through how it's impacting productivity within our technology organization. The technology development lifecycle is a fairly standard lifecycle, starting from product design and moving on to development, testing, launch, and obviously requirement creati

on at the beginning of it. We have augmented all

these two capabilities within the tech organization with agents built into coding, testing, product requirement gathering, as well as migration of legacy applications. We've started the approach late last year, and that shift to early adoption has given us increasingly positive results. Even with a 60% adoption rate, we have a 30% coding adoption rate and 15% improvement in productivity, and its early days for a lot of these tools. What I'm also proud about is how we've deployed AI into our production support lifecycle, starting with predictive monitoring. We are able to detect inconsistencies in our performance and latency throughout our product ion support chain. We're able to scale our systems intelligently using the technology tool sets we have. We're able to remediate complex workflows through bots, as well as use AI for managing our security. AI -based threat intelligence detection is a fairly accepted use case and being deployed widespread across the industry as well. What I will show you next is how all of this is actually influenced by the product mindset. A product mindset, like Sudipta called out in his talk as well, is a dramatic shift from a solutions mindset that we used to employ earlier. Why take up a product m indset? Because it's an investment in building our strategic competitive advantage. The reasons are fairly obvious. We are able to better manage our user end experience. We are a ble to go to market faster with full control and customization and keeping data security and compliance in mind. A few examples below with familiar names with Project Cyclops , Project Nostradamus out here, but a lot more names that you might not be familiar with. Our investment in productization continues in the last 18 months and we expect to take it to the next level over the coming year. The final topic in my tech modernization section is around engineering resilience. Over the past year, there have been fairly widespread large -scale outages that have disrupted customer trust. All familiar names, hopefully. And looking at this, it's a wake -up call for all of us. Building engineering resilience i s one of the core pillars of building up our strategic competitive advantage. And to that end, we have a four -pronged strategy. The first is about observability. Building real -time observability into our production systems have enabled 70% of incidents to be revealed to us before they actually impacted business. We're able to scale up all our customer - facing apps on the cloud, star ting with hybrid, starting with single cloud, moving on to multi -cloud, and then today in a hybrid cloud mode. We are heavily fo cused on maintaining operational continuity through third -party resilience and interdependency mitigation, which is, as you could see from the slides earlier, is given the complex ecosystem is the need of the hour. Finally, we want to wrap it up with the a pproach to something what we call as the always - on architecture, where our system reliability, we want to take it up from 99% to 99.9% or 100% as well. I'm really happy to report that a lot of progress on some of these has already been done, and we continu e to invest in this capability as shown by some of these dashboards here. A quick peek at the impact. Over the last year, we have doubled the deployment throughput, in fact, two and a half times the throughput, increased API calls by the same number, and reduced support tickets and disaster recovery time by over 50% in our appl ications. With Project Cyclops , we have very strong numbers to report as well. We've already seen benchmark numbers

in earlier slides
from Sudipta as well. We have average API latencies as low as 30 milliseconds in a lot of our apps. We continue to invest in this capability, and there are very stringent benchmarks that the teams are working towards to maintain as they enhance these models that we've built. Project Cyclops volume handling capacity, we have referred to it earlier as well. Here are some numbers. Over the last seven months, we have a 3x increase in volume with peak volume days going anywhere from 5x to 10x on similar days compared to last year. Project Cyclops has been rolled out sometime in June or May, I should say, last year. Over the last 18 months, it's not had a single downtime. It's with pride that I can say that Project Cyclops doesn't blink. The reason it does so is because it's engineered for zero downtime. To conclude, a few common themes resonate with us across the entire company, and we continue to invest in building scale. Looking ahead, for us, engineering business workfl ows is an important element of what we will do over the next 12 months. We will continue to invest in AI in our collection stack, like I showed you the blueprint earlier, and the service ecosystem that we have today. It's going to be heavily influenced wit h agents and bots. We have augmented our capacity at productization in -house. We will continue to invest in this capability. Like I said, we will be more and more pushing ourselves towards milestones in an always -on digital architecture that we have laid o ut. With that, I'd invite our Chief AI and Data Officer, Dr. Debarag Banerjee, to take

the stage. Thank you .

Debarag Banerjee :

So, speaking of numbers, lending is a relatively simple business. You have your onboarding yield as the primary income coming in, and then your credit costs, collection costs, and operating costs adding into it, and what you have left is your R oA. Now, we deployed Project Cyclops . You've heard all about it, and we'll hear more. The idea behind Project Cyclops is fundamentally, it brings down the collection, the credit cost . And I'll show you in which way. The idea behind Project Nostradamus is after disbursement, it helps monitor the portfolio in a way to make it actionable for the collection teams to bring down the collection costs. And finally, ultimately, the net action of all of the Agentic AIs that we are talking about here today is to bring down the operating costs of running the business. What happens as a result is what you have left the R oA goes up. Now, that gives us the strategic flexibility to go after better customers, optimize our LTV according to a very well understood segmenta tion of risk profiles, and that leads to growth both in ATS as well as in total, you know, customer volume and books and disbursement and so forth. So, AI does not just give you profit, neither does it just give you growth. It gives you both. It's not a zero - sum game. I will now walk through each of these pillars and show you how that happens. So, we launched Project Cyclops about a year ago in our Two-Wheeler portfolio. The first version of Project Cyclops was about bringing in trust signals from banking set data, from payments characteristics of the user, and about the affluence of the area that they live in. Since then, we have taken both the individual model and their ensemble models and have added new data sources, things like digital footprints from the mobile that they're using, things like more indexes coming from credit bureaus, and we have added beyond the original 15 scorecards, scorecards related to dealer grades and fast flow frauds. Combination of all this lets us chara

cterize any particular applicant into one of five segments
from the best to the worst, and that allows us, like I mentioned earlier, to give the best LTV to the best segment and the most risk -adjusted offer typically lower LTV to t he lower segments. It is not a static engine. Like I mentioned earlier, we have upgraded Project Cyclops twice in this last year, and we are about to embark on another upgrade where we are going to incorporate a new model called Shikhandi model in the Project Cyclops scorecards. The idea behind Shikhandi or mule is that a nagging problem in the Two-Wheeler business is a customer with a bad credit who wants to buy a bike knows that he will get declined. So he brings forward somebody else with good credit and says that, okay, this is the borrower, and when that happens, for any lending agency, it would look like a good customer. You give them the money, and within a few months, the bad customer starts defa ulting, and you basically lose that loan. Now, we have created AI -generated data relationship graphs combining everything from the applicant's info, their asset's info, their credit footprints, as well as insurance and other related data sources to create this model that can predict if a customer is truly a mule or a goo d customer. We, through our backtesting as well as through live actions on the field by our teams, have seen that this leads to a reduction in the probability of default in those lower segments, the segment four and five that we talked about, to a level of 66%. So, stay tuned for that next generation. Now, we can talk about models till the cows come home, but ultimately, like Sudipta said in his presentation, it's the culture that brings it all together . So, models alone will not be effective in a highly regulated interconnected industry like the one that we are in. We have to have the entire organization, you know, run in symphony, collaborating across business, across credit teams, across data teams, as well as all the compliance -guided risk verifications of the models, as well as the policies, and finally, the digital backend that Ramesh talked about, as well as the frontend from which the customer application is taken. We have made all this work in a way where we can make these initiatives, Project Cyclops , Project Nostradamus , and a whole lot of others in record time. To do that, we needed to upgrade our AI team. At a time when I came in, we had an analytics team, and we had data teams, you know, separate from each other, but we didn't have true AI DNA, which over time we buil t up, and we upgraded our systems. But today, we are fully not only on cloud, but we are going multi -cloud. Not only are we using one kind of LLM and staying there, but we have an open system where we can bring in any kind of LLMs, if needed, in our scorin g methodologies. And most importantly, we have become a lot more rigorous about our data governance tools and have an ops methodology where we can develop and launch AI models in record time. And of course, if you want to go further rather than faster, you go by building a community, you go with everybody, and that's the reason why we do these RAISE kind of events. Now, with all this infrastructure in place, the other thing to understand is tha t this is not just flipping a switch. It took us a long time to build and refine Project Cyclops . From the time when we had the original concept to the time when Project Cyclops could go GA, and, you know, actually this was a loan to the first customer, that was about a period of eight months. Now, after that, if we went Project Cyclops 100% of the book, that would not really be the best scientific way of doing it, because then you would not know how does Project Cyclops behave

compare to non -Project Cyclops of previous years of underwriting? So, what we did is we did a graduated A -B testing where we slowly increased the number of cases that were coming to Project Cyclops , comparing non - Project Cyclops performance, looked at the difference. And then when we were convinced that, yes, this truly is dropping our credit cost down, at that point we went 100% Project Cyclops from December -January onwards. Since then, we have upgraded Project Cyclops twice, like I mentioned, but even then, a loan is about a two and a half year loan. So, how do we convince ourselves that, yes, we really have a credit engine that will produce lower credit losses? The answer lies in looking at hourly indicators. For example, if we look at GNS, which is the percentage of people who have missed their first payment, that number before Project Cyclops to where it is after version 2, we are at a level that's about two -third, actually less than two -third of where it started from, and it keeps continuing to go down. Other way of looking at it is the vintage charts. And there, there's a very interesting story here. So, when we built Project Cyclops , we back -tested it with data from more than 12 months ago, loans that were disbursed more than 12 months ago. And when we launched Project Cyclops , like I said, that we had a Project Cyclops and non -Project Cyclops experiment going in parallel.
Now, the deep blue line is the vintage chart of how Two-Wheeler loans were 12 months before Project Cyclops was launched. And the gray line is how it was when Project Cyclops was launched, but this is non -Project Cyclops performance. Now, what you notice is that during that time, in 2024, the industry had actually worsened . That's the whole reason why the vintage charts went up. But then we made subsequent versions of Project Cyclops fine-tuned to adjust to the reality and also add more scorecards and so on and so forth. So, where we are today, our 30 plus DPD rates are just about one -third of where the non -Project Cyclops rates would have been. So now, if I assume that the flow through, the flow forward rates and so on and so forth are going to be the same, which by the way, they would not because of Project Nostradamus actions that I will talk about later, but even if I assume that, this leads to a logical, a priori conclusion that yes, everything being as is, we would end up with one -third the credit cost that we would otherwise. Now, Project Cyclops was not a one -time success in only Two-Wheelers. A very different part of India, the rural farm India, we deployed Project Cyclops with very different sorts of models for Farm or Tractor lending. And there, we needed to access very different kinds of data in order to create an agro-model that by looking at soil types, by looking at rainfall and other patterns, how it would determine the yield of a field. By looking at other unstructured geo -intelligence data, things like how far a village is from the mandi, how is the infrastructure look like, how does the mandi prices over there look like, etc. We needed a different type of data sets . And finally, unlike Two-Wheeler loans, Farm Loans are very high -touch loans where there is a field investigation for every loan that is processed. And there's a rich ton of data that gets generated there that until recently, people did not think of as data, but now we can actually extract the right features from it and then build a model that can make the right decisions. How do you know they are the right decisions? So Farm Project Cyclops launched in December. It is still in that A -B phase that we talked about. And it's about -- right now it's processing about 30% of the portfolio. By looking at the early trends, the NNS trends, which is the number of people who are missing their fi

rst mon th of payments, we as a result can see the comparison between Project
Cyclops processed and non -Project Cyclops processed loans. And we can see that the NNS for Farm Project Cyclops processed loans are about 8x lower compared to non -Project Cyclops processed loans. Early results, lots to work on, but it proves the basic thesis that Project Cyclops is more general than just Two-Wheeler loans, and it can as a result be applied on pretty much all LOBs in our portfolio. Now, like I mentioned in the first part of my talk, it's not just about increasing profits, it also increases growth. And here is proof. So , Two-Wheeler portfolio went Project Cyclops from December -January onwards. Since then, the disbursement has actually not fallen. So , profit per deal has increased, but the number of deals themselves have increased. And in fact, this huge spike is because of the last fantastic festival month that we had. The increase that you see in Farm Project Cyclops , part of that is because we are increasing the ratio of Project Cyclops processing in the portfolio, but there is -- underneath the numbers, there is also a generic uptrend as well. SME loans have went 100% Project Cyclops last month, so September to October, that is a pure growth of the portfolio while at the same time we are applying this multifaceted checks underneath. And our PL portfolio is due to go Project Cyclops very soon, followed by HL, followed at some point of time by the RBF loans. Now, every loan looks one way before you disburse it. After disbursal, the customer shows his real cards. How do you differentiate between the customer, let us say a college kid who just bought a bike when he is in college and looks just like any other customer with no credit and history and all that? But the n later on, he graduates from college, hopefully builds his own business, takes an SME loan,

does well in life, does many purchases with his PL and credit card and so on and so forth, and then finally buys a house and perhaps upgrades his house and so on so forth eventually becoming a prime customer. So how do you discover this undiscovered prime early on and differentiate him, which is a more important aspect, differentiating from a customer who at the time of disbursement looks like the same customer, but you see that, okay, this is actually somebody who is tottering on the brink and a little bit of crosswinds from one way or the other during the -- as the macro economy goes up or down can throw him off the board and he ends up going into default. And how do we do that before that default happens? So , our answer is that we again look at multiple data sources every month on each of the customer categories and try to understand how up to the level of every single customer, how are they doing? And we do this not only based on credit bureau data, which is a little bit posteriori, but we also with consent from the customers, look at their bank statements, which gives a better signal about their income and expenditure, look at how our peer companies are wo rking, how the macro economy is working based on open data sources, not only at the national level, but all the way down to every single district and how that mixture is changing. And of course, given the penetration of PLANET and other data sources in an increasingly digitally connected India, we can bring all of that device data, all of those digital footprints, understand the location and the location mobility of the customer and bring it all together into this Project Nostradamus engine. The Project Nostradamus engine allows us to look at the portfolio, understand early warnings as they

go up or down, and
identify those clusters where we see that the portfolio has real growth potential, can grow more, and those are our green shoots which enables growth. But it a lso highlights the areas of concern, whether that's geographical area or a particular customer segment, where we may want to tweak our collection methodologies in a way that we get the best outcome. It is brought to the credit and the business teams in the form of a very intuitive dashboard that we took quite a bit of time designing in our data and BI teams. Here's, for example, a typical indicative view. So, for example, here I'm looking first at the pan India picture. I'm trying to see how the 30 plus DPD moved within the space of 12 months for the Two-Wheeler portfolio. Now, here you see that that number, the 30 plus DPD, has actually improved by more than 220 basis points. This, by the way, if you paid attention, a year ago, there was very little Project Cyclops . Now, there is more. So, it's kind of is an indication, yet another way of indication that yes, Project Cyclops is actually making the portfolio better. But what is more interesting is that the list is not the same all across India . So, some regions are little yellow compared to the greener parts of India. This also allows us to drill down to those districts that are green -- I'm sorry, that require attention, that are yellow. Here's an example. So, let's say we look at the district of Coimbatore and you notice that although the 30 plus DPD here has improved , actually improved more by 288 basis points but it is stil l not at a threshold where it is better than the national average . Now, that would typically mean somebody needs to look at it. So, they can drill down into it and try to understand why that is so. So, it turns out that, oh, by the way, when we look at the dealer by dealer distribution, dealer category by dealer category distribution, there's more of the deals coming from the bronze dealers who typically exhibit less affluent customer characteristics compared to the platinum dealer, which leads to a potenti al idea for that area's business to look into, which is, can they make a shift in terms of their sourcing patterns more towards the platinum and less towards the bronze? This is not generally applicable . It is only for that specific segment for that specific business. So, that is the level of granularity with which it enables decision making. Now, we could go at it with the dash -boarding approach where ultimately it takes a human to click through and think in his mind and get to all those decisions, or we c ould use AI. And we could use AI on top of all the data that is underneath. So, we basically put an MC server on top of our data lying in BigQuery. You don't need to know what that means. What you can see is it essentially enables a chatGPT type of interface where you can basically chat with your data. You can say, hey, tell me how is my default trends going? What kind of customer segments do I have more early default tendencies? And it can finally summarize all this for you and say, hey, here's a snapshot. This is the slice and dice segment where you may want to look at. And then ultimately, it's up to the credit manager to decide what to do with that. It is not an autopilot. It is only a co -pilot. Now, how will all this come together, Project Cyclops and Project Nostradamus ? So, Project Cyclops , like I mentioned, it starts from data and ends up with an onboarding decision, yes or no, and how much. That loan gets disbursed many times over, creates a portfolio, which is looked at every month by this Project Nostradamus engine through this multi - dimensional scale. And from there, either decisions can be made by somebody looking through dashboards or with this chat interface, you can call it that way, which we call Orion. And the decisions that the person makes, whether it's a credit or a collection or a business exe

cutive would be, for example, what kind of collection actions

to take, what kind of agencies to allocate what to, how to build role forward models, and so on and so forth? Moreover, the original Project Cyclops engine, as I mentioned, it's ultimately a very flexible engine where you can actually modulate the dials and change the thresholds on each of those models and make it better to respond to what you have discovered . So, that is also driven by the insights that you gain from Project Nostradamus . And you can say that, okay, looks like, for example, this particular LTV category in this particular sets of customers who have this type of data but not that type of data, I can see an increase in the early warning score, which is basically yet another model under Project Nostradamus that gives you that forward -looking score. And you can say, oh, by the way, I'll tweak Project Cyclops so that for that specific ensemble model, I'm going to change some of the credit decisions about the type of rate or LTV or conditions or documentations and so on so forth that that category will have. So, this you can do with humans, but we have 20 million -- you know, portfolio about what, 20 million -ish loans. What is the optimal portfolio that you can create from that? It's actually a very hard problem because of many, many reasons, many mathematical reasons why standard techniques can only get you an approximate result. And if you truly want to find out what is the actual optimal of that many loans, that's the number that the fastest supercomputer in the world will take the life of the universe plus more to get there. What we are exploring, and this is still very much an early exploration, it can be possible, not possible, but some forward -looking companies, some forward -looking BFSI companies in the US and Japan are trying out quantum computing to arrive at that optimization. We are in the very early s tages of thinking about applying similar methods to see whether we can optimize our portfolio even better. Coming to the Agentic AI part of it. So, Sudipta showed in the co-pilot launch how we have built Helios, the AI co -pilot for underwriting SME loans. I'll just summarize it. Essentially, you have tons of data from credit bureau records, from bank statements, and GST recor ds, and so on and so forth. These are things that come to an underwriter, hundreds and hundreds of pages, from which he has to come up with a handful of metrics and decisions and questions that they want to go and ask the customer. All of that is done by Helios and is presented in a very easy -to-consume form, which saves hours and hours of the underwriter's time. And that time has two dimensions, by the way. One is, of course, you can do more with less, but more importantly, this means you can have a faster TAT. And in the SME business, if you are able to give an answer quicker, then the more of the better customer deals will come to you, and that's another way in which the portfolio improves. Not only are we using Agentic AI for internal usage, we're also opening it up to the end customers for both existing loans that they may want to service or new loans for which they may want to understand how it happens. So on the left, you see our KAI chat bot giving answers to somebody who has a Home Loan and a Farm Loan and says, okay, I want a statement of account. It asks, which loan are you talking about? And it delivers that specific thing to the m, entirely driven by a RAG -enabled Agentic chatbot. The same exact chatbot, by the way. You can ask questions about, hey, I just heard you have a new Gold Loan business. I have some gold. How can I

get a loan? Is it going to be safe? And all of that. And it gives you those answers in a very human form. So , this today is available on the website. You can check it out on our website or on the demo booth over there. But very soon, this will also come through a lot of other channels to the customer, like Whats App and other messaging facilities. Not only are these chatbots available in English, this is live today in 11 Indian languages. And it's went in all of them. And not only does KAI talk to you, chat with you as text, but when a customer is delinquent on th eir loan, and it's time for them to get a call from a collection agent, KAI, the Agentic chatbot, the machine can actually be that collection agent .

KAI:
Namaste. I am KAI from L&T Finance calling about your loan account. Am I speaking to Dharmendra Kanajarji ?

Debarag Banerjee :
This is a real PL customer who missed one of their payments. And…

KAI:
Good, thank you for the confirmation. I will quickly tell you the reason I called, your Rs. 5,760 emi is still pending, can you make the payment today – can make tomorrow – shall have to pay bounce charges and yours credit score will be affected, will you be able to pay today .

Debarag Banerjee :
And once the customer says, yes, I'm ready to pay --, KAI can also send a payment link and can ask the customer to fill the process of making the payment itself -- and so far, about 50% of the time, KAI is effective in getting those payments. And it does i t in 11 Indian languages. Not only are we using voice as our only multimodal form of Gen AI, one of the other things that we are using it for is, let's say there is a MicroLAP customer, MicroLAP lead, who being in the rural area is 10 kilometers away from where our branch is. And so, when this lead comes in, somebody has to make a decision whether to go all the way there, look at the house and decide whether the house is good enough to be worth further pursuing the loan, or it's a shabby little hut where the value simply isn't there to bother. Today, what we are running a pilot on is where we can send a link to the customer that walks him or her through the process of taking the right kind of pictures of the house, which are scored by a Gen AI engine. And then it can give a suggested decision to the sourcer whether to take forward the deal or not. Ultimately, we leave the last decision to the sourcing, but this is a great way in which the operating cost for sourcing MicroLAP can come down. Another end of the loan cycle is settlements . So, when a farm tractor has been repossessed because somebody could not pay the loan back, then one of the big decision points of the value is whether the tyres on the tractor

are good, bad or ugly. And at the time when these tractors are taken into the yard, those pictures are taken by the field agent. Today, we have a Gen AI engine that with 88% accuracy can say whether the tractor is good or poor or somewhere in between in condition. And this is no t just theoretical. The resale value of the tractor can go up or dow n 12% based on whether it's good versus poor. And making that decision both allows us for the case of good tractors to bring in the full value of the tractor and for poor tractors to discount it enough so that the inventory flows out quickly enough. Our gold loan business has started. There's hundreds of branches where theft is a big concern and we have multiple video feeds with which we look for it today with humans. We are actively looking at video anomaly detection solutions which can alert these h umans to possible break -ins so that they can actually react faster and more accuratel

y. We are also bringing AI and democratizing its usage to all 35,000 of our employees. Why? Because there are so many ways in which today AI can help an employee's life by doing what they need to do faster, perhaps more accurately, and in a way where they can refashion their own workflows. We can't possibly design all of those from a top -down manner. So instead, we are a big believer in enabling AI to all employees within the con straints of a protected cloud so that PIIs cannot pass away and other guardrails are there so that misuse and dangers from AI does not happen. Finally, we all talk about AI, but recently there was an MIT report that came out that 95% of AI deployments fail. So if you go deeper, 55% of them fail because the data is not of good quality. Fields are missing, or they're wrong, or there's a gap in the data stream or something or the other. We have built data pipelines that are very rigorous, entirely run on the c loud, very high availability, and we are in the process of putting data governance guardrails and business catalogs, business name catalogs. So that it becomes easier and easier for not only people who are building AI agents, but also normal business users to find the right data and build the right models. At the end of the day, without good data, you can't have good models. And because we star ted from data first, that is one of the reasons why our models simply work.

Thank you very much, and I would invite the Chief of our Rural Business, Ms. Sonia Krishnankutty to come and go to action after all these talks are done. Great demos. Please take a look…

Sonia Krishnankutty :
Good evening, everyone, and welcome to this event. After a lot of data, tech, and AI presentations that we have seen, let's have a look at how all of this has helped businesses scale up and build superior quality portfolios. Before I start off the presenta tion, let's have a quick recap of when we met last time. Some of you would have been there. It was the midst of a large looming crisis in the JLG industry, caused partly by external factors, partly by internal factors, over -leveraging of customers, and the re were large questions about whether this industry will

survive this crisis and how long is this going to last. And it was at that time we came in and we showed you a very granular view of how our business has been built on very strong controls, robust structure, very stringent policies and credit rule engines which work behind the business, and how we have built this portfolio. Now, with a year into the crisis, and since we have completed one year after the crisis started, let's have a look at how our portfolio has fared during this time and how have we been ab le to keep our portfolio resilient and manage collections in a superior manner. So where are we today? Right now we have around 26,000 Cr of book spread over 61 lakh customers. We have a pan -India rural presence across 17 states. The portfolio has exhibited extreme superior collection performance as well as quality. And after having built this portfolio, when we realized that we are very deeply integrated in building sustainable rural livelihoods in the women customers, two years back we also felt the need to be embedded in the entire rural ecosystem by providing financial service to the non -women customers, probably by way of a secured finance, and that's when 18 months back we launched this product which is Micro LAP, which was a large opportunity out ther e in the field. Primarily focusing on male customers who run small businesses which have stable cash flows coming in and who would want to use the money for their business n

eeds. So that's how we started this business and we are building on this business. So let me take you through details of the JLG business before we come to this product. So if we look at the entire presence, as I said, we are present in 17 states around 350 odd districts, 2 lakh odd villages, and we have around 2100 points of presence spread across the country. As you can see in the map over here, we have a couple of geogr aphies which are pretty large, which are our points of presence, which are real strength areas, I would say. We have some markets which are in the medium to large category, which are Rs. 1000 to Rs. 3000 crores, and few markets where still the book is below Rs. 1000 crores. So , this actually provides us with the geostrategy, the way we expand in large geographies where we have a calibrated growth, where in geographies where we are medium to large, where we deepen our presence, and in geographies where our book is still below Rs. 1000 crores, these are the geographies where we expand. Now if we look at the pan India growth which has happened over the last eight years, from 7500 to 26000, which is a 3.5x growth in the last seven and a half years is what we have achieved. And we are the second largest financier today in the JLG industry with a 7% market share. If you look at the growth phases, it's very typical of what the JLG industry goes through as all of you would know that it goes through a very good cycle for two, three years, then comes a downturn, and then again, it's uptrend. What you notice over here is a very unique pattern wherein we have been growing during the good times, and during times which are difficult, we have actually used the time to strengthen our processes and controls, put in systems in place to ensure that when the next spurt of growth happens, we are there ready. Now if you look at this, this is the last 1 year, 1.5 years of credit cycle looming, we have invested a lot in data and technology as Debarag and Ramesh have explained, so that we are well poised for the next growth. Now if you look at the same picture, if you look at from the market share perspective, this is how it p ans out. So our Pan India market share being 7%, we have five markets where our market share is more than 7%, around the same number of markets in the 5% to 7%, and some markets in the less than 5%. Now this offers a very multi -pronged strategy wherein our market s hare is on the higher side. Again, there is a very calibrated growth in these markets which are 5% to 7%, we deepen our presence, and in the less than 5% market share are the geographies which we plan to expand. So together, if you look at the mar ket share, has moved from around 5 -odd percentage three years back to around 7.6%. This is a time when we had invested a lot in our processes and which actually scaled up our business in the last two years. Now with this, we are well poised for a very cali brated growth in the geographies with deep presence and in other geographies where we have a lesser presence. Now if you look at how this entire last two years, what all we have been building on as has been explained in the previous presentations, through the life cycle of the loan which comes in your system through the different checks that happen, ending in disbursement, data and technology are strongly admitted. So when at the time of data entry, whether it is about validation of the KYC of the customer, validating the customer, whether the customer is genuine, geo tagging of the customer to ensure that the geo limit is as per the prescribed norms. There are diffe rent partners who help us in ensuring that this validation happens real time. And now when it comes to the credit check, there are various rule engines which happen behind the entire loan system wherein there are internal dedupe checks which happen, which checks whether the customer is already a customer in any other product line, whether the

re's an employee check done to see whether there is
any dummy applications coming in. So there are a lot of risk checks which happen over here and what passes through the credit rule engine runs real time to check the exposure association as well as the DPD nor ms and

within a minute the credit sanction is given. So, this helps us ensure that we are communicating the decision with the least possible time. Now the third point, this is about the huge repeat base of customers. It's very important to know that these customers who are already on the book at what time they become eligible for a loan and what sort of offers can be given to them. That is on time, real time we are checking with this with the bureau data and we are rolling out pre -approved offers for these custome rs. So that is one of the reasons why we have a very strong repeat franchise and this is the inbuilt system calculator which actually derives the income based on the trade activity. Now coming to disbursement, if you look at all of this, the penny fuzzy checks validates the bank account of the customer to ensure that the funds reach the right customer. This is something that we have implemented last year, data driven analytics to ensure that we give the right risk -based pricing to the right customer wherein a repeat customer who has a lesser exposure gets the best interest rate. Customer onboarding we're doing through e -sign so that there is no paper which is signed by the customer and servicing of the loan through PLANET App. So, a rural woman in the rural area who can access her entire loan details through the comfort of her mobile, see the loan outstanding, make digital payments and also get an SOA downloaded is something that we provide through PLANET App. Now as a result of all of this, what we have been able to achieve is what is captured over here. A monthly disbursement increase of around 42%, a percentage of disbursement happening through straight pass -through which is 25% of the total business that happens through this. From sourcing to disbursement TAT reduction from four to 2.5 days and 100% paperless disbursement. This is on the disbursement and productivity side. While we look at the collection and the portfolio side, this is what you see. For collections monitoring, we have automated route maps w hich is developed so that we can track the entire collections team who is doing the collections on the field and monitor that. There's real -time receipting. For the MicroLAP business, we have 100% mandate registration and account aggregator data being pulled to ensure that the customer is right for funding. In terms of digital collection, we have given the customer multiple option s to ensure that we do digital collections very methodically on the field. And portfolio tracking, this is extremely important be cause when we enter a PIN code, it's very important to know whether that PIN code is something that we would want to do business and whether the PIN code has any trends which are pointing towards a lack of safety in operating in that PIN code. So , this is where we ensure that we do a lot of data analysis. Once the customer comes on board, it's important to monitor the customer's behavior in terms of increasing leverage, in terms of delinquency outside while still being regular with us. All of these are very predictive methods by which we try to understand the customer much better before the customer shows a behavior in the book and helps us ensure that our portfolio monitoring mechanism is very robust. With all of this, what we have achieved is this 99.5 percentage collection efficiency as on September, which we h

ave touched at 99.6 in October, 96% zero DPD
book, 96% full group collection, 2.6% 90 plus DPD and 35% digital collections. So , this is the impact that digital and tech has caused in our book. Now wh en you look at the journey forward and on some of the things that we are working on as well as some of the projects which are taking shape are these. So , the one on customer identification real -time alerts, this is majorly for ensuring that our exclusive customer remains with us. And whenever there is a bureau inquiry from an exclusive customer, we are able to reach the customer in time to provide a loan. There is a propensity model which works on, works behind the entire system, which will tell us out of the entire repeat base of customers, which are the customers who are likely to take a loan and hence help us improve our efficiency. We have built DIY journeys on PLANET app so that repeat customers can approach the company without waiting for a field agent to reach her. In terms of customer appraisal, we have built alternate data access as well to ensure that we know much more about the customer before giving her any exposure. In terms of collection, there has already been details about bot calling the cust omer to ensure that we inform the customer about the due date well in advance. On AI capabilities, we are working on a couple of things along with Debarag and the entire team. In terms of geo -expansion, how do we overlap the entire socio -economic patterns in the area along with the bureau data to ensure whether we should open our presence in the right markets or not? We are also working on a score based on the customer lifestyle so that we know whether the customer whom we are lending is the right customer. This is also used to track group collections as well as provide a real -time helpline to the sales team to resolve any queries. So , this is on the tech and the data enablement in the business, which has helped business scale up.

A quick look at the business updates. These are graphs that you would have seen as part of our market disclosures. So , when the industry went through the largest crisis that we have seen, one of the most important things that was being tracked was the percentage of portfolio which was having more than three lenders. So, when we started off and when this entire crisis started off and when this was being measured in the market, we were at 17 percentage. From 17 percentage, it has now moved to four percentage over the last five quarters. So now it's just 4 percentage of customers who have more than three associations, which is a very minimal portion of our portfolio at this point. So, if you look at how it has fared compared to industry, we are here. Here I have marked Q1FY26 because I am comparing industry with Q1 data. Q2 data is not yet available for the industry. So , this is how the other major players pan out. So , you can see the percentage with more than three lenders is around 7 percentage to 11 percentage, whereas we are at 5 percentage, which shows that our portfolio is under leveraged. And if you look at collection performance, as was explained in the first presentation, our collections has remained steady, except for this blip where the Karnataka crisis happened. We have been able to maintain collection efficiencies well ahead of the ma rket, both in zero DPD as well as zero to 90 DPD collections. And the resul t of this collection efficiency can be seen in the zero DPD book and the 90 DPD book. This is indexed across industry. So, you see this industry representation of 100 %. Our zero DPD book has been at 111 percentage, climbing up to 126. So, it has

been increasing steadily. And the 90 plus DPD book, when industry is at 100, we
were at almost at one third of the industry. And to day we are at 12 percentage, which is much lower than what we used to be in the past. So , this shows the portfolio quality as well as the resilience. Now, if you look at the business, as has been explained in the first presentation, we have been able to maintain the disbursement momentum during the crisis and scale up quietly at the same time, working on the various digital as well as tech initiatives and understanding who are the right customers to lend. And we have been able to come back to the 2000 trajectory of business. And if you look at this business, how has it enabled AUM growth? Our AUM has moved from 25,795 to 25,962 between Q1 to Q2 in the last one year. As I said, we did not degrow the book. We have been able to hold the book. But when you compare it with industry, the industry picture is very different. There has been serious degrowth in the industry. That's one place where w e have been able to maintain our book as well as the disbursement trajectory. Now, moving on to that's all about the JLG business, moving on to MicroLAP business. When we entered this product, what we looked at is which are the more potential markets in te rms of market presence. And we saw that there are southern markets which are pretty large. There are markets on the western side as well, which are pretty large, whereas the market was pretty minimal in the eastern part of the country. So , our geopresence started off from Tamil Nadu. Right now, we are present in almost 175 points of presence in these geographies. Now, we are at stage at which we are expanding these five geographies where there will be another 75 -odd branches coming up. So by the end of the year, we would be having 250 points of presence. Now, how has this business scaled up? From the start in Q3FY24, the book has built to Rs. 843 crores and is well positioned to touch Rs. 1000 crores by end of this quarter. A quarterly business trend of Rs. 200 odd crores, which is around Rs. 70 crores of business per month is what we are clocking in right now. And the key portfolio metrices are captured here. We operate at a FOIR of 47%, an LTV of 52, regular collection efficiency of 99.9 percent, and portfo lio yield of 18% to 20%. So that's on the Micro LAP business. To conclude, the JLG portfolio that I explained gives us benefit in terms of strong rural penetration, strong customer connect, and resilient performance, and the Micro LAP business, which gives us a secure product to balance the unsecured

mix on the JLG s ide, higher ticket size, and lower credit costs. Together with both of these businesses, we are ready for the future growth. That's it, and I would like to invite Asheesh Goel, the Chief Executi ve of Farmer Finance, to come on stage .

Asheesh Goel :
Good evening. You guys have heard a lot regarding the interventions that we've taken over the past one year. Ramesh and Debarag took you through what's under the hood, what's the work that's gone behind getting that to fruition. I'll try and dimension out as to, from a business standpoint, what is it that we were looking at or aiming to gain out of it, and also try and quantify the same. However, before we do that, it's only prudent to look at, you know, how the year has been so far, and because the busines s is actually subject to the vagaries of the rural macroeconomics. Let's look at the four vectors which really impact us. I mean, whether it is the rainfall, whether

it is, you know, the kind of water reservoir levels that are there, the kind of harvest that

comes into the Mandis, or
the kind of sowing that's happening, you know, all of them are green, all of them tick off. This is very different from what it was two years back, wherein all were in the red, and the result was a year back, we saw the stress that we did in the market. Now, this augurs well for us, and as a result, our AUM has already crossed Rs. 15,000 crores. We've serviced over 11 lakh customers, and ou r active dealers stand at greater than 2,500. What you see over there is productivity, which has increased by 14%, and the new tractor disbursement by 13%. Now, this is one of the outcomes that we want from the interventions that are there, which is efficiencies going up without adding manpower, and t hat's something which is clearly evident here. The new business of WRF that we launched, that's moving in the right direction, and we saw a 55% growth, although at a small base, but it's again directionally goi ng right, and also the product's working well, because the MTM on WRF was sub -1%, of which also 40% got auto -settled. But like we've been talking about risk -first, tech -first, let's look at a few things as to how the portfolio is doing, and we'll have a lead indicator, and we'll have a lag indicator. So, if you look at the lead indicator, that's the non -starters, and if y ou look at it, this is indexed against March of 2024, and from that, it's constantly on the way down, currently standing at about 35%, but from a peak down big time to about 35%. Then, if you were to same time map it against the industry delinquency, and this is 12 MOB 90+. The thing to be noted is that while there is already a difference, this 79% actually refers to this period. So, as this period and the impact of that keeps on c oming in, we are very confident that we will start to see a wider separation between our performance versus the industry. Let's look at a few more collection numbers, and what has this been driven by? So obviously, the E -NACH penetration stands at about 88%, and the clearance at about 72%. Again, this number is relevant, because two years back, this used to be a single -digit number. Again, the overall bankable pool has gone to 70, with a clearance of 66, meaning two out of three people are paying me through their bank account. The result is collection efficiencies, which have seen a clear uptake versus the last year performance, and are up by about 100 basis points for the first half of the year, and also the on -due d ate collections, and the 0 DPD book has moved up by 2%. Again, a thing to note that while my on -due date collection has gone up by 4%, my cash collection has come down by 4%. Now, moving on, again, impact of Project Cyclops . So, one of the things that we wanted to achieve, so there were actually three things that we wanted to achieve. We wanted to have a differentiated offering, we wanted a better TAT, and we wanted a better portfolio. Now, let's see how we fared against eac h one of them. So, we actually launched Project Cyclops in April, with about 16% of our dealers. 91% -- 90% got a better offering than the standard of what they offered for, and 2% were the ones that got lesser than that. Our biggest concern was, as we go 100%, will this hold good? September, we were at 100%, and the offers continued to be better for 91%. The LTVs moved from 67% to 72%, 70%, about a 3.5% upside, and the ticket size also went up, despite the decrease that we saw in the cost of the asset due to the GST release. On the TAT front, we had 19%, that was STP. 81% still had manual underwriting interventions, which has now come down to 64, and 36 moves through, leading to much better TATs. On the GNS side, if you look at the portfolio, 20% of the book was Project Cyclops underwritten, and about 80% non -Project Cyclops . The GNS was 23% on non -Project Cyclops , and 17% on Project Cyclops a clear reduction of 6%, and obviously on the non -starter, a minuscule 0.2%

against a 1.9%. Although these are early signs, and the book is yet to come to full maturity on the Project Cyclops written book, but it's moving in the right direction, and showing us the kind of improvement that we expected to bring to the table. The second thing, if we move on, from a customer, there is another customer which is very, very important for us, and which is the dealer. And Ramesh, in his presentation, talked about the fact that we've launched something for them. Here again, we wanted to give them a one -stop shop with a lot of transparency and control, and allowing them the ease of doing business and not being dependent upon the frontline guy to be able to do that. As part of that, we launched the Partner PLANET app. Let's see exactly what that brings to the table. So again, I won't to go into the key features. They have already been discussed. The proof of the pudding is in the eating of it. What did we see? We saw a 25% increase in the TA disbursement, with 10% more dealers taking paid advance from us. Let's look a t a few collection numbers, and from a collection numbers, as to what is the impact of the d igital interventions that we've taken. Here again, the objectives are very, very clear. We wanted to give the frontline a unified platform, wherein all the details would be available to them for them to be able to do their job more effectively, to be able to track them on a real -time basis, and also to have litigation management processes, which allowed them to do the settlements at a better pace and at a better number. Three of the things that we started, we obviously gave them a Brake app, which was a sin gle point contact for them to be able to get

all the information, an activity monitoring app, which was there, that the first level and the second level supervisor could track them. And the third was obviously a litigation management tool, wherein all the notices were automated and would go through a nd be tracked. And from there, it would move into the brake app and be available to the frontline once he met the customer for any discussions. Like I said, it was simplified, paperless journey, allowed for the resources to be optimized to the maximum. Her e again, if you look at it, we had a touch -free collections going up by 9%, the productivity increased by 5%, and the settlement TAT came down by 2%. One more thing that we wanted to do was use analytics for our collection strategy. So a lot of times we look at customers from a sales point of view, wherein we say we have a personalized offer to them. We try to take the same concept and say, what if you were to do it from a collection standpoint? So we wanted to actually have a personalized collection effort depending upon the customer profile and actually have the right channel, the right time going to the right customer. Two things were used into this. One was the customer risk score and one was a predictive EMI bounce score. Now, both of this were put together to be able to come up with a decision engine, which would tell me as to where this would go. Obviously, what was used in this was repayment behavior, both on us, of us, loan parameters, crop details, demographics, custom er banking details, and this al lowed us to be able to come up with that predictive model. Ultimately, again, is the result that brings us that this is something that's working well. 156 basis point betterment on collection efficiencies on the 0 DPD book and the bounce rates coming down by 9.44%. Now, all I like to say is with all the lead indicators for the macroeconomics, taking off well, all the interventions helping us take us into the right dir

ection. It only makes us believe that the risk calibrated growth that we are looking at is just around the corner for us. Thank you. And I'd like to invite Jinesh to please come and talk about the urban secured landscape .

Jinesh Shah :
Good evening, everyone. I'm Jinesh and I look after the urban secured space. Happy to speak to you all here today. What I am going to do is take you through what we are doing on the home loans, Two -wheelers and the insurance side of the business and how th at is actually changing the shape of L&T finance's overall book. A quick snapshot in terms of where we are. This is what the book looks like today. On an overall basis, the portfolio is today heading at about Rs. 10,000 -odd crores of disbursements that hav e happened in the first half of the year with overall disbursements and book leading to about Rs. 40,000 -odd crores. This is broken up with mortgage and Two-Wheelers in the ratio of 54% and 46% and disbursements in the ratio of 68% and 32%. Also from an insurance perspective, there are four broad products that we are offering to our customers today. They are basically linked across life, health, motor insurance and EMI protection. Today, 95% of our book has some or the other insurance that has been cross so ld to the customer. Also, if you look at the income per case, it has actually gone up by about 23%. So clearly, we are reaching out to customers using the database to actually sell insurance to customers. One of the new initiatives that we will be launching as part of our quarter three initiative this year will be actually to launch the retail cross -sell model with far more API integrations, better commercials that are there for our customers. Now, where are we on the overall urban secured business? We have close to about 90 lakh customers, 87 lakh plus to be exact. That's part of the overall number of about 2.7 crore customers that are there in L&T. We currently lend in 160 plus markets. We have close to about 9500 touch points in terms of sales for dealers , DSAs, etc. And we have close to about 6000 odd employees who are working with us on the overall piece. All this is building up a large distribution across the secured lending business. I will now break this up into two parts on the home loans and the Two-Wheeler side. While I start on the Two-Wheeler side of the business, we have broadly about a decade plus of history in this business that we are running with. And one of the big advantages that we bring here is the 100% digital journey that is there. You heard Debarag and Ramesh speak about Project Cyclops . 100% of cases from January onwards this year have been only going through a credit decision engine. Nobody can overrule what is there as part of it. And that's in fact one of the biggest advantages that come out of this. We have close to 80 lakh customers who have been serviced on Two-Wheelers on an overall basis within our business, with 8500 dealer touch points that we are actually servicing today. That kind of gives you the idea of the number of places that we can actually cater to customers. These 500 0 odd customers who are part of our Two-Wheeler business are actually catering to all these touch points, leading on to some broad indicators of 28 months of tenure and a 1.1 lakh ticket size that is there today. Now, what does this translate

into from a Project Cyclops perspective as well? Our book today is close to about Rs. 13,800 crores. And of this Rs. 13,800 crores, Rs. 8,700 crores is actually sitting in a Project Cyclops driven credit engine. That means close to about two -third of our book is today being underwritten thr

ough a digital process. Some of this book, like I said,
has been prior to Jan -25, which obviously is today running off by itself. What is also important for us is if we look at our peak months, which are typically during the festive periods and when most people buy Two-Wheelers, we see actually productivity per employee go up from about Rs. 18-odd lakhs to about Rs. 25 lakhs. That by itself is a significant number which has gone up. And this increase is despite the fact that we are getting a much larger prime share from our customers. Today, 87% of our customers are actually prime. That means their behavior on credit, on behavior on payments, etc., is significantly better than what we would term as non -prime customers. Because of this kind of behavior and higher banking penetration, whi ch I will discuss later, you will also see that our yield on this profile of customers who are relatively better has marginal ly fallen from 19% to about 18%. But this drop has actually resulted in a risk adjusted return going up by 1.61% or 161 bps. Now, clearly the quality of the customers that is coming in through the door is significantly better and giving us a better return as part of our overall strategy. This is part of our journey and Debarag kind of covered this in terms of his earlier presentation that was there and how we gradually increased our penetration on Project Cyclops on a test basis. We gradually started off with 4% to 5% of our dealer counters actually starting off with Project Cyclops and by January -25, we moved on to 100%. Now, what is really the outcome of this is what I also want to share with you. The outcome of this is our GNS today on an indexed basis, which last year was at about 100. If I take November number at 100, we are tod ay sitting at a GNS of 57%. So, we are close to about 43% of our peak number of what we saw in November. What is our bounce rate? If I was to take November again indexed, we are sitting at a 69% today. That means close to about 31% has actually improved th e quality of the book that's coming in through the door. These two things are a large indicator of what we are approving and what the behavior of the customer is actually. Another important indicator for you to look at from a Project Cyclops perspective and where I spoke earlier about 63% of our customers are coming in with banking. That means the customer who's let's say walking into a Bikaner or into a Nasik or into an Aurangabad showroom is sharing with us his banking information for us to decide whether to lend to him or not, 63% of them. That is an indicator of the shape of things to come. That means we are able to do a much better assessment of these customers on a forward -looking basis. When we do a better assessment, we are seeing that the bounce rates have actually fallen. We are looking that their GNS is much better and their collections efficiency is also much better because we have assessed these customers differently. What is also happening is from a partner perspective, we have much better acceptance of L&T at the dealer counter. That actually tells you that we are getting a 89% chance to actually review every case coming in through the door at a dealer counter where w e are present first. We are getting a much higher approval rate from 55% moving to about 64%. That's close to about a 20% higher approval rate. Our LTVs that we are offering customers now who are coming to us with banking and a better profile is also much higher. That means close to about 80% average LTV we are offering to these customers who are coming to us with this information. And our GDP dealers, now what do we define as GDP dealers? These are our top -end dealers whom we term as gold, diamond, or platinum dealers. GDP, unlike the GDP that you refer to as part of e conomics, these are our gold, diamond, and platinum dealers. We have 1800 such dealers today with us who are doing their business. We

actually wanted to test what
is really the outcome of our selection of customers versus that of the market. We took help from TransUnion CIBIL out here to look at what is the Two-Wheeler segmentation of their base and how are we performing against that. We identified three segments out there, low -risk, medium -risk, high -risk, and typically with TransUnion, they have these kin d of bad rates. Low -risk has a 1.5% and a high -risk has a greater than 12%. Now what is defined as a bad rate? Bad rate is basically 90+ at 12 MOB with an 80% LGD. LGD is loss -given default. If we were to compare our pre -Project Cyclops book to our post -Project Cyclops book today, we are clearly seeing that where we used to be at a 5% average bad rate, we have now moved to about a 3% average bad rate. So that's actually telling you that we've been able to shave off 40% of the bad rate that was coming in through the door from an earlier selection. And this is not vetted by us. This is also vetted by an independent, external, established credit bureau. That kind of tells you how things are really changing. While that is on the business side, on the collection side, what ar e we doing? We have now focused very differently on the collections front. We are reaching out to customers a lot earlier. We are using the help of digital channels to reach out to customers and make sure that their payments come in in a much faster manner . Now, you will ask me what is really the impact of all this? Well,

the impact of all this is this. My X -bucket, if I was to look at it in an indexed manner, has actually fallen down by close to 16% at a time when my book is actually growing. My buckets 1, 2 and 3 have all seen a downward trend compared to what we were in April. And in all these months, we have only increased our book size. So in a growing book size, I have lower delinquent book, which is actually telling you a good story about what is happening on the Two-Wheeler side. I have met up with some of you during some of the reviews that have happened. And this was exactly the story that I had spoken to you about. And now we are seeing it in pure numbers over this period of time. What are our strategic levers that we are looking at in the next few months? I won't delve into all of them given the paucity of time. But one of them that we are trying to bring in is obviously our differential QR journey, where customers can actually jus t scan a QR, fill up an application, get approved instantly. Another one is where we are trying to do a lot of integration. Today, we have an integration with two large OEMs. Hero and Honda, as you know, control more than 50% of the market today. With two of them, we are having an integration which has been done and we were live in September -25 to ensure that we are able to cat er to them in a much better way. During the festive season, two other large manufacturers, and I don't need to tell you the names of them because there are really only four people who control 85% of the market, but we 've also gone live during the festive season with them. One of the big things that has worked out for all these things is the kind of relationships that we have with our dealers and what we do. Ramesh spoke something about the dealer app that is there, the partner PLANET app. Ashish just before me spoke about s ome of the capabilities that are there. We've enhanced some of these capabilities for our Two-Wheeler dealers because the requirements of a Two-Wheeler dealer are relatively further different from wha t is there. The next video will actually take you through this .

Amandeep Singh :
I would like to extend my app

reciation to the L&T finance team for developing the partner PLANET app, a truly remarkable initiative. Platform seamlessly integrates key dealer requirements such as TA status, disbursement, delinquency, RC pendency, pre -appro ved TA limits, statement of account and customer wise case tracking all in one unified interface .

Sachi Autonet :
Disbursement process traceability is really helpful wherein you can plan your business and that leads to improving your finances and the stocking of the vehicle .

Jinesh Shah :
So that's the capability that's coming in as part of our PLANET 2.0. The verbiage that you actually saw from some of our dealers of Hero, Honda, etc. is actually what we are doing with them and what they've actually said as part of the overall delivery. Now just to explain to you where are we, finally it is the financials in terms of where we are from, where the numbers are growing, how much has disbursements grown, how much has book grown and how much has collections improved. If you see out here in line with the industry growth, our new application logins have increased by 5% and so have our disbursements gone up by 5%. Our ATS because we are focusing on a better profile of customers coming in through the door has also gone up which is the average ticket size while the tenor largely remains the same. While this is on the new business generation front, this is how the coll ection side has actually performed. Our 0 DPD collections efficiency has gone up. Our self -cure which is a very important factor which dec ides our cost to collect has actually improved by 280%. Our 0 DPD bounce index has actually fallen down by about 21%. Our credit cost has actually fallen down by 47% and our collections cost by about 11%. So, all these are indicators of a growing book, good profile of customers with much better collections efficiency that is there in some manner. That's in sum total our Two-Wheeler business. I'll move on to the mortgage side. Mortgage once again a decade old business with us close to about 28,000 odd crores of book but what is important is that we are really lending to a pristine set of customers that are there. If we were to compare our delinquency with that of the market, we are significantly better. Our loan to value is also significantly lower as you see out here and the average ticket size is very nicely pegged at about 67 and 90 lakhs. We are not really in t he low ticket today so clearly we are in a much better segment that is there. All this based on a strong footprint of close to about 60 plus markets that we are lending into, a better profile of customers and what we have done is we have

expanded our suite. I will be covering this a little later to focus on high yielding customers of mortgage who either take home decor or take our mortgage plus product or take our LAP product. All these things are actually going to increase our revenues by our focus out here. Needless to say customer is king. We will continue to optimize as far as that is concerned. But one of the best things that we have been able to do on the mortgage side has been our entire revised digital process that is there. This en tire digital process is 100% paperless in terms of where we are. So let me throw some light on that. This is where we are as far as our Neo 2 platform that we have just launched. The entire process end -to-end is completely digital. Right from the applicati on form all the way to signing the final loan agreement that is there. And what we do is we do a triangulation of client data, whether it is to do with KYC, whether it is to do with income, whether it is to do with bureau, i

t is to do with banking. You saw
the entire spectrum that is there. When Debarag spoke about what is the capability of actually capsulating all that together as part of the co -pilot that he has launched for the SME business, that is exactly something that we are also going to be doing as part of our mortgage business to improve the efficiency even further. Today we have an automated CAM which is already happening, which is a credit approval memo that is already improving efficiency. If we see today 83% of our base is 730 plus on the burea u. Our TATs that we have are anywhere between four and five days. Our lowest TAT across both is actually about one day and underwriter productivity has gone up by about 22%. That is just an indicator that the investment into technology is actually helping us improve turnaround time, client experience and underwriter capability. So where are we on the financials? On the overall book, the book has grown up between last year and this year by about 26%. Disbursements are up 7%. I spoke about high yielding produ cts. We are at close to 6x growth on high yielding products that we are working on. We are not doing the pure, I would not say not doing, we are less focused on the pure pristine low value home loan products that are there. We are trying to shift our focus towards high yielding. Our net promoter score from a client perspective has actually shot up because clearly we are getting digital data, we are able to quickly respond to customers and handle them in a much better way. Now, if I look at collections effic iency as well, which all these are collection parameters, our collections efficiency has improved marginally. And if we look at a 30 plus DPD has actually fallen overall 30 plus and zero plus DPD has also fallen. Credit costs gone down by about 46% and collections costs gone down by about 22%, both these are indexed. That's just an indicator of the shape of things that even the mortgage book, despite its aggressive growth over the last couple of years, is actually telling us a better story than before. Movi ng on to what is our strategy as we move on. This is broadly at a very 30,000 feet level, what is an ideal process that should be there for a mortgage perspective. These five green boxes that you see out here are today all digital. The part that we have no t been able to digitize and which is what we are working on is how do I get the entire property details. Now, Debarag spoke about trying to get photographs of customers' houses, do an assessment and take that forward. That's something that we will build on . Legal documents, which are basically the property papers that are there of the customer, how do I assess them to be accurate? And how do I get a valuation done in the best and the fastest possible manner? These are data integrations that we are working on to increase our overall market space for home loans. From a long -term perspective, these are the various areas of backward and forward integration that we actually want to do as part of our home loan business, where we will try and reach out to customer requirements that are pre -buying as well as post -buying, trying to make sure that the entire experience of buying a house is very, very different from just saying that this is a plain, simple transaction to moving to a transaction plus service in some mann er. So, that's the end of my presentation. This is actually encapsulating the entire piece that is there on the home loan side. I would request Manish to please take forward the unsecured lending side of the business. Thank you .

Manish Kumar Gupta :
Thank you, Jinesh. My name is Manish Gupta and I lead the Unsecured Business for L&T Finance. Now, we've heard Debarag , Sudipta and Ramesh kind of talk about multiple initiatives on the tech and the data side and I think Personal Loan has actually been one of the biggest beneficiaries of that particular transformation that

has
happened in the last one year. So, let me kind of just go back to about a year on what we promised and what we delivered as a part of our in the last one year. So, we actually -- our whole idea is to actually embrace technology, embrace innovation to actually build a very strong quality portfolio. No w, we talked about two main things last year. We talked about fostering mega partnerships. We started off with Cred last year. We launched Amazon as

a part of our digital day, as a part of our RAISE last year. And basically, we talked about a NextGen underwriting architecture. Now, I'm very glad to say that from a 2% contribution of these mega partnerships, we are now moving to almost 43% contribution of these mega partnerships, which are with PhonePe, Cred, Google and Amazon, which are now contributing to a very large book that we are sourcing today. Now, not just that, we've also revamped our underwriting policy last year and that has shown us amazing results that are there. Project Cyclops , I think Debarag did talk about that we are going live. It's under implementation and we'll go live in the next one or two months. What has it given us? Now, if I look at the salaried customer base at an overall book level of what we are sourcing, that number has actually moved from 37% to 57%. Now, this includes the cross -sell portfolio. So, in our new book, it's actually much, much higher. If I look at t he customers who are 750 plus CIBIL, which are actually very, very good, that number has moved from 54 % in FY25 to about 69% in FY26. And what is also interesting is that basically our customers whom we are sourcing and who have a secured trade line. Now, what do we mean by secured dominant trade line? The customers who have a home loan or a Two-Wheeler before and they've shown a certain behavior on that has actually increased from 21% to 37%. So, we are getting quality customers across our book and not just from a large partnership, but across all our partnerships that you see here. Now, if I go t o the act ual numbers, September -24, we were actually disbursing about Rs. 476 crores of Personal Loans. Now, that number has gone up 146% to about Rs. 1,170 crores. Now, how did it go? We actually see that the orange line that you see here is the mega partnerships that we fostered that has grown from Rs. 12 crores contribution to now Rs. 500 crores contribution, which is actually even higher than what we actually disbursed in a month across all our channels. So, that has given us some very good results of the growth that you see in the Personal Loan book. But the growth actually has to come with a very important factor, which is risk. Now, if I look at what has it gi ven us, it has given us a very important portfolio quality, which if you see the four big parameters that I'm talking about, bounce rates, our bounce rates have gone down from 14.1% to 8.2%, which is a decrease of almost 42%. Self -cure which Jinesh also ta lked about, which actually gives about almost 1/30th or 1/50th cost as compared to a field collection has actually gone up by 119% from a 15% in September -24 to about 34% and it's keeping on increasing. And our GNS and NNS, which is gross non -starter and t he net non -starter, which is the customers who are coming in the first time, are they bouncing or not? That number has gone down from 5.2% to 2.9% and 0.53 to 0.16. Now, how has that happened? On the bounce rate side, we are actually doing a lot of data. S o, pre -delinquency management. So, we've built multiple models, which are effectively then through what kind of digital channels through that particular PDM (Pre-Delinquency Management) model

is what
we are trying to kind of remind the customers that they have to keep money into their account. Self-cure, you've heard Debarag and Ramesh kind of talk about the multilingual bot that is there. So, basically, we actually contact the customers in multiple languages through a bot, which actually gives us this number. And, of course, on the NNS side, th ere is again, there are multiple models that we've actually deployed, which has given us these numbers that you see right now. If I go into what exactly did we did in detail. Now, the first thing that we did and that's how we kind of launched all of these partnerships, which has given us great results is actually build a very strong tech layer. Now, that tech layer effectively is our core systems, which are our LOS and our LMS. On top of that, we built an internal API gateway and an external API gateway, wh ich is built on micro services. And that connects to both the lead generation partners, which are basically Google Pay, PhonePe, INDmoney, Amazon, Cred, etc. And our underwriting stack, which is our internal stack, which is there which connects to external partners, which actually then gives us a completely digital underwriting process through multiple data points that are there. And, of course, that then finally converts into once the customer is onboarded, then how do we do collections on these customers, which are again, through some of these partners, through which all of this is completely integrated. So that's the architecture that we've built, which effectively is robust and can help us scale up to whatever number that we want. Now, in terms of detail s, distribution, we've already talked about large partnerships. We've talked about native journeys. Now, for each of these partners that you actually saw, we've actually built native journeys, which effectively give the customer best -in-class experiences. Basically, even on our cross -sell side, which is almost about 25% of our portfolio today, we actually see data and technology, again, using multiple models to actually target which customers are actually wanting to take a loan, and therefore, basically, wh ich are our best customers and then go after them, rather than actually going after all the customers which are eligible for the loan. And of course, the micro services stack, which I've already talked about. In terms of risk and policy, we've got digital underwriting, use of alternate data, which will actually go into Project Cyclops

as we move forward. And, of course, with all our partners, we've actually done a data room exercise to ensure that we are taking the goodness of what the data that is there of these customers to actually build a great underwriting process and models that a re there. Collections, GenAI bot what we've already talked about. We've talked about PDM (Pre-Delinquency Management) management. And of course, the two things that are not mentioned before, which is basically our allocation to which channel the customer who's bounced goes to is actually all technology and data driven. We've got DIY journeys for settlement for customers who want to settle. So, if the customer actually comes on the PLANET app, he can actually and if he's eligible for a settlement, he can actually go and settle as well. So , these are various transformations that we've done as a part of H1FY2026. As we move forward into the next half of this year, our objective is to create a scalable business, which is which is of quality, but also kind of create a great customer experience. And I think that's what we are focused off in the next half as well. So , what are the things that we're doing?

You've heard Ramesh talk about the multilingual bot
for sale. You heard you saw the demo as well. We're doing an in -app agent. I'll actually talk about that in Agentic voice based chat interface, which is their revamped consumer journey, which again you'll see in the next few days. Our journeys are actually better, but we're keeping on improving that. And, of course, the loan offer pod, which again, Ramesh kind of talked about. Risk and policy Project Cyclops and Project Nostradamus will get launched very, very soon. And, of course, we are kind of doing pre -approved black boxes so that we get the best customers, not just at the bottom of the funnel, but also at the top of the funnel. In terms of collections, customers who finally go into go into a 90 plus, for example, there is a dedicated effort through agency maximization that we'll be doing a mandatory of banking. Of course, Project Nostradamus you've seen that it actually requires a lot

of banking information. You can monitor the customer, what he's doing, how his bank account information is changing, etc with consent, we'll actually be putting mandatory account aggregator and, of course, autom ated contactability through a customer consent. So , all of those initiatives will actually help us build a very, very robust business as we move forward. Before we actually close, I just wanted to play a small video, which shows you a glimpse of what that in -app chat agent actually looks like for our exist ing customers. So , this is a very short glimpse of what exactly is coming. There's a demo out there. You can actually go and experience this in real time, which will give you a detailed output of exactly what is happening. So that's the end of my presentation. Thank you. I' ll now hand it over to Abhishek for taking you through the SME business .

Abhishek Sharma :
Thank you, Manish. Good afternoon, ladies and gentlemen. So , in the next 10 minutes to 12 minutes or so, I will take you through SME sector, our understanding and our customer segment where we play in. The portfolio performance over the last four years, because we are just above a four -year-old business, per se. An d then a couple of use cases around how exactly AI is being used in terms of enabling underwriting for the business. So , with that as a backdrop, if we see the industry per se, it's a bit of a recalibration or sort of adjustment mode as we speak, with inqu iry volumes being muted and originations falling down. However, if we break it into further parts and try to understand that which sector is slowing down or which segment customer cohort is slowing down and which one is growing, then the segment which is around 1 crores to 10 crores aggregate exposure and by aggregate exposure, I mean all sorts of exposure that the person has, that segment which has grown in the last two years from around 41% to 43%. And this is the segment that we play, because our average ticket size is around 29 odd lakhs. And the minimum ticket size is around 10 odd lakhs. So that's up to from 10 to 1 crores is the segment that we play in and here this becomes a close proximate. Another defining factor about this segment is that this seg ment from a delinquency perspective also has been doing pretty well. And in last two years, the number has dipped from 2.3% odd to around 1.8%. So per se, this segment gives us confidence. And what helps us is that we continue to be focused in this particu lar segment and continue to bring features. So which makes our product attractive for this particular segment. Now, what exactly is our business model? How exactly do we play in this particular segment? The point one is around, it's a digitally native busi ness, which what I mean is that there is not a single physical signature or paper that we take in the overall journey itself. So that gives us ability to expand our locations, expand our area of operations, expand our channel partners exponentia

lly in a ve ry, very
short time frame. So just to give an example, in March -25, we were operating around 110 odd locations. In next two months, we were able to double and today we are present in around 200 plus locations. So that was possible

because the complete play is around digital agents. It allows us to expand the geographical presence of our business. The second aspect is around strong underwriting standards. What we do via Project Cyclops is break the customers into three cohorts of customers, which is around premium, value and core and then try to tailor our offering basis the customer segment that they belong to. And we'll talk about it a bit more in detail when we cover the Project Cyclops in detail. Last but not the least is we have been very, very focused on our collection efforts. We have been able to maintain our CD -CE at a 99.5% level over the last four years. And the intervention of AI has enabled the self -cure and call center piece t o go up. So today as we speak, around 45% of our cases gets covered by self -cure mode, which is through either nudges which is sent by AI or through the intervention of call center. So , to that an extent, the field flow is less, which has its own impact in terms of the overall cost of collections that the business has. Now with these two cohorts, if you map it against the industry, I would like to draw your attention to the right top tab le. The industry and index it to 5 to 10 lakhs being the core delinquency. Then the delinquency as we start moving up the ticket size, it starts declining with the sweet spot starting from 25 lakhs onwards. If we see the ATS of the industry, ATS of LTF is slightly higher than the industry. So , we continue to be focused on greater than 25 lakh segments and our ATS keeps growing quarter on quarter as seen through that particular table. Also, in the overall portfolio, we do not have anything which is NTC. So basically, we do not underwrite NTC, we do not underwrite thin file. So , the customer cohort is completely around medium risk or high or low risk. That's the customer segment that we play in, which is seen both through the CMR ranking of the customer that we have as well as their individual ret ail bureau that they have. That you see the portfolio is focused on prime, prime plus and super prime. As an outcome of that, what happens is that if industry standard is indexed at 100, our standard book is at 109, which then subsequently in the buckets, our numbers start becoming less. So that's the kind of play which is there. And hence what the outcome that we like to drive home is that because of the appropriate identification of customer segments that we play in, our overall retail, our overall perfor mance of the portfolio is a bit more risk resilient if we can say so. Coming to the business highlights, we are at around 6.23% market share. This pointer is not working. 6.23% market share and what we intend is to increase this market share to around 7% o dd. We continue to be focused on this sub -1 crores ticket segment by adding features so that our products becomes much more attractive to this particular segment. As in next stage, what we want to build is build on the partnership and direct sales team. Cu rrently in the overall volume, around 13% of the contribution comes from direct business. We would like to take it to around 25% level in a medium term 12 to 18 months duration time frame. So that's the aim that we are chasing. In terms of collection strategy, we have two -pronged approach. The first approach is that understand the portfolio performance and weed out the segments that we do not want to entertain. So a

round that various policy interventions keeps coming which is at the top of
the funnel that t hat customer cohort should not get into the portfolio itself. However, if they have entered, then we also keep investing in our collection setup and bring better structural changes so that our collection efficiency remains strong as seen in data that our c ollection efficiency at the zero DPD level has been in the range of 99.5 for last two years. That's the approach that we have carried and that's the outcome that we have. Now a bit of a deep dive into Project Cyclops , with the lens that how exactly it gets used or what exactly use case it was solving for. So , if we see SME underwriting, the first thing which happens is that there are various data points that needs to be seen to appropriately bucket the customer that how risky that customer is. Those retail data points would be related to his retail bureau, the commercial bureau, the banking, the GST and his income statement. And one by one, the credit manager used to go through all this all these things and then start understanding the riskiness of the customer. The second aspect was that while these data points were available, they were not available in one shot. And hence, a unified view of the customer was not seen at a point of time that used to be seen over a point of time, but not at the same point of time, resulting to higher turnaround time. So , what Project Cyclops solves is that it takes all the data points and buckets the customer into premium value and core upfront itself. So that allows us to have a better customer segmentation and enables underwriters to then have a more consistent, more accurate assessment of the customer. What it has already helped is in terms of productivity enhancement that their turnaround time has reduced by half as seen by the data. And what we expect is that going forward, it will also lead us to have a better credit cost control. Now, t he month of November was a unique month in one aspect that the Project Cyclops went live on 12th of September. So in November, the first billing happened. And there were two kinds of customers whose billing happened in the month of November. One which were underwritten prior to 12th of September, which we call it as a control group, if one may say so and the portfolio which was

underwritten post 12th of September. Now, once their due date happened on 3rd of November, the GNS performance of Project Cyclops underwritten portfolio is around 160 basis points lower than the non -Project Cyclops portfolio. So that's a good data point to have. Also, in a single month, the contribution of premium that if we back calculate our complete portfolio and see it via the lens of Project Cyclops , then our premium used to be is around 37% in the pre -Project Cyclops era. In a single month, it moved in terms of incremental sourcing by around 300 basis points. So that's another good thing, because the likely PD (probability of default) rate of the premium segment is around one fifth of the value segment. So that's the outcome that we expect coming out of Project Cyclops at a going forward basis. Further to Project Cyclops , we talked about project Helios as well, which was the underwriting co -pilot. It has given good results, demo is available, I would encourage all of you to see that. We have seen the outcome, very encouraged with that. So , on this, we are further building on Phase 2 and Phase 3 of Helios, which is around other documents. So , Phase 1 is primarily focused on bureaus. What we want to build on is banking and GST as well on top of it. Also take AI to other aspects of documentation,

which is around
legal and tec hnical checks, as well as the universal partner API, which will help our partners to have a better lead sourcing and give a better customer experience. So , to understand that what exactly were the challenges which this AI solved for, we have seen the video of it. So, I will not spend much time, but primarily the data compilation part is the thing that is solving, which allowed the overall TAT to come down, because it is able to bucket the information into appropriate places, which is around overall credit summary, the derivative information, which if available in that bureau report, if it is even made there. And most importantly, it allows the underwriter or nudges the underwriter to ask certain specific PD (personal discussion) questions. This is the deviations or variations that it has seen in the bureau track record of that particular customer. As a going forward basis, we would continue to be completely focused on attracting the customer segments, which are risk resilient, wi de, having incremental features in our cold loan offering, which is through various feature addition, tapping into the new markets, riding on to the existing distribution of either Gold or Farm or Two Wheeler. Keep encouraging and having more and more part nerships, both on the UBL side, as well as on the supply chain finance side, we already have onboarded four anchors and two partners which we have onboarded. So overall, just to sum it all, we will continue to be focused on attracting a customer, risk resi lient customer segment in a digitally native play. With this, I would end the SME portion and I would request Mr. Raju Dodti to take us through the journey of gold. Thank you so much .

Raju Dodti :
Good evening, all. I think amongst all the products, this is a new kid on the block. Gold Finance business is something which we just started. And I would just take a few minutes to take you through why we acquired this business, how we integrated this business, what have we done so far and going forward, what we would do in

terms of expansion o f this business in our product suite. So , when it comes to this business, we were looking at finding a new product. As you saw somewhere in 2021, the last business, which Abhishek just presented SME was started and it was felt necessary that we have a new business. And that is where the high yield secured product in the form of gold finance was found a suitable product. It was also necessary from the following key aspects. As a whole, in banks and NBFCs have lend close to 13 lakhs in the gold finance market. And NBFC share straddles between 20% to 30% in that. We do have a physical presence in almost 2,200 locations in the country already. And we believe that getting i nto a gold finance business would be the right fit for us. And that is how we ended up scouting a boutique firm in Chandigarh, which is present in North and West. And we onboarded that particular business by way of a slump sale in somewhere June or 9th June exactly. We did the usual protocol of completing due dili gence, both finance, technical and legal. And we also ensured that all the gold packets of that particular entity were physically verified to ensure that we get the best in class business transferr ed on our side. And that is how we ended up beginning this business. On the day when we acquired, it was close to 700 employees which came on our side, 130 branches largely predominantly based in North and in West and a lakh customer with a n almost Rs. 1,300 crores of an AUM which we acquired. In a period, a short period that has gone by, we have ensured that we maintain the disbursement trajectory. In fact, we have improved on it. If you can see from the graph, we have had the highest amount of disbursemen t in the month that has gone by. And we have seen close to Rs. 200 crores of net growth in the business. So what were the key principles of integration that w

e
focused on? Ramesh, in his presentation, gave a detailed backdrop as to how the technology integration was the

key for this business. And it was important because we were keen to have a seamless onboarding of all the customers on our ecosystem without disturbing. And as you can see, when we closed the deal on 9th of June, the business when it got transferred, right from the time these branches became L&T finance branches at 9 :30 AM, the customer walked in and they got the, in fact, an enriched experience. And that happened because of seamless integration of IT systems. We also had to give a proper orientation to all the employees which came to L&T finance. And lastly, all the p olicies and processes of L&T finance, we being an upper layer NBFC, were required to be deployed onto this business. That too was seamlessly ensured. When it comes to the security aspects, we focused on physical as well as infosec security. We already had one command center in Chandigarh, which was acquired at the time of business. We created a mirror command center in our Mumbai office. This is to ensure that we don’t have a redundancy as well as when it comes to the expansion of this business. And I will briefly speak about it in the next slide. We have a parallel center in place in anticipation of that, that we ensured. And last but not the least, it was important for us to ensure that the Infosec security protocol for this business are at the same pedest al where we are currently operating on. And that too was ensured as part of the integration. So, this is when it came to the security, we kind of did it. In a hundred days of a plan, we also wanted to give the customer something new when they came to L&T finance branches. So , on the day when we started, the offices were made paperless. So , during this implementation phase, we actually implemented the e -sign protocol for all the customers. And I'm very happy to state that the customer's journey, right from the time the customer walks in was given in the e -signing format. And we also used APIs, got the Indian Bullion and Jewelry Association's gold rates live embedded into our system. So that the LTV calculation and the loan quantification is done automaticall y. So, these are a few of the things which we could manage during that implementation phase. So , what are the technology themes which we want to focus on? So, everything that we spoke about, the prowess of AI and digital, which we have inherently developed in L&T finance over the last 12 to 18 months period. And that has been implemented with Project Cyclops or Project Nostradamus and all other digital tools. We want to have a use case of all those being deployed for this business as well. Obviously , we would not be doing that in one shot to ensure that the business is not disrupted in the process. But these are the five key themes on which we will definitely be focusing on. I will not go through all these, but the one aspect which we want to genuinel y focus on is the 12 plus security protocols. And that is important given the fact that we understand that gold is quite close to customer's heart is being given the jewellery. And we want to ensure that the faith with which customers would be depositing this gold in our custody, we would like to take care of that gold as much as that lady in her house would take. As far as the command center is concerned, it's bit of an archaic system, if I were to use that word. Nonetheless, it is a two -factor security protocol which is there. But Debarag he in his presentation spoke about having the video AI being deployed over h ere. So , we have alread y exp

erimented as to how the AI -based systems
will be in a position to glance through videos. We have close to already many cameras in all of these branches and how the video feed would be analyzed with the help of AI as an additional layer of security that would come. This is also important from the point of view that as we will expand our branch network, we will not be forced or compelled to set up equivalent number of command centers across the country. We acquired close to 130 branches. On the left side of the screen, you can see geographies where these 130 branches are based at and on the right side, you can see we have already finalized 200 branches across the country. The centers which we

have finalized is an approach taken on the cluster -based approa ch. One, it must have the potential to grow the business. Two, we must have an existing L&T finance presence. This will ensure that our ability to scale up is pretty faster. So , these 200 branches is something which we intend to operationalize by end of th is year itself. So , in addition to 130 branches and I'm very happy to state that the existing company from which we got this business, they took 9 years to set up 130 branches, but the power of the brand of L&T finance has made us capable to inaugurate close to 200 branches in this financial year itself. So , we have a confidence and we are actually striving to have an aspiration that from April of 2026 onwards, in two years thereafter, we need to have a 10x growth of this business. And that is possible beca use if the first slide that we looked at, you must have seen that our existing microfinance customers have got close to Rs. 17,000 crores of gold loans, which they have availed from other financiers. And we want to make use of tapping those customers into system. Last, when it comes to the branch network, it is the stated policy of L&T finance that this is the 11th product in o ur product suite. We want to have a branch set up, which we would like to call a Sampoorna branch, as the word denotes in complete s ense, all products of L&T finance would be offered from that physical place. We did not have that kind of a structure so far.

We are moving towards there from the holy city of Ujjain. We have already inaugurated a branch. This is the branch wherein the gold loan, as well as all other products would be catered to and serviced for our customer. There is a quick video of what's ther e in that. So, as the culture of the country says gold shines, it is also considered as an auspicious metal. We believe that this particular metal and the business with which we are embarking on our new product journey should augur that much needed shine f or L&T finance armour as well. Thank you so much. And I will request Kavita Jagtiani our CMO to take us forward on the marketing initiatives .

Kavita Jagtiani :
Thank you, Raju. And good evening, everyone. This is the last presentation before the Q&A session and dinner. So, please bear with me. Well, since we all know that Jasprit Bumrah is the brand ambassador for L&T finance. So, I'm going to begin with a messag e from him for all of you .

Jasprit Bumrah :
Good evening, everyone. How are you? A warm welcome to the L&T finance investor digital day. We are thrilled to have you join us today .

Kavita Jagtiani :
Well, this video looks so close to real, but I'd like to share with you that this entire video is generated using AI. This is one of the limitless uses of AI and technology in marketing that I'm going to cover during the course of my presentation today. We ll, India is a cricketing nation. It's truly a passion for us a

nd especially now with the Indian
women also lifting the World Cup. So, when it comes to bowling, Jasprit Bumrah our brand ambassador is known for his speed and style as well as he being a game changer every time he's on the field. Now, these attributes resonate very well with our product categories. Hence, L&T finance Just Zoom Two -Wheeler Loan campaign is Ab loan milega, Bumrah ki speed par or our L&T Finance business loan hain apke business k a game changer. Zooming into our campaign, which is Just Zoom Two -Wheeler Loans, we were essentially the associate sponsors for the Asia Cup, which we incidentally also won. In addition to airing our spots on the India matches as well as the non -India matc hes, we also took up outdoors branding and branding on transit media and great presence on the digital and social media. However, we were able to drive a higher level of impact through technology interventions in our media execution. Let's see how. Well, in addition to our TV spots, we also played our Aston bands during the cricket match. What are these Aston bands? They're essentially bands that come at the bottom of the panel of the TV screen. Now, since Bumrah is on our creative, we wanted to maximize th e visibility by ensuring that these Aston bands are in sync with every time Bumrah is on the screen. So, that was enabled using a live stream technology through which either through recognition facial or jersey recognition, jersey number recognition of Bum rah, that these Aston bands were timed exactly when Bumrah was on screen. Here's how it looked. Moving on, we also took up advertising in transit media. Now, here too, we wanted to make sure that our advertising is contextual to the time of the day where p eople are traveling to or from work. Now, here too, we leveraged the technology. So, on a real -time basis, audio ads were placed in the metro, basis the time of the day. So, here is what, let's say, a traveler returning back from work would hear. So, as yo u can see, this is perfectly timed because of technology. This is one of the ways we did it. Moving on, we also wanted to appeal to our target audience, which is in the younger age group and what better way to do it than to enable them to bowl like Bumrah. So, we created an entire AI -generated initiative on digital, which is called Bowl like Bumrah. And what users had to do was simply upload their bowling action and get a score generated through the AI model, both on their speed and their style of bowling, as well as a personal message from Jasprit Bumrah . And to experience this, you should visit the bowl like Bumrah in the demo zone, which is to my right. Moving on, of course, these were the results of the Two-Wheeler campaign that we did. We had high level s of reach because of the Asia Cup. We had 40 million

views and we had very high levels of engagement. Moving on to the next campaign, which is the Game Changer campaign for business loans. Here too, we wanted to celebrate with the business owners as game changers for their respective business. So, we took up advertising through TV media on news channels an d outdoor hoardings, as well as digital video, and we generated high levels of engagement with a very close business community. How

did we do that? Well, we created for the very first time an AI -led microsite, which enabled these business owners to simply go onto the site and create business posters with Jasprit Bumrah, along with a customized message for their line of business. All th ey had to do was to, of course, upload their picture and the AI model would create a business poster exclusively for them. And they could also pl

ace this in their social media or at their shops to try
to promote their business. We didn't stop at that. On a real-time basis, these business owners also had the opportunity to see themselves on an outdoor digital hoarding that also helps to give them visibility. All of this was enabled through technology, of course. And this generated us great business results. So, 11 million reach, 29 million views on digital platforms and high levels of engagement. Not just that, in terms of the consumer metrics too, our brand a wareness moved from 12% to 31%. And the consideration for L&T Finance business loans improved from 8% to 23%. This is carried out through research through Kantar to measure the consumer metrics. Moving on, what we saw right now were examples of using AI for awareness and engagement. Here's a great use case of using AI to drive conversions. So, again, through AI, we create, with using GenAI, we create topical and festive videos all around the year, which have high frequency. And here's what it looks like. So, who would believe this is all GenAI generated. Not just this, GenAI also helps us to create personal nudges in the customer journey, each for at an individual level. Let's see how. And, of cour se, this helped us to drive higher click -through rates. So, we improved that by 3.4x and were in the range of about 1%. And also higher contribution to cross -sell business for Personal Loans. Moving on, not just for topical campaigns, but an entire thematic campaign can get done using GenAI. So, that's exactly what we did for our Diwali campaign. An entire campaign generated through Gen AI, both from visuals to sound to graphics, all of t hat done using GenAI. Let's have a look. So, this generated high views on Instagram and engagement. So, here's wishing from all of us Iss Diwali sab honge kamyab L&T Finance ke saath. Thank you. I now request Sudipta and Sachinn Sir to please come on stage and address the Q&A

Karthik Narayanan :
Yes. Thank you, ladies and gentlemen, for a very patient hearing. We now move on to the Q&A session. That's the last part. I now invite questions from the audience, please. We request the audience to restrict their questions to one for maximum participatio n. We have volunteers on both the sides of the hall who will assist you with mics. We request you to provide your name and organization before you ask the question, please. So, Sudipta sir and Sachinn sir, please. Yes. Kindly give me your name and organiza tion before you ask the question ,

Ramesh Bhojwani :
Sir, this is Ramesh Bhojwani from Mehta & Vakil. First and foremost, many heartiest congratulations on such a wonderful presentation encapsulating each and every aspect of L&T Finance so beautifully. We have moved from physical to digital and used technolo gy, particularly AI. Going forward, we will be doing a much faster, much smoother, but much stronger growth trajectory. The question rather than the thought was we have two masterpieces communicated. One is Project Cyclops and other is Project Nostradamus . Project Nostradamus was a man who saw tomorrow in France in the year 1527. So, would like you to expand on the Project Nostradamus as well as Project Cyclops . What I understand is it stands for cyclical loan operations. Would you like to comment or correct me? Thank you .

Sudipta Roy :
So, these are like one of the things that is that when we build products and I talked about the product mindset, we like to give names to the products that we build primarily because it makes it very personal for the development teams and they tend to iden tify with. We also build mascots around this. Project Cyclops obviously is sort of derived from the mythological Greek character with one large eye. The philosophy is that Project Cyclops never blinks. So, basically no credit risk can get past Project Cyclops . So, that is the origin of Project Cyclops . It is

the
ever-seeing eye which sees each and every small bit of credit risk. So, that is the philosophy behind it. And as you rightly said, Project Nostradamus was a French philosopher and a clairvoyant who saw the future. So, the thought behind Project Nostradamus is an automated portfolio management engine which actually predicts the

event before the event is supposed to happen, which helps the teams to monitor the portfolios more granularly and sort of get to the customer before the customer probably becomes unrecoverable. So, that is the process. But it also has to, Project Nostradamus also has a very large cross -angle along with it. Project Nostradamus also identifies customers' cross -potential much earlier than others do. And we are also piloting an undiscovered prime concept within the organization where a customer might not exhibit signs of a prime customer right now but will be a prime customer mayb e 2 to 3 months, three years down the line depending upon his income growth. So, Project Nostradamus helps us to identify those also. So, together these systems are supposed to operate in conjunction. Project Cyclops is obviously the origination layer. Project Nostradamus is a portfolio management layer. But Project Nostradamus in its ultimate avatar will be designed to send feedback to Project Cyclops . And that will happen automatically. Debarag covered it in his presentation. It will take us another 12 to 18 months to build where the signals from Project Nostradamus will go and automatically tighten parameters in Project Cyclops . To the extent that, really the credit managers can go on holiday and sit on a beach while the system operates on its own auto -correcting itself .

Ramesh Bhojwani :
Thank you and all the best .

Nitin Naik :
My name is Nitin Naik, Director of Naik Consulting. And I would like to ask the question that, you know, the last division which you have, that is the Gold Finance Division. The gentleman said that, when it was started, the very first day itself, you could one, your customer could get the feeling of, paperless office. So, does it mean that while the negotiations were going on for the takeover, at the same time you were in parallel having the systems put in place for a paperless office .

Sudipta Roy :
Not really. But the fact is that more or less when it became clear that we would probably be the successful bidder that is when we started. And what we had done was that we had actually just part of the due diligence process actually mapped the software th at the company used. And we had also very clearly mapped what are the process improvements that we need to do. So, it was very, very clearly mapped out as to what we need to do. And during the 3 -month integration process that we had, we built everything .

Nitin Naik :
Fine. Thank you so much .

Rahul Maheshwari :
Good evening, sir. Rahul Maheshwari here from Dolat Asset Management. First of all, great insights from entire team. Just one question after implementing Project Cyclops and all the AI tools, how much on an overall basis the cyclicality you expect has reduced from a business perspective? And if you can mention some sensitivity to it, that will be very helpful? Thanks

Sudipta Roy :
See, it ’s very early days . So, Project Cyclops , for example, Two-Wheelers is about 14 -15 months in operation. In the Tractor business, it's about 6 to 8 months in operation. And in the SME business, it's only 2 months in operation.
But whatever I can say, gleaning the learnings from the 14 months of Two-Wheeler operations. You see, Two-Wheeler is a very, very aggressive credit product. It's a ve

ry, very difficult product to do . And if I were to give you
some stats, average Two-Wheeler portfolio industry bounce rates are anywhere between 20% to 22%. This is the average bounce rate. Our Project Cyclops underwritten Two-Wheeler portfolio this month, the gross non -starter

bounce rate was 7.15%. That's actually a prime Personal Loans bounce rate. But the fact is that we are not underwriting prime Personal Loans customer. We are underwriting Two-Wheeler customer who are actually the sort of, I would say, near prime customers . So, obviously, the system does a very good job of finely dissecting customers who are actually have a high intent to pay rather than customers who have sort of limited sort of commitment towards sort of completing the tenure of the loan. So, it actually s eparates out those customers. So, I would say, overall, on the long run, on a cyclicality, probably to reduce by about 50% to 60% is what my gut feeling is. But actually, we would need to run Project Cyclops continuously for 3 years, right, to have a real answer to that number and probably run it through a cycle to get the real answer out. But leaning on my experience of over 27, 28 years in the retail financial sector in India, I would say to reduce cyclical ity by 50%, 60% .

Sachinn Joshi :
Can I just add? So, you are looking at cyclicality, but ultimate end result has to be reduction in either collection cost or credit cost. And as Sudipta mentioned, the first impact of this will be felt in fourth quarter as far as Two-Wheelers is concerned, because there has to be some seasoning involved and Two-Wheeler was the one which was taken up the first. So, you will see in fourth quarter, the book, as you are seeing that almost 60% of the book have been -- have gone through Project Cyclops and underwritten through Project Cyclops . The balance 40% over a period of time will start running down fast and you will start seeing the impact from Q4. But FY27 will be the year when you will start seeing significant part of the books have, routed or being underwritten through Project Cyclops . And accordingly, H2 of FY27 will really be, I would say, the full impact of credit cost where Sudipta also mentioned in his presentation that what we are targeting is ultimately to move from about 2.75% to 3% down to about 2%. So, directionally, you have seen that barring, micro loans, which we, the challenge which we went through over last about four quarters. I think now each and every business by end of December, even Personal Loans will actually start getting completely routed through Project Cyclops . So, next financial year is when we will start seeing full impact of it on the credit cost .

Sudipta Roy :
I will give a little more detailed answer. The fact is that, this is something the efficacy of this tool is something which we are discovering with every passing month. Typically, we have not run Project Cyclops ever in a festive month. And typically , what happens in a festive month, your volumes go up. And normal common sense logic says as your volumes go up, normally a large number of bad customers might slip in . Because what happens is in a large manual process, if you run a sort of credit administration system that is largely manual, as volumes go up, generally trade discipline tends to fray on the edges. In the month of October, we processed about 65,000 - 70,000 Two-Wheeler loans. Sorry, in the month of Septem ber. In the month of October, we processed, we actually disbursed about 1,30,000 Two-Wheeler loans. So, actually almost a double size jump in volumes . So, obviously, our feel was and my worry was that, we will see the G

ross Non -Starters spike up. It came in at 7.15%, the lowest
ever. So, we did high volumes and saw the lowest ever GNS, which means the machine did exactly what it was designed to do, cut a way the bad guys and let the good guys in . So, it is, so this was actually Aha! moment for us. So, as I said, it is a machine, we are trying to give as much disclosure as possible. The presentations were long, probably some of you got bored during the presentations because it was too much of data or too much of, but the fact is that the reason we w anted to give the disclosure to such detail was to give the investor community a good amount of understanding as to what we have built, how it is operating and how it is manifesting it in its business results .

Parikshit :
My name is Parikshit, I am from Pkeday Advisors. I have a two -part question. If I understand correctly, Project Cyclops is a fully automated underwriting system. And if that is the case, then why Helios even exists? Because that is both targeting the SME loans and if Project Cyclops is well on its way, then Helios would be redundant .

Sudipta Roy :
Very good question. The fact is that Project Cyclops fully automated is very good, for loan ticket sizes to a certain part, where we have the confidence saying that we do not need a single underwriter to look at it. For example, Two-Wheeler, average loan ticket size is 1.1 lakhs, 1.2 lakhs . So, we are comfortable with machine taking the decision.
But when the loan size is 25 lakhs, 30 lakhs, 50 lakhs, though the machine is giving you a decision, we want a secondary underwriting to be done. Because if you by chance go wrong, because you have to understand that in machines, you can have bugs . When we built Project Cyclops , we figured out that there were a couple of bugs in the original stages . And they led to some anomalous results . So, we underwrite the files through Project Cyclops . The Project Cyclops gives the first level of underwriting. And then we want a human to look at it also and corroborate that underwriting because the ticket sizes are much larger. When you are underwriting a loan ticket size of 60 lakhs, 70 lakhs, 1 crore, still, we would like a human to look at it till we are confident enough after a history has built of about 12 to 18 months to say the human is not needed anymore. Project Cyclops can do it.

So, then, Project Cyclops will do it. But we need to travel that distance. So, that is why, the Helios co -pilot is currently helping our underwriters to supplement the work that Project Cyclops is doing .

Parikshit :
Thank you. And if you do not mind, I will just ask another question there is a lot of the data that you showed which shows a downward trend. But how have you controlled for the overall macro situation? Because even the macros have improved, right? So, how should we look at your data from that angle ?

Sudipta Roy :
So, see, macros have improved in pockets. Macros, again move in cycles . So, one of the things which you saw in the Project Nostradamus tool was that the Project Nostradamus also consumes macro scorecards . So, there is a set of macro scorecards which have been built for Project Nostradamus . And those scorecards are overlaid on a particular geography as well as a particular line of business. For example, if there is a flood in that one particular area, or if there is a drought in that area, the macro scorecard will overlay on that and sort of predict the sort of forward -looking delinquency in that area. So, in that way, we sort of try to addre ss the macros through Project Nostradamus right now. As of now, for example, yes, business

growth, you know, there is a GST -2 impact
on tractors, there is good rain. So, generally, that has a positive impact. So, macros give you your positive tailwinds, macros give you headwinds as well . So, you cannot plan for macros, unfortunately. So, that is why in part of Project Nostradamus , the tool is that at least, as and when macros keep on happening, at least it gives you an advance warning as to what might happen .

Parikshit :
This is the continuation of the same question, if Helios can do it, then what is the difference between Project Cyclops and Helios ?

Sudipta Roy :
Like Helios, for manual handwriting simplifies your workflow . Like, for example, you will see in the demo, there is a bureau report, which is 900 pages Bureau report, who has got the time to look at a 900 -page Bureau report? Helios translates a 900 -page Bureau report into actionable actions in exactly flat 10 second s, and also give you the PD questions . Similarly, Helios has got many parts. Helios has got a Bureau analyzer, Helios has got a banking statement analyzer, Helios will have a GST analyzer, Helios will have, legal, technical, as I talked about it. So, all these modules come in -built. Now, for example, Helios, right now, we have done for SME, but Helios will really be liberating for the mortgage underwriter. Because at times in mortgage underwriting, you have to look at many

things . So, average, it takes the industry anywhere between Rs. 18,000 to Rs. 20,000 to underwrite a single mortgage file. My estimate is that Helios in full flow, when you implement it for mortgage, will crash that number by about one -tenth . So, a file that takes Rs. 20,000 to process should be done at Rs. 1,000 .

Parikshit :
Fine, fine, fine. Thank you so much .

Kaitav Shah :
Hi, good evening. Kaitav Shah from Anand Rathi. Sir, my compliments to you for the presentation. I think you have been batting on the front foot today versus last year. It is a commendable job. My question is you touched upon culture, I think a couple of t imes we heard that. So, how have you implemented this across the organization? Because that is a very difficult thing to do, right? Change your culture .

Sudipta Roy :
See, culture does not change without executive sponsorship and executive demonstration. So, the management committee knows that these are the couple of things that we need to do. And the fact is that this discussion with the management committee is very, v ery transparent. So, each and every member of the management committee is tasked with that task of culture change . So, basically, when the top end of the organization speak in unison , this is something which is probably appreciated in very large organizations, more than smaller organizations , and you strive to bring up the outcome orientation of the organization against the politics that slows down the organizational velocity . Now, when the management committee speaks at one unison, when the entire organization is focused on one key outcome goal, and when you are trying to granularly distill th ese desirable behaviors in each and every person, obviously, HR plays also a very, very strong role. So, you use HR to force multiply your messages. But the fact is that HR cannot alone do it. It is the line managers, it is the support unit managers, it is the, it is the middle managers, who have to speak in unison. And that will only happen if the senior

managers actually get out from their office and travel to the nook and corner of the city, of the country. And that is what we have been trying to do. Our pe ople have been literally been on the road, almost like, two to three d

ays
a week, our senior teams. And the branch sort of structure, introduction of the silo to matrix structure also has helped. So, is it a job fully finished? I would say no. It is still a work in progress. And it will take a couple of more quarters for this to sort of come to a level of completion, where we think that we have done a reasonabl y good job.

Namit Arora :
Thanks. Good evening. Hi, this is at the back. Yes. Hi, good evening. This is Namit Arora from InGrowth Capital. Sudipta and team compliments on the phenomenal progress over the last year. And thank you for a very detailed set of presentations. My question is, company has made a lot of progress on various areas like technology, strategy, execution. But sitting today, are there any things that you worry about as a company and as a management team .

Sudipta Roy :
Well, there are many things we worry about. We are very, very candid about it. We are present in some cyclical businesses. We are present in some cyclical businesses. We are present in businesses where there are event risks. For example, JLG lending is a busin ess that has event risk. We saw policy decisions in one particular state, suddenly tank collection efficiencies and our team struggling to keep afloat. These are the things that we worry about . So, one of our objectives is also try to reduce cyclicality or exposure of cyclicality to our business. So, that is one of our major objectives. The second thing, obviously, is that we, one thing which keeps us awake is the spectre of losing our best people. Over the last couple of quarters, we have become a magnet for technology talent and because of some of the work that we have been doing. And trust me, word spreads very fast in the

community that this place, you do get to do good work . And people have been coming and joining us. In fact, for that matter, this year, we have actually got very good people from all the top IITs and we really did not struggle to hire them because we felt that all of them looked at the RAISE 24 videos and realized and decided that this is a place where work can happen . And so, they decided to join us. And when we asked them why, what pushed you, they said RAISE 24 videos on YouTube. That is what pushed us. So, the other thing that keeps us awake is losing some of our best people. And obviously, again, geopolitical risk and any other sort of risk we cannot measure or we cannot anticipate sort of worries us. Apart from that, I think we have a fair bit of contr ol on how to underwrite, how to manage customers, how to manage credit risk. Yes, we have dragged from a back book, which is underwritten by legacy algorithms. As and when that clears, the real cost of or the real impact of what we have been doing over the last 18 months will start appearing in the balance sheet and in the profitab ility numbers .

Namit Arora :
Thank you very much and all the best to the entire team. Thank you .

Himanshu Taluja :
Hi, sir. This is Himanshu here from Aditya Birla Sun Life. So, firstly, congratulations on the great Investor Day that you have pulled and also the way you have delivered in the last 12 months. But can you put some perspective? I have a very basic question here on the JLG. When this entire fiasco started about the higher leverage and particularly exposed to most entities being exposed to greater than three plus lender. At the start of the fiasco, we were also having somewhere between 50% to 20% of the book. But the outcomes, the way you have delivered has been a far better. Can you just help us by giving some what prudent measures in your underwriting, which ultimately results to a

better outcome ?

Sudipta Roy :
I think, if you go back to some of our presentations, you will get that. But, a couple of things we have been following always. If you look at the MFIN guidelines that came in June, July of this year, which said that, greater than two lakhs, threshold, sho uld not be breached, not more than three loans should be breached, etc. And all those things that came in, we have been following those guidelines since 2022 or 2021. So, what MFIN introduced in 2025, we have been following those guidelines since 2021. The second thing that we did was that we realized early on that a crisis is coming. We realized sometime around October, November of 2023, that things are going to get worse. So, what we started doing was that starting from Jan of 2024, we started off cutting off repeats and started taking our income thresholds up, especially for some of our repeats. And also tightening some of our through -the-door ingress of customers. The other thing that we did was that we beefed up our collections, because one of the

thing s we realized that our accounts per collector was at about 580 before the crisis. We said that we need to bring down the because we had a sense that something was coming. We said that we have to bring down our accounts per collector to about 450 to 480 levels. So, we actually pushed in 1,000 more people into collections, before even the crisis hit to bring down our accounts per collector from 580 to 480 or 450 or depending upon the markets. So, and plus, at the end of the day, the JLG business is about brut al discipline. The fact is that, unless you are able to maintain the discipline of the workforce and a large amount of workforce on the ground, and unless you digitize to the last tier and do not leave anything to interpretation, you will not be able to ma nage this. Our workforce is very, very disciplined, we are an extremely disciplined management team, we are an extremely hardworking management team, and our every process in the JLG business is digitized. Through all this and obviously through proactive p ortfolio management, we have managed to weather this storm. And the fact is that our next step will be to make sure that we take out cyclicality as much as we can from this business, though we cannot plan for event risk. So, obviously, we have said during our analyst calls that our objective will be to build back the macroprudential provisions over a period of time, and we will do that .

Himanshu Taluja :

Sure. The second is the Project Cyclops and some of the rule engines which you have developed in the last basically sometime in the last one to two years. I think, is it like, because many of your team leaders and many of you have come from a larger bank where they are the early implementer of some of the rule engines, is that experience really helped you in setting some of the things here, setting the stage here ?

Sudipta Roy :
No. I will be very, very emphatic about this. Project Cyclops is a ground up, natively designed machine. What exists in Project Cyclops does not, to as far as my knowledge, does not exist in many large organizations. So, the philosophy of building those scorecards, the philosophy of ensembling those scorecards, the philosophy of fast response from the scorecards using streaming data is so mething which has been probably built in the country for the first time. And to pull data from seven, eight disparate sources, make sense of it, manage latency and deliver an experience to the person at the dealer point in an acceptable time frame is really the challenge of Project Cyclops . And what Ramesh said, Project Cyclops d

oes not blink. And I will tell you this, Project Cyclops is a large
machine now. In the last 15 months that Project Cyclops has operated, it has not had a single day of downtime. It probably has not had even 10 minutes of downtime. It is so robustly built. So, I would say, it does not exist in any large organization .

Himanshu Taluja :
Sure. Thanks .

Vipul Shah :
Hi, my name is Vipul Shah. I am an individual investor. I just want to know what is, what does it cost to build all these three platforms and what will be the cost going forward every year .

Sachinn Joshi :
Yes, the cost of building, I mean, the amount that we have spent till date on Project Cyclops and Project Nostradamus put together is about Rs. 60 odd crores, but it is still a work in progress. So, Project Nostradamus is still in the making. We are just one particular business which has been implemented. So, this will increase further. But at this point of time, what we have actually capitalized is about Rs. 60 odd crores. Sorry, you had something more? Next year, see, out of this Rs. 60, about Rs. 35 to Rs. 40 crores have been spent on Project Cyclops . The balance 20 has been to build Project Nostradamus . This will further. So, next year we will have to figure out because it is a combination of time being spent by various engineers to actually build. As Sudipta was mentioning, it has been built in -house. So, it will, it is basically the time that we are spending on building t his. So, the cost of, the employee cost, all these engineers are working around the clock. So, it depends on the time frame required to go through that implementation is what we will do. Significant amount of work has gone into this. W e just do not count that. So, it took flat four months to implement Project Cyclops and it was done through the shifts. So, it was not that it was a nine to five kind of thing. People worked in shifts to deliver it so fast. Otherwise, it would have taken at least about a year or so. Probably it would have taken more .

Karthik Narayanan :
Yes. Thank you, sirs. With this, thank you, sirs, for the detailed discussion and clarification provided. With this, ladies and gentlemen, we come to the end of this Investor Digital Day. On behalf of L&T Finance, I thank you

again for spending your valuab le time. For any further clarifications, request to contact the investor relations team. Thank you very much. And please, the tag that you're wearing, the access code that you have is valid for RAISE 25 tomorrow also. So, please do visit us. There will be more stalls here coming by for RAISE 25. There will be interesting speakers coming here for RAISE 25 tomorrow, which is our A I tech conference. So, please be there tomorrow and attend it as well. With this, ladies and gentlemen, thank you very much .

Sudipta Roy :
I know it's late, but there are demo stalls of Project Cyclops , Project Nostradamus , as well as Helios and, B owl Like Bu mrah in that si de. So, in case any one of you have time, I would urge you to spend some time there and get a hands -on feel of, what some of the solutions are. Our teams are waiting out on the demo area. The demo area will also be available tomorrow as well for RAISE. Thank you so much and thank you for coming and attending our Digital Investor Day. On behalf of L&T Finance, I'd like to thank all of you for a patient hearing and we hope to see you again ne xt year .

*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies ,
repet itions i

n Q &A which would have unintentionally crept in, if an y

Call: Jan 2026

INTERNAL January 27, 202 6

National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051. BSE Limited
Corporate Relations Department,
1st Floor, New Trading Ring,
P. J. Towers, Dalal Street,
Mumbai - 400 001.

Symbol: LTF Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of Investor(s) / Analyst(s) meet – Q3FY2025-26 Financial Performance and Strategy Update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q 3FY2025-26 financial performance and strategy update held on January 19, 202 6.

The above information is also available on the website of the Company i.e., www.ltfinance.com/investors .

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Limited
(formerly known as L&T Finance Holdings Limited)

Apurva Rathod
Company Secretary and Compliance Officer

Encl: As above

L&T Finance Ltd.
Q3 FY26 Earnings Call Transcript
January 19, 202 6

Management Personnel :
Mr. Sudipta Roy (Managing Director & Chief Executive Officer)
Mr. Sachinn Joshi (Chief Financial Officer)
Mr. Raju Dodti (Chief Operating Officer)
Mr. Karthik Narayanan (Head – Investor Relations)

Moderator:
Ladies and gentlemen, good day, and welcome to L&T Finance Limited Q3FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing '*' then '0' on your touch -tone phone. Please note that this conference is being recorded . We have with us today Mr. Sudipta Roy, Managing Director and CEO; Mr. Sachinn Joshi, CFO; and Mr. Raju Dodti, COO; and other members of the senior management team.
Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the call. Only publicly available documents will be referred to for discussion s during interaction s in the call. While all efforts would be made to ensure that no unpublished price -sensitive information will be shared, in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the stateme nts made on today's call may be forward -looking in nature. A note to this effect is provided in the Q3 results presentation uploaded .
I would now like to invite Mr. Sudipta Roy to share his thoughts on the Company's performance and the strategy of the Company going forward. Thank you, and over to you, Sir.

Sudipta Roy :
Thank you. A very good morning, everyone, and thank you for joining us today. I would like to wish you all a very happy and prosperous New year on behalf of the entire leadership team at L &T Finance . Joining me today on the call are – our CFO, Mr. Sachinn Joshi, our COO, Mr. Raju Dodti and other members of the senior management team of L&T Finance.

Similar to our previous calls, today's call is divided into two sections, taken up sequentiall

y by myself followed by
our CFO – Mr. Sachinn Joshi, who will be talking about the overall business metrics & financial performance.

Our last interaction during the Investor Digital Day on the 6th of November 2025 was well received wherein we outlined in detail our business and technology transformation roadmap for the next few years. We also had a chance to share with you the headline business updates. In today's call, we will focus on the performance update of Q3FY26 alongside sharing our outlook for the rest of the year. At the outset, I am happy to state that our core retail franchise continues to be resilient, and we are confident that the momentum we have created for the business during recent quarters wi ll sustain through the remainder of the fiscal year and would continue in FY27.

Post our opening commentary, we will be happy to take questions on the call.

Macro -economic outlook
Before we delve into the highlights of the quarter, I would like to give you some flavour of the current macro - economic scenario and sectoral outlook.
Global uncertainties persist at highly elevated levels. The Indian economy, though not fully immune to the external headwinds, has demonstrated remarkable resilience on back of coordinated fiscal, monetary and regulatory policies and bolstered by strong do mestic demand. Real GDP registered a strong growth of 8.2% in the second

quarter of FY26. NSO's first advance estimates project that India is set to deliver a 7.4% YoY growth of Real GDP in FY26, fuelled by robust private consumption and capital investments.
The growth in private consumption is being sustained by robust rural demand and easing inflationary pressures. Headline inflation has remained below RBI's lower tolerance level for four consecutive months and is projected to remain benign well into FY27.
Overall demand condition has remained robust, building up on the festival season pick -up. First advance estimates for Kharif 2025 -26, project a record foodgrain production. Mandi arrivals started late due to delayed monsoon and harvest cycle and lower crop prices. However, it is catching up fast in last 3 weeks, as government

agencies have begun direct procurement at various APMC mandis. Rabi sowing is near complete as well and stands 2.8% higher on year till date. These bode well for rural cash flows.
Urban consumption demonstrated strong acceleration in Q3FY26 owing to the GST 2.0 reforms and supply side de-bottlenecking was able to cater to the increased demand. As food inflation remains benign and consumption indicators remain robust we are confident that the growth momentum of the Indian economy will sustain well into FY27.

Q3FY26 Highlights :
To start off this quarter's highlights, I am pleased to inform you that we have achieved the highest ever quarterly core PAT of ■ 760 Cr , up by 21% YoY, before a one -time exceptional impact of the New Labour Code amounting to ■ 29 Cr. PAT even after the one -time impact stood at a highest ever ■ 739 Cr, up by 18%YoY. This profitability has been recorded on the back of highest ever quarterly retail disbursements of ■ 22,701 Cr, up 49% YoY. This has led to the retail book growing to ■ 1,11,990 Cr at the end of this quarter, reflecting a growth of 21% YoY and a RoA of 2.37% , 2.31% for Q3FY26 after the impact of exceptional items, reflecting a gr owth of 10 bps YoY.

This quarter showed a strong growth in total income up 18% on YoY basis and 8.4% on QoQ basis and a stable operating cost trajectory which increased only 7% on YoY basis , including the one -time Labour Code impact , leading to a PPOP growth of 25%. This was aided by a 19 b ps sequential impro

vement in the Net Interest Margins
+ Fees at 10.41% driven by a continuous focus on yield and fee improvement and efficient liability management strategy. We are pleased to share that in line with our guidance , we have not used any macro -prudential provisions during this quarter indicating the return of our Rural Business Finance (RBF) vertical to a near normal credit cost trajectory. The positive dividends from the early implementation of Project Cyclops in Two -Wheeler, SME, and Farm business continue to accrue well and will show up in meaningful reduction in credit costs through FY27. The credit cost this quarter has moderated from 2.98% , before macro -prudential provision utilization, in Q2FY26 to 2.83% in Q3FY26, a reduction of 15 bps QoQ and 8 bps YoY. It is to be noted that this includes a one -time charge of ■ 23 Cr on certain co -borrower provisions. Excluding this one -time impact the core credit cost from operations came in at 2.74%, a 24 bps r eduction on QoQ basis. Our core credit cost in the prior three quarters has been 3.80%, 3.43%, and 2.98% respectively followed by 2.74% this quarter. This trajectory of paring of credit cost will culminate in the achievement of the guided 2 -2.2% corridor by Q4FY27.

In my previous call, I had mentioned that the microfinance sector has shown green shoots of recovery this quarter and I am pleased to inform you that we have seen sustained resilience and uptick in both disbursement volumes and collection efficiencies in o ur microfinance portfolio. The quarter saw a 38 bps improvement in Karnataka monthly collection efficiency, which increased from 99.18% in September'25 to 99.56% in December'25. The pan India '0 DPD' collection efficiency improved 20 bps to 99.70% from 99.50% during the previous quarter. And the abatement of this specific event risk has resulted in NIL utili sation of macro -prudential provisions during the period. Please refer to slide 34 of the Investor Presentation for a detailed flavour o f the RBF business.

I would now like to share an update on the newly acquired Gold Loan business, which has gained significant momentum with quarterly disbursements of ■ 1,408 Cr, up 43% QoQ. We continue to expand our geographical footprints and have added 64 new Gold Loan branches this quarter focused on areas with high cross -sell potential. By the end of FY26, we plan on establishing a distribution strength of 330+ gold loan branches.

In line with our earlier guidance Project Cyclops is now implemented in our Personal Loan business and will complete a full roll -out by end of Q4FY26. The engine continues to perform exceedingly well in our Two -Wheeler business and is exhibiting the first green shoots in the Farm and the SME business. The Net Non -Starter (NNS) for the Two-Wheeler portfolio went down from 2.36% in Dec'24 to 0.41% in Dec'25 and in the Farm business the NNS reduced from ~1.50% in Dec'24 to ~0.4% (Project Cyclops) in Dec'25. We are confident that as disbursements through this engine scales up across businesses, our portfolio quality will get enhanced with lower bounce rates and non starters, leading to lower roll forwards and thereby reducing the overall cost of credit administration for the organisation.

Our next digital initiative, Project Nostradamus, an industry first AI driven automated real time portfolio management engine went live in beta mode in Two-Wheeler Finance in August'25 . The engine has started delivering real -time, actionable insights for proactive portfolio management to monitor performance down to an individual micro -market cluster. We also initiated two primary AI initiatives: Project Helios and Project

Orion.

Project He lios serves as an Agentic AI platform that enables underwriters to make faster, consistent, and accurate decisions. This has already processed 5,000+ cases, resulting in a 30% reduction in turnaround time and saving 1.5 hours per case in our SME business . This wil l slowly be extended to all lines of business. Project Orion is a conversational Project Nostradamus co-pilot designed for automated portfolio monitoring, allowing credit teams to query complex delinquency and vintage data in real -time which is currently live in the Two -Wheeler business.

I would like to add that adherence to the RBI's guidance regarding provisioning for co -borrower exposures has contributed to an increase in Provision Coverage Ratio (PCR) this quarter from 70% in Q2FY26 to 72% in Q3FY26.

Update on Lakshya 2026 Goals

Now, I would like to share an update on our quarterly performance against the Lakshya 2026 goals:

• The first milestone was to achieve Retailisation of >95% by FY26. We achieved a Retailisation of 98% in Q1FY26 which has remained at the same level in Q3FY26.

• The second milestone of Retail book growth, we had set ourselves a Retail book growth target of 25% CAGR against which we have achieved a CAGR growth of 28% between FY22 to FY25.

• The third milestone, which is on the Asset Quality front, we maintained the Retail GS3 & NS3 levels closer to the threshold levels , GS3<3% and NS3<1%, our Consol GS3 and NS3 stood at 3.19% and 0.92% respectively.

• On the fourth and last milestone of RoA, we achieved an RoA of 2.31% in Q3FY26, this includes a one -time exceptional item impact of the New Labour Code of ■ 29 Cr, and RoA before exceptional items is 2.37%, which has been achieved without the use of any macro -prudential provisions. I would like to reiterate that we continue to work towards achieving our Lakshya 2026 target of 2.8% -3.0% RoA in Q4FY27.

Double Click on the 5 pillars of execution

As mentioned earlier, I would now like to give a brief update on the 5 pillars of execution that we had enumerated in October 2023 and continue to be in implementation mode against the same.

1. Customer Acquisition - The focus continues to be on expanding our customer base, both by deepening our reach in existing segments and broadening our geographical and digital footprint through partnerships. The implementation of GST 2.0, coupled with a favourable monsoon, served as a catalyst for robust festive demand this quarter. Leveraging these tailwinds, we successfully onboarded 7.0 lakh new customers up from 5.9 lakh last quarter. For a deeper dive into our acquisition metrics and repeat customer share, please refer to slides 14 and 15 of our Investor Presentation.

2. Sharpening Credit Underwriting - We have given extensive details on the design and performance of our new age underwriting tools in our Investor Digital Day deck on slide 6 to 7 and our focus remains on implementing Project Cyclops in our Mortgage and Rural Business Finance verticals in FY27. The model risk management framework and team have been significantly boosted to guard against any unforeseen pocket of execution risk arising from the plethora of machine and deep learning models running across our state -of-the-art AI based credit tools.

3. Futuristic Digital Architecture - We continue to work on upgrading our technical capabilities and our focus on continuously strengthening our IT framework remains unabated. I have already spoken about Project Cyclops and Project Nostradamus. Full stack Project Nostradamus implementation will be completed in the Two-Wheeler business by March 2026 and will be implemented in Personal

Loan and Rural Business Finance

vertical in H1FY27. Under the PLANET 3.0 initiative, the company has achieved significant digital penetration with over 2.2 Cr app downloads, which now features a multi -lingual conversational voice agent for real -time loan servicing. This quarter we also launched Partner PLANET mobile app with a complete service suite for our dealer partners. To strengthen the cross -sell engine a new digital tool called Loan Offer Pod was operationalised in Q3FY26 and would be scaled up in the coming quarters. These operational efficiencies are further bolstered by KAI Voice & Chat, an agentic AI solution currently handling automated collection ca lls in 11 languages across multiple lines of business. Please refer to slides 59 & 60 in the Investor Presentation for operating metrics on the app.

4. Brand Visibility - We continue to focus on targeted customer engagement, leveraging our brand ambassador, Jasprit Bumrah. During the quarter, we also ran campaigns for our Two -Wheeler and Farmer Finance businesses, while participating in major agricultural expos in Gujarat and Indore.

We successfully concluded the second edition of our flagship BFSI -AI event 'RAISE' which attracted 4,500 attendees and 40 speakers. A key highlight of the event was the launch of Pitch Point, an AI startup pitch platform to cultivate the fintech AI entrepreneur ecosystem.

5. Capability Building - On capability front, to strengthen our presence and to be a pan -India player we are expanding our Gold Loan branches to over 330 new branches in FY26. Central to this strategy is the integration of some Gold Finance branches into the multi -product 'Sampoorna' branch network, where we inaugurated our first Sampoorna branch in Ujjain, thereby creating a more comprehensive service ecosystem for our customers. Till date out of the new gold loan branches , 11 are in the Sampoorna branch format.

I will now request Mr. Sachinn Joshi, our CFO, to take you through the financial updates.

Financial updates

Sachinn Joshi :

Thank You, Sudipta. As always, I will be walking you through the financial performance of the company for the quarter .

Quarterly Performance:

• Consol NIMs + Fees for the quarter improves 19 bps QoQ to 10.41% from 10.22% in Q2FY26 . This has been contributed by stable yields & cost of borrowings reduction due to Treasury efficiencies which resulted in the lowest ever Weighted Average Cost of Borrowing (WACB) at 7.25%
• Consol PAT after one -time exceptional item for the quarter is at ■ 739 Cr , this is up 18% YoY
• Quarterly Retail disbursements stood at ■ 22,701 Cr , this is up 49% YoY and 20% QoQ
• Retail book stands at ■ 1,11,990 Cr , up 21% YoY and 7% QoQ . Our Consol book stands at ■ 1,14, 285 Cr, up 20% YoY and 7% QoQ
• Consol RoA after one -time exceptional item stands at 2.31%, up 4 bps YoY and down 10 bps QoQ
• Consol RoE at 11.07%, up 86 bps YoY and down 26 bps QoQ

Retail Businesses :

Talking about o verall businesses, let me start with Rural Business Finance .

Rural Business Finance

This business registered quarterly disbursements of ■ 6,740 Cr, delivering a strong momentum with a growth of 47% YoY and 7% QoQ . This growth was driven by improved collection efficiency and sectoral trends. The book size in turn reached ■ 28,976 Cr , up 10% YoY and 6% QoQ respectively in the third quarter .

Farmer Finance

In the Farmer Finance vertical, quarterly disbursements stood at ■ 2,783 Cr in third quarter , up 12% YoY and 68% QoQ . The book size reached ■ 16,671 Cr, reflecting a growth rate of 11% YoY and 5% QoQ. GST 2.0 along with favourable monsoon fuelled robus

t festive demand . This resulted in all -time high disbursements for Farmer Finance .

Urban Finance

The segment comprises Two -Wheeler Finance , Personal Loans and Home Loans & LAP.

• Two-Wheeler Finance : The T wo-Wheeler business registered quarterly disbursements of ■ 3,217 Cr in the quarter , up 33% YoY and 28% QoQ . GST 2.0 & robust festiv al demand resulted in all -time high disbursements. Notably, 87%+ of Two-Wheeler disbursements in Dec'25 were to customers from the Prime segment as against 53% for the month of March'24. This reflects our focus on quality growth and risk -adjusted returns. The book size reached ■ 13,913 Cr, an increase of 10% YoY and 7% QoQ.

• Personal Loan s: In the Personal Loans business, we achieved a quarterly disbursement of ■ 3,574 Cr . This translat ed into a growth of 118% YoY and 23% QoQ with the book size reaching ■ 12,810 Cr, an increase of 64% YoY and 18% QoQ, attributed to the successful scale -up of big tech partnerships.

• Home Loans & LAP: Moving on to Housing, we achieved quarterly disbursements of ■ 2,879 Cr, up 16% YoY and a growth of 6% QoQ, with the book size at ■ 28,682 Cr, an increase of 22% YoY and 5% QoQ. Growth in the segment was supported by new partnerships and a strong network of distribution channels.

• SME Finance: In the SME business, quarterly disbursements stood at ■ 1,550 Cr, up 24% YoY and 6% QoQ. The book stood at ■ 7,946 Cr , up 37% YoY and 6% QoQ .

• Gold Finance
In the Gold Loan business, quarterly disbursement s stood at ■ 1,408 Cr up by 43% QoQ and the closing book stood at ■ 1,738 Cr at the end of third quarter , up by 18% QoQ.
Let me now hand over the call back to Sudipta to make his closing statements .

Sudipta Roy:
Thank you Sachinn. In closing, I would like to state that Q3FY26 was a robust quarter driven by macro -tailwinds and I expect the structural momentum to continue into Q4FY26. The normalisation of the RBF business augurs well for our business momentum and we expect to make gai ns in the same. All our businesses have been primed for execution over the last couple of quarters and we can expect the positive outcomes to continue through FY27. Our asset quality will continue to improve through FY27 as Project Cyclops underwritten portfolios take centre - stage and their share continues to increase. The improved business momentum, reduced credit costs, and continuous focus on operating efficiencies should lead to a continuous improvement in RoA and improving RoE trajectory as the leverage increases.
We thank you for your support throughout our transformation journey thus far and look forward to continuation of the same. The floor is now open to questions.

Moderator :
Thank you. We take the first question from the line of Praful Kumar from Dymon Asia. Since there is no response, we will move on to the next question, which is from the line of Mahrukh Adajania from Nuvama Wealth Management.

Mahrukh Adajania :
I just have a couple of questions. Firstly, on credit cost. So, you have explained that the incremental portfolio is doing well, and you've given detailed explanation on the credit cost. But your annual reset would happen every year in the fourth quarter. So how would it pan out in FY 27 fourth quarter? I mean what will be the pull and push factors because there will be a reset even then next year ? So that's my key question.

Sachinn Joshi :
Yes. Thanks, Mahrukh. Sachinn here. Let me take this question. So yes, you are right. Every year, end of the year, in fourth quarter, we do the -- we revisit the ECL models. And if I recall, you mentioned how will it pan out in FY2

7 Q4, right?

Mahrukh Adajania :
Yes.

Sachinn Joshi:
So, FY 27 Q4, we believe will be a much better revisit . We are, in fact, waiting for that day and that quarter because by then, most of our book would have been seasoned through the -- using the Cyclops underwriting tool, which would mean that directionally, the overall models would start taking into account the benefit flowing through slowing down of slippages, which are quite evident. If you look at the slippages between first and the second quarter, the slippages were lower by about ■ 160 Cr. Between Q2 and Q3, the slippages have come down further by about ■ 190 Cr to ■ 200 Cr.
So clearly, it's evident that as more and more newer portfolio is getting created using Cyclops, the flow forward has been slowing down. And it's not just Cyclops. There are lots of other tweaks done to the -- to various underwriting models, which have -- which are now leading to improvements being seen across , whether it's Two-Wheeler, whether it's Farm, Personal Loans.
And on the Rural Business Finance, although Cyclops is not yet implemented, we have already showcased to the world how we have been better than the other industry players. So, we believe that come Q4FY27, we will be in a far more comfortable position compared to where we are today. I hope I've answered your question.

Mahrukh Adajania :

Yes. That’s good enough . Thank s a lot

Moderator:
We take the next question from the line of Kunal Shah from Citigroup.

Kunal Shah:
So again, getting on to the credit cost trajectory, given that MFI collection efficiency has improved, plus when you look at it in terms of Two-Wheeler as well as Farm Equipment, the non starter rate has also improved from, say, compared to that of September. But still in terms of credit cost, maybe it was like 15 -odd b ps and even adjusting for that 25 b ps. So, was it equally satisfactory from your end? And would this be the run rate of improvement? Or there was anything specific during the quarter and the run rate of improvement should actually accelerate from here on to get towards your guidance of 2, 2.2 -odd percent by Q4 of FY 27?

Sudipta Roy:
Thanks, Kunal, for the question. So, if you see -- and then I'd like to point out the overall credit cost trajectory for the last 3 quarters, right . So, at the peak of the microfinance crisis, we're actually -- and these numbers are without factoring in the macros, right . At peak, we had gone up to 3.83% -- 3.8%.
From 3.8%, we came down to 3.43%, right . From 3.43%, we came down to 2.98%. Now obviously, in unsecured, especially when the pool which is there, which is the unsecured pool, the speed at which it goes up when -- and it flows quickly. So, when you see an improving trajectory, normally, the pace of improvement will be the first -- very rapid in the first few quarters as the portfolio normalizes, and then the slope will slowly tend to flatten out, right. And so that is what you see.
If I take away that ■ 23 Cr one-time impact that we have got because of the co -borrower prudential provision that we have taken this quarter, the degrowth is around a 25 b ps de-growth, right, in credit cost. So, if you see directionally, the trajectory of paring of credit cost remains unabated. Now for example, next quarter and over the next couple of quarters, right, we will see improvements. And we are very, very confident.
See, when we guide to 2% to 2.2%, see our net nonstarters -- as I said , net nonstarter in Two-Wheeler is down to ~40 bps levels. Net nonstarter in Farm is down to ~40 bps level (Cyclops) . Sachinn spoke about the slippages coming down, right . The slippages

-- the gross slippages this quarter between last quarter is lower by almost ■
200 Cr, right .
So, the slippages also have been coming down with every passing quarter. So, I do believe that the credit cost trajectory will continue to improve. Now some quarter, it might be a significant improvement. Some quarter; it might be a less than significant i mprovement because this also depends upon the collection efficiencies in that particular quarter and the efficacy of the entire -- how the collections team have been able to do it during that quarter.
So, the only thing is that credit cost, if your expectation is that the credit cost will actually move in a metronomic regularity in a straight -line fashion, that, sometimes in real life does not happen, right . So -- but what we are very, very confident is that 2% to 2.2%, reaching that 2% to 2.2% guided trajectory by Q4 FY27, right . If the tailwinds are with us, we might reach it before even -- before Q4 FY27 also, right . But the fact is that on a conservative basis, I would like to say that we are very, very confident of reaching the trajectory by Q4 FY27.

Kunal Shah:
Yes, just on the same one. I just wanted to check why this ■ 23 Cr is a onetime given that the co -borrower exposure prudent provisioning would be business as usual every quarter.

Sudipta Roy:
This is a little different from that. Sachinn, you would like to say?

Kunal Shah:
And what is the nature, yes, if you can just highlight that, yes.

Sachinn Joshi:
Yes. So, Kunal, the co -borrower piece, at industry level, there were different ways of either taking it into account or not. The example I can give you is that if there is a husband and wife who have taken exposure in one particular business, the wife has taken exposure to another business loan completely different. And that loan was standard. We did not consider that because that was a co -borrower taking a fresh loan. Those loans were -- because they were standard, were continued to be shown as standard and hence, the provisioning was as per the normal Stage

1 provision. A nd this quarter, post our RBI interaction at the time of inspection, we were advised that we should take into account all such accounts as well.

So, the cumulative effect of this has been about ■ 23-odd Cr. And because it's cumulative, going forward on a QoQ basis, these will be very minimal. I mean you can also understand that these are all Retail loans. So, the overall impact will be very minimal and which will get subsumed within the normal costs that we take into account.

Moderator:
We take the next question from the line of Praful Kumar from Dymon Asia.

Praful Kumar:
Sir, many congratulations on a great transformation and turnaround. Just a couple of questions. One, very strong delivery on NIM and Fees. And as a structurally lower credit cost regime starts to play out, do you think that there is a trade -off between NIM and Fees and credit cost as a business model?

Sudipta Roy:
Thanks, Praful, for the question. I' ll go back to what I had said during our analyst call that we are a risk -first, tech - first diversified financial services player. So obviously, many of our decisions on customer segment choices have been driven by this tech -first philosophy -- risk-first phi losophy.
Having said that, we are also very, very cognizant of the fact that we need to balance our NIMs and Fees and give a predictability to our NIMs and Fees trajectory. And that is why our continuous guidance has been that we will put the NIMs and Fees -- we will try to deliver the NIMs and Fees in the corridor of 10% to 10.5%.
Now you can see that there has been

an improvement of NIMs and Fees by about 18 b ps this quarter, which is
primarily driven by 2 things. First thing, our core lending businesses have improved their NIMs and Fees trajectory, primarily because the Rural Business Finance vertical has seen a resurgence after sort of resolution of the microfinance industry issues. Plus, also all our businesses have been pushing their yields northwards.
Also, because the flows have been lower, the NPA reversals that we normally get, right, which is sort of a negative drag on the NIMs and Fees, also has been lower this quarter, right, which also looks -- shows the improving resilience of our book. And last but not the least, on a Q oQ basis, there has been a 7 bps improvement in our funding costs, right .
So -- and we do believe that the full transmission of the current round of rate cut has still not even been transferred. So there remains a possibility of some more rate transmission this particular quarter, right .
So, given the fact that the businesses are on a sort of upward trajectory across most of our lines of businesses, we are very hopeful that we should be able to maintain the trajectory that we have sort of been on this particular quarter. And I'm hopeful that it should be able to sustain over the next couple of quarters. However, in terms of guidance, our guidance is that we will maintain it between the corridor of 10% to 10.5%.

Moderator:
Praful, I would advise to please rejoin the question queue for a follow -up question. We take the next question from the line of Kaitav Shah from Anand Rathi.

Kaitav Shah:
Yes. Sir, congratulations on a good set of numbers. Sir, just one question. If you can break up also your credit cost into a couple of other components, like standard asset provision. And what is the M TM loss you have on the treasury book, that would be helpful .

Sachinn Joshi:
Actually, if you look at -- in the presentation itself, we give Stage 1, Stage 2, Stage 3, full details on the Retail credit cost breakup . You can look at that. That already has the breakup in the slides.

Kaitav Shah:
No, Sir. In terms of standard asset provisioning, if you are doing, has that number now moved up? And also, if

there is any investment book loss that you are looking at?

Sachinn Joshi:
Yes. So standard asset provision, the amount will go up based on the increase in the fresh book, right . As our book starts growing, it will first reflect the increase in Stage 1. And depending on the quality of assets, it will lead to change, which is on slide 39.

Moderator:
We take the next question from the line of Avinash Singh from Emkay Global Financial Services L td.

Avinash Singh:
So, one, on your NIM s+Fees. I mean, currently, if I understand broadly ■ 6,000 -odd Cr of security receipts (SR) that will be there and if this is the consol NIM s+Fees that you are disclosing, is it fair to assume, I mean, once, say, in FY 27, once your -- this thing, ■ 6,000 Cr SRs, if they get resolved, broadly, that would lead to close to a 40 bps improvement in NIMs+fee or 30% -- 30 bps improvement in ROA. So that's particularly -- and how is sort of visibility around the resolution of these SRs?
And secondly, on credit cost, if I look at your book, I mean, the 30% is like now -- nearly 30% is going into very, very low credit cost like Mortgages, LAP and incrementally in Gold. Then -- and your steady state guidance is coming close to, say, 200 to 220 b ps. Is it fair to assume, I mean, in steady state, you are assuming certain businesses to be somewhere close to, say, a 3% to 4% credit cost?

Sachinn Joshi:
Yes, sure. So, thanks Avinash. So, tal

king about the NIM s+Fees first. NIM s+Fees has different components, the
first being the yield, which depends on the kind of mix because we are already -- initially, it was Retail - Wholesale. Now we are in 98% Retail. So that impact is gone. The second impact now is in terms of the overall mix, Rural Business Finance being the highest yielding. In percentage terms, it will keep coming down, but albeit slowly because -- as you fire up the other businesses. But we also have similar high -yielding businesses that we have started off. Micro LAP is one such business, followed by Personal Loans, SME, all these businesses are -- and Gold Loans, which we recently took over the business. So, all these are equally or maybe at a slightly lower level, but high -yielding businesses. As -- because these businesses have started growing, you have seen that the yields also have gone up by a few basis points.
The second component, of course, is the weighted average cost of borrowing. In a low interest regime, we are now actually reaping the benefits of the overall weighted average cost of borrowing going down.
Our businesses are such that we really don't tweak the yields. In fact, when the interest rates were going up -- when the RBI repo rate had gone up by 250 b ps, we did not increase the yields on most of our businesses, except for Mortgages. Same thing is happening as we are seeing the interest rates coming down. Only the Mortgages business is where the interest is being -- the benefit of interest going down, is being passed on.
So, at the NIM level, I think there is a fair play between yields and cost of borrowing. We may have something more coming up because the repo rate reduction has still not been completely -- I don't think the banks have started or fully passed on the benef it. And if there is any further reduction also in repo rate, that also will be

available. But it also depends on what is your treasury strategy. So, we have wherewithal to utili se the short -term paper, which comes in slightly at a lower cost compared to medium to long -term instruments that we use to raise funds from the market, like Term Loans or NCDs. So, our CP exposures right now are in the 8% range of overall borrowings. We can go , as per our ALM , we can go right up to 14%, 15%, although we have kept it range bound in that 8% to 9%. We can surely take advantage of that. PSL is one big advantage that a company like L&T Finance has, especially, because of PSL qualifying assets with Farm as well as Microfinance assets.
The third component is, of course, the fees where the -- right now fee depends on 2 things. One is the disbursements, which leads to increase in processing fee; and number two, the cross -selling in terms of the CLI income that we have, the credit -linked insurance. As and when we start off some o ther fee -related businesses, we will surely see some prop up on the fee part as well.
So, I think the NIM s+Fee, at least, because of so many moving parts, we conservatively g ive a guidance of a range to be met, which is 10% to 10.5%. When things are favourable, we will be more tending towards 10.5%. And when things turn unfavourable, maybe we'll move towards 10%. I think we will be able to successfully be within this range goin g forward. The second question...

Sudipta Roy:
Second question, I will take. Second question, I think your question was that if you have a Mortgage at a much lower credit cost th en if your overall credit cost is a particular level where the other businesses are at higher credit cost. Obviously, if you look at the microfinance business, for example, no w the steady state credit cost that you

sh

ould expect about the microfinance business , you have a 99.7% collection efficiency, 0.3% is flowing every month, right . Across the 12 -month period, that's 3.6%, right . So that naturally gives you a credit cost threshold of about 3% in that particular line of business. Now the fact is that if you are -- suddenly your collection efficiencies go northwards from there, you will have a much lower drag. But for modelling purp oses, et cetera, it is fair to assume that in that business, you can expect a steady state 3% credit cost.
Two-Wheeler business , industry operates at a much higher credit cost level, right . But the fact is that for us Cyclops -- with Cyclops, we are very, very confident that over a period of time, and when I say over a period of time, I mean in the next couple of quarters, next 3 to 4 quarters, the headline credit cost trajectory of this business for us will drop below 3%.
But will it go below 2%? We'll have to wait and watch, right . So, when we do our modelling and when we do our predictions, obviously, there are certain businesses at a higher credit cost trajectory , there are certain businesses at a lower credit cost trajectory, and the weighted average will obviously come between that 2% to 2.2% level.

Avinash Singh:
Yes. And any sort of a timeline of security receipts resolutions? And what is the amount currently sitting on your balance sheet?

Sudipta Roy:
About ■ 5,000 Cr is sitting on our balance sheet right now. And the way we have guided is that it will take us anywhere between the next 2 to 3 years for a full resolution of that, right . So, we are seeing good amounts of resolution. And see, typically, we give details on our security receipts in our Q4 annual results.
So please wait for next quarter to get a full update on that. But you will be reasonably sort of satisfied to see that there has been a good amount of progress on resolutions this year -- throughout this year. And we expect that resolution trajectory to co ntinue, and we are hopeful that this thing will be a thing of the past post the next 3 years -- north of next 3 years. But yes, it will take between 2 to 3 years to fully resolve.

Moderator:
We take the next question from the line of Zhixuan Gao from Schonfeld. Please go ahead.

Zhixuan Gao:
Just want to understand why did our Stage 2 and Stage 3 coverage increase quarter -on-quarter this quarter? Is it because of some ECL refresh? Or is it because of the mix of the LGD on the slippages?

Sachinn Joshi:
Yes. So, the PCR increase is more to do with the higher provisions done for the Stage 3 assets. As I mentioned, the co -borrower issue basically meant that if there were some Stage 3 assets and related borrower or a co - borrower had taken an exposure to some other business, we have made those provisions, the incremental provision.
And that incremental provision has led to increase in the overall provision on Stage 3 assets. So whatever assets moved to Stage 3 , the provision made was slightly higher than the GS3 -- incremental GS3 which happened and leading to the PCR being high.

Zhixuan Gao:
Got it. And sorry, just one on the -- we talked about the fourth quarter FY27 ECL refresh. How should we think about the fourth quarter FY26 ECL refresh? Is it likely to be a negative impact or positive impact on the overall credit cost?

Sachinn Joshi:
No. Like I mentioned in the -- earlier when I was explaining, what we believe is that as we move from quarter -to-quarter, the benefits of Cyclops will start flowing in. And once the benefits start flowing in, the models also will look at a lower PD - LGD coming into play because of a better

performing book. And naturally, that would ideally
-- if that happens over the next 4 quarters, naturally, when we do the similar exercise in quarter 4 of FY 27, we should see the numbers actually turning much more favourable than they are today.

Moderator:
We take the next question from the line of Abhishek M urarka from HSBC.

Abhishek Murarka :

So, a couple of questions. Sudipta, can you speak about the asset quality trends and general leverage, et cetera, in the digital P ersonal Loans book, especially for the disbursements that are coming from your digital tie -ups? We've seen some of the other peers in the industry backtrack on this. So, I just wanted to get an update of how that is going.
The second question I wanted to throw in there is, if I back calculate your write -offs, it's about ■ 600 Cr for the quarter, how much of that was MFI? And I'm guessing some of the write -offs in MFI would be from the legacy book. So, if that goes away next quarter, then what happens to the MFI write -off number? How much can it fall, right? So, 2 questions. Over to you.

Sudipta Roy:
Yes. So, the first question, our digital partnerships continue to do very well. With every passing quarter -- passing actually month, the credit metrics continue to improve, including the gross nonstarters and the net nonstarters. So -- and the disbursemen ts continue to increase. So, for example, if I were to talk about the gross nonstarter for our portfolio in the month of December, especially in the Personal Loans business, it was a low of 2.69%, right . So -- and the same number probably in the month of August was about 3%.
So, you can see that the quality of the portfolio continues to improve with every passing month. And we are extremely confident of the quality of the book that we're building because contrary to maybe many other players,

we do not play in the BNPL space or the near prime or the subprime space. Most of our sort of offers on the digital partnership s is basically in the prime P ersonal Loans space with good ticket sizes. So -- and that is why our portfolio continues to remain stable in that particular sort of cohort.
So overall, we have had very, very encouraging results on the Personal Loans credit quality, and we remain quite stable in that particular line of business. The next one was, Sachinn, on the write -off number.

Sachinn Joshi:
Yes.

Abhishek M urarka :
Sudipta, if I can just check on this. So, on a 6 -MOB (Months on Book) , 9-MOB basis also, it's good because your portfolio growth is quite high. So, the denominator kind of...

Sudipta Roy:
Yes. On a 6 -MOB and 9 -MOB basis. So, a couple of things, Abhishek, we look at. We look at overall portfolio bounce rate. That means whether you're -- on a 6 -MOB and a 9 -MOB basis, we remain stable, right . And the fact is that the portfolio bounce rates, which means the number of people who bounce their payment at the end of the month, has been actually falling with every passing quarter right. So -- okay. And to be specific, the Partner book bounce rate , right, is sub -2%.
So that means out of 100 che ques that we present in the Partnership book in the month of December, less than 2% of people bounce their che ques , right . Now if I were to look at the industry average for a pure salaried prime Personal Loans book, this number ranges between 3% to 4% . So, in a way, we are very, very happy with the leading metrics of this business.
And as I have said, we are not chasing numbers here. We are chasing quality across all our lines of business . And if we find that if there is a little sort of bubble of risk at any point in time, we will ruthlessly shut it down, right .
And one of the important things is that we implemented Cyclops in the Personal Loans business this quarter. Obviously, on a small portion of the business we have initially implemented.
We'll finish full implementation by , at the end of Q4FY26. So, we are very confident that the quality credit origination that we are seeing already in the Personal Loans business will continue to improve. So, in a way, we are reasonably confident that our Personal Loans business will not show any shocks or any upheavals, which might have been prevalent elsewhere in the industry. Sachinn, on the write -off number ..

Sachinn Joshi:
Yes, Abhishek, on the write -offs, I think , I'm happy to state that you have gone wrong on your assumption. The slippages, as I mentioned earlier, the slippages have been much lower, and the write -off book accordingly is also much lower than what you have mentioned. It's about ■ 470-odd Cr. So that's where we are.

Abhishek M urarka :
Okay. And bulk of it would be MFI?

Sachinn Joshi:
Yes, I would say so. Because that was ..

Abhishek M urarka :
Yes. So actually, the question, Sachinn, is that if this is from the legacy, does this come off significantly in 4Q as well? That's what I was trying to get.

Sachinn Joshi:
So, see, like we mentioned, 99.7% collection efficiency would mean that only going forward between Jan to March, it's only the 30 b ps which is moving forward. So yes, the book which is going to get into 90 + is going to naturally become smaller .
We have also shared in our -- in the presentation that only 2.5% of our total exposure of ~■ 28,000 Cr is LTF +3 or more, which means 4 exposures of that customer. Those are the risky ones, but that's just 2.5% of the overall .

Sudipta Roy:
See, Abhishek, just to add to what Sachinn says, our MFI book continues to -- has actually stabilized reasonably well right now, right . And frankly, we are very, very confident of the go -forward trajectory of this business, extremely confident, if I were to say -- sort of stick my neck out, right . So, you have seen the collection efficiency improve secularly as we had guided. And I -- we are happy with 99.7%, right . But obviously, we will try to push northwards.

Moderator:
We take the next question from the line of Bhavik Dave from Nippon Mutual Fund.

Bhavik Dave:
Sir, just quickly on your operating expenses, right . Like, they have like trended quite well. The cost to income ratios are like coming off the 40% to 38 -odd percent. Just wanted to understand where are we -- like how do we -- I understand we see this directionally going down, but what is your view on this one?
And second, just on this, like, when I look at your slide, which talks about the cross -sell, right -- and cross -sell, upsell. When I look at your Farm and Personal Loan cohorts, there the repeat customer percentage in terms of value that you're giving out is reducing. Anything that's happening out there? If you could just talk about that as well, that will be helpful.

Sudipta Roy:
The first question is on opex. Sachinn, do you want to take the opex question?

Sachinn Joshi:
Yes. So, on the operating expenses, earlier also, we have guided that looking at quarterly numbers, all ups and downs that are there, should not really -- you should not get too much meaning out of it. Very clearly, we are in investment mode. We are invest ing in technology. We are investing in setting up new branches. Gold Loan, we are setting up 1 branch a day. We also are setting up branches to do Rural LAP . We have Sampoorna branches coming into play. So, the investments will c

ontinue to happen. This quarter, the cost to income ratios are below
39%, but I would still suggest that we should assume that it will be somewhere in the range of 40% odd. We are now going to focus on the top line.
As the top line starts growing, the collection, the cost to income ratio will continue to remain range -bound. I think directionally, medium term, our target would be to go below 40%. But I think that we will share that when we are sharing with you the Lakshya 31 target that we will be taking up for achievement.

Sudipta Roy:
Yes. On the Personal Loans value to existing customers, you can see that it has gone down primarily because the origination to fresh customers has increased. So, as a proportion of the value of Personal Loans cross -sell in the overall Personal Loan pie obviously has reduced . But though the volume more or less remains similar, right . The actual value more or less remains similar because Personal Loans right now, we are doing about ■ 1,300 Cr

a month, right . The amount of cross -sell -- roughly, I'm giving you a rough number . We were doing about ■ 300 Cr, right . So that number remains more or less constant .
Because one of the things is that our primary Personal Loans cross -sell is to our seasoned Two-Wheeler customers , right . So, because the -- and that will depend on the ingress of -- the velocity of ingress of the Two-Wheeler customers. Off late, the velocity of ingress of our Two-Wheeler customers has gone up primarily because our Two-Wheeler volumes have gone up.
So, you will see probably a quarter or two from now, that number might tick upwards. That means as more and more Two-Wheeler customers get seasoned, the Two-Wheeler cross -sell number might increase as a percentage of the total Personal Loans. But as Personal Loans overall disbursement continue to increase, I do believe that this percentage will remain more or less stable at around this 25% to 30% level.

Bhavik Dave:
Sir, my question was more on Farm Equipment, which is a more seasoned portfolio. There the number is 16% versus like 27%.

Sudipta Roy:
Yes. So Farm, one of the things is that we also have a Farm variant, which we call Kisan Suvidha, which means for a customer who has sort of finished off paying a large proportion of the Farm loan, we normally tend to give an unsecured line of credit to that particular customer, which he can take as a loan.
Now the Kisan Suvidha part, the Kisan Suvidha because -- see, the focus on fresh originations -- because of GST 2.0 was very, very high during this quarter, right, so the focus of that on converting Kisan Suvidha slipped a bit, right. So, because the demand on fresh tractors was so large that we are really focused on that, right . So that is why the Kisan Suvidha slipped a bit this quarter. That has shown up in that 16%.

Moderator:
We take the next question from the line of Abhijit Tibrewal from Motilal Oswal Financial Services L td.

Abhijit Tibrewal:
Sir, just 2 clarifications on what we have already discussed until now. Sir, first thing on provision cover . You explained earlier that this time, the increase in the cover was more to do with certain higher provisioning that we did on the co -borrower exposures. Just trying to understand in this -- at the end of this fourth quarter, when you revisit your ECL model s, are you expecting a further increase in the provision cover given what we have seen, especially in MFI in the last 1, 1.5 years?
And then I mean, when is it that you plan to start creating macro -prudential provisions? I remember you had shared with us earlier that you ’d look to start creating these macro provision

s only when you see some benefits
flowing through from SR resolutions.
And then the second question I had was more on the NIM +Fees, which we have discussed extensively , your guidance of 10% to 10.5%. We are already at the higher end of that guidance range. So NIM expansion in the coming quarters that you spoke about earlier, is it going to be more a function of an improvement in the product mix? Because, like you mention ed, Micro LAP, P ersonal Loans , SME, Gold Loans, they all continue to become a higher proportion of your loan mix. So, is that how we should think about it?

Sachinn Joshi:
Yes, Abhijit, let me take the first question first on the overall PCR. In fact, what you mentioned on the Micro Loans actually does not apply to us because Micro Loans, the moment it goes to 90 +, we have been providing 100%, okay . We have -- we used to have the macro -prudential, which was at some point of time, ■ 975 Cr, and that used to sit against the Stage 1 and Stage 2 assets, overall portfolio.
Because 90 + is already being provided for and -- if there is a technical write -off required, we used to do that. It was more of a Finance decision with regard to the tax benefit. But going forward, so which means that the PCR increase will not be required for Stage 3, I'm anyways providing 100% on that portfolio. Going forward, we will have to revisit each and every business to figure out how the businesses have performed and how -- what is the future track which these businesses would take.
And as I was mentioning earlier, the Cyclops delivery, which is , the early signs of which are very good, will frankly decide on the PCR bit . Because if you look at the past, we had challenges starting off with the IL &FS debacle, Covid and last about a year, 1.5 years or maybe around 5 quarters, we have seen challenges on the Micro Loans piece.
So we have actually come out of major -- various cris es, which actually going forward, we can safely assume that all these crises are not going to come up on an immediate basis, which -- and if our portfolio start s showing improvement over the next few quarters, I was mentioning that next financial year, Q4 FY 27, we will be in a much better position to really relook at the PD-LGD coming slightly down.

Even if you take a good decent future into account, we possibly may -- if at all, we have to bring it down, the PCR may only come down because at industry level, you would s ee that there are various players having a PCR in the range of 50%, 55%.
So, we are yet to really look at , because we will start the work now that we have closed the third quarter. We will start the work on revisiting the ECL models. And thankfully, even RBI has prescribed the ECL to be made applicable to banks. Now everyone will be on the same level playing f ield.
And we will also perhaps get some clarity from the regulatory side, how things are applying to banks. And also, there will be various inputs, which will be taken into account to really finally conclude whether these PCRs are really required, they need to g o up or down. But as I speak, I think that we are anyways slightly higher on the PCR side. So, if at all, we have to take a call, it will be on slightly lowering it rather than increasing it from here. On the macro. .

Sudipta Roy:
On the macro -prudential, I'd just like to add, obviously, it is our objective to build back the macro -prudential as fast as possible. What we are also doing is that in the microfinance business, especially in the markets where we feel that there is a risk overhang or there is a historical track record of event cris es, we have also started taking a CGFMU guarant

ee as well on those portfolios, right . So that even before we start building back the macro -
prudential provisions, there's a secondary protection that is put in.
Obviously, as we have said, as our SR portfolios move towards realization, we expect some over realization from that as we move. And whatever we get from that, we will put that towards the macro -prudential provision pool. That is always what we have maintained. So, our objective is to build back this macro -prudential provision coverage as fast as possible.
Though this time, from -- as a matter of strategy, we might do it at an unsecured assets level rather than a single line of business level, right . Last time, the ■ 975-odd Cr of macro -prudential provisions that we had were specifically targeted towards microfinance business, or the RBF business.
This time, when we build it, we will build it for the overall unsecured asset business of L&T Finance, right . So that will be our strategy. So as and when we get that window of opportunity to build those provisions, we will definitely build those provisions, and we are committed towards the same.

Abhijit Tibrewal:
Got it, Sir. And then the last question that I asked was on how should we think about margins and yields? Will the expansion in yields be more a function of the improvement in product mix?

Sachinn Joshi:
Yes, absolutely. The product mix will ultimately decide where -- which way it would move. I think we will be doing significant work on this when we work on the 5 -year plan, and we'll be better off talking about this maybe after the end of next quarter when we unveil the Lakshya 31 fresh set of goals.

Moderator:
We take the next question from the line of Nidhesh Jain from Investec.

Nidhesh Jain:
Sir, my question is on unsecured loans. The share of unsecured loans is around 45% of AUM. How do you see this share moving over the next 2 to 3-year perspective? Also, I see that there is a very strong growth in Personal Loan portfolio around 17%, 18% Q -on-Q and acquired portfolio growth on a Q -on-Q basis. So, what is driving that? And how should we see growth in these 2 portfolios?

Sudipta Roy:
Sorry, Personal Loans and acquired portfolio you said?

Nidhesh Jain:
Yes.

Sudipta Roy:
So, what was the first question?

Sachinn Joshi:
First question was the unsecured share.

Sudipta Roy:
Okay. So unsecured share, yes, currently, it's about 44%. Our stated objective is to have the secured, unsecured ratio at 60:40. So that is our stated objective. So obviously, if you see some of our business lines, like the Microfinance business, the Personal Loans business, the unsecured Business Loans originations, they are of the unsecured nature. But we are trying to balance it by secured Gold Loans, right .
And you see the speed at which Gold Loans has been growing, and that is why we are focusing on rolling out more and more branches of Gold Loans. 200 + Gold Loan branches, we will roll out this year. New branches, 330 + new Gold Loan branches next year. So, the focus would be on growing that business. We are also starting the process of semi -secured as well as secured Business Loans as well. So, to bring down the proportion of unsecured in the Business Loans and the SME segment as well. So that is what we are also starting. So, over a period of time, we would want to move it closer to about 40% in terms of unsecured. And even in SME business loans also, even if they are unsecured, we are looking at taking the -- CGTMSE guarantee for -- to partially secure some of those loans.

So structurally, within the tools available at our disposal, we are also trying to secure some of the downside risk of some of the unsecured loan portfolios by subscribing to the -- some of the government credit guarantee schemes. So that is what is being done.
So -- but to cut the long story short, guidance on final sort of share is 60 -40 between secured and unsecured, and we will work towards achieving the same. That might take a couple of years to get to there, but that is what our management has guided. Was that the next question?

Sachinn Joshi:
And P ersonal Loans .

Sudipta Roy:
Yes. So, P ersonal Loans , we have grown quite well. But the fact is that you have to understand that the high growth i n – Personal Loans is on a low base. The P ersonal Loans business is on a low base. So, when you go from ■ 1,000 Cr per month to ■ 1,300 Cr per month, the growth seems high.
Though -- and also one of the reasons our Personal Loans business has been growing very high is that when we put in the digital partnerships, like when you do a partnership with Google Pay or Amazon or, for that matter, SuperMoney, what happens is that initially, you take a couple of months to stabilize the systems and processes and then that business starts delivering the numbers.
So that is why there is a rapid scale -up in the initial phase, which will settle down to a sort of a much more seeded pace over a 6 to 9-month period. So, the sort of the near vertical trajectory that you see in growth in Personal Loans will attenuate over the next couple of quarters as volumes tend to stabilize, right . And all of these channels tend to reach their -- sort of their funnel maturity. So that is what will happen.
And in terms of the acquired portfolio, obviously, acquired portfolio is primarily portfolios purchased from the market. And we normally do this as a process, right . So -- and just to -- we obviously have a good amount of surplus capital available. So, we want to deploy that capital into productive assets.
For example, at times, it might make sense for us to acquire a mortgage portfolio or an affordable housing portfolio primarily because the cost of origination is not part of the business, right . So, we have previously done acquisition of portfolios and that continues. This quarter, we focused on it. So that is why you see a sharp growth.
The previous quarter, if you see, there was a degrowth, right . So, this will -- this does not form a normal sort of steady state trajectory. It depends upon the portfolio pools which are available in the market, which portfolio pool meet our income as well as risk thresholds and benchmarks.
So, it's -- you can consider this business, which will be there, but the trajectory of this business will be sinusoidal. There is no -- we do not chase any number target for the acquired portfolio. Whenever we get a portfolio, which meets our benchmark, we buy it, right . So just to make sure that our capital is deployed more efficiently and our leverage continues improving.

Moderator:
We take the next question from the line of Chintan Shah from ICICI Securities.

Chintan Shah:
So, sir, one thing . Firstly, on the Rural Business Finance portfolio. So given that there are no w guardrails on the JLG lending piece. So, are we looking to move to individual lending in MFI? That's the first question. And secondly, sir, on the average yield, if you could just share the average disbursement yield for gold loans for the current quarter. So that would be helpful .

Sudipta Roy:
First question, individual loans, not in terms of individual consumption loans. We are not looking at individual consumption loans. Though we might work on Micro Business Loans, somewhat on the lines of Micro LAP that we do. So -- but it will be a very slow start. This is something that we will sort of very carefully tr ead on.
To answer your question, right now, we are not doing it, right . But the fact is that in our plan for FY 27, we might look at some pilots. In FY 27, we might look at some pilots because we want to tread very cautiously on this. And we want to -- sort of do very small pilots, see the efficacy, see the top -line credit parameters that are building before we build it up. But we'll be very, very clear , we will not be giving individual loans for consumption. We'll be very, very focused on linking it to a business outcome or a sort of micro business loan, if I may have to term it. Right. So that is why a good amount of pilot and seasoning is necessary. So, this might not be a relevant item for FY27. But if we are successful, this might be a relevant item for FY 28.

Chintan Shah:
Okay. Sure. So just one thing, a follow -up on that. In terms of steady state growth for the MFI business, would we be looking at a 20%, 25% growth for MFI or lower than that? And if lower, given the MFI...

Sudipta Roy:
No, no, will not be looking at a 20%, 25% growth rate for the MFI business. We will be happy to -- happy if we hit somewhere between 15% to 20%.

Chintan Shah:
Sure, sir. So given that this is almost 25% of our portfolio and a high -yielding business for us as well. So how are we looking to compensate the yields for the -- from the MFI -- lower growth in the MFI business?

Sudipta Roy:
So again, Gold is obviously a compensating block, and that is why we made the acquisition of the Gold Loans business. And then we are trying to optimize our yields upwards for all our lines of business. We are trying to optimize yields upwards for our Two-Wheeler business. We are trying to optimize yield upwards for our SME business. We are trying to optimize yield upwards for our Personal Loans business.
So -- but also, if you see our Micro LAP business, has also been growing very well, right . We crossed ■ 1,000 Cr of book size this quarter, right . And we are improving our branches -- branch presence on Micro LAP as well. So overall, whatever -- the question on that is that whatever sort of growth -- sort of missing part of the jigsaw that we might get from our MFI business, we will try to cover it up by our high -yield secured businesses as much.

Sachinn Joshi:
Yes, just to add, Chintan. Earlier also, we mentioned about the kind of mix that we tend to see over a period of time. It will be having 3 components, right, the yield; cost of funds; as well as fee. The yield part, we are already working on, and it's already started showing results. The reduction in book of Rural Business Loans is not going to be at a significant pace.
It will continue to grow stand alone, but it's only because of the other businesses growing , in percentage terms, it may come down, and that will be more than compensated by the growth of other high -yielding businesses like Gold Loan, Micro LAP, SME.
And one more thing which one should not miss out is that we are not going to focus only on the NIM s+Fees because directionally, you may find NIM s+Fees slightly lower over a medium to long term, but which will be more than compensated by a reduction in operating expenses, which is the collection cost and the credit cost.

So, we will still have th

e ROAs intact in spite of this coming down a bit. I'm not saying that it will. But if at all, in
your models, if you're trying to factor in, you should also factor in that if the yield goes down a bit because we have moved more tow ards prime, you should factor in a reduction in credit cost and collection cost accordingly.

Chintan Shah:
Sure, sir. That is very helpful. Just then last thing ...

Moderator:
Chintan, if you could please rejoin the question queue. Thank you. Ladies and gentlemen, with that, we conclude the question -and-answer session. I now hand the conference over to Mr. Sudipta Roy for his closing comments.

Sudipta Roy:
Thank you, everyone, for giving us the opportunity and patiently hearing us out. As always, we remain focused on execution. We remain focused on, as I've said in a recent press item, relentless execution. Our focus is to make sure that the initiatives on t he credit side that we are currently running, especially Project Cyclops and Project Nostradamus, actually are completely pushed out across all our business lines.
And we will be focused on disbursement growth. Q4 FY26 will be also a focused quarter for disbursements. And we are very hopeful that the growth trajectory that you have seen in Q3 FY26 will continue unabated in Q4 FY26. We will announce our Lakshya 31 plans in the April quarter. So as part of our April quarterly results, we will also announce the Lakshya 31 plans. And I'm looking forward to discussions on the Lakshya 31 plans in our next analyst call. I wish all of you a very happy New Year once again. And with that, we will bring this call to a close.

Moderator :
Thank you. On behalf of L&T Finance Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies ,
repet itions in Q &A which would have unintentionally crept in, if an y

Call: May 2026

INTERNAL May 5, 2026

National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051. BSE Limited
Corporate Relations Department,
1st Floor, New Trading Ring,
P. J. Towers, Dalal Street,
Mumbai - 400 001.

Symbol: LTF Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of Investor(s) / Analyst(s) meet – Q4FY2025-26 and FY2025-26 Financial Performance and Strategy Update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q4FY2025-26 and FY2025-26 financial performance and strategy update held on April 27, 2026.

The above information is also available on the website of the Company i.e., www.ltfinance.com/investors .

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Limited

Apurva Rathod
Company Secretary and Compliance Officer

Encl: As above

L&T Finance Ltd.
Q4 FY26 & FY26 Earnings Call Transcript
April 27, 2026

Management Personnel:
Mr. Sudipta Roy (Managing Director & Chief Executive Officer)
Mr. Sachinn Joshi (Whole -time Director - Designate & Chief Financial Officer)
Mr. Raju Dodti (Whole -time Director – Designate & Chief Operating Officer)
Mr. Karthik Narayanan (Head – Investor Relations)

Moderator:
Ladies and gentlemen, good day, and welcome to the L&T Finance Limited Q4 FY26 and F Y26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the call concludes. Should you need assistance during the call, please signal the opera tor by pressing '*' then '0' on your touchtone phone. Please note that thi s conference is being recorded.
We have with us today, Mr. Sudipta Roy, Managing Director and CEO; Mr. Sachinn Joshi, CFO; and Mr. Raju Dodti, COO, and other members of the senior management team. Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the call. Only publicly available documents will be referred to for discussions during interaction in the call.
While all efforts would be made to ensure that no unpublished price -sensitive information will be shared, in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the statements made on to day's call may be forward -looking in nature. A note to this effect is provided in the Q4 results presentation uploaded. I would now like to invite Mr. Sudipta Roy to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, Sir.
Sudipta Roy:
Thank you. A very good morning, everyone. I welcome you all to the investor call for Q4 FY26 and the close of the financial year 2026. Today with me on the call are our CFO, Mr. Sachinn Joshi, and our Chief Operating Officer, Mr. Raju Dodti, along with the senior management team of L&T Finance.
As you may have gleaned through the exchange notification, I am pleased to welcome Mr. Sachinn Joshi and Mr. Raju Dodti as Whole -time Directors designate onto the Board of L&T Finance, obviously subject to necessary approvals.
Similar to our previous calls, today's call is divided into two sections, taken up sequentially by myself, followed by our CFO, Mr. Sachinn Joshi, who will be talking about the overall business metrics and financial performance. In today's call, we shall focus on the performance update for Q4 FY26 and FY26, alongsid

e sharing our roadmap for our five -year strategic plan, Lakshya 2031.

Post our commentary, we will be happy to take questions on the call.

Macro -economic outlook

Before we delve into the highlights of the quarter, I would like to give you some pointers on the current macroeconomic scenario and sectoral outlook, which becomes important given the volatile global scenario and the ongoing energy market disruptions.

Amidst ongoing geopolitical tensions and volatile global conditions, India's economic activity continues to be resilient. The economy has performed better than expected throughout the year, laying the groundwork for continuous upward revision to forecasts. According to NSO's second advance estimates, with the new base year being 2022 -23, real GDP growth is placed at 7.60% in FY26, up from 7.10% in 2024 -25. The pickup has been led by steady private consumption, both in urban and rural, and sustained investment in sectors like construction, power, production of electronics, and capital goods, etc.

Domestic demand remains strong, supported by both rural and urban demand, GST rate rationalization, and monetary easing. Structural reforms, favorable financial conditions, and the government's thrust on

infrastructure spending have aided investment activity and bodes well for sustained strength in demand conditions. The government's focus on scaling up domestic manufacturing in several strategic and frontier sectors augurs well for India's long -term growth trajectory.

Against this broadly resilient backdrop, spillovers from the ongoing West Asia conflict pose potential downside risk. However, as per RBI's assessment, strong fundamentals, including sustained growth, low inflation, and fiscal consolidation, provides India the wherewithal to withstand the adverse impact of heightened global uncertainties. The IMF has also raised India's FY27 GDP growth forecast, highlighting resilience despite global risks and the Middle East tensions and high oil prices, keeping India among the fastest -growing major economies yet again. While the duration and intensity of the West Asia conflict and its bro ader macroeconomic implications are yet to be fully ascertained, we remain hopeful that the resilient domestic demand and coordinated policy support will provide the wherewithal to withstand the adverse impact of such global uncertainties.

Q4FY26 Highlights :

Coming to this quarter's highlights, I am pleased to inform you that we have concluded FY26 with our highest ever annual profit after tax of ■3,003 Cr, up by 14% YoY, before a one -time impact of Labor Code of ■21 Cr post-tax in Q3 FY26.

Our quarterly profit after tax for Q4 FY26 stands at ■807 Cr, up 27% YoY. This has been achieved on the back of highest -ever quarterly retail disbursements of ■24,107 Cr, up 62% YoY, with contributions received from all our lines of business. For context, we had posted Retail disbursements of ■14,899 Cr in the corresponding quarter in the previous financial year. This significant thrust of disbursement momentum YoY has been the result of our continuous focus on risk -calibrated growth in all lines of business during FY26, duly supported by our next -gen credit administration framework, Project Cyclops. The Retail book now stands at ■1,19,508 Cr, reflecting a growth of 26% YoY, while the overall book size reached ■1,21,728 Cr in FY26 and a R oA of 2.4%, reflecting a growth of 18 basis points YoY in Q4 FY26.

This quarter, we registered a strong growth in total income, which grew 26% YoY and 4% YoY, with a PPOP growth of 31% YoY, aided by an increase in our NIMs +Fees to 10.47%, a sequential increase of 6 basis points, largely driven by a sharp focus on yield optimization across businesses, fee improvement, and efficient liability management. In the last call, I had emphasized upon our trajectory of paring credit costs on account of implementation o

f structural credit policy measures in our
businesses and the realization of positive dividends of the early implementation of Project Cyclops in Two-wheeler, SME, and Farm businesses. I am pleased to inform that consequently, credit costs moderated to 2.64%, a 19-basis points reduction from the previous quarter.

I would like to take some time to share a brief update on the broad themes outlined in our guidance last year. In the corresponding quarter the previous year, when we spelled out the guidance for FY26, I had focused on four broad themes: resumption of the growth trajectory in our Rural Group Loans and MFI (RGL and MFI) business, growth being the primary agenda across all our lines of businesses, granular focus on building opex efficiencies in our collections and credit administration verticals as a byproduct of Project Cyclops implementation, and enhancing productivity of our sales channels. I am pleased to state that we have tirelessly worked on these four themes throughout FY26, and the profitability and the growth that you see today are a result of the continuous efforts of our teams making significant progress on these initiatives. Our RGL and MFI business has showcased sustained resilience and uptick in both disbursement vo lumes and the complete restoration of collection efficiencies to the pre - crisis level of 99.8 %+.

As far as productivity enhancement is concerned, we have granularly focused on improving productivity and throughput across all lines of business using digital tracking tools. For instance, in our microfinance business, the productivity per field -level off icer increased to ■16.1 lakhs in Q4 FY26 from ■11.7 lakhs in Q4FY25, up 38% YoY. While our Personal Loans business, the productivity has increased to ■1.6 Cr per sales manager in Q4 FY26 from ■1 crore in Q4 FY25, up by 60%. And the Two-Wheeler business displayed an increase of 36% from ■14 lakhs to ■19 lakhs. Similarly, our Retail Housing business, the throughput per employee registered an increase of 11% to ■1.96 Cr in Q4 FY26, and our SME business registered a productivity increase of 6% to ■3.11 Cr from ■2.93 Cr in Q4 FY25. In the Farm business, the productivity increased from ■57 lakhs to ■63 lakhs, up by 11% in Q4 FY26. We continuously benchmark our productivity ratios with our peer group, and while we compare favorably, we will continue to strive to improve further. We have taken concerted measures with the help of our digital tracking tools to enhance optimization o f deployment of manpower while also providing opportunities to use them for cross -selling other products. This, coupled with the opening of our multi -product Sampoorna branches, will help us to augment productivity and bring in operational efficiencies while helping us to focus on cross -sell in a concerted manner.

As all of you are aware, L&T Finance as an organization has been investing consistently in building and deploying proprietary AI tools to help us sell, underwrite, collect, and operate more efficiently. We consider ourselves as one of the pioneers in adopt ion of AI at scale in the Indian BFSI sector, and we intend to keep this strategic lead as the world moves towards increased adoption of AI -led efficiency. To this end, we will continue to invest in the latest AI tools, both hardware and software, and make an attempt to acquire market -leading talent to retain our execution lead. Our annual AI conference, RAISE, is already considered the most definitive AI con ference in the BFSI sector in India, and we will continue to strive to maintain the thought and execution leadership in this space.

To substantiate our position as India's leading AI -enabled organization in the BFSI sector, we will start giving performance metrics on our AI initiatives on a half -yearly basis starting with this results cycle. I would like to draw your attention to slide number 20 on the investor prese

ntation, where we have given
the early credit performance metric of our Project Cyclops Two-Wheeler portfolio benchmarked against industry over a period of 10 months. We are pleased to note that Project Cyclops has outperformed the industry by a wide margin during the aforementioned observation window. Slide number 21 gives details on the effectiveness of the AI interventions in our collections vertical, especially in measurable activities like pre -delinq uency management and self -cure. It is to be noted that our successful AI -driven pre -delinquency management and self -cure resolution process has significantly lowered our cost of collection across all our urban finance products. The number of AI co -pilots and tools used by our operating d epartments have mushroomed, and we have given a complete listing of the successful implementations in slide number 22. Our Helios co -pilot for SME underwriting has significantly reduced the underwriting TAT for our SME clients, and we expect to improve this even further with deployment of additional modules in Q1 FY27. We also intend to embark on a pan -organization tech DNA upgrade exercise this year, where our operating managers and distribution workforce would be equipped with AI productivity tools and training to use the same efficiently.

Project Nostradamus, L&T Finance's AI -driven automated real -time portfolio management engine that went completely live in the Two-Wheeler Finance business in November '25, has started delivering measurable outcomes in predicting and containing portfolio risk at a granular micro -market level, and we expect to implement it in our Personal Loans business in Q1 FY27. This would be followed with implementation of Project Nostradamus in the Rural Business Finance vertical in Q2 FY27 and subsequently in the SME and Farm businesses.

Update on Lakshya 2026 Goals
As we have concluded Lakshya 2026 and now embarking on Lakshya 2031, we would like to give you a final update on Lakshya 2026 metrics and the aspirational goals for Lakshya 2031.

• Against the target of Retailisation of greater than 95% by FY26, we have achieved a Retailisation of 98% at the end of the plan.
• We have outperformed the Retail book growth target of 25% CAGR across the plan by clocking a CAGR of 28% across the Lakshya '26 plan.
• The organization achieved the asset quality goals with our consol GS3 and NS3 standing at 2.88% and 0.96% respectively against our target of GS3 of less than 3% and NS3 of less than 1%.
• With regard to the last goal of achieving R oA of 2.8% to 3%, we achieved a RoA of 2.4% in Q4FY26. During the large part of the strategic plan's tenure, we remained on track to achieve our Lakshya R oA target of 2.8% to 3%. However, we faced certain headwinds on account of the microfinance crisis, which set us back on this front by a few quarters. We are hopeful that we will achieve this R oA goal by the exit of Q4 FY27.

Lakshya 2031 Strategic Plan
I would now like to share our Lakshya 2031 goals, which will serve as our North Star for our next phase of institutional transformation designed to establish L&T Finance as India's premier AI -enabled, risk -first, tech -first, multi -product retail financier of choice. This plan is a result of rigorous bottom -up granular business analysis and exhaustive peer benchmarking, ensuring that our growth opportunities are risk -calibrated, while taking advantage of the market share gain in the opportunities that we have identifie d. We are focusing on tech -enabled granular execution to sharpen our competitive edge, allowing us to

maintain dominant market leadership in our fulcrum business segments. While developing sufficient market presence in our new business lines.

The measurable goals for Lakshya 2031 are as follows, as shared in slide number 9 of the analyst presentation:

• We will attempt a Book growth CAGR of 20% + over the La

kshya period

• We will endeavor to drive Credit Costs down to a level of 2% or less
• We will target to reach a Return on Assets in the range of 3 .0% to 3.2%
• We will strive to deliver a Return on Equity in the range of 16% to 18%

The successful achievement of the stretch targets of Lakshya 2026 plan period gives us confidence of achieving the goals we have set for ourselves in the 5 -year Lakshya 2031 plan period.

I would also like to take this opportunity to brief you about the go -forward plan on FY27.

As we enter FY27, the first year of our 5 -year strategic plan Lakshya 2031, we expect the momentum gain in FY26 to sustain, with AUM growth of over 20% supported by robust consumer demand in urban finance, gold loans and our rural franchise, while maintain ing a calibrated and quality -led approach to expansion.

From a profitability and R oA standpoint, the investments that we have made over the last few quarters position us well for operating leverage to play out meaningfully in FY27. We expect our NIMs +Fees to remain stable in our guided range of 10% to 10 .5%, while credit costs should trend lower in the range of 2% to 2.2% by Q4 FY27 as newer portfolios season and our AI -led underwriting frameworks mature

further. At the same time, we will continue to add rapidly to our gold loans distribution footprint and our multi -product Sampurna branches while deepening cross -sell opportunities across our customer base of close to 3 Cr customers. We will also expand our Two-Wheeler and Farm Equipment distribution footprint by covering our hitherto uncovered dealer base. We will build and operationalize an AI -based cross -sell and service engine this year, thus completing the modular intelligence framework for our technology architecture as first detailed during the Investor Digital Day in November 2024. Overall, we see FY2 7 as a year where the foundation built over the last 12 to 18 months begins to deliver consistent high-quality growth with lower credit cost profiles leading to improved profitability and return metrics. As I mentioned earlier, by the last quarter of FY27, we are targeting to achieve a RoA of at least 2.8%.
As announced through our exchange declaration on Friday, the Board approved the setup of a payments platform by L&T Finance to take advantage of the rapidly evolved digital payments and commerce landscape in India and to build a responsive and a personaliz ed payments framework for our rural and urban customers. The focus will be to infuse the strong AI expertise gathered by L&T Finance into the payments domain through an agentic commerce paradigm. The organization has already started laying the blueprint for the same and expects to operationalize the platform by Q2 FY27. The payments business will strategically serve as a catchment for new customers acquisition, diversification of fee revenues and simultaneously will capture rich transaction data for use in our lending businesses through our proprietary AI tools. We'll keep you periodically updated on the progress of this initiative .

Double Click on the 5 pillars of execution
As mentioned earlier, I would now like to give you a brief update on the five pillars of execution that we had enumerated in October 2023 and continue to be in implementation mode against the same.

1. Customer acquisition - The focus continues to be on maintaining customer acquisition momentum both vertically and horizontally while proactively implementing credit adjustments to ensure sustained portfolio quality. To ensure focus on acquiring new non -leveraged MFI customers, the team focused on deepening reach into new non -covered villages. Hence, the number of new villages, zero disbursement villages, activated for the rural group loans and the MFI vertical stood a t 28,335 villages in Q4 FY26 as against 27,146 villages in Q3 FY26. We are also expanding our geographical footprint i

n UP, Maharashtra, Andhra Pradesh, and Assam.
This quarter, we have added a total of 8.3 Lakh new customers, which is the highest ever, and with this, our overall customer franchise stands at about 2.8 crore unique customers at the end of FY26. The Two-Wheeler Finance segment also saw renewed growth by reactivating dealers to target prime customers. Further details around customer acquisition and repeat share are

available on slides 27 and 28 of the investor presentation.

2. Sharpening credit underwriting - I've already spoken at length on the impact of our proprietary credit underwriting engine, Project Cyclops, which is now live in Two-wheeler, Farm, SME, and Personal Loans and will be further extended to Home Loans and Rural Business Finance in FY27.

3. Futuristic digital architecture - We continue working on upgrading our technical capabilities and our focus on continuously strengthen our IT framework remains unabated. I've already spoken about the Project Cyclops and Project Nostradamus. This year, we saw the launch of 20 plus new digital journeys, among which the HL Neo 2.0 journeys led to 2x productivity and the 3x performance in our Farm Ops portal as well. We enhanced credit governance through the Sachet app and an EWS investigation portal for early warnings. These advancements have built a highly efficient, scalable, and secure digital infrastructure for our retail future.

4. Brand visibility - We continue to focus on targeted engagement through multi -channel and multi -product brand building with Jasprit Bumrah as our brand ambassador. We expanded brand visibility through targeted branch initiatives and event participation, including the

branding of 200 new gold loan branches and the presence at a flagship business loan industry event. To also reach captive audiences, we also have implemented airport branding across multiple cities.

5. Capability building - On the capability building front, as you are aware, we have taken a series of measures during the year. During the quarter, we have completed our annual long -range planning cycle across all verticals, reinforcing the alignment of function -level talent stra tegies with our overarching business objectives. On the employee initiative front, we launched the Employee Engagement Service, including the third edition of the Great Place to Work survey, to enable the management to effectively listen to the voice of its employees. Additionally, gold loan expansion re mains on track with 330 branches live as of Q4 FY26. Notably, 30 of these new locations are integrated into our multi -product Sampoorna branch network. We intend to deploy 400 + new gold loan branches this year, of which at least 100 would be Sampoorna branches. This reflects to fostering -- this reflects our commitment to fostering a high -performance culture and scaling our physical presence to serve our customers better .
.
Update on Wholesale Business
Now I would like to give you an update on the wholesale business and the related investments in security receipts with the ARCs. The wholesale book has been reduced from ■2,582 Cr in FY25 to ■2,220 Cr in FY26, a reduction of 14% YoY. The net security receipts book has also been reduced from ■5,862 Cr in FY25 to ■4,808 Cr in FY26, down 18% YoY, mainly due to monetization of assets driven by active stakeholder negotiation, completion of projects, and subsequent sale of constructed units and recovery measures implemented through legal action. Details of the same are available on slide number 15 of our investor presentation.

With wholesale ARC book reduction progressing satisfactorily, we'll continue to work with the ARCs, focusing efforts towards further reduction in outstanding SRs.

I will now request Mr. Sachinn Joshi, our CFO, to take you through the financial updates.

Financial updates
Sachinn Joshi:
Thank you, Sudipta. As always, I'll be walking you t

hrough the financial performance of the company
for the quarter.

Quarterly Performance:
• Consolidated NIM s+Fees for the quarter stood at 10.47% versus 10.15% for Q4 FY25 and 10.41% for Q3 FY26
• Consol PAT for the quarter was ■807 Cr, up 27% YoY
• Quarterly retail disbursements stood at ■24,107 Cr, up 62% YoY
• Retail book stands at ■1,19,508 Cr, up 26% YoY, and our consolidated book stands at ■1,21,728 Cr, up 25% YoY
• Consol R oA stands at 2.40%, up 18 basis points YoY

• Consolidated R oE stands at 11.71%, up 158 basis points YoY

Annual Performance:
• Consolidated PAT at ■2,981 Cr, up 13% YoY. If we exclude the one -time impact of Labor Code, which was there in Q3 FY26, PAT stood at ■3,003 Cr, our highest ever
• Consolidated NIM s+Fees at 10.33% versus 10.59% for FY25
• Highest -ever annual retail disbursements of ■83,213 Cr, up 39% YoY
• Consolidated R oA after one -time exceptional items stood at 2.37%, down 7 basis points YoY. Before one -time exceptional item, it is 2.39%
• Consolidated R oE at 11.25%, up 38 basis points YoY. Before one -time exceptional item, it is 11.33%

Now before I move on to our retail business performance, I would like to briefly talk about our annual ECL model refresh. We have already provided a detailed impact of annual ECL model refresh in slide 13, but would like to just reiterate the same.

The company undertakes refresh of the ECL model annually, including recalibration of probability of default, that is PD, as well as loss given default, LGD, methodologies across stages. The model refresh also incorporates updated assumptions and forward -looking risk parameters.

This year's ECL model refresh has resulted in release of ECL provisions of ■301 Cr. These were carried as management overlays over and above the provisions required as per ECL model. ■290 Cr were in Stage 3 and ■11 Cr in Stage 2. There is a corresponding increase in ECL provisioning of ■301 Cr in Stage 1.

Additionally, as part of this exercise, ■125 Cr of macro -prudential provisions have also been subsumed within the ECL model. This leads to improved provision coverage on performing Stage 1 book, which constitutes a substantial around 96% of the total exposure, from 0.52% in Q3 FY26 to 0.80% in Q4 FY26.

The PCR on Stage 2 assets improves marginally from 23.23% in Q3FY26 to 23.59% in Q4FY26.

Correspondingly, the PCR on Stage 3 asset comes down from 73% to 68%, which is an adequate level of coverage and does not in any way diminish or impact existing coverage requirement as per model within Stage 3.

Overall, this does not have any P&L impact, which exhibits structural consistency and balance sheet resilience. This exercise strengthens the company's credit risk framework and reflects its continued focus on prudent credit risk management.

Retail Businesses:

Rural Business Finance
The Business registered quarterly disbursements of ■7,208 Cr, up by 41% YoY, and annual disbursements stood at ■25,882 Cr, up 24% YoY, mainly on account of improved collection efficiencies and sectoral trends. The book size reached ■30,805 Cr, up 6.3% QoQ and 17% YoY in Q4 FY26.

Farmer Finance
In the Farmer Finance vertical, quarterly disbursements stood at ■2,037 Cr in Q4 FY26, up 16% Y oY, while the annual disbursements stood at ■8,674 Cr, up 9% YoY. The book size reached ■16,970 Cr, reflecting a growth rate of 12% YoY.

Urban Finance
Talking about Urban Finance, which comprises Two-Wheeler, Personal Loans and Home Loan / LAP business, saw a 61% YoY jump in overall quarterly disbursements, ■9,850 Cr, and a 38% jump in annual disbursements, totaling to ■34,514 Cr. As a result, the overall book size increased to ■59,048 Cr in Q4 FY26, translating into a 29% YoY growth.

• Two Wheelers: The Two-Wheeler business registered quarterly disbursements of ■2,930 Cr in the quarter, up 58% YoY and

annual disbursements stood at ■10,787 Cr, up 16% YoY. The book size increased to ■14,372 Cr, up 17% YoY with 90% + of March '26 Two-Wheeler disbursements in the prime segment. We continue to prioritize high -quality growth and optimize risk-adjusted returns.
• Personal Loans: In the Personal Loan business, we achieved our highest -ever quarterly disbursement of ■3,786 Cr, translating into a growth of 98% YoY and annual disbursements stood at ■12,220 Cr, up by 100% YoY, with the book size of ■14,666 Cr, an increase of 70% YoY. The double -digit growth is attributed to the scale -up of digital channels.
• Home Loans / LAP: In the Housing Loan business, we achieved quarterly disbursements of ■3,134 Cr, up 34% YoY and annual disbursements stood at ■11,507 Cr, up 20% YoY. The book size reached ■30,009 Cr, an increase of 20.00% YoY.

SME Finance:
In the SME business, quarterly disbursements stood at ■1,838 Cr, up 20% YoY, and annual disbursements stood at ■6,130 Cr, up 23% YoY. The book stood at ■8,507 Cr, up 30% YoY. The growth in business volumes was aided through an increase in direct sourcing and an existing strong network of distribution channels.

Gold Finance:
In the Gold Finance business, quarterly disbursements stood at ■2,779 Cr, up by 97% QoQ and the total annual disbursements for FY26 reached ■6,700 Cr. The closing book reached ■2,845 Cr at the end of the year, representing a significant growth of 63.7% QoQ .

Let me now hand over the call back to Sudipta to make his closing statements.

Sudipta Roy:
Thank you, Sachinn.
In summary, our performance in Q 4FY26 has been satisfactory and overall performance for FY26 has been up to our expectations despite a difficult start due to the Karnataka microfinance ordinance issue. We have started the new financial year on a strong footing, with disbursement momentum keeping pace with the previous month and we are reasonabl y confident of a strong growth trajectory in FY27. As we go forward in FY27 with the backdrop of the West Asia geopolitical tensions and the possibility of El

Niño conditions later during the monsoon season, we are hopeful that we can maintain the upward momentum in risk -calibrated growth and profitability in FY27 and beyond as we continue our journey of executing the Lakshya 2031 plan.

I thank you all for a patient hearing. The floor is now open to questions.
Moderator:
Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. We take the first question from the line of Shreya Shivani from Nomura. Please go ahead.
Shreya Shivani:
Yes, thank you for the opportunity. Congratulations on a good quarter, a good year. So my one question is actually going to be about the impact of the West Asia war. In terms of we have all these AI capabilities and are probably be able to see the data quite upfront versus many other players.
Is there any areas of concerns that you can highlight, whether it be across your SME book, whether it be across your personal loan book? Also going ahead this year, there are a couple of headwinds in terms of the rural economy can face because of El Niño, there are headwinds of the war continuing to cause disruption or maybe causing inflation later in the year, etcetera. So how are we thinking about the full year across certain critical segments which are susceptible to the monsoon impact, for example? So that's my one question. Thank you.
Sudipta Roy:
Thank you so much for the question. So, at the outset, let me tell you that though the West Asia crisis

continues to go on, the domestic consumers have been largely shielded from any energy shock as of now, barring the little disruption on LPG supplies that we saw. However, there are, there hav e been sort of tightened supply of industrial gases, etc . which has also impacted some of the SMEs.
As of now, we really do not see any significant worsening either of any or

impact rising out of the West
Asia crisis on any of our portfolios, whether it be SME or any other portfolio like Rural Business Finance vertical or Tractors or Two wheelers. As of now, there is no visible impact. However, we continue to be cautious.
One of the things that we remain -- continue to be cautious is the fertilizer supply because the Kharif season is down the corner and many of the input stock for fertilizer production as well as some of the commonly used fertilizers originate in and transit through the Middle East, Middle Eastern corridors.
So, if the crisis does not resolve in time for the Kharif sowing season, then we might see some sort of constriction of supply, fertilizer availability there, which might have downward impact on yields on some of the agricultural produce later. So, these are all second -order or third -order impacts.
Obviously, we are cognizant of the energy shock that might come at some point in time because the fuel prices, the oil prices continue to be at a higher level. So, we obviously are looking at being cautious in our approach to the urban unsecured lending, especially in the SME business as well as in the personal loans business.
But I would like to point out that our focus for the last 2 years have been more of prime customers. And we do believe that our prime customers have a larger factor of safety, in terms of dealing with the vagaries of economic cycles than the more sensitive below -prime or near -prime customers. However, we remain vigilant.
Our portfolio management engine Nostradamus, which is in Two-Wheeler is already giving us measurable benefits. We're implementing it in Personal Loans as well. So, we will probably be able to see any risk pocket developing much, much earlier than maybe others. So, in conclusion, we remain vigilant. As of now, there are no immediate signals that we are seeing of worsening of credit parameters that is directly related to the West Asia crisis, but we will have to monitor this space continuously.

Shreya Shivani:
Right. And just a follow -up here, your plus 20% AUM growth guidance for FY27 is inclusive of all these concerns that you've talked about, right?
Sudipta Roy:
We have taken everything into concern. See the fact is that as of now, we remain committed to that 20%+ growth guidance. However, if there are unseen geopolitical shocks that might happen, later during the year, those are not factored into the guidance. However, as of now we stand by the 20% + guidance.
Shreya Shivani:
Okay, that's, very helpful. Thank you and all the best.
Sudipta Roy:
Thank you.

Moderator:
Thank you. We take the next question from the line of Kunal Shah from Citi Group. Please go ahead.
Kunal Shah:
Yes, thanks. So, a couple of questions. Firstly, you have spoken about the AI and efficiencies which it can bring in. Just if you can touch upon within the overall guidance, both near -term as well as maybe 2031 guidance with respect to how the cost ratios should pan out, be it in terms of cost to income as well as cost to assets, that would be helpful.
And second question is on ECL model refresh. So, the contingency buffer has been subsumed and I presume it was in the Stage 2. So ideally, when we look at the release from the Stage 2, then ex of contingency, it wouldn't have been anything related to PD or LGD, if that can be clarified. That will be useful because there is hardly ■11 Cr odd and ■125 Cr was contingency. And so, we don't carry any contingency as of today within the ECL. That clarification would also be helpful. Yes, thank you.
Sachinn Joshi:
Yes, Hi Kunal, thank you. So, let me take the second question first. On the macro -prudential provisions utilization, the Stage 1, 2, and 3, when the recalibration has been done. Anyways, when we show this slide on Stage 1, 2, 3, yes, you're right, ■125 Cr was part of Stage 2 itself. As we have recalibrated, just

the – ■125 Cr has been subsumed primarily taking in to account the last four to five quarter challenges that have happened at the micro -loan sector.
The requirement naturally increases because ECL model runs at a lag. We have actually this quarter come out of this whole challenge with March ending at 99.8 % collection efficiency, right? But the ■125 Cr which was remaining is anyways part and parcel. Earlier it was separately available, now it is part

and parcel of Stage 1 and 2 as part of the ECL model itself. So, it's not gone anywhere.
Anyways, it is just strengthening the same piece. It's just changed the color, that's it. Going forward, as we step into the next financial year, whenever there is a possibility and a requirement, we will anyways continue building macro -prudential provisions which will take care of the future events. So, this is as far as the macro -prudential is concerned.
In terms of the Lakshya 31, the opex to book range, I think we are looking at a range of 3.75% to 4% range, primarily keeping in mind the investments that will be required because over the next 5 years, there will be further investments in technology which will be required, investments in setting up

branches, gold loan, micro -loan, micro -LAP, these are the businesses which we will continue investing in and the branch network -- setting up the branch network comes at a cost. So, we have continued to factor these in when we build the Lakshya 31 projections. So, I hope I have answered both.
Kunal Shah:
Yes, and near -term cost ratios?
Sachinn Joshi:
Near -term cost ratios will be...
Kunal Shah :
Yes, it will be same or maybe you could see some positivity.
Sachinn Joshi:
Yes, so as far as the operating expenses are concerned, if you talk about FY27, we intend to, assuming that the external conditions remain normal, we continue to plan setting up about 150 to 200 micro -loan branches, further 150 to 200 micro -LAP branches, and about 400 to 500 gold loan branches.
Now these will come at a cost, and hence we've said that the credit cost trajectory coming down, exit we are expecting, exit Q4 FY27, we are expecting it to come down to a range of 2% to 2.2%. So, keeping the reduction in credit cost in mind and investments to continue in FY27, I think we are looking for an RoA target of 2.8% to be achieved by exit FY27. Basically, the Lakshya 26 target of 2.8 % to 3%, we expect to achieve with a lag of about four quarters because we are out of the crisis now and we should start moving towards achieving that target.
Kunal Shah:
Perfect. Thanks, yes, that's helpful.
Sachinn Joshi:
Thank you.

Moderator:
Thank you. We take the next question from the line of Pranuj Shah from 3P Investment Managers. Please go ahead.
Pranuj Shah:
Hi, thank you for the presentation and taking my question. So first one is just on the fee income. It is relatively tepid if I compared to your disbursements growth of 61 % and 6%. So, is this MTM losses that is pulling this down or what is this exactly?
Sachinn Joshi:
No, fee income does not include any MTM losses. Primarily there is an amount of liquidity income. So, depending on the liquidity that is kept, we have the income coming in as part of the interest cost. And if there is a negative carry on that, that comes over here. So otherwise, the disbursement trajectory, the processing fee and the CLI income remain range -bound in that.

Pranuj Shah:
But do you expect this to grow in that 20% range in line with your AUM and disbursement target for next year, the fee income?
Sachinn Joshi:
I think fee income has continued to remain in the range of about 1.7 % to 1.8 %, 1.9%. There are quarters where we receive something more, quarters where we receive something less. So, I think the range, rather than looking at standalone fee income, we always give a range for the NIM s+Fees because ul

timately it's a part and parcel of whatever fee income that we garner depends ultimately on disbursement on a specific business.
Micro -loan will give a particular range of fee, gold loan financing gives something else. So, to remain within the trajectory of 10 % to 10.5 % is what we have assured and we have been maintaining that. This quarter we've done 10.47 %. So, some plus -minus, few basis points here and there will keep happening.

We can't really monitor on exactly what will be the fee income, but broadly this range should continue.
Pranuj Shah:
Understood. Thank you. And lastly, just one clarification, like, your reported NIMs versus the calculated based on period -end averages is quite a bit of delta. So, your reported is on daily average assets, am I correct there?
Sachinn Joshi:
No, reported what we do is we do end-of-the-period averages.
Pranuj Shah:
Okay. Understood. I'm getting a bit delta, but I'll take this offline perhaps.
Sachinn Joshi:
Sure.
Pranuj Shah:
Thank you.

Moderator:
Thank you. We take the next question from the line of Avinash Singh from Emkay Global Financial Services Limited. Please go ahead.
Avinash Singh:
Yes, hi. Thanks for the opportunity. A couple of questions. The first one is more on, I mean, AI. Of course, you are kind of leading there and leveraging it. My question is more on the, you know, that medium -term impact of AI in the job markets. I mean, the h iring scenario in IT looks muted at the moment, uncertainty is there. And even if you were to look at financials, as a sector overall, the wage growth has been slowing and hiring is also relatively slowing.
Now these two sectors typically will be very, very key for your targets of the two -wheelers as well as the PL. Now if these two sectors are kind of a bit clouded here, now how do you see this risk in terms of your growth, asset quality over the medium term ? Because these two are kind of a very critical to your

growth, the two -wheelers and personal loan growth are very critical to your growth trajectory and plans, but we have this big sort of uncertainty coming in.
So, I mean, on one hand, of course, AI is helping on the operation side, but this is kind of creating a cloud. So that's one. Second, again, I guess this has been discussed and answered. From this FY31, so broadly if I see, I mean, if I were to remove this drag on earnings from the security receipts and see the credit cost improvement, by and large, it looks like that, okay, in terms of even over the medium term 4 -5 years, your play is like NIM plus f ee changes and opex changes basically offsetting.
I mean, there is very little play from these two parts. The large play is from credit cost and some, of course, SR (Security Recei pts) drag going on. So now if you were to continuously invest in technology, I mean, why it is so that even at exit, I mean, after even 4 -5 years, you do not see that opex play to come into pictures? And this branch 150 each for microfinance, micro -LAP, and 40 0 for gold, is to be opened in how many years? And will there be some overlap in these branches? Thanks.
Sudipta Roy:
Okay, I'll take the first question. The first question is that the fact is that yes, there are a lot of headline moderation in hiring by some of the sort of the bigger Indian IT firms as reported in the media. However, one of the things we should be cogniz ant of is that much of that slack is also being picked up by the huge expansion of GCCs (Global Capability Centers) in India.
So, the fact is that, and we are in the hiring market almost every day, it's still as difficult to get qualified talent as it was 2 years back, right? So, maybe there might be a little bump in the freshly minted engineers getting hired into some of those, som e of the big Indian IT services firms, but the hiring by the GCCs expanding is quite strong.
So according to our assessment, we really

do not expect the IT staffing or hiring industry to completely
fall off a cliff, at least for the next 12 to 18 months. And the fact is that because we have been very, early in adopting AI -based tools, and now we h ave a significant AI development team as well, our realization is that the front end of AI development is only 15%. To make AI solutions useful for use in the frontline or for use by operating managers, you require a heavy engineering wrapper around it. An d that requires software engineers and developers to put it together in a usable format.
So, I do believe that, and this is obviously, this is my own personal opinion, some of the gloom and doom regarding job losses from AI like, being an unstoppable stream, has been probably a little overblown. Yes, there will be some losses because of efficienc y gains, etc., but I do believe that some of those will be deployed into tools development or manufacturing of AI-enabled solutions. So overall, I do believe , that there'll be a marginal impact and not a massive impact.
But again, the caveat is that we'll have to see as it plays out. You know, my guess is as good as yours, and no one can predict with 100% certainty as to what will happen. Having said that, we are cognizant of wherever there are, like, large -scale job loss es. Of late, there was a large -scale job cuts by one large

global US player, right, in the IT segment. And so, our underwriting sort of paradigms as well as underwriting processes, especially in SME or personal loans, etc., remain cognizant to such risks.
And, and we incorporate such things into our decisioning process. For example, if we get advance news of a particular large heavy amount of job losses in a particular IT services company, right, or downsizing in an IT services company, automatically any ap plication coming from that company for a personal loan or for a credit facility goes through an additional amount of security.
So, those things are built into the underwriting process. The second, as part of the second question you were asking whether, on the gold loan branches, 400 plus gold loan branches is for deployment only in this year. That means from 1st of April till 31st Ma rch of, 1st of April 26 to 31st March 2027, in between this period, we'll deploy these micro -LAP branches, and we'll deploy these 400 plus gold loan branches. So, the rate of deployment of gold loan branches will be at the rate of almost 1 to 1.2 a day.
And so that is, to answer the question. The third thing is that obviously, opex and the credit cost trajectory will evolve over the period of the Lakshya 31 framework. So, you know, currently we are at about 2.64. You can see that , our slippages have been coming down. Our slippages same quarter last year were about ■900 Cr plus, this quarter it is ■402 Cr.

We have given in slide 20 the impact of Cyclops on our two -wheeler portfolio where you can see our 30+ DPD portfolio at 10 months from the observation period is 2.8% where the industry average is 7.1%. So actually, our Cyclops portfolio, two -wheeler portfolio, which is like almost ■11,000 Cr right now, is, but the observation window book, which is about ■3,250 Cr, is outperforming the industry by almost a factor of, almost a factor of two.
So, we remain very, very confident on the trajectory of paring our credit cost during the Lakshya cycle to sub 2%. That is why we felt confident enough to put it as part of the Lakshya guidelines. And the fact is that you are right, to a certain extent, the R oA expansion will come from some part of the efficiency that is arising out of opex, as well as we will build headline efficiency in our opex plus credit cost.
As you, if you had been part of the analyst call previously, at one point in time, we used to guide saying that our opex plus credit cost will be in the corridor 6.5% to 7%. Now we have moved that to a corridor of 6% to 6.5%. And during the Lak

shya period, we expect that to be in the corridor of 5.75% to 6%. So
that is where we expect that to be in the corridor of. So obviously, there will be efficiencies built in the opex line, there will be efficiencies built in the credit cost line, and obviously we will try to hold our NIMs and fees in the corridor of 10% to 10.5%.
There was a question on fees. We have launched the payments business primarily because we want to diversify our fee revenues. We are cognizant of the face that our primary fee comes from insurance revenues as well as from origination fees. So, we want to diversify our fee revenue pipelines. So that is why, the payments business has been launched, or payments business is proposed to be launched. So, we are working on diversifying our fee revenues as well. So that is why, for the near term, our guidance on NIM plus fees remain at 10% to 10.5% for the near term. So, we are very, very confident that given the fact that structurally the changes that we h ave done to the businesses and the way we do our businesses, right, will help us navigate the Lakshya 31 period and deliver those metrics that we have put on the paper.
Avinash Singh:
Thank you, very clear.

Moderator:
Thank you. We take the next question from the line of Chintan Shah from ICICI Securities. Please go ahead.
Chintan Shah:
Yes, thank you for the opportunity and congratulations on the quarter. So, Sir, firstly on this Lakshya 2031 R oE guidance of 16% to 18%. So, in that are we considering any benefit from the SR portfolio as in any provision reversal which you are, which we could expect from that or what is kind of the recovery rates on the SR portfolio? So, this quarter I think we have, this year we have a reduction of almost ■1,000 Cr in the SR book. So, has that gone anything towards the provision and any add -back on the capital front? Yes, that's the first question.
Sachinn Joshi:
So, first thing is , we have not taken into account any gains coming out of SR portfolio because earlier we had guided that as and when such gains come in, we will actually utilize the, those credits to take care of the, further macro -prudential provisions to be created. And , once we have sufficient provisions created for micro -loan, we may also consider creating provisions for the unsecured portfolio overall. So, that's a top -up which has not been factored in over here. And as far as the current credits are concerned, you would have seen that the SR portfolio used to have about 59% provision , that has now

gone up to 64%. So, till the time the ARC has more than one asset, the release of these credits to P&L is not possible.
So, whatever credits have been received have actually just gone to, create more buffer for the balance assets which are currently going in for resolution. So, we will over a period of time, there will be a redemption of SRs and at that point of time the credits will come in and we will, like we had guided earlier, will utilize the moneys towards creation of additional macro -prudential provision.
Sudipta Roy:
His question is that 3% to 3.2% ROA , does it include.. .?
Sudipta Roy :
No, it does not include. That does not include. Also, but one of the important points to note is that the SR portfolio still gives us a drag. Because, we have to still provide for the funding cost for the portfolios with the ARCs. So as and when the portfo lios resolve, that drag resolves to a larger extent, which releases a marginal R oA into our entire earnings stream.
So, if you had to look at standalone basis, our retail portfolio is actually exhibiting R oAs at a level higher than our consolidated R oAs. So as the drag reduces, yes, there is a secular benefit that will come into the R oA profile as well. So, to that extent, yes, the resolution of the SR portfolio will aid our R oA expansion definitely.
Chintan Shah:
Sure, Sir. So, from that retail p

ortfolio R oA, standalone R oA which you mentioned is higher than the
overall, so how much would be the delta which retail portfolio R oA would be having over the consol ROA?
Sachinn Joshi:
Rather than talking about the delta on retail, I would like to just talk about what is the money that is stuck. We have ■2,200 Cr of portfolio on the book, the loan book, the wholesale portfolio, and about ■4,800 Cr of SR portfolio. So totally about ■7,000 Cr, right? ■7,000 Cr is the, is the money which will get released over a period of time and right now the ■4,800 Cr does not give me any interest income because they are part of SR ; ■2,200 Cr must be giving me around 11% to 12% kind of yields. You can do the calculations there. This money will get released and will get redeployed in high -yielding retail business.
Chintan Shah:
Understood. And fair to expect that this will get resolved in three years' timeline atleast ?
Sachinn Joshi:
Yes, three to four years. So, there may be a long tail, but yes, larger resolutions, there has been a positive movement which we are seeing. Ultimately, it's with NCLT, so it's anyone's guess, but yes, next two to three years, significant part of the assets will come up for resolution.
Sudipta Roy:
Yes, let me add to what Sachinn says, Chintan. In many of the assets, there has been significant progress over the past one year. And we are reasonably positive about the trajectory of that. But it will take another three to four years because, for one of the assets, for example, if I were to give an example, the JDA has just been signed last quarter.
Now once the JDA has been signed last quarter, the construction period is at least 2 to 2.5 years. And so, it will take about 4 to 4.5 years for the full project to get delivered. So, the delivery will come across

the next three to four years is what we look at. And so, we have a team, we have a reasonably focused team that keeps on working on this, and so far, the outcome has been positive.
Chintan Shah:
Fair enough. That is very helpful. And Sir, just one last question on the fee income part. So, I think in order to boost fee income, so are we looking at any opportunities to further expand into co -lending or are we doing any co -lending as of now? So, what are the thoughts on that?
Sudipta Roy:
See, co -lending we do on the personal loan side, but on a very selective basis with only a couple of partners. Co -lending always remains on the plan for us, on the table for us. There can be opportunities in home loans to do co -lending, there can be opport unities , personal loans obviously the opportunity arises, in SME there can be an opportunity to do co -lending, on a product like warehouse receipt finance, there can be opportunity to do co -lending.
So, the only thing about this is that co -lending frameworks are slightly complex to implement as well as it requires a little bit of tech integration as well as monitoring. See, we are not starved of capital. Right? So, we will do co -lending wherever we get access to newer customer pools, right? And the partner also wants the say in the control of the customer experience process. Right?
So, there are various considerations that go into co -lending or the partner does not have enough capital

to deploy to do a certain amount of product to its customer base. So, there are horses for courses. Yes, we remain open to doing co -lending frameworks, but obviously at terms which, we think are favorable to our business philosophy.
Chintan Shah:
Sure. That's it from my side. I'll come back in the queue. Thank you.
Sudipta Roy:
Thank you.

Moderator:
Thank you. We take the next question from the line of Anuj Singla from JP Morgan. Please go ahead.
Anuj Singla:
Yes, good afternoon, sir. Sir, my question is on the ECL refresh. While you have elaborated quite a bit on that, on the Stage 3 PCR cut, is there a change in LGD o

r PD assumptions there?
Sachinn Joshi:
See, the PD LGD, there are two ways, within the industry there are certain players who have PDs which, which keep increasing, which have an increasing trend as they move stages, and there are some players who also have the LGD moving, showing an increasing trend. There are other players in the industry who have a moving PD but the LGD is static, which means that LGD is decided at a portfolio level and accordingly the overall LGD is applied to every asset right from -- so it's fixed for all the three stages.
So, when we've done this exercise over last two years, we have actually been recalibrating the, Stage 1, 2, and 3 PD LGDs. This quarter -- this year for the, based on the impacts of FY26, we have revisited this and accordingly the Stage 1, if you look at what has actually happened is that the overlays which were kept in Stage 3, which were over and above whatever was requirement as per ECL model, with

the difference of PCR between 74% and 68%, that differential was nothing but the management overlays, they have got released as part of this whole exercise and 96% of the portfolio which is in Stage 1, there we have actually enhanced the overall PCR from 0.52% to 0.80%.
So right on day 1 as the loan gets sanctioned and disbursed, 80 basis points is set aside. In if you -- if you are aware in the RBI prudential norms, this used to be a minimum requirement of 40 bps. It's actually double that number. And the LGD across the stages has been fixed. That, that's the reason why you see that right from the Stage 1 carries 80 basis points, Stage 2 also there is a small increase which has happened from about 2.23% to 2.47%, and Stage 3 there has been a release. So, this release of provisions out of Stage 3 does not in any way bring down the provision coverage in terms of what is required for that portfolio. I hope I have, I'm clear on that.
Anuj Singla:
So, my question is if there is an LGD or PD change for Stage 1, so let's say for the incremental portfolio build -up in FY27, do will you be providing at 80 basis points incrementally as well or it will be 50? So, you've created a buffer between this 30 basis points of incremental buffer, but that's a one -time buffer, or have you changed the assumptions that every incremental asset build -up will now need to be provided at 80 basis points as well?
Sachinn Joshi:
It will be 80.
Anuj Singla:
There is a change in, there is a permanent change in assumption then
Sachinn Joshi:
Also, there are still certain overlays continuing in Stage 3. So, we have not fully exhausted the overlays which are part of Stage 3. Okay? Number two, if you have seen that last 4 to 5 quarters, the whole rural business loans business has gone through a crisis. Okay? So just simple arithmetic , if you exclude one good year and you add one difficult year to the overall ECL model, you will find that the PD LGDs will increase. Okay? Now the actual behavior of our portfolio if you see has only been improving. We have actually gone back to the pre -crisis levels, our collection efficiencies are back to 99.80%. Which means the actual requirement as part of the credit cost, will come down significantly whereas the ECL model requirements will continue for some time, yes, just as a pure arithmetic.
So, that also is one of the factors which leads to this increment. In a way, it actually creates , if my asset book is going to be improving with every quarter, this will actually create only cushion in the system. And that's what we ultimately intend to. We used to hold ■975 Cr of macro -prudential provision at one point of time, and in a way by, the acceleration of Stage 1 provision, it only helps us create that cushion at the early stages of life.
So, the standard asset, gets a higher coverage. By the time some roll -forwards happen, we have also shared how the roll -forwards have been slowing down,

& that actually shows very clearly that the overall
portfolio across all businesses is only improving & the overall requirement for provisions will go down in reality, but when we look at the provisions to be created, it is purely dependent on the ECL model. The Cyclops impact, partial impact through the segmentation and all has been already considered. As we move into the next financial year, you will see the further impacts coming in and which will help us improvise on the overall credit cost. And that's why we are pretty, you know, bullish on how we will end this financial year FY27, and you know we've taken a, aggressive target I would say in terms of bringing down the credit cost to a range of 2% to 2.2%.

Anuj Singla:
Okay. So just to clarify, this does not, the change in this quarter does not have an impact on the next quarter, next year credit cost outlook? Because mathematically it should. I just want to clarify if the Stage 1 you are now factoring at 80 basis points versus 50 basis points till 3Q, now we have increased the positioning on Stage 1 build -up, which incrementally will be adding in FY27. Does it change in any way the outlook of credit cost for FY27?
Sachinn Joshi:
No. See, the reason for that is the , actual roll -forwards if they slow down, the hit to P&L is expected to come down significantly. So, the provisions requirement, you know, based on the book increase will go up, but more than compensated by the reduction in the roll -forwards.
Anuj Singla:
Got it, got it. Pretty clear. Thank you. Thanks a lot.

Moderator:
Thank you. We take the next question from the line of Abhijit Tibrewal from Motilal Oswal Financial Services Limited. Please go ahead.
Abhijit Tibrewal:
Yes, thank you for taking my question. Good afternoon, Sir. Sachinn Sir, just to clarify what you just answered that we now plan to keep Stage 1 provision cover at 80 basis points. I was under the impression that this quarter because we have had a release from Stage 3, rather than taking the benefit of that in the P&L, we c hose to be prudent and we parked it in Stage 1.
But if we start providing on Stage 1 at 80 basis points, it essentially means that our PD and LGD assumptions are now telling us to provide on Stage 1 at 80 b ps. So, which is not just a ECL model refresh, in other words, partly whatever release we had from Stage 3 in Stage 1. This is our ECL model now telling us that provision on Stage 1 is required at 80 basis points. Is that understanding, correct?
Sachinn Joshi:
No. So Abhijit, the way it works is that the, if the LGDs, like I was mentioning earlier, either you have an increasing trend in the loss given default the way you have it for PDs, then you will have a lower provision created for Stage 1, slightly higher i n Stage 2 & then finally higher in, much higher in Stage 3. The way the model was worked out was Stage 3 actually, the ECL model used to give a particular result and the incremental provisions, if you look at our PCRs historically also, you would see that our PCRs for Stage 3 assets have been always on the higher s ide. We have been in that 70% to 75% range when other, the peer group you will see that similar businesses, the PCRs have been kept in the range of 50% - 55% for some time, and, you know, they have now been increased to 60% - 65%. So, 68% PCR, like I was mentioning, also includes some parts of the overlays.
So, we believe 60% to 65% is a reasonable requirement which comes in and which with Cyclops implementation, and, you know, we have also shared some early results on that, the expectation is that the ECL models will naturally be recalibrating once again in Sep tember and next March. And we will, we will be revisiting this because, see, I don't think anyone else in the industry is currently working on the credit cost piece through implementation of a tool like Cyclops, which has star

ted giving early
results.
We are, we will possibly see the full -fledged results in FY28 because the full book would have moved into through the Cyclops underwriting. So, there are early, you know, results which have come in, which

very clearly showcase, Sudipta earlier explained on one of the question s how the two -wheeler piece has been working out.
Similar thing we have been noticing on farm as well as personal loan, but the full effect of it naturally will happen only after the book gets, the new book gets seasoned. And the ECL model refresh we do once in four quarters. As we revisit the ECL model next time, you will naturally see that there is an improvement in that and for next four quarters is what, you know, we will continue with this 80-basis

point.
If there is a need in September, we will see because it's up to us. If the results are really good and we can recalibrate the models in September, end of September, we will do that. I hope I have clarified.
Abhijit Tibrewal:
Just, Sir. Yes, Sir, that clarifies. So, basically speaking, till the time we do our next model refresh, it could happen in September or March, we'll continue with Stage 1 at 80 basis points. And, maybe potentially in September or March, Stage 3, depending on how we see Cyclops benefiting the asset quality, the Stage 3 PCR could further come down to 60% - 65% because like you mentioned, you're still carrying some overlays in Stage 3. So, there is a possibility that.
Sachinn Joshi:
No, Abhijit, one second. The last part, if you have noticed over almost two to three years, we have been carrying PCR in the range of 70% to 75%. So, the recalibration exercise once it has been done, it, it was right now just, you know, significant part of Stage 1 provisions moving to Stage, sorry, Stage 3 provisions moving to Stage 1.
But this whole exercise now is not going to have such significant impacts. And if, like on one side I am talking about creating additional macro -prudential provisions, so the intent is not to really bring it down further from here. We will be in the, in th is range only. The PCRs will, will be kept in the same range.
Abhijit Tibrewal:
Got it, Sachinn Sir. That is useful. And then I had one last question for Sudipta Sir. Hi Sir, good afternoon. Sir, just one thing, these Lakshya goals are very, very aspirational, it's very heartening to see that we are at least aspiring to get to credit costs which are less than 2%. Will a change in the product mix have a bigger role to play i n bringing down credit costs to below 2%? Because the way we are thinking about it is by the exit quarter FY27, we were thinking of, of taking down credit costs to 2% to 2.2%. Which essentially means that this less than 2% credit cost that we are thinking about as part of Lakshya 2031 is not very far away. It could come in FY28 or by FY28 end.
So just trying to understand, will it be more a function of the product mix changing or, or like Sachinn sir was mentioning, the full impact of Cyclops will start showing up from FY28 onwards? Will that play a major role, or will product mix play a bigger role in getting us to less than 2% credit cost?
Because the way the mix is today, some of these products, tractors, two -wheelers, PL, including MSME , these are inherently, if I look at the industry, higher credit cost segments. So, if you could just help us understand this bit. Thank you so much.
Sudipta Roy:
Yes, so, see, one of the things which is there is that the impact on credit cost will be primarily driven by customer selection through Cyclops. So, and as you, because the way we have implemented Cyclops is that we have implemented Cyclops in the credit -aggressive segments earlier. So, you know, two -wheeler followed by, you know, tractor followed by SME.
So, as you rightly said, you know, these are the, what I call the aggressive credit products, and so obviously we wanted to im

plement Cyclops first on this just to make sure that we are very, very certain about the credit cost trajectory of this business goin g forward. And the early indicators, we have given the 30 + numbers out, we see the 90 + numbers on Nostradamus, they are very, very encouraging, which

gives us the confidence that, you know, if you see a prime throughput on our two -wheeler business, prime throughput on our two -wheeler business while we have two -wheeler business monthly originations have grown from ■650 Cr to almost ■1,000 Cr, my prime contribution has gone up from about 65% to almost 90%. Right?
So, I am able to pull at that scale also. So, we are reasonably confident about the credit cost trajectory, which will be primarily Cyclops -driven customer selection. So, so in a way you are right, you know, some of this might happen, you know, the, if everything goes well. See the caveat is everythi ng, you know, sometimes, you know, we, hope for the best, but sometimes, you know, there is a spanner in the works.
The Karnataka microfinance industry ordinance issue came out of the blue, right, in the month of February last year, and it was nowhere factored into any of our plans, right, which delayed the recovery of the entire microfinance industry by almost six months. Right?
So, ceteris paribus, things remaining normal, which is a tough ask these days, right, so, you know, we are reasonably confident that, you know even within those see -saws etc in terms of environment , we are reasonably confident of reaching that less than 2 % trajectory by FY28 as rightly pointed by you. Now which quarter that might happen is something that I can't point out. Right? But sometime during FY28, we should be in touching distance of that 2 % or below credit cost trajectory. Right? After that, you know, it's a question of maintenance and see how far we can optimize it even further.
So that is why we have stuck out our neck and said that it should be less than 2 %. Right? So that is what we have stuck our neck, how much less than 2 % is a matter of execution and full maturation of our Cyclops portfolio, but a mix of economy, geopolitical factors, etc., everything thrown in. Right? But

we are reasonably confident of getting to that 2 % or below trajectory by somewhere in FY28.
Abhijit Tibrewal:
Got it, sir. This is very useful. Thank you so much and I wish you and your team the very best.
Sudipta Roy:
Thanks.

Moderator:
Thank you. We take the next question from the line of Deep Vakil from Bandhan AMC. Please go ahead.
Deep Vakil:
Hello, good afternoon, sir. Am I audible?
Sudipta Roy:
Yes, good afternoon, yes.
Deep Vakil:
Sir, one quick thing. I think the main, I mean, most of that I could understand is the new branches. So does this have something. ,,,,,(inaudible)
Moderator:
Deep, I'm sorry to interrupt you there, but there seems to be some background noise coming in.

Deep Vakil:
Yes, just, is it better now? Hello?
Sudipta Roy:
No, there seems to be some ring, phone ring at the background.
Deep Vakil:
Hello, hello, hello.
Sudipta Roy:
Deep, I think you will have to call back again. There is a ….
Deep Vakil:
Yes, okay. Sure.

Moderator:
Thank you. We take the next question from the line of Hardik Shah from MLP. Please go ahead.
Hardik Shah:
Thank you for the opportunity. Congratulations, Sudipt a, on good set of numbers. My only question is on the credit cost assumption. So, what are we assuming in terms of through -the-cycle credit cost for two-wheeler and personal loans for us to go from 2.6 % to less than 2 % from a structural standpoint?
Sudipta Roy:
See, we don't give business -wise credit cost estimates, we don't give out because, you know, this is like too dependent on market conditions, etc . So, what we have given out is the 30 + number as part of our Cyclops ■3,250 Cr book. So, you m

ight want to calculate it from there. 30 + number on 10-month observation window is about 2.8 %.
So, you know, there's an assumption of a 9 0+ from there and there's an assumption of a loss given default from 90 +. Right? So, basis this chart on that ■3,250 Cr portfolio, you know, probably at this point in time , caveat - this is not a fully mature portfolio yet, it has to go through 24 months for it to fully mature, you know, it has gone through only 10 months by now, right?
At full -scale cost, you are probably looking at a, in this portfolio, you are probably looking in the two -wheeler portfolio, you are probably looking at a sub 2 % credit cost. But again, these are not matured portfolios.
So, you know, we obviously there are certain businesses which are lower credit cost businesses like mortgage, etc, gold loans, there are certain businesses with slightly higher credit cost business like, you know, MFI as well as two -wheeler.
Overall, at a balance sheet level, we still, we still sign up to that 2 % to 2.2% corridor by Q4 FY27 and over the Lakshya period, sub 2 % is what we are signing up on. But having said that, the initial trends on the Cyclops portfolios, especially in SME, tractor, and two -wheeler, are very, encouraging, which gives us the confidence to stick out our neck and give that commitment.
Hardik Shah:
Got it. And how about personal loans, given that our incremental share is increasing from the partnership loans?

Sudipta Roy:
Yes, so see, the personal loans industry loss rate, especially for players, you know, especially for players who have a large amount of salaried customers in their portfolio, will range in the corridor between 2 % to 3 %. Right?
Hardik Shah:
Understood.
Sudipta Roy:
So, our, our objective will be to land in that corridor as well.
Hardik Shah:
Got it. Okay, perfect. Thank you. That's all.

Moderator:
Thank you. We take the next question from the line of Abhishek Murarka from HSBC. Please go ahead.
Abhishek Murarka:
Yes, hi Sudipt a, Sachin n and team. Congratulations for the quarter. So, can you give a sense of at least your key segments like farm equipment, two -wheeler, microfinance, consumer, is the disbursement yield higher than the portfolio yield at this point of time?
Sudipta Roy:
Thanks, Abhishek. Microfinance, all of you guys know that the disbursement yield is more than the portfolio yield.
Abhishek Murarka:
Not microfinance, but the other stuff.
Sudipta Roy:
Other stuff, see, I'll tell you, other stuff, you know, personal loans, we continue to have -- see, Abhishek, we don't give individual business -wise yields. But however, I will give you some pointers, right? Personal loans, we are higher than industry salaried average by almost 2 % to 2.5% percentage points.
Primarily because of the online origination, we are able to get a little bit higher yield. This I've maintained earlier and I stand by it. Two -wheeler, you know, the industry operates between 16 % to 18 % overall yield levels.
So, you know, we are still at that level and, you know, and we are able to maintain these levels. In one dealership with a very large prime, you know, very high -ticket bikes, you know, it might be slightly lower, you know, one dealership with a slightly lower -ticket bikes, it'll be slightly, slightly higher. SME also continues to be.
Abhishek Murarka:
Yes, sorry. Sudipt a, just broadly would it be higher than your portfolio yield even if it is not, I mean, I just wanted to get that range even if you don't give a number. Is it higher or lower at this point of time?

Sachinn Joshi:
Yes, it is higher.
Abhishek Murarka:
We're just trying to see where your, if there is any portfolio where there can be an yield improvement as you build the book. So that is what I'm trying to?
Sudipta Roy:
I'll tell you, the yield improvement we are always

continuously trying yield improvement in personal
loans. We are trying home loans we got hammered quite a bit last year. Home loans, the, you know, we have moved quite a bit to loan against property.
So, if you look at our sort of mix of home loans to LAP, we were about 80/20 about, you know, 12 to 18 months back. Right now, we are about 60/40, maybe 55/45. Right? 55/45, 55 % home loans, 45 % LAP. So, we are trying to push yields up, right? Micro -LAP is a business where we have reasonably high yield.
And micro -LAP, you know, book size has crossed ■1,000 Cr as you have, we have disclosed for the first time this time, right? And we are setting up almost 200 micro -LAP branches this year. So, we are focusing on micro -LAP, and in micro -LAP our collection efficiency continues to hold at, you know, 99.9%. Right? So that portfolio is doing very well.
Even in tractors, right, we're trying to push our yields upwards in, in two -wheeler we have been able to improve our yields slightly upwards over the last quarter. Right? So overall the push is on improvement of yields across.
Abhishek Murarka:
Okay, because I think using Cyclops and all your, you know, customer selection tools, you're getting into better quality customers even within those portfolios. So then to push up your yields, how do you do that? Is it. I mean, I'm just trying to connect t he dots there?

Sachinn Joshi:
Yes, yes. So, Abhishek, basically the only way you can do that is by changing the mix in the right manner, right? And that is the reason why gold loans was introduced. Gold loan we expect. so, if we look at how, how will we fare in terms of our book mix say by FY31, our micro -loan, you know. The whole rural business finance piece will be somewhere in the range of about 20 %. 15 % of the total mix will be for businesses like personal loans, gold loans, which is a very small piece, right, today. And you will have farm and two -wheeler somewhere in that 10 % to 12 % kind of range. Then you will have, you know, what is left, SME is again going to be about 10% odd. So, the mix itself is going to really do the work and it's already doing.
To your question on whether the disbursement yields are higher, it is yes, it is higher because of the change in mix which is happening. And as the higher -yielding book starts growing, proportionately the overall yields will start moving up.
And that's where you see that our ability to manage the overall NIM plus fee within the 10% to 10 .5% corridor is not just a function of lowering of weighted average cost, but also managing to stabilize the yields through acceleration of higher -yielding businesses. So, we had challenge in four to five quarters when the rural business finance had to be slowed down.
But with that coming into play and gold loans getting accelerated, micro -LAP will get a big push, personal loans you have already seen 98% growth you saw. So, these are all pieces which are naturally higher. Mortgages will grow, perhaps we saw 20% growth over there and that was one piece which used to actually -- we had to do it because it was secured.

But the yields over there, especially now in the reducing interest rate cycle, the yields come under pressure. That also will once the interest rate cycle changes, there will be an advantage on mortgages also. And we are also talking about getting into eco nomical housing. So, all in all there is always an attempt to ensure that we have the right kind of mix for book growth.
So as to ensure that the overall yields don't really -- get come under pressure that we forced to again look at sub -prime kind of customers. It's very clear that we've changed that trajectory and we will continue to be in the prime space and ensure that th e collections cost as well as credit costs don't go back to the older levels.
Abhishek Murarka:
Got it. And just this slippage number that you've disclosed, ■400 Cr for th

e quarter, how much of it
would be MFI right now?
Sachinn Joshi:
We don't give a break -up, but I mean it has been coming down significantly. I mean, you can actually look at -- we had Jan and Feb 99.7%, 99.75% and 99.8% is in March. So, the corresponding number I think December was 99.6%. So, the roll -forwards are the differential of about 40 bps, 45 bps.
Abhishek Murarka:
Right. So, because I was just thinking that at ■400 Cr for the quarter, the annualized number works out to approximately 1.6 %. Looks like a very good number and probably with the kind of book mix you have and looking forward with Cyclops implementation catching up in more a larger part of the book, would this 1.6 % come down or is it like cyclically a very low number, very strong number already?
Sachinn Joshi:
No. So Abhishek, one thing which you should keep in mind is that there has been also a big thrust, there is a project on the collections piece as well. And there is every Chief Executive is currently pushing for recoveries of whatever moneys were provided for. So, we may write off in the books, it's a technical write -off.
But every Chief Executive is painstakingly trying to get every rupee back. So, the collections of the older receivables are also part and parcel of the final roll -forwards, right? Because they get netted off against the moneys that we have to finally provide for. So, there are targets taken by every business and we have been very successful in terms of doing the collections as well.
Sudipta Roy:
Yes, having said that, yes, the trajectory is very encouraging for us and let's see how FY27 pans out. We remain -- see the customer selection for the last 24 months has been of a order of magnitude better quality. And that is what is flowing in terms of the credit numbers. And the fact is that we are not even diluting the customer quality that we have been acquiring over the last 24 months even a wee bit.
In fact, we are trying to see if there is an opportunity to optimize it even further while doing volumes and the tools that we have, Nostradamus for example now on two-wheeler helps us to pinpoint one dealership in a district which is going bad. It is so precise. And so, it helps us to attack it much faster and address it much faster before it even becomes a problem. So, in a way, things are moving in the right direction. The geopolitical headwinds is a fly in the ointment. So, we are being cautious. Let's see where it takes us in FY27.
Abhishek Murarka:

Sure. Thanks for answering my question, Sudipta and Sachinn. Thank you and all the best.

Sudipta Roy:
Thank you.

Moderator:
Thank you. We take the next question from the line of Suraj Das from Sundaram Mutual Fund. Please go ahead.
Suraj Das:
Yes, hi Sir, thanks. Most of my questions have already been addressed, but a couple of follow -ups. You mentioned that your LGD assumptions are consistent across all stages. Did I hear that correctly?
Sachinn Joshi:
Yes, that's right.
Suraj Das:
Okay, sure. Can you share the LGD assumption for Stage 3?
Sachinn Joshi:
No, we can't -- we don't share all those details.
Sudipta Roy:
See, ECL models are proprietary to every organization, so we just can't divulge those details .
Suraj Das:
Sure. So just directionally, if I look at your Stage 2 and Stage 3 PCR over the last 2 years, 3 years, that number is coming down very significantly. I think Stage 3 PCR has come down to 67%, 68% and you are saying that you also have some additional buffer there over and above what is required.
So, does it mean that your LGD number is also coming down because of maybe Project Cyclops and so and so forth, whatever you are doing? But your LGD number is also coming down, so you are recovering much higher now versus what you used to recover 2 years, 3 y ears back. Would that be a fair assumption because that's how the ECL model will work, right?
Sac

hinn Joshi:
So Suraj, I think what you should do is you should also look at making peer group comparison as to what is the actual loss given default business by business that is required, which will itself enable you in concluding that the PCRs that we have been holdi ng for so long have always been higher.
In fact, when we kept it at those 70% to 75% levels, there have been conversations which I have personally had where people used to question that are we expecting some challenges because of which we are keeping the PCR very high. And my response to that us ed to be that we always have been conservative.
We would set aside in bad times so that whenever there are any, in good times so that whenever there are any challenges in bad times, it comes in handy. And the microfinance crisis is a very good example of how setting aside the provisions, macro -prudentia l provisions helped us in difficult times.
Same thing comes in as far as the Stage 3 provisions are concerned, which is the PCR which everyone usually looks at. So, across the industry the actual, the money which is required as per the ECL model is in that range of about 60% to 65% and hence the incremental is nothing but the overlay.

But as we move forward, all these assumptions also keep changing depending on the quality of book that you are building. So, our expectation is that the Cyclops underwritten portfolio will actually only keep improving the portfolio quality and hence the Stage 3 percentages have to come down.
And once the roll -forwards slow down, even the Stage 1, Stage 2 requirements will come down. There are -- if you look at, there are players in the market who have a very secured book and who are very comfortable with, say, 40% PCR. So, it all depends on the kind of mix and how you have created a track record for yourself.
We are right now in the process of creating that track record and hence plus the change in the assumption. So, we are at a juncture where there are certain segments of portfolio we have, which have already moved to Cyclops and created through that underwriting, there are older portfolios and then there is a portfolio which has recently come out of a crisis.
So, it's a -- because it's a mix of all these, this is just the result that you are looking at. Simultaneously, we have been focusing on collections like I mentioned earlier. So ultimately ECL model you're right, it's a function of what you lend and how much you end up spending to recover it, which comes in the form of collection cost.
And if the roll -forwards slow down, that collection cost goes down and even the credit cost improves.

So directionally that's why we believe that if you just compare last four to five quarters, you will see that the credit cost has started coming down dire ctionally and this quarter again about 10 basis points lower compared to the previous quarter.
And we believe that we have a journey to complete. We are at 2.64 %, we have to go to a range of 2% to 2.2% by end of FY27. And I think we are fairly comfortable at this point of time based on the book that we have and the slippages that we are actually being able to factor in for the next four to six quarters.
Suraj Das:
Sure. Thank you, Sachinn Sir. Yes, that's all from my side.
Sachinn Joshi:
Thank you.

Moderator:
Thank you. Ladies and gentlemen, we take that as the last question and conclude the question -and-answer session. I now hand the conference over to Mr. Sudipta Roy for his closing comments.
Sudipta Roy:
Thank you. I thank all of you for a patient hearing and participating in our quarterly results call. I trust we have been able to address all your queries. As always, please do reach out to our Investor Relations team in case any of your questions has been left unanswered. We'll be happy to discuss the same with you. Thank you again and wish all of you a good financial year FY27.
Moderator:
Th

ank you. On behalf of L&T Finance Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential
factual discrepancies, repetitions in Q&A which would have unintentionally crept in, if any

Call: Jul 2026

INTERNAL July 20, 202 6

National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, G Block,
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051. BSE Limited
Corporate Relations Department,
1st Floor, New Trading Ring,
P. J. Towers, Dalal Street,
Mumbai - 400 001.

Symbol: LTF Security Code No.: 533519

Kind Attn: Head – Listing Department/ Dept of Corporate Communications

Sub: Transcript of Investor(s)/ Analyst(s) meet – Q1FY2026-27 Financial Performance and Strategy Update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s)/ analyst(s) meet for Q 1FY2026-27 financial performance and strategy update held on July 13, 2026.

The above information is also available on the website of the Company i.e., www.ltfinance.com/investors .

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Limited

Apurva Rathod
Company Secretary and Compliance Officer

Encl: As above

L&T Finance Ltd.
Q1 FY27 Earnings Call Transcript
July 13, 2026

Management Personnel:
Mr. Sudipta Roy (Managing Director & Chief Executive Officer)
Mr. Sachinn Joshi (Chief Financial Officer)
Mr. Raju Dodti (Chief Operating Officer)
Mr. Karthik Narayanan (Head – Investor Relations)

Moderator:
Ladies and gentlemen, good day and welcome to L&T Finance Limited Q1 FY27 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please si gnal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
We have with us today, Mr. Sudipta Roy, Managing Director and CEO; Mr. Sachi nn Joshi, CFO; Mr. Raju Dodti, COO and other members of the senior management team. Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the call. Only publicly available documents will be referred to for discussion during the interaction in the call.
While all efforts will be made to ensure that no unpublished price -sensitive information will be shared, in case of any inadvertent disclosure, the same would in any case form part of the recording of the call.
Further, some of the statements made on today 's call may be forward -looking in nature. A note to this effect is provided in the Q1 results presentation uploaded.
I would now like to invite Mr. Sudipta Roy to share his thoughts on the company's performance and the strategy of the company going forward. Thank you and over to you, sir.

Sudipta Roy:
Thank you. A very good morning, everyone and thank you for joining us today for the Q1 FY27 Investor Call of L&T Finance. Joining me on the call today are our Chief Financial Officer, Mr. Sachin n Joshi, our Chief Operating Officer, Mr. Raju Dodti, along with other members of the senior management team of L&T Finance. Similar to our previous earning calls, today's discussion will be divided into two sections.
I will begin by sharing my thoughts on the macroeconomic environment, our business performance during the quarter, and the strategic priorities under Lakshya 2031. This will be followed by our CFO, Mr. Sachin n Joshi, who will take you through the detailed financial performance for the quarter. Post our commentary, we will be happy to take questions on the call.

Macro -economic outlook
Before we delve into the highlights of the quarter, I would like to give you some flavor of the current macroeconomic scenario

and sectoral outlook, which becomes important given the volatility in the
geopolitical arena and the impending worries of an unev en monsoon coupled with the impact of El Nino.
Over the past few months, the global economy has had to navigate geopolitical uncertainties, non -stop fluctuations in energy prices, disruption to supply chains, and changing trade dynamics between major economies. While these developments have introduced a period of volatility, India's macroeconomic fundamentals have continued to demonstrate resilience. The economy has performed better than expected throughout the year, while posting a growth of 7.8% in the fourth q uarter of FY26, supported

by healthy government capital expenditure, improved infrastructure creation, and resilient private consumption driven by a recovery in rural demand.
On the demand side, private consumption aided by discretionary spending has remained resilient so far, supported by both rural and urban demand. Structural reforms, favorable financial conditions, and the government's thrust on infrastructure spending have aided in investment activity and bodes well for sustained strength in demand conditions.
The market is exhibiting strong credit growth momentum as some sectors like microfinance have emerged from a prolonged period of contraction and most other sectors see a healthy uptick of consumer demand. Strong growth impulses are reflected in credit momentum as well that has picked up in recent months. Tailwinds from regulatory and government measures introduced in FY26 are expected to support credit demand going forward.

On the rural front, the progress of the southwest monsoon has remained an area of close attention for the entire financial services industry. While the season began with some regional variability and intermittent rainfall patterns, we are encouraged by the gradual improvement in monsoon activity over the last past few weeks with 70% of the country reporting normal or higher rainfall in July. Rainfall in the first week of July 2026 was 48% above the normal level and cumulative monsoon deficit till 10th July 2026 had reduced to 14% below the long period average. Mandi arrivals of rabi crops are running 8% higher and government procurement for kharif crops has seen a massive surge.
I would like to call out that the market concern we have seen regarding onset of El Nino and its projected impact on the monsoon. The L&T Finance team has extensively traveled in rural geographies in our core markets over the last few weeks and we see normal economic momentum. While the onset of the monsoon was slightly delayed, economic and agricultural activity remains strong and curr ent reservoir levels are sufficient to sustain normal agricultural output and hence protect rural cash flows.
We remain hopeful that rainfall will continue to catch up during the balance of the season, supporting agricultural output, rural cash flows, and overall consumption. Encouragingly, rural demand indicators continue to remain resilient, aided by healthy gov ernment spending, continued infrastructure investments, and sustained focus on the rural economy.
We are confident that resilient domestic demand and coordinated policy support will provide the wherewithal to withstand the adverse impact of such uncertainties.

Q1FY27 Highlights
Coming to this quarter's highlights, I'm pleased to share that L&T Finance has delivered another strong quarter of profitable and quality -led growth.
During Q1FY27, we recorded our highest ever quarterly consolidated profit after tax of ■902 Cr, representing a growth of 29% YoY. Our consolidated book crossed another important milestone, reaching ■1,29,634 Cr, reflecting a healthy YoY growth of 27% with an R oA of 2.48%, reflecting a growth of 11 basis points YoY. This has been achieved on the back of robust quarterly retail disbursements of ■23,852 Cr, up 36% YoY, with contr

ibutions from all our lines of business,
demonstrating the continued strength of our diversified retail franchise.

The significant thrust in our disbursement momentum year -on-year has been a result of a continued focus on building granular distribution channels, our ever -expanding branch footprint, expansion of our digital acquisition capabilities, duly supported by ou r AI-powered next -gen credit administration framework, Project Cyclops, and our continued focus on strengthening risk guardrails, allowing us greater confidence on quality underwriting.
In the last call, I had emphasized upon our trajectory of paring of credit cost on account of implementation of structural credit policy measures in our businesses and the realization of positive dividends from the early implementation of Project Cyclops in Two Wheeler, SME, and Farm businesses. I'm pleased to inform you that consequently credit cost moderated to 2.54%, reflecting another quarter of sequential improvement of 10 basis points, supported by our continued focus on strengthening credit administration, collections excellence and AI -led portfolio management. A strong growth of 29% YoY in total income with a PPOP growth of 35% YoY was largely driven by sharp focus on managing yields across businesses, fee improvement, and efficient liability management. Stable NIMs + Fees at 10.47%, despite a competitive operating environment further demonstrate the resilience of our business model. This has resulted in our R oA improvement to 2.48%, while R oE increased to 12.71%.
While these numbers are robust, I would like to emphasize that we could have grown even faster. However, given the volatility in the economy, we chose prudence over aggressive expansion, maintaining our emphasis on responsible growth, disciplined underwrit ing, and superior portfolio quality. We proactively tightened our credit guardrails during the quarter, deliberately letting go of about ■1,000 Cr to ■1,200 Cr in potential disbursements, foregoing a few percentage points of additional growth to firmly protect our asset quality. It is important to note that th ough our Lakshya 2031 asset growth target is 20% + CAGR over the five -year period, whenever the market and credit conditions are conducive, we would use that opportunity to grow our asset book in a risk -calibrated way at a faster pace than Lakshya goals, as has been the case during this quarter. However, w e will never compromise risk for growth as articulated in our risk -first, tech -first approach.

Update on Lakshya 2031 – A Strong Start
I would now like to share an update on our Lakshya 2031 goals, which marks our pivotal leap from ‘Transformation to Delivery ’.
As many of you would recall, during our last earnings call, we formally launched Lakshya 2031, our five - year strategic roadmap that marks our transition from institutional transformation towards sustained delivery.

I am pleased to state that we have begun this journey on a strong footing . While our profitability metrics continue to improve quarter after quarter, our immediate focus remains on maintaining consistency in execution. We recognize that Lakshya 2031 is a 5 -year journey and therefore our endeavor remains focused on delivering sustainable growth, while steadily improving credit cost, profitability and returns over the course of this strategic plan.

Briefly talking about the targets enshrined in the Lakshya'31 strategic plan :

● We had set ourselves a Book growth CAGR of 20%+ over the Lakshya period. As explained above I am pleased to report that we are tracking well in line with this target, achieving a robust 27% growth in Q1FY27. This was supported by a strong disbursement momentum across all our lines of business and secured as well as unsecured products, with a 126% YoY growth in Personal Loans, a 41% YoY Cyclops powered growth in the Two Wheeler Finance seg

ment, a
24% YoY growth in Rural Business Finance, a 22% YoY growth in Housing Loans, a 23% YoY growth in SME Finance disbursements and a 11% YoY growth in Farmer Finance disbursements.

Notably, one of the important developments during the quarter has been the continued collection efficiency normalization of our Rural Business Finance portfolio to pre -crisis level, which has given us the confidence to resume the growth trajectory of the b usiness albeit within the MFIN guardrails and our proprietary risk administration frameworks. We have started the work of implementing Project Cyclops in our RBF vertical and is expected to complete before the conclusion of FY27.

Across our Urban business lines, we continue to maintain our sharp focus on sourcing undiscovered prime, prime, and prime -plus customers who exhibit strong credit resilience. This disciplined approach has led to the prime customer share in our Two -Wheeler Finance disbursements steadily increasing to ~90% for Q1FY27. Our journey towards building a prime - dominant urban portfolio that showcases true resilience across business cycles continues unabated, firmly underpinned by our robust credit and risk administ ration frameworks.

● Second, on the Credit Cost front, we will endeavour to drive Credit Costs down to a level of 2% or less over the Lakshya period. Over the last few quarters, considerable effort has gone into strengthening our underwriting framework, collections infrastruct ure and portfolio monitoring capabilities. The continued moderation in credit costs and improving asset quality during the quarter provide us with confidence that these structural interventions are delivering the intended outcomes. Additionally, we have commenced participation in the Central Government's Credit Guarantee Schemes, namely CGFMU and CGTMSE to create an incremental safety net for select cohorts of our Rural Business Finance and SME portfolios and shield the balance sheet from cyclical volatility.

We believe there is still a significant headroom for further improvement. As our newer portfolios continue to season and our proprietary AI -led underwriting and portfolio intelligence engines mature further, we expect our asset quality to strengthen progressively over the coming quarters. This remains one of the most important levers for improving our profitab ility metrics under Lakshya 2031.

● Our Return on Assets (RoA) target remains in the range of 3.0 –3.2% for FY31. Against that, we recorded an RoA of 2.48% in Q1FY27, vs. 2.37% in the corresponding quarter in FY26, up 11 bps YoY. We remain committed to work on achieving the 2.8% RoA threshold in Q4FY27 as communicated earlier.

● Against a Lakshya 31 RoE target of delivering a Return on Equity (RoE) in the range of 16 -18% by FY31, RoE increased to 12.71% in Q1FY27 from 10.86% (RoE after macro prudential provisions) in Q1FY26.

Operational Priorities for FY27 – Translating Lakshya into Execution

As we look ahead, we have identified three key strategy objectives for FY27, namely number one, Driving Cross-sell and Up-sell. Number two, Productivity Enhancement and number three , Embedding Tech DNA across the organi sation . These capabilities are critical to achieving our short -term and long - term business targets while building sustainable capabilities for future growth.

LTF has one of the largest customer franchises in the BFSI sector in India, totaling to ~3 Cr customers and we see significant opportunities to deepen relationships with this large available pool. Cross -selling remains a major focus area for us under Lakshya 2031. We're trying to reinvent the traditional cross - selling approach through the use of our proprietary multi -agentic framework, which will help us identify, originate and fulfill cross -sell wo rkflows to leverage the large customer base. We'll give more details on this later during the call.

Secondly, we continue to drive productivity enhancement across all our lines of business, primarily focused on frontline employees through customized productivity dashboards.

Third, in line with the strategic objectives of embedding AI -empowered tools and processes, we have taken the task to inculcate a Tech DNA in all parts of the organization to build a future -ready workforce. This would entail identifying AI champions across the organization to help proliferate the use of applicative AI directly into everyday activities. As I've highlighted in previous quarters, strategic investments in proprietary AI tools spanning hardware, s oftware and market -leading talent remain foundational to how we sell, underwrite, collect and operate.

These strategic objectives are central to our structural evolution into a risk -first, tech -first, AI -native, multi -product retail financier of choice.

Building an AI -native Financial Institution

As we start our Lakshya 2031 journey, our objective is no longer to be merely an AI -enabled lender. Our aspiration is to build India's leading AI -native Retail Financial Services Institution .

What differentiates our approach is that we have consciously invested in building proprietary technological capabilities. Rather than deploying isolated AI use cases, we have architected an integrated intelligence platform that spans the entire lending lif ecycle, from customer acquisition to underwriting to portfolio management, servicing, collections and customer engagement. This was

articulated as our technology vision statement during the Investor Digital Day in November 2024 and we have continued to execute the envisioned architecture in a disciplined fashion.

Today, 2 years later we are pleased to share that our technology platform is powered by 1,000 + technology and data science professionals who have built an in -house deep tech stack on customer intelligence, credit intelligence, portfolio intelligence and service intelligence. The same has been built out on an open API and microservices -based architecture leveraging 100 + proprietary scorecards, 7 alternate data channels and unified customer data governance platform.

The first leap of faith in this journey was architecting Project Cyclops, our next -generation AI -powered three -dimensional underwriting engine, which now serves as a prime example of effective technology driving growth and building resilient credit quality . Project Cyclops has now been operating for 2 years in our Two-Wheeler business, and has underwritten a portfolio of more than ■12,000 Cr and consistently outperforms industry risk benchmarks by a wide margin. To illustrate, performance of Project Cyclops in our Two-Wheeler portfolio has been outlined in Slides 13 and 14 of the investor presentation.

Project Cyclops is also live in our Farm Equipment Finance , Personal loans and SME businesses and exhibiting excellent headline incomes. We'll make those outcomes public as and when we cross the seasoning threshold of 24 months. We intend to take Project Cyclops live in our Rural Business Finance and Mortgage businesses during FY27.

Project Nostradamus is our second proprietary tool completely built in -house to enable enterprise -wide portfolio intelligence. Project Nostradamus is currently live in Two-Wheeler and Personal loans in a beta-mode and we intend to implement this for our RBF, SME and Farm businesses in FY27. This platform is already delivering measurable outcomes in predicting and containing portfolio risk at granular micro -market levels in our Two Wheeler Finance business, enabling our business teams to undertake automated stress testing, generate real -time collection actions and proactively identify emerging portfolio risk significantly earlier than traditional monitoring frameworks.

Our new initiative is to rapidly democratize AI across the organization. Rather than limiting AI capabilities to a central technology function, we are embedding intelligence directly into day -to-day workflows of our operating teams through a growing suite of proprietary AI co -pilots.

Our flagship underwriting co -pilot, Project Helios has already processed approximately 39,000 underwriting files and materially reduced turnaround times across SME Finance and Home Loans . Project Orion, our conversational portfolio management co -pilot built on Project Nostradamus, has already serviced more than 3,000 business queries enabling faster portfolio insights for our operating teams. ShigraM has automated more than 4,000 mortgage legal files across 11 vernacular languages while our mortgage policy and pricing assistant today services more than 200 business queries every day across 15 Indian languages. During the quarter, we also launched Project Argus, an AI -powered fraud screening engine for SME Finance , further strengthening our risk management capabilities. Please refer to Slide 16 of the investor presentation for further details.

Another significant milestone during the quarter has been the rollout of Project Canyon, our proprietary AI-powered loan origination system for Gold Finance .

Built entirely in -house in under four months, Project Canyon combines more than 16 integrated systems, over 60 APIs and 12 business services into a scalable architecture capable of nearly supporting 30x future business growth. More importantly, nearly 60% of its code base has been generated using AI - assisted development tools, demonstrating how AI is increasingly transforming not only our lending decisions but also the way we engineer technology itself. The platform's embedded agentic AI assistant, Ginni, together with the context -aware asset capture and microservices architecture, is already enabling faster turnaround times and superior customer experience while providing the flexibility to rapidly respond to future regulatory and market changes. Please refer to slide 17 of the investor presentation for further details.

Update on Project Hercules

As I mentioned earlier, I'm pleased to announce our next -gen, Agentic AI -based service and cross -sell platform Project Hercules, which is being built completely in -house. The platform is designed to deliver hyper -personalized customer experience at scale. At its core, Project Hercules leverages a central data repository to build a comprehensive customer golden record. This unified data feeds into an advanced AI decisioning layer utilizing predictive analytics and propensity models to dynamically generate precise next-best offers. Here we are integrating agentic AI into our core orchestration layer to autonomously manage lead identification, origination, and fulfillment while executing the hyper -personalized engagement through all our customer touchpoints, our PLANET app, WhatsApp journey, or outbound voice bots. By unifying our lead management and loan origination systems into this intelligent omnichannel ecosystem, Project Hercules will significantly elevate service excellence, drive operational efficiencies, and maximize cross -sell velocity across our entire portfolio. We are targeting rollout of this platform by Q3 FY27.
To support the exponential growth of these in-house AI capabilities, we are investing in our own private cloud build -out. Crucially, this strategic transition to an open -source private cloud will be 70% cheaper than relying on hyperscale clouds over a 5-year total cost of operation. Concurrently, to support our intensive M L and AI workloads, specifically for running open -source LLM and SLM packages, we have initiated the design and procurement of high -performance GPU server augmentations. Moving forward, we are aggressively prepared for massive cloud consolidation, targeting the migration of workloads from public to our internal private cloud infrastructure starting in Q3 and Q4 of FY27. By continuously strengthe

ning this foundational infra structure, we are unlocking three critical outcomes for the organization, driving sustained growth, ensuring improved credit quality, and achieving significantly reduced opex. Please refer to slide 18 of the investor presentation for further details.
We believe that these capabilities will progressively improve customer acquisition, strengthen portfolio quality, and reduce operating cost and enhance operating leverage over the coming years. As our AI models continue to mature and our proprietary data ecosystem expands, we expect technology to become an even stronger competitive advantage for L&T Finance. We firmly believe that this AI -native operating model will also become one of the definin g competitive advantages of L&T Finance under Lakshya 2031.

Update on Gold Loans Business

Now I would like to give you a brief update on the scale -up of our Gold loan business. Following the successful implementation and acquisition and integration of the portfolio last year, our focus has been on rapidly expanding our distribution footprint.
During the quarter, we expanded our Gold Finance network to 343 branches, adding more than 200 branches since the acquisition. The business has grown to a book size of ~■3,800 Cr, registering a growth of over 180% YoY. On the footprint expansion front, our speed to market remains exceptional. Following the launch of 200 branches in FY26, we are now working on deploying ~500 new branches in FY27, accelerating our velocity to ~1.4 branches addition daily.
I will now request Mr. Sachinn Joshi, our CFO, to take you through the financial updates.
Sachinn Joshi:
Thank You, Sudipta. As always, I will be walking you through the financial performance of the company for the quarter.
Quarterly Performance:
● Consol NIMs + Fees for the quarter stood at 10.47% vs 10.22% for Q1FY26 and 10.47% for

Q4FY26

● Consol PAT for the quarter at ■902 Cr, up 29% YoY
● Quarterly retail disbursements stood at ■23,852 Cr, up by 36% YoY
● Retail book stands at ■127,535 Cr , up 28% YoY . Our Consol book stands at ■129,634 Cr, up 27% YoY
● Consol RoA stands at 2.48%, up 11 bps YoY
● Consol RoE at 12.71%, up by 185 bps YoY

Retail Businesses :

Rural Business Finance

The business registered quarterly disbursements of ■6,961 Cr , up by 24% YoY , mainly on account of improved collection efficiency and sectoral trends. The book size reached ■32,493 Cr , up by 22% YoY in Q1FY27.

Farmer Finance

In the Farmer Finance vertical, quarterly disbursements stood at ■2,453 Cr in Q1FY27 , up by 11% YoY . The book size reached ■17,514 Cr, reflecting a growth rate of 11% YoY.

Urban Finance

The segment, which comprises Two-Wheelers, Personal Loans, and Mortgage Loans businesses, saw a 57% YoY jump in overall quarterly disbursements to ■10,787 Cr . As a result, the overall book size increased to ■63,615 Cr in Q1FY27, translating into a 32% YoY growth.

o Two Wheelers: The business registered quarterly disbursements of ■3,006 Cr in the quarter , up by 41% YoY . The book size increased to ■15,068 Cr, up 22% YoY. With 90% of June 2026 Two Wheeler disbursements in the Prime segment, we continue to prioritize high -quality growth and optimized risk -adjusted returns.

o Personal Loan: In the Personal Loans business, we achieved our highest ever quarterly disbursement of ■4,380 Cr, translating into a stellar growth of 126% YoY, with the book size at ■16,917 Cr, an increase of 80% YoY.

o Home Loans / LAP: In the Mortgage Loans business, we achieved quarterly disbursements of ■3,401 Cr , up by 22% YoY . The book size reached ■31,630 Cr, an increase of 20% YoY.

SME Finance

In the SME business, quarterly disbursements stood at ■1,567 Cr, up by 23% YoY. The book stood at ■8,884 Cr , up 28% YoY . The growth in business volumes was aided through an increase in direct sourcing and

an existing strong network of distribution channels.

Gold Finance

In the Gold Loan business, quarterly disbursements stood at ■1,928 Cr , up by 26% YoY . The closing book reached ■3,829 Cr at the end of the quarter, representing a significant growth of 182% YoY.

Let me now hand over the call back to Sudipta to make his closing statements

Sudipta Roy:

Thank you, Sachinn. In summary, we are satisfied with our performance in Q 1FY27, where we have focused on relentless execution. With the significant investment made across technology, engineering capability, AI infrastructure, branch expansion, and talent, we are expecting operating leverage to play an increasingly meaningful rol e in improving profitability, improving operating efficiency, which together with lower credit cost will be an important driver of R oA and R oE expansion over the Lakshya 2031 period.

I thank you all for a patient hearing. The floor is now open to questions.

Moderator:

Thank you. We will now begin the question -and-answer session. The first question comes from the line of Kunal Shah with Citi Group. Please go ahead.

Kunal Shah:

Yes, thanks sir for such a detailed presentation and the opening remarks, particularly touching upon the entire AI initiatives. So, few questions. Firstly, in terms of the NIM s + Fees, so overall it still sustained at 10.47 %, but there has been a decline in the NIMs if we really look at it, while other income has actually gone up. So, what are the components of it? Any impact of excess liquidity which would have been there? If you can just highlight what is leading to that kind of a deviation in NIM s+Fee income and the sustainable trajectory.
The second question is on growth. So particularly on the Personal loan side, the growth has been quite strong. So, if we can highlight some guardrails and the profile that we are keeping in mind just to ensure that asset quality out there is sustained.
While at the same point in time, we had seen some slower disbursements on the SME and Gold Loans compared to those of last quarter. So, is it something very new indicated that you have let go of some disbursements worth this in these two particular segments? Yes, those are the questions.
Sachinn Joshi:
Okay, Kunal, thank you, thank you for your comments. Let me first take up the NIM s+Fees related point. This is Sachinn here. So, we can see clearly that the NIMs have reduced by 24 basis points from 8.78% in Q4 to 8.54% in Q1 FY27. The yields, if you look at, have actually gone up by one basis point, but our debt-equity has been rising, which is leading to interest costs going up by 25 basis points.
Actually, Weighted Average Cost of Borrowi ng (WAC B) is up just 3 basis points between the two quarters, you know, moving from 7.17 % to 7.20 %. But debt -equity which was 3.73 x, has gone to 3.97x, about 0.24x higher. One reason is of course increased borrowing to fund the growth and the other reason is also due to the geopolitical situation being a bit difficult on account of war in Iran , we had maintained slightly higher surplus liquidity of close to ■4,200 Cr. The overall liquidity was ■13,000 Cr +. So, the net result has been a reduction in NIM by 24 basis points. However, what is worth noting is that this surplus has been deployed in various instruments on which we have also earned an income and which has been booked under the head fee and other i ncome.
So, when you look at the NIM compression, you should actually look in totality and that's the reason we always request analysts and investors to actually look at the metric of NIM s + Fees and other income just to make a comparison, which has actually remained at exactly the same level. It's a coincidence, but previous quarter also it was 10.47 %, this quarter also it is 10.47 %.
So there is this other income which actually includes some of the, you know, surpluses which were deployed

, the income is coming in that fee and other income, correspondingly the interest cost is part of the NIM. So that's the reason you see this difference. I hope I have answered the quest ion.
Kunal Shah:
Yes, and besides this there is no element in the other income of any maybe any SR recoveries or something which is there or maybe it's purely on…

Sachinn Joshi:
No, so Kunal, the ARCs we keep, you know, actually there is a fee which is paid to ARCs, but there are sometimes when we have small incentives and all. So other income nothing really worth, you know, talking about, let me put it this way.
Sudipta Roy:
Okay, thanks Sachinn. Kunal, on the growth question, Personal Loans continue to, you know, do well and that is primarily because the sort of the thorough and disciplined execution of our implementations with the digital partners. Now you see we have now got four digital partners, which is primarily CRED, GPay, PhonePe, as well as Amazon.
And these are the main large ones, we have a couple of smaller ones as well, but these are the four main large ones. Now what happens is that we have been sort of working on smoothing the digital journeys and sort of removing friction from our workflows consistently quarter after quarter. And because these are platforms which have a large number of customers and we tend to focus on salaried customers .
Our objective is to build a large salaried Personal Loans book, right . So, we focus on our salaried customers and with a largely frictionless optimized channel, as and when the visibility of our loan programs increases across these platforms, the volume tends to grow. Now we have been adding partner after partner and optimizing these partner s' velocity, so it has continued to grow.
And we have been embedding Cyclops now into these journeys, right . And the fact is that Cyclops also has been embedded to many of these digital journeys and so we are very, very confident of the credit quality that is coming through. First thing which I mentioned was that our focus is only on building a salaried, a predominantly salaried -- we do loans to self -employed as we ll, but our focus is building on predominantly salaried book in our Personal loans business.
We have strong guardrails, Cyclops has been implemented, you know, the credit parameters on the Personal loan business, what it was one year back vis -a-vis what it is right now, there is a significant

improvement and the fact is each and every paramete r, every credit parameter with every passing quarter is tending lower and becoming better with every passing quarter. So as of now, we remain, you know, satisfied with the trajectory of this business.
Yes, you have seen some heady growth in percentage terms because of the base effect. You know, last year Q1 FY26 our disbursement, compared to that, our disbursement has grown definitely, but again that is attributed to a much lower base. As the base grows larger, the percentage growth rates will reduce over the next couple of quarters. However, we remain committed to growing this business in a risk-calibrated fashion.
On your question on SME and Gold Loans , yes, SME we have been cautious during this quarter primarily because, you know, we were cautious about the fallout of the, you know, West Asia war on certain business lines as well as certain sectors, so we have been cautious and we sort of on our own cut disbursements in some of the SME sort of cohorts.

So, we have done that. Gold Finance again, you know, April was a month in which the new RBI guardrails came into effect where assessing customer basis a tiered loan demand became mandatory as per RBI guidelines and, you know, it is not only us, but the entire industry also saw an impact of adjustment to these new guidelines.
As a result of that, you know, we erred on the side of side of caution just to make sure that we are completely c

ompliant with the RBI guidelines. So just like across the industry, some of the origination volumes fell; we saw a fall in our origination volumes in the month of April. However, there has been continuous improvement in May and June, and I expect the Gold loans business to have a normal growth trajectory in Q2 FY27 because that period of adjustment and learning in Q1 FY27 is behind us. So, I hope that answers your question.
Kunal Shah:
Sure, yes, that answers, yes. Thanks a lot.

Moderator:
Thank you. Next question comes from the line of Shreya Shivani with Nomura. Please go ahead.
Shreya Shivani:
Yes, thank you for the opportunity and congratulations on a good set of numbers. Sir, first question is on the Personal loan book itself. What I can see is that obviously the Cyclops was embedded into this in Q2FY26 , but your Nostradamus is only getting implemented in this quarter, right? Just wanted to understand how much, I mean I understand the control you would have had at the underwriting level, but without the monitoring AI engine, what kind of confidence do yo u have with the book you're underwriting? If you can give some color around not in the terms of salaried non -salaried, but in terms of what's the ticket size of the book that you've been putting out through these platforms.
My second question is on the farm, the Tractor business. It any color on the slightly slower trend over there? Were we cautious? Are we taking geography -wise focus because you have mentioned monsoon, some states may have reservoir benefit etcetera, other states may not have those reservoir benef it and if the monsoon is slower, we may get hit.
And third is on the cost of funds in terms on what are we going to do going ahead? I understand the first quarter we were piling up liquidity, etcetera, but going ahead what will be our strategy and how much decline in cost of fund can possibly happen through the next three quarters? Those are my three questions? Thank you.
Sudipta Roy:
Thank you. So, I will take the first two questions, first two parts and Sachinn will take the third part. So, on the Personal loans business, yes, Nostradamus has got just implemented. First average ticket size on our Personal loans business remains between ■2.6 lakhs to ■2.8 lakhs. So, I can confirm that we do not do small ticket Personal loans, we are not in that very small, very small ticket lending business.

Out of which our large partners, which is basically our large digital partners have a significant part of the origination in which with every large digital partner we build individual scorecards. So, it is not that one scorecard for the all the originators. We look at the data and the cohort of customer each partner has and then we build those scorecards accordingly and then we also cherry -pick some of the customers from this particular cohort and then show our offers.
So, in a way we underwrite the customer, pre -underwrite the customer and then also underwrite the customer when the customer goes through the digital journey just to make sure that our digital sort of acquisition is of a very, very high quality. Yes, Nostradamus has just got implemented, but the fact is that we have been seeing dropping risk levels in our Personal loans business because of the tightening

of the credit guard rails .
See, one of the things which we have done is that if you look at our Personal loans origination, our Personal loans origination, maybe 4 years back was 50 -50 self -employed and salaried. Right now, it is largely salaried. So, as a basis of that pivot, the credit parameters on our Personal loans business has sort of improved continuously over quarter after quarter.
And now with Cyclops and on top of that the monitoring through Nostradamus, we are very, very confident of maintaining a good headline outcome credit quality on our Personal loans business. In fact, our gross non -starter

s in Personal loans business is lower than 3% right now. That means for the
number of customers whom we lent to , 100 customers, only in the first couple of months only about 3% of customers bounce their first che ques and again net non -starters is much, much lower.
In fact, we are sort of tracking the lowest net non -starters in our Personal loans business in the last couple of quarters as of this month. So, we remain very, very confident on the trajectory of our Personal loans portfolio and we will grow it in a risk -calibrated fashion. And now that Nostradamus as well as both Cyclops are implemented, we are extremely sure that this will prevent us from biting off any sort of unnecessary risks in this business than what is warranted.
On the Tractor business, you have to remember that quarter 1 in general is a little soft quarter for the Tractor business, barring the month of June, when prior to monsoons the business disbursements takeoff . However, this quarter as you know that monsoon was slightly delayed, so we saw some delayed takeoff in tractor volumes in the month of June.
Like towards the latter part of June, tractor volumes started taking off as the rains finally arrived, but we will see good impact of the tractor volumes in the month of July and August as the monsoon keeps on spreading. So overall in the Tractor business, the risk numbers also remain very, very stable. The net non-starter in the Tractor business also keeps on going down and we are happy with the sort of risk trajectory risk of the Tractor business. So, I hope I have answered that particular first two parts of the question. Sachinn for the third part.
Sachinn Joshi:
Okay, on the third part on the interest rate scenario, I think is changing by the day. Frankly. the macroeconomic environment keeps changing and the liquidity requirements keep changing. So, what

we had done is at the end of this quarter, first quarter itself we had brought down the liquidity, the surpluses to about ■9,000 Cr levels, which is the norm for us.
But there is no assurance that things will really be continuing to be normal. So, depending on the situation we will keep either increasing or maintaining the same levels as in the earlier quarters. But what the overall impact should be seen in terms of how Reserve Bank of India has actually assured that there will be enough liquidity which will be kept in the overall system.
And if that is the case, then I think the interest rates, especially the overall yields will not spike and if there is no sudden spike, we would be in a position to continue borrowing through various instruments like PSL as well as borrowing through the other domestic financial institutions.
We have got the rating for mobilizing funds internationally, I think this is not the time currently, but yes diversification is also possible in case the situation becomes favo urable. As far as the second quarter is concerned, we believe that directionally it may move up by 5 basis points, 7 basis points.
Frankly, we will have to wait and watch the situation over the next few months. But on an aggregate basis, FY27 I think may go up by about 4 to 5 basis points on an overall basis. So yearly WAC B may actually go up from 7.35% for FY26 to maybe about anywhere between 7.35 % and 7.40 % that is what we are currently envisaging.
Shreya Shivani:
Right. Okay, this is useful. Thank you so much and all the best.
Sachinn Joshi:
Thank you.
Moderator:
Thank you. Next question comes from the line of Avinash Singh with Emkay Global Financial Services Limited. Please go ahead.
Avinash Singh:
Yes, Hi Sudipta, good morning. One question is on your R oA, RoE journey in Lakshya 2031. Broadly it expect kind of a R oA to improve 60 basis points from here on a pre -tax basis 80 basis points kind of expansion. Now over the journey, I mean how do you see the contribution from credit cost and opex

to
come because by and large it seems given the asset mix, the NIM s plus fee s is already where it should be?
So, I mean how do you see I mean this 80-basis points kind of a improvement to come from? I mean of course when S R (Security Receipt) gets kind of realized probably that will release something, but

rest I mean if you can explain that okay how this 80-basis points expansion in PBT R oA is going to happen?
And particularly that in the backdrop if at all there is going to be something from the insurance regulator on the commission part because insurance commissions are a reasonably healthy kind of proportion of your fee income? So that is first question.

And second, if at all I mean at this juncture what is your reading on El Nino and its impact I mean if at all going to be on your rural portfolio growth and asset quality? I know it is too early and I mean rains has been kind of improving, yet I mean your assessment so far? Thanks.
Sudipta Roy:
Okay, thank you. I will take the second part of your question first and then we will come to the first. So, see I have been traveling around quite a bit for the last 2 months. And frankly, I see nothing wrong in the economy. In fact, I was in Jabalpur about three weeks back and wherever I went, in fact the particular Two Wheeler dealer which is also one of the largest auto dealers in Jabalpur , he said that he has had a record May and June, he just does not have stocks. I travel led to rural areas also, rural area - things are okay. It is not that we could see any significant headline risk emerging. Yes, rains are delayed, El Nino is supposed to lead us to a sort of a lower -than-average monsoon, that is what is projected.
But the fact is that if I look at till 10th of July rainfall is only about 14% sort of deficient . Now the IMD projection is about 10% deficient and if I look at -- what we have done is that we are also very carefully projected the reservoir stocks all across the country and because of two back -to-back good monsoons before this year's monsoon, I think the reservoir levels are at an acceptable level across the country. Barring a couple of locations in South India, the reservoirs across the country are at an acceptable level. So, I do believe that even if we have a 90% monsoon, things are going to remain quite okay. Things are not going to fall out or break suddenly. And you have to understand one thing the Microfinance industry has come out of a major asset quality cycle. The Microfinance industry has deleveraged from a peak book size of ■4,40,000 Cr to about ■3,30,000 Cr right now. So, the industry has deleveraged ■1,10,000 Cr and always remember that during a crisis period your underwriting guardrails go up. So, the book that you generate during the period is obviously of a much higher quality. So typically, after any asset quality cycle you typically have an 18 to 24 months of Goldilocks period where you really do not see any emergence of risk. In fact, in th e microfinance industry, in spite of whatever El Nino worries etc. have been there , I believe that it would be a pretty normal year and I do not see any emergence of pockets of risk anywhere. The industry is being responsible, the industry is adhering to the MFIN guidelines, the number of customers with more than, you know, three loans outstanding I think is lower than 5% as of now, r ight. In the industry.
So overall the industry has deleveraged. So, I think the worries on this are overdone. Right? So, and whatever our travels have told us that the economy is robust, the economic activity is robust and I expect that to continue in spite of a little maybe, you know, monsoon can be a little subpar, but in spite of that things will continue as normal.
The Tractor business, again, you know, there might be localized disturbances, but overall, we expect us to have a reasonably normal year. And you would note that Tractor

business was the second
business we implemented Cyclops after Two wheeler. So, Tractor business actually has been operating on Cyclops for almost 18 months now .

And the headline results like Two Wheelers that we see of the Cyclops generated Tractor portfolio is quite good and in fact we had the first half -yearly collection cycle that went through on the Cyclops generated portfolio and the outcome is quite good.
So overall we are reasonably confident that even if El Nino etc. marginally impacts the rainfall, you know, it will not have a very large impact on our portfolio and we are sufficiently well capacitated to handle it because of our prudent generation as well as, you know, the collections framework t hat we have already existing in most of the areas.
On your question on R oA and R oE trajectory, yes, we need to improve about, you know, 80 basis points, from whatever point we are currently at to get into that Lakshya threshold of 3 % to 3.2%. Now out of that I do believe that 20 basis points will come from the disappearance of the drag of the ARC portfolio and that will happen over a couple of years from now.
You know, many of the assets are resolving, but it's another two or three -year journey for us. So, 20 basis points will come from there. I do believe that about 30 to 40 basis points will come from efficiency in credit cost as well as credit -related cost, which I call the cost of credit administration, specifically collections cost etc. So that is where it will come from . Some might come from business expansion as

well, right .
A small bit can come from business expansion as well and that is how it will stack up. We are reasonably confident about achieving this by disciplined execution. We have been executing in a disciplined fashion so far and it is our commitment that we will continue the same similar close disciplined execution for the next five years during the Lakshya trajectory as well.
Thirdly, on the question on insurance etc., yes, we are aware of some of these developments, but I'd like to point out that it is not only, you know, it is not only for us, it is for the industry. And I do believe that the insurance industry along with the regulator and as along with the, you know, end consumers of the insuran ce products, which is the BFSI industry, will come to some acceptable solutions and outcomes on this. That is also the reason that we have kicked off the build -out of our payments business because, you know, as you know, payments can be a large fee revenue generator, but it will continue to build for us, right . So, it will be at least two to two and a half years before significant payment revenues are, you know, fee revenue on the payments business are visible on our balance sheets.
So, it is in a build -out phase, we are cognizant of some of the headline outcomes that might happen because of that because of regulatory norming and as a business we have factored that in into some of our plans and we will respond accordingly. But however, I'd like to point out that it is more of an industry issue, and it is not an issue for L&T Finance alone. Sachinn, you would like to take …

Sachinn Joshi:
No, I think you answered that. If there is any further question on this R oA issue then I can maybe talk about.

Abhinav Singh:
No, thanks. Thanks. Very clear.
Sudipta Roy:
Great. Thanks Abhinav.
Moderator:
Thank you. Next question comes from the line of Abhijit Tibrewal with Motilal Oswal Financial Services Limited. Please go ahead.
Abhijit Tibrewal:
Yes, good morning, sir. Thank you for taking my question. Just two things. One is while in the last question you just articulated what are the levers for R oA improvement, where you spoke about 20 bps coming from disappearance of the drag of the ARC portfolio and I think another 30 -40 basis points where you spoke about improvement in credi

t cost and decline in credit administration.
So just trying to understand, I mean will this also include some improvement that we will see in opex over a period of time ? I remember you talking about scale building in some efficiencies, but the fact that you kind of continue to invest, we are building this cross -sell engine that you spoke about in your opening remarks, you are I think also building your private cloud now which you mentioned over a period of five years is better or is more efficient.
So, on the opex bit if you could just explain how is the trajectory looking like. And the other thing that you just mentioned sir is that you kicked off your payments business. So just trying to understand overall whatever we have seen of the payments business until now, it's not really been a business which has been accretive to RoAs for most organizations until now.
So, are there pockets where you're looking to operate where the burn in the payments business will be much lower? And the other thing is until now we've seen most corporate or at least NBFCs acknowledge that they are using the payments business as a funnel fo r customer acquisition. So, if that is the case also for us, for which business is the payments engine going to act as a customer acquisition engine? Those two questions sir. Thank you so much.
Sudipta Roy:
Okay, thanks. You know, the first question again on the R oA tree, you know, obviously we are trying multiple things at once, you know, I would say it it's like executing in all fronts. One obviously very important is the cross -sell engine primarily because as you all are aware the acquisition costs of, you know, customers of selling products or deepening relationships with existing customers is probably one -fourth or one -fifth of acquiring a new customer.
So, in terms of acquisition cost, obviously it is value accretive. Obviously from a risk perspective, also selling to our known credit -seasoned customer from a risk perspective is also value accretive, right? Because it helps us predict the credit cost outcomes far with far greater degree of certainty than getting a new customer off the street.

So, from both sides, it's more value accretive. Secondly , obviously opex, opex is not limited to cost of credit or credit administration. Many of the agentic frameworks, for example, let's take this example, you know, our underwriting co -pilot or for example the legal co -pilot like Shig raM.
Average time to underwrite a sort of or interpret, not underwrite, to interpret in case of a Micro LAP business , the entire title reports and, you know, the title search and do the proper title searches could take anywhere from four to eight hours . Now with Shig raM that is down to 30 minutes to an hour.
So, like this, you know, many of the tools that we have, for example, you know, our mortgage co -pilot enables our sales guys to answer the query using their own prompt generation on the tool, rather than try to call back someone in the call center and try to get an answer to the query. Right . Or for example, you know, in our collections businesses, you know, our bot-driven self -cure rate is almost high as like 40% right now, especially in the Two Wheeler business the self -cure rate has gone up from 10% to 40%.
Now we are not using any human being to do this call, we are only using machines, right . So overall, you know, we expect that some of this technology sort of deployment will reduce the need for head count, though head count needs to finally do the sale on ground, you know, especially in the high touch - and-feel rural businesses will remain, bu t I do believe that a large proportion of our urban businesses will see efficiencies in head count as well.
So, over a period of time, I see a normalization in head count cost as well. It will be not be very sharp in the next couple of years, maybe in the next two to three quarters it wil

l not be very sharp, but as we
move into, you know, FY29 and FY30, the impact of all these sorts of implementations will be visible in our head count attrition as well. So, in a way, it will be across the organization.
The private cloud that we talked about, now see, it's a sort of, again, it's a leap of faith as I talked about, you know, we are trying to build much earlier because the fact is that we have been trying to push the AI envelope much earlier than many other organizations, the cost issue that comes with large AI usage is also very, very well upon us.
So, the fact is that because we have understood that this is something that we need to address at the beginning stage itself, otherwise it might end up undoing all the good that you want to do from a opex standpoint, we are starting to move towards building o ur own private cloud. However, can we run tier - one applications on private cloud? Probably the answer is no. But can we run our tier -three and tier -two applications on our private cloud? Probably the answer is yes. But again, it has to go through a period of, you know, reliability testing, a period of operational effectiveness before we can sort of say it is a success. Overall, we are trying multiple things on multiple fronts, we are not leaving any stone unturned. Maybe out of that 80% will be a success, 20% might not be a success.
But however, we are very, very confident that if 80% are a success, you know, that trajectory of R oA improvement that we have committed is more likely to happen, you know, over the Lakshya 31 time frame. And we are very, very committed to it. In terms of the payments business, yes, I understand that payments business is on its margin, if you're trying to build the payments business as a solo business you know, it at times it might not be value accretive.

You know, we have people with deep payments expertise within the organization, I have done payments myself for 25 years of my career, so I really understand this business very, very well, right . And so, our focus will be on parts of the payments business that are more value accretive - from a fee point of view and we will slowly provide more color to it as we go forward. We intend to build a payments business which is agentic in nature because we have a lot of expertise on the AI front, especially on agentic AI that our engineers are now building, we have decided to leapfrog the entire sort of normal payment and move into agent ic commerce.
And we do believe that the movement to agentic commerce will unlock certain revenue dimensions that are not yet hitherto explored by the industry it is our thesis. Now the question is we are trying to implement this thesis, the thesis implementation might be a great success, it might be a partial success, or it might be a failure. You know, we really cannot put our finger on it and say, but the fact is that given the experience that we have, we are reasonably confident of success.
So overall over the next couple of quarters, we'll slowly start working on this business and see, our business is not to burn money to try to get customers. There are certain organizations who give cashbacks on UPI etc. and burn money and try to get custom ers, that is not our model. Our model is to independently go, first and foremost serve our own customers. And because we do not have a payments stack at this current point in time, there's a opex drag that we have been trying to facilitate payments for our customers.
Now the first objective is to eliminate that opex drag by doing that ourselves in -house. Right . The second thing is to intelligently build solutions through the agentic commerce model where our customers as well as some maybe new to organization customers might find benefit in those agentic commerce solutions and sign on to us in terms of the servic es that we provide. And last but not the least, we will

test hitherto unkn

own areas, especially in the prepaid payments area where we are very, very confident
that there are revenue pools lying especially in the fees front, which can be tapped very, very effectively by the organization.
So, payments will be a step -by-step build, it will not be an all -rushing build, it will be a careful calibrated build which will continue to build for the next three to four years because this is something that we are committed to in long term as a goal for d iversifying our fee revenues and this is something that we will deliver during the Lakshya 31 period. I hope I have answered your question.
Abhijit Tibrewal:
Yes, Sudipta. That answers my questions. Thank you so much and I wish you and your team the very best

Sudipta Roy:
Thanks.
Moderator:
Thank you. Next question comes from the line of Chintan Shah with ICICI Securities. Please go ahead.

Chintan Shah:
Yes, thank you for the opportunity and congratulations on the quarter. So just firstly on Personal loans again. So, I just wanted to understand who are the key competitors and how does our yield stack versus peers? If you could help on that. And secondly, what differentiates us on the Personal loan front, whether it is faster TAT or customer experience and the sourcing would be largely digital only, I assume. So yes, that's the first question on PL. And secondly on AI investments. So, could you just elaborate on your AI investments, so what is the current run rate of AI -related cost and what proportion is variable based on the usage? Yes.
Sudipta Roy:
Yes, okay. So, on the Personal Loans part, you know, our key competitors is actually everyone else in the BFSI sector, right . Those who do Personal loans, they are our competitors . Now there are there are models of operation - there are certain organizations, especially the large banks, who operate on their own customer base . And through the DSA channel.
For us, we operate on our own customer base through the cross -sell to our, you know, credit -seasoned, you know, customers. We also operate marginally through DSA, if you see our DSA volumes, our DSA volumes are only 10% of our overall volumes. But the fact is that, you know, a large portion of our origination is through the digital partners who have a very large pool of customers as well as they're far more amenable to digital processes.
They allow very fine customer selection primarily because they see a large amount of the customer data, right . So they're able to give us, you know, a far more nuanced underwriting approach, especially on a joint scorecard development with target loss rate, so we exactly know what is the customer underwriting and what is the target loss rate. And, you know, the scale -up has been primarily because of digital journeys and friction sort of removal across all our channels.
Our average yield remains at about 16% and plus, though there are certain channels which deliver, you know, again, because we operate across the spectrum, our DSA channel will probably operate at a far lower rate . Because DSA channel we do prime salaried, our DSA channel will operate between 12% to 13%, some of our digital channels will operate at about 19%. Overall, our weighted average yield in the Personal loans business is about 16% odd, 16% plus is our weighted average yield in the Personal loans business.
In terms of the AI implementations, now see, there are a couple of parts, right . The fact for example, you know, there are core builds . For example, the core build would be like a machine like Cyclops or a machine like Nostradamus . Which uses probably it doesn't use agentic AI on a query basis it uses agentic AI, for example, Nostradamus uses agentic AI -based query system, but the core of the machine is built using machine learning where actually you do not have token costs that muc h, but the fact is that you run that machine and you have a continu

ous model upgradation cost.
Overall, we have spent roughly about ■38 Cr to build Cyclops and overall we have spent roughly about ■33 Cr for Nostradamus and ■37 Cr for Cyclops, but the fact is that we are still in the process , for example, as I said, you know, for Microfinance as well as Mortgage , Cyclops will be implemented this

year and Nostradamus will be implemented for other lines of business apart from Personal loans and Two Wheeler, so the cost on that continues, right .

Overall, you know, our token consumption as, you know, we had given out some token consumption in the last part of last presentation, I think if my memory serves me right, 240 Cr tokens was the consumption, you know, last quarter. Now obviously we are on Google Cloud and we are a completely a Google Cloud, of you know, a GCP suite user, so obviously we have a sort of a preferential deal with Google on usage of some of the some of the AI tools, though we use Cl aude Code for us e in some of our coding.
See, right now I would say probably we can come back offline saying that what proportion of our total IT cost is variable AI cost, we can come back, you know, offline because I don't have that exact number available with me today. However, our overall IT cost is between about ■100 to ■120 Cr a quarter is our overall IT cost trajectory .
Sachinn Joshi:
Just to add , the Cyclops, Nostradamus and all these new projects that we're working on, the total amount, you know, taking into account the previous year capitalizations also is around ■102 Cr at this point and there is some work in progress, capital work in progress which is there for the projects which we are currently working on.
Chintan Shah:
Yes, that answers, and probably I'll connect offline for the fixed and variable portion. Sure. Yes, thank you.
Moderator:
Thank you. Next question comes from the line of Abhishek Murarka with HSBC. Please go ahead.
Abhishek Murarka:
Yes, hello. Am I audible?
Sudipta Roy:
Yes, you're audible.
Abhishek Murarka:
Yes. Hi, Sudipta, hi. Congratulations for the quarter. So, my question is on this wholesale NPA. So, this is a quarter where after many quarters it has gone up a bit, although it's a small amount. But the question I have is one, if I look at the wholesale book of ■2,000 Cr, how should we think about the health of that book going forward?
Second is in your guidance of credit cost coming down, have you factored any NPA coming from that book? And if not, then does that lead you to sort of rethink your guidance? And if you can share some color on the remaining book, I know it's small, it's just ■2,000 Cr, but just that, any kind of color on the health of that book will be useful.

Sachinn Joshi:
Abhishek, let me take this, Sachinn here. The GS3 small increase that you are referring to, is actually part of a settlement that we have already done and whatever hit is to be taken has been already factored in. So , there is no further increase, it's actually transitioning between the two quarters, that's the reason why it is appearing as the GS3, but you will see the same amount actually getting knocked off in the next quarter. As far as the other assets on the book are concerned, they are all standard assets, so we do not really expect any hits coming out of that.
On the ARC resolutions we have already spoken about in the previous quarter, but let me just add the positive side of it. The PCR on the SRs, the security receipts , when we started off on this resolution process was 58% and that has now actually gone and increased to 68%. And the reason for that is that as per the RBI regulations, till the time all the assets domiciled with an ARC, till the time all the assets do not g et resolved, any receipts out of resolutions of the other assets, need to be actually kept as part of that ARC's reserves. So whatever resolutions are yet

to happen, this goes and adds to that buffer.
So, 15% -- 10% increase itself shows that there is a substantial buffer which has got created, which is actually not required because we do this mark -to-market on a regular basis. But we have that money and that's why we are very confident that, once the resolution start happening ARC by ARC, you will start seeing these credits coming into the P&L and our assurance has been that we will not take it to the P&L, but we will utilize them to create macro -prudential provision. So, I think that should give enough comfort to all of you.
Abhishek Murarka:
Sure. So that is on the SR part. In the existing wholesale book, it's all standard, but in your guidance of credit cost that I just mentioned, in your guidance of credit cost, have you factored any slippage from this book or it is purely just the retail mo vement, and you're not, this book is too small and it will run off so?
Sachinn Joshi:
No, no, no. Yes, it will just run off over a period of time, that's right. That's right.
Abhishek Murarka:
It's not factoring in.

Sudipta Roy:
Abhishek, I will add to what Sachin says . Some of these assets etc. who are in the ARC we have seen significant movement in their resolutions . Without naming the asset, one particular asset which was in Bangalore got resolved in terms of the sort of the deadlock that was there between the developers and then it has got launched, the project is getting launched, right . And that project will take three years to finish, it's a massive project. So, the cover on that particular case is almost three times that we have, right. In terms of current valuation.

So, most of these projects will take the next two to three years to resolve and our wholesale team, especially our resolution team, has reasonable confidence that over a period during the Lakshya period we'll end up getting a good amount of over -realizations than what the book value of some of these assets are. And as we have committed, we will not take any of the residual realizations from the book value of -- these over -realizations into the P&L, we'll try to create a buffer, if we get that particular opportunity.
And as Sachin n said, we are already getting resolution some of these assets which have gone into that asset pool. Because the SR asset pool has a couple of other assets that cannot though , that particular SR pool cannot be closed. So, it obviously shows up in increased PCR on the overall SR pool. So, but again to reiterate, the credit cost assumption does not assume credit costs from -- as of now from any wholesale.
Sachinn Joshi:
Yes, because the GS3 has only one asset which is Supertech, which the PCR currently is at about 61% and we believe, because we keep doing this fair valuation every quarter, and there is there has been no further requirement to make any further provisions, and that's the reason there is no need for factoring and hence it has not been done.
Abhishek Murarka:
Okay, very clear. Just another quick question is on this rural group loans, the distribution network slide, right? So there the distribution network villages activated, that is a flow number or a stock because it has gone down 5,000 ?
Sudipta Roy:
This is on what, Slide 25?
Abhishek Murarka:
Slide 25, yes.
Sudipta Roy:
Yes, what is the question?
Abhishek Murarka:
Is this a flow number, right? Every quarter the number of villages activated?
Sudipta Roy:
Yes, every quarter, every quarter. See what happens is that we have 2,20,000 villages into which we go and distribute our microfinance products, right . Now some of those villages become inactive in a quarter, so the objective is to go and activate it once again .

So, this number is new villages which are activated, which have been absolutely brand -new villages where previously we were not distributing, or a v

illage where we were distributing prior to that but the
fact is had gone become inactive, which we have gone ahead and activated once again.
Abhishek Murarka:
Got it. Yes.
Sudipta Roy:
This is a monthly exercise.
Abhishek Murarka:
Monthly, okay. Got it. Okay. Thank you so much and all the best.
Sudipta Roy:
Thanks.
Moderator:
Thank you. Next question comes from the line of Viral Shah with IIFL Capital. Please go ahead.
Viral Shah:
Yes, hi. Thanks for the opportunity and congrats for the good set of results. I had actually two questions predominantly. One was Sachin n, just a clarification on two points. You mentioned about the liquidity part, initially you had at the beginning of the quarter. So, when I look at the LCR numbers between the

two quarters , that shows a decline already of 18 percentage points. So, is it that during the course of the quarter it was high and then towards the end of the quarter it was reduced?
Sachinn Joshi:
That's right, Viral. Because we, as the situation starts improving , we really do not need to keep depending on the conditions . Like just a day back again there has been some increase. So, the ALCO has given the authority to the management committee, which is a subset of ALCO, to take this decision on increase or decrease the liquidity to be kept on the books because ALCO cannot keep taking these decisions on an ongoing basis, they meet once a month.
So, they have been given the authority to actually keep moving in and out if there is a need, if there is an external environment change which necessitates increasing the liquidity, then it is done. And it's basically a very proactively dealt with situation, so the management committee actually meets every week to take care of this.
Viral Shah:
Got it. And second, Sachi nn, clarification I wanted was on the cost of fund s side. You mentioned that you expect on a full -year basis say around five to seven bps kind of an increase for the full year. When

I look at FY26 numbers, the cost of funds was 7.35 % and Q1 we are standing at 7.2 %, so does it mean that from Q1 levels the cost of funds will go up by nearly say 20 -25 basis points?
Sachinn Joshi:
That is what we have budgeted for, but like if you had asked me the same question before the credit policy, I would have actually added five -ten basis points more because the situation was grim and there was an expectation. See the geopolitical situation is leading to global changes, right?
And if the yields are going to go up internationally, then you have even Indian government, and the regulator will have no choice but to keep increasing the yields just to remain competitive. As things stood just two days back, the yields actually came down again. And you know, last two days again, there ha ve been some challenges again between Iran and US.
So, it has been a very volatile kind of situation. So, we have for the time being been very conservative and assumed that there could be one or two rate increases which may happen. Even if the repo rates don't go up, players like us get impacted negatively or positively depending on how the short -term will really go up or down. So, the short -term yields will go up without even changing the repo rates and we have no choice but to keep borrowing.
That actually leads to increase in the cost, which happened in the previous quarter . Three basis points is the increase that we are showing. I'm sure that the peer group companies who do not have the benefit of PSL may actually have a higher increase. But same thing happens when situation turns favourable. For example, Reserve Bank of Ind ia has come up with the FCNR (B) scheme.
And if we are able to mobilize huge amount of funds through that mode, ultimately it will be ‘AAA’ NBFCs like us who will finally benefit, because the money will come to us for incremental credit to be given. So, the situation b

eing very volatile, that's the reason I've said that it could be in the range of 7.35 % or 7.4 %.
But if things really get normalized, then you may see much more favourable number that we may come across in our next couple of quarters.
Viral Shah:
Got it. And just one last question, Sudipta, for you maybe. You have been guiding for the credit cost to structurally decline and for Q4FY27 you have been guiding now for 2% to 2.2% kind of a credit cost and thereafter it will still further decline. So, for F Y28 what is the full year kind of cost? Do you think you can deliver? Can it be we can assume less than 2% credit cost?
Sudipta Roy:
See Viral, I am not a soothsayer, so I can't look at --- I can’t. You know, my first port of call is to get it to between 2% to 2.2%. That's my first port of call. Now the fact is that Cyclops has been effective, Cyclops has been delivering. Right? However, you know, we are all travelling through a geopolitical environment, which is volatile. We have certain worries on the monsoon front, though I do believe that those worries are overdone. Right?
However, my first target is to get it to 2% to 2.2%. After that, we’ll see. After that, how far it goes below that is something that the numbers will tell. In fact, the trajectory of our assets will tell around the Q3 or

Q4 of this financial year. If you were to ask me this question around the middle of Q4 of this financial year, I'll be probably able to give you a far more cogent answer. As of now, it's very difficult for me to give you an answer on that.
Viral Shah:
Fair enough, maybe not say the extent of decline, but then would it be fair to think that F Y28 could be

at least like a 2 % to 2.2 % number?
Sudipta Roy:
For modelling exercise, yes, you can plug that in, because that is what we are committed to. If you have said that by Q4 we are between 2% to 2.2%, then obviously in FY28, if we have to maintain our good performance, we have to be in that trajectory or lower. Right? For your modelli ng purpose you can plug that number. But in Q4 please meet me, I will give you a far more nuanced answer at that point in time.
Viral Shah:
Sure, sure, definitely. Thank you so much and all the best.
Sudipta Roy:
Thanks.
Moderator:
Thank you. Next question comes from the line of Shreepal Doshi with Equirus. Please go ahead.
Shreepal Doshi:
Hi sir. Thank you for giving me the opportunity. My question was in continuation with the review of the previous participants wherein, if the cost of fund is likely to go up because of the uncertainties, what is the kind of implication that we see could happen? I understand that, you know, you highlighted the uncertainties around and the volatility around. But then what is it that we are sort of building in terms of the range that it could be in terms of NIM implications?
Sachinn Joshi:
So, Shreepal, Sachinn here. In terms of NIMs implications, you know, we stick to the corridor of 10% to 10.5%, which we have given. There are different moving parts. Every quarter , you will at times find the cost of funds going up or down. The yields now have come to a level where depending on which business we really accelerate, the mix now decides on what is the kind of yield movement that we will see.
There is only one asset book which actually has a variable interest rate where we could pass on if there is an interest rate change which is mortgages. But apart from that there are couple of levers in terms of the fee income, which can also be looked at and as Sudipta was mentioning earlier that we are working on the payment platform.

We should start seeing some, you know, revenue flows although we have not factored in at this point of time, but from the next financial year we are surely going to see some revenue flows coming in. So, there are some moving parts, as the situation comes o ver, we will try to figure

out how to deal with that.
But the NIMs, you can stay assured that if you looked at last almost 2.5 years and 3 years, we have been giving the guidance and we have stuck by that.
Shreepal Doshi:
So just a follow up there, so you talked about the loan book mix. We have seen Urban book gaining share in the overall loan book. So where do you see the mix shaping up, while you've been talking about FY27 and then FY28. Where do you see this parameter in terms of the loan book mix shaping up by FY27 end and then FY28 end?
Sachinn Joshi:
So, you know, just since this is a question immediately coming after the post or the earlier one, the Gold loan book is going to be one of the thrust area, Micro-LAP will be another area, Personal loans will be a third area. And if you look at all these three are reasonably high yielding products, and we should be in a position to use these levers.
And, you know, also, as far as the Micro finance, the Rural Business loan book is concerned we already had 99.8 % collection efficiency. So, we are not talking about decelerating the growth. We are just talking about in percentage terms just because other books will grow this may go down to some extent. But otherwise, growth over there also will continue. So, that's the reason I said there are levers of ensuring that, the 10% to 1 0.5% corridor can be met depending on which business we accelerate in a particular course.
Shreepal Doshi:
Got it sir, got it. Thank you so much sir for answering my questions and good luck for the next quarters.
Moderator:
Thank you. Next question comes from the line of Piran Engineer, CLSA. Please go ahead.
Piran Engineer:
Hi, team. Thank you for taking my question and congrats on the quarter. Just a couple of questions. These large digital partners you work with for the Personal loan business, do they also provide FLDG? And if so, how much?

Sachinn Joshi:
No, we don't work on a FLDG model with any one of them. So, it's completely our own credit . So, see at times working on FLDG models means compromising on credit parameters for the sake of volumes.

With the philosophy, we don't do that, right? So, it is only we originate customers at our own credit terms and not at terms of our partners.
Piran Engineer:
Understood.
Sachinn Joshi:
So, we give an origination fee to the partner, nothing else.
Piran Engineer:
Got it. And secondly, sir, did you mention in your opening remarks something about CGFMU?
Sachinn Joshi:
Yes, yes. So, we started taking CGFMU coverage for our Micro Finance portfolio, especially, see, we have not taken it for 100% of our portfolio. So, we have done a sort of risk metrics analysis, and we are taking coverage on a certain section of our portfolio. The portfolio we think that are more prone to, you know, or softer portfolios which we think are prone to economic shocks or has some overhang of an event risk. That is where we are taking this coverage.
Just like we are taking CGFMU, we are taking CGTMSE coverage for our SME business as well. Again, not on the entire SME book. The cohort of the SME book that we think is risky. So, when we underwrite our SME books t hrough Cyclops, it divides the book into three segments, the segments which you call premium , core and value, and they are rank o rdered according to their risk.
It is only in the, primarily in the value segment, which is the lowest of the cohort, that we are taking a CGTMSE coverage, because that we consider as a sort of a vulnerable segment as well. So again, our objective of taking the CG FMU coverage as well as the CGTMSE coverage is to provide the optimum amount of protection with the least amount of addition to ongoing opex.
Piran Engineer:
But sorry in MFI, how do you like what sort of -- can you give an example of a cohort, like would it be only borrowers?
Sachinn Joshi:
It is difficult to give an example of a cohort but

let me give you an example. You know. See, because
each and every state has its own flavour, but there might be you know one particular you know state which is more prone to floods, right . Now there are two options. You can take CGFMU coverage, or you can take parametric insurance .
All new customers for example -- any new customer who is coming all new to credit customer. You have not seen their credit before. They are completely zero cycle .? So those are the customer you would like to take CGFMU coverage. Now once those customers go through three years and ha ve done one or two cycles with you, are good enough, you know their coverage, you are happy to let go of the CGFMU coverage because you know that this customer is credit seasoned, right?

Also, we are moving around in certain -- expanding our business in new geographies like Rajasthan, Punjab, Haryana, MP, Gujarat, Maharashtra, Odisha. These are the locations where we are taking CGFMU coverage, because many of the customers that we are acqu iring in these locations are first time customers for us.
Sachinn Joshi :
Just to add, since we are taking it for the first time , in this year itself, we will cover about 35% to 40% of the total disbursement that we make in the current year for Micro Finance.
Piran Engineer:
Yes, micro finance. Okay, yes. This is pretty useful. Thank you. Wish you all the best.
Sudipta Roy:
Thank you so much.
Moderator:
Thank you. Ladies and gentlemen, due to time constraint , we have reached the end of question -and-answer session. I now hand the conference over to Mr. Sudipta Roy for closing comments.
Sudipta Roy:
Thank you so much for joining the call and thank you for your feedback and participation. I trust we have been able to address all your queries. However, I think that such a short time frame is probably at times inadequate to address all the queries, so our Investor Relations team is always available to answer any queries and myself and my management team are always available to meet you one -on-one or in groups to answ er any additional queries that you might have. Thank you for your participation and attendance and with this I would like to close the earnings call for Q1 FY27. Thank you so much and have a nice day.

Moderator:
Thank you. On behalf of L&T Finance Limited, that concludes this conference. Thank you for joining us.
You may now disconnect your lines.

*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential
factual discrepancies, repetitions in Q&A which would have unintentionally crept in, if any